Franchise Focus

Annual Report Hamburg Commercial Bank **2025**



Hamburg Commercial Bank



"Hamburg Commercial Bank looks back on a defining financial year 2025, marked by a strategic focus on its core business areas. The business model was adjusted faster than anticipated and strong operating performance was achieved. The improved net income before taxes was realised despite a high negative one-off effect in personnel expenses. A positive development in new client business, stringent cost discipline and one-off income in other operating results contributed to this. The Bank's capital and liquidity ratios remained at a good level, reflecting a prudent business strategy and proactive risk management. With its franchise focus, HCOB is well positioned to grow profitably and sustainably in its core business areas."

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KPI Overview 2021–2025

Profitability/ Efficiency	2021	2022	2023	2024	2025
Net income before taxes (in € mn)	299	363	427	248	289
CIR[1] (in %)	50	44	39	50	48
Net interest margin[2] (in bps)	145	168	214	234	217

Capital	2021	2022	2023	2024	2025
CET1[3] ratio (in %)	28.9	20.5	19.5	17.3	16.5

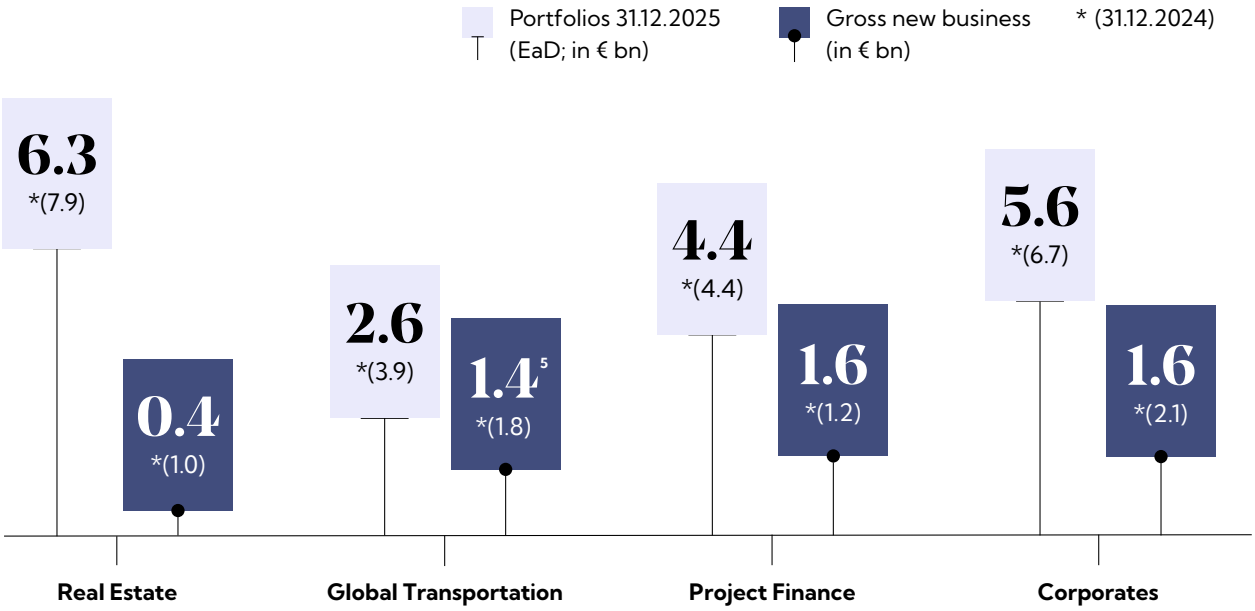
Asset Quality	2021	2022	2023	2024	2025
NPL[4] (€ bn)	0.5	0.4	0.8	0.7	0.5

Rating	2021	2022	2023	2024	2025
Issuer Rating (Moody's)	Baa1, pos.	Baa1, pos.	A3, sta.	A3, sta.	A3, sta.

[1] Cost-income ratio. [2] Net interest income (until 2022: operating net interest income) divided by average total assets. [3] Common Equity Tier 1.
[4] Non-Performing Loans.

New Business/Portfolio in 2025

Gross new business totalling €5.0 bn is divided between the following segments:



Sustainability Ratings

Agency	Last rating	Rating/Score
Sustainalytics	09/2025	Risk Score 12.0
ISS	05/2025	C, prime
MSCI	04/2025	A

Ownership Structure[6]

Several funds initiated by **Cerberus Capital Management, L.P.**			One fund advised by **J.C. Flowers & Co. LLC**	One fund initiated by **GoldenTree Asset Management LP**	**Centaurus Capital LP**	**BAWAG P.S.K.** (incl. P.S.K. Beteiligungs-verwaltung GmbH) Bank für Arbeit und Wirtschaft und Öster-reichische Post-sparkasse Aktien-gesellschaft	**HCOB** Members of the board and senior management of the Bank (since Nov. 2018; active and inactive members)
Promontoria Lux Holding 221 S.à r.l. 9.21%	Promontoria Lux Holding 231 S.à r.l. 12.94%	Promontoria Lux Holding 233 S.à r.l. 17.46%	JCV IV Neptun Holdings S.à r.l.	GoldenTree Asset Management Lux S.à r.l.	Chi Centauri LLC		
39.61%			**32.77%**	**11.75%**	**7.04%**	**2.35%**	**6.49%**

[5] Shipping: €1.3 bn, Aviation: €0.1 bn. [6] As of 31.12.2025; percentages rounded.

Franchise Focus



Marc Ziegner
Deputy CEO and
Chief Financial Officer

Jens Thiele
Chief Investment Officer

Luc Popelier
Chief Executive Officer

Reinout van Riel
Chief Risk Officer



Ladies and Gentlemen,
2025 was a defining year for our Bank. A year in which we focused on four core business segments and our long-standing client relationships. We adjusted our business model faster than anticipated. And despite a challenging market environment and the deliberate reduction of non-strategic assets, we delivered a strong operational performance. The foundations are now in place for sustainable, profitable growth.

The net income before taxes improved by 17% to €289 million, despite a significant negative one-off effect in personnel expenses. The result was supported by a positive development in new client business, stringent cost discipline and one-off income in other operating results. Capital and liquidity ratios remain at solid levels and reflect a prudent business strategy and proactive risk management.

Strategic focusing successfully implemented
In the first quarter of 2025, we made a clear decision: reinforce our identity as a German bank with a strong European franchise. We concentrated our business on four core segments – Corporates, Project Finance, Real Estate Germany and Shipping. And we are withdrawing from International Real Estate, Global Aviation and parts of the Structured Portfolio Finance business.

“In 2025 our decisive refocus on four core business segments solidified the foundation for our success. Despite one-off effects from this strategic shift, we outperformed our financial and operational expectations in 2025 and clearly demonstrated our franchise strength.

Our sharp focus and long-standing client relationships position us particularly well for profitable, sustainable growth.”

—— Luc Popelier, CEO

By year-end, we had fully implemented the strategic realignment. Client development and loan origination now come from our core franchises only. And we reduced the non-strategic portfolio by nearly 60% to €1.3 billion, including the successful sale of the US$450 million aviation portfolio in October 2025.

Solid financial results
Total income amounted to €743 (783) million and reflects the deliberately reduced balance sheet volume. Net interest income decreased accordingly to €672 (752) million, with the net interest margin reaching a good level of 217 (234) basis points. Net commission income improved to €28 (26) million. Loan loss provisions totalled €109 (95) million and were primarily driven by the sustained challenging conditions on the real estate markets. Administrative expenses rose to €378 (350) million, which is attributable to one-off costs for severance payments linked to the strategic realignment on our core business and efficiency measures. Excluding the one-off effect, administrative expenses decreased by around 1% to €328 (332) million, a clear sign of our stringent cost management.

Despite sustained challenging conditions on the real estate markets, we successfully reduced the NPL volume by 17% to €540 million by consistently offloading non-performing loans. With a simultaneous reduction in loan volume, the NPL ratio remained stable at 3.3%.

The CET1 ratio at year-end was 16.5%, which is still well above the regulatory requirements. The Group's total assets decreased as expected to €28.6 (33.6) billion. This decline was due to the discontinuation of new business in non-strategic business areas, the reduction of the corresponding portfolios, the devaluation of the US dollar, and a high repayment level.

Stable franchise new business in core areas
In a competitive market environment, the Bank achieved new business volume of €5.0 billion. Of this, €4.9 billion was attributable to franchise new business, which remained stable at the prior year's level. In the Project Finance and Corporates segment, new business was significantly above the prior year, while new business in Real Estate was deliberately managed with restraint.

New deposit platform strengthens refinancing
Parallel to the strategic focusing, the Bank developed its own digital platform for retail deposits. The market launch under the name "Hamburg Direct Bank" took place in the first quarter of 2026. This provides us with an additional stable funding source for our lending business while strengthening profitability.



"Our strict cost discipline and solid operating performance enabled us to exceed expectations despite one-off charges. With strong capital ratios, an efficient operating model and increased earnings quality, we are financially well prepared for the next stage of our development."

—— Marc Ziegner, Deputy CEO and CFO



"The significant decrease in NPL volumes underlines the robustness of our portfolio and demonstrates our disciplined approach to risk management."

—— Reinout van Riel, CRO

Efficient organisation and modern IT infrastructure
The strategic realignment is accompanied by a streamlining of the organisation. In the first half of the year, we decided on staff reductions of 190 full-time equivalents (FTE). More than 80% of the planned job reductions had already been contractually agreed by the end of 2025.

During the reporting year, we successfully completed the migration to a modern, cloud-based IT platform. To further increase efficiency, the Bank will intensify its use of AI and automation, leveraging this fully implemented state-of-the-art IT cloud infrastructure.

Social responsibility
Beyond our core business, we take responsibility for society. In 2025, we supported ten organisations and projects with a total volume of €500,000 and promoted the volunteer engagement of our employees. We are also engaged through the #HCOBEmployeesStandWithUkraine initiative, which was launched by our employees.



"With our refined business model and long-term customer relationships, we are very well positioned to continue growing profitably in our core franchises."

—— Jens Thiele, CIO

Outlook
The results in 2025 reflect the consistent implementation of the strategic realignment and the Bank's operating strength. In the financial year 2026, we will focus on our client-centric franchise strategy oriented towards profitable growth and continue to reduce non-strategic portfolios. Based on our solid earnings and clear focus on cost efficiency, we forecast IFRS net income before taxes of around €300 million. This outlook assumes that the Middle East conflict does not escalate further or extend beyond a few months. With its clear focus on core business areas, long-standing client relationships and state-of-the-art IT infrastructure, the Bank is well positioned to grow profitably in its core businesses in the financial year 2026.

Luc Popelier

Marc Ziegner

Jens Thiele

Reinout van Riel

Explore the interactive version.

Milestones 2025

Jan

Paulus de Wilt takes over as Chairman of the Supervisory Board, succeeding Chad Leat, who will remain a member of the Supervisory Board and Chairman of the Risk Committee.

The **senior preferred bond worth €500 million** is successfully placed on the capital market. The benchmark issue has a of five year maturity, is approximately three times oversubscribed with total demand of €1.5 billion, and is placed with investors from Germany and other European countries.

Feb

Participation in the **acquisition financing of the B+T Group** by funds managed by Igneo Infrastructure Partners.



Mar

The **annual results for 2024** show good operating performance. The preliminary figures for the 2024 financial year, with an IFRS net profit before tax of €248 million, are confirmed.

Apr

HOLBORN Europa Raffinerie GmbH receives follow-up financing of €100 million for the construction of a biofuel plant.

Strategic focus as a German bank with a European approach, based on three objectives: focusing on franchise to deliver more client value, simplifying business model and processes, and enhancing funding sources.

May

New location in the Netherlands. The shipping team moves into a modern and energy-efficient office complex at Amsterdam Schiphol Airport.

The **GLOBUS Group** is acquired as a new corporate client with financing of €50 million.

Jun

ESG rating improved. With the C rating awarded by ISS, HCOB has achieved top status within its peer group.

The **purchase of the "Kaufmannshaus"** in Hamburg is being financed by an acquisition and investment loan for London-based asset manager Attestor Ltd. The property comprises around 24,000 square metres across six floors surrounding a glass-roofed atrium.



Jul

The tap of the **senior preferred bond** issued in January by €250 million increases the volume to a total of **€750 million**.

Circular economy: As mandated lead arranger, financing is being provided for the construction of a mono-sewage sludge incineration plant in Hildesheim and an upstream drying plant in Hamelin for KNRN in Lower Saxony.



Aug

Pre-tax profit in the first half of 2025 rises to **€139 million (previous year: €129 million)** despite strategic restructuring costs, supported by strong operating performance and cost discipline.

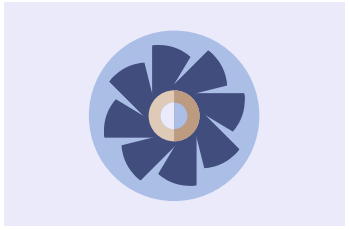
Refinancing of six methanol tankers for sustainable shipping fund LEMSCO: US$190 million provided for "Low Emission Methanol Shipping Company Fund" (LEMSCO), launched by Proman AG and Stena Bulk together with a syndicate partner (50/50%).



Sep

Reorganisation of the Management Board:
CRO Ulrik Lackschewitz and CIO Christopher Brody step down at the end of 2025. Jens Thiele (CIO) and Reinout van Riel (CRO) succeed from 1 January 2026 to ensure stable leadership during strategic focus.

Refinancing of the Berlin real estate complex **"OSRAM-Höfe"**: investment company Esas Holding receives funds to reposition the property in Berlin as a life sciences campus.



Oct

The **sale of the US$450 million aviation portfolio** supports the strategic focus and concentration on the core business.

Participation in **financing of Inland Terminals Group (ITG)**. Support for ITG as lead arranger in a **€160 million** financing package, arranged jointly with a consortium of international banks.

Nov

Financing for a residential portfolio acquisition. Arrow Global Group receives a loan in the mid double-digit million range for the purchase of 80 condominiums in the "maxfrei" urban district in Düsseldorf.

Landmark financing for **wind energy expansion** in Germany. €75 million stake in NeXtWind financing package. The **€1.8 billion syndicated loan** is one of the largest wind energy financing deals in Germany to date.

Dec



€500,000 donated to charities: €100,000 supports #HCOB-EmployeesStandwithUkraine. €400,000 goes to ten employee-nominated German initiatives for children, low-income support and nature conservation.

Financing sustainable energy solutions: £25 million provided to Vital Energi as part of a £150 million financing package from a consortium of international banks and institutional investors.

“Focus on profitable growth and sustainable success”

Jens Thiele
Chief Investment Officer (CIO)
Head of Project Finance & Corporates



How did the Corporates business perform in 2025?
Jens Thiele Our core business with corporate customers performed well despite the continuing weak economic environment in Germany and Europe. At around €1.6 billion, the volume of new business exceeded our expectations. This strong performance, to which both German and international customer business contributed, underscores the strength of our business model and the consistent implementation of our franchise focus strategy.

In which countries was the Bank particularly active?
JT Last year, in addition to Germany, we were active in the Benelux countries, the UK, Scandinavia and, selectively, in France. Our focus on the German and European markets and the careful and risk-conscious selection of our customer relationships and transactions strengthen our franchise business and offer solid potential for further development.

Can you give some examples of transactions?
JT We focus on broad diversification and have been active in various sectors. Last year, for example, we saw several transactions in the healthcare and pharmaceutical segment. Among other things, we were involved in financing a supplier of skin care products. However, we also completed transactions in the service sector and with companies in the financial services sector. We are seeing increased demand in the defence segment; where we successfully supported the financing for FFG Flensburger Fahrzeugbau Gesellschaft.

How do you differentiate yourself from your competitors?
JT We concentrate on selected markets with a focused range of services, in which we have in-depth expertise, in order to create real added value for our customers. This specialisation enables us, for example, to act much faster than our competitors.

How did the corporate banking business perform in Germany?
JT Business in Germany developed positively. With a new business volume of around €700 million, we recorded growth compared with the previous year. This is a strong signal for our market position. The share of total business rose significantly and was driven not only by northern Germany but also by increased demand from southern and western Germany.

How did the Corporates International business develop?

JT Since its launch in 2020, the Corporates International business has grown successfully and steadily. Since then, we have concluded around €6 billion in new business. From our locations in Hamburg, London and Luxembourg, we offer secured, senior loans and financing solutions across the entire credit spectrum. We are also strong in acquisition financing and provide tailor-made credit solutions for specialised financing in the corporate sector.

You have significantly expanded your customer base in payment transactions. What advantages do you offer?

JT Fast and reliable payment processing is a top priority for companies. We are very close to our customers and offer personalised support and solutions for individual requirements. We also use modern and innovative products such as virtual accounts and digital guarantees. The key factor here is our ability to seamlessly integrate customer processes with our banking processes and optimally coordinate them with each other. This is particularly evident in know-your-customer procedures and account opening applications, where we achieve maximum efficiency through intelligent process integration. This combination leads to continuous customer growth of 5% to 9% annually. Our strength lies in the intelligent integration of processes and a high speed of implementation.

What are your prospects for 2026?

JT The year 2026 will continue to be challenging, both economically and geopolitically. At the same time, we are looking ahead with confidence. Our robust structure and flexibility to respond quickly to customer needs and market developments have proven successful – that makes us optimistic. We remain focused on growth and look forward to new business. We are aiming for a new business volume on a par with previous years.

Read more about the corporate deals on the following page.

Deal 1: Financing for FFG – strengthening a strategic partnership
Deal 2: Refinancing for EYSA – provider of smart mobility solutions

Corporates Germany

Financing for FFG – strengthening a strategic partnership



Copyright: FFG

Client:	FFG Flensburger Fahrzeugbau Gesellschaft mbH (FFG)
Project:	Syndicated financing
Role:	Lead arranger
Volume:	€550 million (including increases), HCOB share: €95 million

In 2025, HCOB successfully implemented the syndicated financing of the FFG Group as lead arranger together with a consortium of banks. With this significant transaction, the Bank is consolidating its long-standing, trusting partnership with FFG and accompanying the group on its ambitious growth path.

The Bank is contributing its proven industry expertise in the defence sector and pursuing its goal of further expanding its activities in this strategically relevant market segment. The FFG Group, based in Flensburg, is a leading international company in the defence industry and a reliable partner of the German Armed Forces.

The financing complies with HCOB's strict ESG guidelines: only manufacturers of military equipment whose products are supplied to government institutions (B2G) that are not sanctioned by the EU, the United Nations or the USA are supported. In this way, the Bank underlines its responsibility for sustainable and compliant business activities.

Corporates International & Specialty Lending

Refinancing for EYSA – provider of smart mobility solutions



Copyright: iStock.com/Yongyuan Dai

Client:	EYSA
Project:	Refinancing of a leading provider of smart mobility solutions
Role:	Sole super senior revolving credit facility lender

Hamburg Commercial Bank has participated in the refinancing of EYSA, a leading provider of smart mobility solutions. The Bank, which had already supported EYSA in the past, continues its role as sole super senior RCF provider. The transaction underscores our expertise in structuring bespoke financing solutions for our clients. HCOB is supporting EYSA and its new owner Tikehau Capital in this significant phase of growth and innovation, helping to enable smarter, cleaner, and more connected parking and mobility infrastructures.

EYSA has become a key player for cities and municipalities in the on-street parking sector, delivering integrated solutions that blend technology, infrastructure and services to enhance urban and interurban transportation.

“Experience and expertise are critical in today’s market”



Stefan Hoenen
Head of Commercial Real Estate

Stefan Hoenen has been working in real estate financing for more than 20 years, including the last 12 years at Hamburg Commercial Bank. Since October 2025, he has been head of the Bank’s Commercial Real Estate (CRE) division.

How did you find settling into your new position?
Stefan Hoenen The transition went very well, not least because, since June, I had already been co-heading the division alongside my esteemed predecessor, Peter Axmann. We used this time to have thorough talks and ensure a smooth hand-over. I was already familiar with my colleagues and the company’s processes, and I am now looking forward to working with my dedicated team to further develop the Bank’s real estate financing business.

With subdued economic prospects and geopolitical uncertainties, it was not an easy period when you took the helm. What are your expectations for 2026?
SH We are seeing the first signs of recovery in the property market and a gradual improvement in sentiment. Large-volume transactions are still rare, but they are happening again, and the market is being tested. Foreign investors, in particular, have been active recently, while German institutional investors have remained cautious. Although there is sufficient fresh international capital available, average yield requirements are higher than in the previous cycle. This means that the price gap between sellers and buyers has not yet closed everywhere. We therefore expect a moderate but overall steady revival of the transaction market, and, as a result, prolonged sideways movement with positive signs.

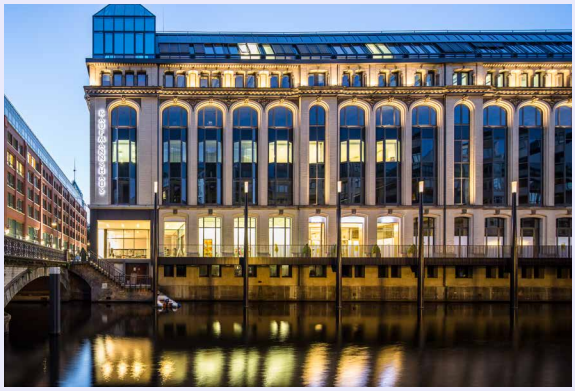
Let’s take a look at the various asset classes. Where do you see the potential for a rapid recovery, and where might it take a little longer?
SH The individual asset classes and subsegments

are developing very differently. The positive trend of recent quarters will continue in residential real estate, and hotels, retail parks and food retailers have shown good momentum recently. We also see significant potential in medium-sized central office space. Logistics properties are in high demand from investors, but the absorption of newly built space is challenging given the rather subdued economic outlook. The situation remains challenging for office properties in secondary locations, as well as for buildings where high sustainability investments are met with subdued tenant demand and limited rent adjustment potential.

What role do sustainability factors play in real estate financing?
SH Sustainability is no longer an end in itself; it is actively demanded by buyers, tenants and banks alike. The requirements for sustainable real estate has already increased significantly, and this trend is set to continue. This will lead to considerable investment, particularly in existing portfolios. Banks play a key role as lenders, financing the transformation of real estate from "brown to green" and helping their customers to secure and increase value.

What is on the agenda for the commercial real estate segment in 2026?
SH Our goal is to grow our new business to around one billion euros and to attract also new business partners with our expertise, particularly in complex and tailored financing structures. In addition to financing existing properties and project developments in all common asset classes, we will also focus on increasing the use of digitalisation and AI in the coming year to become more efficient and faster. Ultimately, we want to remain a financing partner on equal footing with its customers – with expertise, experience and speed.

Financing for historic "Kaufmannshaus" in Hamburg



Copyright: Carsten Brugmann

Customer:	Attestor Limited | UK-based asset manager, founded in 2012
Financing:	Acquisition and investment loan
Asset class:	Mixed-use property

Located in the heart of Hamburg's Passagenviertel district, the historic "Kaufmannshaus" is one of the city centre's defining Kontorhaus buildings. The listed property, dating from 1906, extends over approximately 24,000 square metres of gross floor area and six storeys arranged around a spacious glass-roofed atrium. Its prominent corner location at the Bleichenbrücke / Große Bleichen junction, direct access to the Bleichenfleet canal and proximity to Neuer Wall, the City Hall and the Binnenalster make the property an architectural landmark.

The property is positioned as a mixed-use building with high-quality premium retail space on the ground and lower ground floors as well as modern office space on the upper floors. Extensive modernisation and refurbishment measures are creating attractive and future-proof space for retail and services in a prime city centre location. HCOB has tailor-made the acquisition and investment loan for Attestor Ltd., thereby winning the internationally active group as a new client.

“Shipping markets benefit from robust global trade”

Jan-Philipp Rohr
Global Head of Shipping



How did the shipping markets develop in 2025?
Jan-Philipp Rohr In 2025, the shipping markets performed very positively. Thanks to disciplined newbuilding activity and robust global trade, a healthy market balance emerged, particularly in the second half of the year. In the container shipping market, we saw a strong increase in charter rates, and transport volumes rose despite a challenging overall environment. In the tanker segment, earnings were significantly above the ten-year average, especially for crude oil tankers. The bulker markets also recovered clearly after a weaker start to the year and reached their highest average rate levels for years by year-end.

How did this positive development affect HCOB’s Shipping business?
JPR With our experienced teams in Hamburg, Piraeus and – since the middle of last year – Amsterdam, we originated new business of around €1.3 billion and we are very pleased with this. Shipping companies have built up substantial liquidity in recent years due to the very strong market environment, which naturally has an impact on financing demand. Nevertheless, there is still sufficient activity in the market, and we have been able to distinguish ourselves with our in-depth expertise, our reliability and our swift decision-making. At year-end, our shipping portfolio stood at around €2.5 billion, accounting for just under a tenth of the Bank’s diversified balance sheet.

What impact are the US port fees having on the global ship finance market?
JPR The port fees announced by the United States essentially affect all vessels calling at US ports that were built in, or are registered in, China – and China is still the world’s leading shipbuilding nation. Even though the new fee regime has initially been suspended, many shipowners that, for example, use Chinese leasing structures are currently assessing whether traditional financings in Europe could be an attractive alternative. This has stimulated loan demand on the banking side and illustrates how trade policy decisions can influence the maritime industry and its financing partners.

What developments do you expect for the shipping markets?
JPR Overall, we expect the positive development in the shipping markets to continue in 2026, with fleet growth remaining moderate compared with robust demand. In addition to developments in

tonnage, freight rates and fleet capacity, the transition to more climate-friendly propulsion systems remains a key topic for the entire maritime sector. Shipowners are increasingly focusing on modern, efficient and lower-emission tonnage in order to meet regulatory requirements and future-proof their fleets. At the same time, it is still unclear which technologies will prevail in the long term, making long-term investment decisions more demanding.

What are your expectations for HCOB's Shipping business in 2026?

JPR Shipping is a core business of the Bank and, against the backdrop of positive market expectations and still high liquidity on the part of shipowners, we are targeting new business of around €1.5 billion for 2026. Our focus will continue to be on middle-aged vessels – whether in the container, tanker or bulker segment. From our perspective, it can be both sensible and sustainable to keep existing tonnage in service, to modernise it in a targeted way, and thus operate it efficiently for a number of additional years.

We will continue to support our predominantly internationally active clients with structured asset and corporate financing and, in addition, provide them with genuine added value through reliable and fast global payment services. Just as important as products and processes is a dependable partnership with our clients at eye level – because shipping is, and will remain, a people business.

Refinancing for greener shipping



Copyright: Proman

Customer:	LEMSCO Fund I | A sustainable shipping fund from Proman and Stena Bulk
Scope:	Syndicated loan of US$190 million (HCOB's share: 50%).
Segment:	Six modern methanol dual-fuel tankers

The "Low Emission Methanol Shipping Company Fund I" (LEMSCO Fund I) invests exclusively in modern methanol dual-fuel tankers, thereby contributing to the decarbonisation of shipping. Together with a consortium partner, the Bank provided US$190 million for the refinancing of six IMOIIMeMAX tankers. The ships, with a capacity of 50,000 deadweight tons, can be operated with both low-sulphur fuel (VLSFO) and methanol from fossil or renewable sources. Methanol is completely biodegradable, and when green methanol is used, CO_2 emissions are reduced by more than 90% on a life cycle basis.

Launched in 2023, LEMSCO Fund I offers investors the opportunity to invest directly in the energy transition of the maritime sector. The fund was initiated by Proman, one of the world's largest methanol producers, and Stena Bulk, a leading international tanker shipping company. HCOB has been supporting the maritime industry for decades and convinced these two renowned companies with its experience and proven expertise.

“Strong year for Project Finance”



Hans Lötzer
Head of Project Finance



Luke Isherwood
Head of Project Finance Special Situations

How did the Project Finance sector develop in 2025?
Our Project Finance business for infrastructure and renewable energy recorded its most successful year in the past five years in 2025. New business was up by more than a third compared to the previous year. This result shows that our strategic focus is paying off. With a focus on Germany and Europe, we expanded our market presence, implemented significantly more primary transactions and structured financing, and generated additional business with payment transactions, derivatives and agency services. Besides our home market of Germany, which accounted for a large proportion of the projects, our London infrastructure team also made a significant contribution to the good result. The basis for this success is the risk-oriented selection of our customer relationships and transactions, which strengthens our franchise business in the long term.

What were the main areas of focus for the transactions?
In 2025, we supported various types of financing with a key focus on energy infrastructure, including transmission networks, renewable assets, energy from waste plants and battery storage. The digital sector remained strong through our involvement in data centres and fibre-optic networks. Our infrastructure teams were able to further expand their client relationships and offer them flexible and tailor-made solutions. In addition to traditional infrastructure financing, we implemented complex acquisition financing and highly structured products for special situations. Regionally, the focus was on Western and

Northern Europe, in particular Germany, the UK and Scandinavia.

The development of infrastructure and energy supply is one of the key factors for economic development. Where do you see the greatest opportunities?
We continue to see potential in the financing of sustainable energy infrastructure and digital solutions. The growing demand for data volume and traffic is leading to investment in data centres and fibre-optic networks in our core markets. Even though market conditions in the fibre-optic segment were challenging in 2025, we were able to close large, risk-appropriate structured transactions for selected customers and increase the franchise value for the Bank. Momentum remains high in the energy transition sector, particularly with regard to battery storage. However, topics such as the circular economy and raw material extraction from waste will also be a focus for us. Looking ahead, energy transition will remain a key focus as countries look to manage energy supply given uncertain geopolitical risks. In addition, the 2050 net zero commitments will furthermore ensure this sector remains robust.

What are the success factors in the Project Finance segment?
We cultivate close, trusting customer relationships and offer flexible financing models tailored to individual needs. In addition, our nimble organisational structure and compact size enables us to react very quickly to clients' needs. We focus on markets in which we have in-depth expertise and can create real added value for our customers with our broad product range.

What are your prospects for 2026?
We have made a successful start to the new year and are optimistic about the rest of the financial year. We remain committed to strategic focus and aim to achieve a new business volume at the previous year's level. In doing so, we are focusing on broad diversification of our portfolio and the expansion of direct customer relationships.



Financing battery storage systems for a sustainable energy future

Client: Steag Iqony Group
Project: Financing of the "Steady Green Energy" battery energy storage project in Duisburg-Walsum
Role: Sole lender

Sustainability
100% sustainable according to HCOB's Sustainable & Transformational Finance Framework (STFF).

Hamburg Commercial Bank is providing energy company Iqony with a double-digit million euro sum for the construction and operation of the "Steady Green Energy" battery energy storage project.

The Bank has in-depth industry expertise in this sector and has structured and arranged a comprehensive financing package for Iqony from a single source, tailored to the customer's needs.

The innovative large-scale battery storage facility "Steady Green Energy" will be built at the Steag Iqony Group's power plant site in Duisburg-Walsum and is expected to start commercial operation in August 2026. It has an output of around 50 megawatts (MW) and a capacity of 200 megawatt hours. As a four-hour storage facility, the plant can respond flexibly to the requirements of the electricity system and make renewable energies available optimally and as needed. Iqony has also signed a power storage agreement with DB Energie, a subsidiary of Deutsche Bahn, which will use 35 MW of the total 50 MW storage capacity for five years.

ESG – setting the course for a sustainable future

Sustainability has become a key competitive factor for companies of all sizes. Despite political uncertainties and global challenges, compliance with and further development of ESG criteria remain highly significant for HCOB. The path to greater sustainability is a continuous process and requires constant adaptation to changing conditions. Early recognition of the need for transformation and active management of potential ESG risks strengthen the resilience of both the Bank and its customers. HCOB sees sustainability not only as an obligation but also as an opportunity to support the transition to a more sustainable economy and to accompany customers in their transformation.

ESG as a strategic compass
Sustainable action is deeply embedded in HCOB's business strategy and is reflected in its daily decisions and business activities. Transparency is an essential component: the Bank openly communicates its goals, progress and results.

Global frameworks and commitments
HCOB underlines this engagement through its voluntary commitments: in 2020, the Bank signed the UN Principles for Responsible Banking, thereby committing itself to the Paris Climate Agreement and the UN Sustainable Development Goals (SDGs). In addition, since 2021, the Bank has been reporting in detail on financed emissions in alignment with the Partnership for Carbon Accounting Financials. As a member of the Responsible Ship Recycling Standard initiative (since 2020), HCOB also demonstrates responsibility in a business area that is highly significant to the Bank.

Focus on climate protection
HCOB has set itself the goal of achieving net-zero emissions by 2050 at the latest – both at the corporate level for its banking operations and at the portfolio level for its lending and investment portfolio. In 2025, the Bank developed a transition plan that further specifies the transition to net zero and includes short-, medium- and long-term decarbonisation targets for the Shipping, Real Estate and Energy (power generation) portfolios.

"HCOB sees sustainability as an opportunity to support its customers in their transformation."

Since 2020, criteria for all three ESG dimensions have been taken into account holistically in every credit decision. The multistage credit process involves the Compliance Assessment and Sector Restrictions Check, ESG Scoring and the Sustainable & Transformational Finance Framework classification.

HCOB has continuously reduced its energy consumption in its own banking operations. The remaining Scope 1 and 2 emissions, as well as Scope 3 emissions from business flights, have been offset for many years by MoorFutures® certificates from the Ausgleichsagentur Schleswig-Holstein. In 2026, the Bank will move its Hamburg headquarters to a particularly energy-efficient building.

Diversity and inclusion in the workplace

HCOB actively promotes diversity in order to create a diverse and inspiring working environment. This is reflected in the employment of staff from over 40 nations and the anchoring of the Bank's own Code of Diversity in its corporate culture. In 2025, HCOB once again achieved Gold status in the Pride Index certification. The Bank has set clear targets for the share of women in management and senior positions, with 33% in each case.

Regular training and internal communication measures raise employees' awareness of ESG issues. The Bank also offers them a wide range of benefits, including full coverage of the cost of the Deutschlandticket for local public transport in 2026.

Social commitment

HCOB is committed to going beyond its core business by making donations and actively supporting its employees' voluntary activities. The Bank works with selected non-profit organisations and takes all three ESG dimensions into account in its charitable activities.

In 2025, it supported ten organisations with a total volume of €500,000. A partial amount of €100,000 was again donated to the HCOB employee aid initiative #HCOBEmployeesStandwithUkraine. The organisations that received the donations were able to help people in need of assistance of all ages, preserve habitats with high biodiversity, promote cultural projects and encourage social engagement.

Spotlight: Loki Schmidt Stiftung



Copyright: Loki Schmidt Stiftung

HCOB maintains a close partnership with the Loki Schmidt Stiftung. The foundation is committed to protecting nature by preserving habitats, implementing species conservation projects, promoting environmental education and raising awareness of the importance of nature conservation through public relations work.

The Bank supports the Loki Schmidt Stiftung on the one hand with donations for the acquisition of land for nature conservation and for the preservation and promotion of biodiversity. For example, land formerly used for agriculture is now dedicated to nature conservation and the enhancement of biodiversity under the foundation's management – for the benefit of present and future generations. HCOB employees are also involved in local volunteering activities, which strengthens exchange and the joint implementation of nature conservation projects. In addition, there is ongoing dialogue between the foundation and HCOB – through visits to local nature conservation projects and discussions on global biodiversity issues.

This partnership promotes biodiversity through targeted support for nature conservation projects. A diverse natural environment not only ensures ecological stability, but also contributes to global sustainability goals.

Report of the Supervisory Board



Paulus de Wilt, Chairman of the Supervisory Board of Hamburg Commercial Bank since January 2025.

2025 annual financial statements and Group financial statements of Hamburg Commercial Bank AG

Report of the Supervisory Board on the 2025 financial year

The Supervisory Board performed its duties under the law and the Articles of Association during the 2025 financial year. In particular, it monitored the management of Hamburg Commercial Bank AG ("HCOB" or "the Bank") and provided advice to the Management Board in matters relating to corporate governance.

In the 2025 reporting year, the Management Board provided the Supervisory Board with regular, timely and comprehensive information on the Bank's business policy and other fundamental issues relating to corporate governance and planning, financial development, operating performance and the Bank's risk, liquidity and capital management, as well as on major legal disputes, compliance issues and transactions and events of fundamental significance to the Bank.

During the reporting year, Hamburg Commercial Bank implemented its strategic realignment focusing its activities on the core business segments Corporates, Project Finance, Real Estate Germany and Shipping. The Bank reduced portfolios no longer considered core (International Real Estate, Global Aviation and parts of Structured Portfolio Finance) by almost 60% to €1.3 billion. This was achieved in a value-preserving manner, including the sale of the aviation portfolio in October 2025 with a total volume of around US$450 million, and ahead of schedule.

The improved net income before taxes was realised despite a significant negative one-off effect in personnel expenses. The result was supported by a solid operating performance and a positive other operating result. Administrative expenses increased due to one-off costs for severance payments linked to the strategic realignment on the Bank's core business and efficiency measures. Excluding this one-off effect, administrative expenses decreased (by 1% year-over-year), demonstrating the Bank's stringent cost management. Despite sustained challenging conditions on the real estate markets, which were also primarily driving the loan loss provisions (LLP), the non-performing loan (NPL) volume was successfully reduced by 17% to €540 million. With a simultaneous reduction in loan volume, the NPL ratio remained stable at 3.3%. The CET1 ratio at year-end was 16.5%, which is still well above the regulatory requirements. The operating model was further advanced through the development of a retail deposit platform ("Hamburg Direct Bank"), organisational streamlining, completion of the migration to a cloud-based IT platform and increased use of AI and automation. With its franchise focus, HCOB is well positioned to grow profitably and sustainably in its core business areas.

The Supervisory Board was kept informed about the status of major milestones and – where necessary – adopted appropriate resolutions.

The Supervisory Board was involved in decisions of material importance to the Bank and sought legal advice where necessary.

The Chairman of the Supervisory Board and the committee chairs were also informed by the Management Board about important issues and upcoming decisions, including between the scheduled meeting dates. The chairpersons also consulted each other on the meeting agendas for the respective committees they chair and discussed topics of overarching importance for the Supervisory Board.

In addition, the Chairman of the Supervisory Board received a monthly management report and regularly the current agendas of the Management Board meetings.

Where resolutions were also required between meetings, the Supervisory Board adopted them by written procedure.

Meetings of the Supervisory Board

The Supervisory Board held six meetings in the 2025 financial year. Furthermore, the Supervisory Board held a strategy workshop with the Management Board on 9 October 2025. Supervisory Board meetings were held in person with the option of virtual participation (hybrid meeting format). Three meetings were convened as virtual meetings in 2025, whereby some Supervisory Board members attended in person at the Bank's premises. This concerned among others the discussion of the preliminary results 2024 (12 February 2025) as well as the half-year results 2025 (20 August 2025) and the meeting on 22 September 2025 on Management Board matters.

The Management Board regularly informed the Supervisory Board about the Bank's situation. In this context, it informed the Supervisory Board on the basis of the quarterly figures available in each case, in particular about the current economic situation, the course of business overall and in the individual business areas (also in relation to the current business plan), the risk situation, the development of capital, and the liquidity and funding situation. In addition, the Supervisory Board was regularly provided with an outlook for the following quarters and the year as a whole. Moreover, information on human resources (HR) matters as well as legal and regulatory issues, i.a., the Supervisory Review and Evaluation Process (SREP) 2025 and important supervisory on-site inspections, also formed an important part of the reporting on the situation of the Bank. Furthermore, the Management Board regularly reported to the Supervisory Board on the status of strategic projects, such as important IT projects and initiatives.

The Supervisory Board critically reviewed the reports and, in some cases, requested additional information and documents, which were always provided promptly and to its satisfaction.

Furthermore, the Supervisory Board dealt with various matters regarding the members of the Management Board. At the end of its meetings, in the absence of the Management Board, the Supervisory Board as a rule had the opportunity to deal with miscellaneous matters reserved exclusively for the Supervisory Board.

The auditor regularly attended the Supervisory Board meetings and was available to the Supervisory Board to provide additional information.

In addition, the Supervisory Board continues to be informed at the beginning of each month about the preliminary key figures as of the previous month-end.

Furthermore, the Supervisory Board was informed in writing about significant matters between meetings, such as the final SREP 2025 outcome. Furthermore, the Supervisory Board was provided with current important internal communications as well as rating and press information.

At its meetings, the Supervisory Board also focused on the following topics:

At the meeting on 12 February 2025, as part of the usual report on the Bank's situation, the Supervisory Board discussed the preliminary Group net result for 2024 and the likely dividend proposal. HCOB published a press release on the preliminary Group net result on 13 February 2025. In addition, the Supervisory Board received overviews of the secondary activities of the Management Board and significant donations made by HCOB (donation amounts >€10,000) in 2024. In addition, in accordance with the requirements of the Remuneration Ordinance for Institutions (IVV), and at the request of the Management Board, the Supervisory Board conducted a hearing on the appointment of a successor to the position of the Deputy Remuneration Officer.

The subject of the meeting held on 26 March 2025 (annual financial statements meeting) was primarily the presentation of the results of the audit of the 2024 annual and Group financial statements by the auditor and the report of the Audit Committee on the audit of the 2024 annual and Group financial statements. Following the Supervisory Board's own assessment and prior discussion with the auditor, and based on the recommendation made by the Audit Committee, the annual financial statements for 2024 were adopted and the Group financial statements for 2024 were approved, including the proposal for the appropriation of the net income (Bilanzgewinn) with the distribution of a dividend of €214,293,941.63 (€0.71 per each ordinary share). In addition, the usual resolutions to be passed on recommendations to the Annual General Meeting (AGM) were adopted.

In connection with the annual and Group financial

statements for 2024, the combined non-financial statement ("Sustainability Statement") for 2024 pursuant to Sections 315b, 315c in conjunction with 289b to 289e HGB (German Commercial Code) was also reviewed and approved.

Furthermore, the resolution on the recommendations to the Annual General Meeting on the election of the auditor PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft (PwC) for the financial year 2025 was passed.

At the Supervisory Board meeting on 26 March 2025, the Supervisory Board mainly discussed with the Management Board the considered strategic realignment of the Bank with a focus on franchise business.

In addition, at its meeting on 26 March 2025, the Supervisory Board reviewed the Related Party Transactions Policy of the Bank in terms of compliance with currently applicable requirements.

In the absence of the Management Board, the Supervisory Board discussed target achievements for the 2024 financial year as well as the target agreements for the 2025 financial year of the members of the Management Board and an amendment of the remuneration policy for the Management Board. The Supervisory Board adopted a resolution in accordance with the resolution recommendation of the Remuneration Committee in this regard. Furthermore, the Supervisory Board conducted its regular assessment of the adequacy of the level of remuneration of the Management Board members according to sections 12 (1) and 10 (1) IVV.

At the meeting on 12 June 2025, the Supervisory Board discussed the Management Board's usual report on the Bank's situation and, in particular, the Business Strategy 2026, including the realignment of the Business Strategy 2025 (2025+) as well as the corresponding, updated functional strategies on Information Technology (IT), Human Resources (HR), Outsourcing, and Marketing & Communication. The Supervisory Board also mainly considered the update of the mid-term plan 2025 with extended plan horizon to 2025 to 2028 (MTP25+) and approved it.

In the absence of the Management Board, the Supervisory Board dealt with the succession to the Management Board.

At the meeting on 20 August 2025, the Supervisory Board reviewed the interim financial statements as of 30 June 2025, and current developments as part of the Management Board's usual report on the Bank's situation. The Supervisory Board was also informed about the renewal of the Directors and Officers (D&O) insurance policy.

On 22 September 2025, in the absence of the Management Board, the Supervisory Board dealt with matters relating to the reorganisation of the Management Board and also discussed other matters of particular relevance to the Bank together with the Management Board.

On 9 October 2025, the Supervisory Board held a workshop with the Management Board for a recap of the current 2026 business strategy and a preview of the medium-term planning for the years 2026 to 2028 (MTP 2026).

The last meeting of the year was held on 4 December 2025. In addition to the usual report on the Bank's situation and an update on HCOB's transformation based on its strategic realignment in mid-2025, this meeting focused mainly on the medium-term planning for 2026 to 2028 (MTP2026), including its approval.

Moreover, the Supervisory Board discussed the final 2025 SREP decision, engaging in dialogue with the supervisory authority, whose representatives attended the meeting as guests, as is customary once a year.

Furthermore, in accordance with the Bank's regulations, the Supervisory Board approved the termination of a profit transfer agreement between HCOB AG and BINNENALSTER - Beteiligungsgesellschaft mbH.

With no participation from the Management Board, the Supervisory Board received the reports from the Remuneration Committee and Nomination Committee on current Management Board matters as well as Supervisory Board affairs, which were also on the agenda of that Supervisory Board meeting. The Supervisory Board resolved to appoint Marc Ziegner as deputy CEO with effect as of 1 January 2026, in addition to his role as Chief Financial Officer (CFO).

Furthermore, in accordance with section 25d (11) KWG and the CSRD, the Supervisory Board discussed its annual evaluation of the efficiency of the Supervisory Board's and Management Board's work as a body and the qualification of both the individual members of the Supervisory Board and Management Board and the bodies as a whole.

Lastly, in line with regulatory and internal requirements, the Supervisory Board assessed and confirmed the suitability of a new member to join the Supervisory Board and to take over as Chair of the Risk Committee as of January 2026.

In the reporting year, the Supervisory Board also passed three resolutions by written procedure, thereof one jointly with its Remuneration Committee. The resolutions related to important transactions as well as

organisational management matters (in particular the sale of the aviation portfolio and change in the appointment of HCOB's Chief Compliance Officer). In addition, written information was brought to attention of the Supervisory Board, in particular on 26 November 2025, containing the remuneration monitoring report for 2025 and, on 12 November 2025, the final SREP decision for 2025.

In the past year, the Supervisory Board again dealt in depth with various current topics relevant to the financial sector and the Bank, such as the use and development of AI (artificial intelligence), and regulatory developments, as AML/CTF compliance (Anti-Money-Laundering/Counter-Terrorism Financing). In addition, information sessions or training courses were held for the Supervisory Board both for new Supervisory Board members and on special topics.

Where individual members of the Supervisory Board were affected personally or by virtue of their function by resolutions of the Supervisory Board or its committees, or where other potential conflicts of interest arose, they did not participate in the deliberations and resolutions of the relevant body. The number of other significant directorships held by members of the Supervisory Board can be found in the Corporate Governance Report in the present Annual Report.

The members of the Supervisory Board all attended the meetings of the Supervisory Board and its committees to which they belong, with very few and duly justified exceptions.

Committees of the Supervisory Board

The Supervisory Board has formed four committees from among its members to support it in its work. The respective committees prepared resolutions for the Supervisory Board in accordance with the Rules of Procedure for the Supervisory Board.

The chairpersons of the committees regularly reported to the Supervisory Board on the work and results of the committees' deliberations at the respective subsequent plenary meetings.

The **Nomination Committee** met four times last year, thereof twice jointly with the Remuneration Committee. Where necessary, it adopted its own resolutions or made recommendations to the Supervisory Board for its approval. In matters relating to the Management Board, the Nomination Committee worked closely with the Remuneration Committee, including by means of written resolutions where appropriate, to prepare Supervisory Board's resolutions. In the reporting year, the Nomination Committee adopted in total two resolutions by way of written resolution procedure concerning the approval of meeting minutes, one thereof jointly with the Remuneration Committee.

In addition, the Nomination Committee, together with the Management Board, also supports the Supervisory Board with regard to long-term succession planning.

The **Risk Committee** met a total of four times in the 2025 financial year, thereof once partly in a joint meeting with the Remuneration Committee. In the reporting year, the Risk Committee additionally adopted four resolutions by way of written resolution procedure.

Representatives of the auditor regularly attended the meetings of the Risk Committee.

The Risk Committee dealt intensively with the Bank's risk situation and risk management. In this context, it dealt with the update of the Strategic Risk Framework, which is the risk framework for the Bank's business strategy and planning.

At all its meetings, the Risk Committee was kept informed of current events and developments and their impact on the Bank's risk situation, particularly against the background of the still challenging macroeconomic and geopolitical environment. The Risk Committee regularly considered the status of strategic risk issues at the Bank, particularly with regard to NPL/NPE and liquidity and funding. Furthermore, the Risk Committee received reports on topics such as pension management.

The Risk Committee also obtained information on current regulatory topics and the status of supervisory inspections. Among other things, the Risk Committee discussed in detail current developments with regard to Basel IV as well as the ICAAP and ILAAP regulatory requirements (Internal Capital Adequacy Assessment Process and Internal Liquidity Adequacy Assessment Process).

The Risk Committee also discussed individual exposures of significance to the Bank and received reports on the progress made in reducing the non-performing loan (NPL) portfolios. The Risk Committee discussed lending business guidelines and business transactions subject to submission and resolved the business transactions requiring approval in accordance with the law and the HCOB Related Party Transactions Policy.

In addition, the Risk Committee received regular reports on compliance, information security and the effectiveness of the internal control system. Furthermore, the Risk Committee was regularly informed by Internal Audit on the basis of excerpts from its quarterly reports and by the Legal department about significant legal disputes.

In a joint meeting with the Remuneration Committee,

the Risk Committee further reviewed the Bank's remuneration systems to determine whether the incentives set by the remuneration systems appropriately take into account the Bank's risk, capital and liquidity structure, as well as the probability and maturity of income.

The **Audit Committee** met five times in the past financial year.

Representatives of the auditor attended all meetings of the Audit Committee.

At all its meetings, the committee reviewed reports on the current situation, focusing on the quarterly financial results and outlook, as well as the funding and liquidity situation. Where relevant, the committee was also briefed on the status of litigations and regulatory inspections.

At the Audit Committee meeting on 25 March 2025, the members of the Audit Committee discussed the Bank's annual and Group financial statements for 2024 and the corresponding audit reports with the auditor PwC and resolved on respective recommendations to the Supervisory Board on the annual financial statements for 2024. The committee also reviewed the independence of the auditor in accordance with the requirements of the German Corporate Governance Code on the basis of the auditor's declaration of independence and prepared the appointment of PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft as auditor for the 2025 financial year. Furthermore, the Audit Committee assessed the quality of the audit of the annual financial statements in accordance with section 107 (3) of the German Stock Corporation Act (AktG) and confirmed it as adequate.

The auditor reported regularly to the Audit Committee on the latest results of its audit and presented the current status of planning for the audit of the annual and Group financial statements. The committee was also informed about the engagement of the auditor for non-audit engagements (independence compliance process).

The Audit Committee obtained assurance of the effectiveness of the risk management system – in particular the internal audit and internal control systems – by discussing the relevant reports. In addition, the Audit Committee dealt in detail with the status of important IT projects and initiatives on the basis of reports from the Bank and with the reports on the remaining accompanying audit of the concluding IT transformation by the auditor PwC.

The **Remuneration Committee** met six times in the reporting year, twice jointly with the Nomination Committee and once partly in a joint meeting with the Risk Committee. In the reporting year, the Remuneration Committee adopted in total two resolutions by way of written resolution procedure, one thereof jointly with the Supervisory Board on matters concerning the Management Board and the other jointly with the Nomination Committee on the minutes of a joint meeting.

The Remuneration Committee dealt in depth with Management Board remuneration issues. In particular, the Remuneration Committee dealt with the Remuneration system as well as target agreements and target achievement for members of the Management Board. In matters relating to the Management Board, the Remuneration Committee worked closely with the Nomination Committee, including by means of written resolutions where appropriate, to prepare Supervisory Board's resolutions. The Remuneration Committee also dealt with the Bank's remuneration system for employees and, moreover, the gender pay gap. In addition, the Remuneration Officer reported to the Remuneration Committee on the results of her control activities and presented her annual Remuneration Monitoring Report to the committee. The Chairman of the Remuneration Committee also regularly exchanged views with the Remuneration Officer on relevant topics outside of meetings.

Audit and adoption of the 2025 annual financial statements and Group financial statements

The accounts, the annual financial statements and the Group financial statements, including the combined management report, for 2025 were audited by PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft, Hamburg, which had been appointed as the auditor of the annual and Group financial statements by the ordinary Annual General Meeting held on 29 April 2025. The audits led to an unqualified audit opinion being issued in each case.

The financial statement documents and the audit reports, together with all appendices, were sent to all members of the Supervisory Board prior to the meetings. The auditor of the annual financial statements initially reported on the performance and principal findings of its audit to the Audit Committee at the latter's meeting held on 17 March 2026. On this basis, and on the basis of its own review, the Audit Committee discussed the results in detail with the auditor. The Chairman of the Audit Committee informed the Supervisory Board of the outcome of its deliberations in the Audit Committee at the Supervisory Board meeting held on 18 March 2026. The auditor also attended the meeting of the Supervisory Board and reported on the main results of its audit. On the recommendation of the Audit Committee, the Supervisory Board finally approved the results of the audits, after examining the

reports of the auditor and in-depth discussion and concluded that no objections could be raised even after the final result of the own investigations. The Supervisory Board approved the 2025 annual financial statements drawn up by the Management Board, meaning that they have been formally adopted, and approved the 2025 Group financial statements. It also approved the Report of the Supervisory Board for the 2025 financial year.

Personnel matters

The Supervisory Board of HCOB AG, as in the previous year, comprises 18 members in accordance with HCOB's Articles of Association, namely 12 members appointed by the Annual General Meeting in accordance with the provisions of the German Stock Corporation Act (AktG) and the Articles of Association, and six members elected by the employees in accordance with the German One-Third Participation Act (Drittelbeteiligungsgesetz).

As already noted in the Report of the Supervisory Board for the reporting year 2024, Paulus de Wilt assumed the chairmanship of the Supervisory Board as planned on 1 January 2025 and Stefan Schlatermund was elected as Deputy Chairman.

Upon expiry of 31 December 2025, the Supervisory Board member Chad Leat, who was also Chairman of the Risk Committee, left the Supervisory Board. He was succeeded on 1 January 2026 by William Newton, who also assumed the chairmanship of the Risk Committee.

The Management Board of HCOB AG temporarily consisted of six members as of 31 December 2025 (previous year: four members). Since 1 January 2026, the Management Board comprises four members and is composed as follows: Luc Popelier (CEO), Marc Ziegner (CFO/Deputy CEO (since 1 January 2026)), Jens Thiele (CIO) and Reinout van Riel (CRO).

The previous CRO and Deputy CEO Ulrik Lackschewitz and the previous CIO Christopher Brody left the Management Board at the end of 31 December 2025. Jens Thiele, formerly General Representative, was appointed to the Management Board with effect from 1 October 2025 and, following a transition phase, succeeded Christopher Brody as CIO on 1 January 2026. Reinout van Riel has been a member of the Management Board since 14 November 2025 and has been CRO of HCOB AG since 1 January 2026.

The Supervisory Board would like to thank the Management Board and all of the Bank's employees for their continued considerable personal commitment and performance.

Hamburg, 18 March 2026



The Supervisory Board
Paulus de Wilt
Chairman of the Supervisory Board
of Hamburg Commercial Bank AG

Corporate Governance

All statements contained in this Corporate Governance Report reflect the situation that prevailed on 11 March 2026, in the absence of any references to the contrary.

As a non-listed company, Hamburg Commercial Bank has recognised the German Corporate Governance Code (GCGC) voluntarily since 2005. The corporate governance of Hamburg Commercial Bank (HCOB) is essentially based on the provisions of the German Stock Corporation Act (AktG), the German Banking Act (KWG) and internal rules such as the Articles of Association and the Rules of Procedure that apply to the Management Board and the Supervisory Board, as well as the Code of Conduct of Hamburg Commercial Bank. By presenting the system of corporate governance and control and with the transparent reporting on conformity to the recommendations of the Code, the aim is to strengthen the confidence that investors, customers and employees, as well as the general public, have in Hamburg Commercial Bank.

Declaration in accordance with Section 161 of the German Stock Corporation Act

In accordance with Section 161 of the German Stock Corporation Act, the Management Board and Supervisory Board of listed companies must declare annually the extent to which their management and monitoring system complies with or deviates from the recommendations of the German Corporate Governance Code. It is the Bank's aim, even as a non-listed company, to comply with the Code as far as possible. The Management Board and Supervisory Board of Hamburg Commercial Bank (HCOB) therefore voluntarily issued the following Declaration of Conformity with the GCGC in March 2026 and disclosed deviations from the recommendations of the Code.

Declaration of conformity

The current version of the German Corporate Governance Code, which entered into force on 27 June 2022 when it was published by the Federal Ministry of Justice and Consumer Protection in the official section of the German Federal Gazette, restricts the applicability of the Code's recommendations to credit institutions such that the recommendations only apply to them to the extent that there are no statutory provisions to the contrary. Hamburg Commercial Bank's last declaration of conformity was issued on 26 March 2025.

The Management Board and Supervisory Board of Hamburg Commercial Bank declare that Hamburg Commercial Bank has complied with the recommendations of the GCGC with the exception of the aspects listed below:

According to Recommendation B.2, the Supervisory Board together with the Management Board shall ensure that there is long-term succession planning; the approach shall be described in the Corporate Governance Statement.

The Supervisory Board, on which all of HCOB's institutional private investors are represented and an appropriate number of independent shareholder representatives are members, works together with HCOB's Management Board to ensure long-term succession planning; there is no description of the procedure in the Corporate Governance Statement.

According to recommendation B.3, the first-time appointment of Management Board members shall be for a period of not more than three years.

The Supervisory Board appointed Mr. Luc Popelier in 2024 as a new member of the Management Board and CEO with effect from 1 September 2024. The agreed term of the CEO's employment contract provides for sufficient staggering of the terms of service of the individual members of the Management Board and thus strengthens continuity within the Management Board of HCOB. This principle was continued to be observed by the Supervisory Board in 2025 when appointing the new members to the Management Board, Mr. Jens Thiele and Mr. Reinout van Riel.

According to Recommendation B.5, an age limit shall be specified for members of the Management Board and stated in the Corporate Governance Statement.

To date, no age limit has been specified and no corresponding information is provided in the Corporate Governance Statement. The Management Board of HCOB currently has an average age of 53.

According to Recommendation C.1, the Supervisory Board shall determine specific objectives regarding its composition and shall prepare a profile of skills and expertise (competence profile) for the entire Supervisory Board. In doing so, the Supervisory Board shall take into account the principle of diversity. The competence profile of the Supervisory Board shall also comprise

expertise regarding sustainability issues of importance to the company. Proposals by the Supervisory Board to the General Meeting (for the election of Supervisory Board members) shall take these objectives into account and at the same time strive to fulfil the overall competence profile of the Supervisory Board. The status of implementation shall be disclosed in the form of a qualification matrix in the Corporate Governance Statement. This statement shall also provide information about what the shareholder representatives regard as the appropriate number of independent Supervisory Board members representing shareholders, and the names of these members.

No information on the competence profile of the Supervisory Board was provided in the Corporate Governance Statement, but is included in the Sustainability Statement in HCOB's combined management report for the 2025 financial year. As part of the Supervisory Board's annual efficiency review, which was last carried out in December 2025, the Supervisory Board examined the competencies, skills and experience available on the Supervisory Board, including in relation to sustainability issues of importance to the company, and updated the competence profile (see also Sustainability Statement 2025). In the opinion of the shareholder representatives on the Supervisory Board, the number of independent shareholder representatives is appropriate. The names can be found in the Corporate Governance Report 2025.

According to Recommendation C.2, an age limit shall be specified for Supervisory Board members and stated in the Corporate Governance Statement.

According to the Rules of Procedure for the Supervisory Board, members of the Supervisory Board should generally not be older than 68 years of age at the beginning of their term of office (see Corporate Governance Report 2025). The age limit has not been published in the Corporate Governance Statement.

According to Recommendation C.3, the term of Supervisory Board membership shall be disclosed.

The curricula vitae of the incumbent members of the Supervisory Board published on the HCOB website state the start of their first term of office. Furthermore, the Supervisory Board has deliberately decided against setting a limit on the term of membership, and for this reason does not currently prepare a report on the term of Supervisory Board membership (see Corporate Governance Report 2025).

According to Recommendation D.1, the Supervisory Board shall adopt its own rules of procedure and shall publish these on the company's website.

The Supervisory Board of Hamburg Commercial Bank AG, on which all of HCOB's institutional private investors are represented, has adopted its own Rules of Procedure. The Rules of Procedure for the Supervisory Board are part of HCOB's written rules. The Rules of Procedure for the Supervisory Board are not published on the website of Hamburg Commercial Bank AG.

According to Recommendation D.2, the Supervisory Board shall form professionally qualified committees depending on the specific circumstances of the company and the number of its members. The respective committee members and the committee chairperson should be named in the Corporate Governance Statement.

The names of the Supervisory Board committees and the respective committee members as well as the committee chairperson can be found in the notes to the annual financial statements and the notes to the consolidated financial statements for 2025. This information is also published on the HCOB website. It is not published in the Corporate Governance Statement.

According to Recommendation D.4, the Supervisory Board shall form a Nomination Committee composed exclusively of shareholder representatives, which nominates suitable candidates to the Supervisory Board for its proposals to the General Meeting for the election of Supervisory Board members.

The Nomination Committee of the Supervisory Board of HCOB currently consists of three shareholder representatives and one employee representative. Nevertheless, in accordance with the Rules of Procedure for the Supervisory Board, only the shareholder representatives on the Nomination Committee propose suitable

candidates to the Supervisory Board for its election proposals to the General Meeting.

According to Recommendation D.7, in the Report of the Supervisory Board shall be noted how many meetings of the Supervisory Board and the committees were held in person or as video or telephone conferences and how many meetings of the Supervisory Board and the committees the individual members attended in each case.

The number of meetings attended by individual Supervisory Board members is not listed in the current Report of the Supervisory Board. The members of the Supervisory Board all attended the meetings of the Supervisory Board and the committees with only very minor and well-justified exceptions. The ordinary meetings in 2025 were mainly held in person with the option of participating via video conference.

According to Recommendation D.12, the Supervisory Board shall assess, at regular intervals, how effective the Supervisory Board as a whole and its committees fulfil their tasks. The Supervisory Board shall report in the Corporate Governance Statement, if (and how) the self-assessment was conducted.

The Supervisory Board of HCOB regularly assesses the efficiency of its work as a whole and that of its committees (see Corporate Governance Report and Report of the Supervisory Board 2025). No report is made in this regard in the Corporate Governance Statement.

According to Recommendation F.2, the consolidated financial statements and the Group management report shall be publicly accessible within 90 days of the end of the financial year and the mandatory interim financial information within 45 days of the end of the reporting period.

Hamburg Commercial Bank made the consolidated financial statements and the Group management report for the 2024 financial year publicly available within the recommended period (27 March 2025). The interim report for 2025 was only just not publicly accessible within the recommended period (21 August 2025).

Hamburg Commercial Bank has complied with the recommendations of the German Corporate Governance Code insofar as this is appropriate for a non-listed stock corporation.

Hamburg, 18 March 2026



For the Management Board
Luc Popelier



For the Supervisory Board
Paulus de Wilt

Supervisory Board

Composition
In accordance with the Articles of Association, the Supervisory Board of Hamburg Commercial Bank currently consists of 18 members. In line with the one-third participation system, the Supervisory Board is composed of 12 shareholder representatives and six employee representatives.

The Supervisory Board has specified concrete objectives for its composition in its Rules of Procedure. Based on these Rules of Procedure, the following aspects are to be taken into account: the company's international activities in the context of the company-specific situation, preventing potential conflicts of interest, the number of independent Supervisory Board members, the setting of an age limit for Supervisory Board members and a standard limit for the term of Supervisory Board membership, as well as diversity. The latter objective shall, in particular, provide for an appropriate degree of female representation. Information on the ratio of women can be found in the Corporate Governance Statement pursuant to Section 289f (4) of the German Commercial Code (HGB) in the combined management report of HCOB. Further information on diversity can be found in the combined management report, especially in the Sustainability Statement.

The Supervisory Board of Hamburg Commercial Bank has deliberately refrained from setting a limit on the term of membership of the Supervisory Board. The Supervisory Board considers it difficult to determine an ideal term of membership and consequently to define this sort of standard limit. This is also because the Supervisory Board considers it important to be able to retain existing expertise on the Supervisory Board in HCOB's future positioning.

With regard to Recommendation C.6 GCGC, the Supervisory Board is to include what it considers to be an appropriate number of independent members from the group of shareholder representatives, thereby taking into account the shareholder structure. Within the meaning of this recommendation, a Supervisory Board member is considered independent if he/she is independent from the company and its Management Board, and independent from any controlling shareholder. As of 31 December 2025, four of the 12 shareholder representatives on the Supervisory Board were classified as independent: Paulus de Wilt, Klaus Heinemann, Chad Leat and Sylvie Matherat. Mr. Chad Leat left the Supervisory Board with effect at the end of 31 December 2025. Mr. William Newton joined the Supervisory Board as a new independent member as of 1 January 2026. The shareholder representatives on the Supervisory Board consider the number of independent shareholder representatives to be appropriate.

Procedure
The Supervisory Board has issued Rules of Procedure for itself and its committees. It has also set out Rules of Procedure for the Management Board. The Supervisory Board appoints, monitors and advises the Management Board and is involved in fundamental decisions made by the Bank. The Management Board informs the Supervisory Board regularly and in good time of the proposed business policy and other fundamental matters during the meetings and also orally, particularly in conversations between the Chairman of the Management Board and the Chairman of the Supervisory Board.

Section 25d (11) sentence 2 no. 3 of the German Banking Act (KWG) requires the Supervisory Board to evaluate the structure, size, composition and performance of the Management Board and Supervisory Board on a regular basis, at least once a year. For this purpose, the Supervisory Board, as in the previous year, used questionnaires not only to evaluate various aspects of its own work, but also to evaluate the work of the Management Board. The efficiency review conducted at the end of 2025 revealed that the Supervisory Board is satisfied with the efficiency of its activities as a whole.

In order to ensure that the Supervisory Board always has up-to-date technical and specialist expertise, training courses are held for the Supervisory Board both when new Supervisory Board members are appointed and on special topics. Further information on the contents of the training can be found in the Report of the Supervisory Board.

Other mandates
In order to be able to perform their Supervisory Board duties properly, the Supervisory Board members have to devote sufficient time to these activities. This means that the individual Supervisory Board members can only have a limited number of other duties over and above their Supervisory Board activities for HCOB. The Supervisory Board members of Hamburg Commercial Bank have the following number of other Supervisory Board mandates at other companies:

Supervisory Board member	**Number of other mandates** (as of 11 March 2026)
Manuel González Cid	2
Frederick Haddad	3
Manuel Lagares Gómez-Abascal	2
Sylvie Matherat	3
Maren Tina Matthies	1
William Newton	2
Sally Rocker	2
Mag. Friedrich Spandl	1
Katrin Waechter	1
Mark Werner	3
Peter Yordán	2

Detailed information on the activities of HCOB's Supervisory Board in 2025 can be found in the Report of the Supervisory Board.

Remuneration
The remuneration of Supervisory Board members is disclosed individually in the notes to the annual financial statements and in the notes to the consolidated financial statements.

Management Board

Composition
In March 2026, the Management Board of Hamburg Commercial Bank consists of four members and is divided into the following areas of Board responsibility: CEO (Chief Executive Officer), CRO (Chief Risk Officer), CFO (Chief Financial Officer) and CIO (Chief Investment Officer). When selecting new Management Board members, the Supervisory Board must adhere to the relevant legal requirements. The German Corporate Governance Code expects the appropriate consideration of women in particular. The German Banking Act requires the consideration of balance and diversity regarding the knowledge, skills and experience of all Management Board members. The Rules of Procedure for the Supervisory Board also contain requirements that the Supervisory Board and/or the Nomination Committee must take into account when identifying applicants to fill the Management Board. This means that the Supervisory Board assesses the position to be filled on the Management Board on a case-by-case basis and selects the members of the Management Board on the basis of an individual requirement profile, taking into account the requirements of the respective position and the competencies already represented on the Management Board.

Procedure
The Management Board is responsible for the management of the Bank and works with Hamburg Commercial Bank's other corporate bodies and with the employees' representatives on a basis of mutual trust in the Bank's best interests. It defines the Bank's strategic alignment in consultation with the Supervisory Board. The Chairman of the Management Board represents the Management Board as a collegial body, presides over its meetings and coordinates its work. The Management Board largely met once a week during the period under review. The members of the Management Board are jointly responsible for running the Bank's business. Their duties and responsibilities are laid down in the Rules of Procedure for the Management Board, which are complemented by the business allocation plan.

Other mandates in management or supervisory functions
One member of the Management Board is a member of the Supervisory Board of a subsidiary of the Bank. Other than that, the members of the Management Board do not exercise any management or supervisory functions in other companies.

Remuneration
Information on the remuneration system and the remuneration of the members of the Bank's Management Board can be found in the notes to the annual financial statements and the notes to the consolidated financial statements.

Shareholders, Annual General Meeting

The shareholders of Hamburg Commercial Bank exercise their rights at the Annual General Meeting. The Annual General Meeting is held once a year and is convened by the Management Board, stating the agenda and enclosing the necessary reports and documents.

The Annual General Meeting in 2025 was held on 29 April 2025. The Annual General Meeting dealt with the legally required agenda items for an Annual General Meeting.

According to Principle 24 of the GCGC, the Annual General Meeting should generally resolve on the approval of the remuneration system submitted by the Supervisory Board in an advisory capacity and on the approval of the remuneration report for the previous financial year in a recommendatory capacity. As a non-listed company and given that HCOB's institutional private investors are represented on the Supervisory Board, the Bank opts not to address the remuneration report and the remuneration system for the members of the Management Board resolved by the Supervisory Board at the Annual General Meeting.



Combined Management Report

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Information on the combined management report
To improve the clarity of presentation, the management reports of Hamburg Commercial Bank AG and the Hamburg Commercial Bank Group have been combined in accordance with Section 315 (5) of the German Commercial Code (HGB) in conjunction with Section 298 (2) HGB. The management report contains the Sustainability Statement for Hamburg Commercial Bank AG and for the Hamburg Commercial Bank Group, which have also been summarized in accordance with Section 315b (1) HGB in conjunction with Section 298 (2) HGB. The annual and Group financial statements of Hamburg Commercial Bank (including the combined management report) will be jointly submitted to the operator of the German Federal Gazette and published in the Company Register. In addition, the annual and Group financial statements of Hamburg Commercial Bank are available on the Internet at www.hcob-bank.com. The following information in the combined management report relates to the Hamburg Commercial Bank Group as a general rule; in the event of material differences with regard to Hamburg Commercial Bank AG, separate explanations are provided. Due to rounding, slight differences may occur in totals and percentages in this report.

Basis of the Group

Business activities

Headquarters, clients, and products

Hamburg Commercial Bank (HCOB) has its headquarters in Hamburg and is organized in the legal form of a German stock corporation (AG). As a German private commercial bank and specialized lender, HCOB offers tailor-made financing solutions for its often long-standing business customers in its home market of Germany and in Europe. The Bank is involved in commercial real estate financing, the financing of shipping clients, project financing (with the energy and infrastructure business areas), and business with corporate clients. HCOB offers its clients a broad range of products, which includes individual and customized financing solutions as well as suitable hedging instruments for their interest rate, currency, liquidity and risk management.

The Bank also offers digital products and services that enable reliable and prompt payment processing in Germany and abroad (payment services) as well as trade finance. HCOB is guided by established ESG criteria and has firmly integrated sustainability aspects into its business model. In this way, HCOB supports its customers in the transition to a more sustainable future.

Segments and locations

HCOB's operating business activities are divided into four lending-oriented segments, Real Estate, Global Transportation, Project Finance, and Corporates (collectively referred to as "Lending Units"), as well as the Treasury & Group Functions segment, which includes the capital market activities as well as with the staff and service functions. The Global Transportation segment includes the activities in the Shipping and Aviation areas. The Aviation business area was sold in 2025 as part of the strategic focus. Further information on the strategic focus undertaken in the first half of 2025 can be found in the "Objectives and strategy" section of this chapter. The structure of the segments, a description of the business areas they contain, and the business strategies pursued in the segments are described in this chapter in the section entitled "Strategic direction for the segments". The "Segment results" section in the economic report contains explanations on the development of results in the segments.

The Bank has branches abroad, namely in London, Luxembourg, and Piraeus, and a representative office in Amsterdam. In the Piraeus branch and the representative office in Amsterdam, the Bank serves international shipping customers. The focus of the branch in London is on sales in the areas of Corporate Lending (international) and Project Finance. The London branch is currently also responsible for sales in the international real estate business, which will be discontinued in future as part of the strategic focus. In the Luxembourg branch, the emphasis is on business management in the Corporate Lending (international) and Structured Portfolio Finance business areas. The subsidiary Klarphos, S.àr.l., which provides asset management services, is also based in Luxembourg. The Aviation business area, which was discontinued in 2025, was managed from the branches in London and Luxembourg. In Germany, the Bank has offices not only in Hamburg, but also in Berlin, Düsseldorf, Kiel, Frankfurt am Main, Munich, and Stuttgart. The international branches listed above make a significant contribution to the Bank's strategic focus.

Equity holdings and scope of consolidation

In addition to the parent company HCOB AG, the scope of consolidation for the consolidated financial statements comprised 14 fully consolidated subsidiaries as at the reporting date (December 31, 2024: 13). There was one addition to the group of fully consolidated companies in the reporting period. There were no disposals.

The addition relates to the company Pemberton Volkspark Unlevered Direct Lending Fund, SCSp (Pemberton), which was founded during the reporting year and is based in Luxembourg. Pemberton is a special fund (loan fund) whose primary business purpose lies in providing senior secured debt, with a focus on borrowers from Northern and Western Europe.

Further details on the aforementioned change in the scope of consolidation, which had no material effect on the Group's net assets, financial position, and results of operations, can be found in Note 3 "Scope of consolidation" in the notes to the consolidated financial statements.

Ownership structure

Since November 28, 2018, HCOB has been owned by renowned, globally active, institutional private investors that have a high level of expertise in the banking business, in particular. The ownership structure as at December 31, 2025, was as follows (percentages rounded):

Ownership structure

<table>
<tr><td rowspan="3">Several funds initiated by
Cerberus Capital Management, L.P.</td><td>Promontoria Lux Holding 221 S.à r.l.
9.21 %</td><td rowspan="3">39.61 %</td></tr>
<tr><td>Promontoria Lux Holding 231 S.à r.l.
12.94 %</td></tr>
<tr><td>Promontoria Lux Holding 223 S.à r.l.
17.46 %</td></tr>
<tr><td>A fund advised by
J.C. Flowers & Co. LLC</td><td>JFC IV Neptun Holdings S.à r.l.</td><td>32.77 %</td></tr>
<tr><td>A fund initiated by
Golden Tree Asset Management LP</td><td>Golden Tree Asset
Management Lux S.à r.l.</td><td>11.75 %</td></tr>
<tr><td>Centaurus Capital LP</td><td>Chi Centauri LLC</td><td>7.04 %</td></tr>
<tr><td colspan="2">BAWAG P.S.K.
(including P.S.K. Beteiligungsverwaltung GmbH)
Bank für Arbeit und Wirtschaft und Österreichische Postsparkasse Aktiengesellschaft</td><td>2.35 %</td></tr>
<tr><td colspan="2">HCOB
Members of the governing bodies and senior management of the Bank
(since Nov. 2018, active and inactive members)</td><td>6.49 %</td></tr>
</table>

Management Board of Hamburg Commercial Bank AG

The Management Board of HCOB AG temporarily consisted of six members as at December 31, 2025. Since January 1, 2026, the Management Board consists of four members and is composed as follows: Luc Popelier (CEO), Marc Ziegner (CFO), Jens Thiele (CIO), and Reinout van Riel (CRO). In addition to his role as CFO, Marc Ziegner has been appointed Deputy CEO with effect from January 1, 2026.

The former CRO and Deputy CEO Ulrik Lackschewitz and the former CIO Christopher Brody have resigned from their Management Board positions with the consent of the Supervisory Board with effect from the end of December 31, 2025, and have left the Management Board.

Jens Thiele, formerly HCOB's general representative, was appointed to the Management Board with effect from October 1, 2025, and, after a transition phase, succeeded Christopher Brody as CIO on January 1, 2026. He is responsible for the Bank's client business. Reinout van Riel has been a member of the Management Board since November 14, 2025, and has held the position of CRO since January 1, 2026.

The early appointments of a new CRO and CIO, against the background of expiring mandates, aims to ensure a stable management structure and continuity in a phase of strategic focus. Further information on the members of corporate bodies is set out in Note 57 (Related parties).

Deposit Protection Fund

Hamburg Commercial Bank AG has been assigned to the Compensation Scheme of German Private Banks (Entschädigungseinrichtung deutscher Banken GmbH, EdB) since January 1, 2022. EdB is entrusted with the task of acting as the statutory compensation scheme for all CRR credit institutions assigned to it. The EdB generally protects deposits up to € 100,000 per Hamburg Commercial Bank AG depositor.

Since January 1, 2022, HCOB has also voluntarily participated in the Deposit Protection Fund of the Association of German Banks (Einlagensicherungsfonds des Bundesverband deutscher Banken e.V.) (ESF). In accordance with its By-laws, the ESF protects deposits of certain HCOB customers, subject to the exceptions provided therein. Protected deposits are essentially demand, time and savings deposits that have been accepted at a domestic head office or branch office.
In the Deposit Protection Fund, the following protection ceilings per creditor have applied since January 1, 2025:

- For natural persons and foundations with legal capacity, these apply irrespective of the term of the deposit: € 3 million (from January 1, 2030: € 1 million).
- For non-financial companies, non-profit organizations, associations and non-profit professional organizations, and other creditors referred to in Section 6 (3) of the By-laws of the Deposit Protection Fund: € 30 million (from January 1, 2030: € 10 million).
- The maximum amount of the protection ceiling in any case is 8.75 % of the Bank's own funds according to the calculation under the ESF By-laws.

For deposits protected until the end of December 31, 2022, the protection ceilings applicable at that time shall generally continue to apply until the deposit matures, is rolled over or can be cancelled by the customer for the first time, or is transferred to a foreign branch or branch office. For deposits established or rolled over after December 31, 2022, the relevant new protection ceilings shall apply as of the above cut-off dates.

The compensation shall be based on the protection ceiling which has been notified to the Bank as the result of the assessment made by the Auditing Association of German Banks (Prüfungsverband deutscher Banken e.V.) and which is available on the internet at www.bankenverband.de. The protection ceiling shall be notified to the customer by the Bank on request. Not protected are, in particular, deposits of financial firms, public authorities including regional and local authorities, deposits that have arisen in connection with money laundering or terrorist financing, and bearer bonds. For non-financial companies, non-profit organizations, and associations, the deposits with a term of more than twelve months and liabilities from promissory notes loans, registered bonds, and comparable debt instruments under foreign law shall not be protected.

Liabilities of banks that were protected until the end of December 31, 2022, in accordance with Section 6 of the version of the By-laws of the Deposit Protection Fund registered with the Register of Associations (Vereinsregister) on November 18, 2021, shall generally continue to be protected as provided for thereunder. Departing therefrom, liabilities of Hamburg Commercial Bank AG that existed before October 1, 2017, shall not be grandfathered, as the Bank was not a member of the ESF at that point in time. After December 31, 2022, the grandfathered status shall cease to apply as soon as the liability concerned falls due, can be terminated or otherwise reclaimed, or if the liability is transferred by way of singular or universal succession or is transferred to a foreign branch.

External influencing factors and processes

The following aspects are of particular relevance to HCOB's business: the development of geopolitics/the economy and the financial markets (including interest rate levels, inflation, EUR/USD exchange rate changes), developments in the relevant sectors such as the real estate market and shipping, regulatory requirements and discretionary decisions by the supervisory authorities, and assessments by rating agencies and capital market participants and other stakeholders, such as the Association of German Banks (BdB).

HCOB has defined processes within its business organization that form the basis for operating and managing the Bank as well as for its internal control system. Along the value chain, these processes can be divided into management, value creation and support processes. Key management processes include the strategy process and the processes within risk management and Overall Bank management. The latter include the integrated planning process as well as the Bank's income and cost management. The management processes are followed by the value creation processes, which primarily comprise the sales process, the lending business (including new lending business and loan portfolio management), and the Bank's capital market activities. The key support processes include processes in payment transactions, IT (including information security), and processes in compliance, human resources, legal, and tax.

Objectives and strategy

The overarching strategic objective of HCOB is to continuously develop its sustainably profitable and consistently customer-centric business model and thereby create real added value: for its customers, for the Bank, for its employees, for its shareholders, and for society. For HCOB, sustainably profitable means executing transactions that generate stable long-term returns – clearly above the cost of capital and always in an appropriate relation to the risk assumed. This aspiration is the basis for reliable value creation, high capital efficiency, and a sustainably strong position in the market. In this way, HCOB ensures that it generates sustainable values today and in the future, acts responsibly, and serves as a reliable partner for its customers. Information on the Bank's medium-term financial targets can be found below in this section under "Financial targets".

Strategic approaches and values

In view of the demands placed on the Bank by a dynamically changing banking environment, Hamburg Commercial Bank continues to focus on a business model that is viable and agile in the long run based on the following strategic approaches and values:

- **Customer-centric approach – franchise focus:** Customers are at the heart of HCOB's business model – consistently, with a clear focus and a clear value proposition. The Bank targets its offering specifically at companies with a relevant presence in Germany or Europe. These also include European companies with global projects and non-European companies with projects in Europe. With its franchise focus approach, HCOB pursues the ambitious goal of being the first point of contact and preferred financing partner for its customers. It aims to systematically expand the Bank's share of customer business and to offer customized solutions that support customers with implementing their strategic plans, particularly in complex situations. Along the entire value chain – from acquisition, to structuring, right through to fast and reliable transaction execution – HCOB acts in an entrepreneurial, solution-oriented and partnership-based manner. Through excellent relationship management, rapid responsiveness, and in-depth industry and market knowledge, it strives to create added value and supports its customers sustainably and proactively in the face of changing challenges. HCOB is active in key future-oriented sectors and often has decades of expertise in these areas. It leverages this know-how to optimally support customers in developing their business and to build long-term, trust-based business relationships. Its most important value drivers include reliability, speed, extensive structuring expertise, and a customer-oriented attitude.
- **Striving for efficiency:** HCOB continuously drives the optimization of its processes, technologies, and organizational structures: The clear goal here is to increase customer satisfaction and to secure its own competitiveness on a sustainable basis. In doing so, the Bank relies on data-based decisions, rapid implementation, and agile interaction across all areas of the company. These factors are key differentiating features in the market and at the same time an essential driver of excellent customer experiences. With a consistent technology-driven approach, high scalability, and strict cost efficiency, HCOB continuously strengthens its operating performance. In this way, it creates the basis for sustainable growth, streamlined processes, and reliable performance – today and in the future.

- **Resilient and balanced risk profile**: With a CET1 ratio of 16.5 % and a leverage ratio of 7.3 %, HCOB believes that the Bank's strong capital base gives it the strategic flexibility to seize opportunities decisively while managing prudently at the same time. A balanced risk profile (from Bank's the perspective), the active management of portfolio risks, and selective, high-quality growth in its core business areas form the stable foundation for this approach. Through broad diversification – across customers, sectors, regions, and asset classes – HCOB strengthens its resilience to market changes and creates the basis for sustainable performance. This robust risk profile is a key element of its business strategy and should enable the Bank to act reliably and responsibly over the long term.
- **Active talent management:** HCOB fosters a culture of excellence and places its employees at the center of this effort. Through targeted, professional talent management, the Bank not only attracts top external candidates but also promotes dedicated internal talents and offers them individual development prospects. Its guiding principle: a diverse, inclusive and highly motivated workforce that reflects the societies and cultures in which HCOB operates. This diversity is a key success factor for the Bank – it promotes innovation, strengthens collaboration, and forms the basis for sustainable success.

Opportunity management

HCOB systematically integrates new growth areas that it identifies in the strategy process. This is based on sound analyses of the macroeconomic environment, competitive dynamics, and relevant trends. In this way, the Bank identifies opportunities at an early stage and aligns its business model accordingly.

Strategic adjustments in 2025

In the first half of 2025, the Management Board decided on a clear strategic focus. This is the result of a comprehensive reassessment of the Bank's long-term positioning and is fully aligned with the overarching strategic guidelines. The key cornerstones of this focus are:

- A lower-risk, focused business model that consistently targets European franchise customers.
- A significantly more efficient organization through streamlining of structures as well as simplification and automation of processes.
- A broader and more stable refinancing structure through the targeted expansion of granular retail customer deposits covered by the Deposit Protection Fund.

Focused, lower-risk business model (Franchise focus)
In the future, HCOB will clearly align its business model with its core business in Germany and Europe. The aim is to sharpen the sustainably profitable business model, reduce complexity, and concentrate resources in value-creating areas. The focus is on those business areas in which the Bank sees long-term growth potential and has a strong competitive position – the so-called franchise business:

- Commercial real estate in Germany
- Shipping
- Project Finance (energy & infrastructure)
- Business with German corporate clients (including leasing and factoring)
- Business with international corporate clients within Europe

The core business is complemented by additional, low capital-intensive areas such as deposit management, payment transactions, and trade finance.

Withdrawal from non-strategic business areas
As part of the strategic focus, HCOB is withdrawing from business areas that no longer form part of the strategic core business, including International Real Estate, Aviation, and parts of Structured Portfolio Finance. Investments in private CLOs (collateralized loan obligations) will be discontinued, whereas public CLOs (liquid collateralized loan obligations) and loan funds will remain in order to further diversify the portfolio.

Cost and organizational optimization
The strategic focus involves a reduction in business volume and thus also in the earnings base. Accordingly, the Bank will adjust its cost structure and streamline the organization. Based on the previous HR planning, the number of full-time equivalents (FTEs) is expected to decrease by around 190 to approximately 730 FTEs by the end of 2027 (respectively January 1, 2028). This target level also applies to the end of 2028. In parallel, HCOB will optimize key processes – through simplification, further automation, and the increased use of artificial intelligence (AI).

Strengthening the refinancing structure
To further stabilize and diversify its funding, HCOB plans to cover around 25 % (approx. € 6 billion) of its refinancing needs with secured retail customer deposits within three years. This will reduce the Bank's dependence on the capital market, increase the granularity of the deposit structure, and allow it to respond proactively to the changes resulting from the ESF reform. The expansion of retail deposits strengthens the overall stability, flexibility and resilience of refinancing while at the same time reducing funding costs.

Financial targets

Based on its more focused and lower-risk business model, HCOB's medium-term target for 2028 is to achieve a return on equity after taxes of 10 %–12 %, with capital of 16 % (CET1 ratio) and net income before taxes of more than € 350 million. In terms of cost efficiency, the Bank is targeting a cost-income ratio (CIR) of around 40 % for 2028. The medium-term strategic target for the NPL ratio, which is also to be achieved in 2028, is around 2.0 %. For the definition of these key performance indicators, we refer to the "Management system" section at the end of this chapter.

Strategic direction for the segments

In the segments and business areas described below, a substantial share of customers have maintained long-standing business relationships with HCOB for at least more than ten years: approximately 66 % in Real Estate, around 41 % in Shipping (despite the shipping portfolio acquired by NIBC in 2024), and about 61 % in Project Finance. In Corporate Lending, as a core franchise component of the Corporates segment, around 64 % of customers have been with HCOB for ten years or longer.

Real Estate segment
HCOB is a renowned German real estate financier with decades of experience and broad market and client coverage. It is active in all relevant sub-segments of the commercial real estate market in Germany. The focus is on financing for the office, retail, logistics, hotel and residential (in particular rented residential portfolios) usage types. In the Real Estate segment, HCOB has a broad and diversified customer base, often with long-standing business relationships. Accordingly, the Bank's financing partners include, among others, small and medium-sized enterprises (SMEs), family offices, listed companies, institutional investors, private equity companies, funds, and project developers. In addition to its presence in Germany, the Bank currently also still has a portfolio of real estate financing abroad. This international real estate business will no longer be continued in the future as a result of the franchise focus strategy adjustment that took place in the reporting year and is to be wound down in a value-preserving manner.

The Real Estate segment mainly comprises the financing of existing properties, refurbishment projects, and – to a lesser extent – project developments in the commercial sector. Business opportunities for HCOB arise, among other things, from supporting real estate clients in their ESG transformation. HCOB's product portfolio in the Real Estate segment is characterized by tailor-made and custom-fit services, with an entrepreneurial eye for deals and transactions that offer value enhancement potential. HCOB has experienced market specialists with in-depth knowledge and a high level of structuring expertise in the field of commercial real estate financing, allowing the Bank to achieve prices that are commensurate with the risk involved.

Global Transportation segment

HCOB is one of the leading German financial institutions, with decades of experience in global ship financing. The focus is on middle-aged ship financing, along with selective financing of new ships. The composition of HCOB's shipping loan portfolio, which was strengthened in 2024 by the acquisition of NIBC's shipping loan portfolio, is characterized by a balanced mix of asset-backed and corporate financing. As part of the asset-backed financing, HCOB's strategic focus is on bilateral financing structures, although it also participates in syndicated financing. The broadly diversified portfolio mainly comprises the asset classes of bulkers, container vessels, and tankers (here predominantly product tankers, but also crude oil and chemical tankers). In addition, other ship types, such as car carriers, are financed to diversify the portfolio. The Bank operates globally in the Shipping segment, with a focus on mostly long-term cooperation with European clients with strong credit ratings, many of which are owner-managed. The business model in the Shipping business area is based on short and medium financing terms and high collateralization ratios. This improves the risk profile on the one hand and ensures that HCOB can react promptly to changing market conditions on the other. By providing financing, HCOB consciously supports its customers from the maritime industry in their transition to more sustainable business practices. A broad range of products in deposit management and international payments rounds off HCOB's offering in the Shipping business area.

The Aviation business area was discontinued during the reporting year in line with the adjusted business strategy, as aviation finance is no longer part of HCOB's core business, and the entire portfolio was sold in the fourth quarter.

Project Finance segment

In the Project Finance segment, HCOB supports global megatrends such as the energy transition and ongoing digitalization with its financing. In this segment, too, HCOB has a broad and diversified customer base on which it generates sustainable business. HCOB's customers in this segment include, among others, infrastructure/private equity funds, project developers, manufacturers, as well as utilities and independent power producers. From a geographical perspective, the Bank's financing activities focus on the Western European market including Scandinavia and the UK.

In the area of infrastructure finance, HCOB focuses its activities not only on traditional infrastructure projects, but in particular on future-oriented infrastructure sectors that offer growth potential in the coming years. These mainly include data centers, fiber-optic networks, and other digital infrastructure, which are gaining in importance due to the increasing global demand for data and the ongoing digitalization. Another focus in this segment is the financing of energy projects, primarily for renewable energies. In this context, special and future-oriented projects are also financed, such as battery storage systems and plants for energy generation from waste (waste-to-energy), district heating, and hydrogen.

The strategic business approach within this segment has recently evolved towards higher-margin, structurally more complex, diversified infrastructure projects. In this environment, the Bank can harness its significant structuring expertise and offers its customers a wide range of structured financing solutions. In doing so, the Bank acts both as sole lender and as syndicate partner. The project financing has a positive impact on the Bank's sustainability targets.

Corporates segment

In the Corporates segment, HCOB's diversification strategy is implemented through business relationships with national and international corporate clients. The focus of the Bank's business approach is on a high level of service and structuring expertise, with a focus on exposures that offer a good risk-return profile. The segment comprises the areas of Corporate Lending and Structured Portfolio Finance.

In Corporate Lending, the Bank pursues a customer-centric (franchise) approach with a high level of sector diversification and a broad range of different products. In geographical terms, the focus is on Germany, traditionally in the core region of northern Germany. HCOB has long-standing and established business relationships with many corporate clients in the SME sector, often family-owned businesses, that are based there, and also with factoring and leasing specialists. Internationally, the Bank focuses on western and northern Europe. In addition to various lending products, the product range also includes national and international payment transactions, the investment business, trade finance, and currency and interest rate hedging.

The Structured Portfolio Finance area includes structured financing that complements the traditional direct business with customers and thereby contributes to greater granularity of the loan and financial investment portfolio. These primarily comprise senior tranches of securitization transactions (collateral debt obligations, CLOs) held by the Bank as well as loans to externally managed loan funds set up for the benefit of the Bank, through which indirect financing is provided to corporate clients in North America and Europe. This is complemented by financing for funds and consumer loan portfolios. As part of the strategic business adjustments, this area was significantly reduced in the 2025 financial year. For example, the portfolio of non-publicly traded CLOs (private CLOs), which no longer form part of the core business and are therefore no longer to be continued in the future, was already significantly reduced in 2025. The liquid CLOs (public CLOs) with triple-A ratings, which were reported in the Corporates segment in the previous year, were transferred to the Treasury & Group Functions segment in the reporting year.

Treasury & Group Functions segment

Activities in the Treasury & Group Functions segment focus on the management of strategic investments (including public CLOs that were reported in the Corporates segment in the previous year) and the treasury function, including the central management of the Bank's liquidity and market price risks, the derivatives portfolio, and the management of the cover pool. Treasury & Markets also includes sales activities for capital market-related products with a future-oriented product range as well as customer support for savings banks, banks, and institutional clients.

Management system

Key value drivers and key indicator and ratio system

The Bank's management system is aimed at the integrated management of key value drivers – profitability/income, efficiency/costs, capital, liquidity, and risk – in line with the statutory requirements and the internal Strategic Risk Framework (SRF). The Bank uses a risk-adjusted key indicator and ratio system for this purpose that ensures that the Group is managed in a uniform and effective manner. The Bank is managed mainly on the basis of figures for the Group prepared in accordance with the International Financial Reporting Standards (IFRS)/the relevant prudential rules and also takes the risk limits defined in the SRF into account.

A multi-level contribution margin accounting system is also used to manage the individual business areas. Other components of the Bank management system are the strategy, planning and forecasting process, plan/actual comparisons, and the target agreement and assessment process. Further information on management is included in the risk report under "Risk management by central committee structure" and "Risk reporting and measurement systems".

Management indicators of the IFRS Group

The Bank's internal control system is based on key performance indicators relating to the individual value drivers of the IFRS Group. In the Bank's external reporting, the development of these indicators is compared, on the one hand, against the previous year and the prior-year forecast for the reporting year ("Economic report" section). On the other hand, their expected development in 2026 is also described (chapter entitled "Forecast, opportunities and risks report"). The central key performance indicators are based on the business strategy of the HCOB Group and comprise the RoE after taxes @equity, the CIR, the CET1 ratio, the NPL ratio, the LCR, and the Bank's rating. Hamburg Commercial Bank's integrated management system ensures a comprehensive view of the key value drivers to an adequate extent. The following table contains the definitions of the key performance indicators:

Definition of key performance indicators

Financial key performance indicators	
RoE after taxes @equity	RoE after taxes @equity is calculated as the ratio of Group net result to reported equity less the proposed dividend and, as a key performance indicator for the profitability/earnings value driver, it shows the annual return on equity.
CIR (cost-income ratio)	The CIR is a cost efficiency ratio that measures administrative expenses as a percentage of total income plus the other operating result.
CET1 ratio (Common Equity Tier 1)	The CET1 ratio is defined as the ratio of regulatory Common Equity Tier 1 capital to the sum of the risk-weighted assets, expressed as a percentage.
NPL ratio (non-performing loans)	The NPL ratio is based on regulatory FINREP reporting and expresses the gross carrying amounts of non-performing loans in relation to the gross carrying amounts of all loans.
LCR (liquidity coverage ratio)	The LCR represents the security provided to the Bank in the event of a short-term acute liquidity stress scenario of more than 30 days by maintaining a liquidity buffer (short-term stress test ratio). The LCR is calculated as the ratio of highly liquid assets to net cash outflows over the next 30 days.
Non-financial key performance indicators	
Rating	Credit ratings awarded by the rating agency Moody's in relation to the issuer rating (long-term).

The range of metrics used at HCOB for managing the Overall Bank extents well beyond the key performance indicators presented in this section. For example, a key internal metric used to steer and measure the performance of investments (strategic business decisions) is Shareholder Value Added (SVA). SVA expresses the profit contribution made by each individual transaction after deducting income taxes and imputed capital costs. This key figure makes the contribution that the Bank's business makes to its enterprise value transparent. The systematic focus on the SVA approach, which underpins the shift to a performance-oriented corporate culture, is aimed at achieving an optimal allocation of resources at all levels of the business, boosting enterprise value in the long term.

Further details regarding the key figures and ratios used for risk management are set out in the risk report. The ESG key figures used for internal management purposes are set out in this combined management report in the "Sustainability statement" chapter. The key figures relate to the Bank's own operations, including the upstream value chain (Corporate dimension) and/or the Bank's business activities as part of its lending and investment business (downstream value chain, Portfolio dimension).

Hamburg Commercial Bank also updated and refined its recovery/resolution plans in accordance with the statutory requirements. The recovery and early warning indicators defined in the German Recovery and Resolution Act (Sanierungs- und Abwicklungsgesetz, SAG) and by the EBA (European Banking Authority) or in the German Regulation on the Minimum Requirements for the Design of Recovery Plans for Institutions (MaSanV) are regularly monitored and assessed in order to be able, where necessary, to implement targeted measures on a timely basis.

Economic report

Underlying economic and industry conditions

MACROECONOMIC CONDITIONS

Key geopolitical and economic developments

The geopolitical situation remained tense in 2025. The war in **Ukraine** continued and was characterized by Russian attacks resulting in territorial gains. In the conflict between Israel and Hamas, the warring parties agreed on a ceasefire in October 2025, albeit a fragile one. Previously, the conflict **in the Middle East** had briefly spread to Iran, when the US attacked Iranian nuclear facilities with air strikes. Geopolitical uncertainty increased with the **tariff policy** announced by US President Donald Trump. The EU refrained from imposing counter-tariffs and a deal was reached with the US at the end of July, resulting in significantly higher US import tariffs on most EU goods. At the end of October, the US and China concluded a provisional trade agreement, which de-escalated the tariff war between the two countries.

Economic development by region

After **global growth** of 3.3 % in 2024, the International Monetary Fund (IMF) predicts that growth will slow to 3.2 % in 2025. The lower growth is attributed primarily to geopolitical uncertainty, which dampened investment and consumption, and to US tariffs, which hampered international trade. At sector level, industry was particularly affected by US tariff policy in the first half of the year, while the services sector was less affected and recorded higher growth, as reflected in the global purchasing managers' indices (JPMorgan PMIs).

After a weak first quarter (-0.6 % quarter-on-quarter, annualized), the **US economy** gained momentum over the course of the year and grew by a total of 2.2% compared to the previous year. In the first half of the year, tariffs caused considerable fluctuations in imports. Private and government consumption contributed significantly to growth over the course of the year. The labor market weakened towards the end of the year. The unemployment rate thus rose from 4.0 % in January to 4.4 % in December 2025. Inflation remained stubborn at 2.7 % (Consumer Price Index, as at December 2025).

The **eurozone** economy recorded moderate growth with 1.5 % in 2025 compared with the previous year, with foreign trade showing considerable fluctuations due to tariff-related anticipatory effects. Gross fixed capital formation and government consumption contributed positively to the rate of expansion over the course of the year. The geopolitical uncertainty, a high savings rate among private households despite moderate inflation, high real interest rates, and political instability in parts of the eurozone all meant that the contribution of private consumption to growth was low. The HICP (Harmonized Index of Consumer Prices) inflation rate stood at 2.0 % as at December 2025, meaning that the medium-term target of the European Central Bank (ECB) was reached, with the core rate at 2.3 %.

China's economic output increased by 5.0 % in 2025, thus meeting the government's growth target. Weak consumption and a continued decline in construction investment were offset by higher exports. The inflation rate hovered around zero over the course of the year, but showed an upward trend towards the end of the year (annual rate in December 2025: 0.8 %).

The **German economy** managed to grow by just 0.2 % in 2025 compared with the previous year. The first half of the year was characterized by export anticipatory effects due to the new US tariffs. Growth was driven by higher consumer spending by both private households and the public sector. In contrast, exports declined. The export sector remained under considerable pressure due to more restrictive trading conditions in the form of higher US tariffs, the appreciation of the euro, and more intense competition from Chinese suppliers. At the same time, the investment activity remained sluggish. Investment in both capital goods and construction projects was lower than in the same period of the previous year.

Monetary policy

The US Federal Reserve (Fed) lowered its target corridor for the federal funds rate in 2025 by a total of 75 basis points from 4.25 %–4.50 % to 3.50 %–3.75 %. While the first half of the year was still characterized by a wait-and-see approach due to the robust labor market and tariff uncertainty, monetary policy was eased in the second half of the year, citing weaker labor market signals and lower-than-expected price impacts from the new import tariffs. The ECB reduced its **key interest rates** step by step until early June 2025 to reach 2.00 % (deposit facility) and 2.15 % (main refinancing rate). Interest rates then remained unchanged for the rest of the year. There were differences between the central banks in terms of communication: From June 2025, the ECB signaled that it regarded itself to be in a good position at the level of interest rates reached and assessed inflation risks as balanced; any further rate moves would be reviewed on a meeting-by-meeting basis. In contrast, the Fed indicated the prospect of a further rate cut.

Long-term **bond yields** showed divergent trends in 2025: While the yield on ten-year German government bonds was 2.85 % as at December 31, 2025 (December 31, 2024: 2.36 %), yields on ten-year US Treasuries fell to 4.18 % (as against 4.58 % at the end of 2024). The markets reacted to the new US government's fiscal policy plans, particularly with regard to rising government spending and possible inflationary impacts. Fears of a recession, however, emerged time and again and were then reflected in yields. In terms of forward interest rates, the markets are not pricing in any change in the ECB's key interest rate between now and the reporting date at the end of 2026, whereas two to three interest rate cuts of 25 basis points each are being priced in for the US.

The **stock markets** in Germany and the US recorded significant gains in 2025. The DAX 40 rose by around 23 % in 2025 and the S&P 500 by around 16 %. In the first quarter, tariff policy and regulatory announcements weighed heavily on the US market, while the DAX reacted less sharply. As the year progressed, robust corporate earnings and easing concerns about inflation risks supported share prices. In the US, developments were also significantly driven by large AI technology stocks, which at times accounted for more than one-third of total market capitalization.

The **euro** traded in a range of 1.04 to 1.18 US dollars over the course of the year. In the first half of the year, it appreciated almost continuously and significantly overall. A sideways movement predominated as the year progressed. At the end of the year, the euro was quoted close to the upper end of this range (1.17 USD/EUR).

Development in the markets/sectors relevant for Hamburg Commercial Bank

Real Estate

The German **real estate markets** continued the consolidation in 2025, which begun in the previous year, with differing developments across the individual investment and letting markets. In commercial real estate, the overall investment volume was slightly below the previous year figure and thus still at a very low level by long-term standards. This applied in particular to office properties, although transaction volumes here increased noticeably. In contrast, investment volumes in retail properties hardly rose, because higher demand for specialist retail parks and shopping centers almost offset lower demand for commercial buildings and department stores. Logistics properties recorded moderate declines in investor demand.

A characteristic feature was the reluctance of institutional investors. In addition to weak economic performance and geopolitical uncertainties, their risk-averse stance also resulted from persistent liquidity problems at open-ended real estate funds. This traditionally strong group of buyers appeared significantly less frequently, while private investors with significant equity resources increasingly acted as buyers. This was reflected in an increase in transactions involving smaller and mid-sized individual properties and a decrease in the number of large-volume properties and portfolios changing hands. On the seller side, numerous project developers continued to be active as part of their consolidation process. As a result, there were still disposals of distressed properties from insolvencies as well as from restructuring and refinancing measures. However, there was also an increase in purchases made without such compelling factors. The discrepancy between the price expectations of market participants continued to narrow, but it still frequently presented an obstacle to transactions. In portfolio trading in residential properties, the investment volume declined only slightly, as portfolio streamlining by larger market participants came to an end.

On the **German office property markets,** net demand for space remained very weak in 2025; in the metropolitan areas, the volume of space let once again declined noticeably. The key factors continued to be companies' reluctance to hire new staff and the consideration of lower space requirements due to flexible working arrangements. Although completions fell, they still contributed noticeably to a marked increase in

vacancies, which was even more pronounced in the metropolitan areas. There, vacancies reached a significantly higher level, and in some cities a high level. However, as the remaining demand here was concentrated in central locations, rents generally rose significantly, while market values increased only moderately. In contrast, rents and prices fell noticeably in peripheral and secondary locations.

Net demand for space remained subdued on most **European office property markets,** but they were able to absorb new supply better than in Germany. The vacancies hardly increased, but they often remained at an elevated level, which curbed rental growth in most metropolitan areas. In some of them, however, rents rose noticeably, as demand focused on preferred locations there too. The trend in prime market values ranged from broadly stable to significant increases.

The **retail property markets** in Germany continued to be weighed down by weak consumer sentiment and a renewed acceleration in structural change in favor of online retailing. Although private consumption picked up moderately, consumers unsettled by the crises remained very cautious in bricks-and-mortar non-food retail. In contrast, online retail sales rose sharply. Store-based revenues increased only moderately, thanks to strong growth in food retail. Clothing retailers, consumer electronics retailers, and DIY and furniture stores reported stagnating to significantly lower sales. This had an impact both in inner-city and suburban locations, leading to a moderate decline in rents, which rose slightly only for specialist shops in the local supply sector. Accordingly, the market values of the latter increased noticeably, while those of shopping centers remained broadly stable and those of commercial buildings decreased slightly.

On the German **residential property markets,** rents rose due to unchanged excess demand amid a decline in construction activity. Thanks to noticeable rental growth and hardly any further increase in long-term interest rates, the prices of rented apartments rose moderately and those of owner-occupied apartments rose slightly.

On the **logistics property markets** in Germany, demand for lettings picked up in 2025 from the very low prior-year level, but it was not fully able to absorb the only slightly lower volume of completions. The associated increase in vacancies curbed rental growth; while prime rents in preferred logistics regions still rose slightly in most cases, the average rents fell marginally. Prime market values held up, while prices in secondary locations often declined moderately.

Global Transportation

The **shipping markets** remained heavily influenced by geopolitical developments in 2025. While the ongoing lengthening of important trade routes due to the impact of the Middle East conflict and the sanctions imposed against Russia had a positive effect, the trade conflicts originating in the United States caused major fluctuations in freight volumes. As a result, average charter rates for container vessels increased noticeably again compared with the high level a year earlier, while bulkers and oil tankers, after temporary setbacks, initially stabilized and then rose sharply towards the end of the year.

Despite the uncertainties resulting from the US government's volatile tariff policy, shipping companies' demand for additional **container vessels** remains high. Declines in trade between China and the United States were offset by other sales regions. Although fleet capacity continues to grow strongly thanks to numerous new deliveries and extremely low scrapping activity, vessels available at short notice remained scarce. The enormous demand for tonnage was primarily the result of major detours due to the threat posed by Houthi rebels in the Red Sea. Shipping companies also had to react flexibly to the variable US trade policy.

After weak first months of the year, **bulkers** were able to stabilize. Initially, the main burden came from developments in China. The New Year festival led to a temporary decline in demand for transport. In addition, gloomy economic prospects dampened imports of iron ore and coal. However, robust exports of steel products and reduced inventory levels subsequently led to rising demand for raw materials, which was met in particular by distant producers. Good grain harvests, strong growth in the bauxite trade, and the ongoing disruption in the Red Sea also contributed, so that charter rates, especially for large vessels, rose sharply by the end of the year. Second-hand prices remained at a significantly above-average level.

Oil tankers were able to maintain their market level after a slight setback at the beginning of the year through the end of August. The shift in trade patterns due to western sanctions imposed on Russia and the disruption of the Red Sea passage continued to provide support, with both factors increasing average transport distances significantly. In the last months of the year, the measures taken by OPEC+ had an effect, as they significantly increased their crude oil production. In contrast, the accelerated fleet growth in product tankers created headwinds.

The **global aviation industry** continued to recover in 2025. Passenger volumes continued to rise and reached new record levels, even though geopolitical tensions and declining consumer confidence had a dampening effect. The market values of used aircraft remained stable or increased slightly.

Project Finance

In 2025, **project finance volumes** in Europe (on a US dollar basis) increased significantly by 29 % compared with the previous year, with volumes in Germany exceeding the previous year level by 36 %. In this segment, the energy sector recorded both the highest number of transactions and by far the largest transaction volume. The expansion of digital infrastructure – especially fiber optic networks – continued apace in Germany and Europe during the reporting year: Although measurable progress has been made in expanding the fiber optic network in Germany, the "last mile" and customer activation remain critical bottlenecks. At the same time, the German data center market grew significantly, with capacity increasing by around 20 % versus the previous year, particularly in metropolitan areas such as Frankfurt. Across Europe, the demand for AI accelerated the capacity utilization; vacancy rates fell below 10 %, and the market was characterized by bottlenecks in power grids and rising prices.

The expansion of **renewable energies** made further progress both in Europe as a whole and in Germany during 2025, with the growth momentum in wind energy being particularly noticeable in Germany: In terms of installed (gross) output, wind power expansion in Germany amounted to 5,232 megawatts, which is 58 % above the previous year's level; this was the second-best expansion year in Germany's history and an all-time high in approved wind power capacity. In contrast, expansion in the solar segment in 2025 declined both in Europe and in Germany. According to estimates by Solar Power Europe, total installed capacity in the EU fell for the first time in the last ten years (by 0.7 %). In Germany, although total capacity increased, solar expansion was slightly weaker than in the previous year, with (net) additions of around 16.4 gigawatts.

Corporates

In 2025, the **German economy** particularly had to contend with trade policy uncertainty (US tariff policy), while still having to adapt to changing structural conditions (including high energy costs, growing competition, green transformation, demographics). The manufacturing sector was slightly less weak in 2025: the production volumes (adjusted for calendar and seasonal effects) recorded a slightly less pronounced decline (-1.3 %) than in the previous year, when production volumes had already decreased by 3.3 %. At the beginning of the year, German industry benefited from US importers bringing their purchases forward to avoid the burden of higher tariffs. However, from April onwards, economic indicators fell noticeably and only showed a more positive trend in some sectors in the second half of the year.

The gradual recovery and cautious upward trend in **Europe's** economies continued during 2025 (GDP growth in the EU countries as a whole in the third quarter of 1.6 % compared to the same quarter of the previous year). The start of the year was mainly driven by the services sector and was also supported by anticipatory effects in foreign trade in connection with US tariff policy. The improvement in lending conditions thanks to the four interest rate cuts by the ECB provided a further boost, especially as the ongoing stimulus from the EU Recovery and Resilience Facility and other EU funds along with defense projects bolstered public investment. The uncertainty triggered by geopolitical tensions and the US tariff policy counteracted this positive trend, so that economic momentum remained rather subdued. However, following an EU-US summit in July 2025, an agreement was reached on lower US tariffs on EU exports, which led to somewhat more predictability in trade policy.

The **US economy,** which was heavily influenced by US tariff policy in 2025, demonstrated remarkable resilience over the full year. The industrial production index showed a mixed trend with phases of contraction, particularly in US manufacturing, influenced by economic uncertainties and the new tariff regime, but also with stronger-than-expected increases toward the end of the year. Despite the general economic slowdown, companies in the services sector recorded solid growth in 2025, driven by robust consumer spending, technological innovation (particularly in the field of AI), and strong demand for specialized services.

Banking environment

The market environment for European banks in the 2025 financial year featured both positive and negative aspects for institutions, with the former dominating as the year progressed. Burdens included persistently high geopolitical uncertainties (especially Ukraine, the Middle East) and new concerns about an escalation of trade conflicts. The latter reached their peak at the beginning of April, when so-called Liberation Day saw the announcement of significant tariff increases by the US administration, which resulted in a loss of confidence among market participants and short-term slumps in global equity and bond markets. However, as the year went on, sentiment on the capital markets brightened noticeably. One of the reasons for the shift in sentiment, which was accompanied by a broad market recovery, was that rigid tariff rhetoric was interpreted more as a short-term shock than as a permanent reality. Shortly after Liberation Day, in order to calm the markets, the US government suspended the tariffs for 90 days and bilateral trade agreements were concluded between major economies/economic areas. The sharp rise in stock market valuations of European banks over 2025, which also benefited from takeover speculation, solid dividend payments, and share buybacks, reflected the overall positive market sentiment and certainly also the resilience of the banking sector as a whole.

With regard to the development of banks' profitability, it can generally be assumed that banks' net interest income in 2025 benefited somewhat less from external conditions than in the previous year. The reason for this was the normalization of the interest rate environment initiated by central banks at the end of 2024. This followed the sharp rise in interest rates from mid-2022 aimed at combating inflation, which had given a boost to banks' net interest income. With the return to more moderate but more stable interest rates, this tailwind diminished again. Conversely, but to a lesser extent, the fact that the yield curve steepened again in 2025 had a positive effect on interest margins and thus on banks' net interest income.

Despite the volatile macroeconomic environment, risk costs at most institutions increased only slightly, with many institutions continuing to benefit from precautionary reserves set aside in the recent past through (post-)model adjustments/overlays. From a sector perspective, the main pressure on risk costs and asset quality continued to come from the commercial real estate sector. Credit quality in corporate lending remained comparatively robust despite sluggish economic growth and the broad-based increase in corporate insolvencies. In addition to the strengthened risk management of institutions in recent years, this is likely also due to the fact that defaults in the corporates environment were concentrated in a few sectors undergoing structural change or particularly affected by high energy costs.

The trend remains unchanged that banks must continue to improve efficiency through digital transformation – in particular by scaling AI and analytics, modernizing IT, and further automating processes – in order to maintain a competitive cost base and thus safeguard their sustainable profitability.

From a regulatory perspective, the introduction of CRR III (Capital Requirements Regulation III) represented a key focal area for banks in the eurozone. CRR III is the revised European Capital Requirements Regulation that has applied in the EU since January 1, 2025. It implements the final Basel III reforms ("Basel III final" or "Basel IV") in European law and involves extensive changes for banks, particularly in the calculation of risk-weighted assets (RWA) and the regulatory capital requirements. Key amendments under CRR III include, in particular, the revision of the standardized credit risk approach (including new risk weightings and more detailed requirements for real estate-secured exposures and the use of external ratings for bank exposures), changes in the F-IRB approach (foundation internal ratings-based approach) with regard to credit risk mitigation (LGD), and the introduction of output floors as a binding lower limit, phased in gradually until 2030, for determining the risk-weighted assets.

Impact of the underlying conditions on the business of Hamburg Commercial Bank

The overall macroeconomic and industry-specific conditions described in the sections above also had an impact on the business performance of Hamburg Commercial Bank in the 2025 financial year.

The persistently subdued situation in commercial real estate financing led, among other things, to HCOB only entering into new business in the Real Estate segment on a selective basis during the reporting year, in line with its risk-aware business approach. In addition, given the market conditions, there were again new defaults in HCOB's real estate loan portfolio during the reporting year. As a result, net additions to loan loss provisions were again dominated by the Real Estate segment, in particular by Stage 3 additions for financing arrangements in default involving office properties in Germany. However, in terms of NPL volume, new defaults were more than offset by the reduction in existing NPLs. primarily through the sale of receivables and repayments after private property sales.

The significant depreciation of the US dollar against the euro in the first half of the year led to a positive FX result in the Group income statement, which supported the result from financial instruments categorized as FVPL in the 2025 financial year. To a much lesser extent, the weaker USD had a negative impact on net interest income. The depreciation of the dollar also contributed to the reduction in the Group's total assets and RWA.

The introduction of the CRR III regulations on January 1, 2025, had the expected positive effect on the level of RWA for credit risks at HCOB. The main drivers were credit conversion factor (CCF) adjustments for off-balance-sheet items, lower regulatory LGD values for financing in Shipping, Commercial Real Estate, and Project Finance, and the elimination of the scaling factor of 1.06 for the IRB risk weight.

The Bank's business performance and position are explained in detail in the following sections.

Business development – significant developments and events in the reporting year 2025

Strategic focus adopted in the first half-year – strategic adjustments already completed by year-end
The 2025 financial year was largely shaped by the strategic focus that was initiated in the first half of the year. With regard to the key cornerstones of the strategy adjustment, we refer to the explanatory information in the "Objectives and strategy" section of the previous chapter "Basis of the Group". The strategy adjustments had a significant impact across multiple dimensions of the business performance in the reporting year, including the development of the new business structure, the decrease in the Group's total assets, the development of RWA, and the one-off effects on earnings.

HCOB addressed the implementation requirements resulting from the strategy adjustments promptly and consistently by launching an internal project, which comprehensively coordinated and supported the strategic changes. All strategic initiatives had already been successfully implemented or launched by the reporting date, so the project was completed at the end of 2025, and the remaining tasks were transferred to the business organization. The key successes relate to the following aspects:

- the better-than-expected development of new business in the core business areas compared to the mid-2025 new business plan,
- the successful disposal of the aviation portfolio,
- the faster-than-expected and value-preserving reduction in the other business areas that no longer form part of the core business,
- the implementation progress regarding the staff reduction, and
- the development of a proprietary platform for retail deposits, which is scheduled to go live at the end of the first quarter of 2026.

The above aspects are explained in more detail in the following sections, supplemented by other material developments in the past financial year:

New business focused on European franchise customers – margin development in line with expectations – prolongations below the level of the same period of the previous year
In line with the strategic focus, new business was concentrated on European franchise customers in HCOB's core business areas. In a highly competitive market environment, HCOB was able to contract a total gross volume of new business (which excludes all prolongations of existing credit facilities) of € 5.0 billion during the course of 2025. As a result of the deliberate discontinuation of new business in the business areas that are no longer to be pursued (International Real Estate, Aviation, and large parts of the Structured Portfolio Finance area assigned to the Corporates segment), the overall new business volume was below the 2024 figure (€ 6.1 billion). In the core business areas, new business remained at the previous year's level, totaling € 4.9 billion. In project finance and in business with national corporate clients, transactions were noticeably above the level of the comparative period, while new business in national real estate was subdued. New business profitability, measured by RoE after taxes, was also consistent with expectations across all asset classes. The volume of prolongations was lower than in 2024 due to lower prolongations with real estate clients. Further information on the development of new business in the individual lending units can be found in the "Segment results" section.

Disposal of the aviation loan portfolio
After a multi-stage bidding process that attracted broad market interest, HCOB reached an agreement in October 2025 on the sale of its aviation loan portfolio to Deutsche Bank. Closing of the transaction took place at the end of October 2025. The portfolio sold exclusively comprised performing loans, with a total volume of approximately USD 450 million. The transaction, which was executed in connection with the discontinued aviation finance business, represented an important milestone within the planned divestment activities, and contributed positively to the total income for the reporting year.

Total assets down by 15 % – decline attributable to loans and advances to customers as a result of strategic focus – refinancing requirements lower as a result

The Group's total assets decreased significantly over the past twelve months by around 15 % from € 33.6 billion to € 28.6 billion. The decline is mainly attributable to loans and advances to customers, which decreased by 17 % from € 20.6 billion to € 17.0 billion. The key factors behind this were the focus of new business on the core business areas, the faster-than-expected reduction of the non-strategic assets (including the aforementioned sale of the aviation portfolio), and a continued conservative business approach in national real estate. In addition, the weaker US dollar and the high level of repayments, driven by the surplus liquidity partly seen on the market, had a negative impact on carrying amounts. On the liabilities side, the lower refinancing requirements were reflected in a decline in customer deposits, which had grown strongly in recent years, and in deposits from credit institutions and debt securities issued. In contrast, in line with the funding strategy, the volume of retail deposits generated via the third-party platform "Raisin" increased.

Implementation of the staff reduction

In order to adjust the Bank's cost base to the reduction in business volume associated with the franchise focus, a staff reduction was decided on in the first half of 2025. Based on the previous HR planning, this includes a reduction in the number of employees in the Group by 190 full-time equivalents (FTEs) to a target level of approximately 730 FTEs by the end of 2027. As already mentioned in the half-year financial report, after constructive negotiations with the employee representative bodies, a reconciliation of interests and a social plan were already adopted in June 2025.

On this basis, contractual agreements for leaving the Bank were concluded with employees in the second half of the year up to the reporting date, which in total account for around 80 % of the envisaged staff reduction. As at December 31, 2025, the Group still employed 868 FTEs (as at December 31, 2024: 934 FTEs, figures include the Management Board in each case). The remaining staff exits will take place successively in 2026 and 2027, and in isolated cases only in the first quarter of 2028. The anticipated costs associated with the staff reduction have been fully recognized in the consolidated financial statements.

Development of proprietary retail platform

As part of its adjusted funding strategy, HCOB launched a new initiative in the retail customer deposit business. The aim of this initiative was to develop a proprietary online platform through which retail customers, initially in Germany, can open deposit accounts directly with the Bank. This funding platform is designed to supplement the indirect deposit business established in 2024 via the internet-based platform "Raisin".

The development of this platform, which was carried out in cooperation with an established online broker, made significant progress in the second half of 2025, so that the market launch/go-live under the name "Hamburg Direct Bank" is envisaged in the first quarter of 2026.

Profitability: Solid operating business development – strategic focus reflected in net interest income due to volumes reduction and in administrative expenses and income taxes due to one-off effects

The earnings situation was characterized by a solid operating business performance and the improved other operating result in comparison with the prior year, which benefited from positive one-off effects, and it was also shaped by the strategic business adjustments.

The inevitable decline in the balance sheet volume (see above) associated with the strategy adjustment was reflected in net interest income, which, at a net interest margin (NIM) in the Group of 217 basis points (previous year: 234 basis points), was 11 % below the previous year's level. As a result, total income decreased by 5 % despite an improved FVPL result. In addition, two further material burdens on earnings arose in the 2025 financial year in the form of one-off effects from the strategic business adjustments: On the one hand, the one-off costs of the staff reduction had a noticeably negative impact on administrative expenses. On the other hand, income tax expense was substantially higher than in the same period of the previous year due to the required remeasurement of deferred tax assets on loss carryforwards. The latter led to a reduction in the Group net result in the 2025 financial year to € 165 million (previous year: € 228 million) despite an increase in the pre-tax result owing to the improved other operating result. This economic report contains more detailed information on the development of the earnings position in the sections on "Group development" and "Earnings".

Normalization of capital resources: The Management Board and Supervisory Board of HCOB AG are proposing to the Annual General Meeting that the accumulated profit under HGB for 2025 of € 1,256 million be paid out as dividends.

As part of the adjusted franchise focus corporate strategy, the Management Board also reviewed the distribution policy again in June 2025. Based on this strategy, the Bank is now aiming to further normalize its capital buffers, initially at the level of CET1 capitalization of at least 16.5 % at the end of 2025, while at the same time reducing credit and liquidity risk by reducing non-strategic business activities as set out in the current business plan. The normalization of these capital buffers is to be achieved by distributing the accumulated profit under HGB for the 2025 financial year to the shareholders of HCOB AG in 2026.

In its annual financial statements in accordance with HGB, HCOB AG reports net income for the year of € 998 million for the 2025 financial year. In addition, the Management Board and the Supervisory Board of HCOB AG withdrew an amount of € 257 million from other retained earnings, resulting in a net accumulated profit under HGB of around € 1,256 million. The main driver for the net profit for the year under HGB, which is very high compared with the consolidated results under IFRS, is the releases from the fund for general banking risks in the amount of € 750 million. For more detailed information on the earnings situation according to the German Commercial Code (HGB), please refer to the chapter "Comment on the annual financial statements of Hamburg Commercial Bank AG in accordance with the German Commercial Code (HGB)" in this combined management report.

In accordance with the distribution policy adopted in the reporting year, the Management Board and the Supervisory Board will propose to the Annual General Meeting envisaged in March 2026 that the net accumulated profit under HGB shall be used for dividend payments in the amount of € 1,256 million (equivalent to around € 4.16 per share).

Risk: NPL volume 17 % lower despite new defaults due to stringent implementation of the NPL reduction plan – NPL ratio stable

As forecast at the end of 2024, the development of the NPL ratio in the past financial year was once again significantly influenced by persistently challenging overall conditions on the commercial real estate markets. Accordingly, there were again new defaults in HCOB's real estate loan portfolio during the reporting year. However, these new defaults were more than offset by the reduction in existing NPLs in the Real Estate segment. The decline in the NPL volume in the Project Finance segment also had a positive effect, meaning that the NPL volume at Group level had fallen by 17 % to € 540 million as at the reporting date (December 31, 2024: € 650 million). As the decline in the NPL portfolio was proportional to the reduction in the total loan volume, the NPL ratio remained stable year on year at 3.3 % as at December 31, 2025 (December 31, 2024: 3.3 %).

Moderate issuing activity on the capital market

The comparatively moderate refinancing requirements in line with the smaller balance sheet meant that the Bank limited its issuing activities on the capital market to one benchmark transaction in the reporting year. In January 2025, the Bank successfully placed a € 500 million senior preferred bond on the capital market, which was increased by € 250 million in July, taking advantage of a very favorable market environment from the Bank's perspective. The bond, which was awarded an "A3" rating by Moody's, has a term of five years and was placed primarily with investors in Germany, the UK/Ireland, and France. The fact that the issue was considerably oversubscribed led to attractive pricing for the Bank and once again reflects the high level of investor confidence in the Bank. The aforementioned bond has allowed Hamburg Commercial Bank to further strengthen its long-term funding and in particular broaden its international investor base. Further refinancing funds were raised through private placements, including a € 300 million floating rate bond with a two-year term.

At the end of the first half of the year, the Bank carried out a tender offer for an outstanding benchmark bond in senior non-preferred format, which was very successful with a redemption rate of over 50 %. The transaction is aimed, among other things, at managing the liquidity profile and giving investors the opportunity to sell their bond holdings at current market conditions.

Earnings, net assets and financial position

Most important key performance indicators of the Group

(%)	Actual figures 2024	Forcast for 2025 (according to Management Report 2024)	Forecast for 2025 [1] (updated as of June 30, 2025)	Actual figures 2025
RoE after taxes @equity[2]	6.2	>7 with net income before taxes of >€ 300 million	~3 with net income before taxes of € ~250 million	4.5
CIR[3]	50	<45	<50	48
NPL ratio	3.3	~3	~3,2	3.3
CET1 ratio	17.3 [4]	~17	16	16.5 [5]
LCR	216	>180	>180	204

[1] The forecasts for RoE after taxes, the CIR, the NPL ratio, and the CET1 ratio were adjusted as at June 30, 2025. The preceding column shows the original forecasts published in the 2024 management report.

[2] The RoE after taxes @equity is based on the reported equity at the beginning of the year less the proposed dividend.

[3] The CIR adjusted for one-off effects is 43 % for the 2025 financial year (2024: 42 %).

[4] The dividend payment for the 2024 financial year made in 2025 (€ 214 million) was taken into account in advance in the Common Equity Tier 1 capital.

[5] The proposed dividend payment of around € 1,256 million for the 2025 financial year was already taken into account in the Common Equity Tier 1 capital in advance; the dividend payment is subject to approval by the Annual General Meeting.

Key performance indicators below the previous year's forecast overall due to negative one-off effects from the 2025 strategy adjustment – half-year forecast overall exceeded

The development of the most important key performance indicators in the 2025 financial year was characterized by liquidity metrics remaining at a very good level and a stable NPL ratio, and was significantly influenced by the strategy adjustment decided on in the first half of the year. Thus, in addition to volume-related effects on the earnings base in 2025, the strategic focus led to significant burdens from one-off effects in the income statement items Administrative expenses and Income tax expense, which had a marked negative impact on the key performance indicators RoE after taxes and CIR. As a result, the Bank had already adjusted its forecasts for RoE after taxes (from >7 % to ~3 %) and CIR (from <45 % to <50 %) in the half-year financial report for 2025. In addition, the Bank reduced its target level for capital adequacy at the half-year from ~17 % to at least 16 % in order to reflect the lower-risk business model resulting from the strategy adjustment. At the end of 2025, these forecasts adjusted at the half-year were fully exceeded. The RoE after taxes@equity was 4.5 %, exceeding the adjusted forecast of approximately 3 %. This was primarily due to higher other operating result and lower administrative expenses and income tax expense than projected at mid-year 2025. While other operating result in the second half of the year was particularly impacted by one-off effects in the form of non-recurring income related to deposit insurance, administrative expenses benefited from lower-than-expected operating expenses (both in ongoing operations and project costs). The lower-than-expected income tax expense compared to the half-year forecast is mainly attributable to the fact that the update to the multi-year plan in December 2025 assumes a greater utilization of tax loss carryforwards than the half-year plan. The aforementioned developments in other operating result and administrative expenses also resulted in the bank slightly exceeding its updated half-year forecast for the cost-income ratio (CIR) of <50%, achieving 48 %.

In accordance with GAS 20.57, the development of the most important key performance indicators is compared below with the previous year's forecast. Measured against the latter, the key performance indicators in the 2025 financial year were below expectations overall due to the temporary effects from the strategy adjustment. In detail, the following aspects are particularly noteworthy:

- The Group net result (net income after taxes) amounted to € 165 million (previous year: € 228 million) and resulted in **RoE after taxes @equity** of 4.5 % (previous year: 6.2 %). The profitability ratio was therefore well below the original forecast, which envisaged a RoE of >7 % for the whole of 2025. The main reasons for falling short of the previous year's forecast were essentially the following aspects, which primarily result from the strategy adjustment implemented during the reporting year: In total income of € 743 million, the deliberately reduced business volume had a dampening effect on net interest income from the second half of the year, so it remained below the previous year's forecast. Administrative expenses, which were operationally below the planned figures, were significantly impacted by a one-off effect in the form of severance payments totaling € 50 million (previous year: € 18 million) in connection with mutually agreed terminations of employment contracts. As a result, total expenses amounted to € 378 million, exceeding the level forecast in the previous year. This was partly offset by the other operating result, which benefited from income from prior periods (one-off effects) totaling € 25 million and was therefore above plan. Due to the above factors, despite solid operating business performance, net income before taxes remained below the original forecast of >€ 300 million at € 289 million. In addition, the Group net result/RoE after taxes were negatively impacted to a substantial degree by the fact that deferred taxes had to be written down as part of the updated corporate planning and due to lower future tax rates. As a result, income tax expenses were significantly above the original forecast at € 124 million. For information on the individual other drivers behind the development of the income statement items, we refer to the explanatory information in the next section of this chapter, the section on "Earnings situation".
- As at December 31 2025, the **CIR** was 48 % (December 31, 2024: 50 %), which is above the prior-year forecast (<45 %). The reasons for exceeding the previous year's forecast were the lower total income in the wake of the strategic business adjustments and the negative one-off effect in administrative expenses mentioned above. Adjusted for the negative one-off effect (€ 50 million) and the positive one-off effects in the other operating result (€ 25 million), the CIR would have been 43 % despite the lower earnings base, which would have met the previous year's forecast (<45 %).
- Despite the persistently challenging conditions in the commercial real estate markets, the **NPL ratio** calculated on the basis of the FINREP requirements remained stable at 3.3 % in the reporting period (December 31, 2024: 3.3 %). This is above the previous year's forecast (3.0 %). The NPL volume was reduced by € 110 million to € 540 million (December 31, 2024: € 650 million), in line with the proportional decline in the relevant loan portfolio. The key factor here was that, during the reporting period, by consistently implementing its NPL reduction plan – primarily through sales –, HCOB was able to reduce NPLs to a greater extent than new defaults occurred. Both the reductions and the new defaults were primarily attributable to the real estate loan portfolio.
- The **CET1 ratio** was down compared to the end of the previous year (17.3 %) and stood at 16.5 % as at December 31, 2025, thus remaining below the original forecast (~17 %), in line with the updated distribution policy. The reason for the decline in the CET1 ratio was that Common Equity Tier 1 capital decreased from € 3.2 billion to € 2.2 billion as a result of the proposed dividend payment of € 1,256 million, which has already been voluntarily taken into account in the ratio. Conversely, the aggregate risk-weighted assets (RWA) also decreased significantly during the reporting period. As at December 31, 2025, these decreased to € 13.1 billion (December 31, 2024: € 18.2 billion), particularly due to lower RWA for credit risks. The main drivers here were the lower business volume in conjunction with the reduction of the non-strategic business and the resulting change in the portfolio structure (e.g. sale of aviation, lower volumes in international real estate) as well as the first-time application of the CRR III regulations (see section on underlying conditions). The depreciation of the US dollar also contributed moderately to the decline in RWA for credit risks.
- The liquidity position was managed conservatively during the reporting year in view of the uncertain global market environment (including the US tariff policy). Thus, the liquidity coverage ratio **LCR**, which measures the resilience of an institution's liquidity risk profile in a stress scenario, reached 204 % as at December 31, 2025. HCOB significantly exceeded its forecast value (>180 %) with this ratio, which is more than double the regulatory minimum requirement of 100 %. The slight decrease in the ratio compared to the good value at the end of the previous year (216 %) is based on the fact that total net cash outflows have decreased to a slightly lesser extent than the liquidity buffer.

Further details underlying the business performance are given below in the "Earnings situation" and "Net assets and financial position" sections. The development of results in the segments is presented in the chapter "Segment results".

Earnings situation

Income statement

(€ mn)	2025	2024	Change in %
Interest income from financial assets categorized as AC and FVOCI	1,430	1,711	–16
Interest income from other financial instruments	82	98	–16
Interest expenses	–840	–1,057	–21
Net interest income	**672**	**752**	**–11**
Net commission income	28	26	8
Result from hedging	–3	2	>–100
Result from financial instruments categorized as FVPL	26	–7	>100
Net income from financial investments	7	7	–
Result from the disposal of financial assets classified as AC	13	3	>100
Total income	**743**	**783**	**–5**
Loan loss provisions	–109	–95	15
Total income after loan loss provisions	**634**	**688**	**–8**
Administrative expenses	–378	–350	8
Other operating result	37	–81	>100
Expenses for regulatory affairs, deposit guarantee fund and banking associations	–4	–9	–56
Net income before taxes	**289**	**248**	**17**
Income tax expense	–124	–20	>100
Group net result	**165**	**228**	**–28**
Group net result attributable to Hamburg Commercial Bank shareholders	165	228	–28

Total income down by 5 %

Hamburg Commercial Bank generated total income of € 743 million in the 2025 financial year. This means that the earnings figure was € 40 million or 5 % lower than the previous year (€ 783 million). The decline in total income is based on the development of net interest income, which was € 80 million or 11 % lower than in 2024 in the wake of the deliberately reduced business volume and due to a decrease in the NIM. Conversely, the FVPL result improved by € 33 million versus the previous year, mainly driven by foreign exchange gains from FX margin hedging. In addition, the other items that make up total income, such as the increased net commission income and the income from the disposal of financial assets classified as AC, contributed a total of € 7 million more to total income than in 2024. Developments in the individual main items making up total income and their causes are presented below.

In the 2025 financial year, **net interest income** amounted to € 672 million, down by € 80 million (11 %) on the value for the same period of the previous year (€ 752 million). It should be taken into account that net interest income in the same period of the previous year had benefited from a € 21 million gain generated in Treasury from the sale of promissory note loans. Disregarding this effect, the decline in net interest income at Group level would have only been 8 %.

In the four lending units, net interest income totaled € 618 million (previous year: € 666 million) in a generally less favorable interest rate environment for banks, declining by € 48 million compared to the previous year. The decline was driven by lower average segment assets and a moderate reduction in the net interest margin, which fell from 345 basis points to 330 basis points. In terms of segments, the decline was concentrated in Real Estate

and Global Transportation. In the Real Estate segment, average segment assets declined significantly, driven in particular by the reduction in international business and deliberately restrained new business. In the Global Transportation segment, the decline was attributable to margin compression in Shipping (starting from the high level in 2024). In Shipping, the weakness of the US dollar had a generally negative impact on net interest income, partly offset by positive countervailing effects in the FVPL result.

Net commission income amounted to € 28 million (previous year: € 26 million). Commission income developed very positively, particularly in the guarantee business, rising by 11 % to € 49 million (previous year: € 44 million). As in the previous year, the commission expenses (€ 21 million, previous year: € 18 million) mainly relate to fees for portfolio managers of the fully consolidated loan funds and, to a lesser extent, to brokerage commissions for the provider of the external platform for retail funding. The latter increased in line with the higher volumes.

The result from **financial instruments categorized as FVPL,** which was still negative in the previous year, amounted to € 26 million (previous year: € –7 million), thus making a positive contribution to total income. The increase was driven by the foreign exchange result (mainly resulting from FX margin hedging), which was influenced by the depreciation of the US dollar against the euro, and was clearly positive particularly in the first half of 2025, whereas it had still been negative in the whole of 2024. The result from FVPL assets also contributed positively to this income statement item, although to a lesser extent than in 2024. In the reporting year, it primarily included income from debtor warrants (Besserungsscheine) in connection with legacy loans in the Real Estate and Shipping segments. In the previous year, particularly the tightening of credit spreads, which had widened sharply in 2023, led to positive valuation results on securities.

The **result from the disposal of financial assets categorized at AC** amounting to € 13 million (previous year: € 3 million) was positively influenced by the disposal of the aviation portfolio.

Loan loss provisions still shaped by Real Estate

Loan loss provisions (income statement) totaled € 109 million (previous year: € 95 million) and continued to be driven by the Real Estate segment in 2025. Besides the Real Estate segment, the year-on-year increase was also driven by higher loan loss provisions in the Corporates segment.

The earnings item shows net additions of € 89 million (previous year: € 66 million) to Stage 3 and net additions of € 23 million (previous year: € 41 million) to Stages 1 and 2 in the 2025 financial year. The result from other changes to loan loss provisions was slightly positive at € 3 million, but it was below the level of the previous year (€ 12 million) due to lower payments received on receivables that had been written off.

At Stage 3, the net additions were again predominantly attributable to the Real Estate segment (€ 58 million), although these were slightly lower than in the previous year (€ 66 million). At Group level, this decline was more than offset by net additions of € 24 million (Corporates) and € 7 million (Project Finance) in 2025 in the Corporates and Project Finance segments, which had been virtually unaffected by Stage 3 loan loss provisions in the previous year. The net additions in the Real Estate segment were attributable to defaults on office property financing in Germany (primarily for properties in need of development), which was due to persistently weak demand and lower market values. On the other hand, two financing arrangements in default involving office properties in the US resulted in a net reversal after the realization of limited losses. While one of these US financing arrangements was successfully restructured, the other has been completely eliminated through the sale of receivables. In the Corporates segment, the net additions were primarily attributable to defaults on North American loans held via loan funds, while the risk situation in the domestic area remained largely stable overall. In the Project Finance segment, an increase in provisions was required for a previous default on financing of a wind farm in Sweden.

At Stages 1 and 2 of the loan loss provisioning model, total net additions of € 23 million (including the change in model overlays) were also largely attributable to the Real Estate (€ 18 million) and Corporates (€ 12 million) segments; by contrast, the Global Transportation segment (Shipping business unit) recorded a net release of € 8 million. The net additions in the Real Estate segment were primarily based on changes in risk parameters and the resulting original loan loss provisions. All in all, these exceeded the reduction in model overlays for real estate sub-portfolios. In the Corporates segment, the net additions at Stages 1 and 2 are primarily the result of an increase in model overlays, which were recognized due to the potential economic consequences of the current geopolitical uncertainties as well as the risk of negative effects from the potential escalation of trade and tariff conflicts.

For further details, particularly on the composition and development of the model overlays, we refer to Notes 12 and 22 in the notes to the consolidated financial statements.

Administrative expenses shaped by one-off effect in personnel expenses – operating expenses lower

Administrative expenses amounted to € 378 million in the reporting period (previous year: € 350 million) and were shaped by the one-off effect in personnel expenses explained below of € 50 million. Without this one-off effect, administrative expenses would have been around 6 % lower than planned, underlining the effectiveness of HCOB's stringent cost management.

Personnel expenses came to € 217 million (previous year: € 184 million). The significant increase of € 33 million is attributable to a one-off effect. In the reporting year, expenses totaling € 50 million (previous year: € 18 million) were recognized for severance payments arising from mutually agreed terminations of employment. Adjusted for the aforementioned negative one-off effect, personnel expenses remained almost unchanged compared to the previous year. The reducing effects of changes in headcount were roughly offset by the impact of tariff and non-tariff salary increases and higher expenses for variable remuneration compared with the previous year. The savings from the staff reduction, which had already been contractually agreed by around 80 % of affected employees as at the reporting date, will only be realized gradually in the 2026 until 2028 financial years.

The operating expenses (including depreciation of property, plant, and equipment and amortization of intangible assets) amounted to € 161 million, which is € 5 million below the level in 2024 (€ 166 million). The operating expenses in ongoing operations (known as "run the bank" costs) were roughly on a par with the previous year at € 132 million (previous year: € 133 million). In this context, the higher scheduled depreciation of software and slightly higher building costs were offset by lower expenses in other cost categories, such as IT provider and legal advisory costs. The overall decline in operating expenses is primarily due to the decrease in "change the bank" costs (project costs) to € 29 million (previous year: € 33 million). Despite the expenses incurred during the reporting year for implementation of the Bank's own retail platform and for the franchise focus strategy adjustment, these costs were reduced compared with the previous year due to lower expenses for IT projects.

Other operating result positive and above plan due to income from prior periods

The positive other operating result, which was higher than planned, amounted to € 37 million (previous year: € -81 million), as other operating income (€ 68 million) exceeded other operating expenses (€ 31 million), and it was therefore a key contributor to the increase in net income before taxes versus 2024. In the reporting year, the other operating result benefited from positive one-off effects of income from prior periods totaling € 25 million. These related to the effects of the final cumulative settlement from the voluntary Deposit Protection Fund (ESF) of the Association of German Banks (BdB) for the first four years after HCOB's admission to the ESF (€ 18 million) as well as value-added tax refunds for earlier assessment periods (net € 7 million). Further positive effects resulted from the reversal of provisions.

The Bank had made a one-off payment to the ESF as well as advance payments of the annual contributions for calendar years 2022 to 2025, and had also recognized provisions. As a result of the final cumulative settlement for the first four years of ESF membership, the Bank was able to reverse the provisions recognized and record a refund, which had a positive impact on the other operating result totaling € 18 million in the reporting year.

In the previous year, the other operating result was shaped by overall negative one-off effects. In this regard, the effect of expenses in connection with legal risks (€ 107 million) could not be offset by income from an earn-out agreement (€ 17 million).

Regulatory expenses lower – no expenses for bank levy and deposit guarantee fund

The expenses for regulatory affairs, deposit guarantee fund and banking associations amounted to € 4 million in total (previous year: € 9 million), including the expenses for banking supervision incurred during the reporting year. The decrease in this income statement item is primarily due to the fact that no annual contribution to the BdB's ESF was levied for the 2025 financial year. In the previous year, the Bank had recognized expenses (advance payments and additions to provisions) for the 2024 annual contribution that, as mentioned above, were refunded or could be reversed in the reporting year. As in the previous year, no contributions were

charged for the bank levy in the 2025 financial year either, because the Single Resolution Fund (SRF) has reached its target level.

Net income before taxes noticeably above prior-year level – income tax expense materially impacted by deferred tax expense

Given the above-mentioned developments in the individual items, net income before taxes amounted to € 289 million, which is significantly higher than the prior-year level (€ 248 million).

In contrast, the income tax expense rose significantly to € 124 million (previous year: € 20 million) and was dominated by a deferred taxes expense (€ 104 million). The expense for current taxes came to € 20 million.

The deferred tax expense comprises an expense from the reversal of deferred tax assets on temporary differences (€ 28 million), as well as an expense from the reduction in deferred tax assets on loss carryforwards (€ 76 million). The reduction in deferred tax assets on loss carryforwards in the amount of € 22 million results from the update of the multi-year plan in December 2025, according to which the Bank expects to be able to use tax loss carryforwards to a lesser extent over the next five financial years than originally envisaged in the prior-year planning. An amount of € 19 million of deferred tax expenses results from the mandatory valuation adjustment of deferred tax assets and liabilities to reflect the reduced corporate tax rates in Germany in future. The legal background to this is the law for an immediate tax investment program to strengthen Germany as a business location, which was passed in the second half of the year.

Positive Group net result affected by one-off effects associated with strategic business adjustments

After income tax expenses, Hamburg Commercial Bank reported a Group net result of € 165 million for the 2025 financial year (previous year: € 228 million).

The development in the earnings situation reflects, on the one hand, the Bank's satisfactory operating business performance. On the other hand, negative one-off effects from the strategic business adjustments were recorded in the Administrative expenses and Income tax expense items.

Total income after loan loss provisions was € 54 million below the prior-year level despite improved FVPL results and results from disposals, which was primarily due to lower net interest income as a result of the deliberately reduced business volume and, in part, also to slightly higher loan loss provisions compared with the previous year. Administrative expenses increased by € 28 million year-on-year, which is solely attributable to the aforementioned special charges from severance payments. However, compared to the previous year, these developments were more than offset by the significant improvement in the other operating result (increase of € 118 million, primarily due to the absence of negative one-off effects from legal risks recorded in the previous year). Accordingly, net income before taxes of € 289 million was noticeably above the figure for the previous financial year (€ 248 million).

The decline in the Group net result by a total of € 63 million was primarily attributable to a significant and disproportionate increase in income taxes relative to pre-tax profit, amounting to € 104 million. This was mainly driven by remeasurements of deferred tax assets on loss carryforwards, which was required due to the strategic focus as part of the update of the multi-year planning and due to valuation-related adjustments related to the lower corporate tax rates in Germany in future.

Net assets and financial position

Material items on the statement of financial position

Assets

(€ mn)	2025	2024	Change in %
Cash reserve	2,461	3,085	-20
Loans and advances to banks	544	714	-24
Loans and advances to customers	17,004	20,553	-17
Loan loss provisions	-275	-347	-21
Trading assets	151	225	-33
Financial investments	7,856	8,523	-8
Deferred tax assets	393	540	-27
Remaining assets	474	339	40
Total assets	**28,608**	**33,632**	**-15**

Liabilities

(€ mn)	2025	2024	Change in %
Liabilities to banks	2,416	3,718	-35
Liabilities to customers	13,483	15,020	-10
Debt securities issued	7,250	9,128	-21
Trading liabilities	102	309	-67
Provisions	328	374	-12
Subordinated capital	895	925	-3
Equity	3,957	3,892	2
Remaining liabilities	177	266	-33
Total liabilities	**28,608**	**33,632**	**-15**

Group's total assets down by 15 %

The Group's total assets amounted to € 28,608 million at the end of the 2025 financial year, which is 15 % (around € 5.0 billion) lower than the level at December 31, 2024 (€ 33,632 million). On the assets side, the smaller balance sheet was predominantly attributable to loans and advances to customers (€ -3.5 billion), but financial investments (€ -0.7 billion) and cash reserves (€ -0.6 billion) also fell compared with the end of the previous year. On the liabilities side, the correspondingly lower refinancing requirements were primarily reflected in the decrease in debt securities issued (€ -1.9 billion), the liabilities to customers (€ -1.5 billion), and the liabilities to banks (€ -1.3 billion). In detail, the developments were as follows:

The levels of cash reserves and loans and advances to banks were adjusted to the lower balance sheet volume as part of liquidity management. Accordingly, these balance sheet items were lower at the reporting date than as at December 31, 2024.

The development of loans and advances to customers was shaped by the strategic business adjustments and the associated focus on the franchise portfolios as well as the divestment activities for the non-strategic assets. Accordingly, the receivables portfolio in the international real estate business and in Structured Portfolio Finance (Corporates segment) declined compared with the end of 2024. In addition, the aviation financing portfolio was fully divested as part of the portfolio sale completed at the end of October 2025. Furthermore, the overall high level of repayments and the significant depreciation of the US dollar against the euro had a negative effect on the carrying amount of loans and advances to customers. As a result, the balance sheet item Loans and advances to customers was down significantly (by 17 %) as at December 31, 2025, to € 17,004 million (December 31, 2024: € 20,553 million).

Total loan loss provisions (for items in the statement of financial position) fell to € -275 million (December 31, 2024: € -347 million). The decrease mainly relates to provisions at Stage 3 of the loan loss provisioning model. This fell from € 212 million to € 162 million due to the utilization of loan loss provisions in connection with the disposal of non-performing exposures, which exceeded the net additions. Stage 1 and 2 loan loss provisions decreased from € 135 million to € 113 million. The model overlays included here (€ 58 million, December 31, 2024: € 71 million) primarily address the risks from particularly cyclically sensitive corporate financing and office property financing, along with potentially adverse effects from the macroeconomic environment. Further model overlays in the amount of € 5 million (December 31, 2024: € 6 million) were recognized for off-balance-sheet items.

Trading assets fell versus the end of the previous year to € 151 million (December 31, 2024: € 225 million). The decline is, on the one hand, due to the derecognition of loans from syndication transactions that were still on the books at the prior-year reporting date. On the other hand, the carrying amounts of the positive market values of interest rate and currency derivatives decreased compared with December 31, 2024.

As at December 31, 2025, the carrying amount of financial investments came to € 7,856 million in total, a drop of 8 % compared to the prior-year reporting date (December 31, 2024: € 8,523 million). This was mainly due to the deliberate reduction of exposure in liquid CLOs in line with the strategic focus, as well as the effect associated with the depreciation of the US dollar.

At € 393 million, the deferred tax assets were also down on carrying amounts as at December 31, 2024 (€ 540 million). € 247 million of this amount relates to deferred taxes on loss carryforwards, with € 146 million attributable to deferred tax assets on temporary differences. Alongside the drop in deferred taxes due to the utilization of loss carryforwards/the reversal of temporary differences, the decrease compared to the previous year is mainly due to the recognition of the reduction in the future corporate income tax rate in Germany and the reversal of deferred taxes on loss carryforwards as part of the updated corporate planning.

At € 474 million, remaining assets were € 135 million higher than the carrying amount as at December 31, 2024 (€ 339 million). In this aggregated item, the intangible assets, the property, plant, and equipment, and the current income tax assets were largely in line with the level at the end of the previous year. The increase in remaining other assets was mainly due to the classification of a real estate financing transaction (€ 48 million) as held for sale (IFRS 5), and, in particular, the increase in the overfunding of the closed pension plan. The plan assets exceeded the pension obligations they cover by € 248 million, significantly more than at the end of the previous year (€ 161 million); the surplus is reported in the Other assets balance sheet item.

On the liabilities side, liabilities to banks amounted to € 2,416 million, more than a third (35 %) below the level at the end of the previous year (December 31, 2024: € 3,718 million). Within this item, liabilities from repo transactions and deposits from development banks, among other things, decreased.

The development of liabilities to customers also reflects the lower funding requirements in line with the balance sheet volume. As a result, the carrying amount of this item was down by 10 % as at December 31, 2025, to € 13,483 million (December 31, 2024: € 15,020 million). The drop was due, among other things, to the conscious reduction in total deposits by corporate clients. In contrast, the volume of retail deposits increased in line with the funding strategy.

Debt securities issued amounted to € 7,250 million as at the reporting date, which is 21 % lower than the carrying amount at the end of 2024 (€ 9,128 million). The reason for this development was that maturing bonds were not fully replaced by newly issued debt securities due to the lower refinancing requirements.

As at the reporting date, the trading liabilities amounted to € 102 million, noticeably down on the carrying amount at the end of the previous year (€ 309 million) as a result of lower negative market values of interest and currency-related derivative financial instruments.

Provisions were also below the previous year's level at € 328 million (December 31, 2024: € 374 million). The decrease relates to various provision categories, including other provisions (here in particular the provisions for contributions to the ESF; see also the explanations on the other operating result in the earnings situation). However, provisions for litigation risks and costs and pension provisions (for early retirement obligations and benefits) also declined compared with the previous year. They were increased by additions to restructuring provisions in connection with the staff reduction measures adopted in the reporting period. It should be noted that parts of the future payment obligations are no longer reported under provisions but as liabilities under the other liabilities as at year-end due to fixed contractual terms.

The structural composition of subordinated capital has not changed. At € 895 million, its carrying amount as at December 31, 2025, was below the level at the end of the previous year (€ 925 million), mainly due to the depreciation of the US dollar.

Despite the dividend paid out in the second quarter of 2025 (€ 214 million), balance sheet equity increased and amounted to € 3,957 million as at December 31, 2025 (December 31, 2024: € 3,892 million). The main reasons for this were the positive Group net result and the increase in other comprehensive income (OCI). The latter is due to positive valuation effects on the pension obligations/plan assets and the FVOCI assets (predominantly financial investments).

Business volume fell to a much lesser extent than the Group's total assets

The business volume (Group's total assets plus off-balance-sheet transactions) fell by 13 % from € 38,823 million (December 31, 2024) to € 33,670 million. With a change of -2 %, the drop in off-balance-sheet business was significantly less pronounced than the decline in the Group's total assets and was attributable to irrevocable loan commitments. These fell by € 205 million to € 4,273 million as at December 31, 2025 (December 31, 2024: € 4,478 million). In contrast, contingent liabilities (sureties and guarantees) increased and reached € 790 million at the end of 2025, which is higher than at the end of the previous year (€ 713 million).

Structure of liabilities by financial instruments

(€ mn)	2025		2024	
	Total	of which >1 year	Total	of which >1 year
Secured: Pfandbriefe and asset-based funding	5,605	4,035	7,744	6,206
Covered bonds (Pfandbriefe)	3,507	2,414	4,412	3,751
Other secured funding	2,098	1,621	3,332	2,456
Unsecured liabilities (senior preferred)	16,391	4,439	18,256	3,482
Unsecured liabilities (senior non-preferred)	1,153	1,114	1,866	1,730
Profit participation certificates and other subordinated liabilities	895	890	925	918
Total	**24,044**	**10,478**	**28,791**	**12,336**

The above table breaks down Hamburg Commercial Bank's liabilities by financial instrument and thereby takes into account the requirements of capital markets participants. Liabilities with a maturity of more than one year are shown separately. The financial instruments can be reconciled to the balance sheet line items Liabilities to customers, Liabilities to banks, Debt Securities Issued, and Subordinated capital.

One focal point within the context of long-term refinancing relates to securitized debt instruments (Pfandbriefe, asset-based funding). These mainly include debt instruments issued under Pfandbrief programs (mortgage, public sector and ship Pfandbrief programs) as well as other asset-based funding issues, repo transactions, and deposits from development banks. The total volume of secured debt instruments outstanding was € 5,605 million as at December 31, 2025 (December 31, 2024: € 7,744 million). The unsecured liabilities that can be classified as senior preferred and senior non-preferred include the call and fixed-term deposits, which mainly comprise deposits from corporate and retail customers, as well as other unsecured financing instruments. They totaled € 17,544 million as at the reporting date (December 31, 2024: € 20,122 million). Call and fixed-term deposits are shown together with structured unsecured financial instruments in the senior preferred category and amounted to € 16,391 million in total (December 31, 2024: € 18,256 million). The senior non-preferred category consists primarily of bearer and registered bonds that do not have any structured elements and amounted to € 1,153 million as at December 31, 2025 (December 31, 2024: € 1,866 million).

HCOB's subordinated liabilities are reported under "Profit participation certificates and other subordinated liabilities" (€ 895 million, December 31, 2024: € 925 million). As at the end of the previous year, there were no silent participations or profit participation certificates.

Capital and funding

RWA, regulatory capital, and capital ratios

	2025 [1]	2024 [2]
Risk-weighted assets (RWA) (€ bn)	13.1	18.2
Regulatory capital (€ bn)	2.8	4.1
thereof: CET1 capital (€ bn)	2.2	3.2
Overall capital ratio (%)	21.2	22.4
Tier 1 capital ratio (%)	16.5	17.3
CET1 capital ratio (%)	16.5	17.3
Leverage ratio (%)	7.3	9.0

[1] The proposed dividend payment of around € 1,256 million in 2026 was taken into account in the Common Equity Tier 1 capital in advance; the dividend payment is subject to approval by the Annual General Meeting

[2] The dividend payment made in 2025 (€ 214 million) was taken into account in advance in the Common Equity Tier 1 capital.

Normalized capital ratios in line with the distribution policy remain at a good level

As expected, the CET1 ratio decreased at the end of 2025 compared with December 31, 2024 (17.3 %) to 16.5 %, but it remained above the updated strategic target of at least 16 % set at the half-year reporting date. The decrease is due to the inclusion of the proposed dividend payment of € 1,256 million for the 2025 financial year in the Bank's Common Equity Tier 1 capital. As a result, despite the positive Group net result and the increase in OCI, CET1 capital decreased to € 2.2 billion as at December 31, 2025 (December 31, 2024: € 3.2 billion). There was an offsetting positive effect on the ratio from the significant decrease in RWA for credit risks, as a result of which the aggregate RWA declined on a year-end basis from € 18.2 billion to € 13.1 billion. The drivers here were the lower business volume in association with a changed portfolio structure, the first-time application of the CRR III framework, and the depreciation of the US dollar. The Tier 1 capital ratio and the overall capital ratio developed in line with the Common Equity Tier 1 ratio compared with December 31, 2024.

The capital ratios still exceed the regulatory requirements resulting from the SREP process very significantly. The regulatory requirements were adhered to at all times during the reporting period. Please refer to the risk report for information on the minimum banking supervisory requirements.

The leverage ratio dropped to 7.3 % compared to December 31, 2024 (9.0 %) due to the lower Tier 1 capital. At this level, the ratio remains comfortably above the average level of European banks and well above the regulatory requirement of 3%.

Distribution policy

The distribution policy was reviewed by the Management Board as part of the updated corporate strategy and planning. In its corporate planning, the Bank takes into account specific and measurable financial and non-financial objectives, always aiming to improve profitability as well as to maintain capital buffers so that the business model allows the company to continue as a going concern even under significantly adverse circumstances and creates sustainable value for the Bank's shareholders.

Based on this strategy, the Bank aims to normalize its capital buffers in the context of its distribution policy, taking into account CET1 capitalization of at least 16 %, while at the same time reducing credit and liquidity risk by reducing non-strategic business activities and improving the funding structure, as set out in the current business plan.

This implies a payout ratio of 100 % of the accumulated profit (HCOB AG in accordance with the German Commercial Code, HGB) for the 2025 financial year, provided that a CET1 ratio of at least 16.0 % is maintained at Group level.

The distribution of dividends is a discretionary decision. As a result, the Management Board and Supervisory Board are free to propose deviations from the dividend to the Annual General Meeting.

Refinancing implemented successfully in the context of lower total assets with senior preferred benchmark issue and increased volume of private placements

The refinancing situation in the reporting period was initially characterized by capital market volatility triggered by trade disputes following the announcement of massive tariff increases by the US and geopolitical tension in the Middle East. However, as the tariff dispute appeared to ease slightly and the military conflict started to settle – as described in the section on the banking environment – there was a marked stabilization of the financial markets as the year progressed.

Fundraising was in line with the Bank's expectations. In total, the Bank raised around € 2.1 billion in long-term funds in the 2025 financial year. During the reporting period, the Bank issued a senior preferred benchmark transaction with a volume of € 500 million, which was increased by € 250 million in July to take advantage of a very favorable market environment from the Bank's perspective. Further information on this can be found in the section on business development. The aforementioned bond will strengthen the Bank's funding base in the long term and further broaden the investor base. Further refinancing funds were raised through private placements, including a € 300 million floating rate bond with a two-year term. The Bank is planning further benchmark issues in the unsecured segment as well as Pfandbrief issues in the coming years.

In the first half of 2025, the Bank paid out a dividend of around € 0.2 billion for the 2024 financial year and carried out a tender offer for an outstanding benchmark bond in senior non-preferred format, which was very successful with a redemption rate of over 50 %.

In addition to long-term refinancing, the strong deposit position of € 10.6 billion from the Bank's client business (corporate deposits), and an increase in the volume of retail deposits of around € 600 million, also contributed to the implementation of the funding strategy. In total, retail deposits amounted to € 0.85 billion as at the reporting date.

Key liquidity and funding ratios

	2025	2024
Corporate deposits (€ bn)	10.6	11.3
Retail deposits (€ bn)	0.9	0.3
LCR (%)	204	216
NSFR (%)	119	116

The regulatory requirements for the liquidity ratios were met during the reporting period. The risk report contains supplementary information on the capital and refinancing situation of Hamburg Commercial Bank.

Rating

Rating overview as at December 31, 2025

	Moody's
Issuer rating (long-term)	A3, stable
Current liabilities	P-2
Stand-alone rating (financial strength)	Baa3
Deposit rating	A3
"Preferred" Senior Unsecured Debt	A3
"Non-Preferred" Senior Unsecured Debt	Baa2
Subordinated Debt (Tier 2)	Ba1
Mortgage Pfandbrief	Aaa
Ship Pfandbrief	Aa3

The table above provides an overview of Hamburg Commercial Bank AG's ratings awarded by Moody's as at December 31, 2025. The ratings are consistent with the forecast since the upgrade of HCOB's issuer and stand-alone ratings, as well as key instrument ratings, on February 17, 2023. Information on the sustainability ratings for Hamburg Commercial Bank AG can be found in this combined management report in the chapter "Sustainability statement" and on the Bank's website.

Segment results

Segment overview

(€ mn/%)		Real Estate	Global Transportation	Project Finance	Corporates	Lending Units	Treasury & Group Functions	Reconciliation	Group
Total income	**2025**	**191**	**154**	**125**	**231**	**701**	**44**	**-2**	**743**
	2024	207	161	107	239	714	66	3	783
Loan loss provisions	**2025**	**-78**	**10**	**-7**	**-35**	**-110**	**1**	**-**	**-109**
	2024	-73	-3	-1	-20	-97	3	-1	-95
Administrative expenses & regulatory costs	**2025**	**-88**	**-80**	**-54**	**-91**	**-313**	**-70**	**1**	**-382**
	2024	-97	-78	-47	-101	-323	-36	-	-359
Net income after taxes	**2025**	**17**	**59**	**44**	**90**	**210**	**10**	**-55**	**165**
	2024	30	64	47	94	235	-38	31	228
RoE after taxes (%)[1)]	**2025**	**2.8**	**15.9**	**12.2**	**11.6**	**9.9**	**9.0**	**n.a.**	**4.5**
	2024	3.9	16.0	12.4	12.0	10.1	-9.9	n.a.	6.2
Segment assets (€ bn)	**31.12.2025**	**5.9**	**2.5**	**3.9**	**4.6**	**16.9**	**11.8**	**-0.1**	**28.6**
	31.12.2024	7.4	3.7	3.9	5.5	20.5	13.1	-	33.6
New business (€ bn)	**2025**	**0.4**	**1.4**	**1.6**	**1.6**	**5.0**	**-**	**-**	**5.0**
	2024	1.0	1.8	1.2	2.1	6.1	-	-	6.1

[1)] The RoE after taxes for the segments is based on a normalized regulatory capital backing (average risk weighted assets (RWA) and normalized CET1 ratio of 15 %). For the Group, the RoE after taxes is calculated on the basis of the balance sheet equity at the beginning of the year less the proposed dividend.

Structure of segment reporting

The management of the Group comprises four lending-oriented segments ("Real Estate", "Global Transportation", "Project Finance", and "Corporates"), which are also summarized as "lending units", and the segment "Treasury & Group Functions". The Global Transportation segment combines the Shipping and Aviation areas for the reporting and the comparative period. Activities in the Aviation area were discontinued during the reporting year upon completion of the portfolio sale. The "Reconciliation" column is used to transform all of the management indicators in relation to the IFRS Group. For more detailed information on the structure and methodology of segment reporting, please refer to Note 44 in the notes to the consolidated financial statements.

Further information on the HCOB segments and their strategic orientation can be found in the "Strategic direction for the business areas" section of the chapter of this combined management report entitled "Basis of the Group". Information on the strategic focus (franchise focus) decided on during the reporting period can be found in the chapters "Basis of the Group" (section "Strategic adjustments in 2025") and "Business development".

Business development in the segments

In view of the new business concentrated in the franchise portfolios (€ 5.0 billion; previous year: € 6.1 billion) and the deliberate reduction of non-strategic exposures (including through the sale of the aviation portfolio and the reduction of the international real estate portfolio), segment assets in the lending units have declined significantly over the past twelve months from € 20.5 billion to € 16.9 billion. The decrease in average segment assets from € 19.3 billion to € 18.7 billion was comparatively moderate, as assets had risen during 2024 (among other things due to the acquisition of the shipping portfolio), and as the decline in 2025 occurred predominantly in the second half of the year. Compared with the previous year, the interest rate environment was characterized by falling key interest rates, which could not be fully offset by the steeper yield curve. In this environment, the net interest margin in the lending units declined moderately to 3.30 % compared with 3.45 % in 2024. Against the backdrop of an asset allocation that was systematically focused on profitability, as well as an improved FVPL result, which primarily includes positive effects from FX margin hedging in the reporting period, total income decreased relatively moderately across all lending units (€ 701 million, -2 % compared to the previous year). In light of the challenging economic environment and the cautious risk policy, loan loss provisions, as in the previous year, were characterized by the Real Estate segment (in particular) and Corporates and rose moderately overall in the lending units. The aforementioned developments could not be fully compensated in net income after taxes by the favorable reduction in administrative expenses. The decline in net income after taxes was not fully compensated in RoE by the RWA relief effects. Accordingly, overall profitability in the lending units, measured in terms of RoE after taxes, amounted to 9.9 %, only marginally below the 2024 level (previous year: 10.1 %).

The **Real Estate** segment reported a positive net income after taxes of € 17 million in the 2025 financial year (previous year: € 30 million), even though the persistently difficult market environment again had a clearly negative overall impact. During the reporting year, the operating business was once again characterized by the risk-conscious further development of the portfolio, the aim being to optimize earnings, with less of an emphasis on new business and more emphasis on portfolio management. As a result, a number of non-performing exposures were reduced, as was the Bank's exposure in the USA. Net interest income declined noticeably against the backdrop of significantly lower average segment assets (including the reduction in international real estate business) and a lower net interest margin (NIM) compared with the previous year. The FVPL result, which benefited from FX margin hedging and income from a debtor warrant, was only able to partially offset this, so the total income decreased. The development of loan loss provisions was characterized by Stage 3 additions for defaults involving office properties in Germany and was slightly above the previous year's level overall. However, compared to the previous year, the slight increase in loan loss provisions was more than offset by the stronger decline in administrative expenses, so the decrease in net income after taxes was less pronounced than the decrease in total income. The segment's comparatively low RoE of 2.8 % (previous year: 3.9 %) as a result of the burdens from loan loss provisions reflects the persistently challenging overall situation on the real estate market. The gross new business focused on German commercial real estate clients remained very subdued at a total of € 0.4 billion (previous year: € 1.0 billion) due to the ongoing weak market demand and the conservative

business approach. As a result, and due to the winding-down strategy in the international area, segment assets decreased significantly to € 5.9 billion as at December 31, 2025 (previous year: € 7.4 billion).

In the **Global Transportation** segment, net income after taxes amounted to € 59 million (previous year: € 64 million), which, despite an increase in pre-tax profit, was solely attributable to higher allocated income tax expenses. Total income decreased slightly, reflecting lower net interest income year on year due to margin compression from a high base in the Shipping segment and the in-year sale of the aviation loan portfolio. The decline in total income was partially offset by positive developments in the FVPL result, which benefited from foreign exchange gains from FX margin hedging and income from a debtor warrant, as well as by the positive disposal result from the sale of the aviation portfolio. With administrative expenses remaining largely stable, moderate net reversals of general loan loss provisions more than compensated for the decline in total income in terms of pre-tax profit. Operating profitability, measured by RoE, remained at 15.9 % (previous year: 16.0 %), broadly in line with the very strong level of the previous year as a result of lower RWAs. At € 1.3 billion, focused gross new shipping business with domestic and international shipping companies with solid credit ratings was also broadly in line with the 2024 (previous year: € 1.4 billion excluding the acquired shipping portfolio). In the discontinued Aviation business area, business transactions totaling € 0.1 billion (previous year: € 0.4 billion) were concluded before new business activities were discontinued during the year. The segment assets in Global Transportation amounted to € 2.5 billion at the end of 2025 (December 31, 2024: 3.7 billion). In addition to the successful disposal of the aviation portfolio, the decrease was attributable to the high level of repayments in Shipping and effects from the weakening of the US dollar.

The **Project Finance** segment achieved net income after taxes of € 44 million, slightly below the previous year level (previous year: € 47 million). Despite an increase in pre-tax profit, this decline was solely attributable to higher allocated income tax expenses. The operating business continued to perform well. Total income increased to € 125 million (previous year: € 107 million), also supported by the rise in net interest income as a result of good new business and an expansion in margins. Administrative expenses were slightly higher than in 2024; however, the CIR declined slightly. Loan loss provisions increased slightly on a lower level due to an individual case. Due to the pleasing development in new business (€ 1.6 billion), which was significantly expanded compared to 2024 (€ 1.2 billion), segment assets as at the end of 2025 totaled € 3.9 billion, which is the same level as at the beginning of the period (previous year: € 3.9 billion). The profitability of the segment remained at a good level at 12.2 % (previous year: 12.4 %) and reflects the fundamentally positive outlook in this sector, not least due to the high financing needs for infrastructure projects on the market.

In the 2025 financial year, the **Corporates** segment generated a net income after taxes of € 90 million (previous year: € 94 million), once again making a substantial contribution to the results of the lending units. As part of the strategic focus, average segment assets declined, resulting in a decrease in total operating income despite a virtually unchanged net interest margin of around 430 basis points. Loan loss provisions, characterized by a shift from Stage 1/2 to Stage 3, increased moderately due to a small number of new defaults in Structured Portfolio Finance. Supported by a favorable cost trend, administrative expenses decreased, leading to a cost-income ratio of below 40 % in this segment. In line with the Bank's focus on its core business, the development of new business was also characterized by significantly reduced activities in Structured Portfolio Finance. By contrast, new business in Corporates Lending increased by almost 30 % to € 1.4 billion (previous year: € 1.1 billion). Overall, gross new business of € 1.6 billion was noticeably below the value for 2024 (€ 2.1 billion) due to the focus on the franchise business. As a result, segment assets also dropped relatively significantly to € 4.6 billion (previous year: € 5.5 billion). The segment's operating profitability, measured by RoE, remained at a solid level of 11.6 % (previous year: 12.0 %). Excluding Structured Portfolio Finance, the RoE in Corporates was 15.5 % (previous year: 15.6 %).

The **Treasury & Group Functions** segment reported a positive net income after taxes of € 10 million for the reporting year (previous year: € -38 million). In a market environment characterized by lower volatility than in 2024 and a depreciation of the US dollar, the strategic investment portfolio and capital market-related asset liability management generated a total income of € 44 million (previous year: € 66 million). The decline in total income was driven by net interest income. Here, the segment had benefited from a positive effect of € 21 million from the disposal of promissory note loans in the previous year. The one-off effect from severance payments (€ 50 million; previous year: € 18 million) had a significant negative impact on administrative expenses. The significant improvement in net income after taxes compared with 2024 is attributable to the other operating result (€ 37 million; previous year: € -81 million), which was dominated by one-off effects in both the reporting period and the comparative period. Whereas this earnings figure benefited from positive one-off effects of

income from prior periods during the reporting year, it in contrast included materially adverse net one-off effects associated with legal risks in 2024.

The difference between the income tax expenses recognized in the segments based on calculated tax rates and the actual income tax at Group level is shown in the **Reconciliation** item. Since the actual tax rate in the Group was significantly higher than the calculated rate during the reporting year, particularly due to write-downs of deferred tax assets, the difference was clearly negative, with a tax expense of € 54 million.

Detailed information on the methodology and effects included in the segment report is provided in Note 44 in the notes to the consolidated financial statements.

Final assessment of the situation of Hamburg Commercial Bank

In the reporting year, which for HCOB was defined by the strategic adjustment initiated in the first half of the year, the economic environment was shaped by multiple external factors, giving rise to uncertainty and volatility in the markets. In particular, geopolitical hotspots and international trade conflicts between major economies – exacerbated by the trade policy of the US administration – had a direct impact on market participants' confidence and on the development of the global economy/financial markets.

Despite these complex and challenging conditions, HCOB was able to successfully implement its strategic initiatives. At the same time, one-off effects resulting from the strategic focus led to unplanned and temporary burdens on earnings in the 2025 financial year.

HCOB has made good progress with its strategy adjustment, which focuses its lending business on profitable growth with European franchise customers. From the Management Board's perspective, this particularly includes the stronger-than-expected development of new business in the core business areas in terms of both volume and margins compared with the mid-2025 business plan, as well as the significant progress made with implementing the staff reduction, the anticipated costs of which are already fully recognized in the financial statements. It should also be emphasized that the Bank has made faster progress with the divestment of non-strategic assets than originally expected, with the successful sale of the aviation portfolio and a stronger reduction in parts of the Structured Finance portfolio.

Satisfactory **operating profitability** was evident on both the income and cost side. The operating performance in the lending units, measured by return on equity, was satisfactory. Almost all lending units reported RoEs (calculated on the basis of normalized regulatory capital backing) above 11.5 % for the 2025 financial year; only in the Real Estate segment was the ratio in the low single-digit positive range, given the high burden from loan loss provisions. In terms of cost development, the Bank was able to overachieve its targets for administrative expenses for the year as a whole – excluding the negative one-off effect from the approved staff reduction – which underlines the effectiveness of systematic cost management.

During the reporting period, the Bank once again successfully executed its NPL reduction plan despite the ongoing challenging conditions in the commercial real estate markets, helping to counter pressure on **asset quality**. Thus, new defaults in the Bank's real estate portfolio were more than offset by portfolio reductions, resulting in a decrease in NPL volume of 17 %.

In addition to the lower business volume and the changes in the portfolio composition, the introduction of the CRR III regulations at the beginning of the year also had a significantly lowering effect on the level of RWA for credit risks. The RWA relief led to a significant increase in **capital ratios** during the year; excluding the proposed dividend payment for the 2025 financial year, the CET1 ratio would have reached around 26 % at the end of the reporting period. At the same time, as part of its strategic business adjustments, the Bank adjusted its target level for the CET1 ratio to at least 16 % in order to reflect the reduced credit and liquidity risk resulting from the strategy adjustment (including the divestment of non-strategic assets). The reduction of the capital buffer is carried out as part of the Bank's distribution policy, which provides for a full distribution of the accumulated profit under HGB. With the CET1 ratio reported as at December 31, 2025, of 16.5 %, which already reflects the proposed dividend and meets the strategic target of 16 %, the Bank considers itself to still be one of the institutions with good capital resources in the European banking market. From HCOB's perspective, the capitalization level represents an adequate buffer against potential negative effects from adverse market developments and the potential materialization of remaining risks from strategic business adjustments.

With the central **liquidity** metrics (LCR and NSFR), which are, in some cases, significantly higher than the regulatory requirements and are based on prudent liquidity management, the Bank considers itself to be in a good position, even in a market environment characterized by significant uncertainty.

In view of the developments and positioning outlined above and the progress already made with the strategic focus, Hamburg Commercial Bank considers itself well positioned overall as at the reporting date to achieve its objectives. Details regarding predicted business developments, the ongoing challenges facing the Bank, as well as the opportunities and risks associated with future development, can be found in the "Forecast, opportunities and risks report".

Forecast, opportunities and risks report

Forecast, opportunities and risks report

The following section should be read in conjunction with the other sections in this combined management report. The forward-looking statements contained in this forecast report are generally based on assumptions, estimates, and conclusions that have been incorporated into HCOB's corporate planning, which was approved in December 2025. The forecast period used in accordance with GAS 20.127 covers one year from the reporting date, meaning that it ends on December 31, 2026. Insofar as periods after the end of the forecast period are discussed below, these statements explicitly do not constitute a forecast within the meaning of GAS 20.

Anticipated underlying conditions

Forecasts on economic growth and inflation come from national and international institutions (Germany: Bundesbank; eurozone: ECB; USA: Fed; China: IMF; world: IMF). The interest rate forecasts are based on the corresponding forward rates. The forecast euro to US dollar exchange rate is also derived from the futures markets. Unless otherwise stated, the statements on the overall conditions for relevant markets are based on internal estimates, also taking account of external sources of information such as research companies that are established on the market (real estate markets: e.g. bulwiengesa and PMA, shipping markets: e.g. Marsoft and MSI).

Expected business development of Hamburg Commercial Bank and outlook

	Actual figures 2025	2026 forecast
RoE after taxes @equity (%)[1)]	4.5	~9
CIR (%)	48	~45
CET1 capital ratio (%)[2)]	16.5	16.0
LCR (%)	204	>180
NPL ratio (%)	3.3	~3,0
Rating	A3, stable	A3, stable

[1)] The RoE after taxes @equity is based on the reported equity at the beginning of the year less the proposed dividend. The 2026 forecast is based on an expected net income before taxes of round € 300 million.

[2)] Actual figure for 2025: The proposed dividend payment of € 1,256 million for the 2025 financial year was already taken into account in the Common Equity Tier 1 capital in advance; the dividend payment is subject to approval by the Annual General Meeting.

Key basis for the forecast

In its forecast, which is generally based on HCOB's corporate planning (for the 2026–2028 period), the Bank applies the following assumptions/expects the following developments with a high degree of probability (base case):

ECONOMY AS A WHOLE AND FINANCIAL MARKETS

Global economy: According to our forecasts, global economic growth will weaken slightly in 2026 to 3.1 %, after reaching 3.2 % in 2025. For the United States, after real growth of 2.2 % in the reporting year, we expect an increase to 2.3 % in the 2026 forecast period. This development will be supported by the recovery at the beginning of 2026 after the temporary burdens from the government shutdown in the fourth quarter of 2025, by stimulus from a still supportive fiscal policy, and by increasing investments in technologies and artificial intelligence. However, we also anticipate weaker growth momentum for China and forecast a decline in economic growth to 4.2 % (2025: 5.0 %). In contrast, after growth of 1.5 % in 2025, slightly weaker momentum of

1.2 % is predicted for the eurozone in 2026. We expect slight growth of 0.6 % for the German economy in 2026 (2025: 0.2 %). The main drivers are likely to be planned public investments from the special funds for infrastructure and defense, as well as additional relief for companies and consumers.

Monetary policy: The headline inflation rate as at the end of 2025 was 2.0 % in the eurozone and 2.7 % in the United States. The ECB has thus achieved its inflation target, while US inflation remains above the target of 2.0 %. The monetary policy stance of both central banks during the year was characterized by interest rate cuts. For 2026, we expect monetary policy easing to continue in the United States, while the eurozone is likely to maintain the current interest rate level. However, a significant interest rate differential between the United States and the eurozone is likely to remain. For the end of 2026, current forward rates imply a Fed Funds Rate of around 3.125 % and an ECB main refinancing rate at the current level of 2.15 %. Long-term yields on German government bonds (Bunds) were 2.85 % at the reporting date, while ten-year US Treasury notes (T-Notes) stood at 4.18 %. For 2026, we expect an increase in long-term yields both in the United States (forecast for December 31, 2026: 4.42 %) and in Germany (forecast for December 31, 2026: 3.12 %), which should primarily be due to higher sovereign issue volumes and rising risk premiums as a result of fiscal developments. In the United States, political attacks on the independence of the Fed could also drive yields higher. The EUR/USD exchange rate rose significantly in the reporting year from just under 1.04 to 1.17 and could rise further, at least in the short term (forecast for December 31, 2026: EUR/USD 1.19).

MARKETS/SECTORS

Real Estate: On the German office property markets, the phase of cyclically weaker space demand is likely to continue somewhat longer in 2026, thereby slightly increasing vacancy rates, before the first positive effects from fiscal investment stimulus become apparent. Office rents are expected to rise moderately in sought-after central locations and to decline slightly in fringe and peripheral locations. While market values in preferred locations are likely to remain broadly stable, further moderate losses are probable in secondary locations. The European office property markets are likely to follow a similar pattern in terms of rents and market values in general due to similar developments in the underlying conditions as those that apply in Germany. After years of decline, rents should tend to stabilize on the retail property markets in city centers and in shopping centers, with some concessions in secondary locations. In contrast, moderate increases are expected for the rents at specialist retail parks, especially those with anchor tenants in food retail. Their market values are also likely to rise moderately, while those with a non-food focus are more likely to stagnate, and those of commercial buildings and shopping centers to decline slightly. The high level of excess demand on the housing markets in the country's major cities looks set to continue, meaning that rents and prices will continue to rise noticeably. On the logistics property markets, completions are expected to exceed demand for rental space, so that rents are likely to stagnate. Minor losses in market values cannot be ruled out.

Shipping: While the earnings situation on the shipping markets is likely to deteriorate considerably in 2026, it will remain above average in a historical comparison. However, geopolitical factors that are impossible to predict, such as the course of the conflicts in the Middle East and Ukraine or the plans of the US administration, could overshadow the expected impetus. The dynamic fleet growth witnessed for container vessels is expected to outpace the demand trend and negatively impact the market. If the Red Sea became safe to navigate again, tonnage demand could even decline slightly. A weakening of rates and prices is expected over the course of the year for bulkers due to another increase in tonnage with only moderate growth in transport demand. The market for oil tankers is also expected to move downward from the level seen at the end of 2025. With only moderately rising global oil consumption, the further acceleration in fleet capacity growth is likely to be met by a somewhat lower increase in demand.

Project Finance: The outlook for transport and digital infrastructure is positive, as the persistently high need for maintenance and expansion (in the case of digital infrastructure, particularly with regard to Europe's digital sovereignty) will provide investment incentives. Potential negative factors are the ongoing global uncertainty due to US policy and its international repercussions, the likely only very limited further decline in US interest rates, and the persistently high price level for construction materials and services. The outlook for the expansion of renewable energies and the associated grid and energy storage infrastructure also remains positive in Europe for 2026. Price volatility and shortcomings regarding grid connections could weigh on development. However, the sustainability elements at EU level and the European Commission's climate change program will continue to provide growth impetus for renewable energies in Europe in the medium term.

Corporates: The retail sector in Germany is likely to be boosted by the low inflation rate compared to recent years, above-inflationary pension increases, and continued wage increases. However, the combination of the recent inflation-related loss of purchasing power, the geopolitical situation, and growing concerns about job security (given the challenges that Germany continues to face as a manufacturing location and in its industry) is likely to dampen sentiment and further weigh on consumption. Industrial activity is likely to be less affected in view of the trade agreements concluded with the United States and other countries, even though significant geopolitical uncertainties and thus downside risks still remain. High production costs are likely to continue to weigh on sales in the manufacturing sector, even though an improvement appears on the horizon in light of increases in public demand. Interest rate-sensitive sectors such as construction could receive positive stimulus once the likely trough of the current ECB interest rate cutting cycle has been reached – and before central bank interest rates rise again, presumably in the medium term. Despite the challenging conditions, the growth prospects for the German economy in 2026 appear more positive than they have for a long time, particularly due to the fiscal stimulus and stronger reform efforts at the political level. The promises of the US government for an even more business-friendly economic policy may be harder to fulfill in view of the upcoming mid-term elections in the United States and the uncertainties regarding the future interest rate outlook, especially since the latest announcements by the US President to reduce inflation for US consumers could also result in burdens for American companies.

BUSINESS DEVELOPMENT

- In 2026, the Group's total assets are expected to decline moderately by the end of 2026. On the asset side, the decrease should primarily relate to the treasury book (financial investments and cash reserve), whereas the size of the loan book (balance sheet line item: Loans and advances to customers) should tend to remain at the level of the reporting date. The development on the liabilities side is expected to be characterized by lower refinancing needs corresponding to the decline on the asset side, which in planning terms will lead to lower volumes of asset-based funding, among other things. The dividend payment proposed for the 2025 financial year, which has already been recognized in advance as a reduction in the capital ratios at year-end 2025, will also lead to a reduction in balance sheet equity when it is paid in 2026. With regard to refinancing via deposits, the growth in retail deposits is expected to continue, allowing part of the funding currently obtained via corporate deposits to be substituted. In addition, the funding plan provides for moderate capital market activities in terms of volume.
- As outlined above, loans and advances to customers should develop almost constantly in the 2026 forecast period. For the further course of the planning period, growth is assumed for the loan book across all franchise portfolios, with the exception of national real estate, which share of the Group's total assets is targeted to around 20 % in the medium term as part of the asset allocation. The divestment in the discontinued business areas such as the international real estate business and Structured Portfolio Finance (Corporates segment) will continue through a rundown, so that the share of the franchise portfolio in the Group's total assets should increase in the medium term from around 50 % (year-end 2025) to over 60 %.
- With regard to new business focused on the franchise portfolio, the corporate planning for 2026 assumes a gross volume of new business above the level of 2025, when € 5.0 billion was contracted. According to the plan, growth in new business will mainly be attributable to the Real Estate segment, where new business development was very subdued in 2025. Overall, a relatively balanced allocation of new business is being targeted across the four lending units: Real Estate, Shipping, Project Finance, and Corporates. Over the planning horizon, the Bank targets an annual growth rate of approximately 11 % in new business.
- For total income 2026, HCOB expects a decline compared with the reporting year in the high single-digit percentage range, as the lower business volume will have an impact on net interest income – in line with the

trend in the second half of 2025. In contrast, profitability, as measured by the net interest margin (NIM), should again reach the level of the reporting year.
- In 2026, HCOB expects loan loss provisions (income statement) to be noticeably below the level seen in the reporting year. The main driver here is an anticipated gradual economic recovery of the commercial real estate markets, in the course of which the need for loan loss provisions in the Real Estate segment should tend to decline both at Stage 3 and at Stages 1 and 2 of the loan loss provisioning model. The risk costs should decrease further by the end of the planning period.
- Administrative expenses should be almost 20 % lower in 2026 than in the past financial year. The drivers here are the absence of the one-off costs incurred in the reporting year, savings from the gradual FTE reduction as part of the agreed staff reduction, lower project costs and the full year effect of contracted savings in IT services. By the end of the planning period, the Bank aims to reduce its costs (basis: administrative expenses for 2025 adjusted for one-off effect) by around 15 % in nominal terms to around € 280 million.
- As in 2025, no bank levy will be incurred for the 2026 financial year; moreover, no contributions to the deposit guarantee fund will be collected in 2026 either.
- For the current year, the Bank expects the other operating result to be broadly balanced, on the premise that, unlike in 2025, no material one-off effects will occur.
- According to the Bank's corporate planning, the development in income tax expense will be characterized by the minimum taxation in Germany (current taxes) and expenses from the utilization of deferred tax assets. The income tax rate should be significantly lower than in the 2025 financial year.

Forecast for development in the most important key performance indicators in 2026

Taking the above-mentioned aspects into account, the Bank assumes in its forecast that it will be able to achieve net income before taxes of around € 300 million in the 2026 financial year (actual figure for 2025: € 289 million). The expected increase in net income before taxes is primarily based on the assumption that a volume-related decline in net interest income and the absence of positive one-off effects in the other operating result can be more than offset overall by lower administrative expenses and lower loan loss provisions. Based on an income tax expense that is expected to be significantly lower than in the reporting year, the Bank forecasts an **RoE after taxes @equity** of around 9 % for the 2026 financial year (actual figure for 2025: 4.5 %).

The **CIR** should be ~45 % in 2026. The expected decrease compared with the reporting year (48 %) is based on the assumption that the administrative expenses (in particular due to the elimination of the one-off effect in personnel expenses) will decrease disproportionately to the development of the income base (total income plus other operating result).

With regard to Common Equity Tier 1 capital, HCOB will take into account, under its distribution policy for the 2026 financial year, that a **CET1 ratio** of 16.0 % is targeted as at December 31, 2026 (see also the explanations in the "Distribution policy" section of the "Economic report" chapter).

The Bank expects the **LCR** to remain comfortably above the regulatory requirements (100 %) at the end of 2026, with a ratio in excess of 180 %.

As part of the projections for the **NPL ratio**, the Bank expects a new default volume for 2026 that is lower overall than in the reporting period, with new defaults in particular in the Real Estate segment expected to decline. Here, the Bank should benefit from the fact that the loan book has now been adjusted to the current interest rate level. At the same time, the Bank expects that it will be able to achieve a net NPL reduction in 2026 as well, driven by the Real Estate segment, which will be disproportionately higher than the decline in the relevant volume of receivables. On this basis, the Bank forecasts an NPL ratio at year-end 2026 of ~3,0 % (December 31, 2025: 3.3 %), which should continue to decline in the subsequent years of the planning period.

The rating, which was most recently confirmed in June 2025, is likely to remain at the current level in the 2026 financial year, which is also reflected in the stable outlook.

The Bank addresses the main opportunities and risks associated with the forecasts below. Opportunities are defined as possible future developments or events that may give rise to a positive divergence from the forecast for the Bank. In contrast, as part of the forecast report, risks are defined as possible future developments or events that may give rise to a negative divergence from the forecast. The Bank-specific risk types are then separately explained in the risk report.

Opportunities and risks

On the one hand, the opportunities and risks with regard to the forecasts for the key performance indicators presented above arise from future developments in the macroeconomic environment (macroeconomic factors) and the market and competitive conditions in the sectors relevant to HCOB (sector-specific factors). These are presented below in sections A) and B). On the other hand, opportunities and risks for HCOB's forecasts arise from company-specific circumstances, which are explained in sections C) to E).

A) ECONOMIC FACTORS (BUSINESS CYCLE)

There will be risks to the global economy in 2026, which could weaken growth and lead to volatility in the financial markets. These include the ongoing geopolitical tensions such as the continuation of the war in Ukraine and the fragile situation in the Middle East. An escalation of the conflict, for example through attacks on Iranian energy infrastructure, could affect transport routes and trigger a new energy price shock with monetary policy implications. The risk of an escalation in the Indo-Pacific also remains: Military action by China against Taiwan or a blockade would place a considerable burden on the global semiconductor industry. In addition, extreme weather events continue to pose a relevant risk, with potential impacts on tourism, harvests (and thus food prices), energy supply, transport routes, and construction activity. There are additional risks in the major economic areas: In the US, tariff policy and political uncertainty under the Trump administration could intensify trade conflicts and increase inflation. In addition, political pressure on the Federal Reserve from the Trump administration is increasing, which raises the likelihood of a more expansionary monetary policy and contributes to uncertainty about the monetary policy course. For the eurozone, there is a threat of burdens from US tariffs and competitive pressure from China. Domestic political risks such as the fragile government situation in France amplify volatility. Another risk factor is the accelerated introduction of AI. It can lead to disruptive effects in the financial markets, a change in the competitive landscape among companies, and an increase in energy consumption – and thus to higher energy prices.

In contrast, if the risks mentioned above do not materialize and geopolitical tensions come to an end more quickly, this should be associated with higher global economic growth. In addition, there are opportunities for the European and German economy from structural reforms and from the increasing use of AI, which could promote productivity and innovation.

B) SECTOR-SPECIFIC FACTORS (MARKETS)

Weaker-than-expected economic development, particularly in China and the US, would have negative consequences for global trade and thus also for the shipping markets, as would an escalation of the geopolitical tensions/conflicts mentioned above, since these are likely to lead to deglobalization and/or onshoring. Furthermore, a return to previous trade routes due to the elimination of disruptions or sanctions would result in shorter transport distances. The need to limit the consumption of fossil fuels such as coal, oil, and gas is also likely to slow the demand for maritime transport. Should global economic activity be more dynamic than expected, this would have a positive impact on the demand for transport services.

If, instead of the only very limited increase in long-term interest rates expected for 2026, a more drastic increase were to occur because the financial markets' confidence in the Fed's independence is severely damaged, and if this increase also spills over to European interest rate levels, the real estate markets would come under more pressure than assumed in the planning. A significantly weaker economic performance, or even a relapse into a deep recession, would also have an adverse impact. This would affect both commercial and residential property. Conversely, a more favorable than assumed development of the primary stress factors, a faster and stronger economic recovery, and the stabilization of long-term/reduction of short-term interest rate levels would improve the sector's prospects.

If the development in the economic and sector-specific factors were to be more negative overall than assumed in the Bank's plans, this would tend to exert pressure on loan loss provisions (earnings situation), the NPL volume/NPL ratio (asset quality), as well as RWA and, as a result, the Bank's capital ratios (capital). Furthermore, the earnings situation in the context of the FVPL result could be negatively affected in the event of an unexpectedly marked widening of credit spreads.

On the other hand, more favorable overall development in economic and industry-specific factors than assumed in the planning would tend to have a positive impact on the aforementioned results and key performance indicators.

C) CLIENT BUSINESS

On the earnings side, the fundamental challenge lies in achieving the moderate growth targets in the franchise business areas and the targeted development in operating profitability while upholding the Bank's conservative credit standards, even in the current macroeconomic environment.

Should the macroeconomic environment and the market and competitive conditions in the markets/sectors relevant to the Bank show more negative development than in the forecast, there is, in addition to the potential effects described in Section B), the risk that the volume and margin targets used as a basis in the forecast cannot be achieved, for example due to weaker customer demand and/or high unscheduled repayments, as well as mounting competitive pressure on margins, particularly due to growing competition from unregulated financial market participants.

In all of the Bank's core business areas, there are numerous opportunities for profitable growth despite the existing challenges. The growing importance of sustainability aspects, ongoing digitalization, and the development of innovative products and services, but also government stimulus measures, are all leading to new financing needs. Furthermore, progress in efforts towards cross-border cooperation within Europe (including the reduction of intra-European trade barriers) and the increasing focus on European sovereignty have a positive impact on capital demand. These can be specifically addressed by tailored financing solutions. In the real estate sector, energy-efficient projects in particular and an emerging trend reversal toward more positive market conditions are opening up new business opportunities. At the same time, the transformation in the shipping industry toward lower-emission technologies is creating additional financing needs. Infrastructure and energy projects in the area of project finance also benefit from government support programs. In addition, corporate clients, especially in the SME sector, increasingly require tailored financing models to cope with structural changes. HCOB sees itself as the preferred partner for its customers in Europe, offering them tailored financing solutions based on expertise, reliability, and speed. If HCOB succeeds in getting its value proposition across to customers and maintaining or expanding its market position in its core business areas, this will open up income and growth opportunities that could be enhanced by tapping cross-selling potential.

D) STAFF REDUCTION

The staff reduction measures resolved at the end of 2024 and in the reporting year have already been largely contractually agreed, so that a large proportion of the planned cost savings can be reliably achieved. The reduction in headcount will make a significant contribution to the sustainable optimization of the cost base.

In connection with the staff reduction, there is a risk of a potential unintended loss of key personnel, which could lead to know-how bottlenecks and impair the stability and quality of critical business processes. There is also a risk that the efficiency and productivity gains assumed as part of the staff reduction measures – for example from process optimization, automation, and the use of artificial intelligence – will not be achieved to the expected extent. In this case, it could turn out that the staff reduction was too ambitious, which could lead to capacity bottlenecks and restrictions in operational performance. In addition, there is a residual risk that the targeted reduction objectives may not be fully achieved. This could mean that the planned cost savings cannot be fully achieved and that the targeted efficiency gains would therefore fall short of expectations. To counter this risk, the Bank already initiated measures to simplify and further automate processes, introduced successfully AI use cases and provided trainings on new technology to employees. In addition, a large number of productivity tools have been made available to all employees and the further implementation of AI and automation use cases remains a top priority, so the Management Board considers the targeted efficiency and productivity to be achievable. In order to minimize risk, the Bank also relies on targeted communication measures – accompanied by change management initiatives that support employees with the transformation – as well as systematic succession planning and continuous monitoring of the implementation of the defined measures.

The efficiency gains already anticipated in the staff reduction are intended to create capacities that will enable a targeted reorientation towards future-oriented fields of activity. However, the prerequisite for this is that the underlying productivity increases are actually achieved as planned.

E) FUNDING

In its funding planning, HCOB has set targets for the growth of retail deposits against the backdrop of an overall declining refinancing requirement, in order to reduce, in the medium term, the share of funding via the capital market and corporate customer deposits. On the one hand, the volume of deposits from retail customers raised via the online platform of a third-party provider ("Raisin") is to be further expanded. Another important channel for the targeted growth of retail deposits is the Bank's own newly developed "Hamburg Direct Bank" digital platform, set up in cooperation with an established provider. From its planned go-live in the first quarter of 2026, German retail customers will be offered direct investments with various maturities.

Achieving the growth targets for retail funding largely depends on the sustainable acceptance of HCOB's product offerings by potential customers. The market for retail customer deposits in Germany is characterized by intense competition and a pronounced sensitivity to price. Customers tend to react strongly to interest rate offers and show a relatively high willingness to switch providers. In this competitive environment, in which competitors are pursuing comparable funding strategies, there is a risk that the Bank will not achieve the retail funding volumes targeted, or only at higher costs than planned. In such cases, the bank would as a mitigant reduce the corporate deposit volumes to a lower extent than planned. Conversely, an HCOB offering that is more attractive than the market average could mean that the growth targets for retail funding are achieved earlier than planned or even exceeded, further strengthening the diversification and stability of the deposit base.

F) LEGAL ENVIRONMENT

As at December 31, 2025, the Bank had set up provisions for litigation risks and costs in the amount of € 132 million in its IFRS consolidated financial statements. Earnings risks or opportunities for the earnings situation arise from the possibility that future actual utilization of the provisions in connection with the pending legal disputes may be higher or lower than the utilization level on which the provisions are based.

In the past, the Bank has suffered losses on financing arrangements in an EU member state due to government intervention. The Bank had already taken legal action against this intervention in previous years. If future rulings confirm the Bank's legal opinion, inflows of funds in an amount running into the mid double-digit millions (of euros) can be expected for the Bank. However, these circumstances do not pose any further risks to the Bank's earnings situation, as the Bank has already fully reflected the default risks in the financial statements in prior years.

Overall appraisal and net income forecast

In 2026, HCOB will focus all its efforts on the operational execution of its franchise focus strategy, which is fully geared towards customer centricity and profitable growth in its core business areas. Accordingly, new business planning provides for growth compared with the reporting year. In addition, the operational implementation of the initiatives launched during the reporting year, such as the development of the Bank's own platform for retail deposits and the continuation of the rundown of non-strategic assets, will be a focus for the Bank. Moreover, HCOB will launch a new growth initiative on the market under the name "Managed Accounts" in 2026. This product involves setting up a loan fund for the benefit of external investors, for whom the HCOB Group provides asset management services and contributes its loan sourcing expertise. This product, which is fundamentally scalable, will further strengthen the Bank's commission income. Furthermore, the Bank will use its fully implemented cloud infrastructure to further drive process optimization, as part of its commitment to continuous improvement. AI and automation are to be used more intensively in this context, which HCOB sees as a key driver for further increasing operational efficiency and thus ensuring sustainable profitability.

The earnings forecast for the current 2026 financial year is based on the assumption that total income will decline due to the planned lower balance sheet volume, given a stable development of the net interest margin. However, the decline in the income base should be more than offset by lower risk costs and lower administrative expenses, the latter also supported by the absence of the one-off effect incurred in 2025. Based on current

knowledge, the Bank expects to be able to achieve IFRS net income before taxes for the 2026 financial year of around € 300 million.

This earnings forecast – following the outbreak of war in Iran at the end of February 2026 – is contingent upon the absence of a potential further and sustained escalation of existing geopolitical conflicts/crises (particularly in the Middle East and Ukraine) as well as tensions (trade conflicts), should these be associated with significantly adverse developments in the financial, real estate and shipping markets compared to the assumptions underlying the forecast. The same applies to the potential occurrence of other, currently unforeseeable crisis events. Conversely increased focus on European sovereignty and further European integration could provide strong growth opportunities.

The earnings forecast and future development of Hamburg Commercial Bank are associated with challenges and opportunities overall which are described in detail in both the forecast and the risk report.

Risk report

Risk management system

Principles of risk management

Active risk management represents a core component of the Overall Bank management at Hamburg Commercial Bank. The risk management system is developed on an ongoing basis in line with the Bank's business strategy and risk positions. The Minimum Requirements for Risk Management (MaRisk) and the relevant European Banking Authority (EBA) guidelines serve as the regulatory framework for the design of the risk management system.

Hamburg Commercial Bank defines risk as the threat that unfavorable future developments could have an adverse impact on the Bank's assets, earnings, or financial position.

Hamburg Commercial Bank performs annual and ad hoc risk inventories to identify the material risks. The risks are broken down into financial risks and non-financial risks (NFR). The material risk types that can be quantified at Hamburg Commercial Bank are default risk, market risk, and liquidity risk for the financial risks, whereas the non-financial risks are operational risk, which also includes legal and compliance risks, as well as reputation risk and business strategy risk, which comprises both financial and non-financial components.

In accordance with the regulatory frameworks, Hamburg Commercial Bank does not consider sustainability risks to be an own risk type, but rather as risk drivers in financial risks and non-financial risks, and takes measures to actively manage them, including measures based on sustainability scores for new lending business as well as integration in the scenario calculations. Further information on how the Bank deals with the topic of sustainability and the associated risks can be found in the "Sustainability statement" section of this combined management report.

Definition of risk appetite and risk limit system

As the strategic guideline for the Overall Bank, the Strategic Risk Framework (SRF) serves as the foundation of the risk culture, sets out the focus of the Bank's risk management activities, and defines the objectives of risk management, as well as the measures taken to achieve these objectives. It is fully integrated into the Bank's processes, for example by being incorporated into the Bank's objectives, by way of the definition of requirements for the strategy and planning process, in risk reporting, and in the Code of Conduct.

Through its consistent guidelines, which are aligned with the business strategy, the SRF supports implementation of the business strategy objectives and ensures compliance with the regulatory requirements. The focus is on securing and allocating the scarce resources of capital and liquidity while taking into account the risk appetite. The operationalization of risk appetite is ensured through the risk strategy and the derivation of adequate risk limits. The limit system serves to identify adverse developments at an early stage, to avert them with appropriate countermeasures, and to achieve the risk strategy objectives.

When defining the strategies and the resulting risk appetite, assumptions must be made about the future development of relevant influencing factors. Significant changes, for example in the geopolitical and macroeconomic environment, regulatory developments, or the Bank's strategic orientation, may require an adjustment. The SRF is therefore reviewed at least annually and approved by the Management Board. In line with the strategic focus of Hamburg Commercial Bank, which was approved by the Management Board in the first half of 2025, a mid-year adjustment was made to the SRF.

Organization of risk management

The organization of risk management at Hamburg Commercial Bank is primarily aligned to the requirements of the business model while at the same time taking regulatory requirements into account.
Responsibility for risk management at Hamburg Commercial Bank, including the methods and procedures to be applied for measuring, managing and monitoring risk, lies with the Overall Management Board.

The Risk Committee of the Supervisory Board is in particular responsible for reviewing Hamburg Commercial Bank's current and future overall risk tolerance and risk strategy. In addition, it advises the Supervisory Board on the current and future overall risk tolerance and strategy and supports the Supervisory Board in monitoring the implementation of this strategy by the Management Board. In meetings, the Risk Committee is regularly informed by the Management Board about the Bank's risk situation and risk management.

As a member of the Management Board, the Chief Risk Officer (CRO) is responsible for risk controlling at Hamburg Commercial Bank, including risk monitoring and back office functions. The CRO makes decisions independently of the members of the Management Board responsible for the market or trading divisions. In this way, the separation of functions required under the regulatory provisions between the market and trading divisions on the one hand and risk controlling, control of trading transactions as well as back office on the other, is taken into account at all levels of the Bank from an organizational perspective.

Specifically, the CRO is responsible for the risk control units Strategic & Credit Risk Control, Asset & Liability Risk Control, as well as the Credit Risk Center and Compliance business units.

The risk control units Strategic & Credit Risk Control and Asset & Liability Risk Control are responsible for the risk strategy, the risk controlling function required for regulatory purposes, and the methodological guidelines and models for calculating all risk-relevant components. They develop the methods and tools for identifying, measuring, managing and monitoring the risks and set the risk limits for portfolio management – together with the Credit Risk Center business unit for default risk. The Strategic & Credit Risk Control business unit also assesses collateral for the lending business and determines the loan loss provision amounts in accordance with IFRS 9.

The Asset & Liability Risk Control business unit conducts risk monitoring of trading transactions, while processing is carried out in the Capital Markets Operations department, which falls under the responsibility of the Chief Executive Officer.

Among other things, the Credit Risk Center is responsible for setting ratings and for independently evaluating and preparing a second assessment for normal and intensive exposures that are subject to a vote, establishing and developing credit standards, and – in close cooperation with the Strategic & Credit Risk Control business unit – setting risk limits for portfolio management and monitoring compliance with these limits. The specialized Restructuring & Work-Out department is primarily responsible for restructuring and workout activities. In addition – together with the Strategic & Credit Risk Control business unit – it is responsible for determination of the Stage 3 loan loss provision amounts (IFRS 9).

The Compliance business unit is responsible for monitoring and assessing compliance with legal and regulatory requirements with regard to the Code of Conduct and the regulations on capital market compliance, the prevention of money laundering, terrorist financing, and criminal acts in accordance with Section 25h of the German Banking Act (KWG), and compliance with financial sanctions and embargoes. In addition, the business unit performs the compliance function as defined in AT 4.4.2 MaRisk and in this context strives to ensure that the essential legal regulations and standards are implemented at Hamburg Commercial Bank and complied with.

The organizational structure of Hamburg Commercial Bank is based on the three lines of defense (3 LoD) model. The risks to which the Bank is exposed have to be managed on a decentralized basis (1st LoD), monitored independently (2nd LoD), and included in the process-independent audit (3rd LoD). At Hamburg Commercial Bank, the lines of defense have been clearly defined, as have the corresponding tasks and responsibilities, and are characterized by the following features:

The first line of defense is made up of all of the Bank's business units that incur risks through their operating (business) activities. In particular, as the risk owner, the first line is responsible for managing client and business-specific risks and for designing controls in accordance with the methodological specifications defined by the second line of defense.

A second line of defense has been established for all material risk types, which is responsible for independent monitoring and control as well as determining procedures to limit the respective risks. It is defined by the officer functions required by law but also by similar monitoring activities in other areas of the Bank. Its primary task is a holistic overall consideration of all risks on a case-by-case basis as well as at portfolio level. The risk control units thereby acts as a specialized second line of defense.

Internal Audit is an instrument of the Management Board and forms the Bank's third line of defense. It provides independent and objective auditing and advisory services, which are aimed at creating added value and improving the business processes. It supports the organization in achieving its objectives by evaluating the effectiveness of risk management, the controls in place, and the management and monitoring processes under a systematic and targeted approach, and helps to improve them. Internal Audit informs the Overall Management Board and the Audit Committee of the Supervisory Board regularly and on an ad hoc basis about the results of its audits and about the timely elimination of deficiencies in general.

Risk management is coordinated consistently throughout the Group based on a Global Head principle. As the respective Global Heads, the heads of the individual business units have Group-wide responsibility for the strategy of the business areas assigned to them and also have disciplinary responsibility for the employees working in their business area. The Global Heads are supported by the head of the respective foreign branch (General Manager) in the implementation of the strategy on site in the foreign branches whilst maintaining the separation of duties in accordance with MaRisk.

Hamburg Commercial Bank has stipulated rules in accordance with the MaRisk requirements, under which formalized audit processes are gone through prior to commencing business activities with new products or in new markets (NPNM processes). This ensures that the products are properly considered under risk aspects in the relevant systems and reflected in the relevant processes, and that transactions involving new products or new markets are only entered into with the approval of the corresponding competence level. There is also an NPNM review process in place, under which the appropriate mapping of existing products or product approvals is reviewed on a regular basis.

For the Group-wide risk management, Hamburg Commercial Bank considers those entities that are to be specifically monitored at the Group level due to material risks. Additional information on the organization of risk management is presented in the following sections
for each risk type.

Risk management by central committee structure

The Management Board has established committees with their own respective responsibilities, that support it in monitoring and managing all material risks. Besides the members of the Management Board, the committees are also composed of managers from the Risk and other departments, ensuring that information regarding risk aspects is regularly exchanged. Insofar as internal or external regulations do not permit delegation of decisions to the committees, such decisions are prepared by these committees for approval by the Overall Management Board.

The Asset Liability Committee (ALCO) is the body responsible for financial resource management and allocation within the context of risk limits and plan targets. The main objectives of the ALCO are to monitor and manage the scarce resources of liquidity and funding, to manage market risks in the banking book plus overlay management, and to allocate assets and capital. If risk limits are exceeded, the need for potential countermeasures to be taken with regard to the areas for which the ALCO is responsible is discussed and prepared before corresponding resolutions are adopted and implemented by the Management Board.

The Franchise Committee is responsible for the early assessment of material transactions and business activities before they proceed to the subsequent lending decision process. Individual transactions are managed taking profitability, structure and risk aspects as well as sustainability criteria into account.

The Credit Committee is tasked with making lending decisions on major exposures. For loan applications at the competence level of the Overall Management Board, the Credit Committee makes a decision recommendation in advance. Other tasks include dealing with fundamental issues relating to the lending business and providing impetus for regular adjustments to Hamburg Commercial Bank's credit standards.

The Project Steering Committee (PSC) is the central steering committee below the Overall Management Board for the entire project portfolio of Hamburg Commercial Bank. This makes the PSC the planning, decision-making and escalation authority for the content and scope of projects and their scheduling. The PSC also manages the prioritization of projects and resources and decides on key IT architecture issues.

Among other things, the Sustainability Committee is responsible for the development and management of the Bank's sustainability strategy. It ensures compliance with the Bank's ESG targets and the requirements of ESG-related legal, regulatory and other external frameworks, to which Hamburg Commercial Bank has voluntarily committed itself.

Risk reporting and measurement systems

Hamburg Commercial Bank has central data storage systems and risk measurement systems, which take into account internal and regulatory requirements, for the purposes of analyzing, monitoring and reporting risks. Risk reporting generally takes place by means of the management and reporting systems in the risk control units. The risk management systems ensure effective risk management and are adequate with regard to Hamburg Commercial Bank's profile and strategy.

The central element of risk reporting is the monthly management report. As an integrated financial and risk report, this Management Board report provides information on Hamburg Commercial Bank's overall situation with regard to the key value drivers and performance indicators, particularly income, costs, risk, sustainability, liquidity, capital, and the development of the recovery plan indicators, and it includes the Bank's data quality reporting. Compliance with the relevant risk limits is monitored using the management report.

The Risk Committee is informed regularly about the development of relevant risk parameters at Hamburg Commercial Bank and receives the relevant extracts from the management report.

Other overall risk reports include the disclosure report under Part 8 of the Capital Requirements Regulation (CRR) as well as this risk report as part of the combined management report.

In addition to risk reports on the overall risk, there are reporting instruments based on the risk type. In this way, the full Management Board is informed via a daily market and liquidity risk report about risk and earnings trends as well as limit utilization levels.

Internal control system

BANK-WIDE INTERNAL CONTROL SYSTEM

The Management Board of Hamburg Commercial Bank bears the overall responsibility for ensuring that a proper business organization is in place at the Hamburg Commercial Bank Group, including an appropriate and effective internal control system (ICS).

The ICS of Hamburg Commercial Bank is based on a Bank-wide main and sub-process structure (process map), which also includes the domestic and foreign branches. A person responsible for the process is nominated for all main processes.

The top priorities of this ICS assessment are the structured and systematic examination of potential or known process risks together with the definition of and decision on appropriate measures to be taken to mitigate them. Furthermore, the ICS makes a contribution to the effectiveness of the processes by specifying uniform rules for the Bank as a whole.

The central ICS unit is an independent function in the Operations business unit and regularly reports to the Management Board as part of the quarterly non-financial risk reporting. It is responsible for methodological guidelines and their continuous development and reviews the appropriateness and effectiveness of the Bank-wide process controls on a sample basis using a risk-orientated process evaluation. An implemented ICS cycle also ensures that the ICS is reviewed with respect to its correctness and functionality as well as its appropriateness and effectiveness. Appropriate responsibilities and roles have been established to ensure the proper fulfilment of tasks within the ICS cycle.

INTERNAL CONTROL SYSTEM WITH REGARD TO THE ACCOUNTING PROCESS

The Finance & Bank Steering business unit is responsible for the process of preparing the consolidated and single-entity financial statements of Hamburg Commercial Bank and the correctness of the (Group) accounting methods. The ICS for the accounting process serves to ensure compliance with the rules to be applied and generally accepted accounting principles. This maintains a quality standard that ensures the reliable and correct presentation of net assets, financial position, and results of operations. The written rules including all internal instructions and regulations form the essential basis of the ICS.

The accounting processes are reviewed on a regular basis by the responsible persons in charge of each process and adjusted to the current framework conditions and requirements. In addition, process-independent audits are carried out by Internal Audit.

Regulatory requirements

Hamburg Commercial Bank determines the amount of regulatory capital backing for default, market and operational risks as well as for risks resulting from credit valuation adjustments (CVA) of OTC derivatives on the basis of the CRR requirements. The so-called IRB approach is applied to default risks for the majority of the portfolio, for which the Bank's supervisory authorities have granted the appropriate authorization. The Credit Risk Standardized Approach (CRSA) is used for the remaining portfolio. Hamburg Commercial Bank uses standard procedures to determine the amounts allocated to market risk positions, to take account of operational risks, and for CVA.

In accordance with the requirements of Part 8 CRR in conjunction with Section 26a (1) sentence 1 KWG, Hamburg Commercial Bank publishes material qualitative and quantitative information on equity and risks incurred in a separate disclosure report. The contents of the document go beyond the disclosure on the basis of the accounting standards applied in this Annual Report, by providing a comprehensive insight into the regulatory framework and the current risk situation of the Bank on the basis of regulatory figures. The disclosure report as at December 31, 2025, is available on our website www.hcob-bank.com four weeks after publication of this Annual Report. The disclosure report does not form part of the combined management report. With its publication, Hamburg Commercial Bank has implemented the requirements of the third pillar of the Basel Accord (market discipline). The requirements regarding the disclosure of risk management objectives and policies pursuant to Article 435 (1) CRR and the description of the flow of information to the management body on risk issues pursuant to Article 435 (2e) CRR are implemented in this risk report. The description of the approach required in accordance with Article 438 (a) CRR, under which the institution assesses the adequacy of its internal capital to support current and future activities (capital adequacy process), is also included in this risk report. The same applies to the description of the approaches and methods used to determine specific and general credit risk adjustments in accordance with Article 442 (b) CRR.

REQUIREMENTS UNDER THE SUPERVISORY REVIEW AND EVALUATION PROCESS

The Bank's business model, governance, risk situation, capital, and liquidity position are reviewed as part of the Supervisory Review and Evaluation Process (SREP). Based on the analyses, the supervisory authorities may specify requirements for capital and liquidity utilization that exceed the existing minimum regulatory requirements. The individual capital requirements assigned to the Bank by the ECB and reviewed annually as part of the SREP were adhered to at all times during the reporting period.

The following table provides an overview of the capital requirements applicable to Hamburg Commercial Bank. In addition, there is a Pillar 2 Guidance (P2G) for CET1 capital.

Capital requirements[1)]

(%)	Dec. 31, 2025	Dec. 31, 2024
Pillar 1		
Minimum capital requirement	8.0	8.0
thereof: to be supported by CET1 capital	4.5	4.5
thereof: to be supported by additional Tier 1 (AT1) capital	1.5	1.5
thereof: to be supported by Tier 2 capital	2.0	2.0
Combined buffer requirement – to be supported by CET1 capital	3.3	3.3
Pillar 2		
Pillar 2 requirements (P2R)	2.1	1.8
thereof: to be supported by CET1 capital	1.2	1.0
thereof: to be supported by additional Tier 1 (AT1) capital	0.4	0.3
thereof: to be supported by Tier 2 capital	0.5	0.5
Overall capital requirements		
CET1 capital	9.0	8.8
Tier 1 capital	10.9	10.6
Total capital	13.4	13.1

[1)] Total differences are rounding differences

As part of the 2025 SREP decision, the Pillar 2 requirements (P2R) for Hamburg Commercial Bank for 2026 were set at 2.29 %. The capital requirements for 2026 are approximately 9.1 % for CET1, 11.1 % for Tier 1 capital, and 13.6 % for total capital.

Compliance with the capital requirements is tested under the normative perspective in the ICAAP over a multi-year time horizon in the base scenario and in stress scenarios.

Regulatory capital ratios[1)]

(%)	Dec. 31, 2025 [2)]	Dec. 31, 2024 [3)]
Overall capital ratio	21.2	22.4
Tier 1 capital ratio	16.5	17.3
CET1 capital ratio	16.5	17.3

[1)] Regulatory group according to CRR

[2)] The proposed dividend payment of around € 1,256 million in 2026 was taken into account in the Common Equity Tier 1 capital in advance; the dividend payment is subject to approval by the Annual General Meeting

[3)] The dividend payment made in 2025 was taken into account in advance in the Common Equity Tier 1 capital.

Regulatory capital[1), 2)]

(€ bn)	Dec. 31, 2025 [2)]	Dec. 31, 2024 [3)]
Regulatory capital	2.8	4.1
thereof: Tier 1 capital	2.2	3.2
thereof: CET1 capital	2.2	3.2
thereof: additional Tier 1 capital	–	–
thereof: Tier 2 capital	0.6	0.9

[1)] Regulatory group according to CRR

[2)] The proposed dividend payment of around € 1,256 million in 2026 was taken into account in the Common Equity Tier 1 capital in advance; the dividend payment is subject to approval by the Annual General Meeting

[3)] The dividend payment made in 2025 was taken into account in advance in the Common Equity Tier 1 capital.

Risk-weighted assets (RWA)[1), 2)]

(€ bn)	Dec. 31, 2025	Dec. 31, 2024
Credit risks	11.6	16.5
Market risks	0.2	–
Operational risks	1.3	1.4
Other RWA	–	0.3
Total RWA	**13.1**	**18.2**

[1)] Regulatory group according to CRR

[2)] Total differences are rounding differences

As planned, the CET1 ratio at December 31, 2025 decreased compared to the end of the previous year (17.3 %), but at 16.5 % it remains above the updated strategic target of 16.0 % set at the half-year reporting date. The decrease is due to the inclusion of the proposed dividend payment of € 1,256 million for the 2025 financial year in the Bank's Common Equity Tier 1 capital. As a result, despite the positive Group net result and the increase in OCI, CET1 capital decreased to € 2.2 billion as at December 31, 2025 (December 31, 2024: € 3.2 billion). There was an offsetting positive effect on the ratio from the significant decrease in RWA for credit risks, as a result of which the aggregate RWA declined to € 13.1 billion as at December 31, 2025 (December 31, 2024: € 18.2 billion). The drivers here were the lower business volume in association with a changed portfolio structure, the first-time application of the CRR III framework, and a depreciation of the US dollar.

The regulatory CET1 ratio for the single entity under HGB accounting standards was 16.3 % as at December 31, 2025 (December 31, 2024: 17.1 %). The corresponding Tier 1 capital ratio reached 16.3 % (December 31, 2024: 17.1 %), and the overall capital ratio amounted to 21.0 % (December 31, 2024: 22.2 %). The capital ratios for the single entity as at December 31, 2025 are also reported after taking into account the proposed dividend payment for the 2025 financial year. The single entity (HGB) regulatory capital requirements were adhered to at all times during the reporting period.

The BRRD (EU Bank Recovery and Resolution Directive) requires banks in EU member states to maintain sufficient loss absorption and recapitalization capacity in the form of regulatory capital and defined liabilities (MREL – Minimum Requirement for Own Funds and Eligible Liabilities). The Bank has complied with the requirements at all times during the reporting period. As at December 31, 2025, the MREL ratio was 63.4 % of the total risk exposure amount (TREA) and the leverage ratio exposure (LRE) was 28.0 %. Hamburg Commercial Bank has no MREL requirements for 2025 that go beyond the regulatory capital requirements.

The development of the capital ratios can be negatively affected by macroeconomic and sector-specific developments. Risks may also arise from the regulatory environment, for instance from interpretation decisions or audits.

It is possible, for example, that additional individual and increased capital requirements could arise from the regular SREP process carried out within the Banking Union. Additional discretionary decisions made by the supervisory authorities and industry-wide capital requirements (capital buffer for systemic and cyclical risks) could therefore result in higher capital requirements. Discretionary decisions made by the supervisory authorities with regard to model risks and validations may result in increases in RWA and thereby adversely impact the capital ratios for future PD estimates in the internal models. However, based on its medium-term planning, the Bank does not expect any additional burdens from the new output floor introduced with Basel IV until it comes into full effect in 2030.

ICAAP/risk-bearing capacity

Hamburg Commercial Bank assesses capital adequacy from both a normative and an economic perspective in accordance with the ECB Guide to the internal capital adequacy assessment process (ICAAP). The Bank defines capital adequacy as the ongoing safeguarding of financial stability, in the sense that risks are adequately covered by capital in order to ensure the implementation of the objectives of the business model. By determining it on a regular basis, capital adequacy forms part of the internal reporting and is closely managed and reported to the Bank's supervisory authorities.

The economic perspective is used to check whether all material risks are backed by internal capital at a specific point in time. In contrast to the regulatory view (CRR), the concept of capital here is based on an internal

definition. The so-called risk coverage potential is based on equity in accordance with IFRS, which is economically adjusted taking into account the requirements of the ICAAP guidelines, for example by deducting deferred tax assets.

The measurement of risks is based on the Bank's internal economic methods and procedures. As part of the monitoring of the risk-bearing capacity, Hamburg Commercial Bank regularly compares the total economic capital required for all material risk types (overall risk) to the available economic risk coverage potential.

Hamburg Commercial Bank analyses its risk-bearing capacity comprehensively on a quarterly basis as well as within the framework of its annual planning process.

The overall risk takes into account default risk, market risk, and operational risk as well as the liquidity maturity transformation risk as an element of liquidity risk. Economic capital required as an expression of unexpected losses is determined monthly for default, liquidity, market and operational risks in a methodologically consistent manner with a confidence level of 99.9 % and a risk horizon of one year.

The economic capital requirements of the individual risk types are aggregated into the overall economic risk. No risk-reducing correlations between the risk types are utilized in the process.

The economic capital required for default risks is determined on the basis of internal rating procedures, LGD and CCF models, taking into account economic adjustments, particularly for risk concentrations.

Market risk (Value at Risk, VaR) is scaled up on the basis of the confidence level chosen by the Bank and a one-day holding period to show the economic capital required for market risk positions for the purpose of managing risk-bearing capacity with a risk horizon of one year.

Hamburg Commercial Bank also uses a VaR approach to quantify the liquidity maturity transformation risk. This structural liquidity risk is an expression of the risk of an increase in refinancing costs for the subsequent closure of open liquidity positions. The risk of illiquidity, on the other hand, which is more significant for the purposes of managing the liquidity risk in principle, is backed by a buffer of liquid funds. Information on managing the risk of illiquidity is included in the section entitled "Liquidity risk".

The operational risks are determined based on the most relevant scenarios from the risk scenario assessment using a Monte Carlo simulation.

At 60 %, the utilization of risk coverage potential is on a par with the previous year's level (December 31, 2024: 60 %). The reduction in risk coverage potential due to the inclusion of the proposed dividend payment in 2026 is offset by the lower economic capital required for the reduced default risk as a result of the strategic focus and for the market risk. The decline in market risks is primarily the result of a new, more differentiated VaR approach for the Contractual Trust Agreements (CTA) assets with regard to modeling of diversification and risk concentration effects in extreme market situations. For detailed information, please refer to the chapter "Measuring and limiting market risk" in this combined management report.

The risk-bearing capacity was ensured at all times during the reporting period.

ICAAP/risk-bearing capacity of the Group[1)]

(€ bn)	Dec. 31, 2025	Dec. 31, 2024
Economic risk coverage potential	2.3	3.2
Total economic risk	1.4	1.9
thereof: default risks	0.8	1.1
thereof: market risks	0.5	0.7
thereof: liquidity risks	0.01	0.02
thereof: operational risks	0.1	0.1
Utilization of risk coverage potential (%)	60	60

[1)] Total differences are rounding differences

In addition to the economic perspective described above, compliance with the regulatory capital requirements over a medium-term horizon (at least a 3-year perspective in the base and stress case) under the internal normative perspective is also assessed in accordance with the ICAAP guidelines. The normative approach is not limited to the Pillar 1 risks covered by the regulatory capital requirements, but also takes account of economic effects on the key regulatory ratios through reciprocal relationships.

Adherence to the regulatory capital requirements, including an internal management buffer, is checked by means of the quarterly calculation of the regulatory capital ratios as at the reporting date and over a multi-year scenario horizon. These requirements refer explicitly to the capital planning and to dynamic scenarios in the baseline and adverse scenarios (base and downside planning).

Scenario calculations

Significant macroeconomic risks regarding the capital ratios and risk-weighted assets (RWA) result from a potential deterioration in the market and risk parameters in the Bank's core markets, including the interest rate environment and a stronger US dollar. In particular, the economic burdens triggered by the intensification of geopolitical tensions and the further deterioration of the macroeconomic environment may lead to a significant deterioration in the risk parameters. For example, a potential escalation of global trade conflicts could adversely affect the shipping industry, while a significant inflation-driven rise in interest rates could materially impact the interest-sensitive Real Estate segment.

Therefore, HCOB calculates the impact of macroeconomic scenarios, such as a severe economic downturn or business segment-specific crises, on the Pillar 1 and Pillar 2 capital ratios and on the leverage ratio. In addition to stress tests specific to risk types, the Bank also regularly conducts stress tests across all risk types in order to be able to better estimate the effects of potential crises on key parameters such as utilization of the Pillar 2 risk-bearing capacity, regulatory capital ratios, and liquidity and thus Hamburg Commercial Bank's overall risk position. In order to perform dynamic stress tests, macroeconomic scenarios are developed regularly on the basis of observed market developments, which are oriented towards the base and stress forecasts of the ECB, the Bundesbank, the German Council of Economic Experts (Sachverständigenrat), the OECD, and other institutes. Building on this, additional sector-specific stress scenarios (such as a shipping crisis) are added, along with scenarios that depict the possible transition, reputation and physical risks associated with climate change. In addition, there are scenarios which, along with the capital burden of macroeconomic effects, also assume a significantly more difficult liquidity situation. In these so-called ICLAAP scenarios, capital and liquidity are stressed simultaneously and consistently. In addition, the effects of possible regulatory developments are regularly assessed.

These expected and stress forecasts are incorporated into simulation scenarios for the economic and normative ICAAP perspective, presented to the ALCO and the full Management Board on a quarterly basis, and analyzed regularly by the Management Board as part of an action-oriented management dialog.

In the event of a deterioration in key capital adequacy or SRF ratios, measures to strengthen the capital ratios would be necessary, in order to comply with the Bank's internal requirements and with the regulatory requirements at the level of the Hamburg Commercial Bank Group. If capital buffer requirements are not met in such a scenario despite measures being taken, a capital conservation plan would then have to be prepared in accordance with Section 10i (3) KWG. A ratio significantly above the regulatory requirements is expected for the overall capital ratio in the base scenario as well as in the downside scenario for the following year.

In addition, so-called ad hoc stress analyses are performed for purposes of the economic perspective, i.e. the impact of changes in risk parameters is investigated based on the current portfolio for a one year risk horizon (sensitivity).

Furthermore, Hamburg Commercial Bank's recovery plan, drawn up in accordance with the German Recovery and Resolution Act (SAG), is an important instrument. It serves both the purpose of the early identification of any resource bottlenecks using appropriate indicators and their elimination in crisis situations by means of pre-defined options for action. The effectiveness of the options identified, the selected recovery plan indicators, and the related processes are reviewed and substantiated in the recovery plan on an annual basis by means of specific stress scenarios.

The indicators and action options used in the recovery plan are closely coordinated with the requirements of the SRF. The particular purpose of the stated processes is to ensure that the Bank is able to comply with the regulatory minimum requirements and internal guidelines, even under stress conditions. In addition, Hamburg Commercial Bank carries out inverse stress tests at least once a year. In doing so, scenarios that could endanger the continuity of the Bank are identified. This information is also used by Hamburg Commercial Bank's Management Board as guidance for discussing and deciding upon any action required in the event of developments that threaten the Bank's existence.

In addition to stress tests across all risk types, Hamburg Commercial Bank has established procedures for the early identification of negative developments at the level of individual risk types, which are discussed in the following sections.

Default risk

Default risk is the risk of losses resulting from defaults by counterparties. Hamburg Commercial Bank breaks down its default risk into credit, collateral, NPE strategy, settlement, country/transfer and equity holding risk.

Organization of default risk management

The analysis units in the market business units are responsible for managing credit risk over the entire term of the loan. Where necessary, the exposure is transferred to the Restructuring & Work-Out department. The Credit Risk Center business unit is responsible for ensuring independent and appropriate control of the credit risk.

The individual analysis units are responsible for credit risk analysis, including the preparation of ratings and drafting of the credit applications as well as contract and collateral documentation. This also includes the ongoing monitoring of loan exposures, including the recognition of warning signs and assignment to intensive supervision.

Among other things, the Credit Risk Center business unit is responsible for setting ratings and for preparing a second assessment for normal and intensive exposures that are subject to a vote. Voting on credit transactions is a general prerequisite for lending decisions. In this context, the Credit Risk Center business unit may exercise a veto right or impose binding conditions.

Graduated competence levels are defined for lending decisions, depending on the rating and the amount of an exposure. For material lending decisions, the level of the Credit Committee or the full Management Board is envisaged.

Hamburg Commercial Bank makes use of the option under MaRisk to dispense with the involvement of the Credit Risk Center business unit for lending transactions in certain types of business and below certain thresholds in normal and intensive supervision, which are classified as not material from a risk perspective.

Restructuring cases are generally managed jointly by the analysis unit of the market business unit and the specialized Restructuring & Work-Out department, which is part of the Credit Risk Center business unit. Workout cases are fully handled by the Restructuring & Work-Out department.

The restructuring and workout-specific activities primarily include the development of restructuring or workout concepts, their decisive implementation, the monitoring of success, the examination of whether a default is to be determined in the framework of ratings preparation, the classification as deferred or non-performing risk positions, the determination of loan loss provision amounts (IFRS 9 Stage 3) together with the Strategic & Credit Risk Control business unit, and ultimately the termination of the restructuring or workout process.

In the Credit Risk Governance department, systematic default risks are examined in cooperation with the BU Strategic & Credit Risk Control and the market business units using market and portfolio risk indicators as well as sub-portfolio analyses. In addition, the effects of geopolitical risk scenarios on the sub-portfolios are assessed. Risk limits are set and monitored for portfolio management. In the monthly Risk Office Circle, necessary changes to credit standards and portfolio risk limits as well as macroeconomic and geopolitical classification triggers for intensive supervision are discussed with the involvement of the Management Board. The Credit Risk Governance department is also responsible for the guidelines in the lending business and the structure of Hamburg Commercial Bank's lending processes.

The trading lines for counterparty and issuer risk are monitored by the Asset & Liability Risk Control business unit. As part of the trading line monitoring, the potential future exposure on derivatives is recalculated daily for each customer on the basis of a 95 % quantile and compared to the respective trading limit.

Among other things, the Strategic & Credit Risk Control business unit is responsible for the independent analysis and monitoring of risks at portfolio level, including the methodology for risk measurement, the independent reporting and the management of country/transfer risks, and the calculation of loan loss provision amounts in accordance with IFRS 9. This also includes ensuring portfolio transparency and independent business area analysis (including scenario simulations) as well as the operation of an automated early warning system.

Along with the process descriptions, the principles and regulations contained in Hamburg Commercial Bank's Credit Manual, in particular on voting and lending competencies (definition of voting and/or decision-making powers for lending decisions made by the Bank as well as for entering into, changing and terminating equity holdings) and reporting thereof, on assessing creditworthiness and the determination of ratings, on the treatment and valuation of collateral, on ongoing exposure monitoring, and on dealing with problem loans, including classification as deferred risk positions or non-performing, defaulted or impaired loans, form the basis for the operating activities within the lending business.

Thereby, credit risks which fall under the definition as set out in Article 389 CRR are considered and treated differently based on collateral, loan type, rating category, and type of credit risk. The basis is Hamburg Commercial Bank Group's total exposure per group of connected customers (GCC) as defined in Article 4 (1) no. 39 CRR. Hamburg Commercial Bank has defined valuable collateral in order to differentiate between collateralized and non-collateralized loans. This is based on the fulfillment of the requirements under the CRR (for example, the existence of a market value, realization possibilities, lack of correlation to the secured credit, legal enforceability, matching of maturity). The range of approved collateral can be expanded following an assessment carried out by a team independent of the market units, consisting of specialists from the Credit Risk Center and Strategic & Credit Risk Control business units and the Credit Law department.

Credit risk management for single risks is supplemented in particular by instructions on exposure monitoring and early identification of risks, as well as limit monitoring based on default risk for specific sub-portfolios (Real Estate, Shipping, Leveraged Transactions, amongst others), which was approved in the SRF.

Management of the default risk

In line with Hamburg Commercial Bank's business strategy focus as a commercial bank and specialist finance provider, default risk represents a significant risk. For its measurement and management, the risk management uses procedures and methods that are continuously reviewed for appropriateness and developed further.

The main parameters for the default risk are the expected and the unexpected losses. The expected loss is equivalent to the amount which is expected within one year on a given probability of default (PD), loss given default (LGD), and exposure at default (EAD) for a borrower. The EAD is the expected loan amount outstanding taking into account a potential (partial) drawdown of commitments and contingent liabilities that will adversely impact the risk-bearing capacity in the event of a default. The maximum amount by which an actual loss can exceed the expected loss with a specified probability (99.9 %) within a specified time period (one year) is described as the unexpected loss. PD, LGD, and EAD are also relevant risk parameters in this context. Based on the requirements for calculation of the regulatory capital backing in accordance with CRR for IRB models, the economic capital required for internal management is determined, taking into account economically justified adjustments. In addition, institution-specific asset correlations and granularity adjustments designed to cover existing risk concentrations are taken into account in determining the economic capital required for default risk.

In addition to the non-performing loans ratio (NPL ratio), which is defined as the most important key performance indicator, the non-performing exposure ratio (NPE ratio) is another key metric for managing the Bank's defaulted exposure. Both ratios are subject to a risk limit. According to the regulatory FINREP reporting system, the NPL ratio is calculated as the ratio between the gross carrying amounts of non-performing loans and the total amount of the gross carrying amounts of all loans. The NPE ratio represents the ratio between the EAD of the risk positions of defaulted loans and the total EAD of all the Bank's risk positions. In addition, the NPE coverage ratio AC (ratio of total loan loss provisions recognized on the non-performing exposure to the total non-performing exposure AC) is monitored at the Overall Bank level.

The syndication of lending transactions and the acquisition of credit insurance help to actively shape the composition of the portfolio and align the individual financing risks (so-called final takes) to the balance sheet ratios. The Bank subjects all new business and selected existing business that is immediately intended for syndication or could potentially be considered for syndication at a later date to a market conformity check and/or syndication assessment by the relevant market departments. The Credit Committee then makes a joint decision together with the syndication unit and the deal team sales employees as to whether syndication should be arranged as part of the new business or underwriting process. The volume of the underwriting book as well as the maximum holding period of a loan intended for sale are limited by corresponding risk limits.

RATING PROCEDURE, LGD, AND CCF

Hamburg Commercial Bank uses rating modules for banks, corporates, international sub-sovereigns, country and transfer risks, insurance companies, leveraged finance, savings banks standard rating and leasing, as well as for special financing for ships, real estate, and projects.

In addition to quantitative information, various qualitative characteristics are also part of each rating module. The result is a probability of default (PD) for each borrower and hence allocation to a specific rating category. The Bank uses an identical rating master scale for all modules, which not only makes different portfolio segments comparable, but also enables mapping with external ratings.

In order to determine the expected utilization of contingent liabilities and loan commitments in the event of a possible default, so-called credit conversion factors (CCF) are empirically determined and applied. The loan amount outstanding weighted by CCF is described as EAD.

To forecast the loss given defaults, Hamburg Commercial Bank uses a differentiated
LGD methodology Based on historical loss information, collateral-specific realization proceeds rates and borrower-specific loss ratios are estimated. The expected economic default amount is calculated using EAD, PD, and LGD.

As part of the annual validation process, the predictive accuracy of the rating modules is reviewed in the reporting year with regard to the predicted default probabilities using anonymous, aggregated data, and the LGD and CCF procedures are independently validated in a comparable manner and continually enhanced.

RISK CONCENTRATIONS

Within the framework of regular business segment analyses, potential counterparty default risk concentrations, for example with regard to groups of connected clients (GCC), regions or industrial sectors in a broader sense, are identified and their trend is monitored. The material concentrations of credit risk within Hamburg Commercial Bank at the end of 2025 were in the real estate portfolio, which accounted for 21 % of the overall portfolio and is thus slightly below the level seen in the previous year (December 31, 2024: 22 %).

There is an internal process for monitoring the upper limits of large exposures in accordance with Article 395 CRR, which ensures compliance with the regulatory requirements. In addition, the main counterparty concentrations in the portfolio are identified. In order to avoid future counterparty concentrations, the Bank's credit standards define exposure limits per individual borrower and per group of connected clients.

As part of the management of risk concentrations, the transfer risk limitation provides an additional management dimension. Both absolute and maturity-dependent country limits are set for transfer risk concentrations at the Hamburg Commercial Bank Group level. The utilization of the corresponding risk limits is monitored continuously.

The Management Board is informed regularly about the development of risk concentrations, and quarterly reports are submitted to the Risk Committee.

EQUITY HOLDING RISK

Overall, the equity holdings portfolio of Hamburg Commercial Bank is not material for business operations. The reduction in equity holdings continues. New equity holdings are only acquired if they meet Hamburg Commercial Bank's strategic objectives. Opportunities and risks of a possible equity holding commitment are analyzed in detail prior to the conclusion of the transaction.

A key tool for monitoring and management of equity holding risk is regular corporate assessment. Impairment tests are performed at least once a year on all equity holdings of Hamburg Commercial Bank. When doing so, significant equity holdings are subjected to a more detailed analysis.

Furthermore, the articles of association and Rules of Procedure are formulated so as to ensure that the most intensive management possible can be exercised for the benefit of Hamburg Commercial Bank.

Hamburg Commercial Bank has issued hard letters of comfort for two companies in the equity holdings portfolio and is therefore liable for the liabilities of these companies. These letters have so far not given rise to any liability on the part of Hamburg Commercial Bank. Hamburg Commercial Bank has concluded a profit and loss transfer agreement with one further equity holding.

MANAGEMENT OF THE DEFAULT RISK IN THE PRICING AND RECALCULATION

Hamburg Commercial Bank applies a uniform method for the pricing of lending transactions through calculating the present value of the expected losses and the regulatory capital required to cover the unexpected losses arising on default risk positions. In addition to liquidity costs and full costs, the rating, LGD and EAD risk parameters determined internally on an individual transaction basis are incorporated in the pricing by means of the standard risk costs and the regulatory capital backing, which are calculated using the CRSA or F-IRB approach, depending on the transaction.

Similarly, a monthly recalculation (profit-center calculation) of the transactions takes place, taking into account the above-mentioned cost components. Based on the current risk parameters of the individual transactions, the standard risk costs are determined and incorporated in the contribution margin calculation. Furthermore, utilization of the capital commitment set as part of the Bank's annual plan is determined regularly at business unit level for the purposes of managing default risk.

DEFAULT RISK STRUCTURE

Hamburg Commercial Bank continuously and systematically monitors potential effects of the macroeconomic and geopolitical environment at the level of sub-portfolios and individual clients.

The reporting period was characterized by both geopolitical and macroeconomic uncertainties and volatility. Customers whose business model is expected to be affected by direct and indirect consequences of the wars, US tariff policy, deglobalization, low economic growth, as well as the changing interest rate landscape and energy and raw materials supply are monitored, primarily through the credit watchlist process, and the need for measures to manage credit risk is reviewed continuously. The Risk Office Circle regularly discussed geopolitical risk scenarios and carried out regular and ad hoc risk analyses at sub-portfolio level in order to identify systematic credit risks in the portfolio. Where necessary, adjustments were made to credit standards, portfolio risk limits, and macroeconomic and geopolitical classification triggers for the credit watchlist/intensive supervision.

The EAD of the total exposure amounted to € 30,791 million as at December 31, 2025 (December 31, 2024: € 36,692 million).

The EAD broken down by internal rating categories is presented in the following table. EAD with an investment grade rating (rating category 1 to 5) remains high at 70 % of the total exposure at the Group level (December 31, 2024: 69 %).

In the reporting year, new defaults continued to occur mainly in the real estate portfolio; however, these were more than offset by the systematic resolution of non-performing exposures. Accordingly, the NPE portfolio decreased to € 615 million (December 31, 2024: € 686 million). With a simultaneous decrease in total exposure, the NPL ratio of 3.3 % and the NPE ratio of 2.0 % as at December 31, 2025 were at the same level as at the end of the previous year (NPL: 3.3 % / NPE: 1.9 %).

Default risk structure by rating category[1), 3)]

	Dec. 31, 2025		Dec. 31, 2024	
	EAD (€ mn)	relative share (%)	EAD (€ mn)	relative share (%)
1 (AAAA) to 1 (AA+)	5,747	18.7	5,764	15.7
1 (AA) to 1 (A–)	8,465	27.5	11,237	30.6
2 to 5	7,257	23.6	8,320	22.7
6 to 9	6,590	21.4	8,705	23.7
10 to 12	1,644	5.3	1,140	3.1
13 to 15	355	1.2	746	2.0
16 to 18 (default grades)	615	2.0	686	1.9
Other[2)]	117	0.4	94	0.3
Total	**30,791**	**100**	**36,692**	**100**

[1)] Mean default probabilities (%): 1 (AAAA) to 1 (AA+): 0.00–0.02; 1 (AA) to 1 (A–): 0.03–0.09; 2 to 5: 0.12–0.39; 6 to 9: 0.59–1.98; 10 to 12: 2.96–6.67; 13 to 15: 10.00–20.00; 16 to 18: 100.00

[2)] Transactions for which there is no internal or external rating available are reflected in the Other line item, such as receivables from third parties of the Bank's consolidated equity holdings and G/L accounts

[3)] Total differences are rounding differences

EAD broken down by sectors important for Hamburg Commercial Bank is presented in the following table:

Default risk structure by sector[1), 2)]

	Dec. 31, 2025		Dec. 31, 2024	
	EAD (€ mn)	relative share (%)	EAD (€ mn)	relative share (%)
Public sector	6,530	21.2	6,446	17.6
Land and buildings	4,602	14.9	6,085	16.6
Credit institutions	4,644	15.1	6,046	16.5
Other financial institutions	3,387	11.0	5,846	15.9
Other services	4,985	16.2	4,592	12.5
Shipping	2,237	7.3	3,058	8.3
Industry	2,655	8.6	2,753	7.5
Trade and transport	1,690	5.5	1,763	4.8
Private households	61	0.2	103	0.3
Total	**30,791**	**100**	**36,692**	**100**

[1)] Total differences are rounding differences

[2)] The "Aviation" item reported separately as at December 31, 2024 is included in the "Trade and transport" item as at December 31, 2025

The following table shows EAD broken down by residual maturities:

Default risk structure by residual maturity[1)]

	Dec. 31, 2025		Dec. 31, 2024	
	EAD (€ mn)	relative share (%)	EAD (€ mn)	relative share (%)
<3 months	3,975	12.9	4,736	12.9
3 months to <6 months	1,206	3.9	1,273	3.5
6 months to <1 year	2,281	7.4	1,979	5.4
1 year to <5 years	13,059	42.4	16,940	46.2
5 years to ≤10 years	6,620	21.5	6,969	19.0
>10 years	3,651	11.9	4,795	13.1
Total	**30,791**	**100**	**36,692**	**100**

[1)] Total differences are rounding differences

The following table provides an overview of the EAD by region:

Default risk structure by region[1)]

	Dec. 31, 2025		Dec. 31, 2024	
	EAD (€ mn)	relative share (%)	EAD (€ mn)	relative share (%)
Eurozone	20,312	66.0	23,316	63.5
thereof: Germany	10,688	34.7	11,885	32.4
thereof: France	1,739	5.6	2,124	5.8
thereof: Greece	–	–	–	–
thereof: Italy	255	0.8	227	0.6
thereof: Portugal	69	0.2	104	0.3
thereof: Spain	430	1.4	661	1.8
Western Europe	4,184	13.6	4,521	12.3
thereof: Scandinavia	1,372	4.5	1,578	4.3
thereof: United Kingdom[2)]	2,648	8.6	2,762	7.5
Eastern Europe[3)]	48	0.2	47	0.1
African countries[4)]	465	1.5	487	1.3
North America	4,109	13.3	6,108	16.6
Latin America	571	1.9	777	2.1
Middle East	–	–	–	–
Asia Pacific region[5)]	830	2.7	1,255	3.4
International organizations	271	0.9	181	0.5
Total	**30,790**	**100**	**36,692**	**100**

[1)] Total differences are rounding differences

[2)] The item also includes the exposure of the Channel Islands (Guernsey, Jersey), which are closely linked to the United Kingdom, and the Isle of Man

[3)] Hamburg Commercial Bank has a gross exposure in the following Eastern European countries which were not members of the eurozone as at the reporting date: Poland, Romania, Czech Republic, Turkey, and Hungary

[4)] The exposure in African countries mainly consists of Liberia, which is relevant as a country of registration for the shipping business, and a very low exposure in South Africa; there is no inherent country risk associated with the underlying exposures (ship financing)

[5)] The exposure in the Asia Pacific region mainly consists of the Republic of the Marshall Islands, which is relevant as a country of registration for the shipping business; there is no inherent country risk associated with the underlying exposures (ship financing)

The allocation of business to the individual regions and for the presentation of selected countries is based on the gross exposure on the basis of the legal country of domicile. The information is reported without any further collateral allocation.

As part of the strategic focus of Hamburg Commercial Bank, there was a stronger alignment of business activities towards Germany and Europe in 2025.

Hamburg Commercial Bank has no gross exposure to Russia, Belarus, or Ukraine. New business with borrowers in Russia, Belarus, and Ukraine remains prohibited. In the internal risk perspective, which takes into account the net exposure subject to transfer risk (after the collateral relevant to country risk), there is only a single exposure to Russia. After taking into account the hedging provided by export credit agency (ECA) cover, the remaining transfer risk is now well below half a million euros.

In the countries affected by the ongoing Middle East conflict, which has since been calmed significantly by a peace agreement that is currently being implemented, Hamburg Commercial Bank no longer has any gross exposure to the potential direct impact. As before, the indirect impact has had rather positive effects so far, especially in the shipping portfolio. Due to the threat to merchant shipping in the Red Sea and the resulting changes in shipping routes, there was an increase in capacity requirements, causing the charter rates to rise. The developments in the situation are still being closely monitored in order to identify possible impacts of contagion in the context of a potential renewed regional escalation. The Bank has also significantly reduced its container ship portfolio in preparation for a possible return of merchant shipping to the Red Sea.

In the current economic and domestic as well as geopolitical environment, new business with Turkey remains suspended.

LOAN LOSS PROVISIONS

Hamburg Commercial Bank pays the most attention to default risk within the context of risk management. Impairments of a loan exposure are covered by the recognition of provisions for loans and provisions for Lifetime Expected Loss (LECL Stage 3 loan loss provisions) in the amount of the potential loss in accordance with Group-wide standards. Furthermore, Hamburg Commercial Bank recognizes loan loss provisions at Stages 1 (12M ECL) and 2 (LECL Stage 2) to cover future risks.

All restructuring and workout commitments as well as intensified loan management commitments with a rating greater than or equal to 13 are subject to a comprehensive two-step review process every quarter. The first step is to check whether the loan might be impaired (impairment identification) on the basis of objective criteria (so-called trigger events). If this is the case, the second step is to investigate whether the loans identified actually require a loan loss provision, and then to determine the amount (impairment measurement). Loan loss provisions are recognized for transactions categorized as AC and FVOCI under IFRS 9.

Changes in loan loss provisions in the lending business[2)]

(€ mn)	January–December 2025			
	Loan loss provisions Stage 3 incl. POCI	Loan loss provisions Stages 1 and 2	Other[1)]	Total
Corporates	-24	-12	1	-35
Project Finance	-7	-1	1	-7
Real Estate	-58	-18	-2	-78
Global Transportation	-	8	2	10
Treasury & Group Functions	-	-	1	1
Reconciliation	-	-	-	-
Group	**-89**	**-23**	**3**	**-109**

[1)] The Other item includes the result from other changes to loan loss provisions (direct write-downs, recoveries on loans and advances previously written off, result of non-substantial modifications)

[2)] Differences compared to the detailed disclosures in Note 12 Loan loss provisions are attributable to rounding differences

Changes in loan loss provisions in the lending business[2)]

(€ mn)	January–December 2024			
	Loan loss provisions Stage 3 incl. POCI	Loan loss provisions Stages 1 and 2	Other[1)]	Total
Corporates	-1	-22	3	-20
Project Finance	1	-2	-	-1
Real Estate	-66	-9	2	-73
Global Transportation	-	-8	5	-3
Treasury & Group Functions	1	-	2	3
Reconciliation	-1	-	-	-1
Group	**-66**	**-41**	**12**	**-95**

[1)] The Other item includes the result from other changes to loan loss provisions (direct write-downs, recoveries on loans and advances previously written off, result of non-substantial modifications)

[2)] Differences compared to the detailed disclosures in Note 12 Loan loss provisions are attributable to rounding differences

The change in loan loss provisions amounted to a net addition of € 109 million as at the reporting date (December 31, 2024: net addition of € 95 million) and continued to be dominated by the Real Estate segment in 2025. Besides the Real Estate segment, the year-on-year increase was also driven by higher loan loss provisions in the Corporates segment.

There were net additions of € 89 million to Stage 3 and net additions of € 23 million to Stages 1 and 2 in 2025. The result from other changes to loan loss provisions was slightly positive at € 3 million, but it was below the level of the previous year (€ 12 million) due to lower payments received on receivables that had been written off.

The net additions at Stage 3 were again predominantly attributable to the Real Estate segment (€ 58 million), although these were slightly lower than in the previous year (€ 66 million). At Group level, this decline was more than offset by net additions of € 24 million (Corporates) and € 7 million (Project Finance) in 2025 in the Corporates and Project Finance segments, which had been virtually unaffected by Stage 3 loan loss provisions in the previous year. The net additions in the Real Estate segment were attributable to defaults on office property financing in Germany (primarily for properties in need of development), which was due to persistently weak demand and lower market values. On the other hand, two financing arrangements in default involving office properties in the US resulted in a net reversal after the realization of limited losses. While one of these US financing arrangements in default was successfully restructured, the other has been completely eliminated through the sale of receivables. In the Corporates segment, the net additions were primarily attributable to defaults on North American loans, while the risk situation in the domestic area remained stable overall. In the Project Finance segment, an increase in provisions was required for a previous default on financing of a wind farm in Sweden.

At Stages 1 and 2 of the loan loss provisioning model, total net additions of € 23 million (including the change in model overlays) were also largely attributable to the Real Estate (€ 18 million) and Corporates (€ 12 million) segments; by contrast, the Global Transportation segment (Shipping business unit) recorded a net release of € 8 million. The net additions in the Real Estate segment were primarily based on changes in risk parameters and the resulting original loan loss provisions. All in all, these exceeded the reduction in model overlays for real estate sub-portfolios. In the Corporates segment, the net additions at Stages 1 and 2 are primarily the result of an increase in model overlays, which were recognized due to the potential economic consequences of the current geopolitical uncertainties as well as the risk of negative effects from the potential escalation of trade and tariff conflicts.

For further details, particularly on the composition and development of the model overlays, we refer to Notes 12 and 22 in the notes to the consolidated financial statements.

Total loan loss provisions

(€ mn)	Dec. 31, 2025	Dec. 31, 2024
Volume of receivables AC (gross carrying amounts)	**17,062**	**20,730**
thereof: volume of impaired loans (Stage 3)[1)]	581	670
thereof: Stage 2	2,169	2,696
thereof: Stage 1	14,312	17,364
Total loan loss provisions for balance sheet items	**-275**	**-347**
thereof: Stage 3[1)]	-162	-212
thereof: Stage 2	-77	-93
thereof: Stage 1	-36	-42
Coverage ratio of volume of receivables AC	**1.6 %**	**1.7 %**
thereof: Stage 3[1)]	27.9 %	31.6 %
thereof: Stage 2	3.6 %	3.5 %
thereof: Stage 1	0.3 %	0.2 %

[1)] Stage 3 including POCI

The volume of impaired loans amounted to € 581 million as at the reporting date (December 31, 2024: € 670 million). As at December 31, 2025, this is offset by total loan loss provisions for balance sheet items of € 275 million (December 31, 2024: € 347 million). In addition, provisions for off-balance-sheet items amounted to € 25 million as at the reporting date (December 31, 2024: € 28 million).

At 1.6 % as at December 31, 2025, the coverage ratio of the total volume of receivables AC was slightly below the level at the end of the previous year (1.7 %). In the Real Estate segment, the coverage ratio amounts to 2.4 % as at the reporting date (December 31, 2024: 2.7 %). The total loan loss provisions at Stages 1 and 2 serve to mitigate the impact of potential future negative influences.

Details regarding the total loan loss provisions in the lending business are presented in Notes 12 and 22 in the notes to the consolidated financial statements.

Market risk

Market risks describe potential losses that may arise in the trading and banking book from adverse changes in market values (interest rates, credit spreads, exchange rates, share prices, indices, and fund prices, in each case including their volatilities). This definition also includes the actuarial pension risk.

Organization of market risk management

The Management Board determines the methods and processes for measuring, limiting and managing market risk and budgets the maximum economic capital required by the Group for market risk based on an overall limit that covers all risk types. Within the scope of this loss ceiling, the risks of all transactions with market risk are limited by a system of loss and risk limits.

The Finance & Bank Steering business unit performs the central management function for interest rate and foreign exchange risks in the banking book. The Overall Management Board is responsible for selected strategic positions with market risks, supported by the Asset Liability Committee (ALCO). Market risk is actively managed in the Treasury & Markets business units.

An organizational separation between market risk controlling, settlement, and control, on the one hand, and the trading units responsible for positions, on the other, is ensured at all levels in accordance with MaRisk. All major methodological and operational risk measurement and monitoring tasks are consolidated in the Asset & Liability Risk Control business unit.

Management of market risk

MEASURING AND LIMITING MARKET RISK

The economic (present value) daily result and a value-at-risk approach form the basis of the system for measuring and managing market risk. The Value at Risk (VaR) represents the loss in value (in euros) which will not be exceeded until the position is hedged or realized within a predetermined period with a predetermined probability. For the purposes of the same day measurement and management of market risks, Hamburg Commercial Bank applies a VaR model using a historical simulation method. It is calculated based on a confidence level of 99.0 % and a holding period of one day for a historical observation period of 250 equally weighted trading days.

To enable diversified asset backing and to secure the long-term pension obligations, the Bank implemented a Contractual Trust Agreement (CTA) in 2020. The assets consist primarily of long-term investments in liquid exchange-traded funds and alternative investment funds. The resulting equity/funds risk is part of the market risk of Hamburg Commercial Bank. Due to the portfolio structure of the CTA, which differs significantly from the rest of the Group, the VaR for the CTA at the reporting date is determined by means of a Monte Carlo simulation based on hierarchical clustering and a Student copula structure with a holding period of one year and a confidence level of 99.9 %. In line with the long-term investment horizon, the calculation draws on a market data history going right back to 2008, which also includes the period of the financial crisis. The value is included as an add-on in the Group VaR with appropriate scaling.

The basis risk is taken into account in determining the VaR. Basis risk constitutes the risk of a potential loss or profit resulting from changes in the price/interest rate relationship of similar financial products within a portfolio.

Hamburg Commercial Bank manages the market risks from the lending business and the liabilities as part of a proactive portfolio management process and hedges them through external transactions. In order to achieve its earnings targets, the Bank accepts market risks within the scope of the risk appetite defined by the Management Board.

The market risk appetite formulated by the Management Board is converted into limits, which are further broken down by the ALCO. Compliance with limits is monitored on a daily basis using a VaR limit for Hamburg Commercial Bank's overall market risk, VaR limits for specific risk types and portfolios, and sensitivity limits for the individual risk types. On a monthly basis, the annualized economic capital required for market risks is calculated and compared with the economic capital allocated to market risks by the Management Board.

In the framework of stress testing, the potential net present value losses are limited, which would result from the six interest rate shock scenarios specified in the EBA guideline EBA/GL/2022/14. The perspective is expanded through monthly stress test calculations across all risk types, in which the net present value effects of various historical and hypothetical stress scenarios are analyzed. The net interest income risk (NII risk) is limited in accordance with EBA standard EBA/RTS/2022/10 (supervisory outlier test for the net interest income risk). Similarly, the combined present value and earnings risk resulting from changes in interest rates is calculated and limited for relevant scenarios.

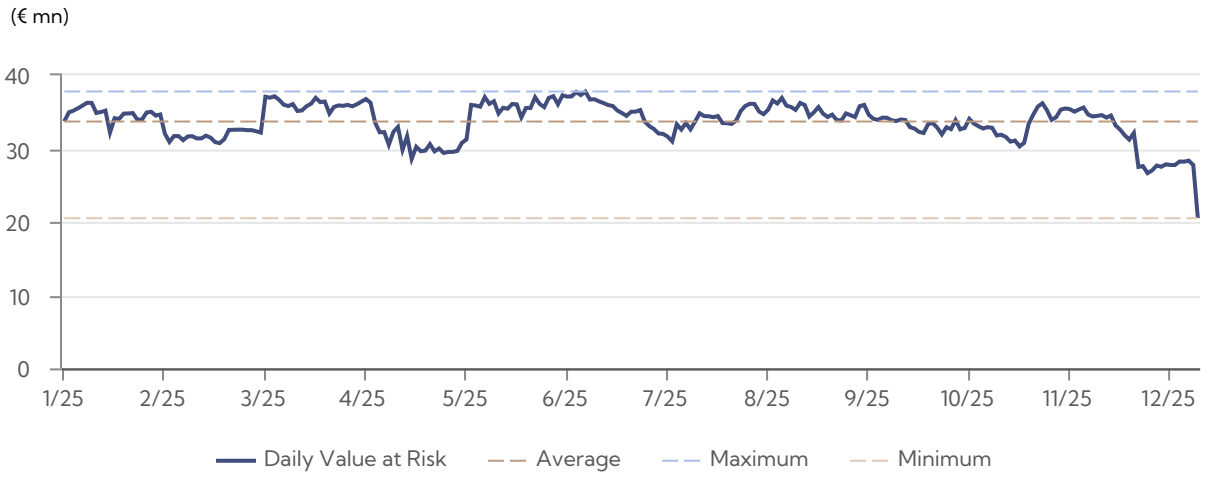
There are clearly defined processes in place in the Strategic Risk Framework for limit adjustments and overdrafts. During the reporting period, the Group limits approved by the Management Board were met at all times.

Where necessary, Hamburg Commercial Bank enters into hedging transactions to manage or reduce market risk in order to offset the impact of unfavorable market movements on its own positions. Derivative financial instruments, such as interest rate and cross currency interest rate swaps, are used as hedging instruments. The effects of the hedging transactions entered into are included in the VaR reported. Further information on this and the type and categories of the hedging instruments and hedging relationships entered into by Hamburg Commercial Bank as well as the type of risks hedged is presented in the Notes. In particular we refer to Section I. F) of Note 5 "Accounting and measurement principles", Note 8 "Result from hedging", Note 23 "Hedge accounting", and Note 54 "Report on business in derivatives".

The VaR of Hamburg Commercial Bank also covers both the trading book and banking book. Positions are assigned to the banking and trading books on the basis of clearly defined guidelines, especially with regard to holding periods permitted in the trading book. The assignment of individual positions to the relevant book are clearly identifiable in the market risk systems. Different processes and controls were established to meet the requirements for proper management of the trading book, which are reviewed for appropriateness on a regular basis.

The following chart shows the movement in the daily VaR for the total trading and banking book positions of Hamburg Commercial Bank over the course of 2025.

Daily Value at Risk during the course of 2025



As at December 31, 2025, the daily market risk of the trading book positions was € 3.1 million (December 31, 2024: € 3.5 million) and that of the banking book positions was € 19.8 million (December 31, 2024: € 32.5 million). The aggregated market risk, which cannot be derived from the total VaR of the trading and banking book positions due to risk-mitigating correlation effects, amounted to € 20.5 million (December 31, 2024: € 32.4 million). In the banking book, the daily interest rate risk (IRRBB) amounted to € 9.7 million (December 31, 2024: € 21.2 million), the fund/equity risk to € 7.2 million (December 31, 2024: € 13.2 million), credit spread risk amounted to € 5.2 million (December 31, 2024: € 6.0 million), and currency risk amounted to € 8.1 million (December 31, 2024: € 6.5 million).

The following table shows the change in VaR in the banking and trading books for the individual market risk types and the overall VaR. The maximum and minimum represent the range over which the respective risk amount moved during the course of the year under review.

Daily Value at Risk of the Group

(€ mn)	Interest rate risk[1]		Credit spread Risk[1]		Foreign exchange risk		Equity/ funds risk		Total[2]	
	2025	2024	2025	2024	2025	2024	2025	2024	2025	2024
Average	17.1	24.7	6.0	5.8	1.8	3.5	13.5	12.7	33.7	36.3
Maximum	25.8	30.3	6.8	9.0	5.6	9.1	14.3	14.8	37.8	39.9
Minimum	8.9	14.9	5.0	3.9	0.1	0.2	7.2	10.9	20.5	30.2
Period end value	9.9	21.5	5.2	6.0	3.2	1.7	7.2	13.2	20.5	32.4

[1] Interest rate risk excluding credit spread risk

[2] Due to correlations the VaR does not result from adding up individual values

Hamburg Commercial Bank's market risk is characterized by the interest rate and foreign exchange risk from the lending business and refinancing as well as the trading book. The latter predominantly contains positions resulting from foreign exchange risk management, trading in interest rate and currency derivatives with customers, and bond trading. Market risk also includes credit spread risk on securities held in the liquidity buffer, cover pool and investment management portfolios, which have good credit quality.

In addition to the VaR for these risks determined by the system, there is an add-on for the fund risks in the CTA. Compared to the end of the previous year, there was a reduced add-on of € 7.2 million (December 31, 2024: € 13.2 million) due to a new, more differentiated VaR approach with regard to the modeling of diversification and risk concentration effects in extreme market situations.

The overall VaR of € 20.5 million as at December 31, 2025 was at a significantly lower level than at the end of the previous year (€ 32.4 million). In addition to the reduced CTA VaR add-on, this is primarily due to the lower volatility on the interest rate markets.

BACKTESTING

Hamburg Commercial Bank performs regular backtests to verify the appropriateness of its VaR forecasts. Assuming unchanged positions, the theoretical daily results achieved on the basis of the market development observed on the following day are compared with the VaR values forecast on the previous day by means of historical simulation. Based on the assumption of the confidence level of 99.0 % applied by Hamburg Commercial Bank, up to three outliers indicate that the forecasting quality for market risks is satisfactory. In order to ensure adequate forecasting quality at the level of the Hamburg Commercial Bank Group, the VaR calculated on the basis of the historical simulation is corrected by including an add-on if more than three outliers are determined. Such an add-on is not required as at the reporting date.

STRESS TESTS

In addition to steering of the daily VaR and the interest rate shock scenarios specified by the ECB, further stress tests are performed to investigate the effects of unusual market fluctuations on the net present value of the Bank's positions.

Hamburg Commercial Bank makes a distinction for market risk between standardized, historical and hypothetical stress scenarios. Whereas standardized scenarios are defined specifically according to risk types (for example, shifting or turning of the interest rate curve), the historical and hypothetical stress tests affect multiple market risk factors at the same time. As such, historical scenarios reflect historical correlations between the various risk factors that have actually occurred in the past, while hypothetical scenarios represent fictitious changes in risk factors. With regard to the hypothetical scenarios, a distinction is also made between economic scenarios that simulate a downturn in the macroeconomic environment and portfolio-specific scenarios that can represent a potential threat to the value of the material sub-portfolios of Hamburg Commercial Bank. An ESG market risk stress test also falls into the category of hypothetical scenarios. The hypothetical scenarios are reviewed periodically and adjusted if necessary, depending on the change in the market environment.

INSTRUMENTS FOR MANAGING MARKET RISK IN THE CONTEXT OF ACCOUNTING FOR HEDGING RELATIONSHIPS

The Treasury & Markets business unit also uses derivative financial instruments to manage market risk arising from loans and liabilities as well as securities. Interest rate swaps and other interest rate or currency swaps are used to hedge the interest rate and foreign exchange risk arising from the underlying transactions. The hedging of market risks can take place at micro, portfolio and macro level.

Changes in the value of derivatives are always recognized through profit or loss due to the FVPL classification. If underlying transactions classified as AC or FVOCI are hedged by derivatives, this gives rise to a distortion in the income statement that is not consistent with the economic facts. One way of avoiding these distortions is to use fair value hedge accounting. In fair value hedge accounting, the changes in value of hedged items which are attributable to the hedged risk are recognized through profit or loss. In doing so, the Bank only takes into account hedging of the fair value against interest rate risks. Fixed interest rate loans, issued instruments, and securities positions are designated as underlying transactions (hedged items), while only third-party interest rate and cross currency interest rate swaps are designated as hedging instruments.
Hamburg Commercial Bank recognizes appropriate hedges of underlying transactions by external derivatives under portfolio fair value hedge accounting as well as micro hedge accounting in individual cases, insofar as the requirements of IFRS 9 are met.
The same applies to the presentation of hedged items and hedging transactions in valuation units under HGB in order to avoid distortions in the income statement. These distortions in the income statement arise primarily from securities held in the liquidity reserve.

Liquidity risk

Hamburg Commercial Bank assesses liquidity adequacy from both a normative and an economic perspective in accordance with the ECB's Internal Liquidity Adequacy Assessment Process (ILAAP) guide.

The normative perspective covers a multi-year assessment period, and thereby focuses on the ability to fulfil all regulatory, supervisory and in part internal liquidity requirements and guidelines at all times. The objective is the forward-looking assessment of liquidity adequacy. In addition to a baseline scenario, adverse scenarios are also taken into account in forecasting the parameters.

Conversely, the economic perspective ensures that all material risks that may negatively affect solvency are identified, quantified, and covered by internal liquidity potential, so that the business strategy can be pursued continuously and the company's survival is ensured at all times. The objective of the economic perspective is to manage economic risks and also ensure liquidity adequacy through stress test programs. For economic liquidity management, internal parameters (Pillar 2 ratios) are considered, which are calculated on the basis of the Bank's current portfolios.

For the liquidity risk, a distinction is made between the risk of not being able to meet current or future payment obligations or not being able to meet them in full (risk of illiquidity), the risk of a pending loss arising from a mismatch in the contractual maturities of assets and liabilities and a change in the own refinancing premium (liquidity maturity transformation risk), and the risk that transactions cannot be concluded or can only be concluded at disproportionately high costs due to low market liquidity or market depth (market liquidity risk).

Organization of liquidity risk management

Strategic liquidity management is the responsibility of the Finance & Bank Steering business unit. The objective of liquidity management is to ensure the solvency of Hamburg Commercial Bank at all times, at all locations and in all currencies, to adhere to the regulatory liquidity ratios, to actively avoid concentration risks in the refinancing structure within the Bank's risk appetite, and to manage the marketability of the liquid assets of the liquidity buffer. The Treasury & Markets business unit has operational responsibility for funding and market management.

The Asset & Liability Risk Control business unit is responsible for the methods used to measure and limit liquidity risk within the Group, and performs the risk measurement, limit monitoring, and the related reporting. The Finance & Bank Steering business unit uses the risk measurement results to support it in managing liquidity for all maturity bands and enable it to counter possible risks at an early stage.

Hamburg Commercial Bank has a liquidity contingency plan and regulated procedures and responsibilities in place in the event of a liquidity crisis. In addition, the emergency processes also take into account institute-specific, risk-oriented and capital market-oriented early warning indicators to avert a liquidity crisis. The liquidity contingency plan is closely linked to the recovery plan in accordance with the SAG.

Management of liquidity risk

MEASURING AND LIMITING LIQUIDITY RISK

The measurement of liquidity risk is broken down into the intra-day risk of illiquidity from payment transactions operations, the short-term risk of illiquidity, and the long-term or structural liquidity maturity transformation risk. A separate liquidity buffer is held for the intra-day liquidity risk. Compliance with the intra-day risk limit is monitored on a daily basis.

The transactions in the Group impacting liquidity are presented as cash flows and the resultant inflows and outflows allocated to maturity bands (liquidity maturity profiles) for the purposes of measuring the risk of illiquidity or the refinancing requirements. The difference between inflows and outflows represents a liquidity surplus or deficit (gap) in the relevant maturity bands. If these are aggregated, the net liquidity position is obtained. In the maturity bands up to the third month, the minimum net liquidity position is prescribed by a risk limit. The utilization of these limits is monitored daily. The utilization of the risk limits thus constitutes the measure of the risk of illiquidity.

In addition to all on-balance sheet business, the loan commitments already granted, guarantees, transactions with forward value dates, and other off-balance sheet transactions are incorporated in the liquidity maturity profile.

For better mapping of the economic maturities, maturity scenarios are used for some positions. For example, possible deposit bases from deposits as well as realization periods and amounts of assets are modelled conservatively as a matter of principle. These assets primarily include the securities portfolio, which is held as a precaution in the event of a crisis (liquidity buffer portfolio), other securities according to how liquid they are, and industrial loans eligible for refinancing with central banks. Most of the portfolio of securities is invested in liquid markets and can be liquidated via the refinancing channels, namely central banks, Eurex repo market, bilateral repo market, or the cash market.

The components of the liquidity potential – such as the liquidity buffer required under MaRisk for example – are continuously monitored and validated in accordance with internal and external minimum requirements.

Hamburg Commercial Bank measures the liquidity maturity transformation risk using a value-at-risk approach, the Liquidity Value at Risk (LVaR). The LVaR is calculated on a quarterly basis through historical simulation (confidence level of 99.9 %, risk horizon of one year) of the liquidity spreads and their net present value effect on the transactions which would theoretically be necessary in order to immediately close the current maturity transformation position for the relevant assessment period of one year. The limiting of LVaR takes place at the Group level and forms part of the risk-bearing capacity concept.

The liquidity risk includes market liquidity risks through specific haircuts in the liquidity maturity profile as well as additional valuation adjustments. In addition, market liquidity risks in the valuation of financial instruments are taken into account using the prudent valuation simplified approach. Further information on the level categorization of financial instruments is presented in Note 47 "Disclosure of fair value in accordance with IFRS 7 and IFRS 13".

LIQUIDITY MANAGEMENT

The short-term liquidity base and the regulatory liquidity ratios are operationally managed by the Treasury & Markets business unit based on management goals specified by the Finance & Bank Steering business unit. In addition to the regulatory requirements, the liquidity maturity profile is relevant, amongst other things, to determine these management goals. The definition of or changes to individual parameters or the requirements are decided by the ALCO or the Management Board. This places Hamburg Commercial Bank in the position to react flexibly to market developments.

Hamburg Commercial Bank uses the so-called expected case liquidity maturity profile and stress case forecast, which contain expected cash flows and are prepared for a period extending beyond the current financial year, as the basis for managing the medium-term liquidity base. The stress case forecast is used to forecast how the worst stress case and the stress case liquidity maturity profile develop over time.

The risk of illiquidity over more than one year is managed by means of the liquidity maturity profile for an expiring portfolio without new business assumptions. It represents the pure portfolio maturity in the base case scenario.

The collateral pool of Hamburg Commercial Bank consisting of cash balances, securities, and ECB-eligible loan receivables is coordinated by the Finance & Bank Steering business unit, in order to be able to utilize the potential for secured funding in the best possible manner.

If the relevant SRF limits were exceeded, measures to strengthen the liquidity position would be necessary in order to comply with the key indicators required internally by the Bank and with the regulatory requirements at the level of the Hamburg Commercial Bank Group.

STRESS TESTS

The selection of stress tests is the result of an analysis of historical events and hypothetical scenarios. The selection is reviewed at least on an annual basis and adapted to current developments where necessary.

Four stress scenarios are calculated daily for the risk of illiquidity as part of the different stress modelling processes, for example a rating downgrade of Hamburg Commercial Bank AG or a liquidity crisis including a stressed US dollar exchange rate.

As part of a stress test for the liquidity maturity transformation risk, it is investigated how the LVaR will change in the event of rising liquidity spreads and stressed liquidity gaps. Furthermore, within the framework of the periodic implementation of inverse stress tests, it was investigated during the reporting year whether any events occurred that could have a critical impact on Hamburg Commercial Bank's solvency.

RISK CONCENTRATIONS

Risk concentrations refer to the risk of an unbalanced funding structure in terms of maturities, depositors, or currencies.

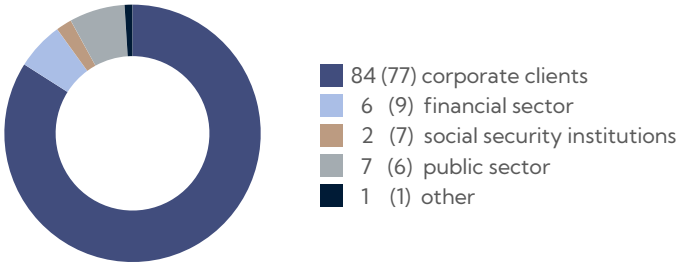
Hamburg Commercial Bank has established a monitoring system for managing concentrations of both asset and liability instruments. Special emphasis is placed on deposits that are analyzed and reported on with regard to the depositor structure (investor, sectors) and maturities (original and residual maturities).

The counterparty concentrations in the short-term deposit portfolio are at a comparable level to the previous year. The ten largest depositors account for around 17 % of total deposits (December 31, 2024: 18 %). Based on the maturity structure, the proportion of deposits payable on demand fell to 38 % (December 31, 2024: 42 %).

The following chart shows the composition of short-term deposits by sector:

Structure of short-term deposits as at December 31, 2025

(%, previous year figures in brackets)



In addition to the analysis of the depositor structure with regard to existing depositor concentrations, risk concentrations with regard to the US dollar asset/liability position are also examined. For the purposes of analyzing the dependency on the US dollar, a US dollar liquidity maturity profile is also prepared regularly, and sensitivity analyses and US dollar stress tests are performed.

QUANTIFICATION OF LIQUIDITY RISK

Hamburg Commercial Bank's risk appetite with regard to liquidity risk is reflected, amongst other things, in the definition of a minimum survival period, which describes how long utilization of a liquidity potential lower than 100 % is to be maintained under the stress cases for the risk of illiquidity.

In the normal case assessment, which is based on the assumption of business development in a normal market environment, the net liquidity position in all maturity bands is significantly above the liquidity buffer, so all limits are complied with during the 12-month period under review. In the scenario that is relevant from a management perspective, the stress case liquidity maturity profile shows that the Bank will not fall short of the minimum survival period of one month defined in MaRisk. This minimum requirement is clearly met, with a survival period of more than 11 months at the end of 2025. Compared to the end of 2024, the survival period has increased and the net liquidity position has improved. Critical limit utilization levels were not reported in the normal case nor in the stress case liquidity maturity profile during the period under review.

REGULATORY LIQUIDITY RATIOS

The regulatory liquidity ratios, the liquidity coverage ratio (LCR), and the net stable funding ratio (NSFR) are each subject to a regulatory minimum ratio of 100 %, which was always complied with during the reporting period. As the regulatory indicator for short-term liquidity risks, the LCR is intended to ensure liquidity in an acute stress period of 30 days. When calculating the LCR, the amount of highly liquid assets is compared to the net outflows over the next 30 days. As at December 31, 2025, it amounted to 204 % (December 31, 2024: 216 %).

The net stable funding ratio (NSFR) is calculated as the ratio of available stable funding resources across all maturities to the stable funding required. As at December 31, 2025, the Bank's NSFR amounted to 119 % under the CRR (December 31, 2024: 116 %).

Refinancing situation

Hamburg Commercial Bank successfully implemented its funding strategy in 2025. The refinancing situation in the reporting period was initially characterized by capital market volatility triggered by trade disputes following the announcement of massive tariff increases by the US and geopolitical tension in the Middle East. However, as the tariff dispute appeared to ease slightly and the military conflict started to settle, there was a marked stabilization of the financial markets as the year progressed.

Fundraising is in line with the Bank's expectations. In total, the Bank has raised around € 2.1 billion in long-term funds in 2025. During the reporting period, the Bank issued a senior preferred benchmark transaction with a volume of € 500 million, which was increased by € 250 million in July to take advantage of a very favorable market environment from the Bank's perspective. The aforementioned bond will strengthen the Bank's funding base in the long term and further broaden the investor base. Further refinancing funds were raised through private placements, including a € 300 million floating rate bond with a two-year term. The Bank is planning further benchmark issues in the unsecured segment as well as Pfandbrief issues in the coming years.

In the first half of 2025, the Bank paid out a dividend of around € 214 billion and carried out a tender offer for an outstanding benchmark bond in senior non-preferred format, which was very successful with a redemption rate of over 50 %.

In addition to long-term refinancing, the strong deposit position of € 10.6 billion from the Bank's client business (corporate deposits), and an increase in the volume of retail deposits of around € 600 million, also contributed to the implementation of the funding strategy. In total, retail deposits amount to € 0.85 billion.

A worsening of the current geopolitical tensions and a deterioration in the macroeconomic environment could make execution of funding measures in the market more difficult. In addition, a more restrictive than expected monetary policy adopted by the central banks could limit the refinancing options and further increase funding costs.

The Association of German Banks (BdB) has implemented a reform of the protection of the Deposit Protection Fund (ESF) from 2023, which affects all members. Given the further reduction in the scope of protection provided by the Deposit Protection Fund in 2025, there is a fundamental risk of increased liquidity outflows. As at December 31, 2025, 70 % (December 31, 2024: 72 %) of eligible protected deposits are covered by the statutory and voluntary deposit guarantee funds.

Hamburg Commercial Bank's liquidity and funding planning for short-term deposits is based on assumptions about customer behavior based on the deposit base and durations. This means that, in critical market-wide, or particularly in idiosyncratic, special situations, there is the risk that even conservative behavioral assumptions used to simulate stress scenarios will fail to materialize as assumed, and that considerable unplanned liquidity outflows could occur instead. Without deliberate management measures, this would lead to a deterioration in the regulatory liquidity ratios as well as the economic survival period.

Part of the assets denominated in foreign currency are refinanced via derivatives (e.g. via EUR/USD basis swaps). Thus, the development of exchange rates has an influence on the funding requirements of Hamburg Commercial Bank.

As part of the regular SREP process carried out within the Banking Union, it is possible that additional requirements in various areas of prudential regulation, such as liquidity, could arise as a result of discretionary decisions made by the banking supervisory authorities.

Non-financial risk

In addition to operational risk, the business strategy risk and reputation risk are included in the non-financial risks (NFR) of Hamburg Commercial Bank.

Operational risk is defined as the risk of losses caused by inadequacies or failures of internal procedures, staff, and systems, or as a result of external factors. This definition includes the risk of losses resulting from legal risks. The definition of operational risk therefore includes business process risks, legal risks, compliance risks including conduct and fraud risks, information risks, HR risks, model risks, data quality risks, sourcing risks, and project risks.

Reputation risk is the risk of incurring financial damage (e.g. in the form of reduced earnings or a loss, or the withdrawal of deposits) due to a negative perception of the Bank by the relevant stakeholders.

The business strategy risk comprises both financial and non-financial components. It refers to the risk of negative deviations from the qualitative and quantitative strategic goals, which may result from incorrect planning assumptions, unexpected changes in the external framework conditions, and from strategic decisions.

Organization of the management of non-financial risk

Hamburg Commercial Bank has adopted a non-financial risk framework that takes into account the diversity of the various sub-types of non-financial risk. It defines the framework for non-financial risk management and describes the roles and responsibilities that follow the three lines of defense model.

The responsibility for identifying and managing the risks that they take, along with determining appropriate controls, lies decentrally with the individual organizational units of the Bank (first line of defense). The second line of defense defines the framework for the management of non-financial risk by setting uniform rules and methods, and monitors their implementation. The role of the overarching NFR function at Hamburg Commercial Bank lies with the Strategic & Credit Risk Control business unit. In addition, the second line of defense includes specialized non-financial risk functions, which are carried out by the Compliance, Human Resources, Corporate Legal & Board Affairs, Finance & Bank Steering, Asset & Liability Risk Control, Operations and IT business units as well as the Credit Law and Corporate Development departments, depending on the respective risk type. The third line of defense in the process-independent audit is Internal Audit.

Non-financial risk management

The identification, analysis, assessment and monitoring of non-financial risks are an important success factor for Hamburg Commercial Bank. Various methods and procedures are used in this process.

Loss events above defined threshold values, which arise from operational risks, are recorded for Hamburg Commercial Bank and the relevant subsidiaries. The recording is carried out uniformly in a central loss event database, categorized according to risk types and causes.

Detailed information is collected on the risk situation of the Bank as part of the annual Group-wide risk scenario assessment based on the historical loss events data and defined forward-looking scenarios. Each business unit assesses its risk situation using defined scenarios, to identify required risk mitigation measures. The most relevant scenarios are then aggregated into the overall risk.

The regular ascertainment and assessment of risk indicators also aims to identify risks at an early stage and prevent their causes.

The results from the risk events data, the risk scenario assessment and the risk indicators are used for the preventive management and monitoring of non-financial risks. They are analyzed, in order to avoid future risk events as far as possible by means of appropriate measures.

Non-financial risks are inherent to business operations and therefore cannot be completely prevented or restricted by a limit. Against this backdrop, non-financial risks are managed through guidelines and organizational standards, management processes, emergency plans, and safety standards in order to minimize their impact. Selected risks are covered by insurance where economically viable.

The Bank holds economic capital for potential losses from operational risks and has established a corresponding risk limit, which is subject to regular review.

In order to quantify the operational risks for the risk-bearing capacity calculation, the expected and unexpected losses of the relevant scenarios from the risk scenario assessment are calculated and aggregated in a Monte Carlo simulation. The Operational Value at Risk (OpVaR) calculated in this way is used for the economic perspective.

In addition to the methods mentioned above, specific procedures and responsibilities have been instituted within Hamburg Commercial Bank for the non-financial risk elements listed below.

Business continuity management

Hamburg Commercial Bank is exposed to risks arising from unforeseen events, which may result in business interruption. With the involvement of the relevant business units, the business continuity management system has established processes to limit the risks arising from the fact that the information technology fails, or that service providers, infrastructure, or employees are unavailable. The objective of the business continuity plans established and to be periodically reviewed is to ensure the functional capability of critical business processes and activities, also in the event of an emergency, and the defined return to normal operations.

Internal Control System (ICS)

One possible cause of loss events arising from operational risks lies in missing or inadequate controls. A functioning ICS helps to identify business process risks and implement appropriate measures to prevent and/or reduce them. The central ICS is thus an essential part of the management of non-financial risk. Detailed information on the ICS is set out in the "Risk management system" section.

Management of HR risks

HR risks are countered through active personnel management. A large number of personnel management tools for employee retention are used to prevent the unscheduled departure of key personnel. In addition, succession planning is performed and reviewed regularly for relevant positions.

Management of information risks

A decisive factor in the Bank's business processes is ensuring the protection objectives of availability, integrity and confidentiality of information. Hamburg Commercial Bank has implemented appropriate procedures and instruments to identify information risks at an early stage and to avert or reduce particularly severe losses. Hamburg Commercial Bank has also established the position of Information Security Officer.
As part of the IT strategy, it has defined the primary objective of information risk management as identifying information risks at an early stage and assessing them based on protection needs in order to avert or reduce particularly severe losses on the basis of clear responsibilities. Specific risk tools are used, by means of which the risks in projects, in line functions, and at outsourcing partners are actively managed, and they are reduced by monitored implementation of measures.

The management of information risks also includes the implementation and monitoring of compliance with the requirements of the European General Data Protection Regulation. Advice on data protection issues is also important. This task is the responsibility of the Data Protection Officer. The Bank has outsourced this key function to external specialists. The Bank's employees are regularly trained separately in the relevant areas of information security and data protection, with the aim of sensitizing all employees and clarifying options for action.

Management of legal risks

The Corporate Legal & Board Affairs business unit and the Credit Law department are responsible for monitoring and managing these risks. As a component of legal risks, tax risks are monitored and managed by the Tax department. In order to reduce, limit or prevent legal risks, all business units are given comprehensive legal advice by lawyers, and also by external consultants where necessary.

Management of data quality risks

Adequate risk reporting and compliance with regulatory requirements are essential for well-founded decisions. The Bank has implemented suitable procedures and instruments and established a corresponding data management organization in order to ensure suitable options for aggregating risk data and internal risk reporting processes.

The Management Board has overall responsibility for data management within Hamburg Commercial Bank. It is supported operationally by the Chief Data Officer, who is responsible for central data management at Hamburg Commercial Bank. The central data management develops the Bank-wide data management framework and the policy based thereon. It is responsible for managing and coordinating all data management-related issues (in particular data quality). Through clearly defined data ownership and on the basis of these regulations, high data quality is ensured in the affected units and corresponding measurements are carried out on a decentralized basis.

Management of sourcing risks

Outsourcing is only carried out if the integration into all relevant banking processes is ensured, and if the service providers involved have an appropriate risk controlling, information security management and internal control system, as well as appropriate processes to protect personal data. For significant outsourced activities and processes, rights to give instructions and audit rights must be agreed in the contracts for Hamburg Commercial Bank.
Insourcing is managed centrally. Insourcing only exists to a very limited extent, as this is not part of Hamburg Commercial Bank's business model.

Management of compliance risks

The active management and control of compliance risks includes, in particular, the topics of capital market compliance, money laundering, terrorism financing, financial sanctions and embargoes, misconduct, and criminal offences in accordance with Section 25h of the German Banking Act (KWG).

A firm anchoring of compliance in the corporate culture is essential in order to strengthen compliance with the law and applicable regulations at Hamburg Commercial Bank. As a binding code of behavior for all employees, the Code of Conduct serves as a central framework for this purpose. The Bank's employees are given regular training on compliance-related topics. The objective of the training is to disseminate relevant standards and changes thereto and to enable new staff to quickly become familiar with corporate practices, and thereby ensure compliance with the legal requirements.

Regular risk analyses form an essential basis for risk-oriented planning of the monitoring, control, management and prevention activities of the Compliance business unit.

Through internal reporting channels and the so-called whistleblowing office, the Bank is informed of suspected cases of unlawful behavior and passes them on to the appropriate authorities. The whistleblowing office also enables anonymous reporting of suspicions both by employees of the Bank and by external third parties, via an independent ombudsman.

Management of model risks

Models are vitally important for the Bank's management processes. The use of models is naturally associated with uncertainties. The Bank's model risk management process includes careful development of models, independent validation of models, and overarching model governance, which establishes and monitors the framework for dealing with models and model risk.

Management of reputation risks

As reputation risks can arise in all areas of the Bank, they are always taken into account in day-to-day operations. Hamburg Commercial Bank manages reputation risk particularly by means of preventive measures via the review of specific transactions, on the one hand, and via process-related rules, on the other, in order to prevent the occurrence of reputational damage if possible. The Strategic Risk Framework defines the Bank-wide principles for managing reputation risk as a supplement to the existing regulations and instructions, such as the Code of Conduct.

Management of business strategy risks

The business strategy risks are managed via the annual review and updating of the business strategy and the closely related Overall Bank planning process established in the Bank. The Overall Management Board is responsible for the strategy of Hamburg Commercial Bank, whereby the Corporate Development department is responsible for the process involved in preparing the business strategy. The quantitative strategy management is the responsibility of the Finance & Bank Steering business unit. The Corporate Development department is responsible for monitoring the non-financial business strategy risk.

Non-financial risks in the reporting year

The intensified sanctions situation continues unchanged as a result of Russia's war of aggression against Ukraine as well as the current developments in the Middle East conflict. Hamburg Commercial Bank fully implements all sanctions and is continuing the stepped-up monitoring of current developments.

The threat of cybercrime remains high, with ransomware being the most common threat. Attacks are highly professional and increasingly automated. The banking industry as a whole is currently a primary target of such attacks; however, based on the Bank's assessment, there is presently no indication of an elevated threat level specifically directed at Hamburg Commercial Bank. The further development of artificial intelligence and the associated new possibilities for manipulative actions pose major challenges to cybersecurity overall. The Bank follows cybercrime developments on a regular basis and continuously works with its partners to improve the existing instruments and processes and to mitigate cybersecurity risks. The concluding restructuring of IT into a modern, cost-effective and cloud-based IT architecture also contributes to this. The operational risks that could arise or change in the course of the IT transformation process are effectively managed through appropriate governance, processes, long-term collaboration with IT providers, and independent quality assurance.

As at the reporting date, Hamburg Commercial Bank recognized provisions for the legal risk category, which is a component of operational risk, in particular for litigation risks and costs, amounting to € 132 million (December 31, 2024: € 151 million). In addition, there are also contingent liabilities arising from legal disputes.

Since April 2018, the Cologne public prosecutor's office has been conducting an investigation into two former senior employees of HSH Nordbank on suspicion of tax evasion or involvement in tax evasion in connection with equity transactions around the dividend record date (so-called cum-ex transactions). As part of the investigation, the Bank was interviewed as a potential co-defendant in the case. In July 2021, the Cologne public prosecutor's office searched the premises of the Bank. Since then, the charges were extended to other (mostly former) employees. HSH Nordbank, as the predecessor institution of Hamburg Commercial Bank, had already investigated the relevant matters long before the start of the investigation by the Cologne public prosecutor's office. The Bank proactively disclosed all findings of its internal investigation into cum-ex transactions at the time to the tax authorities responsible for large companies in Hamburg and the Hamburg public prosecutor's office, made provisions amounting to € 127 million in the 2013 annual financial statements, and repaid taxes totaling around € 112 million plus interest in January 2014. With the help of external advisors, the Bank has also investigated the transactions around the dividend record date, which have since become the subject of the proceedings, and disclosed them to the competent authorities. Hamburg Commercial Bank is cooperating with the Cologne public prosecutor's office. The case may potentially result in a fine for the Bank. Based on the current status of the investigation, at present we don't see a strong likelihood that a corporate fine will be imposed.

As a component of legal risks, tax risks mainly result from the fact that the binding interpretation of rules that can be interpreted may sometimes only be known after several years. At present, the assessment periods from 2012 onwards can still be changed under procedural law. In connection with the tax audits that are currently being conducted, the new and/or amended publications by the tax authorities, as well as the case law on tax matters that has meanwhile come into effect, appropriate provisions are recognized for the resulting tax risks where necessary.

Summary of risk assessment

In addition to the Bank's strategic focus initiated in the first half of the year, the 2025 financial year was characterized by geopolitical tensions and political and macroeconomic uncertainties.
Hamburg Commercial Bank has effectively countered the ongoing challenging external conditions and the associated impact on its loan portfolio by systematically reducing existing non-performing exposures.

The risk policy of Hamburg Commercial Bank ensured that the Bank's capital and liquidity position was adequate at all times. The Bank has implemented various measures, in order to appropriately take account of the existing risks.

Hamburg Commercial Bank is facing major challenges regarding its future development, which are described in detail in the "Forecast, opportunities and risks report".

The risk management and bank management systems we have presented are designed to systematically take risks into account. This also applies to our expectations regarding the future market and business development. We believe that we have appropriately presented the overall risk profile of the Hamburg Commercial Bank Group as well as the opportunities and risks inherent in the future development of our business activities in the "Forecast, opportunities and risks report" section and in this risk report in an appropriate and comprehensive manner.

Comment on the annual financial statements of Hamburg Commercial Bank AG prepared in accordance with the German Commercial Code (HGB)

Report on earnings, net assets and financial position

Earnings situation

Hamburg Commercial Bank AG reported a very strong positive net result under HGB of € 998 million for the 2025 financial year (previous year: € 214 million) – also in comparison to the consolidated results under IFRS. Against the background of satisfactory operating performance, net income for the year was largely driven by income from the releases from the fund for general banking risks.

At € 426 million, the operating result before loan loss provisions/valuation was € 154 million higher than in the previous year (€ 272 million). In addition to higher net interest income, this was primarily due to the increase in the other operating result, which was significantly impacted by negative one-off effects in connection with legal risks in the previous year. Despite lower operating expenses, administrative expenses increased due to the one-off expenses resulting from the staff reduction approved in the reporting year. The net commission income remained stable. The net trading income improved compared to 2024, driven by the positive foreign exchange result.

The result from loan loss provisions/valuation was primarily responsible for the very high net income for the year. This amounted to € 725 million, after having been negative € -71 million in the previous year. The result from loan loss provisions/valuation was significantly impacted by the releases from the fund for general banking risks of € 750 million (previous year: € 0 million). In conjunction with a higher result from the securities business and slightly lower loan loss provisions, net income before taxes rose significantly by € 950 million to € 1,151 million (previous year: € 201 million).

By contrast, net income for the year was negatively affected by the remeasurement of deferred taxes triggered by the update of the corporate planning and lower future tax rates. As a result, the income tax expense of € 153 million was noticeably higher than the figure for the previous year, in which income taxes were slightly positive.

The composition and year-on-year development of the income statement can be seen in the following overview. The developments in the individual income items that were decisive to the Bank's earnings situation are then explained:

Income statement

(€ mn)	2025	2024	Change in %
Net interest income (including current income)	624	579	8
Net commission income	36	35	3
Net income from the trading portfolio	46	31	48
Administrative expenses (incl. depreciation/amortization)	–375	–359	4
thereof: personnel expenses	–212	–183	16
thereof: operating expenses	–163	–176	–7
Other operating result (incl. other taxes)	95	–14	>100
Operating result before loan loss provisions/valuation	**426**	**272**	**57**
Loan loss provisions/valuation	725	–71	>–100
thereof: income from releases from the fund for general banking risks.	750	–	**>100**
Operating result after loan loss provisions/valuation	**1,151**	**201**	**>100**
Income tax expense	–153	13	>–100
Net result	**998**	**214**	**>100**

The **net interest income** (including the current income from shares and other non-fixed-interest securities, equity holdings, and interests in affiliated companies) amounted to € 624 million. In contrast to the development in the IFRS consolidated financial statements, at a increase of around 8 % it was noticeably above the previous year's level (€ 579 million). The following aspects should be considered in the context of this development: The net interest income from the operating business was below the level of 2024 with a lower average balance sheet volume. This is because the total interest income from the lending and money market business, from fixed-interest securities, and from the special funds launched decreased to a greater extent than operating interest expense from refinancing via liabilities to banks and customers, as well as securitized and subordinated liabilities. Interest income from the sale of receivables and prepayment penalties received or paid did not have any significant impact on net interest income, as in the previous year.

The decline in net interest income from the operating activities was more than compensated for by the lower negative contribution to earnings from interest rate derivatives.

Net commission income amounted to € 36 million (previous year: € 35 million). The commission income developed very positively, rising by 10 % to € 45 million (previous year: € 41 million), particularly in the guarantees business. The increase in commission expenses from € 6 million to € 9 million is due, among other things, to higher brokerage commissions for the provider of the external platform for retail funding. These increased in line with the higher volumes.

The **net income from the trading portfolio** amounted to € 46 million in the reporting year, compared to € 31 million in the 2024 financial year. The result was driven by a positive foreign exchange result due to the depreciation of the US dollar against the euro during the year. In the reporting year, there were no allocations to/releases from the fund for general banking risks pursuant to Section 340e (4) of the German Commercial Code (HGB). In the previous year, partial reversals of € 30 million were made, which were the main factor contributing to the result reported in this overall item.

The **administrative expenses** amounted to € 375 million in the reporting period (previous year: € 359 million) and were shaped by the one-off effect in personnel expenses explained below of € 50 million. Without this one-off effect, administrative expenses would have been lower than planned, which underlines the effectiveness of HCOB's stringent cost management.

Personnel expenses came to € 212 million (previous year: € 183 million). The significant increase of € 29 million is attributable to a one-off effect. In the reporting year, expenses totaling € 50 million (previous year: € 18 million) were recognized for severance payments arising from mutually agreed terminations of employment. In addition, the development of personnel expenses compared to the previous year was characterized by reducing effects (changes in headcount) and increasing effects (salary increases and higher expenses for variable remuneration). The savings from the staff reduction, which had already been contractually agreed by

around 80 % of affected employees as at the reporting date, will only be realized gradually in the 2026 until 2028 financial years. The number of employees decreased by 65 FTEs to 857 FTEs by the end of the year.

Despite higher scheduled depreciation of software, the operating expenses (including depreciation) decreased by around 7 % compared with the previous year, amounting to € 163 million (previous year: € 176 million). While the scheduled depreciation of software increased as expected, there were savings in other cost categories that more than offset the increase in depreciation. IT costs and regulatory expenses are the main noteworthy items here. The main reasons for the decline in IT costs were lower project expenses and lower provider costs. The decrease in regulatory expenses is primarily due to the fact that no annual contribution to the BdB's ESF was levied for the 2025 financial year. In the previous year, the Bank had recognized expenses (advance payments and additions to provisions) for the 2024 annual contribution, which were refunded or could be reversed in the reporting year. As in the previous year, no contributions were charged for the bank levy in the 2025 financial year either, because the Single Resolution Fund (SRF) has reached its target level.

The **other operating result** (including other taxes), which was still negative in the previous year at € -14 million due to negative one-off effects, made a noticeably positive contribution to net income in the 2025 financial year at € 95 million. The main reason for the significant increase of € 109 million was the fact that there were significant negative one-off effects from litigation risks and associated legal advisory costs in the comparative period (€ 107 million in total).

At € 163 million, other operating income was above the 2024 level (€ 122 million), although the previous year had benefited from income from earn-out arrangements in the amount of € 39 million. In the 2025 financial year, they primarily related to the net proceeds of expenses and income from pension provisions and plan assets to be offset in accordance with Section 246 (2) sentence 2 of the German Commercial Code (HGB) (€ 59 million, previous year: € 31 million), income from the reversal of various provisions (€ 34 million, previous year: € 12 million), and one-off effects in the form of VAT refunds from previous assessment periods (€ 8 million; € 1 million expense offset in other operating expenses). Income from the reversal of various provisions was largely attributable to the effects of the final cumulative settlement of the voluntary Deposit Protection Fund (ESF) of the Association of German Banks (BdB) for the first four years after HCOB's admission to the ESF (€ 13 million). The Bank had made a one-off payment to the ESF as well as advance payments of the annual contributions for calendar years 2022 to 2025, and had also recognized provisions. As a result of the final cumulative settlement for the first four years of ESF membership, the Bank was able to reverse the provisions recognized and record a refund, which had a positive impact on the other operating result totaling € 18 million in the reporting year. In addition, income from derivatives (€ 22 million; previous year: € 0 million) and from foreign exchange (€ 19 million; previous year: € 0 million) was recognized; however, this was offset in each case by slightly lower other operating expenses from derivatives and foreign exchange.

Other operating expenses fell very considerably by € 68 million to € 68 million (previous year: € 136 million). The key factor here was the absence of the above-mentioned negative one-off effects in connection with litigation risks and legal advisory costs. These were offset by the aforementioned expenses from derivatives and foreign exchange.

Operating result before loan loss provisions/valuation

At € 426 million, the operating result before loan loss provisions/valuation was € 154 million higher than in the previous period (€ 272 million). This was due to the above-mentioned changes in net interest income (increase of € 45 million) and the other operating result (increase of € 109 million), which benefited from the absence of negative one-off effects.

The result from loan loss provisions/valuation was primarily driven by income from the releases from the fund for general banking risks and was the main factor behind the very high net income for the year

The result from loan loss provisions/valuation, which was characterized by a positive one-off effect, amounted to € 725 million, making it primarily decisive for the very high net income for the year, after recording a negative result in the previous year of € -71 million. This was largely due to releases from the fund for general banking risks.

At € 71 million, the loan loss provisions (income statement) in the lending business were slightly below the previous year's level (€ 77 million). As in 2024, it was characterized by specific valuation allowances for financing arrangements in default in the Real Estate segment. During the reporting year, these mainly affected office property in Germany (primarily for properties in need of development), which was due to persistently weak demand and lower market values. The decrease in the overall position compared to the previous year is due to lower general loan loss provisions.

The result in the securities business was clearly positive at € 46 million (previous year: € 6 million). This was primarily driven by net realized gains from the sale of securities; in addition, net reversals of impairments on securities in the liquidity reserve contributed positively to earnings.

In the year under review, the valuation result from equity holdings in non-affiliated companies was balanced at € 0 million, as in the previous year.

Releases from the fund for general banking risks were made in the amount of € 750 million (previous year: € 0 million). The reversal was made on the basis of a discretionary decision by the Management Board, which, taking into account the current overall situation of the Bank in the current banking environment, came to the conclusion that the reversal in the amount stated was necessary and appropriate.

Income tax expense

Given the above-mentioned developments in the individual items, net income before taxes amounted to € 1,151 million, which is significantly higher than the prior-year level (previous year: € 201 million).

In contrast, the income tax expense rose significantly to € 153 million (previous year: € 13 million income) and was dominated by a deferred taxes expense (€ 133 million). The expense for current taxes came to € 20 million. The low income tax rate (ratio of income tax to net income before taxes) is mainly due to the fact that income contributing substantially to net income before taxes from releases from the fund for general banking risks does not have any tax impact.

The deferred tax expense comprises an expense from the reversal of deferred tax assets on temporary differences (€ 57 million) as well as an expense from the reduction in deferred tax assets on loss carryforwards (€ 76 million). The reduction in deferred tax assets on loss carryforwards in the amount of € 22 million results from the update of the multi-year plan in December 2025, according to which the Bank expects to be able to use tax loss carryforwards to a lesser extent over the next five financial years than originally envisaged in the prior-year planning. An amount of € 17 million resulted from the deferred tax expense due to the mandatory valuation adjustment of deferred tax assets and liabilities to reflect the reduced corporate tax rates in Germany in future. The legal background to this is the law for an immediate tax investment program to strengthen Germany as a business location, which was passed in the second half of the year.

Very high positive net result much higher than expected due to one-off effect in valuation result

After income tax expenses, Hamburg Commercial Bank reported a significantly positive net result of € 998 million for the 2025 financial year (previous year: € 214 million). In operational terms, the net result in accordance with the German Commercial Code (HGB) for the year was in line with the Bank's expectations overall. Due to the positive effect in the result from loan loss provisions/valuation described above, the HGB result significantly exceeded expectations, given a satisfactory operational business performance.

Material items on the statement of financial position

(€ mn)	2025	2024	Change in %
Assets			
Cash reserves and treasury bills	168	144	17
Loans and advances to banks	2,781	3,451	–19
Loans and advances to customers	16,010	19,546	–18
Securities	9,240	10,162	–9
Trading portfolio	150	239	–37
Equity holdings in non-affiliated companies and interests in affiliated companies	9	10	–10
Deferred tax assets	463	597	–22
Remaining assets	497	760	–35
Total assets	**29,320**	**34,909**	**–16**
Liabilities			
Liabilities to banks	2,523	3,911	–35
Liabilities to customers	13,499	15,014	–10
Debt securities issued	7,791	10,058	–23
Trading portfolio	26	47	–45
Subordinated liabilities	892	919	–3
Fund for general banking risks	27	777	–97
Equity	3,769	2,981	26
Remaining liabilities	793	1,202	–34
Total assets	**29,320**	**34,909**	**–16**
Contingent liabilities	791	712	11
Other commitments	4,443	4,849	–8
Total off-balance-sheet transactions	**5,234**	**5,561**	**–6**
Business volume	**34,554**	**40,470**	**–15**

Total assets down by 16 %

The total assets amounted to € 29,320 million at the 2025 reporting date, which is 16 % (around € 5.6 billion) lower than the level at December 31, 2024 (€ 34,909 million). On the assets side, the smaller balance sheet was predominantly attributable to loans and advances to customers (€ –3.5 billion), but securities (€ –0.9 billion) and loans and advances to banks (€ –0.7 billion) also fell compared with the end of the previous year. On the liabilities side, the correspondingly lower refinancing requirements were primarily reflected in the decrease in debt securities issued (€ –2.3 billion), the liabilities to customers (€ –1.5 billion), and the liabilities to banks (€ –1.4 billion). The liabilities side of the balance sheet was also characterized by substantial releases from the fund for general banking risks, which had a correspondingly positive impact on equity via the net income for the year. In detail, the developments were as follows:

As at the reporting date, the loans and advances to banks mainly relate to overnight balances in the deposit facility at Deutsche Bundesbank, which, in contrast to the IFRS reporting, are not reported under the cash reserve under HGB, but rather under loans and advances to banks. At € 2,781 million, these were 19 % lower than the figure at the end of 2024 (€ 3,451 million).

The development of loans and advances to customers was shaped by the strategic business adjustments and the associated focus on the franchise portfolios as well as the divestment activities for the non-strategic assets. Accordingly, the receivables portfolio in the international real estate business and in Structured Portfolio Finance (Corporates segment) declined compared with the end of 2024. In addition, the aviation financing portfolio was fully divested due to the portfolio sale completed at the end of October 2025. Furthermore, the overall high level of repayments and the significant depreciation of the US dollar against the euro had a negative effect on the carrying amount of loans and advances to customers. As a result, as at December 31, 2025, the balance sheet item Loans and advances to customers was down significantly (by 18 %), to € 16,010 million (previous year: € 19,546 million).

As at December 31, 2025, the carrying amount of securities came to € 9,240 million in total, a drop of 9 % compared to the prior-year reporting date (previous year: € 10,162 million). This was mainly due to the deliberate reduction of exposure in liquid CLOs in line with the strategic focus, as well as the effect associated with the depreciation of the US dollar.

At € 463 million, deferred tax assets were also lower than the carrying amount as at December 31, 2024 (€ 597 million). € 247 million of this amount relates to deferred taxes on loss carryforwards, with € 216 million attributable to deferred tax assets on temporary differences. Alongside the drop in deferred taxes due to the utilization of loss carryforwards/the reversal of temporary differences, the decrease compared to the previous year is mainly due to the recognition of the reduction in the future corporate income tax rate in Germany and the reversal of deferred taxes on loss carryforwards as part of the updated corporate planning.

Remaining assets, of which other assets are the main balance sheet item, totaled € 497 million and were € 263 million lower than the previous year's level (previous year: € 760 million). This was due to the decrease in other assets by € 307 million to € 249 million (previous year: € 556 million). This was primarily due to the fact that the claims from initial and variation margins from OTC derivatives were significantly lower than at the end of the previous year. In contrast, but to a lesser extent, within other assets the fair value of the fund assets held under a contractual trust agreement (CTA) exceeded the settlement amount of the pension provisions secured by the plan assets as at December 31, 2025, which led to a positive difference from offsetting in the statement of financial position (€ 85 million, previous year: surplus of liabilities of € 11 million).

On the liabilities side, at € 2,523 million, liabilities to banks were down by more than a third (35 %) on the end of the previous year (previous year: € 3,911 million). Within this item, liabilities from repo transactions and deposits from development banks, among other things, decreased.

The development of liabilities to customers also reflects the lower funding requirements in line with the balance sheet volume. As a result, the carrying amount of this item was down by 10 % as at December 31, 2025, to € 13,499 million (previous year: € 15,014 million). The drop was due, among other things, to the conscious reduction in total deposits by corporate clients. In contrast, the volume of retail deposits increased in line with the funding strategy.

Debt securities issued amounted to € 7,791 million as at the reporting date, which is 23 % lower than the carrying amount at the end of 2024 (€ 10,058 million). The reason for this development was that maturing bonds were not fully replaced by newly issued debt securities, also due to the lower refinancing requirements.

The structural composition of subordinated liabilities has not changed. At € 892 million, its carrying amount as at December 31, 2025, was below the level at the end of the previous year (€ 919 million), mainly due to the depreciation of the US dollar.

Amounts of € 750 million were released from the funds for general banking risks. After the releases, a residual amount of € 27 million remains at December 31, 2025 (previous year: € 777 million), which is allocated in full to special items under Section 340e (4) of the German Commercial Code (HGB).

Due to the very high net income for the year, which was significantly influenced by the aforementioned releases from the fund for general banking risks, the reported equity increased significantly compared to the end of the previous year, despite the dividend paid out during the reporting year and amounted to € 3,769 million as at December 31, 2025 (previous year: € 2,981 million). For information on the development of the regulatory capital ratios for the individual institution according to the HGB accounting standards, please refer to the risk report in this combined management report. The dividend payment of € 1,256 million proposed for the 2025 financial year was already taken into account in advance in the CET1 capital and, as a result, when determining the capital ratios at the end of 2025. In contrast, the effects can only be recognized in the balance sheet at the time the dividend liability arises in legally effective terms, which requires a corresponding resolution by the Annual General Meeting in 2026. The proposed dividend payment corresponds to the accumulated profit

under HGB for the 2025 financial year, comprising net profit for the year under HGB for the 2025 financial year (€ 998 million) and a withdrawal of € 257 million from other retained earnings.

The remaining liabilities have decreased from € 1,202 million to € 793 million. The reduction of € 409 million was primarily due to the other liabilities and the provisions. The carrying amount of the former totaled € 302 million, which is € 198 million below the value at the end of the previous year (€ 500 million). This was primarily due to the significantly lower (liability-side) adjustment item from foreign currency valuation and the year-on-year decrease in liabilities in connection with the variation margin from OTC derivatives, in line with the development on the assets side. The decrease in provisions (€ 370 million, December 31, 2024: € 524 million) is attributable to provisions for pensions and similar obligations as well as to tax provisions and other provisions.

Business volume fell to a much lesser extent than the total assets

The business volume (total assets plus off-balance-sheet business) decreased by 15 % to € 34,554 million (December 31, 2024: € 40,470 million). With a change of -6 %, the decline in off-balance-sheet business was significantly lower than the change in total assets, and related to other liabilities, the main component of which is irrevocable loan commitments. These fell by € 406 million to € 4,443 million as at December 31, 2025 (December 31, 2024: € 4,849 million). In contrast, contingent liabilities (primarily sureties and guarantees) increased and reached € 791 million at the balance sheet date, which is € 79 million higher than at the end of the previous year (€ 712 million).

Refinancing

Hamburg Commercial Bank AG successfully implemented its funding strategy in the year under review by using various funding sources. The regulatory requirements for the liquidity ratios were consistently exceeded during the reporting period. Further details can be found in the combined management report of Hamburg Commercial Bank.

Statement on corporate governance pursuant to Section 289f (4) of the German Commercial Code (HGB) (information on the ratio of women)

Pursuant to Section 111 (5) of the German Stock Corporation Act (AktG), the Supervisory Board of unlisted companies, if they are subject to co-determination, also has to set targets for the proportion of women on the Supervisory Board and the Management Board. In June 2022, the Supervisory Board of Hamburg Commercial Bank adopted/confirmed the following targets for the proportion of the underrepresented gender (currently women) on the Management Board and the Supervisory Board. The target figures describe the target share of women in the relevant overall board in its current size, with the percentage figures corresponding to full numbers of persons:

- A target quota of 25 % (based on four members) has been confirmed for the Management Board of Hamburg Commercial Bank
- For the Supervisory Board of Hamburg Commercial Bank, a target quota of 33 % (six out of currently 18 members) has been adopted (previously: 30 %)

The target quotas are to be achieved by June 30, 2027, at the latest. There is currently no woman on the Management Board of Hamburg Commercial Bank. Following the appointment of new members to the Supervisory Board of Hamburg Commercial Bank on May 30, 2024, six out of 18 members are women (currently the underrepresented gender), bringing the proportion of women on the Supervisory Board to 33 % (December 31, 2024: 33 %). This means that the above-mentioned target quota for the Supervisory Board has already been achieved.

Sustainability Statement,

which also fulfils the requirements for the combined non-financial statement prepared in accordance with Sections 289b ff. and 315b to 315c of the German Commercial Code (HGB).

General information

Hamburg Commercial Bank (HCOB) publishes its Sustainability Statement again in accordance with the European Sustainability Reporting Standards (ESRS) as at 31 December 2025. It thus supplements the consolidated financial statements with non-financial information in accordance with the Corporate Sustainability Reporting Directive (CSRD) and thereby fulfils the requirements for the combined non-financial statement prepared in accordance with Sections 289b ff. and 315b to 315c HGB.

The double materiality analysis (DMA) was carried out in accordance with the ESRS and defines the material reporting topics for 2025, which are structured as follows:

General disclosures:
Basic information on HCOB's sustainability strategy and governance.

Environmental disclosures:
Measures and initiatives to reduce the environmental footprint, including progress in the areas of energy efficiency, emissions reduction and resource conservation.

Social disclosures:
Social aspects such as diversity, employee development and social commitment.

Governance disclosures:
Structures and processes to ensure responsible business conduct.

The ESRS index at the end of this Sustainability Statement provides an overview of the disclosures covered. The DMA and the non-financial statement were audited by PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft to obtain limited assurance.

ESRS 2 General disclosures

Basis for preparation

BP-1 General basis for preparation of the Sustainability Statement

Scope of consolidation

The Sustainability Statement for the 2025 financial year is based on the scope of consolidation of the consolidated financial statements (see Note 59 "List of shareholdings" in the consolidated financial statements).

No subsidiary included in the consolidated financial statements is obliged to report on sustainability independently. There are therefore no exemptions at individual company or subgroup level.

Value chain and presentation in the report

The Sustainability Statement covers the own business operations as well as the upstream and downstream value chain. A detailed description can be found in section "SBM-1 Strategy, business model and value chain".

For clear and differentiated presentation, the report is divided into the dimensions corporate and portfolio. The corporate dimension comprises the own business operations and the upstream value chain, including the Bank's suppliers and service providers. The portfolio dimension relates to the downstream value chain and comprises business activities in the lending and investment business. Sections that relate exclusively to one dimension are labelled accordingly.

No use has been made of the option to exclude information from disclosure, which relates to intellectual property, expertise or the results of innovations. Similarly, the fundamental exceptions regarding information on upcoming developments or matters under negotiation were not utilised.

Interpretation uncertainties

The German legal and other European regulations underlying this Sustainability Statement may contain formulations and terms that are subject to interpretation uncertainties and for which no authoritative comprehensive interpretations have yet been published. Where this is the case, the interpretation made is indicated at the appropriate point in the report in the specific chapters.

Additional validation

The metrics published in this Sustainability Statement have not been validated by an additional external body, but are covered by the overall limited assurance review of the Sustainability Statement by an independent auditing firm.

BP-2 Disclosures in relation to specific circumstances

Time horizons

The time horizons for reporting are based on the requirements of the ESRS :
– short term: one year
– medium-term: one to five years
– long-term: more than five years

Value chain estimation

When determining data for the value chain, specifically for calculating Scope 3 emissions for data centres and for financed emissions, estimates were partly used. In addition, the applied methodology, assumptions and if necessary measures to improve data quality are described in detail in "E1-6 - Gross Scope 1, 2 and 3 and total GHG emissions".

Sources of estimation and outcome uncertainty

Some of the metrics and monetary amounts in the Sustainability Statement are based on estimates and assumptions about future events, which are naturally associated with uncertainty. This particularly affects GHG emissions (see section "E1-6 - Gross Scope 1, 2 and 3 and total GHG emissions"). The estimates made as part of E1, E3 and E5 for extrapolating the environmental metrics to all locations are described in the respective standards.

The underlying assumptions, methods and estimates are explained under the respective items, where applicable.

Changes in preparation or presentation of sustainability information

This Sustainability Statement was again prepared in accordance with the ESRS. Compared to the previous year, there have been methodological changes in the building emissions calculations. For further details, please refer to the explanations under "E1-6 - Gross Scope 1, 2 and 3 and total GHG emissions".

Reporting errors in prior periods

During the preparation of the 2025 Sustainability Statement, it was discovered that the employee turnover rate published in the 2024 statement did not fully comply with the requirements of ESRS S1-6, para. 50c. The calculation at that time included departures of employees with permanent contracts, while departures of employees with fixed-term contracts and employees of the Group company Klarphos were not taken into account. This resulted in an incomplete representation of actual staff departures and constitutes an error in the reporting.

The previous year's figure was therefore recalculated retrospectively and adjusted accordingly in the 2024 comparative period. The reconciliation and the justification for the correction are presented in section "S1-6 - Characteristics of the undertaking's employees" and include the updated previous year's key figures. The recalculation leads to an increase in the reported departures and a corresponding adjustment of the employee turnover rate for 2024. The retrospective correction was possible without restrictions.

Disclosures stemming from other legislation or generally accepted sustainability reporting pronouncements

This Sustainability Statement is based on the ESRS requirements. It does not contain any information based on generally accepted sustainability reporting standards such as the GRI or the IFRS Sustainability Disclosure Standards (IFRS SDS).

Disclosures in connection with the non-financial reporting provisions of the German Commercial Code (HGB)

This Sustainability Statement in accordance with ESRS also fulfils the requirements for the Group non-financial statement prepared in accordance with Sections 289b ff. and 315b to 315c HGB and thus serves as the combined non-financial statement for the HCOB Group and HCOB AG.

To fulfil our reporting obligations under commercial law, we declare the following:

- The comprehensive use of the European Sustainability Reporting Standards (ESRS) as a framework pursuant to Sections 315c para. 3 in conjunction with 289d of the German Commercial Code (HGB) is due to the importance of the ESRS as reporting standards for sustainability reporting adopted by the European Commission.

- We have not used a recognised framework for our non-financial statement in relation to HCOB AG in accordance with Section 289b HGB, as an ESRS Sustainability Statement for the Group is relevant for our stakeholders
- This sustainability report comprises the combined non-financial statement for the HCOB Group and HCOB AG. Unless otherwise stated, all information relates to both the Group and HCOB AG.
- As part of the environmental information in this Sustainability Statement, the information required under Article 8 of Regulation 2020/852 (EU Taxonomy Regulation) for the HCOB Group is stated in the annex under "Disclosures pursuant to Art. 8 of Regulation (EU) 2020/852 (Taxonomy Regulation)".
- Our most important non-financial performance indicator ("Rating") is presented in chapter "Basis of the Group" in section "Management system" in the table "Definition of the most important management indicators" and in chapter "Forecast, opportunities and risks report" in section "Forecast, opportunities and risks report" in the table "Expected business development of Hamburg Commercial Bank".
- There are no material risks from our own business activities or from business relationships, products and services that are very likely to have a serious negative impact on the non-financial aspects in accordance with Section 289c HGB.

Incorporation by reference

The Bank has not incorporated any information by reference in accordance with ESRS 1 Section 9.1. All references in the Sustainability Statement, unless otherwise indicated, are not part of the Sustainability Statement itself.

Use of phase-in provisions for disclosure requirements in accordance with Appendix C of ESRS 1

As the HCOB Group has an average number of employees exceeding 750, the disclosures on phase-in provisions in accordance with ESRS 2 17(a)-(e) are not relevant.

Governance

GOV-1 The role of the administrative, management and supervisory bodies

The Management Board of HCOB AG temporarily consisted of six members as at December 31, 2025. Since January 1, 2026, the Management Board consists of four members and is composed as follows: Luc Popelier (CEO), Marc Ziegner (CFO), Jens Thiele (CIO), and Reinout van Riel (CRO). In addition to his role as CFO, Marc Ziegner has been appointed Deputy CEO with effect from January 1, 2026.

The former CRO and Deputy CEO Ulrik Lackschewitz and the former CIO Christopher Brody have resigned from their Management Board positions with the consent of the Supervisory Board with effect from the end of December 31, 2025, and have left the Management Board.

Jens Thiele, formerly HCOB's general representative, was appointed to the Management Board with effect from October 1, 2025, and, after a transition phase, succeeded Christopher Brody as CIO on January 1, 2026. He is responsible for the Bank's client business. Reinout van Riel has been a member of the Management Board since November 14, 2025, and has held the position of CRO since January 1, 2026.

In accordance with the Articles of Association, the Supervisory Board of HCOB AG consists of 18 members, with twelve members appointed by the Annual General Meeting in accordance with the provisions of the German Stock Corporation Act (AktG) and the Articles of Association and six members elected by the employees in accordance with the German One-Third Participation Act (DrittelbG).

An overview of the current members of the Management Board and the Supervisory Board can be found in the tables below. These also provide information on the experience of the members of the management body that is relevant to HCOB's sectors, products and geographical locations in relation to sustainability aspects.

Additional information on the CVs of the members of corporate bodies can be found on the HCOB website.

Qualification matrix of the Supervisory Board

Representation group	elected by the shareholders												elected by the employees					
31.12.2025	De Wilt (Chair)	González Cid	Haddad	Heinemann	Lagares Gómez-Abascal	Leat	Matherat	Rocker	Dr. Rosetti	Spandl	Werner	Yordán	Behm	Matthies	Ramberg	Sahm	Schlater-mund (Deputy Chair)	Waechter
General banking knowledge																		
	+	+	+	+	+	+	+	+	+	+	+	+	+	+	+	+	+	+
Specific banking knowledge																		
Corporates	+	+	+	+	+	+	+	+	+	+	+	+					+	
Commercial Real Estate	+	+	+	+	+	+			+	+	+	+				+	+	
Global Transportation	+	+	+	+	+	+			+	+	+	+					+	
Project Finance	+	+		+	+	+			+	+	+	+					+	
International Banking - Germany	+	+	+	+	+	+	+		+	+	+	+					+	
International Banking - Europe	+	+	+	+	+	+	+	+	+	+	+	+					+	
International Banking - USA/Americas		+	+	+	+	+	+	+	+	+	+	+					+	
International Banking - Asia/APAC		+	+		+	+	+		+		+	+						
Capital Markets	+	+	+	+	+	+	+	+	+	+	+	+					+	+
Liquidity & Funding	+	+	+	+	+	+	+	+	+	+	+	+					+	+
Accounting	+	+	+	+	+	+	+	+	+	+	+	+	+					+
Auditing	+	+	+	+	+	+	+	+	+	+	+	+	+				+	+
Governance & control of a financial institution	+	+	+	+	+	+	+	+	+	+	+	+	+				+	+
Legal requirements and regulatory framework	+	+	+	+	+	+	+	+	+	+	+	+	+				+	+
Strategy	+	+	+	+	+	+	+	+	+	+	+	+	+	+			+	+
Risk Management	+	+	+	+	+	+	+	+	+	+	+	+	+	+		+	+	
Human Resources	+	+	+	+	+	+	+	+	+	+	+	+	+	+		+	+	+
IT / Digital Transformation	+	+	+		+	+		+	+		+		+		+			+
Sustainability (Environmental, Social, Governance)																		
	+	+	+	+	+	+	+	+	+	+	+	+	+	+		+	+	+

Note: The main qualifications that were categorised as in-depth specialist knowledge in the Supervisory Board's 2025 self-assessment are marked with a "+".

Qualification matrix of the Management Board

31.12.2025	Luc Popelier (CEO)	Ulrik Lack-schewitz (CRO)	Chris Brody (CIO)	Marc Ziegner (CFO)	Reinout van Riel	Jens Thiele
General banking knowledge						
	+	+	+	+	+	+
Specific banking knowledge						
Corporates	+	+	+	+	+	+
Commercial Real Estate	+	+	+	+	+	+
Global Transportation		+	+	+	+	+
Project Finance	+	+	+	+	+	+
International Banking - Germany	+	+	+	+	+	+
International Banking - Europe	+	+	+		+	+
International Banking - USA/Americas	+	+	+		+	+
International Banking - Asia/APAC	+	+	+		+	+
Capital Markets	+	+	+	+	+	+
Liquidity & Funding	+	+	+	+	+	+
Accounting	+	+	+	+	+	+
Auditing	+	+	+	+	+	+
Governance & control of a financial institution	+	+	+	+	+	+
Legal requirements and regulatory framework	+	+	+	+	+	+
Strategy	+	+	+	+	+	+
Risk Management	+	+	+	+	+	+
Human Resources	+	+	+	+	+	+
IT / Digital Transformation	+	+	+	+	+	+
Sustainability (Environmental, Social, Governance)						
	+	+	+	+	+	+

Note:
The main qualifications that were categorised as in-depth specialist knowledge in the Management Board's 2025 self-assessment are marked with a "+".

The Supervisory Board has specified concrete objectives for its composition in its Rules of Procedure. The Supervisory Board sets targets for the proportion of women on the Supervisory Board and the Management Board in accordance with Section 111 (5) AktG. The percentage by gender and other aspects of diversity that HCOB takes into account are presented below. Information on the proportion of women can also be found in the Corporate Governance Statement pursuant to Section 289f (4) HGB in the combined management report of HCOB.

Gender distribution

31.12.2025	Number			Proportion	
Gender	Women	Men	Total	Women	Men
Management Board	–	6	6	– %	100.0 %
Supervisory Board	6	12	18	33.3 %	66.7 %
Total	**6**	**18**	**24**	**25.0 %**	**75.0 %**

Gender distribution

31.12.2024	Number			Proportion	
Gender	Women	Men	Total	Women	Men
Management Board	–	4	4	– %	100.0 %
Supervisory Board	6	12	18	33.3 %	66.7 %
Total	**6**	**16**	**22**	**27.3 %**	**72.7 %**

Age distribution

Age in years	≤ 45		46 to 59		≥ 60	
	31.12.2025	31.12.2024	31.12.2025	31.12.2024	31.12.2025	31.12.2024
Management Board	16.7 %	– %	66.7 %	75.0 %	16.7 %	25.0 %
Supervisory Board	11.1 %	11.1 %	33.3 %	38.9 %	55.6 %	50.0 %
Total	**12.5 %**	**9.1 %**	**41.7 %**	**45.5 %**	**45.8 %**	**45.5 %**

Country distribution

31.12.2025								
Nationality	Germany	Belgium	Sweden	United States	Nether-lands	Spain	Austria	France
Management Board	33.3 %	16.7 %	16.7 %	16.7 %	16.7 %	– %	– %	– %
Supervisory Board	44.4 %	– %	– %	27.8 %	5.6 %	11.1 %	5.6 %	5.6 %
Total	**41.7 %**	**4.2 %**	**4.2 %**	**25.0 %**	**8.3 %**	**8.3 %**	**4.2 %**	**4.2 %**

Country distribution

31.12.2024								
Nationality	Germany	Belgium	Sweden	United States	Nether-lands	Spain	Austria	France
Management Board	25.0 %	25.0 %	25.0 %	25.0 %	– %	– %	– %	– %
Supervisory Board	44.4 %	– %	– %	27.8 %	5.6 %	11.1 %	5.6 %	5.6 %
Total	**40.9 %**	**4.6 %**	**4.6 %**	**27.3 %**	**4.6 %**	**9.1 %**	**4.6 %**	**4.6 %**

With regard to the independence of Supervisory Board members, 33 % (four out of twelve) of the members of the Supervisory Board elected by the shareholders are currently independent (previous year: 33%).
The Management Board manages the company's business, which includes monitoring the impacts, risks and opportunities in relation to sustainability aspects, with all its members assuming collective responsibility.

The Supervisory Board is responsible in particular for monitoring and advising the Management Board on management issues, including sustainability aspects. The Supervisory Board has currently formed the following committees from among its members, each of which monitors specific ESG (Environmental, Social, Governance) topics for the Supervisory Board and reports to it: Risk Committee, Audit Committee, Nomination Committee and Remuneration Committee (see Note 61. "Names and mandates of the members of corporate bodies" in the consolidated financial statements).

In accordance with the law, the Articles of Association of HCOB AG, the Rules of Procedure issued by the Supervisory Board and other principles and procedures, the Management Board is responsible for ensuring compliance with the statutory provisions and internal company guidelines, and strives to ensure that these are observed by the Group's companies. This includes an appropriate and effective risk management system. The

members of the Management Board are obliged to cooperate, in a relationship based on trust, with the other executive bodies of the company, in particular with the Supervisory Board and its committees, as well as with the employee representative body, the equal opportunities officers and the representative body for severely disabled persons (SBV), for the benefit of the company.

Each member of the Management Board is responsible for the management of the business units assigned to them under the business allocation plan (divisional responsibility). The divisional responsibilities and the provisions governing how the members of the Management Board stand in for each other are set out in the business allocation plan.

The Supervisory Board has all duties and rights assigned to it by law, the Articles of Association of HCOB AG or in any other way. In addition to monitoring and advising the Management Board on management issues, certain measures require the approval of the Supervisory Board. The Supervisory Board also determines the number of members of the Management Board, appoints the members and nominates the chairperson of the Management Board.

In performing their duties, each member of both the two bodies must exercise the due care of a prudent businessperson.

With regard to sustainability aspects, the Management Board and the Supervisory Board have installed corresponding responsibilities, tasks and structures at HCOB. Controls and procedures for managing impacts, risks and opportunities are covered by various reporting formats and bodies and are regularly reviewed. Details can be found in the chapters of the respective thematic standards.

The Management Board as a whole is responsible for the proper implementation of sustainability management. In addition, the respective board members responsible for sustainability issues within their areas of responsibility are accountable. The "Sales Management & ESG" department, which reports to the Chief Investment Officer (CIO) and, since October 1, 2025, to the Chief Commercial Officer (CCO), manages and coordinates the further development of sustainability activities for the entire Bank on behalf of the Executive Board. The Management Board is involved in all strategic issues related to ESG through the Sustainability Committee (SC) of HCOB AG. Further information on this topic is provided in "GOV-2 Information provided to and sustainability matters addressed by the undertaking's administrative, management and supervisory bodies".

The Supervisory Board regularly addresses the topic of ESG at its meetings. In particular, the Supervisory Board discusses HCOB's ESG strategy and approves the medium-term plan presented by the Management Board, including sustainability aspects (such as the Sustainable and Transformational Finance Framework). ESG is also an integral part of the annual financial statements. The Management Board submits the Sustainability Statement to the Audit Committee and the Supervisory Board. The Sustainability Statement is part of the combined management report and is adopted and approved by the Supervisory Board.

In addition, sustainability-related issues are discussed in the Supervisory Board committees as required and prepared for the Supervisory Board. At its meetings, the Supervisory Board is informed about important progress and considerations in connection with ESG in the reports from the committees. For example, the Risk Committee deals with risk-related aspects of sustainability, such as the Sustainable and Transformational Finance Framework (STFF) in particular; the Nomination Committee supports the Supervisory Board with the selection of Management Board members and the suitability assessment ("fit & proper") of the Management Board and Supervisory Board; and the Remuneration Committee assesses the variable remuneration of Management Board members, taking sustainability-related aspects into account. The Audit Committee monitors the implementation of the CSRD and is also responsible for the preliminary review of the Sustainability Statement.

The Management Board reports regularly to the Supervisory Board and its committees in accordance with the law, the Articles of Association, the Rules of Procedure issued by the Supervisory Board and any other regulations, in particular at its annual financial statements meetings and planning meetings, on issues of importance to the company, including ESG-relevant topics such as planning, business development, the risk situation, risk management and compliance. Within this context, the Management Board particularly addresses deviations of business developments from the plans and targets agreed, providing reasons for these deviations.

The business strategy, including the Bank's ESG strategy, is determined by the Management Board after discussion with the Supervisory Board. The business strategy forms the basis of HCOB's medium-term plan, which is approved by the Management Board and Supervisory Board, including the sustainability aspects it takes into account.

The Management Board sets Overall Bank targets that also take sustainability aspects into account, and it ensures that the individual business units work towards achieving the company's overall targets and plans and that corporate policy is implemented.

The Management Board submits the business plan, including the relevant sustainability aspects for the following financial year as well as material adjustments to the business plan during the year, to the Supervisory Board for approval. The Supervisory Board and its committees monitor the setting of targets in relation to material impacts, risks and opportunities and the progress made in achieving these targets on the basis of regular and, if necessary, ad hoc reporting by the Management Board, depending on the ESG topic.

In order to determine whether appropriate skills and expertise for monitoring sustainability issues are available or being developed on the Supervisory Board and Management Board, the Supervisory Board and the Management Board have each drawn up a qualification matrix based on the self-assessment of their individual members.

The qualification matrix is derived from HCOB's business model and the specific laws, regulations and other criteria that apply to the Bank.

The Supervisory Board evaluates the structure, size, composition and performance of the Management Board and Supervisory Board bodies at least once a year in accordance with the law, its Rules of Procedure and other regulations applicable to the Bank. In order to ensure that the management body has up-to-date specialist knowledge and expertise, further training is organised as required, both for the introduction of new members and on special topics.

The qualification matrices show the specific expertise for each member of the Supervisory Board and Management Board, based on the assumption that all members of the Supervisory Board and Management Board have basic knowledge in the subject areas.

As a whole, the Management Board and the Supervisory Board each have the knowledge, skills and professional experience to fulfil their duties properly in accordance with the law, the Articles of Association, the Rules of Procedure and other relevant regulations.

The necessary expertise is available within the Management Board and Supervisory Board with regard to both the business strategy and the risk-related components of sustainability.

If necessary, the Management Board and the Supervisory Board draw on the expertise of internal or external specialists on ESG topics relevant to the financial sector or the Bank in particular.

GOV-2 Information provided to and sustainability matters addressed by the undertaking's administrative, management and supervisory bodies

The Management Board of HCOB AG bears overall responsibility for sustainability issues. To support this responsibility, a structured sustainability governance has been established, ensuring close integration of business conduct and sustainability management. The goal is to embed sustainable practices as an integral part of the business strategy. To ensure implementation and the achievement of the defined sustainability objectives, the Bank has established a Sustainability Committee (SC). This committee comprises the entire Management Board and serves as a strategic decision-making body. It is chaired jointly by the Chief Risk Officer (CRO) and the Chief Investment Officer (CIO) and meets quarterly or more frequently if needed. For the period from October 1 to December 31, 2025, the Chief Commercial Officer (CCO) has assumed the role of co-chairman from the CIO.

The SC is responsible for the strategic management and monitoring of all relevant sustainability activities, including regulatory requirements and defined targets, and undertakes the following tasks in this context:

- Developing and managing the Bank's sustainability strategy with regard to ESG criteria and setting targets
- Monitoring the implementation of the Bank's sustainability plan
- Introducing suitable countermeasures or compensatory measures in the event of significant deviations from the plan
- Making decisions regarding the ESG Decision Matrix, only in cases for which a positive vote by the SC is required
- Promoting and implementing HCOB's Green Bond Framework in accordance with the International Capital Market Association (ICMA) and the Green Bond Principles in line with the Bank's business and financing objectives

During the reporting year, the SC discussed the material impacts, risks, and opportunities (IROs) as well as implementation strategies, measures, and objectives in the context of the ESRS requirements. These included,

among other things, addressing the overarching ESG strategy, implementing the EBA Guideline on ESG Risks, and, in this context, adopting short-, medium-, and long-term decarbonization targets within the HCOB portfolio transition plan. Additional topics discussed were the greenhouse gas emissions caused by business operations and financing activities, sustainability reporting, particularly in the context of regulatory requirements such as the EU Taxonomy and CSRD/ESRS requirements, the STFF aligned new lending business, the review of the results of the EBA climate risk scenario analysis, integration of physical risks into the lending process, and further development of the ESG data warehouse. The formal acknowledgment of the IRO, which is described in SBM-3 Material impacts, risks and opportunities, took place in the Management Board as part of its review of the combined management report. In addition, the procedure and the resulting findings were presented to the SC as part of the validation and confirmation process.

Accordingly, the members of the SC were ensured access to all relevant information as part of the delivery of the documents for meeting preparation by the Head of the "Sales Management & ESG" department.

The Supervisory Board is another component of the sustainability governance and deals with sustainability topics in its meetings and committees as required. The Supervisory Board is therefore informed about important progress and considerations in connection with ESG by the Management Board. Details can be found in the report of the Chairman of the Supervisory Board in the Annual Report.

Additionally, there is the central department "Sales Management & ESG" that prepares and operationalises the SC's strategic decisions and implements them within the Bank. The dialogue between the Management Board and the department "Sales Management & ESG" takes place not only in the SC, but also through a quarterly management reporting and bilateral discussions. Sustainability topics are also the responsibility of the relevant departments, which means that ESG is fully anchored in the organisation.

GOV-3 Integration of sustainability-related performance in incentive schemes

Remuneration of the Supervisory Board

The members of the Supervisory Board receive fixed remuneration for their activities, meaning that no targets are set with regard to sustainability-related aspects.
The remuneration system for Supervisory Board is based on the requirements of the German Corporate Governance Code and was adopted at the Annual General Meeting of HCOB AG on 30 May 2024.

Remuneration of the Management Board

HCOB AG's remuneration of its Management Board is governed by the German Remuneration Regulation for Institutions (InstitutsVergV). The Management Board's fixed remuneration includes, in addition to the annual fixed salary, a contribution to the pension plan of up to 20% of the annual fixed salary (previous year: 20%), other fringe benefits, and benefits in kind. Management Board members also receive performance-related variable remuneration. Further information on the basic principles of Management Board remuneration can be found in Note 57 "Related parties" in the consolidated financial statements.

The variable compensation of the Executive Board is based, among other things, on quantitative Group targets. A share of 7% of the variable remuneration (previous year: 10%) depends on sustainability-related targets (STFF new business, see "E1-4 Targets related to climate change mitigation and adaptation", and the underrepresented gender at the level of business unit heads/management functions/senior experts, see "S1-5 Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities"). Further ESG-related quantitative and qualitative Key Performance Indicators (KPIs) can be found in the individual targets set by individual board members. Climate-related aspects are taken into account through the target for the Sustainable and Transformational Assets indicator (4% of variable remuneration (previous year: 5%)), as defined in the STFF of the HCOB. The variable remuneration is not linked to the GHG emission reduction targets, but only to further climate targets for new STFF business. For a detailed explanation of the STFF, please refer to "E1-2 Policies related to climate change mitigation and adaptation" and "E1-3 Actions and resources in relation to climate change policies".

The Supervisory Board is responsible for determining the total remuneration of the individual members of the Management Board, determining the achievement of the annual targets, deciding on the structure of the Management Board's remuneration system and reviewing its appropriateness on a regular basis, but at least once a year.

GOV-4 Statement on due diligence

The following table shows where the due diligence obligations related to sustainability and the processes for identifying impacts, risks and opportunities as well as the measures to avoid negative impacts are described in the Sustainability Statement.

Core elements of due diligence

Element	Paragraphs in the Sustainability Statement
Embedding due diligence in governance, strategy and business model	ESRS 2 GOV-1, ESRS 2 GOV-2, ESRS 2 GOV-3, ESRS 2 SBM-1
Engaging with affected stakeholders in all key steps of the due diligence	ESRS 2 SBM-2
Identifying and assessing adverse impacts	ESRS 2 IRO-1
Taking actions to address those adverse impacts	E1-3, E1-4, E2-2, E3-2, E4-3, E5-2, S1-3, S1-4, S1-5, S2-4
Tracking the effectiveness of these efforts and communicating	E1-4, E1-6, S1-5

GOV-5 Risk management and internal controls over sustainability reporting

HCOB has implemented a Group risk management system to systematically identify, assess and minimise risks in its own business processes. The control mechanisms defined as part of the internal control system (ICS) enable the Bank to regularly review the effectiveness of the risk mitigation measures and adjust them if necessary.
In order to identify material risks in relation to sustainability reporting, HCOB carried out a risk analysis in which the risks were assessed based on the criteria of risk severity, probability of occurrence and potential damage. Both external and internal risks that could influence the accuracy and reliability of reporting were identified, evaluated and prioritised. Various strategies to reduce and eliminate these risks were then defined and implemented.

The following risks were identified as material for the preparation of the sustainability reporting as part of the combined management report:

Business process risk

The publication of the Sustainability Statement may be delayed, incomplete or incorrect as a result of process interruptions during data delivery or reporting, incorrect execution or incorrect process design. In order to minimise the risk of inadequate planning or coordination errors, HCOB has integrated the sub-process of preparing the Sustainability Statement into the existing process of preparing the overall financial reporting and supplemented it with specific, scheduled standard checks and review processes. The reporting tool Workiva, which was implemented specifically for the Sustainability Statement, helps to automate workflows, increase transparency and promote coordination and collaboration between all the business units involved.

Compliance risk

Other risks include non-compliance with regulatory requirements, which can have legal consequences. HCOB mitigates this risk by carrying out the double materiality analysis at an early stage. This is intended to ensure that all material topics relevant to HCOB are identified and addressed within the framework of sustainability reporting. Compliance with all legal requirements in the Sustainability Statement is reviewed and documented according to the four-eyes principle.

Reputation risk

Incorrect or incomplete information can lead to incorrect conclusions on the part of stakeholders. In addition, delays in the preparation of the Sustainability Statement would lead to the delayed publication of the entire financial report. The Bank's reputation and ESG rating could therefore be adversely affected.

To ensure data integrity and accuracy, HCOB has defined processes and work instructions as described above and published them internally. In particular, the scheduled review loops by the department heads ensure multidimensional checks with regard to the data provided and statements made.
Responsibility for the process of preparing the consolidated and single-entity financial statements and the combined management report (with integrated sustainability reporting) lies with the Finance & Bank Steering business unit. The accounting and sustainability-related ICS is intended to ensure the implementation of legal requirements. This should achieve a sufficient quality standard in order to ensure reliable and correct presentation of the earnings, net assets and financial position as well as the sustainability reporting.

The main basis for the ICS is the written rules of procedure (sfO), which includes all internal instructions and regulations. The processes are reviewed annually by the responsible process owners and adapted to the current underlying conditions and requirements. In addition, process-independent audits are carried out by Internal Audit.

The Bank's central ICS office is an independent function in the business unit Operations and reports quarterly to the committee responsible for non-financial risk, the Management Board and the Supervisory Board. It is responsible for methodological guidelines and their continuous development and reviews the appropriateness and effectiveness of the Bank-wide process controls on a sample basis using a risk-orientated process evaluation. An implemented ICS cycle also ensures that the ICS is reviewed with respect to its correctness and functionality as well as its appropriateness and effectiveness. Clear roles and responsibilities are defined within the ICS cycle to ensure that the tasks are performed in a proper manner.

Strategy

SBM-1 Strategy, business model and value chain

HCOB is a private commercial bank and specialist finance provider headquartered in Hamburg. In addition to Hamburg, the Bank also has offices in Berlin, Düsseldorf, Kiel, Frankfurt am Main, Munich and Stuttgart. Internationally, it is represented in Athens (Piraeus), London and Luxembourg as well as by a representative office in Amsterdam. As at the reporting date of 31 December 2025, HCOB employed 862.4 full-time equivalents (FTEs) (previous year: 930.4 FTE).

Number of Employees in FTE

Full-time Equivalents (FTE)	2025	2024
Total	**862.4**	**930.4**
Germany	792.4	849.6
Hamburg	666.3	714.6
Kiel	104.9	111.8
Berlin	6.0	6.0
Düsseldorf	5.0	5.0
Frankfurt	7.0	8.0
Munich	2.2	3.2
Stuttgart	1.0	1.0
International locations	70.0	80.8
Luxembourg, incl. Klarphos S.àr.l.	32.4	37.0
Piraeus	11.0	12.0
London	20.8	25.8
Amsterdam	5.8	6.0

Further information on the composition of the company's own workforce can be found in the section "S1-6 Characteristics of the undertaking's employees".HCOB offers customized financing solutions in the market-oriented segments Real Estate, Global Transportation (including Shipping and – for the last time in 2025 – Aviation), Project Finance (including renewable energies and digital infrastructure), and Corporates (national and international corporate clients). The aforementioned segments and the business strategies pursued within are presented in this consolidated management report in the chapter "Basis of the Group" under the section "Strategic directions for the segments."

The Aviation business area was discontinued during the reporting year in line with the adjusted business strategy, as aviation finance is no longer part of HCOB's core business, and the entire portfolio was sold in the fourth quarter. Further details can be found in the chapter "Economic report" under the section "Business Development."

Sustainability as part of the business strategy

In addition to the economic profitability of HCOB's business areas, compliance with and further development of ESG criteria is a key success factor. To achieve this, the Bank maintains a strategic dialogue with its clients and supports them with ESG-relevant topics and possible improvements on their path to greater sustainability and the transformation of their business models. Since 2020, HCOB has integrated ESG aspects across all three dimensions into its lending process. In addition, the Bank has joined external initiatives and made voluntary commitments, including the Principles for Responsible Banking (PRB, 2020), the Partnership for Carbon Accounting Financials (PCAF, 2021) and the Responsible Ship Recycling Standard (RSRS, 2020).

HCOB has implemented a governance structure to manage sustainability. In addition to the SC as the highest decision-making body (more details in "GOV-2 Information provided to and sustainability matters addressed by the undertaking's administrative, management and supervisory bodies"), the department "Sales Management & ESG" is responsible for the operational management. This is done in close cooperation with the market and risk units as well as other departments. In this way, the Bank ensures that all regulatory requirements are fully met and that it acts in accordance with the law.

The ESG risk management – including scenario analyses and climate stress tests – complements the ESG management. The Bank has also implemented an ESG data management system as well as ESG-related guidelines and processes.

Regular training programmes and internal communication measures are carried out to raise ESG awareness among employees. There is also an exchange with external stakeholders at various levels (for details, see "SBM-2 Interests and views of stakeholders").

As part of its strategic positioning in the context of ESG, HCOB has developed ESG approaches for each of its business segments, which take into account the risk and impact dimensions. These reduce the risk of stranded assets (assets whose income-generating capacity or market value unexpectedly falls drastically due to environmental or climate factors, up to and including their substantial or complete worthlessness), manage reputation risks and ensure efficient fulfilment of regulatory requirements:

Real Estate segment

HCOB actively supports Real Estate clients with their ESG transformation. In particular, the Bank provides its expertise in the financing of existing commercial properties, revitalisation and project developments in the commercial sector. As part of the credit analysis, an individual assessment is carried out using the CRREM (Carbon Risk Real Estate Monitor) tool to evaluate the risks of stranded assets. In addition, ESG aspects play a decisive role in the property valuation itself, whereby investments to increase energy efficiency are also taken into account.

Global Transportation segment

In the shipping sector, HCOB supports its clients with the transformation towards more sustainable business practices. The financing of medium-aged ships with a medium credit period offers flexibility to respond to new carbon-free technologies due to the high turnover frequency of the portfolio. However, the short-term focus is on efficiency enhancements for ships that are already in operation. Risks triggered by stranded assets are minimized by monitoring energy efficiency and respective steering.

Project Finance segment

The financing activities in the Project Finance segment strengthen the Bank's commitment to sustainability by focusing specifically on energy transition and the decarbonization of the economy, as well as digital infrastructure. These areas are characterized by a high positive ESG footprint and correspondingly low absolute financed emissions.

Corporates segment

In strategic dialogue with existing clients, HCOB supports their transformation to more sustainable production processes and business models. In particular with companies in Europe that produce or operate technical solutions related to the energy transition by providing appropriate financing solutions. CO_2-intensive sectors make up only a small part of HCOB's portfolio.

To measure progress and improve the ESG performance, HCOB has set itself strategic targets, including for decarbonising the portfolio for short-, medium- and long-term time horizons, targets for STFF-aligned new business, and for strengthening diversity. To achieve its decarbonization targets and steer transition risks, the Bank has developed a transition plan for its business segments within its Sustainability Framework, with asset class-specific ESG approaches for each business segment.

By signing the Principles of Responsible Banking (PRB) on 22 September 2020, HCOB committed to the goals of the Paris Climate Agreement. The Bank is aiming for net zero emissions at corporate level for banking operations and at portfolio level for the loan and investment portfolio by 2050. For the Shipping, Real Estate and Energy (power generation) portfolios, the Bank has defined net-zero objectives for the reporting year.
In the context of the sustainability targets, HCOB has identified its lending and investment activities in the relevant markets and client groups as the most important products and services at present. However, the Bank does not sell any products explicitly labelled as "green" – neither on the asset nor the liability side of the balance sheet – but instead ensures compliance with the minimum standards defined for the lending and investment process.

The guiding principles for sustainability serve as an orientation framework for HCOB. They comprise four key principles:

01. ESG at the Core
We have anchored sustainability in our strategy and governance. Our Management Board leads with accountability, ensuring that ESG is integral to our business decisions, meaning managing risks properly while understanding ESG as an opportunity.

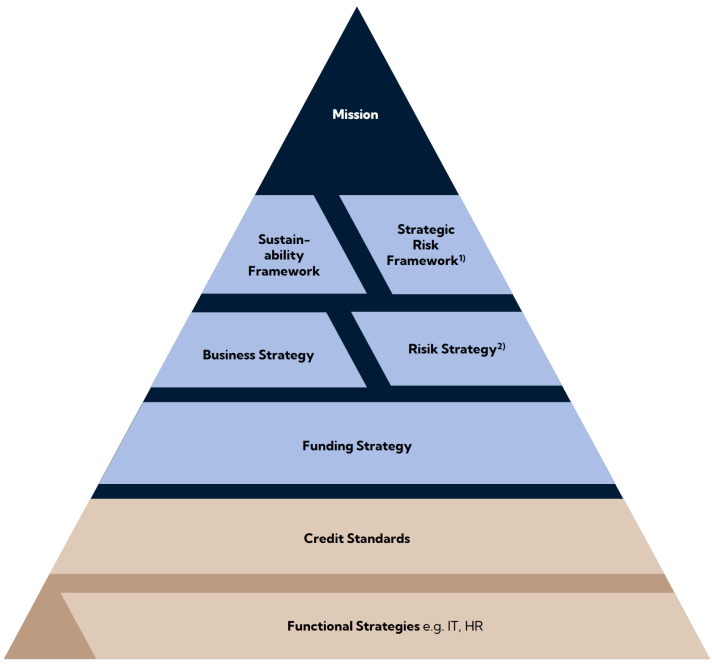
02. Supporting Sustainable Transformation
We see the necessity to actively support our clients in transitioning to more sustainable business models – offering expertise, financing, and long-term partnership for positive impact, increased resilience and shared success.

03. Strong commitment to climate protection
As a signatory of the UN Principles for Responsible Banking, we have committed to the Paris Agreement and therefore aim to achieve net zero emissions in 2050 for both our portfolio and operational carbon footprint.

04. Empowering employees and contributing to society
Our employees are key to delivering on our sustainability goals. We promote a diverse and inclusive work culture. By actively engaging with local communities, we take on responsibility towards society.

ESG aspects are an integral part of all the Bank's activities, processes and decisions. The central document for the sustainability strategy is the Sustainability Framework, which is integrated into the strategy architecture at the highest level, on a par with the Strategic Risk Framework. It covers how ESG factors are incorporated into HCOB's business activities, processes and decisions and thus forms the strategic foundation. Furthermore, it includes the HCOB transition plan with specific ESG approaches for each segment.

Strategy Architecture



[1)] Incl. Non-Financial Risk Framework

[2)] Incl. all sub-risk strategies according to the Strategic Risk Framework

A core element of HCOB's ESG approach is its ESG-related credit and investment process, which manages ESG risks and impacts in its business activities. This process considers and assesses not only environmental aspects but also social and governance factors. To this end, HCOB has developed a comprehensive assessment system, the "ESG linked Screening & Classification Process", based on the following elements: the Compliance Assessment & Sector Restrictions Check, the ESG Scoring Tool, and the Sustainable and Transformational Finance Framework (STFF) classification. Details are described in the topic-specific standards and the documents "ESG in the credit and investment process" and "Sustainable and Transformational Finance Framework" on the Bank's website.

Contribution of HCOB's portfolio and business operations to the SDGs:
As part of its commitment to the UN PRB, HCOB has also committed itself to the goals of the Paris Climate Agreement and the UN Sustainable Development Goals (SDGs). These 17 global goals of the UN are to be achieved by 2030. They are a worldwide call for action and promote sustainable development holistically.

In the 2025 reporting year, the Bank once again analysed its positive contribution to the SDGs at portfolio and corporate level. At corporate level, the Bank focused on the following six SDGs: SDG 1 No poverty, SDG 4 Quality education, SDG 5 Gender equality, SDG 7 Affordable and clean energy, SDG 8 Decent work and economic growth, SDG 13 Climate action. Further information on the policies implemented and measures taken within this framework can be found in the topical standards.

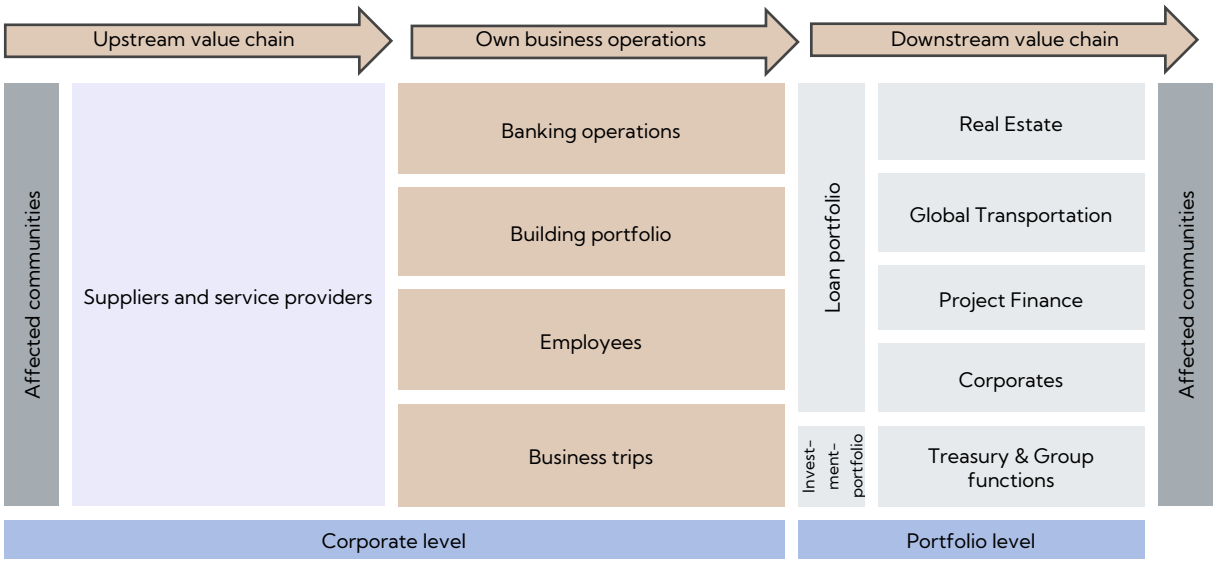
At portfolio level, the Bank analysed its positive contribution to the SDGs, whereas an analysis of the negative impact has not yet been carried out. HCOB's new lending business makes a positive contribution to four SDGs: SDG 7 Affordable and clean energy, SDG 9 Industry, innovation and infrastructure, SDG 11 Sustainable cities and communities, SDG 13 Climate action. Detailed information on the contribution of new lending business to the SDGs can be found in "E1-3 Actions and resources in relation to climate change policies".

ESG in the capital market and treasury business
In addition to its lending business, HCOB is also an active investor on the capital markets. The decision-making processes are based on the Bank's investment policy and are aligned with the standards in the lending business (see details above) and the sustainability guidelines. In the investment business, the Bank distinguishes between active, passive and semi-passive investments, which are valued differently depending on their characteristics. Details can be found in the document "ESG in the lending and investment process" published on the Bank's website.

Resource management for own banking operations
In addition to integrating sustainability aspects into its financing activities, HCOB also pursues an ESG-oriented strategy for its own banking operations with a focus on continuously reducing the consumption of resources.

As HCOB is not a manufacturing company, the majority of direct resource consumption is primarily due to energy and water consumption as well as waste production. The careful use of resources is firmly integrated into the Bank's processes. Employees are made aware of environmental impacts in order to further reduce emissions and resource consumption. For HCOB, compliance with applicable environmental standards is a basic prerequisite for sustainable and economically successful business activities. A detailed analysis of resource consumption and GHG emissions can be found in the topical standards ("ESRS E1 Climate change", "ESRS E3 Water and marine resources" and "ESRS E5 Resource use and circular economy").

HCOB's value chain comprises upstream and downstream activities as well as its own business operations. Upstream activities include suppliers and service providers who provide business, IT, building and consulting services as well as office supplies. Business operations include running the Bank's locations and dealings with employees. The material impacts were identified for the downstream value chain, focusing on the loan and investment portfolio. Affected communities are considered in both the upstream and downstream stages of the value chain as part of the public and NGOs stakeholder groups.



SBM-2 Interests and views of stakeholders

HCOB considers dialogue with its stakeholders to be a key element of sustainable and future-oriented business conduct, with the aim of understanding their interests and viewpoints and taking them into account accordingly in the sustainability work. Stakeholders are divided into internal and external groups.Internal stakeholders include the Management Board and employees, including representatives from market units, ESG and risk teams.

External stakeholders include clients, investors, owners, supervisory authorities, the public, non-governmental organisations (NGOs), media representatives, rating agencies, associations, suppliers and nature as a "silent stakeholder".

The exchange with its stakeholders takes place through bilateral discussions, strategic dialogues with clients, investor meetings and committee meetings. Different interest groups are addressed through specific dialogue formats. These results are used to validate the materiality analysis and to further develop the ESG strategy, whereby stakeholder interests with a major financial impact on the Bank are given more weight. The Management Board is involved and informed regularly via the SC meetings, which take place at least on a quarterly basis. The Supervisory Board is informed as required during its meetings and committee meetings.

Overview of stakeholders



The following overview shows the various formats and methods that HCOB uses to engage in dialogue with its stakeholders. It illustrates how the individual groups are involved, which communication channels are used, and what results are derived from the exchange.

Stakeholder

Who are our stakeholders?	What are the expectations?	How do we engage with stakeholders?	What is the result?
Management Board	– Strategic alignment of sustainability with corporate goals – Transparent decision-making and integration of risks	– Regular dialogue with the Management Board on ESG topics, e.g., via the Sustainability Committee – Collaboration between 'Sales Management & ESG', Risk, and Market Units	– Adoption of the ESG strategy and alignment

Stakeholder

Who are our stakeholders?	What are the expectations?	How do we engage with stakeholders?	What is the result?
Employees	– Representation of interests, protection of labour rights, and development opportunities – High satisfaction, motivation, and identification with HCOB	– Works council, representatives for disabled employees, youth and trainee representatives, and employee representatives on the Supervisory Board – Employee surveys – ESG training and internal communication to promote a sustainability culture	– Strengthened co-determination and democratic control – Improved perception and integration of ESG principles
	Sales Management & ESG: – Central management of the sustainability strategy – Alignment of ESG goals with corporate objectives	Sales Management & ESG: – Coordination of sustainability initiatives across departments – Regular dialogue with the Management Board on ESG topics	Sales Management & ESG: – ESG anchored in strategic decisions – Clear governance for sustainability measures
	Strategic Risk Control: – Integration of ESG risks into risk management – Compliance with regulatory and sustainability-related standards	Strategic Risk Control: – Close cooperation and coordination with Sales Management & ESG – Assessment of ESG-related risks in market units	Strategic Risk Control: – Improved risk framework considering ESG factors – Higher resilience and compliance
Clients	– Trust & transparency regarding services and stability – High-quality financial solutions that meet client needs	– Regular dialogue via digital and personal channels – Client surveys every two years to measure satisfaction	– Improved products based on feedback – Stronger long-term relationships and trust
Investors	– Clear insights into financial position and strategy – Opportunities for long-term value creation	– Regular capital market transactions and direct dialogue – ESG topics discussed with institutional investors	– Stable investor base and better market perception – Understanding of Bank strategy and ESG integration
Owners	– As a stock corporation, HCOB is accountable to its shareholders – coordination on strategic direction and capital plans – Transparency in dividend policy and governance	– Dialogue mainly at annual general meetings – Continuous updates on strategic initiatives	– Timely approval of capital measures – Strengthened governance and control
Supervisory Authorities	– Compliance with regulations and ESG priorities – Transparent reporting and risk management	– Close contacts with national and international regulators – Coordinated dialogue via Board Affairs (Regulatory Affairs interface)	– Improved regulatory compliance – Stronger ESG integration in governance
Public & Media	– The Bank aims to shape this positively as part of its social responsibility – Transparent communication and positive regional presence – Demonstration of social and environmental responsibility	– Press department manages media and public relations – Partnerships with non-profit organizations and climate initiatives	– Broad network of journalists and other media representatives – Visibility on social media channels – € 500,000 in donations to 11 organizations
Rating Agencies	– Transparent ESG performance and continuous improvement – Alignment with best practices for sustainability management	– Regular dialogue with Moody's and other sustainability rating agencies – Provision of data for ESG assessments	– Consolidated and strengthened ESG ratings – External comparability and credibility of sustainability efforts

Stakeholder

Who are our stakeholders?	What are the expectations?	How do we engage with stakeholders?	What is the result?
NGOs & Association	– Cooperative approach to ESG challenges; promotion of diversity – Promotion of equality and sustainability standards	– Long-term cooperation and regular dialogue with selected non-profit organizations – Joint projects with NGOs on biodiversity and equality – Active participation in ESG working groups and industry networks	– CO_2 offset through moor restoration in Schleswig-Holstein – Improved sustainability strategy through expert input – Shaping industry standards through quarterly meetings
Suppliers	– Compliance with human rights, labour, and environmental standards – Ethical and sustainable procurement practices	– Implementation of supplier code of conduct and procurement principles – Monitoring compliance with standards	– Reduced risk of negative impacts in the value chain – Clear framework for responsible procurement
Nature	– Protection of biodiversity and adaptation to climate change – Integration of ecological needs into corporate strategy	– Double materiality analysis to identify impacts – Cooperation with NGOs such as the Loki Schmidt Foundation	– Defined measures for climate adaptation and biodiversity conservation – Annual review and adjustment of measures

In addition to its relationship with the credit rating agency Moody's, the Bank maintains relationships with various sustainability rating agencies. These assessments enable external comparability of HCOB's ESG performance and serve as independent guidance for implementing best practices in managing sustainability aspects. During the financial year, the Bank was able to consolidate or further strengthen its position in the sustainability ratings, particularly with ISS, improving from C- ("not prime") to C ("prime"). The table below provides an overview of the current ESG ratings relevant to HCOB.

Sustainability ratings

	last rating as at	rating/score
Sustainalytics	09.2025	12,0 (Low ESG Risk)
MSCI	04.2025	A
ISS	05.2025	C, prime

SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model

The material impacts and risks identified using the double materiality analysis are presented in the table "Results of the materiality analysis". A distinction is made between the dimensions portfolio (downstream value chain) and corporate (upstream value chain and own business operations) as well as between impact materiality and financial materiality according to the defined IRO (impacts, risks and opportunities) drivers (Real Estate; Shipping; Renewable Energy; Media, IT & Telecommunications; own business operations; procurement of external products and services). No opportunities were identified. The analysis predominantly revealed actual negative impacts and potential financial risks for the IRO drivers Real Estate and Shipping due to their climate sensitivity. Further details on the methodology can be found in "IRO-1 Description of the processes to identify and assess material impacts, risks and opportunities".

The complete results of the materiality analysis are as follows:

Results of the materiality analysis

ESRS subtopic	Impact (positive/ negative), risk	Time horizon	IRO driver (Dimension)	IRO	IRO description
E1 – Climate change					
Climate change adaptation	actual negative impact	long term	Shipping, Real Estate (Portfolio)	Current financing activities do not sufficiently reflect the need for transformation	Due to the need to adapt to the consequences of climate change in the Shipping and Real Estate sectors and the associated climate risks, e.g. an increase in extreme weather events, rising temperatures and fluctuating availability of energy sources, it is necessary to evaluate financing and investment activities
Climate change adaptation	actual positive impact	short, medium and long term	Renewable Energy (Portfolio)	Financing renewable energies promotes climate change adaptation	The financing of renewable energy projects has a positive impact on the reduction of GHG emissions, which in turn leads to lower adaptation required to the consequences of climate change and correspondingly lower capital expenditure
Climate change mitigation	actual negative impact	short, medium and long term	Business operations (Corporate)	CO_2 emissions from banking operations	The activities associated with the Bank's own operations generate CO_2 emissions, primarily in connection with heating and electricity consumption
Climate change mitigation	actual negative impact	short, medium and long term	Shipping, Real Estate, Media, Telecommunications & IT (Portfolio)	CO_2 emissions from the operation of the assets financed by the Bank	The operation of the assets financed by the Bank in shipping, real estate, data centres, fibre optic networks and radio masts generates CO_2 emissions through the combustion of fossil fuels
Climate change mitigation	potential risk	long term	Shipping, Real Estate (Portfolio)	Loan default due to physical and transition climate risks for real estate and shipping	Various physical and transition climate risks such as extreme weather events or rising CO_2 prices, particularly for real estate and shipping, can lead to loan defaults and associated financial risks in the portfolio
Climate change mitigation	actual positive impact	short, medium and long term	Renewable Energy (Portfolio)	Financing renewable energies leads to a reduction in GHG emissions	Financing renewable energy projects has a positive impact on the reduction of GHG emissions, as the use of renewable energy displaces fossil fuels

Results of the materiality analysis

ESRS subtopic	Impact (positive/ negative), risk	Time horizon	IRO driver (Dimension)	IRO	IRO description
Energy	actual negative impact	short term	Business operations, procurement (Corporate)	Energy consumption by banking operations and data centres	Activities in connection with the Bank's own banking operations and the use of external data centres result in energy consumption
Energy	actual negative impact	short, medium and long term	Shipping, Real Estate, Media, Telecommunications & IT (Portfolio)	Energy consumption in the operating phase of financed assets	The assets financed by the Bank in Shipping, Real Estate, Media, Telecommunications & IT cause energy consumption in the operating phase
Energy	actual positive impact	short, medium and long term	Renewable Energy (Portfolio)	Financing renewable energies leads to a reduction in GHG emissions	Financing renewable energy projects has a positive impact on the reduction of GHG emissions, as the use of renewable energy displaces fossil fuels
E2 – Pollution					
Air pollution	actual negative impact	short and long term	Shipping (Portfolio)	Emission of pollutants through the combustion of fuels	The operation of the vessels financed by the Bank causes various pollutants to be emitted during the combustion of fossil fuels, including gaseous emissions, soot particles and particulate matter
Water pollution	actual negative impact	short and long term	Shipping (Portfolio)	Leakage of oils and chemicals	The operation of the vessels financed by the Bank results in the release of oils, chemicals or other pollutants into the marine environment
E3 – Water and marine resources					
Water	actual negative impact	short, medium and long term	Business operations (Corporate)	Water consumption by banking operations	Water is used for the sanitary facilities at the office locations as a result of activities in connection with the own banking operations
E4 – Biodiversity and ecosystems					
Direct causes of biodiversity loss	actual negative impact	long-term	Shipping (Portfolio)	Pressure on marine ecosystems, particularly from invasive species	The operation of the vessels financed by the Bank puts pressure on marine ecosystems, through the introduction of invasive species, GHG emissions, harmful paints and noise pollution
E5 – Resource use and circular economy					
Waste	actual negative impact	short, medium and long term	Business operations (Corporate)	Waste generation by banking operations	Various types of waste are generated as a result of activities in connection with the own banking operations

Results of the materiality analysis

ESRS subtopic	Impact (positive/ negative), risk	Time horizon	IRO driver (Dimension)	IRO	IRO description
S1 – Own workforce					
Working conditions	actual negative impact	short and medium term	Business operations (Corporate)	High workload	Challenging working conditions lead to negative impacts on the company's own workforce; these include stress, long working hours, uncertainty due to restructuring, a lack of work–life balance and a lack of co-determination
Equal treatment and opportunities for all	actual negative impact	short and medium term	Business operations (Corporate)	Insufficient consideration of equal opportunities	A company environment that does not guarantee and promote equal treatment and opportunities leads to discrimination or a lack of inclusion in its own workforce
Other work-related rights	actual negative impact	short and medium term	Business operations (Corporate)	Violations of employee rights	Violations of employee rights have a negative impact on the professional and private situation of the company's own workforce
S2 – Workers in the value chain					
Working conditions	potential negative impact	short term	Shipping (Portfolio)	Critical working conditions on vessels	Critical working conditions on the vessels financed by the Bank, such as long working hours and absences, accompanied by heavy physical and mental stress, can have a negative impact on the affected workers in the value chain
Working conditions	potential negative impact	short term	Procurement (Corporate)	Critical working conditions and violations of human rights and environmental standards	Working conditions that are not in line with generally recognized social standards and violations of human rights and environmental standards by service providers and suppliers could have a negative impact on the affected workers in the value chain
G1 – Business conduct					
Corporate culture	actual negative impact	short, medium and long term	Business operations (Corporate)	Violation of the Code of Conduct	Violation of the Code of Conduct has a negative impact on the company's own workforce, clients and society
Protection of whistleblowers	actual negative impact	short term	Business operations (Corporate)	Endangering whistleblowers	Endangering whistleblowers through inadequate protection against retaliation, which undermines personal integrity and jeopardizes their position
Political commitment and lobbying activities	actual negative impact	short term	Business operations (Corporate)	Influencing political decisions	Excessive influence on political decisions could harm public welfare

Results of the materiality analysis

ESRS subtopic	Impact (positive/ negative), risk	Time horizon	IRO driver (Dimension)	IRO	IRO description
Management of relationships with suppliers, including payment practices	actual negative impact	short term	Business operations (Corporate)	Unfair treatment of service providers	There is a possibility that the Bank will not treat service providers equally in the tendering and awarding process
Corruption and bribery	actual negative impact	short, medium and long term	Business operations (Corporate)	Susceptibility to corruption in banking operations	Payment transactions in daily banking operations are susceptible to corruption and bribery

The influence of the impacts and risks on the strategy and business model is explained in "SBM-1 Strategy, business model and value chain" as well as in the tabular overviews of the material impacts on the relevant sustainability aspects identified for HCOB at the beginning of the topical standards. In addition, the individual measures are also explained in the chapters of each topical standard. No actual financial impacts were identified as part of the materiality analysis.

The resilience of the business model and strategy, particularly with regard to climate change, is explained in "E1 ESRS 2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model".

There are no changes compared to the previous reporting year. The impacts and risks covered by the ESRS can be found in the table above, as the IROs are assigned to an ESRS topic and subtopic. As of the reporting date, HCOB does not provide any additional company-specific information.

Management of impacts, risks and opportunities

IRO-1 Description of the processes to identify and assess material impacts, risks and opportunities

HCOB conducted a dual materiality analysis in the financial year, building on the initial materiality analysis from 2024. Following its initial implementation in accordance with ESRS requirements in the first reporting year, the dual materiality analysis process has now transitioned into regular operations, in the form of an annual validation and confirmation process.

In this process, the central sustainability issues are identified according to the principle of double materiality, where HCOB has a significant impact on nature or society, or which are financially significant for the Bank.

The identified issues form the basis for the development of HCOB's sustainability strategy, including the formulation of specific objectives, measures, and key performance indicators. This process enables a systematic evaluation and strategic integration of ESG factors into the Bank's processes.

The Bank conducted the initial materiality analysis in several steps. First, a longlist of potentially material sustainability topics was compiled. Then, the results of the most recently conducted materiality analysis were reviewed, and any necessary adjustments were identified.

Since incorporating diverse perspectives is essential for assessing materiality, a stakeholder mapping process was conducted to identify relevant stakeholders. This process considered various dimensions, including how stakeholder engagement should be structured. Over the years, the Bank has identified relevant stakeholder groups and established corresponding communication formats, which are explained in "SBM-2 Interests and views of stakeholders" and are also validated and supplemented in the annual stakeholder mapping. For each stakeholder group, an appropriate level of engagement was defined and documented in accordance with the AA1000 Stakeholder commitment Standard. To capture external perspectives, internal business units with close relationships with external stakeholders were also included. Internal stakeholders were thus able not only to contribute their own views but also to reflect external perspectives (indirect survey). Finally, the results of the materiality analysis were validated by various relevant stakeholders.

As a next step, internal and external data sources were identified that supported the qualitative assessment of the sustainability issues. Data from external sources were used: ENCORE for environmental issues (for analysing impact materiality and financial materiality), and UNEP FI for environmental, social, and governance (ESG) issues (for analysing impact materiality) were used. In addition, the HCOB risk inventory and the ESG Scoring were used to assess the financial materiality. The HCOB risk inventory is conducted annually to determine the Bank's overall risk profile, assess material risks, and identify risk concentrations, including those related to ESG factors. A detailed description can be found under E1 ESRS 2 "IRO-1 Description of the processes to identify and assess material impacts, risks and opportunities". The ESG Scoring tool assesses ESG criteria in the credit and investment process. It is applicable to companies in all sectors, as well as to project and asset financing. The scoring tool is based on the guidelines of the European Banking Authority (EBA) and BaFin on integrating ESG factors into the loan origination process. A mapping links the questions of the ESG scoring tool with the ESRS subtopics to ensure a close connection between the topics.

The materiality analysis includes all business areas and activities along the entire value chain. This encompasses the areas described in "SBM-1 Strategy, business model and value chain".

Clustering of the portfolio to define the IRO drivers:

In order to identify the IRO (impact, risks, opportunities) drivers that are relevant for HCOB, the asset classes for the loan portfolio and investment portfolio were analysed and groupings were formed based on the HCOB business segments. Here, the NACE classification (by financing purpose) were used, grouped by EaD. In order to cover the entire value chain, service providers and suppliers as well as the Bank's own business operations were taken into account in addition to the direct business partners.

Both the loan portfolio and the investment portfolio were analysed, whereby a streamlined process was used in the valuation for portfolio shares that made up less than 5 % of the total portfolio measured in terms of EaD.

The initial assessment was carried out qualitatively using external data sources such as ENCORE (for E topics) and UNEP FI (for E, S and G topics). The IRO drivers were then evaluated by the identified stakeholders as part of the quantitative analysis using the evaluation criteria specified in the ESRS. These include the severity (consisting of scope, scale and irremediability) and probability of occurrence of potential impacts for short, medium and long-term time horizons, respectively. The results were then validated by additional stakeholders.

IRO drivers with a share of less than 5 % EaD of the overall portfolio were only assessed on the basis of the detailed assessment criteria (quantitative analysis) if the qualitative analysis (ENCORE or UNEP FI) showed at least a high materiality.

The consolidation of the scores of the individual evaluation criteria led to a final scale of 0 to 5 on both sides of the double materiality. Based on this scale, a threshold value (> 3) was defined above which an impact is considered material. To ensure that scores which are not integers are also taken into account appropriately, five classes of equal size were defined based on the scores, which specify the corresponding number ranges. Classes 4 and 5 are considered material, which include all IRO drivers with a score above 3.0. Qualitatively, this means that all IRO drivers with a score higher than "medium/moderate" are already classified as material.

Assessment of the impact materiality

As a credit institution, HCOB bears the greatest risk of negative impacts in the downstream value chain (loan and investment portfolio). The analysis therefore primarily derived negative impacts at portfolio level. In addition to the business activities of the parent company, the consolidated and non-consolidated subsidiaries were also analysed.

The IRO drivers identified in shares of the overall portfolio with more than 5 % EaD are comparatively homogeneous and are distributed across only a few sectors (Real Estate; Shipping; Financial Services; Renewable Energy; Media, Telecommunications & IT). In view of the diversity of the shares with less than 5 % EaD in the overall portfolio, the external data sources already mentioned were used to identify those sectors in which the potential and actual negative impacts are greatest. This information serves as the basis for the quantitative assessment.

HCOB's own business operations, including the upstream value chain that comprises service providers and suppliers, were analysed separately from the portfolio.

Assessment of the financial materiality

Similar to the impact assessment, risks and opportunities were initially analysed qualitatively using internal and external sources. In addition to the internal scoring tool and the risk inventory, ENCORE data was used to include dependencies and impacts in the analysis of financial materiality.

A quantitative assessment was then carried out for risk and opportunity drivers with more than 5 % EaD using the ESRS criteria (scope and probability of occurrence) for short, medium and long-term time horizons. The risk perspective was not analysed for the smaller portfolio shares below 5 % EaD, as no material financial risk can arise from these exposures. In contrast to the impact materiality, the exposure level (<5% EAD) means that no financial materiality can arise. In assessing financial materiality, both risks and opportunities were considered. At present, no material opportunities have been identified.

The scale and materiality thresholds used correspond to those used in the impact assessment. The starting point for considering ESG risks in the risk management process are the ESG factors identified as material in the risk inventory, which determine financial materiality. Specific information on the methodology for assessing financial materiality, particularly with regard to the identification and assessment of climate-related physical and transitional risks, is contained in the E1 ESRS 2 "IRO-1 Description of the processes to identify and assess material impacts, risks and opportunities".

Validation and confirmation process

As mentioned above, a validation and confirmation process was conducted in the financial year 2025 to identify the material topics, building upon the double materiality analysis initially performed in the financial year 2024. The validation process analysed whether there had been any shifts in the portfolio composition, particularly with regard to the defined 5% threshold. Additionally, changes in the business model and the Group structure were analysed to determine whether these led to material changes in the initially identified material topics. The process also examined whether there were any material changes in the risk inventory compared to the previous year or any relevant stakeholder feedback that could impact the identified material topics. The analysis conducted as part of the validation and confirmation process did not identify any material changes that impacted the IRO and thus the material topics. Therefore, the results of the double materiality analysis confirmed that the initially identified IRO and material topics remain material, and no new material topics have been added. Formal approval of the final key topics is granted by the Management Board during its review of the Sustainability Statement as part of the consolidated management report. In addition, the procedure and resulting findings were presented to the SC as part of the validation and confirmation process.

The methodology described above was applied to identify the impacts, risks, and opportunities within the materiality analysis regarding climate change, pollution, water and marine resources, biodiversity and ecosystems, resource use and the circular economy, and business conduct . No further exchange with affected communities took place beyond the stakeholder dialogue described in "SBM-2 Interests and views of stakeholders".

IRO-2 Disclosure requirements in ESRS covered by the undertaking's Sustainability Statement

As described in section "IRO-1 Description of the processes to identify and assess material impacts, risks and opportunities", HCOB identified the material topics by means of a comprehensive materiality analysis and using the specified evaluation criteria. The results of this analysis were transferred to the CSRD Compliance Cockpit, an internal Bank tool based on Implementation Guidance 3 of the European Financial Reporting Advisory Group (EFRAG). This tool translates the requirements of the ESRS standards and the associated application requirements into Excel format.

The derivation methods of the CSRD Compliance Cockpit and the allocation of datapoints to the sustainability aspects defined in the ESRS enabled HCOB to create a list of reportable datapoints. This list forms the basis for sustainability reporting in accordance with the CSRD.

An overview of the material topics can be found in section "SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model".

No material sustainability aspects were identified under ESRS S3 and ESRS S4.

"Appendix 1 Disclosure requirements and disclosures incorporated in the Sustainability Statement by reference" contains an overview of the disclosure requirements covered by this Sustainability Statement.

"Appendix 2 Datapoints resulting from other EU legislation" lists all datapoints from other legislation, shows their allocation in the report and also indicates "non-material" datapoints.

Environmental information

Information according to Article 8 of Regulation (EU) 2020/852 (Taxonomy Regulation)

The EU Taxonomy Disclosure Regulation is an integral part of the EU sustainability regulatory framework, as it establishes clear transparency requirements for financial market participants. The integration of the Taxonomy into the EU's Sustainable Finance Plan ensures that financial flows are channelled into sustainable and climate-friendly projects, which contributes to achieving the climate targets. The EU Taxonomy Regulation (Regulation (EU) 2020/852) defines a classification system for economic activities based on their environmental sustainability.

The classification system primarily serves disclosure requirements in order to enable investors and companies to make informed decisions about sustainable business activities. The Taxonomy comprises six environmental goals: climate change mitigation, climate change adaptation, sustainable use and protection of water and marine resources, transition to a circular economy, pollution prevention and control and protection and restoration of biodiversity and ecosystems. In addition to the regulation, the supplementary FAQs, notices and interpretations of the EU Commission are also taken into account in the reporting. One of these FAQs states that business partners which are not subject to the CSRD themselves but are part of a parent company subject to CSRD are also in scope of the reporting.

Activities are taxonomy-eligible if they are covered by the EU legal acts on the Taxonomy (Regulation (EU) 2020/852, Delegated Regulation (EU) 2021/2139, Delegated Regulation (EU) 2022/1214, Delegated Regulation (EU) 2023/2485, Delegated Regulation (EU) 2023/2486, Delegated Regulation (EU) 2021/2178) and thus make a substantial contribution to one of the six environmental objectives. It should be noted that the business partner must be subject to the transparency requirements under guideline 2013/34/EU, or the activity involves a financial product that is subject to the disclosure requirements for financial products marketed as environmentally sustainable.

As the Delegated Regulation amending the Taxonomy Disclosure Regulation (EU) 2026/73 was finalized shortly before completion of this report, HCOB continues to apply the previous presentation method in accordance with Article 4 of the Regulation for the 2025 reporting year. The new reporting templates and the associated new approaches for determining the Green Asset Ratio (GAR) will be applied for the first time in the following reporting year. The "Draft Commission Notice" published in December 2025 on the interpretation and implementation of selected provisions of the new Delegated Regulation on the Taxonomy Regulation was also taken into account. The Bank makes use of the option provided therein to exclude the reporting templates to be reported for the first time, namely template 6 'Fees & Commissions' and template 7 'Trading Book', for the reporting year.

For an economic activity to be considered taxonomy-aligned , four key criteria must be met:

01. SUBSTANTIAL CONTRIBUTION

An activity must make a substantial contribution to achieving one of the six environmental goals. Specifically, the economic activity referred to Articles 10 to 16 of the EU Taxonomy must make a substantial contribution to achieving one or more of the environmental objectives set out in Article 9 of the EU Taxonomy.

02. DO NO SIGNIFICANT HARM (DNSH):
In addition to the substantial contribution, an activity must not cause any significant harm of other environmental goals. Specifically, the economic activity must not lead to significant harm to one or more of the environmental goals listed in Article 9 of the EU Taxonomy, as defined in Article 17 of the EU Taxonomy.

03. MINIMUM SAFEGUARDS:
Sustainability also includes social aspects. Therefore, taxonomy-aligned activities must meet international minimum protection standards, such as the OECD guidelines for multinational enterprises or the UN Guiding Principles on Business and Human Rights. Specifically, economic activity should be carried out in compliance with the social minimum safeguards set out in Article 18 of the EU Taxonomy.

04. TECHNICAL SCREENING CRITERIA
These criteria define the conditions under which an economic activity is categorized as environmentally sustainable. They define specific requirements that must be met in order to make a substantial contribution and at the same time not cause any significant harm. Specifically, the economic activity must fulfil the technical screening criteria established by the Commission in accordance with Article 10(3), Article 11(3), Article 12(2), Article 13(2), Article 14(2) and Article 15(2) of the EU Taxonomy.

The EU Taxonomy also forms the core of the Bank's own Sustainable & Transformational Finance Framework (STFF). The STFF is also a classification system for financing activities with practicable criteria that are based on the criteria for sustainable business practices from the Taxonomy Regulation and are applicable to all of the Bank's clients, regardless of their size and country of domicile. Therefore the STFF offers greater coverage and applicability in relation to the Bank's business activities and applies alongside the legally mandatory EU Taxonomy.

Disclosure requirements
In connection with the Non-Financial Reporting Directive (NFRD), Article 8 of the EU Taxonomy Regulation requires banks to report how and to what extent their financing activities are associated with economic activities within the scope of the EU Taxonomy. Regulation (EU) 2021/2178 supplements Article 8 of the Taxonomy Regulation and specifies the content and presentation of the information required from companies that are subject to the obligation to publish non-financial information in accordance with Article 19(a) or Article 29(a) of Directive (EU) 2013/34.

In particular, financial institutions shall disclose the following sheets of the reporting form for credit institutions from Annex VI of Delegated Regulation (EU) 2021/2178 amending Delegated Regulation (EU) 2021/2178 (C(2023) 3851 final):

0. SUMMARY OF KPIs
1. ASSETS FOR THE CALCULATION OF GAR
2. GAR SECTOR INFORMATION
3. GAR KPI STOCK
4. GAR KPI FLOW
5. KPI OFF-BALANCE SHEET EXPOSURES

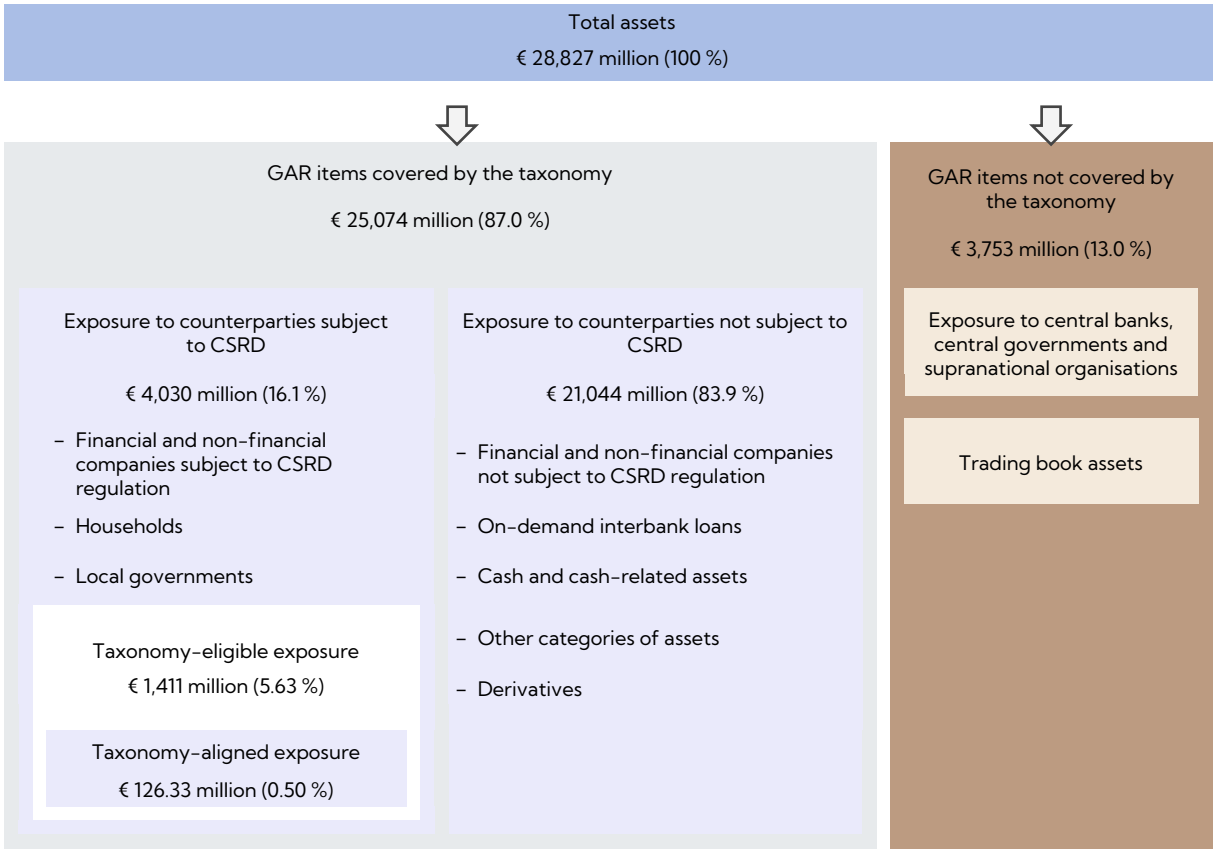
The templates 1, 3 and 4 are included in duplicate for turnover and CapEx.

In addition, the table has been included in Annex XII of Delegated Regulation (EU) 2022/1214 on activities related to nuclear energy and fossil gas. All final announcements published by the Commission on Taxonomy disclosure were also taken into account.

Reporting principles

The EU Taxonomy KPIs and data of Hamburg Commercial Bank as at 31 December 2025 are listed in the templates on the following pages. The taxonomy-aligned assets amount to € 126.3 million (2024: € 172.2 million), resulting in a Green Asset Ratio (GAR) of 0.50 % (2024: 0.58 %) for HCOB.

Taxonomy-relevant assets



The continued low volume of taxonomy-aligned exposures results from the limited scope for including business partners within the requirements of the Taxonomy Regulation. This is due to the fact that only a small proportion of business partners and their parent companies are subject to the CSRD obligation. In addition, there is no significant exposure to households. Therefore, as at 31 December 2025, only 16.1 % (€ 4,030 million) (2024: 15.4% (€ 4,598 million)) of HCOB's total GAR assets qualify for inclusion in the GAR numerator.

Total GAR assets amounted to € 25.1 billion (2024: € 29.9 billion), whereby exposures to central banks, supranational issuers and central governments, which accounted for 13.0 % (2024: 11.9 %) of total assets, were not taken into account.

The taxonomy-eligible exposures amounted to € 1,411 million (2024: € 1,894 million) and consist primarily of bonds issued by financial institutions, including green bonds. A small proportion comprises corporate loans and loans secured by residential real estate to private households. Assessing the taxonomy eligibility or alignment of private households was limited, as this business segment is being wound down and therefore only limited financing data is available. Nevertheless, financing activities that explicitly relate to economic activities within the Taxonomy could be reported as taxonomy-eligible.

The slight decrease in GAR can be attributed to the repayment of taxonomy-aligned financings. The latter includes taxonomy-aligned financing, particularly for wind and solar farms.

Reporting principles

The preparation of mandatory Taxonomy reporting is based on FINREP reporting and the regulatory consolidation for Hamburg Commercial Bank AG in accordance with the regulatory reporting of institutions pursuant to Regulation (EU) 575/2013 of the European Parliament and of the Council and Commission Implementing Regulation (EU) 2021/451 (FINREP).

Methodological notes and limitations in data

All reported data and key figures are based on the actual data recorded in HCOB's accounting and management system. The primary basis is FINREP reporting at individual transaction level, which is supplemented by relevant sustainability information. This includes the centrally assessed CSRD obligation of the business partner, the recording of the Taxonomy ratios and financing information for determining the inclusion, taxonomy eligibility and taxonomy alignment of a transaction.

For the recognition of taxonomy-eligible or taxonomy-aligned positions in the Taxonomy disclosure, HCOB has chosen an approach that focuses on the CSRD obligation of business partners and their Group parent companies. Identification is based on information provided by companies (e.g. annual financial statements), stock market data, financial data providers (e.g. Bloomberg) or publicly accessible sources. Hamburg Commercial Bank takes into account both the direct counterparties as well as their parent groups or parent companies (according to Commission Notice C/2024/6691). This represents a change to the procedure in the past, in which only direct business partners were checked for CSRD obligations. If a business partner makes use of the exemption rule as a subsidiary of a company that makes mandatory Taxonomy disclosures for the Group, the Group figures published are used. As a significant proportion of HCOB's business partners and any parent companies are not subject to CSRD reporting obligations, only a small proportion of HCOB's business activities are included in the green asset ratio numerator.

If there are relevant transactions with partners subject to the CSRD, the Bank checks whether specialised or general corporate financing is involved. For general financing, the published Taxonomy information of the business partner or Group are applied. In the case of specialised financing, the economic activity is reviewed to determine if it is taxonomy-eligible and taxonomy-aligned. Specialised financings have dedicated use of proceed where the cash flow can be allocated to an economic activity, an asset or a project. If information to validate taxonomy alignment was missing, this was requested from the respective business partner. If no conclusive, complete taxonomy alignment can be determined from the information and documents available, the exposure is classified as not taxonomy-aligned. In the case of private households, no initiation took place as this is a small wind-down portfolio. The Bank is not planning any further new business here.

Debt securities with specific uses of funds, such as green bonds and project bonds, are reviewed regarding their financing purposes and collateralisation. Although references to the Taxonomy were found in the respective green bond frameworks, bond prospectuses and impact reports, there was no specific reporting on taxonomy alignment, meaning that these instruments could not be qualified as taxonomy-aligned. It is expected that the further establishment of the EU Green Bond label will improve the qualification of the instruments. Debt securities without dedicated use of proceeds are subject to the same approach as general corporate purpose financings.

For reporting purposes, the Bank uses the most recent non-financial reports available from its business partners. It cannot be ruled out that additional reports may be published by business partners after publication of HCOB's CSRD report.

In Template 2, the "of which environmentally sustainable..." column shows the taxonomy-aligned volume related to business partners with primary activities in the respective NACE code and environmental goal. The "€ m" column shows the respective taxonomy-eligible volume.

The flow figures in Template 4 relate to new business, which is included in the calculation based on the FINREP gross carrying amounts. For line items without genuine new business, interbank loans, cash and cash-related assets and other categories of assets, a net treatment was used. If the net treatment resulted in negative values, the new business value was recognised at 0. For all other items, new business was determined using portfolio comparisons and a gross treatment was used. As with Template 3, the figures are based on the total GAR assets in the denominator.

The Bank does not operate an asset management business and therefore does not report any figures for "Assets under management" in Template 5. In addition, it does not currently provide any financial guarantees that fall under the EU Taxonomy Regulation or are relevant for business partners subject to CSRD. Financial guarantees are based on the individual transaction portfolio for the "Financial guarantees given" reporting item from FinRep F18.00. The individual transaction portfolio is then checked for business partners subject to CSRD and, if there are business partners subject to reporting requirements, also checked for taxonomy eligibility and alignment.

For the presentation of the nuclear and gas templates, the specialised lending transactions with counterparties subject to CSRD were checked for possible overlaps with the economic activities specified in Delegated Regulation (EU) 2022/1214. There are currently no overlaps. In addition, the existence of general corporate financing with counterparties subject to the CSRD and active in the nuclear and gas sectors was reviewed. Again, no information was disclosed by our counterparties.

0. Summary of KPIs to be disclosed by credit institutions under Article 8 Taxonomy Regulation

		Total environmentally sustainable assets	KPI[3]	KPI[4]	% coverage (over total assets)[5]	% of assets excluded from the numerator of the GAR (Article 7(2) and (3) and Section 1.1.2 of Annex V)	% of assets excluded from the denominator of the GAR (Article 7(1) and Section 1.2.4 of Annex V)
Main KPI	Green asset ratio (GAR) stock	126.33	0.50 %	0.52 %	86.98 %	73.00 %	13.02 %

		Total environmentally sustainable activities	KPI	KPI	% coverage (over total assets)	excluded from the numerator of the GAR (Article 7(2) and (3) and Section 1.1.2 of Annex V)	excluded from the denominator of the GAR (Article 7(1) and Section 1.2.4 of Annex V)
Additional KPIs	GAR (flow)	9.71	0.16 %	0.18 %	93.68 %	79.96 %	6.32 %
	Trading book[1]						
	Financial guaran-tees	0.00	0.00 %	0.00 %			
	Assets under manage-ment	0.00	0.00 %	0.00 %			
	Fees and commis-sions income[2]						

[1] For credit institutions that do not meet the conditions of Article 94(1) of the CRR or the conditions set out in Article 325a(1) of the CRR

[2] Fees and commissions income from services other than lending and AuM

Institutions shall disclose forward-looking information for this KPI, including information in terms of targets, together with relevant explanations on the methodology applied.

[3] based on the Turnover KPI of the counterparty

[4] based on the CapEx KPI of the counterparty, except for lending activities where the Turnover KPI is used for general lending

[5] % of assets covered by the KPI over Banks' total assets

Note 1:
Across the reporting templates: cells shaded in gray should not be reported.

Note 2:
Fees and Commissions (sheet 6) and Trading Book (sheet 7) KPIs shall only apply starting 2026. SMEs' inclusion in these KPI will only apply subject to a positive result of an impact assessment.

ESRS E1 Climate change

Strategy

E1-1 Transition plan for climate change mitigation

Corporate: In its banking operations, HCOB focuses on energy efficiency and the use of renewable energies. It has already implemented several measures to reduce electricity and heat consumption. These include the installation of motion detectors, the conversion to LED lighting and policies for needs-based heating at the Hamburg and Kiel locations (see "E1-3 Actions and resources in relation to climate change policies"). The CO_2 reduction options at the current locations Hamburg and Kiel have largely been exhausted. At the end of 2026, HCOB will move into a new corporate headquarters in Hamburg, which is aiming for WELL and LEED Platinum certifications. This energy-efficient building will therefore meet the highest sustainability standards and, through heating via a heat pump, will enable a further reduction in the CO_2 footprint caused by the Bank's operations. Accordingly, the Bank aims for net-zero emissions for its banking operations by 2050.

Since the Bank has a much greater impact on climate change with its financed portfolio emissions than with its corporate activities, it has set itself a concrete transition plan for the portfolio.

Portfolio: The financial sector plays a key role in financing the transformation to support climate change mitigation. HCOB actively assumes responsibility and takes climate factors into account in its lending and investment decisions.

Furthermore, in the reporting year the Bank adopted a transition plan for the first time, which describes the transition of HCOB to net-zero.

By signing the PRB on September 22, 2020, HCOB committed itself to the goals of the Paris Climate Agreement. Accordingly, the Bank aims for net-zero emissions for its entire credit and investment portfolio by 2050. Furthermore, the Bank has already set short- and medium-term decarbonization targets and a long-term net-zero target for its Shipping, Real Estate, and Energy (power generation) portfolios. These portfolios together account for more than two-thirds of the financed emissions and are part of the so-called carbon-intensive sectors. Otherwise, HCOB is hardly active in carbon-intensive industries, and sector restrictions apply, among other things, to the financing of coal, oil, and gas activities.

The objectives set for 2030 and 2050 are based on the requirements of science-based decarbonization pathways that define net-zero emissions for 2050. The portfolios are gradually approaching the respective reference reduction pathway, in line with the progress of the corresponding sector, depending on advancements and technological capabilities.

HCOB maintains an ongoing strategic dialogue with its clients, supporting them on ESG-related questions and potential improvements on their path to greater sustainability and the transformation of their business models. In addition, the Bank has identified various market-related decarbonization levers for its respective portfolios – measures with which it can support its clients in their transformation. These include, for Real Estate, financing for renovations and new, energy-efficient buildings; for Shipping, financing for measures to increase the energy efficiency of existing ships; and for Energy (power generation), financing for CO_2-neutral energy projects.

By using largely short loan terms, especially for the Shipping portfolio, which is the most CO_2-intensive of HCOB's portfolio, the Bank can avoid the long-term binding of greenhouse gas emissions.

The HCOB is not exempt from the EU Paris-aligned Benchmarks.

The decarbonization targets are part of the mid-term plan and the Sustainability Framework.

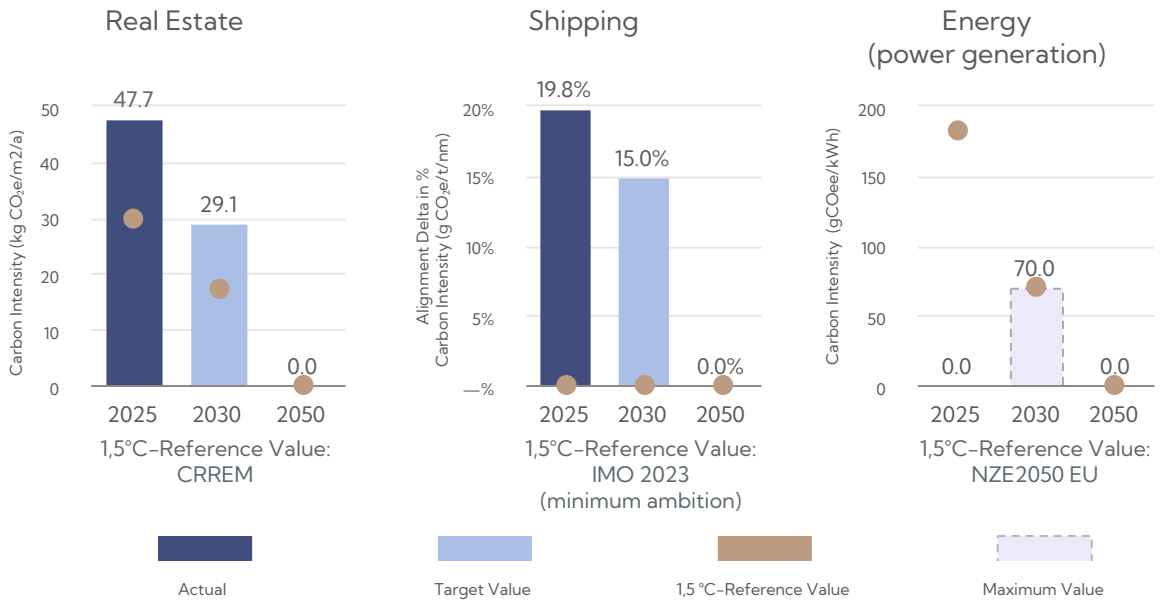
The transition plan was approved with the acknowledgement of the Sustainability Framework. The decarbonization targets were additionally decided upon by the Sustainability Committee and adopted by the Management Board as part of the mid-term plan.

Since HCOB is publishing the transition plan for the first time in this report, there is no progress report. However, the transition plan and the targets will be reviewed annually as part of the sustainability strategy process and adjusted if necessary.

The reference pathways for Shipping and Real Estate were deducted according to the portfolio composition as of the reporting date and may change accordingly. Therefore, future shifts and changes to the targets may occur if the portfolio composition changes significantly.

As a company in the financial sector, the Bank does not disclose any information regarding its investments and financing to support the implementation of its transition plan, nor regarding significant capital expenditures (CapEx) invested in the reporting year in connection with economic activities in the coal, oil, and gas sectors. Furthermore, the Bank has no economic activities that fall under the Delegated Regulations for climate change adaptation or mitigation as defined in the Taxonomy Regulation

Decarbonisation Targets



Note: Net-zero issues in 2050 can be achieved through potential compensation of the remaining 5-10% of issues .

ESRS 2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model

Corporate: The Bank has not identified any material climate-related physical or transition risks in its own business operations. Accordingly, the focus of the resilience analysis, as set out in the breakdowns for the portfolio dimension below, is on the Real Estate , Shipping, Project Finance and Corporates segments.

Portfolio: With regard to the climate-related risks identified, please refer to the details provided in "IRO-1 Description of the processes to identify and assess material climate-related impacts, risks and opportunities".

To ensure the resilience of the business model, HCOB utilises a set of exposure-based, portfolio-based and scenario-based instruments and business approaches. Examples include customised ESG scoring, analyses of portfolio developments along sector-specific "net zero" paths and internal stress tests. These tools and business approaches are used to identify current opportunities and risks at client and portfolio level and to anticipate future developments at an early stage and take them into account in planning.

To assess unexpected developments in connection with climate change, the Bank uses a 1.5 °C stress scenario, which is calculated and reported to management on a quarterly basis. In line with the results of the materiality analysis, the focus is on transition climate risks with a resilience analysis both for the overall Bank and, in particular, for the segments Real Estate, Shipping and Project Finance as well as Corporates.

The methodology of the resilience analysis is based on the 1.5 °C stress scenario and includes the following assumptions:

- The scenario is based on the Network for Greening the Financial System (NGFS) scenarios and has been combined with HCOB-specific elements
- It describes an abrupt and unforeseen political change and a subsequent sharp drop in demand for fossil fuels based on a combination of several independent events, in particular the manifestation of physical risks from climate change (a severe natural disaster, such as a severe drought, together with disruptions in fossil fuel supplies due to global conflicts)
- Governments abruptly increase CO_2 costs (modelled as a combination of CO_2 taxes and price increases in the emissions trading system (ETS)) in order to drive the energy transition forward
- This unforeseen change in climate change policy, which is in line with the 1.5 °C target, sends shockwaves through the global economy and financial system, reduces demand for fossil fuels and leads to an abrupt devaluation of companies in carbon-intensive sectors and a general tightening of financial conditions

For the 1.5 °C stress scenario, as with all other climate and business scenarios, a time horizon of three years is used for medium-term planning. Events in the long-term NGFS Delayed Transition scenario are also brought forward into the time horizon of the medium-term planning and thus taken into account. This scenario therefore serves to identify transition risks. The following impacts on the individual sectors are modelled in the scenario:

Real Estate: Older buildings with low energy efficiency are particularly affected. The portfolio analysis based on the EPC data available has shown that the HCOB portfolio is moderately affected.

Shipping: Tankers and bulkers in particular will be affected by the decline in demand for fossil fuels.

Project finance with focus on renewable energies: The sector is being positively influenced by the increasing demand for wind and solar parks.

Corporates: Companies are fundamentally affected by the economic slowdown and the rising costs of CO_2 emissions.

The Bank's business model is resilient in the 1.5 °C stress scenario, with declining but still positive earnings overall due to higher refinancing costs and a decline in new business. The total assets would decrease as a result of the decline in new business, accompanied by a slight reduction in the CET1 ratio immediately following the shock, with a rapid recovery thereafter.

The results of the resilience analysis for each business unit show the specific measures to be taken if the 1.5 °C stress scenario materializes (e.g. the adjusted composition of new business) and are in line with the ESG business approaches already anchored today that serve to limit physical and transition risks and exploit market opportunities:

Real Estate

The decarbonisation of the energy supply and district heating will further reduce CO_2 intensity, even without additional energy measures for existing buildings.

Energy-efficient refurbishment of existing buildings is another key lever for decarbonisation, which requires considerable investment. HCOB sees this as an opportunity and contributes its expertise in the financing of property refurbishment and development.

Individual case reviews when granting loans help to avoid or manage risks, and HCOB's decarbonisation target manages transition risks. Exclusion criteria for ESG scores of 5 and 6 and the sector restriction check support this approach.

Shipping
The shipping industry is undergoing profound change as a result of the desired decarbonisation, and it therefore requires investment in alternative fuels and energy-efficient technologies. As it is the most efficient means of transporting goods, supporting clients with decarbonisation remains essential.

HCOB minimises transition risks through short credit periods in order to avoid lock-in effects and to react flexibly to technological developments. In addition, it favours ships with CII (Carbon Intensity Indicator) ratings of D or better in order to keep the physical CO_2 intensity in line with the market average. A decarbonisation target for the shipping portfolio, derived from the current International Maritime Organization (IMO) decarbonisation pathway, is supported by exclusion criteria (ESG scores 5 and 6) and new business targets under the STFF, among other things.

Project Finance
In addition to the traditional business with wind and solar energy, the market for renewable energies also offers opportunities in the areas of green hydrogen, battery storage and other new technologies for the transformation of the energy sector. Growth in these new areas is expected in the medium term, particularly in Europe.

HCOB can draw on over 25 years of experience in financing renewable energies in order to develop market opportunities and assess risks. In the areas of green hydrogen and battery storage, the Bank focuses on continuous knowledge development and market monitoring in order to identify attractive financing opportunities.

Corporates
Corporate clients, especially in carbon-intensive industries, face major challenges as significant investments are required to reduce their carbon footprint. However, these industries only represent a small part of HCOB's corporate client portfolio. Overall, the broad sector diversification of the HCOB portfolio ensures stable cash flows.

The Bank is increasingly using the ESG dialogue with its clients to support the decarbonisation of their business models and production processes with appropriate financing. Carbon-intensive sectors in particular are subject to a detailed analysis of transition and technology risks before lending decisions are made in order to minimize potential risks. Further risk management is carried out using exclusion criteria for ESG scores of 5 and 6, through the Compliance Assessment and the Sector Restrictions Check.

The resilience analysis underpins the management's assessment that HCOB's business model can withstand the effects of climate change and the resulting transformation of the economy towards carbon neutrality.

Management of impacts, risks and opportunities

ESRS 2 IRO-1 Description of the processes to identify and assess material climate-related impacts, risks and opportunities

Corporate: As part of the annual risk inventory, the impact of transition risks on HCOB was analysed and the extent to which the Bank's office locations are exposed to physical climate risks was determined using insurance data. Impacts were analysed in accordance with the process described in the portfolio section of "ESRS 2 IRO-1 Description of the processes to identify and assess material impacts, risks and opportunities" to analyse materiality.

Portfolio: The starting point for considering sustainability in the risk management process is the ESG risks identified as material in the risk inventory. HCOB does not view ESG risks as a separate risk type, but rather as a driver for the respective risk types, which can have a negative impact on the Bank's earnings, net assets or financial position and/or reputation if relevant influencing factors change. In line with the Bank's business model, the analysis in the risk inventory process focuses in particular on climate-related risks (physical risks and transition risks) and also includes biodiversity risks and social risks. The risk inventory takes place at least once a year.

ESG risks can flow into traditional financial risk types via many channels. When assessing the materiality of ESG risks, the focus is therefore on evaluating the drivers that influence ESG-related developments in the economy and the own business model. Short (0–1 year), medium (1–5 years) and long-term (5–30 years) time horizons are analysed. The risk drivers identified as part of the risk inventory are described in more detail in the following table:

ESG risks by risk category

Risk category	ESG risk
Physical risks	**Acute physical risks** Acute physical risks relate to the financial impact of climate change due to more frequent extreme weather events (e.g. storms or flooding).
	Chronic physical risks Chronic physical risks relate to the financial impact of climate change due to gradual changes in climate (e.g. droughts).
Transition risks	**CO_2 price** The pricing of greenhouse gases incentivises a "green" carbon-neutral transformation of the economy.
	Green regulations Government initiatives such as the EU's Green Deal are aimed at reducing greenhouse gas emissions. Measures include, for example, a ban on CO_2-emitting technologies or regulations to reduce energy consumption in buildings.
	Green technology In the course of the transformation of the economy, old CO_2-intensive technologies, such as combustion engines, may become economically unviable.
	Market sentiment Consumer preferences and investor expectations are increasingly favouring green products. Companies that do not adapt to these changing preferences could suffer a competitive disadvantage.
	ESG reputation of clients Clients who are known for poor ESG practices can damage the Bank's reputation, which can lead to reputational damage among stakeholders.
Biodiversity risks	**Protecting ecosystems** Biodiversity risks can affect profitability through the loss of species or the implementation of environmental protection regulations.
Social risks	**Human rights/labour standards** Events, developments or conduct related to social aspects (e.g. violations of human rights/ labour standards) can have a negative impact on a company's earnings, net assets and financial position, e.g. due to business interruptions/fines resulting from violations of labour law, safety and health protection, or minority rights

With regard to governance risks, the Bank has compliance procedures in place and therefore considers these risks to be limited effectively.

The impacts of the ESG risks are specified at the level of risk types and time horizons, which should enable an appropriate description of the various impacts, the assessed relevance and the materiality. In order to ensure adequate capitalisation and liquidity, the current risk situation as well as expected and unexpected developments are taken into account in the evaluation. The Bank bases its evaluation on qualitative assessments and quantitative analyses. The latter take into account both externally collected data (such as insurance data for

physical risks, energy certificates and shipping data from Scope) and internally generated data (such as ESG scores and stress test results).

As a result, the risk inventory shows the influence of identified ESG risk drivers on relevant risk types. At the end of this process, the results are approved by the Management Board.

Result of the risk inventory

Risk type		Default	Market	Liquidity	Opera-tional	Reputation	Business strategy	Other
Physical risks	Acute	minor						
	Chronic	minor						
Transition risks	CO_2 price	moderate						
	Green regulations	moderate						
	Green technology	moderate						
	Market sentiment	moderate			minor	minor		
	Client ESG reputation	minor		minor	minor	minor		
Biodiversity risks	Protection of the ecosystems	minor						
Social risks	Human rights / labour standards	minor						

Materiality low minor moderate high

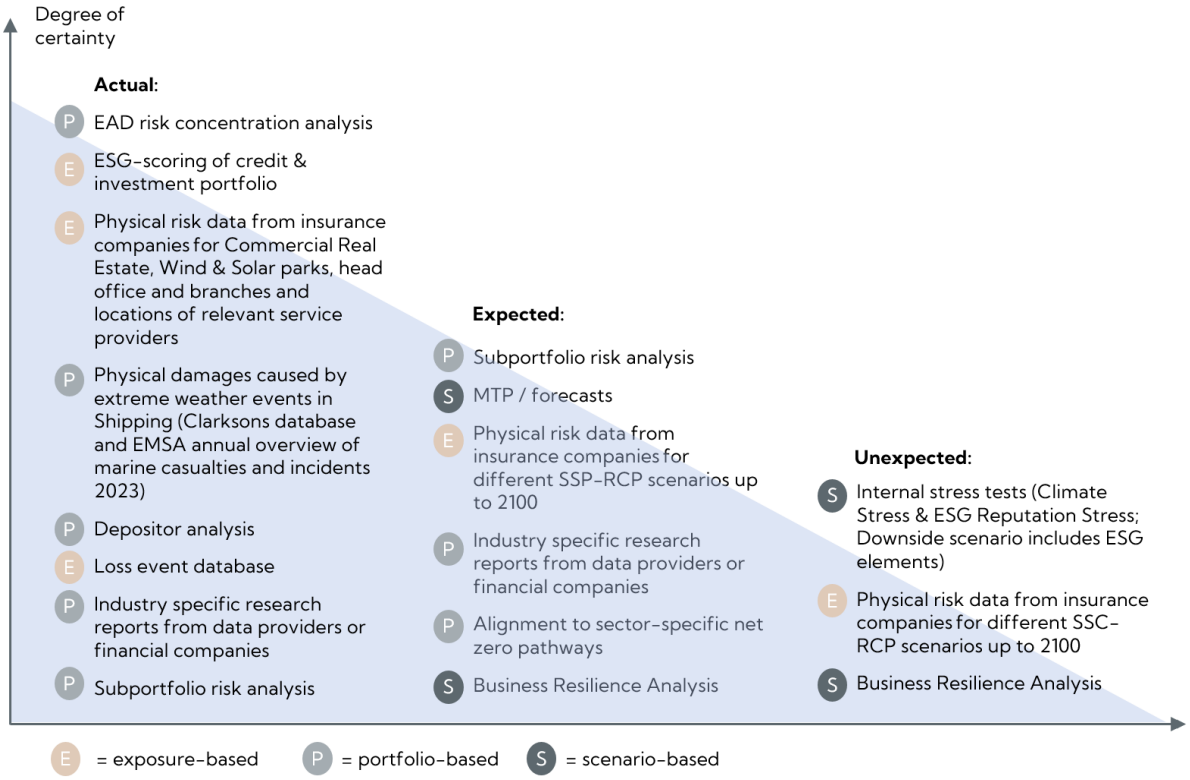
Of all risk types, default risk is considered to be the most significant due to the Bank's business model. Here, the analysis is carried out at asset class level, as the individual asset classes are exposed to physical and transition risks in different ways (e.g. the risk profile of wind and solar parks differs from that of shipping).

As a result of the risk inventory, the CO_2 price, green regulation, green technologies and market sentiment were identified as the most relevant drivers, particularly with regard to business activities in the Shipping and Commercial Real Estate segments.

According to an internal analysis, HCOB does not hold any significant loan collateral that is exposed to high physical risk. Therefore, a regional breakdown is not provided.

Management of ESG risks

HCOB uses various instruments to identify and limit ESG risks. For example, ESG risks are integrated into risk strategies, investment policy and credit standards, stress tests and scenario analyses as well as management reporting and disclosure. The following diagram shows which instruments were used and what purpose they serve:



ESG risks in the lending business

HCOB aims to support the sustainable transformation of the economy and society through its business activities. The Bank not only pays attention to environmental aspects, but also consciously incorporates social and governance aspects. Human rights and working conditions are also taken into account in this context. To fulfil this requirement, HCOB has developed an assessment system to identify assets and business activities that are not compatible with the transition to a sustainable and climate-neutral economy. The assessment system is based on the following elements: the Compliance Assessment & Sector Restrictions Check, the ESG Scoring and the Sustainable and Transformational Finance Framework (STFF). Further details and results regarding these core elements can be found in "SBM-1 Strategy, business model and value chain". ESG risks in the lending business are fully integrated into the "Three Lines of Defence". In particular, the ESG assessment process is aligned with the rating process, with the second line of defence approving the ESG scores.

Stress testing and scenario analyses

In general, the Bank considers stress tests and scenario analyses to be important components of risk management.

The Bank conducts stress tests across risk types as well as risk-specific stress tests on a quarterly or ad hoc basis, in order to better estimate the impacts of potential adverse scenarios on key performance indicators, such as the capacity utilization of the risk-bearing capacity, regulatory capital ratios, profit and liquidity, and thus on the overall risk situation of HCOB. On the basis of observed market developments and macroeconomic forecasts by central banks, the Scenario Steering Committee adopts macroeconomic and segment-specific forecasts for conducting dynamic stress tests. These expected and stress forecasts are incorporated into various simulation scenarios, such as a severe economic downturn or business area-specific crises, as well as scenarios that involve potential transition, reputation and physical risks that are associated with climate change and other environmental risks. The results are presented to the ALCO (Asset Liability Committee) and the Overall Management Board on a quarterly basis. In addition, HCOB's stress tests and scenario analyses form the basis for deriving the risk appetite and the consistent limit framework. This approach ensures appropriate consideration of sustainability risk drivers in the ICAAP.

HCOB has developed a climate stress scenario specifically – but not exclusively – for the assessment of transition risks that materialize in the long term. Accelerated by climate-related natural disasters, politicians

initiate an abrupt and unexpected transition of the economy in order to achieve carbon neutrality (1.5 °C) by 2050, accompanied by a generally very weak consumer climate that is characterized by fears of a further worsening of the climate crisis. The HCOB-specific scenario is based on the long-term scenarios of the Network for Greening the Financial System (NGFS), but it brings the impacts forward into the Bank's planning horizon. In the first half of 2025, the NGFS published short-term scenarios. These did not require any further adjustments, as the Bank's own scenarios are more stringent. HCOB will continue to monitor the development of the NGFS scenarios and adjust its scenario set as necessary.

To assess the physical risk to real estate, wind and solar farms, and its own office locations (headquarters and branches), HCOB uses insurance data as a source for analysing potential financial risks. The provided scenario set consists of the following IPCC scenarios:

- Sustainability: SSP1-2.6
- Middle of the Road: SSP2-4.5
- Fossil-fuelled Development: SSP5-8.5

The physical risk for the shipping sector is analysed using the Clarksons Research World Fleet Register and the information provided by the European Maritime Safety Agency (EMSA) on losses due to natural hazards. Otherwise, HCOB uses the client-specific findings on acute and chronic physical risks obtained using the ESG Scoring Tool, which are summarized in an overall classification of the physical risk.

E1-2 Concepts related to climate change mitigation and adaptation

The following table summarises the material impacts for HCOB in E1 Climate change of the relevant sustainability aspects identified as a result of the materiality analysis (see "SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model") and presents the mitigating policies:

Influence of the material impacts, risks and opportunities on HCOB

Impacts, risks and opportunities	Policies and impact management	Measures	Targets
Climate change adaptation			
Negative impact: Current financing activities do not sufficiently reflect the need for transformation (Dimension: Portfolio) Positive impact: Financing renewable energies promotes climate change adaptation (Dimension: Portfolio)	– "ESG in the lending and investment process" for the Compliance Assessment and Sector Restrictions check – "Credit Manual" – "ESG in the lending and investment process" for ESG scoring; – Sustainable and Transformational Finance Framework for the STFF classification	– Full application of Sector Restrictions and ESG Scoring for new transactions – Exclusion of new business with a score of 5 or 6 – Appraisal of new business in accordance with SDG contribution – Classification of net new business according to STFF	Achieving STFF-aligned new business of at least 20 % in 2026, based on total net new business

Influence of the material impacts, risks and opportunities on HCOB

Impacts, risks and opportunities	Policies and impact management	Measures	Targets
Climate change mitigation			
Negative impact: CO_2 emissions from banking operations (Dimension: Corporate)	– Environmental policy	– Energy-saving measures – Use of renewable energies – Heating through combined heat and power generation – Mobility measures – Purchase of MoorFutures® certificates	no targets defined
Negative impact: CO_2 emissions from the operation of ships, real estate, data centres, fibre optic networks and radio masts (Dimension: Portfolio) Positive impact: Financing of renewable energies leads to a reduction in GHG emissions (Dimension: Portfolio)	– "ESG in the lending and investment process" for the Compliance Assessment and Sector Restrictions check – "Credit Manual" – "ESG in the lending and investment process" for ESG scoring – Sustainable and Transformational Finance Framework for the STFF classification	– Full application of Sector Restrictions and ESG Scoring for new transactions – Exclusion of new business with a score of 5 or 6 – Appraisal of new business in accordance with SDG contribution – Classification of net new business according to STFF	– Reduction of CO_2 intensity for the Real Estate portfolio to 29.1 kg $CO_2/m^2/a$ in 2030 – Reduction of the alignment delta for the Shipping portfolio to 15.0 % in 2030 – Upper limit of CO_2 intensity for the Energy portfolio of <70 g CO2/kWh in 2030 – Achieving STFF-compliant new business of at least 20 % in 2026 based on total net new business
Risk: Loan default due to physical and transition climate risks for real estate and ships (Dimension: Portfolio)	– "Credit Manual"	– Appraisal of physical risks	no targets defined
Energy			
Negative impact: Energy consumption by banking operations and data centres (Dimension: Corporate)	– Environmental policy	– Energy-saving measures – Use of renewable energies	no targets defined
Negative impact: Energy consumption in the operating phase of financed properties (Dimension: Portfolio) Positive impact: Financing of renewable energies leads to a reduction in GHG emissions (Dimension: Portfolio)	– "ESG in the lending and investment process" for the Compliance Assessment and Sector Restrictions check – "Credit Manual" – "ESG in the lending and investment process" for ESG scoring – Sustainable and Transformational Finance Framework for the STFF classification	– Full application of Sector Restrictions and ESG Scoring for new transactions – Exclusion of new business with a score of 5 or 6 – Appraisal of new business in accordance with SDG contribution – Classification of net new business according to STFF	Achieving STFF-aligned new business of at least 20 % in 2026, based on total net new business

Corporate: HCOB manages the topic of resource protection and climate change mitigation both in its loan and investment portfolio and in its business operations. As a non-manufacturing company, the greatest environmental impact at corporate level is caused by energy and water consumption and waste production. The impact identified in "CO_2 emissions and energy consumption due to banking operations" is regulated by the internal environmental policy, which covers all relevant topics related to resource consumption and carbon footprint. This addresses the use of energy, electricity, heat and fuel as well as the conversion into carbon dioxide equivalent (CO_2e) emissions. It also describes the process for data collection, validation and the associated responsibilities.

Since 2021, HCOB has been using the VfU calculation tool ("VfU Kennzahlen 2025, Version 1.2") to record the environmental indicators for banking operations as well as Scope 1, Scope 2 and significant Scope 3 (except Category 15) emissions. This standard instrument for reporting the operational environmental indicators of financial institutions enables transparent disclosure of environmental indicators and supports the reduction of resource consumption.

Responsibility for environmental protection at company level lies with Facility Management, which is also responsible for energy management, occupational safety and the collection and monitoring of energy and environmental indicators.

The environmental policy applies to the entire business operations of HCOB AG.

Portfolio: HCOB has policies and guidelines for managing the material impacts and risks associated with climate change mitigation and adaptation.The aim of this is to describe the process for identifying, assessing, managing, or mitigating the significant impacts and risks. Topics include climate protection, adaptation to climate change, energy efficiency, and the use of renewable energies.

These policies and guidelines in the lending and investment process (a detailed description of these can be found in "SBM-1 Strategy, business model and value chain") include in particular the document "ESG in the lending and investment process" for the Compliance Assessment and Sector Restrictions check,, the "Credit Manual" and the document "ESG in the lending and investment process" for ESG scoring and the "Sustainable and Transformational Finance Framework" for STFF classification. The scope of application of these policies and guidelines is the entire HCOB AG. In addition to the Management Board, the highest levels of responsibility are the departmental management of the "Sales Management & ESG" department for the methodical design of the policies and guidelines, while the BU head of the Credit Risk Center is responsible for implementing them in daily operations.

The Compliance Assessment, part of the document "ESG in the lending and investment process," reviews new business relationships for increased risks of money laundering, terrorist financing, or violations of sanctions and embargoes. This also includes connections to high-risk countries and sanctioned or politically exposed persons. From an ESG perspective, HCOB has identified sensitive and critical sectors and defined corresponding sector-specific exclusions, which are laid down in the Sector Restrictions. These restrictions significantly limit, or in some cases even completely exclude, financing in many carbon-intensive industries. This is further complemented by the ESG Decision Matrix, which enables an efficient pre-selection of new business opportunities, even for companies that have not previously been sustainable.

The "Credit Manual" regulates the application of ESG scoring in the lending process, while further information on this can be found in the document "ESG in the lending and investment process". The ESG scoring recognizes the topic of climate in its 50 % weighted E score with four specific questions on climate risk potential and five specific questions on CO_2 emissions and energy. A total of 18 questions on climate and environmental aspects are answered for each financing transaction, as well as seven questions on social aspects and nine questions on governance topics.

HCOB's ESG scoring approach is based on the EBA's Action Plan on Sustainable Finance and BaFin's Guidance Notice on Dealing with Sustainability Risks published at the end of 2019. It includes a analysis of the climate, environmental, social and governance risk factors for each financing transaction. An overall score of at least '4' is required for a positive lending decision.

The Sustainable and Transformational Finance Framework (STFF) is aligned with the requirements of the EU Taxonomy environmental objective 'climate protection' as well as the requirements of the Paris Climate Agreement. The STFF determines which HCOB financing activities are considered sustainable or transformational, in addition to the EU Taxonomy criteria. There is an Overall Bank target for new business, which can be found in "E1-4 Targets related to climate change mitigation and adaptation".

The document "ESG in the lending and investment process" and the Sustainable and Transformational Finance Framework can be downloaded from the HCOB website.

E1-3 Actions and resources in relation to climate change policies

Corporate: The policies and guidelines mentioned under "E1-2 Policies related to climate change mitigation and adaptation" were further operationalized and implemented during the reporting year through the climate change mitigation measures, energy-saving measures and climate change adaptation measures described below.

By signing the PRB, the Bank has set itself the ambition of aiming for a net-zero emissions target for 2050 at corporate level for its banking operations. These are in line with the efforts to further reduce energy consumption and they will continue even after the energy-saving measures already implemented, including the installation of motion detectors and conversion to LED lighting as well as a reduction in room temperature and needs-based heating. HCOB will continue reviewing which measures can contribute to further reductions.

The consumption of resources directly attributable to banking operations in the form of energy and water consumption and waste production was in line with the corresponding requirements set out in the internal environmental policy. This requires the careful use of resources in business operations in order to minimize the impact on the environment. The carbon footprint associated with resource consumption for own business operations was calculated using the calculation tool of the Verein für Umweltmanagement und Nachhaltigkeit in Finanzinstituten e. V. (Association for Environmental Management and Sustainability in Financial Institutions) (VfU) to determine emissions and resource consumption.

The electricity requirements for the Hamburg and Kiel sites were once again fully covered by renewable energy in the reporting year. These locations are heated by district heating from combined heat and power generation.

In addition, the Bank has also taken mobility-related measures to reduce resource consumption. For example, HCOB offers its employees a fully subsidised "Deutschlandticket", a nationwide public transport ticket, which was used by 749 employees in 2025 (2024: 783). The Bank has largely eliminated personal company cars in favour of shared vehicles. As of December 31, 2025, HCOB's vehicle fleet comprises nine vehicles (December 31, 2024: ten).

Additional corporate-level measures for the Hamburg and Kiel locations include the procurement of electricity from 100% renewable energy sources in the reporting year, as in the previous year.

An additional measure taken by the Bank includes the annual purchase of MoorFutures® certificates from Ausgleichsagentur Schleswig-Holstein GmbH in the amount of its own Scope 1 and Scope 2 emissions as well as Scope 3 emissions due to business flights. The financed certificates contribute to the German climate change mitigation targets. Although HCOB cannot reduce its own remaining emissions with these certificates, it contributes to climate change mitigation measures in Germany overall with these carbon credits (more in "E1-7 GHG removals and GHG mitigation projects financed through carbon credits").

It is not possible to quantify the reduction in GHG emissions achieved at the level of the individual measures, but the aggregated effects can be seen from the change in the reported emissions (see "E1-6 Gross Scope 1, 2, 3 and total GHG emissions").

The measures and resources described in connection with the climate policies focus primarily on the Hamburg and Kiel locations due to their great significance; there are currently no measures for the other locations. All measures are coordinated by the „Sales Management & ESG" department.
The time horizon of the actions and resources described in relation to climate change policies generally relates to the reporting year, unless otherwise stated.

In addition to the actions described during the reporting year, the Bank plans to implement further measures in the short and medium term to reduce its energy consumption and carbon footprint. This includes in particular the move at the Hamburg location in 2026 to an energy-efficient, certified building.

At present, HCOB has not defined any measures beyond quantifying the impact of energy consumption by external data centres, which has been identified as a material impact.

Portfolio: The policies and guidelines mentioned under "E1-2 Policies related to climate change mitigation and adaptation" were further operationalized and implemented during the reporting year through the climate change mitigation measures and climate change adaptation measures described below. In line with the policies explained above, each loan undergoes the Compliance Assessment and a Sector Restrictions check, the ESG scoring process, an STFF classification and SDG appraisal. The Bank plans to continue implementing the measures described during the reporting year in the future.

The Sector Restrictions check, which is anchored in the document "ESG in the lending and investment process", was applied in full as part of the lending and investment decision process when reviewing new transactions, and only compliant transactions were concluded.

ESG scoring, the application of which is regulated in the "Credit Manual", was applied in full as part of the lending and investment decision process when reviewing new transactions, and only transactions with an overall score of at least '4' were concluded. Accordingly, loans with a score of 5 or 6 are excluded.
The STFF classification was also applied in full as part of the lending and investment decision process when reviewing new transactions and HCOB financing activities were identified that count as sustainable or transformational.

The assessment of physical risks is regulated in the "Credit Manual" and carried out annually. Physical risks are assessed for financed buildings, wind farms and solar parks using insurance data together with the identification of material deterioration compared to the previous year. (also PRB target for climate change adaptation)

In addition to the ESG instruments described above in the credit process, the Bank assesses all new business in accordance with the requirements of the Sustainability Framework based on its contribution to the SDGs in order to measure the impact of its business activities on achieving the SDGs.
All of these measures are aimed at creating transparency about the lending and investment decisions made, measuring the corresponding progress and establishing manageability.

The STFF classification, based on the Sustainable and Transformational Finance Framework (STFF), is carried out for every new financing as well as during the annual commitment monitoring. The aim of this measure is to create transparency regarding credit and investment decisions, to make progress measurable, and to ensure effective management. Each financing is clearly assigned to one of three classifications:

01. Sustainable Finance

Economic activities that, from today's perspective, comply with the Paris Climate Agreement over the term of the loan. The Paris climate goals aim to limit the global temperature increase to well below 2 °C above pre-industrial levels and to endeavour to limit the increase to 1.5 °C. Financing in the area of sustainable finance is in line with this goal or contributes to achieving this goal (e.g. financing renewable energies or projects to reduce CO_2 emissions). Furthermore, financing activities that meet the substantial contribution of the EU Taxonomy criteria and are not considered "transitional" are also taken into account.

02. Transformational Finance

Economic activities where adaptation to the Paris Agreement is either not yet commercially or technologically feasible and/or which support the transition to environmental sustainability in every sector. Transformational finance therefore refers to the financing of activities and technologies that are not yet considered green, but are essential for the transition to a sustainable economy. This type of financing differs from sustainable financing, which supports activities that are already considered green or are in transition. Furthermore, financing activities that meet the substantial contribution of the EU Taxonomy criteria and are considered "transitional" are also taken into account.

03. Other

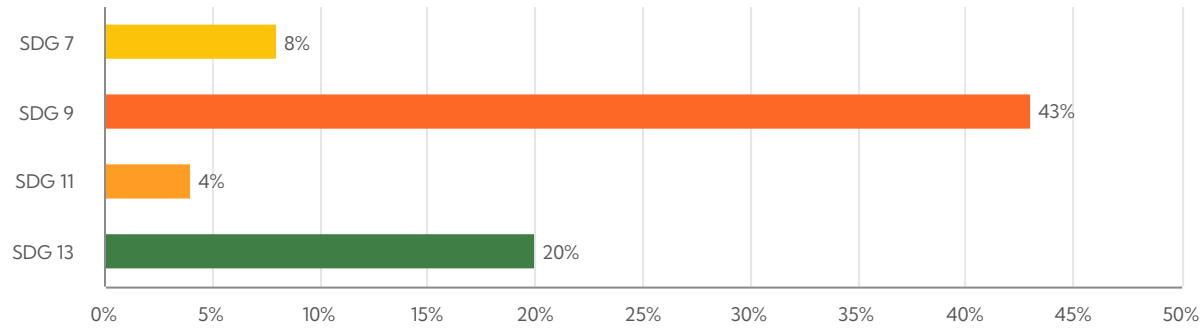
All other financings that cannot be categorised as either sustainable or transformational. This includes financings that pursues an economic activity which is covered by the STFF but do not meet the screening criteria. It also includes financings that pursue an economic activity which is not covered by the framework, as well as financings for which the use of proceed cannot be analysed in more detail as these represent general corporate financing or portfolio investments that finance a large number of companies. In addition, it includes financings of governmental or supranational counterparties or off-balance sheet transactions that do not fall within the scope of the STFF.

The scope of application of the actions and resources described in relation to climate change policies is the entire HCOB AG.

The actions and resources described have a direct effect (e.g. STFF) and indirect effect (e.g. ESG Scoring, Sector Restrictions Check, SDG mapping) as decarbonisation levers at portfolio level. It is currently not possible to quantify the reduction in GHG emissions achieved at the level of the individual measures, but the aggregated effects can be seen from the change in the reported emissions (see "E1-6 Gross Scope 1, 2, 3 and total GHG emissions").

In addition to the credit process, the Bank assesses all new business according to the requirements of the Sustainability Framework based on its contribution to the SDG. The aim is to make the impact of business activities on achieving the SDG transparent. This measure provides an overview of HCOB's activities that contribute positively to the SDG and forms the basis for future steps toward active portfolio management. HCOB evaluates all new business to determine whether it makes a positive contribution to achieving the SDG.The following chart shows an overview of the positive contribution of new lending business in the fiscal year 2025. HCOB's new lending business makes a positive contribution to four SDGs: SDG 7 Affordable and clean energy (2025: 8 %; 2024: 4 %), SDG 9 Industry, innovation and infrastructure (2025: 43 %; 2024: 34 %), SDG 11 Sustainable cities and communities (2025: 4 %; 2024: 5 %) and SDG 13 Climate action (2025: 20 %; 2024: 15 %), whereby a financing transaction can contribute to achieving several SDGs simultaneously. The negative impacts have not yet been analysed. HCOB also points out that there may be conflicting goals between SDGs, which cannot always be completely avoided.

Positive SDG contribution of total new lending business (2025)



The time horizon of the actions and resources described in relation to climate change policies generally relates to the reporting year, unless otherwise stated. The Bank plans to continue implementing the measures described during the reporting year in the future.

Metrics and targets

E1-4 Targets related to climate change mitigation and adaptation

Corporate: HCOB has currently no specific target related to climate protection and adaptation to climate change at the operational level, as the Bank has already implemented various measures to address significant negative impacts to the extent possible, as described above.

Portfolio: In the context of climate change mitigation and adaptation, HCOB has set itself a number of targets at portfolio level, which serve to address the effectiveness of the measures taken against material impacts, risks and opportunities in this context.

By signing the Principles of Responsible Banking (PRB) on 22 September 2020, HCOB committed to the goals of the Paris Climate Agreement. Accordingly, the Bank's ambition is to achieve the net-zero emissions target at portfolio level for the loan and investment portfolio by 2050. Furthermore, the sub-portfolios Real Estate, Shipping and Energy (power generation) have a net-zero emissions target for the year 2050.

In the reporting year 2025, HCOB set itself the following decarbonization targets as part of its transition plan:

Decarbonisation targets

Sector	Metric	Unit	Method	Baseyear	31.12.2025	2030	2050[1)]
Real Estate	Physical Intensity	$kgCO_2e/m^2/a$	CRREM	2025	47.7	29.1	0.0
Shipping	Alignment Delta	%	IMO 2023 (minimum ambition)	2025	19.8 %	15.0 %	0.0 %
Energy (power generation)	Physical Intensity	gCO_2e/kWh	NZE 2050 EU	2025	0.0	70.0	0.0

[1)] Net-zero emissions by 2050 can be achieved by potentially offsetting the remaining 5–10% of emissions .

The targets listed in the table are science-based. Furthermore, the decarbonization targets are subject to the condition that there are no material changes in the respective portfolio composition. For the base year 2025, the most recent available emission data for the financed assets or clients that were in the portfolio as of December 31, 2025, were used to calculate the intensities. These are lagging data, which typically reflect the emission amounts of the the previous year. If more recent emission data become available and is considered relevant for decision-making, the need for a restatement of the prior-year figures will be assessed.

The Bank has also set itself the following climate-related targets: Classification of new business as part of the lending process according to the Sustainable & Transformational Finance Framework (STFF) and achieving STFF-aligned new business volume of at least 20 % in 2026 in relation to total net new business (also PRB target for climate change mitigation; not science-based). The target for 2026 was increased from the previously defined value of 18 % to >=20 % to underscore the Bank's heightened ambition in the area of sustainable finance. This increase involved only a rise in the level of ambition, not a methodological adjustment to the classification logic.

The interests of internal stakeholders from the Bank's market sectors were taken into account during the preparation of all targets. In addition, all of the above objectives are anchored in the Bank’s medium-term planning.

In order to manage the targets set above in the context of the STFF, HCOB continuously measures the status and progress of the targets; the results for 2025 are as follows:

Results of the STFF classification

(€ m)	2025	2024
Total new business volume	**5,026**	**6,069**
of which new business volume "sustainable" or "transformational"	1,439	1,542
of which proportion of "sustainable" or "transformational" new business in %	29 %	25 %
of which new business volume "sustainable"	1,001	748
of which new business volume "transformational"	438	794
of which new business volume "other"	3,588	4,527

In the 2025 financial year, € 1,439 million of new business qualifies as aligned with the STFF requirements. This corresponds to 29 % of the Bank's new business.

The majority of the other new business cannot be classified under the STFF because these financing activities fall outside the scope of the STFF, are too complex to be assessed, or are outside its application. A significantly smaller proportion consists of projects that were reviewed under the STFF but do not meet the criteria.

E1-5 Energy consumption and mix

Corporate: HCOB's energy consumption is measured and managed by Facility Management. In 2025, total energy consumption amounted to 7,847 MWh. Energy consumption is recorded at the Hamburg and Kiel locations by means of invoices and meter readings. At the other locations, precise data collection is not possible due to the tenancy. Therefore, the energy consumption for these locations is extrapolated using the consumption per FTE based on the data collected for Hamburg and Kiel.

The consumption is made up of electricity, heat and fuel consumption, partly from renewable sources and partly from fossil sources. 100 % of the electricity comes from renewable energies and accounts for 46 % of the Bank's total energy consumption. The remaining 54 % is attributable to heat, which the Bank obtains from the local district heating network in Hamburg and Kiel, as well as fuel consumption, which is used for a few pool vehicles and for diesel for emergency power generation.

Renewable energies subsidized under the German Renewable Energy Sources Act (EEG) are included in the calculation of the share of renewable energies. This share is set by law and is passed on to all electricity consumers.

Energy consumption and mix

		Comparison 2024	2025		
(MWh/%)		Total	Hamburg/ Kiel	Other locations	Total
1.	Total energy consumption from fossil sources (in MWh)	4,413	3,764	445	4,209
2.	Share of fossil fuels in total energy consumption (in %)	55 %	54 %	54 %	54 %
3.	Total energy consumption from nuclear sources (in MWh)	–	–	–	–
4.	Share of nuclear sources in total energy consumption (in %)	– %	– %	– %	– %
5.	Fuel consumption for renewable sources including biomass (in MWh)	–	–	–	–
6.	Consumption of purchased or acquired electricity, heat, steam and cooling and from renewable sources (in MWh)	3,557	3,253	385	3,638
7.	Consumption of self-generated non-fuel renewable energy (in MWh)	–	–	–	–
8.	Total consumption of renewable energy (in MWh) (sum of lines 5. to 7.)	3,557	3,253	385	3,638
9.	Share of renewable sources in total energy consumption (in %)	45 %	46 %	46 %	46 %
10.	**Total energy consumption (in MWh) (sum of lines 1., 3. and 8.)**	**7,970**	**7,017**	**830**	**7,847**

The Bank is not associated with any high climate impact sectors.

E1-6 Gross Scope 1, 2 and 3 and total GHG emissions

Corporate: HCOB records its CO_2 emissions in Scope 1 (direct emissions) and Scope 2 (indirect emissions) according to the Greenhouse Gas Protocol (GHG Protocol) using the VfU tool. For Scope 3 emissions resulting from activities at facilities not owned or controlled by the reporting organisation, HCOB only records emissions identified as significant at company level. The significance of Scope 3 emissions was determined in accordance with the 7 criteria of the GHG Protocol. Of these, the following four Scope 3 categories with the corresponding emission sources are significant for HCOB: purchased goods and services (paper, water, data centre services), upstream energy (electricity, heating), waste generated (waste) and business travel (train journeys, air travel). For the calculation of Scope 3 emissions from air travel, a Radiative Forcing Index (RFI) of 1.7, recommended in the VfU tool, was used for the first time in 2025. This value follows the recommendation of the Öko-Institut and the DEFRA guidelines to adequately consider the additional climate impacts of air traffic at high altitudes (non-CO_2 effects such as water vapour and nitrogen oxides). In the reporting year 2024, an RFI of 1.0 was used, which limits the comparability of the values. Scope 3 emissions for data centre services were again determined for the reporting period using the so-called spend-based approach, in which an emission factor was applied to the expenditures related to the data centre services used. For this purpose, the publicly available emission factor from Climatiq was used. For the calculation of the other greenhouse gas emissions, the emission factors provided in the VfU Tool from the Ecoinvent database (version 3.11), which were verified by the Öko-Institut, were used. In addition to the emissions calculated in the VfU Tool, HCOB reports Scope 3 category 15 emissions (investments), as these represent by far the largest share of Scope 3 emissions. Primary data is available for the calculation of Scope 3 emissions categories 1 to 14, with the exception of emissions caused by data centres. However, since these represent a large proportion of Scope 3 emissions categories 1 to 14, HCOB achieves an overall primary data rate of only 27.9 %. Without data centres, the primary data rate would result in 99.4 %.

The precise measurements are largely based on the Hamburg and Kiel locations and were extrapolated to the other locations, where necessary, using full-time equivalents. HCOB collects actual fuel consumption data for the pool vehicles (seven vehicles), while actual fuel consumption data is unavailable for two vehicles. The Bank estimates these valuesbased on the average fuel consumption per vehicle class and the average distance driven by the pool vehicles. Since the term "net revenue" is not defined for credit institutions, interest and commission income are used to calculate the intensity.

Total GHG emissions disaggregated by Scope 1, Scope 2 and significant Scope 3 emissions

	Retrospective				Milestones and target years			
	Base year	Comparison 2024	2025	Delta in % 2025/2024	2025	2030	2050	Annual % target / base year
Scope 1 GHG gas emissions								
Gross Scope 1 GHG emissions (t CO_2e)	–	33	25	-24 %	–	–	–	– %
Gross Scope 1 GHG emissions (t CO_2e) Hamburg/Kiel	–	33	25	-24 %	–	–	–	– %
Gross Scope 1 GHG emissions (t CO_2e) other locations	–	–	–	– %	–	–	–	– %
Percentage of Scope 1 GHG emissions from regulated emission trading schemes (%)	–	–	–	– %	–	–	–	– %

Total GHG emissions disaggregated by Scope 1, Scope 2 and significant Scope 3 emissions

	Retrospective				Milestones and target years			
	Base year	Comparison 2024	2025	Delta in % 2025/2024	2025	2030	2050	Annual % target / base year
Scope 2 GHG emissions								
Gross location-based Scope 2 GHG emissions (t CO_2e)	–	1,814	1,713	-6 %	–	–	–	– %
Gross location-based Scope 2 GHG emissions (t CO_2e) Hamburg/Kiel	–	1,611	1,532	-5 %	–	–	–	– %
Gross location-based Scope 2 GHG emissions (t CO_2e) other locations	–	203	181	-11 %	–	–	–	– %
Gross market-based Scope 2 GHG emissions (t CO_2e)	–	500	374	-25 %	–	–	–	– %
Gross market-based Scope 2 GHG emissions (t CO_2e) Hamburg/Kiel	–	444	334	-25 %	–	–	–	– %
Gross market-based Scope 2 GHG emissions (t CO_2e) other locations	–	56	40	-29 %	–	–	–	– %
Significant Scope 3 greenhouse gas emissions								
Total indirect (Scope 3) Gross GHG emissions (tCO_2e)	–	5,646,066	4,806,447	-15 %	–	–	–	– %
1. Purchased goods and services	–	1,944	2,119	9 %	–	–	–	– %
of which: Cloud computing and data centre services	–	1,935	2,112	9 %	–	–	–	– %
2. Capital goods	–	–	–	– %	–	–	–	– %
3. Fuel and energy-related activities (not included in Scope 1 or Scope 2)	–	504	491	-3 %	–	–	–	– %
of which Hamburg/Kiel	–	448	439	-2 %	–	–	–	– %
of which other locations	–	56	52	-7 %	–	–	–	– %
4. Upstream transportation and distribution	–	–	–	– %	–	–	–	– %
5. Waste generated in operations	–	15	17	12 %	–	–	–	– %
of which Hamburg/Kiel	–	13	15	15 %	–	–	–	– %
of which other locations	–	2	2	-10 %	–	–	–	– %
6. Business trips	–	201	364	81 %	–	–	–	– %
7. Employee commuting	–	–	–	– %	–	–	–	– %
8. Upstream leased assets	–	–	–	– %	–	–	–	– %
9. Downstream transportation	–	–	–	– %	–	–	–	– %
10. Processing of sold products	–	–	–	– %	–	–	–	– %

Total GHG emissions disaggregated by Scope 1, Scope 2 and significant Scope 3 emissions

	Retrospective				Milestones and target years			
	Base year	Compari-son 2024	2025	Delta in % 2025/2024	2025	2030	2050	Annual % target / base year
11. Use of sold products	–	–	–	– %	–	–	–	– %
12. End-of-life treatment of sold products	–	–	–	– %	–	–	–	– %
13. Downstream leased assets	–	–	–	– %	–	–	–	– %
14. Franchises	–	–	–	– %	–	–	–	
15. Investments[1)]	–	5,643,402	4,803,456	-15 %	–	–	–	– %
Total GHG emissions (location-based) (t CO_2e)	–	5,647,913	4,808,185	-15 %	–	–	–	
Total GHG emissions (market-based) (t CO_2e)	–	5,646,599	4,806,845	-15 %	–	–	–	– %

[1)] Information on the decarbonization targets and the base year can be found in E1-4 Targets related to climate change mitigation and adaptation

Total GHG emissions / GHG intensity per net revenue

	Comparison 2024	2025	Delta in % 2025/2024
Total GHG emissions (location-based) per net revenue (t CO_2e/monetary unit)	3,048.0	3,080.2	1 %
Total GHG emissions (market-based) per net revenue (t CO_2e/monetary unit)	3,047.3	3,079.3	1 %

Portfolio: The following information applies to the Portfolio dimension:

Calculation of the portfolio's financed emissions in accordance with the PCAF standard

Financed emissions by business segment

2025	Covered loan	Financed emissions, t CO_2e		Average Scope 1 & 2 data	Average Scope 3 data	Financial emission intensity Scope 1 & 2,
Business segment	amount, € m	Scope 1 & 2	Scope 3	quality score	quality score	t CO_2e/€ m
Real Estate	5,875	126,042	23	3.2	4.1	21
Global Transportation	2,457	1,569,352	56,105	3.1	4.9	642
Project Finance	3,769	189,477	330,693	3.8	3.8	50
Corporates	3,793	302,560	2,201,463	3.8	3.9	79
Treasury	111	405	27,337	2.9	2.8	3
Total	**16,005**	**2,187,835**	**2,615,621**	**3.5**	**3.9**	**135**
Including emission-intensive industries:						
Oil and gas	256	84,688	278,774	2.9	3.8	331
Cement	–	–	–	–	–	–
Steel, aluminium and other metals	–	–	–	–	–	–
Automobiles	16	245	3,818	4.3	4.3	15
Electricity and heat generation	1,635	101,265	75,700	4.0	4.0	62

Financed emissions by business segment

2024	Covered loan	Financed emissions, t CO_2e		Average Scope 1 & 2 data	Average Scope 3 data	Financial emission intensity Scope 1 & 2,
Business segment	amount, € m	Scope 1 & 2	Scope 3	quality score	quality score	t CO_2e/€ m
Real Estate	7,557	133,265	93	3.3	–	18
Global Transportation	3,605	2,442,454	92,725	3.3	–	678
Project Finance	3,854	352,509	290,823	3.9	3.9	92
Corporates	3,841	440,447	1,890,964	3.8	3.8	115
Treasury	106	61	61	2.3	2.2	1
Total	**18,963**	**3,368,736**	**2,274,666**	**3.5**	**4.0**	**178**
Including emission-intensive industries:						
Oil and gas	120	96,831	55,603	4.2	5.0	807
Cement	–	–	–	–	–	–
Steel, aluminium and other metals	–	–	–	–	–	–
Automobiles	142	1,016	6,965	4.1	4.1	7
Electricity and heat generation	1,688	172,345	30,308	4.0	4.1	102

Financed emissions by PCAF asset class

2025	Covered loan	Financed emissions, t CO_2e		Average Scope 1 & Scope 2 data quality	Average Scope 3 data	Financial emission intensity Scope 1 & 2,
PCAF asset class	amount, € m	Scope 1 & 2	Scope 3	score	quality score	t CO_2e/€ m
Commercial Real Estate	6,045	131,238	–	3.3	–	21
Project Finance	3,312	154,550	241,754	3.8	3.8	39
Business Loans & Unlisted Equity	4,014	364,616	2,311,871	3.9	4.0	88
Listed Equity & Corporate Bonds	364	14,167	61,997	2.3	2.4	40
Ship Finance	2,271	1,523,264	–	3.0		674
Total	**16,005**	**2,187,835**	**2,615,621**	**3.5**	**3.9**	**133**

Financed emissions by PCAF asset class

2024	Covered loan	Financed emissions, t CO_2e		Average Scope 1 & 2 data	Average Scope 3 data	Financial emission intensity Scope 1 & 2,
PCAF asset class	amount, € m	Scope 1 & 2	Scope 3	quality score	quality score	t CO_2e/€ m
Commercial Real Estate	7,733	140,163	–	3.4	–	18
Project Finance	3,678	320,137	271,309	3.9	4.0	87
Business Loans & Unlisted Equity	3,972	502,648	1,973,297	4.1	4.2	127
Listed Equity & Corporate Bonds	546	8,352	30,060	1.8	2.3	15
Ship Finance[1)]	3,034	2,397,436	–	3.0	–	790
Total	**18,963**	**3,368,736**	**2,274,666**	**3.5**	**4.0**	**178**

[1)] „Ship Finance" is not an official PCAF asset class, but was developed by the HCOB. See the explanation under "Portfolio Coverage" for details.

Measuring financed emissions

In 2021, HCOB committed to measuring and disclosing its greenhouse gas (GHG) emissions in accordance with the PCAF standard in order to increase transparency about the Bank's climate impact. This initiative is methodologically in line with Scope 3 Category 15 of the GHG Protocol ("Investments") and focuses on financed emissions. The aim is to cover the lending business as fully as possible. Measurement of financed emissions for the reporting year was based on PCAF standard, 2nd version.

Financed emissions account for more than 99.9 % of the Bank's carbon footprint. Shipping, as the financing segment with the Bank's highest emissions, and the Real Estate segment, which has the largest lending volume, are of particular importance. HCOB uses building energy certificates, external data providers and published sustainability reports from its clients to collect data. If reported or activity-based physical emissions data are not available, PCAF emission factors are used for estimates. By using scientifically-derived financial emission intensities from the PCAF emission factor database, HCOB ensures that emission estimates at the lower data quality levels of 4 and 5 are standards-compliant and in line with industry practice.

The financed emissions are presented as the sum of Scope 1 and Scope 2 emissions at business area level. Scope 3 emissions are also reported, supplemented by detailed disclosure for the so-called energy-intensive industries, which include the following NACE sectors: – oil and gas industry (NACE 06.10, 06.20, 09.10, 19.20, 35.21) – cement (NACE 23.51, 23.52, 23.61, 23.62, 23.63, 26.64, 26.65, 23.69) – steel, aluminium and other metals (NACE 24.10, 24.20, 24.41, 24.42, 24.43, 24.44, 24.45) – motor vehicles (NACE 29.10, 29.20, 29.31, 29.32) – energy and utilities (NACE 35.11, 35.12, 35.13, 35.14, 35.22, 35.23, 35.30).

For the reporting of financed emissions, the most recent available emission data of the financed assets or clients that were in the portfolio as of December 31, 2025, were used for the calculation. This is lagging data that typically reflects the emission figures of the previous year. If more recent emission data becomes available and is considered relevant for decision-making, the need for a restatement of the prior year's figures will be assessed.

Purpose and scope

Measuring and disclosing the GHG emissions financed increases the transparency of HCOB's indirect climate impact from its financing activities. The calculated Scope 1 and Scope 2 emissions of the financed assets and projects serve as the basis for the calculation of sector-specific physical emission intensities and the setting of decarbonisation targets in the loan portfolio. These measures are in line with the Bank's ambition to achieve net zero emissions by 2050 as part of the PRB commitment.

Portfolio coverage

With this reporting on financed emissions, HCOB achieved coverage of 56 % (2024: 56 %) of total assets as at 31 December 2025, excluding investment positions, central bank receivables and securitizations held as part of liquidity management. Coverage in the loan portfolio is 95 % (2024: 87 %), with ratios of 100 % (2024: 100 %) in the Global Transportation, Real Estate and Project Finance segments. In the Corporates segment, on the other hand, around 18 % (2024: 42 %) of the lending volume was excluded, as the PCAF standard does not include certain product and client types or the Bank has excluded items for reasons of materiality. The decline in the share of uncoverable loan volume in the Corporates segment is mainly due to the transfer of the investments in liquid CLOs shown here in the previous year to the Treasury segment. First and foremost, the following are not included in the calculation of the financed emissions in the loan portfolio:

- exposures to private clients, primarily mortgage loans for residential property (this business was discontinued in 2019)
- lending to or investment in structured investment vehicles (such as securitisation structures) that hold diversified corporate loan portfolios
- exposures from the municipal lending business to regional and local governments and municipal commercial enterprises
- liquid bonds from issuers with high credit ratings (governments and banks) and short-term investments in the interbank market, held as part of liquidity management

As at 31 December 2025, HCOB applied the PCAF asset classes "Commercial Real Estate", "Project Finance", "Business Loans and Unlisted Equity" and "Listed Equity and Corporate Bonds". For ship financing in the Global Transportation sector, the Bank uses an HCOB-proprietary PCAF asset class "Ship Finance", which is methodologically based on the PCAF asset class "Commercial Real Estate", as the "Project Finance" methodology is not suitable for this purpose. There is currently no need to apply the "Sovereign Debt", "Mortgages", "Motor Vehicle Loans" and "Facilitated Emissions" PCAF asset classes. The inclusion of avoided emissions from the financing of wind and solar parks has not yet been implemented.

Results of the calculation of financed emissions

The financed emissions of HCOB (aggregated for Scope 1 and Scope 2) amount to a total of 2,188 (2024: 3,369) thousand tonnes of CO_2e. The primary driver of this decline was the significantly lower volume of ship financing. Of the financed emissions, 72 % are attributable to Global Transportation (2024: 73%)), 6 % to Real Estate (2024: 4%)), 9 % to Project Finance (2024: 10%) and 14 % to Corporates (2024: 13%). The energy-intensive sectors, which are also reported separately, contributed 9 % (2024: 8%) of the total emissions financed by HCOB. The average data quality score ranges from 2.9 in Treasury to 3.8 in Project Finance and was at an average of 3.5 in financial year 2025 (2024: 3.5), the same as the previous year.

The separately reported financed Scope 3 emissions showed an increase to a total of 2,616 (2024: 2,275) thousand tonnes of CO_2e, coupled with a data quality score of 3.9 (2024: 4.0).

If the calculated financed emissions of a business segment are set in relation to the loan amount, financial emission intensities can be calculated, expressed in tonnes of CO_2e per million euros of loan amount. Financial emission intensities are only meaningful as a benchmark across different business segments at the Scope 1 and Scope 2 emission levels. The following information refers accordingly to this distinction.

Overall, the financial emission intensity decreased to an average of 135 t CO_2e/€ million (2024: 178 t CO_2e/€ million). This was primarily driven by improvements in the Corporates, Project Finance, and Global Transportation segments.

At 21 t CO_2e/€ m (2024: 18 t CO_2e/€ m), the Real Estate business unit continues to have the lowest financed GHG emissions intensity of all the Bank's business units. The slight increase compared to the previous year is mainly due to a refinement of the estimation parameters for building emissions.

In the Project Finance segment, there was a significant decline in financed emissions and financial emission intensity to 50 t CO_2e/€ m (2024: 92 t CO_2e/€ m). While a significant portion of the financed projects still consists of low-emission renewable energy projects and fiber optic networks, in 2025 new projects in electricity grid infrastructure and the replacement of financing in gas infrastructure increasingly contributed to the improvement.

The Corporates sector, at 79 t CO_2e/€ m (2024: 115 t CO_2e/€ m), is significantly below the previous year's figure. This is primarily due to the shift in the industry mix towards a higher share of financings in the service sector.

Financial emission intensity in the Treasury segment is slightly above the previous year's value at 3 t CO_2e/€ m (2024: 1 t CO_2e/€ m).

However, the financial emission intensity does not say much about the actual physical energy and CO_2 intensity of an asset or industry. A good example of this is maritime transport. Although causing high absolute greenhouse gas emissions per ship and having a very high financial emission intensity, cargo ships are the most GHG-efficient means of transporting goods among all the modes of transport.

Against this background, the Global Transportation segment is an outlier in the portfolio with a share of 72 % (2024: 73%) of the total financed emissions, a share of only 15 % (2023: 19%) of the total included lending volume and a high financial emission intensity of 642 t CO_2e/€ m (2024: 678 t CO_2e/€ m). The decline in financial emission intensity in the Global Transportation segment is the result of several, partly opposing, developments. The favorable economic situation in the global shipping industry led to lower loan-to-value ratios and thus a lower greenhouse gas (GHG) attribution. A higher portfolio share of newbuild financing – which only generates GHG emissions after completion – also had a positive effect. Conversely, a shift in the portfolio mix towards smaller vessels on average, which are less GHG-efficient, had a negative impact. Finally, the discontinuation and complete sale of the aircraft financing business in 2025 also had a negative effect, as its significantly lower financial emission intensity had reduced the segment's average value in the previous year.

Maritime transport is considered a difficult sector to decarbonise, as technological restrictions make it difficult to switch to emission-free propulsion systems quickly. In 2023, the IMO adopted a decarbonisation strategy with net zero emissions by 2050 and interim targets of at least a 20 % reduction by 2030 and a 70 % reduction by 2040 (compared to 2008). Before that, there was an ambition to achieve net zero by 2100. This updated strategy still needs to be implemented in an emissions regulation that is intended to replace the current CII regulation. By focusing on short credit periods, the Bank can react flexibly to technological advances and new regulatory requirements in the shipping industry. Their currently very high emission intensity in the ship financing business is therefore only locked-in for a comparatively short period.

Use of estimated values for emission levels

Due to the Bank's financing focus, the coverage ratio of measured CO_2e emissions reported by clients is only 12% (2024: 9 %). Client reported emission figures relate to the Project Finance and Corporates segments, whereas in Asset Finance, estimates based on activity-based, physical emission intensities have been used to date. This is the case for 100 % of ship financing, whereas for real estate financing, around 76 % (2024: 65 %) of properties are included on the basis of full Energy Performance Certificate (EPC) data and 24 % (2024: 34 %) of properties are included on the basis of statistical building characteristics (land, type of use, year of construction and usable space). If emissions cannot be determined on a reported or activity-based estimated basis, emission factors from the PCAF database are used for estimation.

Calculation methodology for financed emissions

Internal CO_2e emission models and external data were used to estimate the financed emissions. These models are based on the PCAF standard and have been supplemented by specific HCOB requirements. One example is the "Ship Finance" method, which is based on the "Commercial Real Estate" PCAF asset class, but takes into account the special features of ship financing. Differences relate to the estimation of GHG emissions and the data quality scores. The models are subject to an annual review.

Ship-related GHG emissions are based on satellite tracking of ship activities (AIS). This combines distances, routes and speeds with technical ship data such as fuel consumption. CO_2 emission figures derived in this manner are obtained from an external data supplier. These are subject to an additional adjustment on the model side to take account of non-CO_2-related GHG emissions in order to derive CO_2e emission values. In particular, this takes into account the so-called "methane slip" of LNG-powered ships, as methane emissions contribute significantly to the CO_2e footprint.

The Bank uses Energy Performance Certificates (EPCs) and information on country, type of use, year of construction and size to calculate the emissions of buildings. This data is combined with statistical energy consumption data and energy source-specific emission factors. Emission factors for electricity and district heating are updated annually (electricity) or when new data becomes available (district heating). A significant portion of building greenhouse gas emissions stems from the economic activity of the building occupier, specifically energy consumption beyond basic building operation (so-called "tenant electricity consumption"). In office buildings, this includes electricity consumption for IT and telecommunications; in hospitals, it's the operation of medical equipment; and in supermarkets, it's the operation of freezers and refrigerated storage areas. Tenant electricity consumption and the associated greenhouse gas emissions are not covered by EPCs and must therefore be appropriately considered to incorporate building emissions in accordance with the PCAF standard using the "Whole Building Approach." Since the Bank has neither measurement data nor expert assessments of this from its borrowers, greenhouse gas emissions are estimated based on the tenant electricity share of the building's total energy consumption. In the reporting year, the Bank switched from a uniform tenant electricity share to usage-type-specific shares for the calculations, in order to more realistically reflect the significantly different energy consumption intensity depending on the type of building use. Statistical data from Fraunhofer ISI was used for this purpose.

If a model-based greenhouse gas calculation is not possible due to missing client or asset data,, the Bank uses emission factors provided by the PCAF Secretariat (PCAF emission factor database). In particular, EXIOBASE emission factors are used here, which are assigned to the NACE codes of the clients' financed economic activities using a mapping table. The use of EXIOBASE emission factors at sub-sector level is preceded by a separate plausibility check of the values provided. In accordance with the recommendation of the PCAF Secretariat, implausible EXIOBASE emission factor values are identified at sub-sector level and replaced by the more robust emission factors at sector level. The emission factors for wind and solar parks receive special treatment.For these projects, emission factors of zero are used, as such renewable energy projects only generate electricity without greenhouse gas emissions . For real estate development projects and vessel newbuildings, greenhouse gas emissions during the construction phase are also set to zero.

The HCOB has established a set of rules for deciding whether it is necessary to recalculate year-on-year comparison figures. The following factors can trigger this decision:

- methodological changes in the PCAF standard
- changes in the Bank's application of the PCAF standard, such as the first-time use of a PCAF asset class and a resulting reclassification of loans and investments that were previously assigned to a different PCAF asset class
- methodological changes to the procedures used for estimating greenhouse gas emissions for certain types of assets
- methodological changes in the application of emission factor sets, such as significant methodological changes to the emission factors used, which are obtained from the PCAF database; inflation and exchange rate adjustments are excluded here, as these generally do not trigger recalculations

As a threshold value for recalculating prior-year comparison figures, the HCOB has set a value of 10% of the financed emissions affected, but at least 20,000 tonnes of CO_2e, for each of the aforementioned possible triggers.

The parameter updates made for calculating financed emissions from buildings as of the reporting date did not constitute grounds for recalculating prior-year comparison figures.

Strategy for improving data quality

HCOB strives to gradually improve data quality, taking into account the special features of the business units. Regarding the quality of emissions data in the shipping sector, HCOB currently relies on ship-specific CO_2 calculations from an external data provider. In addition, the Bank uses technical ship data to account for emissions of other greenhouse gases, such as the so-called "methane slip" from ships powered by LNG.

The Bank intends to collect certified fuel consumption reports from borrowers in order to gradually replace estimates with actual emissions data, aiming for an average data quality score of 1 in the long term. From a regulatory perspective, the IMO is expected to expand the reporting requirements for ship emissions to include non-CO_2-related greenhouse gas emissions, which could eliminate the need for in-house CO_2e adjustments in the Bank's own models.

In the Real Estate sector, EPCs have already been recorded systematically for about five years and has already reached a high degree of coverage. The challenge in using EPCs to estimate CO_2e emissions lies in ensuring homogeneity, international comparability and data quality. Here, the new EU Energy Performance of Buildings Directive can ensure greater standardization and transparency in the long term. However, a fundamental problem with EPCs is that they legally only record building-specific GHG emissions, but not the tenant-specific consumption.To comply with the PCAF standard's "Whole Building Approach," greenhouse gas emissions are estimated based on tenant electricity usage-specific shares of total building energy consumption. In this context, the data quality improvement strategy therefore aims in the long term to collect actual total building energy consumption data from its borrower.

In Project Finance and Corporates, emissions data must be collected directly from clients and project sponsors, unless there is an external reporting obligation. In the EU, the CSRD – despite the recent restriction on the scope of obligated companies – will gradually require more business partners to disclose CO_2 emissions , thereby improving data availability and the average data quality score. Regarding the accuracy of the estimation factors provided to PCAF users for estimating emissions from non-reporting companies, HCOB intends to switch from EXIOBASE to CEDA in 2026. The Bank expects this to improve the accuracy of the estimates.

E1-7 GHG removals and GHG mitigation projects financed through carbon credits

Corporate: HCOB has taken further measures as part of its commitment to climate change mitigation and nature conservation. These include the annual purchase of MoorFutures® certificates from Ausgleichsagentur Schleswig-Holstein GmbH, a subsidiary of the Stiftung Naturschutz Schleswig-Holstein state foundation for nature conservation. Each MoorFutures® certificate represents the prevention of one tonne of CO_2 through the rewetting of upland moor habitat in Schleswig-Holstein. The MoorFutures® certificates do not serve to reduce the Bank's own remaining emissions, but instead contribute overall to Germany's climate protection measures as part of the formal requirement.

The Bank has identified moorlands as an important factor in reducing emissions and promoting biodiversity. Although moorlands only cover 3 % of the Earth's surface, they store twice as much carbon as all forests worldwide. In Schleswig-Holstein, drained moorlands are responsible for around 18 % of the state's emissions. The Stiftung Naturschutz Schleswig-Holstein is renaturalising upland moors, which were degraded by drainage in the 20th century, to serve as CO_2 reservoirs and promote biodiversity.

Each MoorFutures® certificate sold is documented – the GHG emissions stored by the moorlands are guaranteed for a period of 50 years – and entered in the Stilllegungsregister register of credits used, which is deposited with the Ministry for Energy Transition, Climate Protection, Environment and Nature (MEKUN) of the state of Schleswig-Holstein. An update takes place at the end of each quarter.

During the reporting year, HCOB acquired MoorFutures® certificates in the amount of its own Scope 1 and Scope 2 emissions as well as Scope 3 emissions due to business flights.

E1-8 Internal carbon pricing

HCOB does not use an internal carbon pricing system.

E1-9 Anticipated financial effects from material physical and transition risks and potential climate-related opportunities

For the 2025 reporting year, the HCOB will not disclose information on the expected financial impact of significant physical and transition risks, as well as potential climate-related opportunities arising from the Phase-in Scheme (ESRS 1, Annex C).

ESRS E2 Pollution

ESRS 2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model

The following table summarises the material impacts on the relevant sustainability aspects that were identified for HCOB as a result of the materiality analysis (see chapter "ESRS 2 General disclosures", in particular section "ESRS2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model") and presents the mitigating policies.

Influence of the material impacts, risks and opportunities on HCOB

Impacts, risks and opportunities	Policies and impact management	Measures	Targets
Air pollution			
Negative impact: Emission of pollutants through the combustion of fuels (Dimension: Portfolio)	– "Credit Manual" – "ESG in the credit- and investment-process" for ESG Scoring	– Full application of the ESG Scoring for new transactions – Exclusion of new transactions with a score of 5 or 6	no targets defined
Water pollution			
Negative impact: Leakage of oils and chemicals (Dimension: Portfolio)	– "Credit Manual" – "ESG in the credit- and investment-process" for ESG Scoring	– Full application of the ESG Scoring for new transactions – Exclusion of new transactions with a score of 5 or 6	no targets defined

Management of impacts, risks and opportunities

E2-1 Policies related to pollution

Portfolio: At portfolio level, the IROs "Emission of pollutants through the combustion of fuels" and "Leakage of oils and chemicals" were identified in the Shipping segment. The emissions caused by the operation of the ships financed by the Bank include gaseous pollutants such as CO_2 and sulphur dioxide as well as soot particles and particulate matter. There is also a risk of oils, chemicals or other pollutants entering the marine environment and contaminating it. In order to address these material negative impacts in connection with air and water pollution, HCOB has developed its own policies based on external guidelines.

In defining its policies, HCOB builds on the global guidelines of the IMO, which set out regulations for reducing air and marine pollution from ships. These regulations were further strengthened in June 2025 by the Hong Kong Convention (The Hong Kong International Convention for the Safe and Environmentally Sound Recycling of Ships). This aims to ensure that ships do not pose unnecessary risks to human health and safety or to the environment during recycling at the end of their life cycle. Accordingly, the Bank's clients are obliged to provide information on compliance with these standards, which HCOB ensures through its lending processes, in particular the ESG scoring. In addition, the Bank joined the RSRS initiative in 2020 in order to promote environmentally friendly and safe ship scrapping processes. As part of the initiative, HCOB ensures that the ships it finances are only scrapped during the term of the loan in accordance with recognised standards for environmental protection and the safety of the workers involved.

HCOB's own policies and guidelines that are anchored in the lending and investment process (for details see "SBM-1 Strategy, business model and value chain" and "E1-2 Policies related to climate change mitigation and adaptation") include in particular the "Credit Manual" and the document "ESG in the lending and investment process" for ESG scoring.

For details on the "Credit Manual" and the application of ESG scoring in the lending process, see chapter "E1 Climate change". The E score (environmental aspects), weighted at 50 %, explicitly takes into account air, water and soil pollution, both during operations and in the event of unusual incidents. Each financing transaction is reviewed to see whether it has a negative impact on the environment; this is done by asking specific questions, e.g. about pollution of air, water and sediments, as well as possible noise pollution. Possible incidents involving environmental pollution are also taken into account.

In addition to the Management Board, the highest levels of responsibility are the departmental management of the department "ESG & Business Development" for the methodical design of the policies and guidelines, while the BU heads of "Shipping" and the "Credit Risk Center" are responsible for the operational implementation.

E2-2 Actions and resources related to pollution

Portfolio: The policies and guidelines described in "E2-1 Policies related to pollution" were further operationalised and implemented in the reporting year through measures to prevent and reduce air and water pollution. In line with the policies explained above, each loan goes through the ESG Scoring process, where specific questions related to pollution have to be answered in order to assess compliance with certain environmental standards.

The ESG Scoring, which is regulated in the "Credit Manual", was fully applied in the lending and investment process during the reporting year. Only transactions with an overall score of at least 4 were concluded, while loans with scores of 5 and 6 were excluded.

This approach is also planned for 2026.

For details of the application of ESG scoring, see chapter "E1 Climate change".

Metrics and targets

E2-3 Targets related to pollution

Portfolio: HCOB has not currently set a specific target for reducing air and water pollution, as banks can only influence this topic indirectly through their financing activities. Nevertheless, policies and measures were implemented as far as possible with the above-mentioned elements in order to address material negative impacts.

ESRS E3 Water and marine resources

ESRS 2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model

The following table summarizes the material impacts on the relevant sustainability aspects that were identified for HCOB as a result of the materiality analysis (see chapter "ESRS 2 General disclosures", in particular section "ESRS2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model") and presents the mitigating policies.

Influence of the material impacts, risks and opportunities on HCOB

Impacts, risks and opportunities	Policies and impact management	Measures	Targets
Water/water consumption			
Negative impact: Water consumption by banking operations (Dimension: Corporate)	Environmental policy	Creation of transparency through monthly meter readings	no targets defined

Management of impacts, risks and opportunities

E3-1 Policies related to water and marine resources

Corporate: HCOB's water consumption, utilization and procurement are regulated by the environmental policy. The Bank obtains drinking water exclusively from the public water network and does not treat or reuse any water itself. It only consumes the amount of water required for office operations (ESRS 2 65(a)). Five premises are located in areas with high water stress – Piraeus (12 employees), London (21), Berlin (7), Frankfurt (7) and Stuttgart (1) – but their impact on regional water availability is considered to be low. Therefore, there is currently no separate policy for water consumption in these regions.

As marine resources have not been identified as material, HCOB does not pursue any specific policies in this regard. The department "Sales Management & ESG" is responsible for the methodical design of environmental measures, while Facility Management is responsible for the operational implementation. For more details on responsibility for the policy and the scope of application, see chapter "E1 Climate change".

E3-2 Actions and resources related to water and marine resources

Corporate: HCOB has been recording its water consumption for many years by taking monthly readings of the water meters at its Hamburg and Kiel locations. The primary purpose of this measure is not to reduce consumption, but rather to ensure transparency in order to monitor consumption, which has been minimized as far as possible, detect irregularities at an early stage and take targeted countermeasures in the event of deviations.

The Bank does not currently have any specific measures in place with regard to locations in areas of high water stress.

Metrics and targets

E3-3 Targets related to water and marine resources

Corporate: HCOB strives to keep water consumption low in the course of its office activities. No explicit reduction targets were formulated, as water use is already considered to be optimized.

E3-4 Water consumption

Corporate: Water consumption for the Hamburg and Kiel locations totalled 15,350 m³ in the 2025 reporting year (2024: 17,779 m³). The data is based on monthly readings that are consolidated annually. Stored water is only used in insignificant quantities for the sprinkler system in Hamburg and stored there. The water consumption for the other locations is extrapolated based on the number of full-time employees.

Water consumption

	2025			2024		
(in m³)	Hamburg/Kiel	Other locations	Total	Hamburg/Kiel	Other locations	Total
Total water consumption	15,350	1,815	17,165	17,779	2,237	20,016
Water intensity (in m³ per FTE)	19.9	19.9	19.9	21.5	21.5	21.5
Water intensity (in m³ per € m net revenue)	–	–	11.0	–	–	10.8

ESRS E4 Biodiversity and ecosystems

ESRS 2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model

The following table summarizes the material impacts on the relevant sustainability aspects that were identified for HCOB as a result of the materiality analysis (see chapter "ESRS 2 General disclosures", in particular section "ESRS2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model") and presents the mitigating policies.

Influence of the material impacts, risks and opportunities on HCOB

Impacts, risks and opportunities	Policies and impact management	Measures	Targets
Direct causes of biodiversity loss			
Negative impact: Pressure on marine ecosystems, particularly from invasive species (Dimension: Portfolio)	– "Credit Manual" – "ESG in the lending and investment process" for ESG Scoring	– Full application of the ESG scoring tool for new transactions – Exclusion of new business with grade 5 or 6 – Analysis of the shipping portfolio using the Clarksons database	no targets defined

Strategy

E4-1 Transition plan and consideration of biodiversity and ecosystems in strategy and business model

Portfolio: HCOB does not currently consider its business model to be exposed to any material risks in connection with biodiversity and ecosystems. This was confirmed by the double materiality analysis, in which biodiversity risks were analysed as part of the risk inventory. The Bank does not operate in sectors that are typically exposed to increased biodiversity risks, such as agriculture, forestry or mining.

Nevertheless, HCOB takes into account the impact of its activities, particularly in the shipping sector, where biodiversity and ecosystems can be affected by the financing of ships.

Management of impacts, risks and opportunities

E4-2 Policies related to biodiversity and ecosystems

Portfolio: The financing of ships has a negative impact on marine ecosystems, for example through the introduction of invasive species, GHG emissions, harmful paints and noise pollution. To counteract this, HCOB has implemented its own policies for managing and measuring biodiversity impacts in the shipping sector, which are in line with external guidelines.

The "Credit Manual" regulates the application of ESG scoring in the lending process, while the document "ESG in the lending and investment process" describes the ESG instruments used in the lending and investment process. For each financing transaction, it is checked whether there is a negative impact on biodiversity. This is done with specific questions, e.g. on environmental standards that the ships comply with or technical specifications such as ballast water treatment systems (BWTS) or painting of the hull, as well as the type of waste disposal.
In defining its policies and derived measures, HCOB builds on the global guidelines of the IMO on biodiversity. These include the Ballast Water Management Convention for the protection of marine ecosystems as well as measures to reduce sulphur emissions and exhaust gas purification. These regulations were further strengthened in June 2025 by the Hong Kong Convention (The Hong Kong International Convention for the Safe and Environmentally Sound Recycling of Ships). This aims to ensure that ships do not pose unnecessary risks to human health and safety or to the environment during recycling at the end of their service life. The monitoring of whether the financed ships comply with these requirements is largely carried out as part of the inspections initiated by the respective flag states, which ensure that all relevant regulations are complied with.

In 2020, HCOB also joined the RSRS initiative, which sets minimum standards for ship recycling in line with environmental and occupational safety requirements. Under the initiative, HCOB ensures that the ships it finances are only scrapped during the term of the loan in accordance with recognised standards for environmental protection and the safety of the workers involved.

Accordingly, the Bank's clients are obliged to provide information on compliance with these standards, which HCOB ensures through its lending processes, in particular the ESG scoring. For details on the Credit Manual and the application of ESG scoring in the lending process, see chapter "E1 Climate change".

E4-3 Actions and resources related to biodiversity and ecosystems

Portfolio: The policies described in "E4-2 Policies related to biodiversity and ecosystems" were further operationalised and implemented during the reporting year.

The ESG scoring, which is regulated in the Credit Manual, was fully applied in the lending and investment process. In line with the policies explained above, each loan goes through the ESG Scoring process, where specific questions related to biodiversity have to be answered in order to assess compliance with certain environmental standards. Only transactions with an overall score of at least 4 were concluded, while loans with scores of 5 and 6 were excluded, which will also be the case in 2026. For details of the application of ESG scoring, see chapter "E1 Climate change".

In addition, the ship portfolio was analysed regarding BWTS technical equipment using the Clarksons database in order to gain a better understanding of the negative impacts on biodiversity and ecosystems. This analysis is also planned for 2026.

No compensation measures in connection with biodiversity are planned at present.

Metrics and targets

E4-4 Targets related to biodiversity and ecosystems

Portfolio: HCOB currently has no specific target for measuring the effectiveness of its measures related to conservation of biodiversity and ecosystems, as banks can only influence the topic indirectly through their financing activities. Nevertheless, policies and measures were implemented as far as possible with the above-mentioned elements in order to address material negative impacts.

E4-5 Impact metrics related to biodiversity and ecosystems change

Portfolio: Relevant metrics were identified to make HCOB's negative impacts on biodiversity and ecosystems more transparent and measurable. These are based on publicly available data on the characteristics of the financed ships, and in the reporting year the ship portfolio was analysed for the first time with regard to BWTS installed. As the environmental impact differs depending on the BWTS technology used, the portfolio was analysed accordingly. UV irradiation is particularly environmentally friendly, as it does not use any harmful chemicals and leaves no toxic residues.

The evaluation resulted in the following breakdown:

Proportion of ships in the portfolio with a BWTS installed

Installation (in %)	2025	2024
BWTS installed	96.3	94.6
BWTS installation pending	0.0	0.2
No BWTS / no information	3.7	5.2

Proportion of BWTS implemented by technology type

Technology type (in %)	2025	2024
UV irradiation	27.8	22.1
Electrochemical treatment	51.8	60.6
Chemical treatment	2.8	3.2
Thermal treatment	0.3	0.2
Unknown	17.4	14.0

ESRS E5 Resource use and circular economy

Management of impacts, risks and opportunities

ESRS 2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model

The following table summarizes the material impacts on the relevant sustainability aspects that were identified for HCOB as a result of the materiality analysis (see chapter "ESRS 2 General disclosures", in particular section "ESRS2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model") and presents the mitigating policies.

Influence of the material impacts, risks and opportunities on HCOB

Impacts, risks and opportunities	Policies and impact management	Measures	Targets
Waste			
Negative impact: Waste generation by banking operations (Dimension: Corporate)	The environmental policy regulates the consumption of resources and therefore also the handling of waste generated.	– Waste separation system – Digital transformation – Campaigns for the re-use of discarded office furniture and equipment	no targets defined

E5-1 Policies related to resource use and circular economy

Corporate: HCOB's environmental policy regulates the consumption of resources in business operations, including the handling of waste. Employees are encouraged to separate waste at the workplace in order to enable full recycling, while non-recyclable waste is utilized for energy recovery. The head of the Facility Management department is responsible for the operational implementation.
For more details regarding responsibility for the policy and application framework see chapter "E1 Climate change".

E5-2 Actions and resources related to resource use and circular economy

Waste separation system
The Bank has introduced a waste separation system that collects residual waste, organic waste, recyclables and glass, while paper is collected separately for data protection reasons. All waste is disposed of appropriately by waste type and, where possible, recycled or used for energy recovery. Almost 60 waste separation systems were installed at the Hamburg and Kiel locations in order to increase the recycling rate.

Digital transformation
Progressive digitalization has steadily reduced HCOB's paper consumption in recent years (see section "E5-5 Resource outflows"). The printing paper used is wood-free and meets EU eco-standards, with at least 50 % recycled or sustainable material.

Re-use of office furniture and equipment

During the reporting year, HCOB again offered decommissioned office furniture and equipment to non-profit organizations for reuse at its Hamburg and Kiel locations. As part of the relocation of the Hamburg site to a new building in 2026, the continued use of the existing furniture – either by the Bank itself or by third parties – is also planned. All of this contributes to resource conservation and waste prevention.

Metrics and targets

E5-3 Targets related to resource use and circular economy

Corporate: Although HCOB strives to further reduce waste volumes, no quantitative reduction targets have been defined as the possibilities at the existing locations have largely been exhausted.

E5-5 Resource outflows

Corporate: In 2025, the total amount of waste generated at the Hamburg and Kiel locations was 63.5 t (2024: 59.3 t). The data is collected quarterly by regional waste service providers and broken down by waste type. For the other locations, the amount of waste is extrapolated based on the number of full-time employees. The waste is disaggregated as shown below.

Waste quantities

	2025			2024		
	Hamburg and Kiel	Other locations	Total	Hamburg and Kiel	Other locations	Total
Total amount of waste (in t)	63.5	7.5	71.0	59.3	7.4	66.7
Waste intensity (in kg/FTE)	82.3	82.3	82.3	71.4	71.4	71.4
Total amount of non-recycled waste (in t)	22.1	2.6	24.7	22.0	2.8	24.8
Total amount of non-recycled waste (in %)	35 %	35 %	35 %	37 %	37 %	37 %
Total amount of hazardous waste (in t)	–	–	–	–	–	–
Total amount of radioactive waste (in t)	–	–	–	–	–	–

Waste quantities by disposal method

	2025			2024		
(in t)	Hamburg and Kiel	Other locations	Total	Hamburg and Kiel	Other locations	Total
Non-hazardous waste						
Recovery methods						
Preparation for reuse			–	–	–	–
Recycling	41.4	4.9	46.3	37.3	4.7	42.0
Other recovery methods			–	–	–	–
Disposal						
Combustion	22.1	2.6	24.7	22.0	2.8	24.8
Landfill			–	–	–	–
Other types of disposal			–	–	–	–
Hazardous waste						
Recovery methods						
Preparation for reuse			–	–	–	–
Recycling			–	–	–	–
Other recovery methods			–	–	–	–
Disposal						
Combustion			–	–	–	–
Landfill			–	–	–	–
Other types of disposal			–	–	–	–

Paper consumption

	2025			2024		
	Hamburg	Other	Total	Hamburg	Other	Total
Total paper consumption (in t)	3.0	0.4	3.4	4.0	0.5	4.5
Intensity of paper consumption (in kg/FTE)	3.9	3.9	3.9	4.8	4.8	4.8

Social information

ESRS S1 Own workforce

Definition of own workforce
The workforce comprises all employees who have a contractually regulated employment relationship with the Bank (in accordance with Section 611a of the German Civil Code (BGB)). This applies throughout the Group and is independent of position or function within the company. The reporting covers active full-time and part-time employees, including interns, students and trainees, as well as employees on long-term sick leave, parental leave and leave of absence. Any deviations from this definition are noted where applicable.

As they are members of the executive body, members of the Management Board do not count as employees in this sense and are not included in the reporting on the own workforce. Non-employees are not included due to the phase-in regulation (ESRS 1, Appendix C).

Strategy

ESRS 2 SBM-2 Interests and views of stakeholders

Information relating to the integration of the interests, views and rights of the company's own workforce into HCOB's strategy and business model can be found in the chapter "ESRS 2 General disclosures" in section "SBM-2 Interests and views of stakeholders".

ESRS 2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model

The following table summarises the material impacts, risks and opportunities of the relevant sustainability aspects that were assessed as part of the materiality analysis (see chapter "ESRS 2 General disclosures", in particular section "ESRS 2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model") for the employees of HCOB. It also provides an overview of the policies and impact management. The information in this chapter covers only the company's own business operations, so the sections are not additionally marked with the Corporate dimension.

Influence of the material impacts, risks and opportunities on HCOB

Impacts, risks and opportunities	Policies and impact management	Measures	Targets
Working conditions			
Negative impact: High workload (Dimension: Corporate)	– Employer/works council agreements regarding working hours – Employer/works council agreement on occupational health and safety – Employee representatives to promote co-determination – Internal communication strategy – Reconciliation of interests agreement and social plan	– Measures to promote work-life balance – Occupational health and safety measures – Measures to promote co-determination	no targets defined
Equal treatment and opportunities for all			
Negative impact: Insufficient consideration of equal opportunities (Dimension: Corporate)	– Code of Conduct – Code of Diversity – Employer/works council agreement on equal opportunities for women and men – Employer/works council agreement on the inclusion of severely disabled persons and those with equivalent status – Remuneration strategy – Employer/works council agreement on performance management – Employer/works council agreement on talent management	– Measures to ensure adequate wages – Measures for gender equality and equal pay for work of equal value – Measures to promote diversity in the company – Measures for training and skills development	– Achieve a proportion of 33 % for the underrepresented gender (currently women) in management functions / at senior expert level by the end of 2027 – Achieve a proportion of 33 % for the underrepresented gender (currently women) at BU head level by the end of 2027
Other work-related rights			
Negative impact: Violations of employee rights (Dimension: Corporate)	– Code of Conduct – Whistleblowing-Policy	Whistleblowing procedure	no targets defined

No material differences were identified between different employee groups (e.g. employees, managers, executives) when determining the impact of the Bank and its strategy on the workforce and the associated risks and opportunities. The workforce performs banking, administrative and technical tasks in a regulated environment. Their high level of professional qualification facilitates the Bank's customer service, strategic orientation and operational processes. Activities are primarily carried out in the offices of HCOB. In this sense, they are exposed to the same working conditions every day and do not perform activities that are categorized as particularly hazardous.

The identified IRO "High Workload" can be linked to HCOB's business model and strategic focus. In the 2025 reporting year, HCOB's Management Board decided on a strategic focus that required an adjustment of the cost base and involved corresponding staff reductions. These developments led, in part, to perceived increased workloads and uncertainties in the course of organizational changes. The business strategy takes these effects into account and includes, among other things, structural adjustments within the framework of the transformation program as well as measures to improve work organization.

The IRO "Insufficient consideration of equal opportunities" can lead to discrimination or inadequate inclusion within the workforce. These risks do not arise directly from the business model, but HCOB addresses them by actively promoting measures to strengthen equal opportunities and inclusion. This includes the further development of diversity and governance structures, targeted personnel development measures, and the design of a gender-neutral compensation system and performance management.

The IRO "Violations of employee rights" cannot be directly derived from the business model. However, the HCOB takes these risks into special consideration and provides for reliable governance structures.

Negative impacts related to human trafficking, forced or compulsory labour and child labour are completely ruled out. HCOB takes targeted measures to prevent them. Due to compliance with high standards within Germany and the EU, which is a strictly regulated legal environment, the risk of human rights violations in the direct supply chain or within the Bank is considered to be low. Legal requirements and guidelines are in place at all Group locations in order to minimize risks in these areas (e.g. UN Guiding Principles on Business and Human Rights, Modern Slavery Act 2015).

Management of impacts, risks and opportunities

S1-1 Policies related to own workforce

The workforce of HCOB is a key factor for sustainable growth and long-term success. Policies and guidelines have been implemented and measures have been derived to counteract the negative impacts identified as part of the double materiality analysis. In this context, employer/works council agreements regulate working conditions and promote work-life balance, health and safety as well as equal opportunities and treatment. The works councils were involved in shaping them. Unless otherwise stated, the employer/works council agreements apply to all employees in Germany pursuant to Section 5 (1) of the German Works Constitution Act (BetrVG), with the exception of executives pursuant to Section 5 (3) BetrVG. In line with the respective goals and benefits, agreements were reached for executives through the executives' committee. The employer/works council agreements are accessible to all employees and their representatives in the Bank's written rules of procedure.

Strategic adjustments in the 2025 financial year: As outlined in the combined management report , HCOB decided on a strategic focus ("Franchise Focus") in the 2025 financial year to align the organization early and proactively with a focused business model. The adjustments were consistently implemented and led to a clear prioritization of core business areas as well as a structural development of the Bank. A Transformation Office was established for efficient management, which coordinated all initiatives and successfully completed them by the end of 2025; the remaining tasks were systematically transferred to the business organization.

The implementation of the strategic measures was reflected, among other things, in the targeted development of new business and the value-preserving reduction of portfolios no longer belonging to the core business. At the same time, the cost base was adjusted in line with the reduced business volume. To this end, a socially responsible reduction in staff was decided upon in the first half of 2025, which is to be implemented gradually until 2028 based on a reconciliation of interests agreement and social plan negotiated with the works council.

Working conditions: high workload

Challenging working conditions lead to negative effects on one's own workforce; these include stress, long working hours, uncertainty due to restructuring, a lack of work-life balance and a lack of co-determination.

Employer/works council agreement on flexible working hours

The employer/works council agreement on flexible working hours regulates the working hours of employees in order to ensure a better work-life balance and counteract an increased workload. It covers the distribution of working time, service times, flextime, transfer/overtime and trust-based working time. Implementation is the responsibility of HR.

Employer/works council agreement on mobile working

The flexibility of individual working arrangements and the choice of work location play an increasingly important role in achieving the best possible work-life balance. To increase the attractiveness of the workplace, HCOB offers its employees a more flexible organisation of work in terms of location and time through the employer/works council agreement on mobile working. This should lead to greater self-determination and have a positive impact on health and job satisfaction. Implementation is the responsibility of HR.

Employer/works council agreement on phased-in early retirement
The employer/works council agreement on phased-in early retirement enables early retirement for employees. Early retirement via the instrument of phased-in early retirement is a modern way of meeting both the needs of older employees and the company requirements. Implementation is the responsibility of HR.

Employer/works council agreement on occupational health and safety
HCOB fulfils the legal requirements for occupational health and safety at all locations. The guiding principle of modern, preventive occupational health and safety is a comprehensive, holistic understanding of the health and safety of all employees. The employer/works council agreement promotes the health of employees, supplements statutory regulations and aims to minimise health risks. HR is responsible for the implementation in cooperation with the occupational safety specialist.

Employee representation to promote co-determination
HCOB has implemented various employee representative bodies, some of which go beyond the statutory requirements, in order to promote employee co-determination. Further information on employee representation can be found in "S1-2 Processes for engaging with own workforce and workers' representatives about impacts".

Communication strategy
HCOB pursues an "Inform, Engage, Excite" approach to internal communication in order to promote dialogue with employees and create a sense of belonging:

- INFORM: Employees understand the Bank's strategy and their contribution to pursuing it, and they are informed about the market activities. The following channels are used for this: intranet, video, e-mail, posters/flyers and information screens.
- ENGAGE: Employees feel heard and valued and identify with the Bank's brand. The following channels are used for this: employee survey, event formats with a focus on dialogue (with the Management Board and other departments) and the intranet.
- EXCITE: Employees are motivated at work, act as brand ambassadors and interact with each other beyond compulsory work. The following channels are used for this: event formats.

Communication is always bilingual (German/English), and interpreters are available for events. Responsibility lies with the Marketing & Communications business unit. The strategy is implemented in close consultation with the Management Board and is implemented Bank-wide.

Equal treatment and opportunities for all: insufficient consideration of equal opportunities

A working environment that does not guarantee and promote equal treatment and equal opportunities leads to discrimination or a lack of inclusion within the Bank's own workforce.

Code of Conduct
The Code of Conduct serves as a central orientation framework for responsible behaviour and ensures compliance with legal, ethical and social standards. The Code of Conduct ensures that the rights of employees are protected in the workplace and that false or malicious statements or actions that could harm employees are not tolerated.

HCOB does not tolerate any form of discrimination, harassment, threats or other hostile or abusive behaviour in the workplace. In particular, HCOB undertakes to comply with all laws on equal opportunities and to promote equal career development opportunities for all employees without distinction or discrimination on the basis of ethnic background, skin colour, gender, country of birth, age, religion, disability, marital status, pregnancy, sexual orientation, nationality or other characteristics. General information on the Code of Conduct can be found in "G1-1 Business conduct policies and corporate culture".

The Compliance business unit is responsible for the Code of Conduct. In general, monitoring compliance is the responsibility of management; these controls are supplemented by monitoring activities carried out by the Compliance department. The equal opportunities officers/diversity managers and the general works council of HCOB were involved in preparing and shaping the Code of Conduct. It applies without restriction to all employees of HCOB throughout the Group. It is always accessible on the intranet and on the Bank's homepage.

Code of Diversity

The Code of Diversity makes HCOB's values and principles on diversity visible both internally and externally and serves as a guideline for practising diversity, fairness and equal opportunities within the Bank. It reaffirms HCOB's stance against discrimination, racism, anti-Semitism and homophobia. The Code of Diversity was developed by the employees themselves and approved by the Management Board. Diversity Management is responsible for shaping it. It applies without restriction to all employees and is accessible on the HCOB intranet and homepage at all times.

Employer/works council agreement on equal opportunities for women and men

The employer/works council agreement on equal opportunities is permanently anchored and applies to all employees. As a private bank, HCOB is not subject to the German Federal Act on Gender Equality (BGleiG) and therefore has no legal obligations with regard to equal opportunities. This agreement is a voluntary commitment by the Bank which integrates aspects of the state equality laws of Hamburg and Schleswig-Holstein and pursues the goal of actively demanding and promoting gender equality. Topics such as communication, staffing, development and qualifications, work-life balance and the rights and duties of the equal opportunities officers/ diversity managers are regulated in the agreement. HR and the equal opportunities officers/diversity managers are responsible for the implementation.

Employer/works council agreement on the inclusion of severely disabled persons and those with equivalent status

The aim of the inclusion agreement is to provide severely disabled persons and those with equivalent status permanently disability-friendly workplaces. It includes promoting the principle of inclusion, professional development opportunities, workplace design and training for managers. HR and the representative body for severely disabled persons (SBV) are responsible.

Remuneration strategy in connection with equal opportunities

HCOB's remuneration system is gender-neutral and aims to ensure equal opportunities and fairness. Regular equal pay analyses ensure transparency and uncover potential unequal treatment, which is addressed in a targeted manner. HR is responsible for the implementation. The strategy applies to HCOB in accordance with Section 10 of the German Banking Act (KWG) in conjunction with Section 27 of the German Ordinance on the Remuneration of Financial Institutions (IVV) and is accessible to all employees in the Bank's written rules of procedure at all times. Employee representatives were not involved in defining the strategy.

Employer/works council agreement on performance management

Managers provide regular feedback and support the personal and professional development of their employees. The performance management process was established for this purpose, which serves as the basis for HCOB's strategic HR development. The employer/works council agreement on performance management establishes a clear process and ensures transparency through clear definitions and specifically described conduct. HR is responsible for the implementation. Since summer 2025, work has been underway to optimize the performance management process, which is scheduled to take effect at the beginning of 2026 and will be explained in detail in an updated company agreement on performance management.

This employer/works council agreement applies to employees at the German locations. HCOB AG also uses the performance management system at foreign locations on a voluntary basis.

Employer/works council agreement on talent management
Talent management at HCOB begins each year with the HR conference, at which cross-divisional talents are identified, the assessments are calibrated to ensure standardised evaluation across the Bank, and development measures are defined. In addition to the benefits offered to all employees, the employer/works council agreement aims to promote and develop identified talents through further measures. Along with traditional management positions, the focus is also on promoting specialist career paths in order to offer employees flexible career opportunities. Further training measures are recorded in the system. The HR department is responsible for implementation and checks the effectiveness of the measures through final discussions with employees and service partners as well as annual management dialogues with executives.

Other work-related rights: Violations of employee rights

Violations of employee rights lead to negative effects on the professional and private situation of the Bank's own workforce.

Code of Conduct
Information on the Code of Conduct with regard to other work-related rights can be found in this section under the IRO "Equal treatment and opportunities for all: insufficient consideration of equal opportunities." General information on the Code of Conduct can be found in "G1-1 Business conduct policies and corporate culture".

Whistleblowing-Policy
HCOB has a whistleblowing procedure through which information can be submitted anonymously. The whistleblowing office is staffed by ombudspersons from an international auditing firm, who all employees at the head office, branches and representative offices (including former employees) as well as all external third parties can contact directly. Further information can be found in "G1-1 Business conduct policies and corporate culture".

S1-2 Processes for engaging with own workforce and workers' representatives about impacts

Company co-determination
In order to promote equal opportunities, health and safety in the workplace, the HCOB has implemented procedures for employee co-determination. HR bears operational responsibility for involving employees and their representatives. The results flow directly into the Bank's strategic planning in order to achieve continuous improvements. Regular communication with employees and representatives, as outlined in the following chapters, ensures that their concerns are taken into account.

Protection of employee interests by the works councils
HCOB has works councils at its locations in Hamburg, Kiel and Luxembourg. The works councils in Hamburg and Kiel also form a general works council. The legal basis for action at the German locations is the German Works Constitution Act (BetrVG) and other relevant labour laws as well as the collective bargaining agreement for the private banking industry. In Luxembourg, Luxembourg labour law forms the basis for the work performed by the works council.

The works councils represent the interests of the workforce vis-à-vis the employer, in particular with regard to working time organisation, job security, salary structures and remuneration systems. Cooperation between the works councils and the Bank is based on transparent communication. Exchange formats are held at least every two weeks, which also involve the Management Board and HR management, among others. Employer/works council agreements, which are drawn up jointly, are binding and accessible to all employees on the intranet and in the Bank's written rules of procedures.

The works councils have resources at their disposal to perform their tasks and fulfil their duties. During their representative activities, all members are released from their official duties by the Bank, and two members of the works council are fully released from their official duties. HCOB provides premises for secure and confidential exchanges and provides access to HR applications, thereby ensuring a fast and transparent flow of information. In addition, HR Controlling regularly provides data and analyses to support the work of the works councils.

The works councils meet weekly for consultations and organise exchange formats with employees, both digitally and in person (details on the information channels can be found later in this section). These formats are also used to conduct ad hoc surveys and promote employee participation. In addition, works meetings are held twice a year, at which all employees can submit questions anonymously using a question tool.

The effectiveness of the works councils is assessed on the basis of election results, the voter turnout among employees, the agreements concluded, the number of meetings held and the participation in campus talks and works meetings.

Safeguarding the interests of executives through the executives' committee

In accordance with the Executives' Committee Act (SprAuG), the executives' committee represents the interests of the Bank's executives. A chairperson is elected by the executives to represent their interests within HCOB.

Finance committee

The finance committee, consisting of five members appointed by the general works council, discusses financial matters related to the Bank, such as productivity, profitability and ratings, with the management and informs the general works council. The committee meets monthly in rooms provided by the Bank and informs the general works council.

Inclusion of persons particularly vulnerable to impacts or persons at risk at the Bank

HCOB has implemented measures to hear the perspectives of employees who may be vulnerable to negative impacts, marginalised or at risk. There are special contact persons and confidants for minorities, people of all genders and young employees as well as severely disabled persons and those with equivalent status, who safeguard and promote their interests.

Representative body for severely disabled persons (SBV)

The SBV represents severely disabled persons and those with equivalent status in accordance with the legal principles of Book IX of the German Social Code (SGB IX). It advises on applications, supports the design of accessible workplaces, including any work equipment required, and is involved in the recruitment process and company integration management (BEM). As part of the inclusion agreement, measures such as awareness training, increasing the proportion of severely disabled employees and promoting inclusion were agreed between the Bank and employee representatives.

The SBV participates in the meetings of the works councils, the general works council and their committees and remains in constant dialogue with the employee representatives. It has a fixed agenda item in the meetings and works closely with the diversity managers. In addition, the SBV participates in meetings of the occupational health and safety committee and is an integral part of the occupational health management.

Equal opportunities officers/diversity managers

The Bank employs two equal opportunities officers/diversity managers, one full-time and one part-time, who work together with HR and the SBV to ensure equal opportunities and diversity. They protect employees from discrimination based on their gender and/or origin, among other things, and are committed to enforcing the German General Act on Equal Treatment (AGG). They have extensive rights and act independently.

Their tasks include organising awareness formats, workshops and lectures to promote an inclusive working environment. They are also active in the #networkingwomen women's network and analyse remuneration information in order to ensure transparency and fairness. Regular collaboration with other departments such as HR, social counselling and ESG promotes a holistic view of diversity.

Youth and trainee representation (JAV)

The JAV represents the interests of employees under the age of 18 and apprentices/trainees. It ensures compliance with applicable laws and agreements and is available as a contact for all matters related to this group. It also works closely with the works councils in order sustainably support the working conditions and interests of young employees.

Employee survey

HCOB actively seeks the opinions and concerns of its employees. In addition to the employee representatives, the employee survey serves as a central instrument for involvement in internal company issues. In the surveys, employees can anonymously express their opinions on topics such as change, hierarchy, identification, IT, benefits, diversity and leadership. The surveys are managed by the HR department and conducted and analysed anonymously with the help of an external service provider.

The results are passed on to the business units in order to derive appropriate measures. The effectiveness is evaluated based on the participation rate, results and derived measures. Managers take on the role of change managers and are supported in the process by HR (business partners and personnel development).

Information channels/formats

The Bank informs its employees continuously and bilingually (German/English) through various channels such as the intranet, displays, posters and communication mailboxes. These are used to provide information on current topics, internal events and campaigns.

These channels are supplemented by formats such as video interviews with the Management Board members, which are accessible via the intranet, and the quarterly management talk, where there is active dialogue between employees and the Management Board. HR publishes a newsletter on relevant topics every 8–10 weeks, while the works councils keep employees up to date through newsletters (every 6–8 weeks), works meetings and interactive campus talks. In addition, X-Change formats promote dialogue within the Bank by enabling departments to present their projects and tasks in Hamburg and Kiel. These diverse communication channels ensure transparency, promote dialogue and strengthen cooperation.

Respect for human rights

HCOB is consistently committed to protecting and respecting human rights within its own workforce. For a more detailed description of respect for human rights, please refer to the description of the Code of Conduct in "S1-1 Policies related to own workforce" and "G1-1 Business conduct policies and corporate culture".

Dealing with conflicts of interest between employees

No conflicts of interest were identified during the 2024 reporting year. Employees have the right to lodge a complaint under the German Works Constitution Act (BetrVG), which they can exercise through the works councils or managers. They endeavour to resolve conflicts objectively.

Information on the complaints mechanisms and reporting channels can be found in "S1-3 Processes to remediate negative impacts and channels for own workforce to raise concerns".

S1-3 Processes to remediate negative impacts and channels for own workforce to raise concerns

The Code of Conduct obliges all employees to act fairly and in accordance with the law. Misconduct is reported and dealt with via internal channels (e.g. HR, Compliance, employee representation) and external channels (e.g. ombudsperson, anonymous whistleblower tool). Remedial measures are developed and implemented depending on the individual case (e.g. warnings, formal warnings under labour law, dismissals, reduction of variable remuneration components, transfers) in order to remedy grievances as quickly as possible and prevent future cases.

Reporting channels for employees

Across the HCOB Group, all employees at all locations can report information, concerns and complaints via internal channels such as the compliance hotline (by e-mail or telephone) or anonymously via external channels such as an ombudsperson. External third parties can also submit a report via the anonymous external whistleblowing office.Since 2024, the HCOB's whistleblower system has been supplemented by free telephone numbers and an anonymous whistleblower chat tool, which enables confidential communication about known or suspected (legal) violations. The system is accessible via the intranet and the Bank's homepage. Further information on the whistleblower protection system and the whistleblowing procedure can be found in "G1-1 Business conduct policies and corporate culture" and "G1-3 Prevention and detection of corruption and bribery".

In accordance with Section 13 of the German General Act on Equal Treatment (AGG), an independent complaints office has been established, which has been managed by the equal opportunities officers since 2024. The works councils, the JAV and the SBV are also available as contacts. Information on the various contact persons can be found on the intranet.

Anonymous questions and concerns can also be raised before campus talks, works meetings and dialogues with the Management Board. HR exchange days and employee surveys offer further feedback opportunities. Any concerns expressed are followed up and addressed by top management.

HCOB actively promotes the use of these communication channels and integrates them into the corporate culture. Contact details for trade unions and the German Federal Anti-Discrimination Agency are available on the intranet. These measures ensure that all employees have access to effective reporting channels. Further details on employee representation and communication channels can be found in "S1-2 Processes for engaging with own workforce and workers' representatives about impacts" as well as in "S2-3 Processes to remediate negative impacts and channels for value chain workers to raise concerns" and "G1-3 Prevention and detection of corruption and bribery".

S1-4 Taking action on material impacts on own workforce, and approaches to managing material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions

HCOB has developed measures to address negative impacts identified in the double materiality analysis, such as high workload, lack of equal opportunities and violations of employee rights.

HCOB provides (financial) resources and the capacities of (HR) employees for this purpose. These come from the current budget and no additional funds were provided. The aim is to unite and utilize the business activities of HCOB and the interests of stakeholders, in particular employees, in the best interests of all. This is reflected in the measures and benefits offered by the Bank.

As a matter of principle, these measures and benefits are available to all employees except executives. Specific regulations apply to executives in consultation with the executives' committee. The measures and benefits are adapted to the circumstances of the respective Group branches. Unless otherwise stated, the measures also apply beyond the 2025 reporting period.

Measures to promote work-life balance

Through the following measures, HCOB expects to create a better work-life balance, and thereby promote the careers of its employees with special family commitments, among other aims.

Regulation of working time

HCOB strengthens work-life balance through flexible working time models such as full-time and part-time work, job sharing, flexible working hours and mobile working in order to meet the individual needs of employees and counteract the negative effects of a high workload.

Focus on the family

The respective national legal regulations apply at all locations in the case of sick children. In Germany, HCOB also offers free emergency childcare if regular childcare is cancelled as well as subsidised holiday programmes and advice from the pme Familienservice family counselling service. HCOB also supports employees with returning to work after a leave of absence.

Occupational health and safety measures

The occupational health management (OHM) aims to promote the health and well-being of employees and ensure their long-term motivation and performance. It offers measures designed to help employees cope better with increasing workloads and, if necessary, recognise and prevent physical and mental health problems at an early stage. These measures may vary depending on the company location.

In Germany, company doctors advise on and support employees with questions related to occupational and social medical matters, while maintaining strict medical confidentiality. A part-time employee in Hamburg and Kiel provides the continuously available social counselling service, which offers employees professional help with stress, conflicts and difficult situations at work, as well as with topics such as mental illness, addiction and personal matters, in order to counteract the consequences of an increased workload. Seminars are also offered on stress management, nutritional advice, conflict management and behaviour-oriented health promotion.At the German locations, the support for the sports program with an external provider was continued and the bicycle leasing program was expanded.

The OHM also includes analysing quantitative key figures such as the health rate, evaluating the Bank's measures and channels and conducting information and counselling sessions. For example, the occupational safety specialist advises managers and employees on safe, ergonomic and healthy work practices. It strengthens employee rights and carries out departmental inspections in order to recognise and assess mental stress and specific hazards. Furthermore, the occupational safety committee (OSC) discusses health and safety issues at regular meetings and evaluates the effectiveness of occupational safety measures. Employees can raise concerns in the OSC meetings via their representatives. Important OSC decisions are communicated via the intranet.

Measures to promote co-determination

Access authorisation of the works councils to the HR systems

In order to facilitate and promote co-determination, the works councils and the equal opportunities officers were granted access rights to the SAP HR systems as part of an employer/works council agreement. This enables the proper fulfilment of their duties in accordance with the German Works Constitution Act (BetrVG) and the employer/works council agreement on gender equality.

Employee survey

Across all employee representative bodies, the employee survey serves to incorporate employee opinions into important internal company matters. The Bank strives to conduct the employee survey at least every two years. The last employee survey was conducted and analyzed in autumn 2025. A positive trend was observed bank-wide in the commitment index, which rose from 7 (2023) to 7.2 (2025), thus indicator a positive development in employee satisfaction. Furthermore, cross-departmental collaboration was rated particularly positively and ranked among the top 10 best-rated questions for the first time. The group of questions on empowerment also

confirmed that employees take responsibility (trust and freedom to decide), have access to the information they need to act, and receive appropriate feedback. Further information can be found in "S1-2 Processes for engaging with own workforce and workers' representatives about impacts".

Measures to ensure adequate wages

The Bank ensures adequate wages through processes and agreements with the employee representatives. At least once a year, HCOB reviews the remuneration of all employees and adjusts it in line with performance and the market. The Bank reviews the appropriateness and attractiveness of its own remuneration both internally and externally by means of annual and ad hoc benchmarks and remuneration comparisons. Further information can be found in "S1-10 Adequate wages".

Measures for gender equality and equal pay for work of equal value

HCOB is committed to equal pay and has been carrying out gender pay gap calculations for the German locations for several years. The results are analysed by HR and the equal opportunities officers with the help of external software. As in previous years, the gender pay gap was again calculated group-wide. Further details can be found in "S1-16 Remuneration metrics (pay gap and total remuneration)".

Measures to promote diversity in the company

With the appointment of two equal opportunities officers/diversity managers, the Bank has established clear responsibility for the topic of diversity and equal opportunities. A Code of Diversity and various internal and external measures emphasise the commitment to diversity and inclusion.

Internal measures for the 2025 reporting year include, for example, the development of a mandatory training course on the Code of Diversity for all employees, communication of diversity topics (e.g. quarterly diversity reports and networking events), and the organization of various formats by the women's network #networkingwomen (e.g. lunch and speed networking events and workshops with external women's networks).

External measures include signing the "Diversity Charter" in 2020 to create a prejudice-free working environment with equal opportunities, and publicly declaring itself a PATRON OF WELCOMING OUT.

As in the previous year, HCOB was again awarded the "Pride Index Gold" distinction, one of the leading ratings in the German PRIDE Champion Index. As part of this commitment, specific awareness campaigns were conducted to firmly establish diversity as an integral part of the corporate culture.

Measures for training and skills development

HCOB promotes to developing the skills of its employees and promoting young talent. As part of its HR development programme, the Bank offers a wide range of opportunities that cater to the individual needs of employees and at the same time strengthen Bank-wide skills. These offers – unless otherwise stated – are available to all employees regardless of their level of employment (e.g. full-time/part-time), location, age, gender and nationality.

As a result, HCOB expects the wide range of opportunities for skills development to promote equal career development for all employees and strengthen their ability to deal with periods with high workloads.

Performance management and succession planning

HCOB has implemented a Bank-wide performance management process, which consists of at least two appraisal and development meetings per year as well as a performance management and target agreement system. This process promotes equal opportunities through the appraisal system, which is implemented according to uniform standards throughout the Bank and is calibrated at HR conferences, among other occasions. The development meetings serve to identify development needs and equip employees for challenging workloads through skills development.

At the beginning of the year, a performance appraisal takes place between the manager and employee, during which feedback is given on the previous year's performance and development, and targets and training plans are agreed for the coming year. Training can include internal or external measures that promote personal development, professional expertise and general banking knowledge. Results are considered and calibrated holistically in HR conferences.

The information provided in "S1-13 Training and skills development metrics" shows the effectiveness of the measures.

HR development and Talent management

Since 2023, every employee has had access to the Masterplan e-learning platform, which offers a wide range of online training for professional and personal development. In addition, online language seminars and social counselling workshops, e-learning courses such as Moody's cash flow training, data analytics training and individual coaching are offered.

In the reporting year 2025, 21 employees again participated in the Growth Program, which promotes personality analysis, self-reflection, strategic thinking and communication through workshops and training.

Promoting young talent

In cooperation with the Hamburg School of Business Administration (HSBA), the Bank enables a dual study programme in business administration or business informatics. The dual study programme lasts three years, during which the Bachelor's degree is obtained and experience is gained in various departments of the Bank (in Hamburg and Kiel). Graduates with above-average results receive an offer of permanent employment. In 2025, six new dual students started at HCOB.

The Bank also offers internships for students to gain initial work experience. University graduates can complete an individual 18-month trainee program, which is practically oriented in various areas. In 2025, five new trainees started at HCOB.

Internal job market

HCOB offers a wide range of different job profiles and thus creates solid alternatives for further internal development. By making a voluntary commitment to advertise every vacancy internally, HCOB promotes internal mobility through an internal job market, which offers all employees equal development opportunities and thus promotes equal opportunities in the workforce.

Effectiveness of the measures

The measures and benefits offered by HCOB are tailored to the needs of employees and the Bank. To ensure this, employees and employee representatives were involved in preparing them and the underlying strategies (see "S1-1 Policies related to own workforce"). Weekly meetings with the works councils support exchanges during negotiations and lead to finalised employer/works council agreements. The measures are also optimised in close cooperation with the works councils, with regular monthly dialogue ensured.

The effectiveness of the measures is monitored and evaluated by various mechanisms to ensure that the desired results are achieved and no negative impacts occur. HR Controlling reports on important KPIs such as sick days, the proportion of women and the gender pay gap in order to recognise potential trends at an early stage. Monthly dialogue with the works councils serves to address employee concerns and review the impact of the measures. In addition, employee surveys provide valuable insights into satisfaction with and acceptance of the measures, which ensures continuous improvement and guarantees the achievement of targets.

Metrics and targets

S1-5 Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

HCOB has identified the following targets for the coming 2026 reporting year in order to address the topic of "Equal treatment and opportunities for all: insufficient consideration of equal opportunities" identified in "S1 ESRS 2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model":

1. Achieve a proportion of 33 % for the underrepresented gender (currently women) in management functions / at senior expert level[1)] by the end of 2027.

To measure progress, the proportion of the underrepresented gender (currently women) in management functions / at senior expert level in the reporting year 2025 (31.6 % as at 31 December 2025) was used as a starting point. In the previous year, the rate was 31.4% as at December 31, 2024. There are no significant changes compared to the previous year.

The equal opportunities officers/diversity managers were involved in shaping this target.

[1)] Management functions below BU head level; based on the number of employees (excluding permanently inactive employees).

2. Achieve a proportion of 33 % for the underrepresented gender (currently women) at BU head level[2)] by the end of 2027.

To measure progress, the proportion of the underrepresented gender (currently women) at BU head level in the reporting year 2025 (31.3 % as at: 31 December 2025) was used as a starting point. In the previous year, the rate was 22.2% as at 31 December 2024. The discrepancy between the two reporting years results from the realignment and organizational reorganization that took place.

The equal opportunities officers/diversity managers were involved in shaping this target.

[2)] Based on the number of employees (excluding permanently inactive employees).

Methodology and scope of target setting

The targets cover all of HCOB's Group locations and are managed and monitored by HR. No specific methodologies were applied or significant assumptions made when setting the targets. There are no changes to the parameters and/or measurement methods compared to the previous year. The objectives are measured in absolute numbers. No milestones or intermediate targets are defined.

Supporting measures to achieve the above targets

In particular, the measures for gender equality and equal pay for work of equal value, training and skills development, promotion of work-life balance and promotion of diversity, which are described in "S1-4 Taking action on material impacts on own workforce", contribute to achieving the targets.

S1-6 Characteristics of the undertaking's employees

Breakdown of employees by gender (headcount)

Gender	2025	2024
Women	378	405
Men	592	631
Non-binary	–	–
Not specified	–	–
Total	**970**	**1,036**

Note:
The employee data relates to employees of HCOB and all Group companies. Active employees, employees on parental leave, employees on long-term sick leave and employees on leave of absence are taken into account, but not early retirees. The stated number of employees corresponds to 862.4 FTEs.

Breakdown of employees by country (headcount)

Country	2025	2024
Germany	896	952

Note:
Presentation of the number of employees in countries in which the company has at least 50 employees who account for at least 10 % of the company's total number of employees.

Breakdown of employees by contract type and gender (headcount)

	2025				
Employee headcount	Women	Men	Non-binary	Not specified	Total
Total employees	378	592	0	0	970
Permanent employees	362	561	0	0	923
Fixed-term employees	16	31	0	0	47
Temporary workers	0	0	0	0	0
Full-time employees	216	555	0	0	771
Part-time employees	138	21	0	0	159

Breakdown of employees by contract type and gender (headcount)

	2024				
Employee headcount	Women	Men	Non-binary	Not specified	Total
Total employees	405	631	0	0	1,036
Permanent employees	380	591	0	0	971
Fixed-term employees	25	40	0	0	65
Temporary workers	0	0	0	0	0
Full-time employees	244	596	0	0	840
Part-time employees	136	22	0	0	158

Note:
The employee data relates to employees of HCOB and all Group companies. The full-time/part-time split only takes into account active employees, but not employees on parental leave, employees on long-term sick leave, early retirees and employees on leave of absence. Temporary workers are not included due to the phase-in regulations (ESRS 1, Appendix C).

Breakdown of employees by region (headcount)

	2025			2024		
Employee headcount	Germany	Abroad	Total	Germany	Abroad	Total
Total employees	896	74	970	952	84	1,036
Permanent employees	851	72	923	889	82	971
Fixed-term employees	45	2	47	63	2	65
Temporary workers	0	0	0	0	0	0
Full-time employees	705	66	771	764	76	840
Part-time employees	152	7	159	152	6	158

Note:
The employee data relates to employees of HCOB and all Group companies. The full-time/part-time split only takes into account active employees, but not employees on parental leave, employees on long-term sick leave, early retirees and employees on leave of absence. Temporary workers are not included due to the phase-in regulations (ESRS 1, Appendix C).

Staff turnover

In the 2025 reporting period, 127 employees left the Bank and Group companies (previous year: 97 employees). This figure includes all employee departures, whether voluntary or due to dismissal, expiration of a fixed-term contract (including interns), retirement (early retirement), or death. In the reporting year, the Bank also included departures due to fixed-term contracts in the rate and recalculated and adjusted the previous year's rate accordingly. The resulting annual staff turnover rate is 12.5 % at Group level as at 31 December 2025 (previous year: 9.5%). Of this figure, 2.7% (previous year: 2.1%) is attributable to (planned) departures due to the termination of fixed-term employment contracts and 4.2 % (previous year: 3.8%) to departures due to resignations by employees (at Group level as at 31 December 2025).

The staff turnover rates are calculated as the ratio of employees who left the company in the current reporting year to the average number of employees in the current reporting year.

S1-7 Characteristics of non-employees in the undertaking's own workforce

In the 2025 reporting year, HCOB does not provide information on the activities or characteristics of non-employees.

S1-8 Collective bargaining coverage and social dialogue

Breakdown of employees by collective bargaining coverage (headcount)

2025	Collective bargaining agreement coverage		Social dialogue
Coverage ratio	Employees – EEA (for countries with > 50 employees, which make up > 10 % of the total)	Employees – non-EEA countries (estimate for regions with > 50 employees, which account for > 10 % of the total)	Representation in the workplace (EEA only) (for countries with > 50 employees, which make up > 10 % of the total number)
0–19 %	–	–	–
20–39 %	Germany	–	–
40–59 %	–	–	–
60–79 %	–	–	–
80–100 %		–	Germany

Note:
There is no European works council for the 2025 reporting year.

S1-9 Diversity metrics

Equality/diversity: Number of employees (headcount)

	2025								
Age in years	Total (number)	Women (number)	Women (%)	Men (number)	Men (%)	Non-binary (number)	Non-binary (%)	Not specified (number)	Not specified (%)
Top management level[1)]	**16**	**5**	**31 %**	**11**	**69 %**	**–**	**– %**	**–**	**– %**
Under 30	–	–	– %	–	– %	–	– %	–	– %
30 to 50	8	4	50 %	4	50 %	–	– %	–	– %
Over 50	8	1	13 %	7	88 %	–	– %	–	– %
Other employees[2)]	**954**	**373**	**39 %**	**581**	**61 %**	**–**	**– %**	**–**	**– %**
Under 30	104	37	36 %	67	64 %	–	– %	–	– %
30 to 50	432	179	41 %	253	59 %	–	– %	–	– %
Over 50	418	157	38 %	261	62 %	–	– %	–	– %
Total	**970**	**378**	**39 %**	**592**	**61 %**	**–**	**– %**	**–**	**– %**
Under 30	104	37	36 %	67	64 %	–	– %	–	– %
30 to 50	440	183	42 %	257	58 %	–	– %	–	– %
Over 50	426	158	37 %	268	63 %	–	– %	–	– %

Equality/diversity: Number of employees (headcount)

	2024								
Age in years	Total (number)	Women (number)	Women (%)	Men (number)	Men (%)	Non-binary (number)	Non-binary (%)	Not specified (number)	Not specified (%)
Top management level[1)]	**18**	**4**	**22 %**	**14**	**78 %**	**–**	**– %**	**–**	**– %**
Under 30	–	–	– %	–	– %	–	– %	–	– %
30 to 50	6	2	33 %	4	67 %	–	– %	–	– %
Over 50	12	2	17 %	10	83 %	–	– %	–	– %
Other employees[2)]	**1,018**	**401**	**39 %**	**617**	**61 %**	**–**	**– %**	**–**	**– %**
Under 30	131	49	37 %	82	63 %	–	– %	–	– %
30 to 50	490	197	40 %	293	60 %	–	– %	–	– %
Over 50	397	155	39 %	242	61 %	–	– %	–	– %
Total	**1,036**	**405**	**39 %**	**631**	**61 %**	**–**	**– %**	**–**	**– %**
Under 30	131	49	37 %	82	63 %	–	– %	–	– %
30 to 50	496	199	40 %	297	60 %	–	– %	–	– %
Over 50	409	157	38 %	252	62 %	–	– %	–	– %

[1)] The top management level within the meaning of ESRS 2 comprises all BU heads.

[2)] Including department heads.

S1-10 Adequate wages

HCOB's remuneration system comprises fixed and variable components, aligned with the relevant market, and is designed to attract and retain employees. It aims to promote sustainable performance and support appropriate development at all levels. It rewards sustainable performance and ensures appropriate development at all levels. As in the previous year, no employees (0%) are paid below the applicable benchmark (minimum wage) for fair compensation.

In addition, reference is made to "S1-8 Collective bargaining coverage and social dialogue" with regard to adequate wages based on extensive collective bargaining coverage and regulations.

S1-11 Social protection

HCOB attaches great importance to the social protection of its employees. As in the previous year, employees at all Group locations are 100% insured against loss of earnings due to illness, unemployment, workplace accidents, parental leave and retirement. These insurance policies are either required by law or regulated by the company (e.g. additional company pension scheme and assumption or subsidisation of private health insurance at selected locations). The range and amount of company insurance cover can vary depending on the location.

S1-12 Persons with disabilities

Proportion of employees with disabilities

(%)	2025	2024
Total employees	5.7 %	5.0 %
of which women	3.1 %	2.8 %
of which men	2.5 %	2.2 %
of which non-binary	- %	- %
of which not specified	- %	- %

Note:
The data on employees with disabilities relates to all HCOB Group companies and includes active employees, employees on parental leave, employees on long-term sick leave, employees on leave of absence and early retirees.

S1-13 Training and skills development metrics

As in the previous year, all HCOB employees were subject to bank-wide performance management in the 2025 financial year . This includes at least two performance and career development reviews per year. The Group company Klarphos is not subject to formal performance management.

Further information on performance management can be found in "S1-1 Policies related to own workforce" and "S1-4 Taking action on material impacts on own workforce".

Training and skills development

	2025	2024
Participation in regular performance and career development reviews	**Percentage of employees**	**Percentage of employees**
Total	99 %	99 %
of which women	98 %	98 %
of which men	99 %	99 %
of which non-binary	- %	- %
of which not specified	- %	- %
Training hours for HR development	**Average training hours per employee**	**Average training hours per employee**
Total	20	25
of which women	18	26
of which men	22	24
of which non-binary	-	-
of which not specified	-	-

Note:
The average number of training hours for staff development includes mandatory training hours.

S1-14 Health and safety metrics

As in the previous year, 100 % of employees are covered by a health and safety management system. In 2022, HCOB was certified as a "company with exemplary occupational safety" by the Hamburg state authority for occupational health and safety (valid for six years).

In the 2025 reporting year, there were five reportable accidents at work (previous year: three) resulting in 153 sick days and no work-related illnesses (previous year: none). The rate of workplace accidents amounts to 3.3 cases per 1 million hours worked (previous year: 2 cases). There were no fatalities due to work-related injuries and work-related illnesses.

Further information on safety standards and measures can be found in "S1-1 Policies related to own workforce" and "S1-4 Taking action on material impacts on own workforce".

S1-15 Work-life balance metrics

As in the previous year, 100% of the HCOB employees are entitled to leave for family reasons within the framework of the social policy and/or collective bargaining agreements (previous year: 100%).

Leave taken for family reasons

Proportion in %	2025	2024
Total	9.4 %	10.7 %
of which women	6.3 %	6.6 %
of which men	3.1 %	4.1 %
of which non-binary	- %	- %
of which not specified	- %	- %

S1-16 Remuneration metrics (pay gap and total remuneration)

Gender pay gap

HCOB promotes equal treatment and equal opportunities through fair pay without gender-specific disadvantages. The gender pay gap is calculated annually by HR. The unadjusted gender pay gap considers the percentage difference between the average gross hourly earnings of women and men – regardless of career level, experience, qualifications, or job function.

For the 2025 reporting year, HCOB determined an unadjusted gender pay gap of 21.4 % (previous year: 24.6 %). This analysis included employees at all levels below the Executive Board, including all of the Bank's international locations

Annual ratio of total remuneration

The analysis of total annual remuneration examines the relationship between the highest-paid individual (including Management Board members) and the median of the total annual remuneration of all employees. For 2025, the annual ratio of total remuneration is 65.2 (previous year: .74.6)

S1-17 Incidents, complaints and severe human rights impacts

Incidents related to human rights

Number / € m	2025	2024
Number of incidents of discrimination	–	–
Number of complaints submitted via the channels through which employees can raise concerns	2	4
Number of complaints submitted to the national contact points for OECD multinational enterprises	–	–
Amount of material fines, penalties and damages resulting from violations of social and human rights factors including harassment and complaints filed	€–	€–
Number of serious human rights issues and incidents related to own workforce	–	–

Note:
The complaints submitted were duly examined by those responsible. This examination did not reveal any substantiated cases of discrimination, which is why no fines, penalties or compensation payments were imposed.

ESRS S2 Workers in the value chain

Strategy

ESRS 2 SBM-2 Interests and views of stakeholders

Information relating to the integration of the interests, views and rights of the company's own workforce into HCOB's strategy and business model can be found in the chapter "ESRS 2 General disclosures" in section "SBM-2 Interests and views of stakeholders".

ESRS 2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model

The following table summarises the material impacts on the relevant sustainability aspects identified for HCOB as a result of the materiality analysis (see chapter "ESRS 2 General disclosures", in particular the section "SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model") and presents the mitigating policies.

Influence of the material impacts, risks and opportunities on HCOB

Impacts, risks and opportunities	Policies and impact management	Measures	Targets
Working conditions			
Negative impact: Critical working conditions and violations of human rights and environmental standards (Dimension: Corporate)	Supplier Code	Review process for potential suppliers	no targets defined
Negative impact: Critical working conditions on ships (Dimension: Portfolio)	– "Credit Manual" – "ESG in the credit- and investment process" for ESG Scoring	– Full application of the Compliance Assessment & Sector Restrictions Check and, the ESG Scoring for new transactions – Exclusion of new transactions with a score of 5 or 6	no targets defined

Corporate: As part of ESRS 2 General disclosures, HCOB analyses the impacts, risks and opportunities related to workers in the value chain. This analysis is crucial for developing strategies that combine economic success with social responsibility and ecological sustainability. The identified potential negative impacts relate to working conditions that are not in line with generally recognised social standards, as well as potential violations of human rights and environmental standards at suppliers. These could lead to negative impacts on the affected workers in the value chain.

HCOB takes into account all workers in the value chain, in particular workers in the upstream supply chain. The Bank primarily procures business, IT and advisory services as well as building services and office supplies from suppliers, which operate either at HCOB locations or externally. No information is available on the type of contract or employment of the workers involved. There are no specific groups of workers in the value chain that have been identified as particularly vulnerable.

An increased risk of child labour or forced labour was not identified, because HCOB primarily awards its contracts in Europe and to a company based in India that operates internationally and is therefore subject to international standards.

Negative impacts are checked by signing of the Supplier Code for all outsourced services, but do these not occur systematically.

In order to better understand risks, HCOB carries out risk analyses to identify critical product groups. The potential negative impacts analysed in the double materiality analysis are reviewed for all outsourced services through the screening process for potential suppliers, but no systemic impacts have been identified (see "S2-4 Taking action on material impacts on value chain workers, and approaches to managing material risks and pursuing material opportunities related to value chain workers, and effectiveness of those actions").
To better understand potential negative impacts and risks and to identify critical commodity groups, the HCOB conducts risk analyses.

Portfolio: As part of the double materiality analysis, HCOB identified potential negative impacts on workers on financed ships in the downstream value chain. Critical working conditions such as long working hours and prolonged absences from home accompanied with physical and psychological stress can have a negative impact on the affected workers. No incidents were reported in this context during the reporting year. Due to the characteristics of shipping, no clear geographical reference can be made. In this context, no increased risk of child labour or forced labour was identified. The potential negative impacts are linked to the business strategy in that HCOB provides ship financing. The strategy is influenced indirectly, particularly as part of the credit monitoring process. HCOB has not identified any positive impacts or opportunities in this area.

Management of impacts, risks and opportunities

S2-1 Policies related to value chain workers

Corporate: HCOB pursues a strategic approach to identifying, assessing and managing material social and environmental negative impacts in the value chain. The focus is on minimising negative impacts such as the violation of human rights as well as labour and environmental standards. International standards such as the UN Guiding Principles on Business and Human Rights and the OECD guidelines for multinational enterprises form the basis of the strategy. HCOB is not aware of any cases that violate these guiding principles. The Supplier Code contains clear requirements for compliance with human rights and environmental standards. Particular attention is paid to critical product groups such as buildings and land, office and business equipment and IT hardware, as there are higher risks here. Procurement & Vendor Management is responsible for implementation.

The Supplier Code obliges all suppliers, among other things, to comply with human rights standards, including the prohibition of forced labour, child labour and human trafficking. Suppliers must agree to the Supplier Code in writing prior to contractual collaboration. Contracts usually contain audit rights, which ensure that compliance with these standards can be verified. This enables ad hoc monitoring and adjustments, if necessary.

No workers in the value chain are currently involved in the process of the policies described or their creation. The Bank offers workers in the value chain the opportunity to report grievances or human rights violations anonymously. These complaint mechanisms are supported by an external ombudsperson who helps to assess reported violations and take remedial action. The aim is to ensure that every reported violation is dealt with and that long-term solutions are implemented — see detailed information in chapter "G1-1 Business conduct policies and corporate culture".

Portfolio: The potential negative impact of "critical working conditions" includes long working hours, prolonged absences and physical and mental stress. Such conditions can have serious consequences for the affected workers and require targeted measures. Good working conditions on board ships are not only important for the health of workers, but also for the safety of shipping. Compliance with standards such as equality and non-discrimination helps to minimise risks. Good working conditions also help to reduce the likelihood of accidents caused by human error.

In order to manage the potential negative impacts on workers in the value chain, which have been identified as material for the shipping sector, HCOB not only relies on its own concepts, but primarily on international standards, which are used as guidelines for its clients. Therefore, the Bank mainly relies on the IMO's external concepts and guidelines when managing the material impacts identified.
The IMO has introduced comprehensive regulations aimed at ensuring compliance with working conditions in the shipping industry. These standards are applied worldwide. Monitoring whether the financed ships comply with these requirements is largely carried out as part of the inspections initiated by the respective flag states, which ensure that all relevant regulations are complied with.

The international legal framework for maritime activities, which is also binding for ships financed by HCOB, is defined by the United Nations Convention on the Law of the Sea (UNCLOS). In addition, there are four main conventions or regulatory frameworks known as the "four pillars of international maritime law", which comprehensively cover safety, environmental, training and labour aspects:

- SOLAS 1974 (International Convention for the Safety of Life at Sea of 1974)
  UN convention on ship safety, international minimum standard for safety on board merchant ships, which covers a variety of topics such as stability, fire protection, rescue equipment, radio communication, safe navigation and safety measures for ships operating in polar regions
- MARPOL (International Convention for the Prevention of Pollution from Ships)
  Convention of the IMO, a globally applicable environmental agreement for shipping, which represents the legal basis for environmental protection in shipping and includes relevant provisions on topics such as the reduction of air pollution, special regulations for the so-called emission control areas (ECAs) and requirements for the energy efficiency of ships.
- STCW (International Convention on Standards of Training, Certification and Watchkeeping for Seafarers)
  Convention of the IMO, which sets binding minimum standards for the training of seafarers worldwide, serves in particular to protect human life, but is also intended to protect material goods at sea and the marine environment; contains binding rules, including minimum requirements for training content for personnel and the captain, rules on radio communication and emergencies, as well as on occupational safety, medical care and survival functions. The convention applies to seafarers working on seagoing vessels flying the flag of a state for which the convention has entered into force, but also to ships from other flag states when they call at the ports of a so-called "STCW state".
- MLC 2006 (Maritime Labour Convention of 2006)
  Globally harmonised minimum standards for decent working and living conditions on board seagoing vessels – regardless of the nationality of the seafarers and the flag under which the ship sails. These minimum standards cover a wide range of topics, such as working and rest periods, medical fitness and care, accommodation and leisure time as well as the training of seafarers. Ships from flag states that have not ratified the convention cannot circumvent its standards if they call at ports in states that have ratified the convention. If violations are found during inspections at such ports, severe sanctions can be imposed – from fines right through to arrest of the ship.

The four conventions cover the areas of safety, environment, training and working conditions and aim to continuously improve the quality of international shipping through uniform standards. Maritime shipping is the only sector in the world with such a dense and globally effective regulatory framework, which fully addresses the specific challenges of working at sea.

The policies implemented by HCOB build on the shipping industry regulations described above and include in particular the document "ESG in the lending and investment process" for the Compliance Assessment & Sector Restrictions Check, the Credit Manual and the ESG scoring, which have already been described in terms of process description, scope, communication and strategic responsibility in the section "E1-1 Transition plan for climate change mitigation".
The policies and guidelines regulate the integration of ESG criteria into the lending process and manage the portfolio accordingly. In the S score (social aspects) of the ESG scoring, one question assesses the topic of working conditions by checking whether the relevant flag states of the financed ships have ratified the MLC 2006, as well as through the inspection results. The current White, Grey and Black (WGB) List of flag performance published by the Paris Memorandum of Understanding (MoU) serves as a reference.

Responsibility for operational implementation lies with the "Credit Risk Center" BU head. The "White, Grey and Black (WGB) Performance List" published by the Paris MoU can be found on the homepage of the Paris MoU.

The Bank has also set up mechanisms, as described above, through which human rights violations can be reported anonymously.

S2-2 Processes for engaging with value chain workers about impacts

Corporate: Although HCOB enforces important standards through the Supplier Code, there is currently no general process beyond signing of the code in order to engage with the suppliers' workers.

Portfolio: There are no direct processes for engaging with value chain workers at portfolio level. The negative impacts identified, in particular "Critical working conditions on ships", are addressed, further operationalised and implemented through the policies and measures described in "S2-1 Policies related to value chain workers" and "S2-4 Taking action on material impacts on value chain workers, and approaches to managing material risks and pursuing material opportunities related to value chain workers, and effectiveness of those actions".

S2-3 Processes to remediate negative impacts and channels for value chain workers to raise concerns

Corporate: HCOB has implemented a whistleblower system to identify criminal offences at an early stage. This is staffed by an external ombudsperson from an international auditing firm. This means that all workers in the value chain can also confidentially and anonymously report information on criminal offences to the detriment of or involving abuse of the Bank, although the scope is focused on the Bank's business partners and suppliers. Regardless of the reporting channel, the ombudsperson guarantees the highest level of confidentiality in all cases, as the Bank waives its right to information and disclosure. Cases are dealt with in accordance with the General Data Protection Regulation while respecting personal rights and privacy. An anonymous chat tool with the ombudsperson was introduced during the reporting year. This is an even stronger response to the need to protect whistleblowers from reprisals such as dismissal, harassment or demotion and to strengthen trust in the whistleblower system.

In addition to contacting the ombudsperson, all whistleblowers, such as employees or suppliers, can also contact the HCOB whistleblower office (the Bank's Compliance department) by telephone, in writing (letter or e-mail) or in person.

The contact details for the external ombudsperson and the internal whistleblower office are published on the HCOB website and on the intranet. The written rules of procedure also contain a defined process for handling suspected cases and a Whistleblowing-Policy (see "G1-1 Business conduct policies and corporate culture")

The HCOB whistleblower office (the Bank's Compliance department) assesses information provided for plausibility, criminal relevance and risk. Relevant information is recorded by the whistleblower unit and, if necessary, dealt with further with the involvement of the investigation committee or other parties. Material and non-material information is part of the periodic compliance reporting. In the 2025 reporting year, the ombudsperson received no reports (previous year: two reports).

Portfolio: HCOB has established measures for reporting and dealing with complaints.
The complaints procedure is based on internal guidelines, process specifications and the "Principles of complaints management" approved by the Management Board. These principles are published on the HCOB website and contain rules on communication, deadlines and procedures for resolving issues, as well as possible external parties to be involved.

Complaints can be submitted by telephone, in writing (letter or e-mail) or in person. The contact details are available on the Bank's homepage and on the intranet, along with information on alternative dispute resolution. Complaints management is primarily aimed at restoring client satisfaction, but can also be used by workers in the value chain or external third parties to provide feedback or express criticism. In such cases, parties are referred to the whistleblower system or the external whistleblowing office. This is where the provisions of the whistleblower protection system come into play.

Complaints are assessed for relevance upon receipt and documented accordingly. The Bank complies with reporting deadlines to the supervisory authorities and always informs complainants of the results. The documentation takes place centrally in a complaints database. Quarterly reports are submitted to the Management Board and the Risk Committee of the Supervisory Board. In addition, a complaints report pursuant to Article 26 (6) of Delegated Regulation (EU) 2017/565 is submitted to BaFin annually.

There were no complaints from workers in the value chain during the reporting period (previous year: no complaints).

S2-4 Taking action on material impacts on value chain workers, and approaches to managing material risks and pursuing material opportunities related to value chain workers, and effectiveness of those actions

Corporate: HCOB addresses critical working conditions and violations of human rights and environmental standards as key aspects of its corporate responsibility. The Bank implements various measures to overcome these challenges. The effectiveness of these approaches is not verified.

Review process for potential suppliers
Sustainability aspects are an integral part of the supplier review process and are anchored in the Supplier Code, which is based on the HCOB Code of Conduct. The review process includes credit checks as well as comparisons with sanctions and embargo lists and negative reports. Suppliers must comply with data protection rules and sign the Supplier Code, which covers compliance, labour law, equal opportunities and environmental protection. Violations may lead to termination of the business relationship.

Suppliers who do not accept the Supplier Code may be excluded. Violations may lead to termination of the business relationship. Beyond the existing measures, no additional means are used to counteract the challenges identified.

Portfolio: The policies and guidelines mentioned under "S2-1 Policies related to value chain workers" were continuously implemented during the reporting year through measures to protect workers in the value chain. In line with the policies explained above, each loan undergoes a Compliance Assessment & Sector Restrictions Check and the ESG scoring process.

The Sector Restrictions in the document "ESG in the lending and investment process" was fully applied in the lending and investment decision process. Only compliant transactions were concluded.
The ESG scoring, which is regulated in the Credit Manual, was fully applied in the lending and investment process. Only transactions with an overall score of at least 4 were concluded, while loans with scores of 5 and 6 were excluded. The Compliance Assessment & Sector Restrictions and ESG scoring measures will continue to be implemented in 2026.

The effectiveness of these measures and initiatives in terms of achieving the desired results for the value chain workers is not tracked.

No serious problems or incidents related to human rights in the upstream and downstream value chain were reported in the 2025 reporting year.

No additional means were allocated for managing these material impacts. They were fully dealt with as part of the lending and investment decision process.

Metrics and targets

S2-5 Targets related to managing material negative impacts, advancing positive impacts, and managing material risks and opportunities

HCOB has not currently set a target for assessing the effectiveness of measures to protect value chain workers, as Banks can only manage the topic indirectly via financing activities, among other things. However, policies and measures were implemented as far as possible, as described.

Governance information

ESRS G1 Business conduct

Governance

ESRS 2 GOV-1 The role of the administrative, management and supervisory bodies

The disclosure requirements and information on the role of the administrative, management and supervisory bodies can be found in chapter "ESRS 2 General disclosures" in the section "GOV-1 The role of the administrative, management and supervisory bodies".

Management of impacts, risks and opportunities

ESRS 2 SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model

The following table summarises the material impacts on the relevant sustainability aspects that were identified for HCOB as a result of the materiality analysis (see chapter "ESRS 2 General disclosures", in particular the section "SBM-3 Material impacts, risks and opportunities and their interaction with strategy and business model") and presents the mitigating policies. The explanations in this chapter relate exclusively to the company's own business operations, which is why the sections are not additionally labelled with the Corporate dimension.

Influence of the material impacts, risks and opportunities on HCOB

Impacts, risks and opportunities	Policies and impact management	Measures	Targets
Corporate culture			
Negative impact: Violation of the Code of Conduct (Dimension: Corporate)	– Code of Conduct – Code of Diversity – Training policy	– Employee training – Legal monitoring – Compliance management and monitoring activities – Compliance reporting	no targets defined
Protection of whistleblowers			
Negative impact: Endangering whistleblowers (Dimension: Corporate)	Whistleblowing policy	– Whistleblowing procedure – Investigation committee (IC)	no targets defined
Political involvement			
Negative impact: influence on political decisions (Dimension: Corporate)	– Donation and sponsorship policy – Benefits policy – Anti-fraud policy	Employee training	no targets defined
Management of relationships with suppliers			
Negative impact: unfair treatment of service providers (Dimension: Corporate)	– Supplier Code – Procurement Principles	Supplier onboarding process	no targets defined
Prevention and detection of corruption and bribery			
Negative impact: Susceptibility to corruption in banking operations (Dimension: Corporate)	– Benefits policy – Anti-fraud policy – Know Your Customer (KYC) policy – Conflict of interest policy	– Procedures for the prevention and detection of fraud and corruption – Employee training	no targets defined

The Bank plans to continue to implement the measures described in the year under review.

G1-1 Business conduct policies and corporate culture

Corporate culture: Violation of the Code of Conduct

An inappropriate corporate culture can have a negative impact on the well-being of employees, clients and society. In order to prevent this, HCOB has implemented central guidelines that serve as the basis for a positive corporate culture, which are described below.

Code of Conduct

HCOB's Code of Conduct serves as a central orientation framework for responsible conduct for all employees and fulfils legal, ethical and social requirements. It summarises key rules and is aimed at employees, service providers, suppliers, clients and external third parties.

Further details regarding content, responsibility, scope of application and employee involvement in the preparation are described in section "S1-1 Policies related to own workforce".

Code of Diversity

The Code of Diversity promotes diversity, fairness and equal opportunities. Diversity is seen as a strength and all forms of discrimination are rejected. The Code of Diversity was developed by the employees and approved by the Management Board, and it is implemented by the diversity managers.

Further information on responsibility, scope of application and involvement of employees in the preparation can be found in section "S1-1 Policies related to own workforce" and on measures in the area of diversity in chapter "S1-4 Taking action on material impacts on own workforce, and approaches to managing material risks and pursuing material opportunities related to own workforce, and effectiveness of those actions".

Training policy

The Compliance business unit carries out Bank-wide awareness-raising measures on compliance topics. This can take the form of online training, face-to-face training or publications on the HCOB intranet / roadshows in order to achieve a high level of awareness among the Bank's employees.

Training procedures and methods are anchored in the training policy, which is set out in the written rules of procedure and for which the Compliance department is responsible. The training policy and the resulting obligation to provide training is relevant for all Group employees.

Protection of whistleblowers: Endangering whistleblowers

As part of the dual materiality analysis, the HCOB identified the risk to whistleblowers as an actual negative impact, as the personal integrity of whistleblowers could be undermined by insufficient protection against retaliation and their jobs could be at risk.

Whistleblowing-Policy

To support whistleblowers, HCOB has implemented a whistleblowing-policy that enables early reporting and investigation of criminal offences.

The policy defines procedures for providing confidential information and guarantees anonymity, confidentiality and protection against reprisals. It applies to all employees of the Bank as well as to external third parties, including clients and value chain workers. Information can be reported to the external ombudsperson, whose contact details are available on the Bank's website.

The whistleblowing-policy is the responsibility of the business unit Compliance, in cooperation with an external ombudsperson. They ensure that all reports are assessed objectively and independently and that appropriate measures are taken to minimise risks for HCOB and its stakeholders.

Further details, also for use by the company's own employees ("S1-3 Processes to remediate negative impacts and channels for own workforce to raise concerns") or value chain workers ("S2-3 Processes to remediate negative impacts and channels for value chain workers to raise concerns" can be found in the respective chapters.

Political involvement: Influencing on political decisions

Influencing political decisions by prioritising the Bank's own interests can be detrimental to the common good. The donation and sponsorship process ensures that all donations and sponsorship activities are transparent and in line with internal guidelines and legal requirements.

Donation and sponsorship policy

HCOB's donation policy governs all monetary, in-kind, and time donations across the Group to ensure compliance with regulations and tax requirements. The guideline ensures that all charitable or non-profit contributions are aligned with the Bank's values and ESG (Environmental, Social, Governance) principles. Conversely, monetary and in-kind donations to political parties or politically affiliated organizations are neither intended nor permitted. The policy applies to all HCOB employees group-wide. Marketing & Communications is responsible for its management. Audits are conducted by Corporate & Securities Compliance (including PEP/ conflict of interest checks), Tax, and Sales Management & ESG. The approval process includes coordination and alignment, a standardized assessment of eligibility for funding, and a final decision by the Management Board.

Monitoring is carried out through regular reporting and evaluation of donation activities. Monitoring is carried out through regular reporting and evaluation of the donation activities.

Benefits policy

HCOB's benefits policy includes guidelines and procedures for accepting and granting benefits in order to ensure that all activities are in line with the Bank's compliance requirements and ethical standards. Responsibility for the benefits policy lies with the Compliance division; the policy is relevant for all Group employees.

Anti-fraud policy

HCOB's anti-fraud policy includes measures to prevent money laundering, terrorist financing and corruption. It defines binding rules and procedures for investigating suspected cases, including competition and cartel offences, and is based on the fourth EU Anti-Money Laundering and Terrorist Financing Directive (AMLD IV). Responsibility for the anti-fraud policy lies with the Compliance division; the policy is relevant for all Group employees.

Compliance monitoring and compliance reporting

HCOB is guided by adherence to rules and standards as set out in the Code of Conduct and Code of Diversity. A compliance culture practised should support adherence to the law and regulations along with the well-being of employees, clients and society; the following principles and procedures should ensure this.

Employee training

In order to work towards a high level of awareness and adherence to the (compliance) regulations, online and face-to-face training were implemented on topics such as the prevention of money laundering, terrorist financing, financial sanctions, embargoes, fraud prevention, capital market compliance and the Code of Conduct. Training is also provided on information security, data protection, equal treatment (AGG) and ESG. All HCOB employees are required to complete these training courses every three years. For details, see the table in section "G1-3 Prevention and detection of corruption and bribery".

Legal monitoring

New rules are entered into a central monitoring system on a weekly basis and assigned to the business units. This monitoring enables the Bank to recognise risks at an early stage and respond to them proactively. At the same time, this systematic approach ensures that the Bank not only fulfils current requirements, but is also well-placed for future requirements.

This is not a reactive measure, but a continuous implementation of the legal prevention obligations.

Compliance management and monitoring activities

Annual risk analyses form the basis for monitoring and management activities. Measures resulting from these activities followed up. The business unit Compliance works closely with the business units to ensure the effectiveness of the management activities. Potential for optimisation is identified through regular reviews (at least in a three-year cycle) in order to further improve processes.

Compliance reporting

The Compliance business unit reports directly to the CRO and the Overall Management Board at least quarterly. The quarterly compliance report is also submitted to the Risk Committee of the Supervisory Board. An overall assessment of the compliance risk is carried out at least once a year as part of the compliance risk analysis. Reporting also includes statements on unlawful behaviour that contradicts HCOB's Code of Conduct or similar internal regulations.

Regular meetings are held between the head of Compliance and the CRO and all other members of the Management Board. In addition, the Supervisory Board's rules of procedure stipulate that the chairperson of the Risk Committee can request information directly from the compliance officer, the head of Internal Audit and/or the head of Risk Control at any time. If necessary, the Management Board should be informed thereof. The compliance officer, the head of Internal Audit and/or the head of Risk Control may inform the chairperson

directly if they deem it necessary. In addition, there is an ongoing dialogue between Compliance and Internal Audit, with Compliance being both the owner of the Investigation Committee and a member of the Malus Committee.

Whistleblowing procedure

Details on the structure and scope of the whistleblowing procedure can be found in section "S2-1 Policies related to value chain workers".

Investigation committee

HCOB AG has set up an investigation committee to investigate fraud, embezzlement, corruption or other criminal acts that could jeopardise the Bank's assets. The committee is chaired by the Compliance BU head and comprises the heads of Internal Audit, HR and Corporate Legal & Board Affairs. It is convened if there is reasonable suspicion of material criminal offences in order to take appropriate measures. The results of the investigations are generally reported to the Management Board; in the event of a conflict of interest, the results are reported to the Chairman of the Supervisory Board. In addition, anonymised information is provided on an ad hoc basis as part of compliance reporting (to the Management Board and the Risk Committee of the Supervisory Board).

G1-2 Management of relationships with suppliers

Management of relationships with suppliers: Unfair treatment of service providers

HCOB maintains relationships with numerous suppliers and attaches great importance to treating them equally.

Supplier Code

The Supplier Code acts as a guideline for the HCOB Group and contains key requirements on compliance, equal opportunities and social responsibility. Suppliers with the largest volume are evaluated annually, while others in the outsourced value chain are reviewed for relevance. The Code applies to all suppliers and is the responsibility of the Procurement & Vendor Management division. Further information on the Supplier Code can be found in the section "S2 Workers in the value chain".

Purchasing principles

The HCOB purchasing principles are designed to align the Bank's purchasing strategy with its business strategy, in particular to align procurement activities with the HCOB's long-term goals. They serve to ensure transparency and efficiency in the purchasing process and to ensure compliance with standards. The HCOB purchasing principles also ensure equal opportunities in the tendering and awarding process, promote fair competition and avoid conflicts of interest. The scope of application applies without restriction to all HCOB suppliers and is the responsibility of the Procurement & Vendor Management division.

Measures to avoid negative effects

To ensure fair treatment, the Procurement & Vendor Management division has installed various processes and measures.

Supplier onboarding process
Before being commissioned, all suppliers go through the onboarding process, which includes checks against sanctions and embargo lists, credit checks and signing the supplier code of conduct. Suppliers from the region are preferred in order to strengthen local economic cycles and reduce CO_2 emissions by reducing transport routes.

Individually agreed payment practices
The HCOB treats all suppliers uniformly, without distinguishing between small and medium-sized enterprises (SMEs) and others. Payment practices and deadlines are independent of the size of the company, individually agreed and contractually fixed. There are no specific guidelines to avoid late payment.

G1-3 Prevention and detection of corruption and bribery

Concepts on Corruption and bribery

Payment transactions in banking operations harbour risks of corruption, which should be mitigated by an anti-fraud policy with binding rules and procedures for investigating suspected cases.

This primarily includes four guidelines: benefits policy, anti-fraud policy, conflict of interest policy and Know Your Customer (KYC) policy. Responsibility for all four policies lies with the Compliance department; all four policies are relevant for all employees of the Group.

Conflict of interest policy

The conflict of interest policy governs the management of conflicts of interest within the Bank. It defines measures for identifying, avoiding and monitoring business relationships, secondary employment, mandates and compliance-relevant information.

Know Your Customer (KYC) policy

HCOB's Know Your Customer Policy complements the anti-fraud guideline and serves as a central tool in the fight against money laundering and terrorist financing.

Further details on the benefits policy and anti-fraud policy can be found in section "G1-1 Business conduct policies and corporate culture".

Measures to prevent corruption and bribery

HCOB does not tolerate any illegal activities and resolutely sanctions such misconduct. A whistleblowing procedure has been implemented to receive and process reports of violations both internally and externally; for further details, please refer to section "S2-1 Policies related to value chain workers".

Procedures for the prevention and detection of corruption and bribery

HCOB has systems in place to monitor transactions, including the prevention of money laundering and terrorist financing and compliance with financial sanctions and embargo regulations. This also includes "bad guy" and politically exposed person (PEP) screening.

The risk assessment includes country-specific parameters such as the Corruption Perceptions Index (CPI), which rates countries on a scale of 0 (high corruption) to 100 (no corruption) based on perceived corruption in politics and administration. The CPI 2023, compiled by Transparency International, covers 180 countries and is based on data from experts and executives (source CPI | Transparency International Deutschland e.V.).

Employee training on corruption and bribery

In order to prevent corruption and bribery, the Bank has introduced training programmes that raise awareness of ethical conduct and provide guidelines for dealing with risks. Regular training promotes integrity and transparency in daily work. Details of these measures can be found in section "G1-1 Business conduct policies and corporate culture".

Training to prevent corruption and bribery

2025	High-risk functions	BU heads	Bodies	Other own employees	of which Compliance (excluding BU head)
Coverage through training					
Total (number)	496	16	6	458	29
Total number of people to be trained in 2025	326	14	4	307	15
Training method and duration					
Computer-based training	322	13	4	303	15
Duration (hours)	730	27	9	691	34
Frequency	every 3 years	every 3 years	every 3 years	every 3 years	every 3 years
Face-to-face training					
Duration (hours)	224.0	8 (Chief Compliance Officer)	-	291	234
Frequency	individual	individual	individual	individual	individual

Training to prevent corruption and bribery

2024	High-risk functions	BU heads	Bodies	Other own employees	of which Compliance (excluding BU head)
Coverage through training					
Total (number)	403	18	4	615	30
Total number of people to be trained in 2024	403	18	4	615	30
Training method and duration					
Computer-based training					
Duration (hours)	441	15	1	625	52
Frequency	every 3 years	every 3 years	every 3 years	every 3 years	every 3 years
Face-to-face training					
Duration (hours)		14 (Chief Compliance Officer)		12	12
Frequency	individual	individual	individual	individual	individual

Training to prevent corruption and bribery

Topics covered	High-risk functions	BU heads	Bodies	Other own employees	of which Compliance (excluding BU
Definition of corruption	x	x	x	x	x
External/internal fraud	x	x	x	x	x
Typologies	x	x	x	x	x
Duties of care	x	x	x	x	x
Conduct in the event of suspicion and indications	x	x	x	x	x
Embargoes and financial sanctions against terrorism	x	x	x	x	x
Human trafficking	x	x	x	x	x

In accordance with the legal basis, the Bank has defined risky functions as follows:

- Employees in all market areas and in procurement who have a close relationship and contact with customers/ suppliers
- Employees who are directly involved in the evaluation of restructuring cases:
- Employees who are involved in the commissioning of law firms and who participate in official investigations
- Employees who are also at risk due to their general work in accounting, the appointment of auditors, contact with supervisory authorities (possibly tax authorities) and rating agencies
- All managers in all departments from department heads (separate identification in the table above)
- Board of directors (separate identification in the table above)

100% of the employees in high-risk roles and all other Bank employees participate in the training program.

As at 31 December 2025, the following completion rates were achieved: High-risk roles 98 % (previous year: 93 %), department heads 95 % (previous year: 79 %), 100 % (previous year: 33 %), and other in-house employees 98 % (previous year: 97 %). All Bank employees are currently enrolled in the regular refresher training cycle, which is generally required every three years.

Supervisory board members complete training courses as needed, initiated either by the HCOB's Board Affairs unit responsible for supervisory board matters or by the supervisory board members themselves. This is done in compliance with legal and regulatory requirements, in particular the EBA's Fit & Proper Guidelines ("Joint ESMA and EBA Guidelines on the assessment of the suitability of members of the management body and key function holders under Directive 2013/36/EU and Directive 2014/65/EU" (EBA/GL/2021/06; ESMA35-36-2319).

Metrics and targets

G1-4 Incidents of corruption or bribery

HCOB did not record any incidents of corruption or bribery during the reporting year.

Incidents of corruption or bribery

Number	2025	2024
Convictions for violations of anti-corruption and anti-bribery laws	–	–
Fines for violations of anti-corruption and anti-bribery laws	–	–
Measures taken against violations	–	–
Confirmed incidents of corruption and bribery	–	–
Legal proceedings for corruption and bribery initiated against companies and own employees	–	–
Incidents in which own employees were dismissed or disciplined for corruption or bribery	–	–

G1-5 Political influence and lobbying activities

Corporate: HCOB does not exert any direct political influence and does not make donations of money or in-kind donations to political parties or party-affiliated political associations. The Federal Association of German Banks (BdB), of which HCOB is a member, represents the interests of its members in legislative processes. The Bank is also represented in several BdB regional associations through its domestic locations. An overview of current topics and positions can be found on the BdB website.

In addition, HCOB is a member of the Auditing Association of German Banks (PV) and the Association of German Pfandbrief Banks (vdp). In the reporting year, the Bank incurred expenses of around 459 T€ (previous year: 447 T€) for contributions to the associations.

The Bank is also a member of the Hamburg Chamber of Commerce and other chambers of commerce at its German locations in Berlin, Düsseldorf, Frankfurt am Main, Kiel, Munich and Stuttgart. HCOB is also a member of the International Chamber of Commerce (ICC) Germany, which represents the interests of German companies and economic stakeholders at an international level.

HCOB is represented on BdB committees and on the board of a regional association by two Management Board members.

None of the members of the Management Board or Supervisory Board had held a comparable position in public administration in the two years prior to their appointment.

HCOB is registered in the German Transparency Register (EKRN) with the identification number DE959667522496 and thus fulfils the legal requirements of the German Money Laundering Act (GwG). A current extract from the transparency register can be provided on request.

G1-6 Payment practices

Corporate: HCOB does not have fixed standard terms of payment, but offers its service providers and suppliers various payment options.

In order to analyse the payment metrics in a representative manner, and in view of the fact that primarily intercompany settlements take place at the foreign locations, the Bank has only included the invoices of the German locations of the HCOB Group in the calculation. Excluded are expense reports, reimbursements to employees as well as invoices for individual transaction and portfolio-related commissions and fees for asset management. To calculate these key figures, the Bank analysed all invoices with regard to the contractually agreed payment terms and determined the actual payment days weighted by the invoice amount. The date of receipt of the invoice was used as the starting point for determining the number of payment days and the number of overdue payment days.

HCOB's payment behaviour in Germany

	2025	2024
	(%)	(%)
Payment within the contractual payment terms	69 %	53 %
Invoice settlement with payment terms:		
up to 14 days	62 %	77 %
15 to 30 days	87 %	32 %
31 to 60 days	67 %	36 %
	in days	in days
Average payment period	22	24
Average payment period for invoices within the payment period	18	19
Average payment period for invoices outside the payment period	17	31

In 2025, HCOB's payment and invoicing practices improved significantly. The percentage of payments made within the agreed payment terms increased from 53 % to 69 %. At the same time, invoices were settled considerably faster: the average payment period decreased from 24 to 22 days, and for overdue invoices, it even dropped from 31 to 17 days. Furthermore, the percentage of invoices settled within 15 to 30 days increased significantly.

These developments are related to the insourcing of financial accounting back to HCOB, which has led to more stable process control and more efficient processing.

As at the reporting date of 31 December 2025, there were no pending court proceedings due to late payment by HCOB (previous year: none).

Appendix 1

Disclosure requirements and disclosures incorporated in the Sustainability Statement by reference

The following table contains an overview of all disclosure requirements that have arisen in this Sustainability Statement based on the results of the double materiality analysis. Disclosure requirements in accordance with ESRS S3 and ESRS S4 were not listed, as the sustainability aspects contained therein were not classified as relevant for HCOB as part of the double materiality analysis. The reporting requirements listed in the table can be found in the sections of the same name in this Sustainability Statement.

Dimension	Standard	Topic	Location of disclosure requirements in the Sustainability Statement
Corporate	ESRS 2	General disclosures	BP-1, BP-2, GOV-1, GOV-2, GOV-3, GOV-4, GOV-5, SBM-1, SBM-2, SBM-3, IRO-1, IRO-2
	ESRS E1	Climate change	E1-1, ESRS 2 SBM-3, ESRS 2 IRO-1, E1-2, E1-3, E1-4, E1-5, E1-6, E1-7, E1-8, E1-9
	ESRS E3	Water and marine resources	ESRS 2 SBM-3, E3-1, E3-2, E3-3, E3-4
	ESRS E5	Resource use and circular economy	ESRS 2 SBM-3, E5-1, E5-2, E5-3, E5-5
	ESRS S1	Own workforce	ESRS 2 SBM-2, ESRS 2 SBM-3, S1-1, S1-2, S1-3, S1-4, S1-5, S1-6, S1-7, S1-8, S1-9, S1-10, S1-11, S1-12, S1-13, S1-14, S1-15, S1-16, S1-17
	ESRS S2	Workers in the value chain	ESRS 2 SBM-2, ESRS 2 SBM-3, S2-1, S2-2, S2-3, S2-4, S2-5
	ESRS G1	Business conduct	ESRS 2 GOV-1, ESRS 2 SBM-3, G1-1, G1-2, G1-3, G1-4, G1-5, G1-6
Portfolio	ESRS 2	General disclosures	BP-1, BP-2, GOV-1, GOV-2, GOV-3, GOV-4, GOV-5, SBM-1, SBM-2, SBM-3, IRO-1, IRO-2
	ESRS E1	Climate change	E1-1, ESRS 2 SBM-3, ESRS 2 IRO-1, E1-2, E1-3, E1-4, E1-6, E1-8, E1- 9
	ESRS E2	Pollution	ESRS 2 SBM-3, E2-1, E2-2, E2-3
	ESRS E4	Biodiversity and ecosystems	ESRS 2 SBM-3, E4-1, E4-2, E4-3, E4-4, E4-5
	ESRS S2	Workers in the value chain	ESRS 2 SBM-2, ESRS 2 SBM-3, S2-1, S2-2, S2-3, S2-4, S2-5

Appendix 2

Datapoints resulting from other EU legislation

Appendix 2 contains a list of all datapoints resulting from other EU legislation (in accordance with ESRS 2 Appendix B). It also indicates which datapoints are included in the report or categorised as "not material".

Disclosure requirement	Data-point	Contents	SFDR refe-rence	Pillar 3 refe-rence	Bench-mark regulation reference	EU climate law reference	Relevance for HCOB
ESRS 2 GOV-1	21(d)	Board's gender diversity	x		x		Relevant
ESRS 2 GOV-1	21(e)	Percentage of board members who are independent			x		Relevant
ESRS 2 GOV-4	30	Statement on due diligence	x				Relevant
ESRS 2 SBM-1	40(d)i	Involvement in activities related to fossil fuel activities	x	x	x		Not relevant
ESRS 2 SBM-1	40(d)ii	Involvement in activities related to chemical production	x		x		Not relevant
ESRS 2 SBM-1	40(d)iii	Involvement in activities related to controversial weapons	x		x		Not relevant
ESRS 2 SBM-1	40(d)iv	Involvement in activities related to cultivation and production of tobacco			x		Not relevant
ESRS E1-1	14	Transition plan to reach climate neutrality by 2050				x	Relevant
ESRS E1-1	16(g)	Undertakings excluded from Paris-aligned benchmarks		x	x		Relevant
ESRS E1-4	34	GHG emission reduction targets	x	x	x		Relevant
ESRS E1-5	38	Energy consumption from fossil sources disaggregated by sources (only high climate impact sectors)	x				Relevant
ESRS E1-5	37	Energy consumption and mix	x				Relevant
ESRS E1-5	40-43	Energy intensity associated with activities in high climate impact sectors	x				Relevant
ESRS E1-6	44	Gross Scope 1, 2 and 3 and total GHG emissions	x	x	x		Relevant
ESRS E1-6	53-55	Gross GHG emissions intensity	x	x	x		Relevant
ESRS E1-7	56	GHG removals and carbon credits				x	Relevant
ESRS E1-9	66	Exposure of the benchmark portfolio to climate-related physical risks					Relevant
ESRS E1-9	66(a); 66(c)	Disaggregation of monetary amounts by acute and chronic physical risk; location of significant assets at material physical risk		x			Relevant

Disclosure requirement	Data-point	Contents	SFDR refe-rence	Pillar 3 refe-rence	Bench-mark regulation reference	EU climate law reference	Relevance for HCOB
ESRS E1-9	67(c)	Breakdown of the carrying value of its real estate assets by energy-efficiency classes		x			Relevant
ESRS E1-9	69	Degree of exposure of the portfolio to climate-related opportunities			x		Not relevant
ESRS E2-4	28	Amount of each pollutant listed in Annex II of the E-PRTR Regulation (European Pollutant Release and Transfer Register) emitted to air, water and soil	x				Not material
ESRS E3-1	9	Water and marine resources	x				Relevant
ESRS E3-1	13	Dedicated policy	x				Relevant
ESRS E3-1	14	Sustainable oceans and seas	x				Relevant
ESRS E3-4	28(c)	Total water recycled and reused	x				Relevant
ESRS E3-4	29	Total water consumption in m^3 per net revenue on own operations	x				Relevant
ESRS 2 SBM-3 E4	16(a)	Disclosure of activities that have a negative impact on biodiversity	x				Not material
ESRS 2 SBM-3 E4	16(b)	Significant negative impacts in terms of land degradation, desertification or soil sealing	x				Not material
ESRS 2 SBM-3 E4	16(c)	impact of own activities on endangered species	x				Not material
ESRS E4-2	24(b)	Sustainable land / agriculture practices or policies	x				Relevant
ESRS E4-2	24(c)	Sustainable oceans / seas practices or policies	x				Relevant
ESRS E4-2	24(d)	Policies to address deforestation	x				Relevant
ESRS E5-5	37(d)	Non-recycled waste	x				Relevant
ESRS E5-5	39	Hazardous waste and radioactive waste	x				Relevant
ESRS 2 SBM-3 S1	14(f)	Risk of incidents of forced labour	x				Relevant
ESRS 2 SBM-3 S1	14(g)	Risk of incidents of child labour	x				Relevant
ESRS S1-1	20	Human rights policy commitments	x				Relevant
ESRS S1-1	21	Due diligence policies on issues addressed by the fundamental International Labour Organization Conventions 1 to 8			x		Relevant

Disclosure requirement	Data-point	Contents	SFDR refe-rence	Pillar 3 refe-rence	Bench-mark regulation reference	EU climate law reference	Relevance for HCOB
ESRS S1-1	22	Processes and measures for preventing trafficking in human beings	x				Relevant
ESRS S1-1	23	Workplace accident prevention policy or management system	x				Relevant
ESRS S1-3	32(c)	Grievance/complaints handling mechanisms	x				Relevant
ESRS S1-14	88(b) and (c)	Number of fatalities and number and rate of work-related accidents	x		x		Relevant
ESRS S1-14	88(e)	Number of days lost to injuries, accidents, fatalities or illness	x				Relevant
ESRS S1-16	97(a)	Unadjusted gender pay gap	x		x		Relevant
ESRS S1-16	97(b)	Excessive CEO pay ratio	x				Relevant
ESRS S1-17	103(a)	Incidents of discrimination	x				Relevant
ESRS S1-17	104(a)	Non-respect of UNGPs on Business and Human Rights and OECD Guidelines	x		x		Relevant
ESRS 2 SBM-3 S2	11(b)	Significant risk of child labour or forced labour in the value chain	x				Not material
ESRS S2-1	17	Human rights policy commitments	x				Relevant
ESRS S2-1	18	Policies related to value chain workers	x				Relevant
ESRS S2-1	19	Non-respect of UNGPs on Business and Human Rights and OECD Guidelines	x		x		Relevant
ESRS S2-1	19	Due diligence policies on issues addressed by the fundamental International Labour Organization Conventions 1 to 8			x		Relevant
ESRS S2-4	36	Human rights issues and incidents connected to its upstream and downstream value chain	x				Relevant
ESRS S3-1	16	Human rights policy commitments	x				Not material
ESRS S3-1	17	Non-respect of UNGPs on Business and Human Rights, ILO principles or OECD Guidelines	x		x		Not material
ESRS S3-4	36	Human rights issues and incidents	x				Not material
ESRS S4-1	16	Policies related to consumers and end-users	x				Not material

Disclosure requirement	Data-point	Contents	SFDR refe-rence	Pillar 3 refe-rence	Bench-mark regulation reference	EU climate law reference	Relevance for HCOB
ESRS S4-1	17	Non-respect of UNGPs on Business and Human Rights and OECD Guidelines	x		x		Not material
ESRS S4-4	35	Human rights issues and incidents	x				Not material
ESRS G1-1	10(b)	United Nations Convention against Corruption	x				Relevant
ESRS G1-1	10(d)	Protection of whistleblowers	x				Relevant
ESRS G1-1	24(a)	Fines for violation of anti-corruption and anti-bribery laws	x		x		Relevant
ESRS G1-1	24(b)	Standards of anti-corruption and anti-bribery	x				Relevant

Appendix 3

Information according to Article 8 of Regulation (EU) 2020/852 (Taxonomy Regulation)

1. Assets for the calculation of GAR – based on the Turnover KPI (1/8)		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p	q	r
	€ m	2025																	
		Total [gross] carrying amount	**Climate change mitigation (CCM)**					**Climate change adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
			of which towards taxonomy-relevant sectors (taxonomy-eligible)					of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)			
				of which environmentally sustainable (taxonomy-aligned)					of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)		
					of which use of proceeds	of which transitio-nal	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
	GAR – Covered assets in both numerator and denominator																		
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	4,030.18	1,345.22	126.20	59.52	2.87	4.40	1.05	0.08	0.00	0.00	0.09	0.02	0.00	0.00	23.60	0.04	0.00	0.00
2	**Financial undertakings**	2,074.11	678.84	64.86	0.00	2.87	2.57	1.05	0.08	0.00	0.00	0.09	0.02	0.00	0.00	1.36	0.04	0.00	0.00
3	Credit institutions	2,027.18	650.38	61.74	0.00	2.60	2.57	1.05	0.08	0.00	0.00	0.09	0.02	0.00	0.00	1.36	0.04	0.00	0.00
4	Loans and advances	41.64	7.79	0.36	0.00	0.02	0.04	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.05	0.00	0.00	0.00
5	Debt securities, including UoP	1,975.54	638.06	60.82	0.00	2.58	2.53	1.04	0.08	0.00	0.00	0.09	0.02	0.00	0.00	1.30	0.04	0.00	0.00
6	Equity instruments	9.99	4.53	0.56		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
7	Other financial corporations	46.93	28.47	3.12	0.00	0.27	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
8	of which investment firms	46.93	28.47	3.12	0.00	0.27	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
9	Loans and advances	33.57	21.68	2.38	0.00	0.13	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
10	Debt securities, including UoP	7.94	4.07	0.41	0.00	0.13	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
11	Equity instruments	5.42	2.71	0.33		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
12	of which management companies	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
13	Loans and advances	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
14	Debt securities, including UoP	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
15	Equity instruments	0.00	0.00	0.00		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
16	of which insurance undertakings	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
17	Loans and advances	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
18	Debt securities, including UoP	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
19	Equity instruments	0.00	0.00	0.00		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
20	**Non-financial undertakings**	850.24	662.22	61.35	59.52	0.00	1.83	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	22.24	0.00	0.00	0.00
21	Loans and advances	780.81	662.22	61.35	59.52	0.00	1.83	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	22.24	0.00	0.00	0.00
22	Debt securities, including UoP	69.43	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
23	Equity instruments	0.00	0.00	0.00		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
24	**Households**	49.72	4.16	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00					0.00	0.00	0.00	0.00
25	of which loans collateralised by residential immovable property	4.16	4.16	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00					0.00	0.00	0.00	0.00
26	of which building renovation loans	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00					0.00	0.00	0.00	0.00
27	of which motor vehicle loans	0.00	0.00	0.00	0.00	0.00	0.00												
28	**Local governments financing**	1,056.11	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
29	Housing financing	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
30	Other local government financing	1,056.11	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
31	**Collateral obtained by taking possession: residential and commercial immovable properties**	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

1. Assets for the calculation of GAR – based on the Turnover KPI (2/8)		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p	q	r
		2025																	
			Climate change mitigation (CCM)					**Climate change adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
			of which towards taxonomy-relevant sectors (taxonomy-eligible)					of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)			
				of which environmentally sustainable (taxonomy-aligned)					of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)		
	€ m	Total [gross] carrying amount			of which use of proceeds	of which transitio-nal	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
continued																			
32	**Assets excluded from the numerator for GAR calculation (covered in the denominator)**																		
33	**Financial and non-financial undertakings**	19,820.96																	
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations	12,599.24																	
35	Loans and advances	10,188.21																	
36	of which loans collateralised by commercial immovable property	3,778.62																	
37	of which building renovation loans	0.00																	
38	Debt securities	1,439.05																	
39	Equity instruments	971.98																	
40	Non-EU country counterparties not subject to NFRD disclosure obligations	7,221.72																	
41	Loans and advances	4,602.73																	
42	Debt securities	2,613.54																	
43	Equity instruments	5.46																	
44	**Derivatives**	0.00																	
45	**On demand interbank loans**	362.96																	
46	**Cash and cash-related assets**	0.00																	
47	**Other categories of assets (e.g. goodwill, commodities etc.)**	859.72																	
48	**Total GAR assets**	**25,073.83**																	
49	**Assets not covered for GAR calculation**	3,752.95																	
50	**Central governments and supranational issuers**	1,147.22																	
51	**Central banks exposure**	2,454.68																	
52	**Trading book**	151.05																	
53	**Total assets**	28,826.77																	
Off-balance sheet exposures - undertakings subject to NFRD disclosure obligations																			
54	Financial guarantees	789.83																	
55	Assets under management	0.00																	
56	of which debt securities	0.00																	
57	of which equity instruments	0.00																	

1. Assets for the calculation of GAR – based on the Turnover KPI (3/8)		continued	s	t	u	v	w	x	z	aa	ab	ac	ad	ae	af
€ m			2025												
			Pollution (PPC)				**Biodiversity and ecosystems (BIO)**				**Total (CCM + CCA + WTR + CE + PPC + BIO)**				
			of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				
				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
					of which use of proceeds	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which transitio-nal	of which enabling
	GAR – Covered assets in both numerator and denominator														
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation		40.61	0.00	0.00	0.00	0.20	0.00	0.00	0.00	1,410.75	126.33	59.52	2.87	4.40
2	**Financial undertakings**		0.37	0.00	0.00	0.00	0.20	0.00	0.00	0.00	681.89	64.99	0.00	2.87	2.57
3	Credit institutions		0.37	0.00	0.00	0.00	0.20	0.00	0.00	0.00	653.43	61.87	0.00	2.60	2.57
4	Loans and advances		0.03	0.00	0.00	0.00	0.00	0.00	0.00	0.00	7.88	0.36	0.00	0.02	0.04
5	Debt securities, including UoP		0.33	0.00	0.00	0.00	0.19	0.00	0.00	0.00	641.01	60.96	0.00	2.58	2.53
6	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	4.53	0.56		0.00	0.00
7	Other financial corporations		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	28.47	3.12	0.00	0.27	0.00
8	of which investment firms		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	28.47	3.12	0.00	0.27	0.00
9	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	21.68	2.38	0.00	0.13	0.00
10	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	4.08	0.41	0.00	0.13	0.00
11	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	2.71	0.33		0.00	0.00
12	of which management companies		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
13	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
14	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
15	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00
16	of which insurance undertakings		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
17	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
18	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
19	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00
20	**Non-financial undertakings**		40.24	0.00	0.00	0.00	0.00	0.00	0.00	0.00	724.70	61.35	59.52	0.00	1.83
21	Loans and advances		6.60	0.00	0.00	0.00	0.00	0.00	0.00	0.00	691.06	61.35	59.52	0.00	1.83
22	Debt securities, including UoP		33.64	0.00	0.00	0.00	0.00	0.00	0.00	0.00	33.64	0.00	0.00	0.00	0.00
23	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00
24	**Households**										4.16	0.00	0.00	0.00	0.00
25	of which loans collateralised by residential immovable property										4.16	0.00	0.00	0.00	0.00
26	of which building renovation loans										0.00	0.00	0.00	0.00	0.00
27	of which motor vehicle loans										0.00	0.00	0.00	0.00	0.00
28	**Local governments financing**		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
29	Housing financing		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
30	Other local government financing		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
31	**Collateral obtained by taking possession: residential and commercial immovable properties**		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

1. Assets for the calculation of GAR – based on the Turnover KPI (4/8)		continued	s	t	u	v	w	x	z	aa	ab	ac	ad	ae	af
€ m			2025												
			Pollution (PPC)				**Biodiversity and ecosystems (BIO)**				**Total (CCM + CCA + WTR + CE + PPC + BIO)**				
			of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				
				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
					of which use of proceeds	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which transitio-nal	of which enabling
continued															
32	**Assets excluded from the numerator for GAR calculation (covered in the denominator)**														
33	**Financial and non-financial undertakings**														
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations														
35	Loans and advances														
36	of which loans collateralised by commercial immovable property														
37	of which building renovation loans														
38	Debt securities														
39	Equity instruments														
40	Non-EU country counterparties not subject to NFRD disclosure obligations														
41	Loans and advances														
42	Debt securities														
43	Equity instruments														
44	**Derivatives**														
45	**On demand interbank loans**														
46	**Cash and cash-related assets**														
47	**Other categories of assets (e.g. goodwill, commodities etc.)**														
48	**Total GAR assets**														
49	**Assets not covered for GAR calculation**														
50	**Central governments and supranational issuers**														
51	**Central banks exposure**														
52	**Trading book**														
53	**Total assets**														
Off-balance sheet exposures – undertakings subject to NFRD disclosure obligations															
54	Financial guarantees														
55	Assets under management														
56	of which debt securities														
57	of which equity instruments														

1. Assets for the calculation of GAR – based on the Turnover KPI (5/8)		ag	ah	ai	aj	ak	al	am	an	ao	ap	aq	ar	as	at	au	av	aw	ax
	€ m		2024																
		Total [gross] carrying amount	**Climate change mitigation (CCM)**					**Climate change adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
			of which towards taxonomy-relevant sectors (taxonomy-eligible)					of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)			
				of which environmentally sustainable (taxonomy-aligned)					of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)		
					of which use of proceeds	of which transitio-nal	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
	GAR – Covered assets in both numerator and denominator																		
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	4,598.17	1,894.05	172.16	90.08	7.31	3.95	0.50	0.09	0.00	0.03	0.00	0.00	0.00	0.00	6.75	0.00	0.00	0.00
2	**Financial undertakings**	2,738.82	985.98	73.80	0.00	7.31	2.00	0.50	0.09	0.00	0.03	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
3	Credit institutions	2,651.53	947.91	70.48	0.00	7.05	1.95	0.50	0.09	0.00	0.03	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
4	Loans and advances	4.89	0.33	0.01	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
5	Debt securities, including UoP	2,607.81	934.04	68.91	0.00	6.65	1.92	0.49	0.09	0.00	0.03	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
6	Equity instruments	38.83	13.54	1.56		0.41	0.03	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
7	Other financial corporations	87.30	38.07	3.32	0.00	0.25	0.04	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
8	of which investment firms	87.30	38.07	3.32	0.00	0.25	0.04	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
9	Loans and advances	67.82	30.89	2.88	0.00	0.16	0.04	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
10	Debt securities, including UoP	14.21	5.20	0.38	0.00	0.09	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
11	Equity instruments	5.26	1.98	0.06		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
12	of which management companies	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
13	Loans and advances	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
14	Debt securities, including UoP	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
15	Equity instruments	0.00	0.00	0.00		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
16	of which insurance undertakings	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
17	Loans and advances	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
18	Debt securities, including UoP	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
19	Equity instruments	0.00	0.00	0.00		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
20	**Non-financial undertakings**	1,146.52	901.71	98.36	90.08	0.00	1.95	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	6.75	0.00	0.00	0.00
21	Loans and advances	1,070.08	894.58	91.25	90.08	0.00	1.17	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	6.75	0.00	0.00	0.00
22	Debt securities, including UoP	76.44	7.13	7.12	0.00	0.00	0.79	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
23	Equity instruments	0.00	0.00	0.00		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
24	**Households**	96.84	6.35	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00					0.00	0.00	0.00	0.00
25	of which loans collateralised by residential immovable property	6.35	6.35	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00					0.00	0.00	0.00	0.00
26	of which building renovation loans	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00					0.00	0.00	0.00	0.00
27	of which motor vehicle loans	0.00	0.00	0.00	0.00	0.00	0.00												
28	**Local governments financing**	615.99	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
29	Housing financing	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
30	Other local government financing	615.99	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
31	**Collateral obtained by taking possession: residential and commercial immovable properties**	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

1. Assets for the calculation of GAR – based on the Turnover KPI (6/8)		ag	ah	ai	aj	ak	al	am	an	ao	ap	aq	ar	as	at	au	av	aw	ax
€ m		Total [gross] carrying amount	2024																
			Climate change mitigation (CCM)					**Climate change adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
			of which towards taxonomy-relevant sectors (taxonomy-eligible)					of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)			
				of which environmentally sustainable (taxonomy-aligned)					of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)		
					of which use of proceeds	of which transitio-nal	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
continued																			
32	**Assets excluded from the numerator for GAR calculation (covered in the denominator)**																		
33	**Financial and non-financial undertakings**																		
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations																		
35	Loans and advances																		
36	of which loans collateralised by commercial immovable property																		
37	of which building renovation loans																		
38	Debt securities																		
39	Equity instruments																		
40	Non-EU country counterparties not subject to NFRD disclosure obligations																		
41	Loans and advances																		
42	Debt securities																		
43	Equity instruments																		
44	**Derivatives**																		
45	**On demand interbank loans**																		
46	**Cash and cash-related assets**																		
47	**Other categories of assets (e.g. goodwill, commodities etc.)**																		
48	**Total GAR assets**																		
49	**Assets not covered for GAR calculation**																		
50	**Central governments and supranational issuers**																		
51	**Central banks exposure**																		
52	**Trading book**																		
53	**Total assets**																		
Off-balance sheet exposures - undertakings subject to NFRD disclosure obligations																			
54	Financial guarantees																		
55	Assets under management																		
56	of which debt securities																		
57	of which equity instruments																		

1. Assets for the calculation of GAR – based on the Turnover KPI (7/8)		continued	ay	az	ba	bb	bc	bd	be	bf	bg	bh	bi	bj	bk
€ m			2024												
			Pollution (PPC)				**Biodiversity and ecosystems (BIO)**				**Total (CCM + CCA + WTR + CE + PPC + BIO)**				
			of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				
				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
					of which use of proceeds	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which transitio-nal	of which enabling
	GAR – Covered assets in both numerator and denominator														
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation		49.16	0.00	0.00	0.00	3.26	0.00	0.00	0.00	1,953.71	172.25	90.08	7.31	3.98
2	**Financial undertakings**		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	986.48	73.89	0.00	7.31	2.03
3	Credit institutions		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	948.41	70.57	0.00	7.05	1.98
4	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.33	0.01	0.00	0.00	0.00
5	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	934.53	68.99	0.00	6.65	1.95
6	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	13.55	1.56		0.41	0.03
7	Other financial corporations		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	38.07	3.32	0.00	0.25	0.04
8	of which investment firms		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	38.07	3.32	0.00	0.25	0.04
9	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	30.89	2.88	0.00	0.16	0.04
10	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	5.20	0.38	0.00	0.09	0.00
11	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	1.98	0.06		0.00	0.00
12	of which management companies		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
13	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
14	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
15	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00
16	of which insurance undertakings		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
17	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
18	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
19	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00
20	**Non-financial undertakings**		49.16	0.00	0.00	0.00	3.26	0.00	0.00	0.00	960.88	98.36	90.08	0.00	1.95
21	Loans and advances		4.86	0.00	0.00	0.00	3.26	0.00	0.00	0.00	909.45	91.25	90.08	0.00	1.17
22	Debt securities, including UoP		44.30	0.00	0.00	0.00	0.00	0.00	0.00	0.00	51.43	7.12	0.00	0.00	0.79
23	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00
24	**Households**										6.35	0.00	0.00	0.00	0.00
25	of which loans collateralised by residential immovable property										6.35	0.00	0.00	0.00	0.00
26	of which building renovation loans										0.00	0.00	0.00	0.00	0.00
27	of which motor vehicle loans										0.00	0.00	0.00	0.00	0.00
28	**Local governments financing**		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
29	Housing financing		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
30	Other local government financing		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
31	**Collateral obtained by taking possession: residential and commercial immovable properties**		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

1. Assets for the calculation of GAR – based on the Turnover KPI (8/8)		continued	ay	az	ba	bb	bc	bd	be	bf	bg	bh	bi	bj	bk
€ m			2024												
			Pollution (PPC)				**Biodiversity and ecosystems (BIO)**				**Total (CCM + CCA + WTR + CE + PPC + BIO)**				
			of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				
				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
					of which use of proceeds	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which transitio-nal	of which enabling
continued															
32	**Assets excluded from the numerator for GAR calculation (covered in the denominator)**														
33	**Financial and non-financial undertakings**														
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations														
35	Loans and advances														
36	of which loans collateralised by commercial immovable property														
37	of which building renovation loans														
38	Debt securities														
39	Equity instruments														
40	Non-EU country counterparties not subject to NFRD disclosure obligations														
41	Loans and advances														
42	Debt securities														
43	Equity instruments														
44	**Derivatives**														
45	**On demand interbank loans**														
46	**Cash and cash-related assets**														
47	**Other categories of assets (e.g. goodwill, commodities etc.)**														
48	**Total GAR assets**														
49	**Assets not covered for GAR calculation**														
50	**Central governments and supranational issuers**														
51	**Central banks exposure**														
52	**Trading book**														
53	**Total assets**														
Off-balance sheet exposures – undertakings subject to NFRD disclosure obligations															
54	Financial guarantees														
55	Assets under management														
56	of which debt securities														
57	of which equity instruments														

Notes:

1. This template shall include information for loans and advances, debt securities and equity instruments in the banking book, towards financial corporates, non-financial corporates (NFC), including SMEs, households (including residential real estate, house renovation loans and motor vehicle loans only) and local governments/municipalities (house financing).
2. The following accounting categories of financial assets should be considered: Financial assets at amortised cost, financial assets at fair value through other comprehensive income, investments in subsidiaries, joint ventures and associates, financial assets designated at fair value through profit or loss and non-trading financial assets mandatorily at fair value through profit or loss, and real estate collaterals obtained by credit institutions by taking possession in exchange in of cancellation of debts.
3. Banks with non-EU subsidiary should provide this information separately for exposures towards non-EU counterparties. For non-EU exposures, while there are additional challenges in terms of absence of common disclosure requirements and methodology, as the EU taxonomy and the NFRD apply only at EU level, given the relevance of these exposures for those credit institutions with non-EU subsidiaries, these institutions should disclose a separate GAR for non-EU exposures, on a best effort basis, in the form of estimates and ranges, using proxies, and explaining the assumptions, caveats and limitations.
4. For motor vehicle loans, institutions shall only include those exposures generated after the date of application of the disclosure.

1. Assets for the calculation of GAR – CapEx-based (1/8)		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p	q	r
			2025																
			Climate Change Mitigation (CCM)					**Climate Change Adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
			Of which towards taxonomy relevant sectors (Taxonomy-eligible)					Of which towards taxonomy relevant sectors (Taxonomy-eligible)				Of which towards taxonomy relevant sectors (Taxonomy-eligible)				Of which towards taxonomy relevant sectors (Taxonomy-eligible)			
				Of which environmentally sustainable (Taxonomy-aligned)					Of which environmentally sustainable (Taxonomy-aligned)				Of which environmentally sustainable (Taxonomy-aligned)				Of which environmentally sustainable (Taxonomy-aligned)		
	€ m	Total [gross] carrying amount			Of which Use of Proceeds	Of which transitio-nal	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling
	GAR – Covered assets in both numerator and denominator																		
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	4,030.18	1,353.34	131.00	59.52	4.62	6.65	2.65	0.13	0.00	0.02	0.13	0.04	0.00	0.00	4.48	0.09	0.00	0.00
2	**Financial undertakings**	2,074.11	674.90	69.25	0.00	4.62	4.42	2.65	0.13	0.00	0.02	0.12	0.04	0.00	0.00	0.87	0.02	0.00	0.00
3	Credit institutions	2,027.18	646.48	66.14	0.00	4.35	4.42	2.65	0.13	0.00	0.02	0.12	0.04	0.00	0.00	0.87	0.02	0.00	0.00
4	Loans and advances	41.64	7.86	0.41	0.00	0.02	0.10	0.02	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
5	Debt securities, including UoP	1,975.54	634.09	65.16	0.00	4.33	4.31	2.62	0.13	0.00	0.02	0.12	0.04	0.00	0.00	0.87	0.02	0.00	0.00
6	Equity instruments	9.99	4.53	0.57		0.00	0.01	0.01	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
7	Other financial corporations	46.93	28.42	3.11	0.00	0.27	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
8	of which investment firms	46.93	28.42	3.11	0.00	0.27	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
9	Loans and advances	33.57	21.68	2.38	0.00	0.13	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
10	Debt securities, including UoP	7.94	4.05	0.40	0.00	0.13	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
11	Equity instruments	5.42	2.69	0.32		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
12	of which management companies	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
13	Loans and advances	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
14	Debt securities, including UoP	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
15	Equity instruments	0.00	0.00	0.00		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
16	of which insurance undertakings	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
17	Loans and advances	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
18	Debt securities, including UoP	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
19	Equity instruments	0.00	0.00	0.00		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
20	**Non-financial undertakings**	850.24	674.28	61.76	59.52	0.00	2.24	0.00	0.00	0.00	0.00	0.01	0.00	0.00	0.00	3.60	0.07	0.00	0.00
21	Loans and advances	780.81	672.99	61.76	59.52	0.00	2.24	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	3.60	0.07	0.00	0.00
22	Debt securities, including UoP	69.43	1.30	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.01	0.00	0.00	0.00	0.00	0.00	0.00	0.00
23	Equity instruments	0.00	0.00	0.00		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
24	**Households**	49.72	4.16	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00					0.00	0.00	0.00	0.00
25	of which loans collateralised by residential immovable property	4.16	4.16	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00					0.00	0.00	0.00	0.00
26	of which building renovation loans	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00					0.00	0.00	0.00	0.00
27	of which motor vehicle loans	0.00	0.00	0.00	0.00	0.00	0.00												
28	**Local governments financing**	1,056.11	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
29	Housing financing	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
30	Other local government financing	1,056.11	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
31	**Collateral obtained by taking possession: residential and commercial immovable properties**	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

1. Assets for the calculation of GAR - CapEx-based (2/8)		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p	q	r
			2025																
			Climate Change Mitigation (CCM)					**Climate Change Adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
			Of which towards taxonomy relevant sectors (Taxonomy-eligible)					Of which towards taxonomy relevant sectors (Taxonomy-eligible)				Of which towards taxonomy relevant sectors (Taxonomy-eligible)				Of which towards taxonomy relevant sectors (Taxonomy-eligible)			
				Of which environmentally sustainable (Taxonomy-aligned)					Of which environmentally sustainable (Taxonomy-aligned)				Of which environmentally sustainable (Taxonomy-aligned)				Of which environmentally sustainable (Taxonomy-aligned)		
	€ m	Total [gross] carrying amount			Of which Use of Proceeds	Of which transitio-nal	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling
continued																			
32	**Assets excluded from the numerator for GAR calculation (covered in the denominator)**																		
33	**Financial and Non-financial undertakings**	19,820.96																	
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations	12,599.24																	
35	Loans and advances	10,188.21																	
36	of which loans collateralised by commercial immovable property	3,778.62																	
37	of which building renovation loans	0.00																	
38	Debt securities	1,439.05																	
39	Equity instruments	971.98																	
40	Non-EU country counterparties not subject to NFRD disclosure obligations	7,221.72																	
41	Loans and advances	4,602.73																	
42	Debt securities	2,613.54																	
43	Equity instruments	5.46																	
44	**Derivatives**	0.00																	
45	**On demand interbank loans**	362.96																	
46	**Cash and cash-related assets**	0.00																	
47	**Other categories of assets (e.g. Goodwill, commodities etc.)**	859.72																	
48	**Total GAR assets**	**25,073.83**																	
49	**Assets not covered for GAR calculation**	3,752.95																	
50	**Central governments and Supranational issuers**	1,147.22																	
51	**Central banks exposure**	2,454.68																	
52	**Trading book**	151.05																	
53	**Total assets**	28,826.77																	
Off-balance sheet exposures - Undertakings subject to NFRD disclosure obligations																			
54	Financial guarantees	789.83																	
55	Assets under management	0.00																	
56	Of which debt securities	0.00																	
57	Of which equity instruments	0.00																	

1. Assets for the calculation of GAR – CapEx-based (3/8)		continued	s	t	u	v	w	x	z	aa	ab	ac	ad	ae	af
			2025												
			Pollution (PPC)				**Biodiversity and ecosystems (BIO)**				**Total (CCM + CCA + WTR + CE + PPC + BIO)**				
			of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				
	€ m			of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
					of which use of proceeds	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which transitio-nal	of which enabling
	GAR – Covered assets in both numerator and denominator														
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation		3.66	0.00	0.00	0.00	0.09	0.03	0.00	0.00	1,364.34	131.30	59.52	4.62	6.67
2	**Financial undertakings**		0.18	0.00	0.00	0.00	0.09	0.03	0.00	0.00	678.81	69.47	0.00	4.62	4.43
3	Credit institutions		0.18	0.00	0.00	0.00	0.09	0.03	0.00	0.00	650.38	66.36	0.00	4.35	4.43
4	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	7.89	0.41	0.00	0.02	0.10
5	Debt securities, including UoP		0.17	0.00	0.00	0.00	0.09	0.03	0.00	0.00	637.96	65.38	0.00	4.33	4.33
6	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	4.54	0.57		0.00	0.01
7	Other financial corporations		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	28.42	3.11	0.00	0.27	0.00
8	of which investment firms		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	28.42	3.11	0.00	0.27	0.00
9	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	21.68	2.38	0.00	0.13	0.00
10	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	4.05	0.40	0.00	0.13	0.00
11	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	2.69	0.32		0.00	0.00
12	of which management companies		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
13	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
14	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
15	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00
16	of which insurance undertakings		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
17	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
18	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
19	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00
20	**Non-financial undertakings**		3.48	0.00	0.00	0.00	0.00	0.00	0.00	0.00	681.38	61.83	59.52	0.00	2.24
21	Loans and advances		3.48	0.00	0.00	0.00	0.00	0.00	0.00	0.00	680.07	61.83	59.52	0.00	2.24
22	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	1.31	0.00	0.00	0.00	0.00
23	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00
24	**Households**										4.16	0.00	0.00	0.00	0.00
25	of which loans collateralised by residential immovable property										4.16	0.00	0.00	0.00	0.00
26	of which building renovation loans										0.00	0.00	0.00	0.00	0.00
27	of which motor vehicle loans										0.00	0.00	0.00	0.00	0.00
28	**Local governments financing**		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
29	Housing financing		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
30	Other local government financing		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
31	**Collateral obtained by taking possession: residential and commercial immovable properties**		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

1. Assets for the calculation of GAR - CapEx-based (4/8)		continued	s	t	u	v	w	x	z	aa	ab	ac	ad	ae	af
€ m			2025												
			Pollution (PPC)				**Biodiversity and Ecosystems (BIO)**				**TOTAL (CCM + CCA + WTR + CE + PPC + BIO)**				
			Of which towards taxonomy relevant sectors (Taxonomy-eligible)				Of which towards taxonomy relevant sectors (Taxonomy-eligible)				Of which towards taxonomy relevant sectors (Taxonomy-eligible)				
				Of which environmentally sustainable (Taxonomy-aligned)				Of which environmentally sustainable (Taxonomy-aligned)				Of which environmentally sustainable (Taxonomy-aligned)			
					Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which transitional	Of which enabling
continued															
32	**Assets excluded from the numerator for GAR calculation (covered in the denominator)**														
33	**Financial and Non-financial undertakings**														
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations														
35	Loans and advances														
36	of which loans collateralised by commercial immovable property														
37	of which building renovation loans														
38	Debt securities														
39	Equity instruments														
40	Non-EU country counterparties not subject to NFRD disclosure obligations														
41	Loans and advances														
42	Debt securities														
43	Equity instruments														
44	**Derivatives**														
45	**On demand interbank loans**														
46	**Cash and cash-related assets**														
47	**Other categories of assets (e.g. Goodwill, commodities etc.)**														
48	**Total GAR assets**														
49	**Assets not covered for GAR calculation**														
50	**Central governments and Supranational issuers**														
51	**Central banks exposure**														
52	**Trading book**														
53	**Total assets**														
Off-balance sheet exposures - Undertakings subject to NFRD disclosure obligations															
54	Financial guarantees														
55	Assets under management														
56	Of which debt securities														
57	Of which equity instruments														

1. Assets for the calculation of GAR – CapEx-based (5/8)		ag	ah	ai	aj	ak	al	am	an	ao	ap	aq	ar	as	at	au	av	aw	ax
	€ m	2024																	
		Total [gross] carrying amount	**Climate change mitigation (CCM)**					**Climate change adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
			of which towards taxonomy-relevant sectors (taxonomy-eligible)					of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)			
				of which environmentally sustainable (taxonomy-aligned)					of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)		
					of which use of proceeds	of which transitio-nal	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which enabling
	GAR – Covered assets in both numerator and denominator																		
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	4,598.17	1,865.60	172.24	90.08	7.69	5.44	0.71	0.21	0.00	0.01	0.00	0.00	0.00	0.00	1.17	0.00	0.00	0.00
2	**Financial undertakings**	2,738.82	949.43	74.89	0.00	7.68	3.36	0.71	0.21	0.00	0.01	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
3	Credit institutions	2,651.53	911.38	71.50	0.00	7.41	3.28	0.71	0.21	0.00	0.01	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
4	Loans and advances	4.89	0.35	0.02	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
5	Debt securities, including UoP	2,607.81	897.45	69.86	0.00	7.00	3.23	0.71	0.20	0.00	0.01	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
6	Equity instruments	38.83	13.58	1.61		0.42	0.05	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
7	Other financial corporations	87.30	38.06	3.40	0.00	0.26	0.08	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
8	of which investment firms	87.30	38.06	3.40	0.00	0.26	0.08	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
9	Loans and advances	67.82	30.89	2.95	0.00	0.18	0.07	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
10	Debt securities, including UoP	14.21	5.19	0.38	0.00	0.09	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
11	Equity instruments	5.26	1.97	0.06		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
12	of which management companies	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
13	Loans and advances	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
14	Debt securities, including UoP	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
15	Equity instruments	0.00	0.00	0.00		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
16	of which insurance undertakings	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
17	Loans and advances	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
18	Debt securities, including UoP	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
19	Equity instruments	0.00	0.00	0.00		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
20	**Non-financial undertakings**	1,146.52	916.16	97.34	90.08	0.01	2.08	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	1.17	0.00	0.00	0.00
21	Loans and advances	1,070.08	905.50	90.59	90.08	0.01	0.50	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	1.17	0.00	0.00	0.00
22	Debt securities, including UoP	76.44	10.66	6.76	0.00	0.00	1.58	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
23	Equity instruments	0.00	0.00	0.00		0.00	0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00
24	**Households**	96.84	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00					0.00	0.00	0.00	0.00
25	of which loans collateralised by residential immovable property	6.35	6.35	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00					0.00	0.00	0.00	0.00
26	of which building renovation loans	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00					0.00	0.00	0.00	0.00
27	of which motor vehicle loans	0.00	0.00	0.00	0.00	0.00	0.00												
28	**Local governments financing**	615.99	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
29	Housing financing	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
30	Other local government financing	615.99	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
31	**Collateral obtained by taking possession: residential and commercial immovable properties**	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

1. Assets for the calculation of GAR - CapEx-based (6/8)		ag	ah	ai	aj	ak	al	am	an	ao	ap	aq	ar	as	at	au	av	aw	ax
		2024																	
			Climate Change Mitigation (CCM)					**Climate Change Adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
			Of which towards taxonomy relevant sectors (Taxonomy-eligible)					Of which towards taxonomy relevant sectors (Taxonomy-eligible)				Of which towards taxonomy relevant sectors (Taxonomy-eligible)				Of which towards taxonomy relevant sectors (Taxonomy-eligible)			
				Of which environmentally sustainable (Taxonomy-aligned)					Of which environmentally sustainable (Taxonomy-aligned)				Of which environmentally sustainable (Taxonomy-aligned)				Of which environmentally sustainable (Taxonomy-aligned)		
	€ m	Total [gross] carrying amount			Of which Use of Proceeds	Of which transitional	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling
	continued																		
32	**Assets excluded from the numerator for GAR calculation (covered in the denominator)**																		
33	**Financial and Non-financial undertakings**																		
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations																		
35	Loans and advances																		
36	of which loans collateralised by commercial																		
37	of which building renovation loans																		
38	Debt securities																		
39	Equity instruments																		
40	Non-EU country counterparties not subject to NFRD disclosure obligations																		
41	Loans and advances																		
42	Debt securities																		
43	Equity instruments																		
44	**Derivatives**																		
45	**On demand interbank loans**																		
46	**Cash and cash-related assets**																		
47	**Other categories of assets (e.g. Goodwill, commodities etc.)**																		
48	**Total GAR assets**																		
49	**Assets not covered for GAR calculation**																		
50	**Central governments and Supranational issuers**																		
51	**Central banks exposure**																		
52	**Trading book**																		
53	**Total assets**																		
Off-balance sheet exposures - Undertakings subject to NFRD disclosure obligations																			
54	Financial guarantees																		
55	Assets under management																		
56	Of which debt securities																		
57	Of which equity instruments																		

1. Assets for the calculation of GAR – CapEx-based (7/8)		continued	ay	az	ba	bb	bc	bd	be	bf	bg	bh	bi	bj	bk
€ m			2024												
			Pollution (PPC)				**Biodiversity and Ecosystems (BIO)**				**TOTAL (CCM + CCA + WTR + CE + PPC + BIO)**				
			Of which towards taxonomy relevant sectors (Taxonomy-eligible)				Of which towards taxonomy relevant sectors (Taxonomy-eligible)				Of which towards taxonomy relevant sectors (Taxonomy-eligible)				
				Of which environmentally sustainable (Taxonomy-aligned)				Of which environmentally sustainable (Taxonomy-aligned)				Of which environmentally sustainable (Taxonomy-aligned)			
					Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which transitio-nal	Of which enabling
	GAR – Covered assets in both numerator and denominator														
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation		46.70	0.00	0.00	0.00	8.56	0.00	0.00	0.00	1,922.74	172.44	90.08	7.69	5.45
2	**Financial undertakings**		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	950.15	75.10	0.00	7.68	3.37
3	Credit institutions		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	912.09	71.70	0.00	7.41	3.29
4	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.35	0.02	0.00	0.00	0.00
5	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	898.16	70.06	0.00	7.00	3.24
6	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	13.59	1.61		0.42	0.05
7	Other financial corporations		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	38.06	3.40	0.00	0.26	0.08
8	of which investment firms		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	38.06	3.40	0.00	0.26	0.08
9	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	30.89	2.95	0.00	0.18	0.07
10	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	5.19	0.38	0.00	0.09	0.00
11	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	1.97	0.06		0.00	0.00
12	of which management companies		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
13	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
14	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
15	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00
16	of which insurance undertakings		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
17	Loans and advances		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
18	Debt securities, including UoP		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
19	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00
20	**Non-financial undertakings**		46.70	0.00	0.00	0.00	8.56	0.00	0.00	0.00	972.59	97.34	90.08	0.01	2.08
21	Loans and advances		2.81	0.00	0.00	0.00	8.56	0.00	0.00	0.00	918.04	90.59	90.08	0.01	0.50
22	Debt securities, including UoP		43.89	0.00	0.00	0.00	0.00	0.00	0.00	0.00	54.55	6.76	0.00	0.00	1.58
23	Equity instruments		0.00	0.00		0.00	0.00	0.00		0.00	0.00	0.00		0.00	0.00
24	**Households**										0.00	0.00	0.00	0.00	0.00
25	of which loans collateralised by residential immovable property										6.35	0.00	0.00	0.00	0.00
26	of which building renovation loans										0.00	0.00	0.00	0.00	0.00
27	of which motor vehicle loans										0.00	0.00	0.00	0.00	0.00
28	**Local governments financing**		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
29	Housing financing		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
30	Other local government financing		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00
31	**Collateral obtained by taking possession: residential and commercial immovable properties**		0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00	0.00

1. Assets for the calculation of GAR – CapEx-based (8/8)		continued	ay	az	ba	bb	bc	bd	be	bf	bg	bh	bi	bj	bk
€ m			2024												
			Pollution (PPC)				**Biodiversity and ecosystems (BIO)**				**Total (CCM + CCA + WTR + CE + PPC + BIO)**				
			of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				of which towards taxonomy-relevant sectors (taxonomy-eligible)				
				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)				of which environmentally sustainable (taxonomy-aligned)			
					of which use of proceeds	of which enabling			of which use of proceeds	of which enabling			of which use of proceeds	of which transitio-nal	of which enabling
continued															
32	**Assets excluded from the numerator for GAR calculation (covered in the denominator)**														
33	**Financial and non-financial undertakings**														
34	SMEs and NFCs (other than SMEs) not subject to NFRD disclosure obligations														
35	Loans and advances														
36	of which loans collateralised by commercial immovable property														
37	of which building renovation loans														
38	Debt securities														
39	Equity instruments														
40	Non-EU country counterparties not subject to NFRD disclosure obligations														
41	Loans and advances														
42	Debt securities														
43	Equity instruments														
44	**Derivatives**														
45	**On demand interbank loans**														
46	**Cash and cash-related assets**														
47	**Other categories of assets (e.g. goodwill, commodities etc.)**														
48	**Total GAR assets**														
49	**Assets not covered for GAR calculation**														
50	**Central governments and supranational issuers**														
51	**Central banks exposure**														
52	**Trading book**														
53	**Total assets**														
Off-balance sheet exposures – undertakings subject to NFRD disclosure obligations															
54	Financial guarantees														
55	Assets under management														
56	of which debt securities														
57	of which equity instruments														

Notes:

1. This template shall include information for loans and advances, debt securities and equity instruments in the banking book, towards financial corporates, non-financial corporates (NFC), including SMEs, households (including residential real estate, house renovation loans and motor vehicle loans only) and local governments/municipalities (house financing).
2. The following accounting categories of financial assets should be considered: Financial assets at amortised cost, financial assets at fair value through other comprehensive income, investments in subsidiaries, joint ventures and associates, financial assets designated at fair value through profit or loss and non-trading financial assets mandatorily at fair value through profit or loss, and real estate collaterals obtained by credit institutions by taking possession in exchange in of cancellation of debts.
3. Banks with non-EU subsidiary should provide this information separately for exposures towards non-EU counterparties. For non-EU exposures, while there are additional challenges in terms of absence of common disclosure requirements and methodology, as the EU taxonomy and the NFRD apply only at EU level, given the relevance of these exposures for those credit institutions with non-EU subsidiaries, these institutions should disclose a separate GAR for non-EU exposures, on a best effort basis, in the form of estimates and ranges, using proxies, and explaining the assumptions, caveats and limitations.
4. For motor vehicle loans, institutions shall only include those exposures generated after the date of application of the disclosure.

2. GAR-Sector Information (1/2)

		a	b	C	d	e	f	g	h	i	j	k	l	m	n	o	p
		Climate Change Mitigation (CCM)				**Climate Change Adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
	Breakdown by sector - NACE 4 digits level (code and label)	€ m	Of which environ-mentally sustainable (CCM)	€ m	Of which environ-mentally sustainable (CCM)	€ m	Of which environ-mentally sustainable (CCM)	€ m	Of which environ-mentally sustainable (CCM)	€ m	Of which environ-mentally sustainable (CCM)	€ m	Of which environ-mentally sustainable (CCM)	€ m	Of which environ-mentally sustainable (CCM)	€ m	Of which environ-mentally sustainable (CCM)
1	C21.20 - Manufacture of pharmaceutical preparations	0.00	0.00			0.00	0.00			0.00	0.00			0.00	0.00		
2	D35.1 - Electric power generation, transmission and distribution	66.93	59.52			0.00	0.00			0.00	0.00			0.00	0.00		
3	F41.10 - Development of building projects	45.27	0.00			0.00	0.00			0.00	0.00			0.00	0.00		
4	F42.1 - Construction of roads and railways	0.00	0.00			0.00	0.00			0.00	0.00			0.00	0.00		
5	H50.2 - Sea and coastal freight water transport	0.91	0.00			0.00	0.00			0.00	0.00			0.00	0.00		
6	H52.1 - Warehousing and storage	53.38	0.00			0.00	0.00			0.00	0.00			0.00	0.00		
7	H52.2 - Support activities for transportation	0.00	0.00			0.00	0.00			0.00	0.00			0.00	0.00		
8	K64.20 -Activities of holding companies	6.79	0.73			0.00	0.00			0.00	0.00			0.00	0.00		
11	L68.10 - Buying and selling of own real estate	70.72	0.00			0.00	0.00			0.00	0.00			0.00	0.00		
12	L68.20 - Rental and operating of own or leased real estate	246.99	0.00			0.00	0.00			0.00	0.00			0.00	0.00		
13	L68.32 - Management of real estate on a fee or contract basis	0.00	0.00			0.00	0.00			0.00	0.00			0.00	0.00		
14	M70.10 - Activities of head offices	172.60	0.00			0.00	0.00			0.00	0.00			0.00	0.00		
15	N77.3 - Rental and leasing of other machinery, equipment and tangible goods	5.10	1.80			0.00	0.00			0.00	0.00			21.68	0.00		
16	N82.99 - Other business support service activities n.e.c.	0.09	0.03			0.00	0.00			0.00	0.00			0.37	0.00		
17	Q86.1 - Hospital activities	0.16	0.00			0.00	0.00			0.00	0.00			0.14	0.00		
18	Q86.9 - Other human health activities	0.07	0.00			0.00	0.00			0.00	0.00			0.06	0.00		

2. GAR-Sector Information (2/2)

	continued	q	r	s	t	u	v	w	x	y	z	aa	ab
		Pollution (PPC)				**Biodiversity and Ecosystems (BIO)**				**TOTAL (CCM + CCA + WTR + CE + PPC + BIO)**			
		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD		Non-Financial corporates (Subject to NFRD)		SMEs and other NFC not subject to NFRD	
		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount		[Gross] carrying amount	
	Breakdown by sector - NACE 4 digits level (code and label)	€ m	Of which environ-mentally sustainable (CCM)	€ m	Of which environ-mentally sustainable (CCM)	€ m	Of which environ-mentally sustainable (CCM)	€ m	Of which environ-mentally sustainable (CCM)	€ m	Of which environ-mentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)	€ m	Of which environ-mentally sustainable (CCM + CCA + WTR + CE + PPC + BIO)
1	C21.20 - Manufacture of pharmaceutical preparations	33.64	0.00			0.00	0.00			33.64	0.00		
2	D35.1 - Electric power generation, transmission and distribution	0.00	0.00			0.00	0.00			66.93	59.52		
3	F41.10 - Development of building projects	0.00	0.00			0.00	0.00			45.27	0.00		
4	F42.1 - Construction of roads and railways	0.00	0.00			0.00	0.00			0.00	0.00		
5	H50.2 - Sea and coastal freight water transport	0.00	0.00			0.00	0.00			0.91	0.00		
6	H52.1 - Warehousing and storage	0.00	0.00			0.00	0.00			53.38	0.00		
7	H52.2 - Support activities for transportation	0.00	0.00			0.00	0.00			0.00	0.00		
8	K64.20 -Activities of holding companies	0.00	0.00			0.00	0.00			6.79	0.73		
11	L68.10 - Buying and selling of own real estate	0.00	0.00			0.00	0.00			70.72	0.00		
12	L68.20 - Rental and operating of own or leased real estate	0.00	0.00			0.00	0.00			246.99	0.00		
13	L68.32 - Management of real estate on a fee or contract basis	0.00	0.00			0.00	0.00			0.00	0.00		
14	M70.10 - Activities of head offices	0.00	0.00			0.00	0.00			172.60	0.00		
15	N77.3 - Rental and leasing of other machinery, equipment and tangible goods	0.00	0.00			0.00	0.00			26.77	1.80		
16	N82.99 - Other business support service activities n.e.c.	0.00	0.00			0.00	0.00			0.46	0.03		
17	Q86.1 - Hospital activities	4.61	0.00			0.00	0.00			4.90	0.00		
18	Q86.9 - Other human health activities	1.99	0.00			0.00	0.00			2.12	0.00		

Notes:

1. Credit institutions shall disclose in this template information on exposures in the ing book towards those sectors covered by the Taxonomy (NACE sectors 4 levels of detail), using the relevant NACE Codes on the basis of the principal activity of the counterparty.
2. The counterparty NACE sector allocation shall be based exclusively on the nature of the immediate counterparty. The classification of the exposures incurred jointly by more than one obligor shall be done on the basis of the characteristics of the obligor that was the more relevant, or determinant, for the institution to grant the exposure. The distribution of jointly incurred exposures by NACE codes shall be driven by the characteristics of the more relevant or determinant obligor. Institutions shall disclose information by NACE codes with the level of disaggregation required in the template.

3 GAR KPI stock – Revenue-based (1/4)		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p	q
% (compared to flow of total eligible assets)		2025																
		Climate Change Mitigation (CCM)					**Climate Change Adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)		
				Of which Use of Proceeds	Of which transitional	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling
	GAR – Covered assets in both numerator and denominator																	
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	5.37 %	0.50 %	0.24 %	0.01 %	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.09 %	0.00 %	0.00 %	0.00 %
2	**Financial undertakings**	2.71 %	0.26 %	0.00 %	0.01 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %
3	Credit institutions	2.59 %	0.25 %	0.00 %	0.01 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %
4	Loans and advances	0.03 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
5	Debt securities, including UoP	2.54 %	0.24 %	0.00 %	0.01 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %
6	Equity instruments	0.02 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
7	Other financial corporations	0.11 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
8	of which investment firms	0.11 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
9	Loans and advances	0.09 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
10	Debt securities, including UoP	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
11	Equity instruments	0.01 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
12	of which management companies	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
13	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
14	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
15	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
16	of which insurance undertakings	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
17	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
18	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
19	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
20	**Non-financial undertakings**	2.64 %	0.24 %	0.24 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.09 %	0.00 %	0.00 %	0.00 %
21	Loans and advances	2.64 %	0.24 %	0.24 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.09 %	0.00 %	0.00 %	0.00 %
22	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
23	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
24	**Households**	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
25	of which loans collateralised by residential immovable property	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
26	of which building renovation loans	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
27	of which motor vehicle loans	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %												
28	**Local governments financing**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
29	Housing financing	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
30	Other local government financing	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
31	**Collateral obtained by taking possession: residential and commercial immovable properties**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
32	**Total GAR assets**	**5.37 %**	**0.50 %**	**0.24 %**	**0.01 %**	**0.02 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.09 %**	**0.00 %**	**0.00 %**	**0.00 %**

3. GAR KPI flow – Revenue-based (2/4)		continued	r	s	t	u	v	w	x	z	aa	ab	ac	ad	ae	af
% (compared to flow of total eligible assets)			2025													
			Pollution (PPC)				**Biodiversity and Ecosystems (BIO)**				**TOTAL (CCM + CCA + WTR + CE + PPC + BIO)**					Proportion of total new assets covered
			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					
				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				
					Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which transitional	Of which enabling	
	GAR – Covered assets in both numerator and denominator															
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation		0.16 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	5.63 %	0.50 %	0.24 %	0.01 %	0.02 %	16.07 %
2	**Financial undertakings**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.72 %	0.26 %	0.00 %	0.01 %	0.01 %	8.27 %
3	Credit institutions		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.61 %	0.25 %	0.00 %	0.01 %	0.01 %	8.08 %
4	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.03 %	0.00 %	0.00 %	0.00 %	0.00 %	0.17 %
5	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.56 %	0.24 %	0.00 %	0.01 %	0.01 %	7.88 %
6	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.02 %	0.00 %		0.00 %	0.00 %	0.04 %
7	Other financial corporations		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.11 %	0.01 %	0.00 %	0.00 %	0.00 %	0.19 %
8	of which investment firms		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.11 %	0.01 %	0.00 %	0.00 %	0.00 %	0.19 %
9	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.09 %	0.01 %	0.00 %	0.00 %	0.00 %	0.13 %
10	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.03 %
11	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.01 %	0.00 %		0.00 %	0.00 %	0.02 %
12	of which management companies		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
13	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
14	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
15	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
16	of which insurance undertakings		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
17	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
18	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
19	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
20	**Non-financial undertakings**		0.16 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.89 %	0.24 %	0.24 %	0.00 %	0.01 %	3.39 %
21	Loans and advances		0.03 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.76 %	0.24 %	0.24 %	0.00 %	0.01 %	3.11 %
22	Debt securities, including UoP		0.13 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.13 %	0.00 %	0.00 %	0.00 %	0.00 %	0.28 %
23	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
24	**Households**										0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.20 %
25	of which loans collateralised by residential immovable property										0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %
26	of which building renovation loans										0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
27	of which motor vehicle loans															
28	**Local governments financing**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	4.21 %
29	Housing financing		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
30	Other local government financing		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	4.21 %
31	**Collateral obtained by taking possession: residential and commercial immovable properties**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
32	**Total GAR assets**		**0.16 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**5.63 %**	**0.50 %**	**0.24 %**	**0.01 %**	**0.02 %**	

3. GAR KPI flow – Revenue-based (3/4)		ag	ah	ai	aj	ak	al	am	an	ao	ap	aq	ar	as	at	au	av	aw
% (compared to flow of total eligible assets)		2024																
		Climate Change Mitigation (CCM)					**Climate Change Adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)		
				Of which Use of Proceeds	Of which transitional	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling
	GAR – Covered assets in both numerator and denominator																	
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	6.34 %	0.58 %	0.30 %	0.02 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %	0.00 %	0.00 %	0.00 %
2	**Financial undertakings**	3.30 %	0.25 %	0.00 %	0.02 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
3	Credit institutions	3.17 %	0.24 %	0.00 %	0.02 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
4	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
5	Debt securities, including UoP	3.12 %	0.23 %	0.00 %	0.02 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
6	Equity instruments	0.05 %	0.01 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
7	Other financial corporations	0.13 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
8	of which investment firms	0.13 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
9	Loans and advances	0.10 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
10	Debt securities, including UoP	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
11	Equity instruments	0.01 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
12	of which management companies	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
13	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
14	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
15	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
16	of which insurance undertakings	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
17	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
18	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
19	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
20	**Non-financial undertakings**	3.02 %	0.33 %	0.30 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %	0.00 %	0.00 %	0.00 %
21	Loans and advances	2.99 %	0.31 %	0.30 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %	0.00 %	0.00 %	0.00 %
22	Debt securities, including UoP	0.02 %	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
23	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
24	**Households**	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
25	of which loans collateralised by residential immovable property	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
26	of which building renovation loans	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
27	of which motor vehicle loans	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %												
28	**Local governments financing**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
29	Housing financing	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
30	Other local government financing	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
31	**Collateral obtained by taking possession: residential and commercial immovable properties**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
32	**Total GAR assets**	**6.34 %**	**0.58 %**	**0.30 %**	**0.02 %**	**0.01 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.02 %**	**0.00 %**	**0.00 %**	**0.00 %**

3. GAR KPI flow – Revenue-based (4/4)		continued	ax	ay	az	ba	bb	bc	bd	be	bf	bg	bh	bi	bj	bk
% (compared to flow of total eligible assets)			2024													
			Pollution (PPC)				**Biodiversity and Ecosystems (BIO)**				**TOTAL (CCM + CCA + WTR + CE + PPC + BIO)**					Proportion of total new assets covered
			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					
				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				
					Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which transitional	Of which enabling	
	GAR – Covered assets in both numerator and denominator															
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation		0.16 %	0.00 %	0.00 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %	6.54 %	0.58 %	0.30 %	0.02 %	0.01 %	15.38 %
2	**Financial undertakings**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	3.30 %	0.25 %	0.00 %	0.02 %	0.01 %	9.16 %
3	Credit institutions		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	3.17 %	0.24 %	0.00 %	0.02 %	0.01 %	8.87 %
4	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %
5	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	3.13 %	0.23 %	0.00 %	0.02 %	0.01 %	8.72 %
6	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.05 %	0.01 %		0.00 %	0.00 %	0.13 %
7	Other financial corporations		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.13 %	0.01 %	0.00 %	0.00 %	0.00 %	0.29 %
8	of which investment firms		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.13 %	0.01 %	0.00 %	0.00 %	0.00 %	0.29 %
9	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.10 %	0.01 %	0.00 %	0.00 %	0.00 %	0.23 %
10	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.05 %
11	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.01 %	0.00 %		0.00 %	0.00 %	0.02 %
12	of which management companies		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
13	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
14	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
15	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
16	of which insurance undertakings		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
17	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
18	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
19	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
20	**Non-financial undertakings**		0.16 %	0.00 %	0.00 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %	3.21 %	0.33 %	0.30 %	0.00 %	0.01 %	0.38 %
21	Loans and advances		0.02 %	0.00 %	0.00 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %	3.04 %	0.31 %	0.30 %	0.00 %	0.00 %	0.24 %
22	Debt securities, including UoP		0.15 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.17 %	0.02 %	0.00 %	0.00 %	0.00 %	0.10 %
23	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
24	**Households**										0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.36 %
25	of which loans collateralised by residential immovable property										0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.04 %
26	of which building renovation loans										0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
27	of which motor vehicle loans															
28	**Local governments financing**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.06 %
29	Housing financing		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
30	Other local government financing		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.06 %
31	**Collateral obtained by taking possession: residential and commercial immovable properties**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
32	**Total GAR assets**		**0.16 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.01 %**	**0.00 %**	**0.00 %**	**0.00 %**	**6.54 %**	**0.58 %**	**0.30 %**	**0.02 %**	**0.01 %**	

Notes:

1. Institution shall disclose in this template the GAR KPIs on stock of loans calculated based on the data disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.
2. Information on the GAR (green asset ratio of 'eligible' activities) shall be accompanied with information on the proportion of total assets covered by the GAR
3. Credit institutions can, in addition to the information included in this template, show the proportion of assets funding taxonomy relevant sectors that are environmentally sustainable (Taxonomy-aligned). This information would enrich the information on the KPI on environmentally sustainable assets compared to total covered assets.
4. Credit institutions shall duplicate this template for revenue based and CapEx based disclosures.

3. GAR KPI stock – CapEx-based (1/4)		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p	q
% (compared to total covered assets in the denominator)		2025																
		Climate Change Mitigation (CCM)					**Climate Change Adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)		
				Of which Use of Proceeds	Of which transitional	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling
	GAR – Covered assets in both numerator and denominator																	
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	5.40 %	0.52 %	0.24 %	0.02 %	0.03 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %	0.00 %	0.00 %	0.00 %
2	**Financial undertakings**	2.69 %	0.28 %	0.00 %	0.02 %	0.02 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
3	Credit institutions	2.58 %	0.26 %	0.00 %	0.02 %	0.02 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
4	Loans and advances	0.03 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
5	Debt securities, including UoP	2.53 %	0.26 %	0.00 %	0.02 %	0.02 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
6	Equity instruments	0.02 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
7	Other financial corporations	0.11 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
8	of which investment firms	0.11 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
9	Loans and advances	0.09 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
10	Debt securities, including UoP	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
11	Equity instruments	0.01 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
12	of which management companies	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
13	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
14	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
15	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
16	of which insurance undertakings	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
17	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
18	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
19	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
20	**Non-financial undertakings**	2.69 %	0.25 %	0.24 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %
21	Loans and advances	2.68 %	0.25 %	0.24 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %
22	Debt securities, including UoP	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
23	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
24	**Households**	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
25	of which loans collateralised by residential immovable property	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
26	of which building renovation loans	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
27	of which motor vehicle loans	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %												
28	**Local governments financing**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
29	Housing financing	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
30	Other local government financing	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
31	**Collateral obtained by taking possession: residential and commercial immovable properties**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
32	**Total GAR assets**	**5.40 %**	**0.52 %**	**0.24 %**	**0.02 %**	**0.03 %**	**0.01 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.02 %**	**0.00 %**	**0.00 %**	**0.00 %**

3. GAR KPI stock – CapEx-based (2/4)		continued	r	s	t	u	v	w	x	z	aa	ab	ac	ad	ae	af
			2025													
			Pollution (PPC)				**Biodiversity and Ecosystems (BIO)**				**TOTAL (CCM + CCA + WTR + CE + PPC + BIO)**					
% (compared to total covered assets in the denominator)			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total new assets covered
				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				
					Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which transitional	Of which enabling	
	GAR – Covered assets in both numerator and denominator															
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation		0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	5.44 %	0.52 %	0.24 %	0.02 %	0.03 %	16.07 %
2	**Financial undertakings**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.71 %	0.28 %	0.00 %	0.02 %	0.02 %	8.27 %
3	Credit institutions		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.59 %	0.26 %	0.00 %	0.02 %	0.02 %	8.08 %
4	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.03 %	0.00 %	0.00 %	0.00 %	0.00 %	0.17 %
5	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.54 %	0.26 %	0.00 %	0.02 %	0.02 %	7.88 %
6	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.02 %	0.00 %		0.00 %	0.00 %	0.04 %
7	Other financial corporations		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.11 %	0.01 %	0.00 %	0.00 %	0.00 %	0.19 %
8	of which investment firms		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.11 %	0.01 %	0.00 %	0.00 %	0.00 %	0.19 %
9	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.09 %	0.01 %	0.00 %	0.00 %	0.00 %	0.13 %
10	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.03 %
11	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.01 %	0.00 %		0.00 %	0.00 %	0.02 %
12	of which management companies		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
13	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
14	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
15	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
16	of which insurance undertakings		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
17	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
18	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
19	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
20	**Non-financial undertakings**		0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.72 %	0.25 %	0.24 %	0.00 %	0.01 %	3.39 %
21	Loans and advances		0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.71 %	0.25 %	0.24 %	0.00 %	0.01 %	3.11 %
22	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.28 %
23	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
24	**Households**										0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.20 %
25	of which loans collateralised by residential immovable property										0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %
26	of which building renovation loans										0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
27	of which motor vehicle loans															
28	**Local governments financing**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	4.21 %
29	Housing financing		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
30	Other local government financing		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	4.21 %
31	**Collateral obtained by taking possession: residential and commercial immovable properties**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
32	**Total GAR assets**		**0.01 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**5.44 %**	**0.52 %**	**0.24 %**	**0.02 %**	**0.03 %**	

3. GAR KPI stock – CapEx-based (3/4)		ag	ah	ai	aj	ak	al	am	an	ao	ap	aq	ar	as	at	au	av	aw
% (compared to total covered assets in the denominator)		2024																
		Climate Change Mitigation (CCM)					**Climate Change Adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)		
				Of which Use of Proceeds	Of which transitional	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling
	GAR – Covered assets in both numerator and denominator																	
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	6.24 %	0.58 %	0.30 %	0.03 %	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
2	**Financial undertakings**	3.18 %	0.25 %	0.00 %	0.03 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
3	Credit institutions	3.05 %	0.24 %	0.00 %	0.02 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
4	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
5	Debt securities, including UoP	3.00 %	0.23 %	0.00 %	0.02 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
6	Equity instruments	0.05 %	0.01 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
7	Other financial corporations	0.13 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
8	of which investment firms	0.13 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
9	Loans and advances	0.10 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
10	Debt securities, including UoP	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
11	Equity instruments	0.01 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
12	of which management companies	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
13	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
14	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
15	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
16	of which insurance undertakings	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
17	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
18	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
19	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
20	**Non-financial undertakings**	3.06 %	0.33 %	0.30 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
21	Loans and advances	3.03 %	0.30 %	0.30 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
22	Debt securities, including UoP	0.04 %	0.02 %	0.00 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
23	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
24	**Households**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
25	of which loans collateralised by residential immovable property	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
26	of which building renovation loans	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
27	of which motor vehicle loans	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %												
28	**Local governments financing**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
29	Housing financing	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
30	Other local government financing	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
31	**Collateral obtained by taking possession: residential and commercial immovable properties**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
32	**Total GAR assets**	**6.24 %**	**0.58 %**	**0.30 %**	**0.03 %**	**0.02 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**

3. GAR KPI stock – CapEx-based (4/4)		continued	ax	ay	az	ba	bb	bc	bd	be	bf	bg	bh	bi	bj	bk
% (compared to flow of total eligible assets)			2024													
			Pollution (PPC)				**Biodiversity and Ecosystems (BIO)**				**TOTAL (CCM + CCA + WTR + CE + PPC + BIO)**					Proportion of total new assets covered
			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					
				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				
					Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which transitional	Of which enabling	
	GAR – Covered assets in both numerator and denominator															
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation		0.16 %	0.00 %	0.00 %	0.00 %	0.03 %	0.00 %	0.00 %	0.00 %	6.43 %	0.58 %	0.30 %	0.03 %	0.02 %	15.38 %
2	**Financial undertakings**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	3.18 %	0.25 %	0.00 %	0.03 %	0.01 %	9.16 %
3	Credit institutions		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	3.05 %	0.24 %	0.00 %	0.02 %	0.01 %	8.87 %
4	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %
5	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	3.00 %	0.23 %	0.00 %	0.02 %	0.01 %	8.72 %
6	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.05 %	0.01 %		0.00 %	0.00 %	0.13 %
7	Other financial corporations		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.13 %	0.01 %	0.00 %	0.00 %	0.00 %	0.29 %
8	of which investment firms		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.13 %	0.01 %	0.00 %	0.00 %	0.00 %	0.29 %
9	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.10 %	0.01 %	0.00 %	0.00 %	0.00 %	0.23 %
10	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.05 %
11	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.01 %	0.00 %		0.00 %	0.00 %	0.02 %
12	of which management companies		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
13	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
14	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
15	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
16	of which insurance undertakings		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
17	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
18	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
19	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
20	**Non-financial undertakings**		0.16 %	0.00 %	0.00 %	0.00 %	0.03 %	0.00 %	0.00 %	0.00 %	3.25 %	0.33 %	0.30 %	0.00 %	0.01 %	3.84 %
21	Loans and advances		0.01 %	0.00 %	0.00 %	0.00 %	0.03 %	0.00 %	0.00 %	0.00 %	3.07 %	0.30 %	0.30 %	0.00 %	0.00 %	3.58 %
22	Debt securities, including UoP		0.15 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.18 %	0.02 %	0.00 %	0.00 %	0.01 %	0.26 %
23	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
24	**Households**										0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.32 %
25	of which loans collateralised by residential immovable property										0.02 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %
26	of which building renovation loans										0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
27	of which motor vehicle loans															
28	**Local governments financing**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.06 %
29	Housing financing		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
30	Other local government financing		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.06 %
31	**Collateral obtained by taking possession: residential and commercial immovable properties**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
32	**Total GAR assets**		**0.16 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.03 %**	**0.00 %**	**0.00 %**	**0.00 %**	**6.43 %**	**0.58 %**	**0.30 %**	**0.03 %**	**0.02 %**	

Notes:.

1. Institution shall disclose in this template the GAR KPIs on stock of loans calculated based on the data disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.
2. Information on the GAR (green asset ratio of 'eligible' activities) shall be accompanied with information on the proportion of total assets covered by the GAR
3. Credit institutions can, in addition to the information included in this template, show the proportion of assets funding taxonomy relevant sectors that are environmentally sustainable (Taxonomy-aligned). This information would enrich the information on the KPI on environmentally sustainable assets compared to total covered assets.
4. Credit institutions shall duplicate this template for revenue based and CapEx based disclosures.

4. GAR KPI flow – Revenue-based (1/2)		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p	q
% (compared to flow of total eligible assets)		2025																
		Climate Change Mitigation (CCM)					**Climate Change Adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)		
				Of which Use of Proceeds	Of which transitional	Of which enabling			Of which transitional	Of which enabling			Of which transitional	Of which enabling			Of which transitional	Of which enabling
	GAR – Covered assets in both numerator and denominator																	
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	2.41 %	0.16 %	0.00 %	0.00 %	0.04 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.38 %	0.00 %	0.00 %	0.00 %
2	**Financial undertakings**	1.40 %	0.13 %	0.00 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
3	Credit institutions	1.40 %	0.13 %	0.00 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
4	Loans and advances	0.03 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
5	Debt securities, including UoP	1.37 %	0.13 %	0.00 %	0.00 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
6	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
7	Other financial corporations	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
8	of which investment firms	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
9	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
10	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
11	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
12	of which management companies	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
13	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
14	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
15	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
16	of which insurance undertakings	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
17	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
18	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
19	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
20	**Non-financial undertakings**	1.02 %	0.03 %	0.00 %	0.00 %	0.03 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.38 %	0.00 %	0.00 %	0.00 %
21	Loans and advances	1.02 %	0.03 %	0.00 %	0.00 %	0.03 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.38 %	0.00 %	0.00 %	0.00 %
22	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
23	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
24	**Households**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
25	of which loans collateralised by residential immovable property	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
26	of which building renovation loans	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
27	of which motor vehicle loans	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %												
28	**Local governments financing**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
29	Housing financing	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
30	Other local government financing	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
31	**Collateral obtained by taking possession: residential and commercial immovable properties**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
32	**Total GAR assets**	**2.41 %**	**0.16 %**	**0.00 %**	**0.00 %**	**0.04 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.38 %**	**0.00 %**	**0.00 %**	**0.00 %**

4. GAR KPI flow – Revenue-based 2/2		continued	r	s	t	u	v	w	x	z	aa	ab	ac	ad	ae	af
% (compared to flow of total eligible assets)			2025													
			Pollution (PPC)				**Biodiversity and Ecosystems (BIO)**				**TOTAL (CCM + CCA + WTR + CE + PPC + BIO)**					
			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total new assets covered
				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				
					Of which transitional	Of which enabling			Of which transitional	Of which enabling			Of which Use of Proceeds	Of which transitional	Of which enabling	
	GAR – Covered assets in both numerator and denominator															
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.80 %	0.16 %	0.00 %	0.00 %	0.04 %	16.05 %
2	**Financial undertakings**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	1.41 %	0.13 %	0.00 %	0.00 %	0.01 %	8.10 %
3	Credit institutions		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	1.41 %	0.13 %	0.00 %	0.00 %	0.01 %	7.91 %
4	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.03 %	0.00 %	0.00 %	0.00 %	0.00 %	0.01 %
5	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	1.38 %	0.13 %	0.00 %	0.00 %	0.01 %	7.87 %
6	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.04 %
7	Other financial corporations		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.19 %
8	of which investment firms		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.19 %
9	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.13 %
10	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.03 %
11	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.02 %
12	of which management companies		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
13	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
14	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
15	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
16	of which insurance undertakings		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
17	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
18	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
19	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
20	**Non-financial undertakings**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	1.39 %	0.03 %	0.00 %	0.00 %	0.03 %	3.55 %
21	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	1.39 %	0.03 %	0.00 %	0.00 %	0.03 %	3.27 %
22	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.28 %
23	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
24	**Households**										0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.20 %
25	of which loans collateralised by residential immovable property										0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %
26	of which building renovation loans										0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
27	of which motor vehicle loans										0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
28	**Local governments financing**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	4.21 %
29	Housing financing		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
30	Other local government financing		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	4.21 %
31	**Collateral obtained by taking possession: residential and commercial immovable properties**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
32	**Total GAR assets**		**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**2.80 %**	**0.16 %**	**0.00 %**	**0.00 %**	**0.04 %**	

4. GAR KPI flow - CapEx-based (1/2)		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p	q
		2025																
		Climate Change Mitigation (CCM)					**Climate Change Adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
	% (compared to flow of total eligible assets)		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)		
				Of which Use of Proceeds	Of which transitional	Of which enabling			Of which transitional	Of which enabling			Of which transitional	Of which enabling			Of which transitional	Of which enabling
	GAR - Covered assets in both numerator and denominator																	
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation	2.44 %	0.17 %	0.00 %	0.00 %	0.05 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.04 %	0.00 %	0.00 %	0.00 %
2	**Financial undertakings**	1.41 %	0.14 %	0.00 %	0.00 %	0.01 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
3	Credit institutions	1.41 %	0.14 %	0.00 %	0.00 %	0.01 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
4	Loans and advances	0.03 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
5	Debt securities, including UoP	1.38 %	0.13 %	0.00 %	0.00 %	0.01 %	0.01 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
6	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
7	Other financial corporations	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
8	of which investment firms	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
9	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
10	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
11	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
12	of which management companies	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
13	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
14	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
15	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
16	of which insurance undertakings	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
17	Loans and advances	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
18	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
19	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
20	**Non-financial undertakings**	1.04 %	0.04 %	0.00 %	0.00 %	0.04 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.03 %	0.00 %	0.00 %	0.00 %
21	Loans and advances	1.04 %	0.04 %	0.00 %	0.00 %	0.04 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.03 %	0.00 %	0.00 %	0.00 %
22	Debt securities, including UoP	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
23	Equity instruments	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %
24	**Households**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
25	of which loans collateralised by residential immovable property	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
26	of which building renovation loans	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %					0.00 %	0.00 %	0.00 %	0.00 %
27	of which motor vehicle loans	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %												
28	**Local governments financing**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
29	Housing financing	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
30	Other local government financing	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
31	**Collateral obtained by taking possession: residential and commercial immovable properties**	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
32	**Total GAR assets**	**2.44 %**	**0.17 %**	**0.00 %**	**0.00 %**	**0.05 %**	**0.01 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.04 %**	**0.00 %**	**0.00 %**	**0.00 %**

4. GAR KPI flow – CapEx-based (2/2)		continued	r	s	t	u	v	w	x	z	aa	ab	ac	ad	ae	af
% (compared to flow of total eligible assets)			2025													
			Pollution (PPC)				**Biodiversity and Ecosystems (BIO)**				**TOTAL (CCM + CCA + WTR + CE + PPC + BIO)**					
			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total new assets covered
				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				
					Of which transitional	Of which enabling			Of which transitional	Of which enabling			Of which Use of Proceeds	Of which enabling	Of which enabling	
	GAR – Covered assets in both numerator and denominator															
1	Loans and advances, debt securities and equity instruments not HfT eligible for GAR calculation		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	2.49 %	0.18 %	0.00 %	0.00 %	0.05 %	16.05 %
2	**Financial undertakings**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	1.42 %	0.14 %	0.00 %	0.00 %	0.01 %	8.10 %
3	Credit institutions		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	1.42 %	0.14 %	0.00 %	0.00 %	0.01 %	7.91 %
4	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.03 %	0.00 %	0.00 %	0.00 %	0.00 %	0.01 %
5	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	1.39 %	0.13 %	0.00 %	0.00 %	0.01 %	7.87 %
6	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.04 %
7	Other financial corporations		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.19 %
8	of which investment firms		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.19 %
9	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.13 %
10	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.03 %
11	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.02 %
12	of which management companies		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
13	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
14	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
15	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
16	of which insurance undertakings		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
17	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
18	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
19	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
20	**Non-financial undertakings**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	1.07 %	0.04 %	0.00 %	0.00 %	0.04 %	3.55 %
21	Loans and advances		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	1.07 %	0.04 %	0.00 %	0.00 %	0.04 %	3.27 %
22	Debt securities, including UoP		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.28 %
23	Equity instruments		0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %		0.00 %	0.00 %	0.00 %
24	**Households**										0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.20 %
25	of which loans collateralised by residential immovable property										0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.02 %
26	of which building renovation loans										0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
27	of which motor vehicle loans										0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
28	**Local governments financing**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	4.21 %
29	Housing financing		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
30	Other local government financing		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	4.21 %
31	**Collateral obtained by taking possession: residential and commercial immovable properties**		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
32	**Total GAR assets**		**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**0.00 %**	**2.49 %**	**0.18 %**	**0.00 %**	**0.00 %**	**0.05 %**	

Notes

1. Institution shall disclose in this template the GAR KPIs on flow of loans calculated (new loans on a net basis) based on the data disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.
2. Credit institutions shall duplicate this template for revenue based and CapEx based disclosures.

5. KPI off-balance sheet exposures - stock		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p	q
% (compared to total eligible off-balance sheet assets)		2025																
		Climate Change Mitigation (CCM)					**Climate Change Adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)		
				Of which Use of Proceeds	Of which transitional	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling
1	Financial guarantees (FinGuar KPI)	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
2	Assets under management (AuM KPI)	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %

		continued	r	s	t	u	v	w	x	z	aa	ab	ac	ad	ae
% (compared to total eligible off-balance sheet assets)			2025												
			Pollution (PPC)				**Biodiversity and Ecosystems (BIO)**				**TOTAL (CCM + CCA + WTR + CE + PPC + BIO)**				
			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				
				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
					Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which transitional	Of which enabling
1	Financial guarantees (FinGuar KPI)		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
2	Assets under management (AuM KPI)		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %

Notes:

1. Institution shall disclose in this template the GAR KPIs on flow of loans calculated (new loans on a net basis) based on the data disclosed in template 1, on covered assets, and by applying the formulas proposed in this template.
2. Credit institutions shall duplicate this template for revenue based and CapEx based disclosures.

5. KPI off-balance sheet exposures – inflow		a	b	c	d	e	f	g	h	i	j	k	l	m	n	o	p	q
		2025																
		Climate Change Mitigation (CCM)					**Climate Change Adaptation (CCA)**				**Water and marine resources (WTR)**				**Circular economy (CE)**			
% (compared to total eligible off-balance sheet assets)		Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)			
			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)					Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)		
				Of which Use of Proceeds	Of which transitional	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling
1	Financial guarantees (FinGuar KPI)	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
2	Assets under management (AuM KPI)	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %

		continued	r	s	t	u	v	w	x	z	aa	ab	ac	ad	ae
			2025												
			Pollution (PPC)				**Biodiversity and Ecosystems (BIO)**				**TOTAL (CCM + CCA + WTR + CE + PPC + BIO)**				
% (compared to total eligible off-balance sheet assets)			Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-eligible)				
				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)				Proportion of total covered assets funding taxonomy relevant sectors (Taxonomy-aligned)			
					Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which enabling			Of which Use of Proceeds	Of which transitional	Of which enabling
1	Financial guarantees (FinGuar KPI)		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %
2	Assets under management (AuM KPI)		0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %	0.00 %

Nuclear energy related activities		
1.	The undertaking carries out, funds or has exposures to research, development, demonstration and deployment of innovative electricity generation facilities that produce energy from nuclear processes with minimal waste from the fuel cycle.	No
2.	The undertaking carries out, funds or has exposures to construction and safe operation of new nuclear installations to produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production, as well as their safety upgrades, using best available technologies.	No
3.	The undertaking carries out, funds or has exposures to safe operation of existing nuclear installations that produce electricity or process heat, including for the purposes of district heating or industrial processes such as hydrogen production from nuclear energy, as well as their safety upgrades.	No
Fossil gas related activities		
4.	The undertaking carries out, funds or has exposures to construction or operation of electricity generation facilities that produce electricity using fossil gaseous fuels.	No
5.	The undertaking carries out, funds or has exposures to construction, refurbishment, and operation of combined heat/cool and power generation facilities using fossil gaseous fuels.	No
6.	The undertaking carries out, funds or has exposures to construction, refurbishment, and operation of heat generation facilities that produce heat/cool using fossil gaseous fuels.	No

Hamburg, March 3, 2026

Luc Popelier

Marc Ziegner

Jens Thiele

Reinout van Riel



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Consolidated income statement

for the period from January 1 to December 31, 2025

(€ mn)	Note	2025	2024	Change in %
Interest income from financial assets categorized as AC and FVOCI		1,430	1,711	–16
Interest income from other financial instruments		82	98	–16
Interest expenses		–840	–1,057	–21
Net interest income	(6)	**672**	**752**	**–11**
Net commission income	(7)	28	26	8
Result from hedging	(8)	–3	2	>–100
Result from financial instruments categorized as FVPL	(9)	26	–7	>100
Net income from financial investments	(10)	7	7	–
Result from the disposal of financial assets classified as AC	(11)	13	3	>100
Total income		**743**	**783**	**–5**
Loan loss provisions	(12)	–109	–95	15
Total income after loan loss provisions		**634**	**688**	**–8**
Administrative expenses	(13)	–378	–350	8
Other operating result	(14)	37	–81	>100
Expenses for regulatory affairs, deposit guarantee fund and banking associations	(15)	–4	–9	–56
Net income before taxes		**289**	**248**	**17**
Income tax expense	(16)	–124	–20	>100
Group net result		**165**	**228**	**–28**
Group net result attributable to Hamburg Commercial Bank shareholders		165	228	–28

Earnings per share

(€)	Note	2025	2024
Undiluted	(18)	0.55	0.76
Diluted	(18)	0.55	0.76
Number of shares (millions)		**302**	**302**

Consolidated statement of comprehensive income

for the period from January 1 to December 31, 2025

Reconciliation with total comprehensive income/loss

(€ mn)	2025	2024
Group net result	**165**	**228**
Income and expenses that have been reclassified to the income statement or may be reclassified at a later date		
Changes in the fair value of financial assets categorized as FVOCI as a mandatory requirement (before taxes)		
Unrealized gains and loss (before taxes)	80	–48
Gains and losses (before taxes) reclassified to the income statement	–7	–32
Income taxes recognized	–23	25
	50	**–55**
Exchange rate changes	–1	2
Subtotal	**49**	**–53**
Income and expenses that will not be reclassified to the income statement at a later date		
Credit risk–induced changes in the value of liabilities designated at fair value (before taxes)	–1	–1
	–1	**–1**
Changes resulting from the revaluation of net defined benefit pension obligations (before taxes)	82	11
Income taxes recognized	–20	–3
	62	**8**
Subtotal	**61**	**7**
Other comprehensive income	**110**	**–46**
Total comprehensive income	**275**	**182**
Total comprehensive income attributable to Hamburg Commercial Bank shareholders	275	182

Consolidated statement of financial position

as at December 31, 2025

Assets

(€ mn)	Note	2025	2024	Change in %
Cash reserve	(19)	2,461	3,085	-20
Loans and advances to banks	(20)	544	714	-24
Loans and advances to customers	(21)	17,004	20,553	-17
Loan loss provisions	(12)	-275	-347	-21
Trading assets	(24)	151	225	-33
Financial investments	(25)	7,856	8,523	-8
Intangible assets	(26)	77	81	-5
Property, plant, and equipment	(27)	18	22	-18
Investment property	(27)	1	1	-
Non-current assets held for sale and disposal groups	(28)	48	-	-
Current tax assets	(29)	16	16	-
Deferred tax assets	(30)	393	540	-27
Other assets	(31)	314	219	43
Total assets		**28,608**	**33,632**	**-15**

Liabilities

(€ mn)	Note	2025	2024	Change in %
Liabilities to banks		2,416	3,718	-35
Liabilities to customers	(33)	13,483	15,020	-10
Debt securities issued	(34)	7,250	9,128	-21
Negative market values of hedging derivatives	(23)	39	58	-32
Trading liabilities	(35)	102	309	-67
Provisions	(36)	328	374	-12
Current tax liabilities	(38)	5	94	-95
Other liabilities	(40)	133	114	16
Subordinated capital	(41)	895	925	-3
Equity	(42)	3,957	3,892	2
Share capital		302	302	-
Capital reserve		1,540	1,536	-
Retained earnings		1,891	1,815	4
Revaluation reserve		58	9	571
Currency conversion reserve		-	1	>-100
Group net result		165	228	-28
Total before non-controlling interests		3,956	3,891	2
Non-controlling interests		1	1	-
Total liabilities		**28,608**	**33,632**	**-15**

Consolidated statement of changes in equity

(€ mn)	Note	Share capital	Capital reserve	Retained earnings	Currency conversion reserve	Revaluation reserve	Group net result	Total before non-controlling interests	Non-controlling interests	Total
As at January 1, 2024		**302**	**1,533**	**1,838**	**–1**	**65**	**271**	**4,008**	**1**	**4,009**
Group net result		–	–	–	–	–	228	228	–	228
Changes resulting from the revaluation of net defined benefit pension obligations		–	–	8	–	–	–	8	–	8
Credit risk-induced changes in the value of liabilities designated at fair value[1)]		–	–	–	–	–1	–	–1	–	–1
Changes in the fair value of financial assets categorized as FVOCI as a mandatory requirement		–	–	–	–	–55	–	–55	–	–55
Exchange rate changes[2)]		–	–	–	2	–	–	2	–	2
Other comprehensive income		–	–	8	2	–56	–	–46	–	–46
Comprehensive income as at December 31, 2024		**–**	**–**	**8**	**2**	**–56**	**228**	**182**	**–**	**182**
Dividend distributions to the shareholders of Hamburg Commercial Bank AG		–	–	–302	–	–	–	–302	–	–302
Compensation for the Group net loss for the previous year		–	–	271	–	–	–271	–	–	–
Share-based remuneration		–	3	–	–	–	–	3	–	3
As at December 31, 2024		**302**	**1,536**	**1,815**	**1**	**9**	**228**	**3,891**	**1**	**3,892**
As at January 1, 2025		**302**	**1,536**	**1,815**	**1**	**9**	**228**	**3,891**	**1**	**3,892**
Group net result		–	–	–	–	–	165	165	–	165
Changes resulting from the revaluation of net defined benefit pension obligations		–	–	62	–	–	–	62	–	62
Credit risk-induced changes in the value of liabilities designated at fair value[1)]		–	–	–	–	–1	–	–1	–	–1
Changes in the fair value of financial assets categorized as FVOCI as a mandatory requirement		–	–	–	–	50	–	50	–	50
Exchange rate changes[2)]		–	–	–	–1	–	–	–1	–	–1
Other comprehensive income		–	–	62	–1	49	–	110	–	110
Comprehensive income as at December 31, 2025		**–**	**–**	**62**	**–1**	**49**	**165**	**275**	**–**	**275**
Dividend distributions to the shareholders of Hamburg Commercial Bank AG		–	–	–214	–	–	–	–214	–	–214
Compensation for the Group net loss for the previous year		–	–	228	–	–	–228	–	–	–
Share-based remuneration		–	4	–	–	–	–	4	–	4
As at December 31, 2025	**(42)**	**302**	**1,540**	**1,891**	**–**	**58**	**165**	**3,956**	**1**	**3,957**

[1)] The reclassification of the credit risk-induced changes in the value of liabilities designated at fair value to retained earnings is due to the repurchase of issues/promissory note loans.

[2)] Including the hedge adjustment from hedging net investments in foreign operations in accordance with IFRS 9.6.5.13.

Consolidated cash flow statement

Consolidated cash flow statement

(€ mn)	2025		2024	
Group net result		165		228
Reconciliation with cash flow from operating activities				
Depreciation/amortization, impairments and write-ups on loans and advances, property, plant, and equipment, financial investments, intangible assets, and investment property		134		128
a) Loans and advances to customers and banks	119		119	
b) Financial investments	-1		-	
c) Property, plant, and equipment/intangible assets/investment	17		9	
d) Assets held for sale	-1		-	
Changes in provisions		5		127
Other non-cash expenses/income		543		-298
Profit/loss from disposal of financial investments and property, plant, and equipment/		-7		-7
a) Financial investments	-7		-7	
b) Property, plant, and equipment/investment property	-		-	
Other adjustments		-666		-674
Subtotal		**174**		**-496**
Changes in loans and advances		3,469		-2,391
a) to banks	169		-221	
b) to customers	3,300		-2,170	
Changes in trading assets		80		177
Changes in other assets from continuing operations		-63		90
Changes in liabilities		-2,802		470
a) to banks	-1,289		-924	
b) to customers	-1,513		1,394	
Changes in debt securities issued		-1,892		1,501
Changes in trading liabilities		-219		116
Changes in other liabilities from continuing operations		-90		-116
Interest and dividends received		2,419		2,929
Interest paid		-1,713		-2,212
Income tax payments/refunds		-109		6
Cash flow from operating activities		**-746**		**74**
Receipts from disposals of		2,375		2,292
a) securities	2,373		2,285	
b) interests in affiliated companies and equity holdings	-		7	
c) Property, plant, and equipment/intangible assets/investment	2		-	
Purchases of		-2,036		-2,832
a) securities	-2,025		-2,811	
b) interests in affiliated companies and equity holdings	-		-	
c) Property, plant, and equipment/intangible assets/investment	-11		-21	
Cash flow from investing activities		**339**		**-540**

Consolidated cash flow statement

(€ mn)	2025	2024
Payments made (-) from subordinated capital	-4	-4
Distributions from equity	-214	-302
Cash flow from financing activities	**-218**	**-306**
Cash and cash equivalents at the beginning of the period	**3,085**	**3,857**
Cash flow from operating activities	-746	74
Cash flow from investing activities	339	-540
Cash flow from financing activities	-218	-306
Cash and cash equivalents at the end of the period	**2,461**	**3,085**

Cash and cash equivalents are equivalent to the Cash reserve item in the statement of financial position and comprise cash on hand, balances with central banks, treasury bills and discounted treasury notes and similar debt instruments issued by public-sector bodies, and bills of exchange.

The cash flow from operating activities is calculated using the indirect method, whereby the Group net income/loss for the year is adjusted for non-cash expenses (increased) and non-cash income (reduced), and cash changes in assets and liabilities used in operating activities are taken into account.

The cash flow from financing activities was influenced by the dividend payment of € 214 million that was distributed in the reporting period (previous year: € 302 million).

Further information on the cash flow statement is provided in Note 43 "Additional disclosures on the Group cash flow statement".

Notes to the consolidated financial statements

General information

1. Accounting principles

Hamburg Commercial Bank AG (HCOB) prepares the consolidated financial statements as the ultimate parent company.
HCOB has the legal form of a German Aktiengesellschaft (AG). The Bank has its registered office in Germany, Gerhart-Hauptmann-Platz 50, Hamburg.

Hamburg Commercial Bank is a private commercial bank that provides conventional credit finance and supplementary financial solutions to their customers as a specialized lender.

Hamburg Commercial Bank AG has issued debt instruments as defined in Section 2 (1) sentence 1 of the German Securities Trading Act (WpHG) on an organized market as defined in Section 2 (11) of the German Securities Trading Act (WpHG) and is thus obliged, as a publicly traded company as defined in Regulation (EC) 1606/2002 (IAS Regulation) of the European Parliament and of the Council of July 19, 2002, in conjunction with Section 315e (1) of the German Commercial Code (HGB) to prepare its consolidated financial statements in accordance with the International Financial Reporting Standards. International accounting standards, hereinafter IFRS or standards, refer to the International Accounting Standards (IAS) and the International Financial Reporting Standards (IFRS) and the associated interpretations by the Standing Interpretations Committee (SIC) and the International Financial Reporting Interpretations Committee (IFRIC), published by the International Accounting Standards Board (IASB) and adopted under the IAS Regulation as part of the EU endorsement.

The supplementary provisions of Section 315e of the German Commercial Code (HGB) are taken into account and are shown individually in Notes 57 and 60.

The consolidated financial statements are prepared in accordance with IFRS as published by the IASB and adopted as European law by the European Union (EU).

The consolidated financial statements of Hamburg Commercial Bank are prepared in line with IFRS 10 according to uniform Group-wide accounting and measurement principles. In accordance with IAS 1, the consolidated financial statements consist of the income statement, the statement of comprehensive income, the statement of financial position, the statement of changes in equity, the cash flow statement, and the explanatory notes, including segment reporting. In addition to the consolidated financial statements, a combined management report in accordance with Section 315 of the German Commercial Code (HGB) was prepared The management report includes the non-financial declaration for Hamburg Commercial Bank AG and the Hamburg Commercial Bank Group, which have also been combined in accordance with Section 315b (1) of the German Commercial Code (HGB) in conjunction with Section 298 (2) of the German Commercial Code (HGB).

Group income and expenses are accrued on a pro rata temporis basis. They are recognized and disclosed in the period to which they must be assigned economically. Accounting for assets, liabilities, income, and expenses takes place on a consistent basis. Deviations are only made in justified exceptional cases which are explained separately in the Notes on the relevant items in the Hamburg Commercial Bank consolidated financial statements.

Unless explicitly stated otherwise, all amounts are stated in millions of euros (€ mn).

The reporting year corresponds to the 2025 calendar year.

IFRS 7.31 et seqq. contains rules on presenting risks arising from financial instruments. In this regard, IFRS 7.B6 allows for the possibility of disclosing risk in a suitable medium separate from the consolidated financial statements. Availing itself of this option, Hamburg Commercial Bank has published risk disclosures about financial instruments as permitted by IFRS 7.31 et seqq. partly in the explanatory notes and partly in the risk report section of the Group management report. Specifically, this pertains to the qualitative disclosures on credit risk, which are explained in the risk report. In addition, quantitative disclosures on credit risk, in particular on the development of loan loss provisions and the impairment of financial instruments, including the development of gross carrying amounts, are made in the "Disclosures on financial instruments" section of the notes to the

consolidated financial statements (Note 45). This also concerns qualitative disclosures on market risk included in the "Market risk" section of the risk report. The sensitivity analyses as required by IFRS 7.40–42 for the assessment of market risk are included in the "Disclosures on financial instruments" section of the notes to the consolidated financial statements. The maturity analyses as required by IFRS 7.39 (a) and (b) for derivative and non-derivative financial liabilities are also included in the "Disclosures on financial instruments" section of the notes to the consolidated financial statements. The description of how liquidity risk is managed as required by IFRS 7.39 (c) is included in the Group risk report.

In addition, as part of the supplementary German commercial regulations, the Group observed the following German Accounting Standards (GAS) in preparing these consolidated financial statements and this Group management report.

- GAS 20 Group management report
- GAS 17 Remuneration of members of corporate bodies

Apart from the new standards and interpretations stated below, which may have a significant influence on the consolidated financial statements, a number of additional standards and interpretations were adopted which, however, are expected not to have any influence on the consolidated financial statements.

During the current financial year, the following accounting standards need to be applied for the first time as a matter of principle:

Amendments to IAS 21 The Effects of Changes in Foreign Exchange Rates Lack of Exchangeability
The amendments to IAS 21 supplement the standard with regulations on currency translation, which are to be applied if a currency cannot be converted into another currency. The amendments have no impact on the consolidated financial statements of Hamburg Commercial Bank.

Hamburg Commercial Bank is not planning the early application of the following new or amended Standards or Interpretations for which application is only mandatory in later financial years. To the extent not indicated otherwise, all effects on the financial statements of Hamburg Commercial Bank are currently under review.

Already endorsed by the EU:

Amendments to the Classification and Measurement of Financial Instruments (Amendments to IFRS 9 and IFRS 7)
The amendments to IFRS 9 and IFRS 7 include clarifications regarding the recognition and derecognition of certain financial assets and liabilities. In addition, an exception is introduced for certain financial liabilities that are settled using an electronic payment system. If certain conditions are met, companies can derecognize them before the settlement date.

Furthermore, the application guidelines for assessing whether a financial asset fulfils the cash flow criterion are clarified and expanded. The focus here is on contractual terms that can change cash flows due to uncertain events, such as interest rates that are linked to the achievement of certain ESG targets. In addition, contractual terms in the context of non-recourse financial assets and contractually linked instruments are also covered by the amendments.

The necessary disclosures are expanded for financial instruments with contingent cash flows that are dependent on ESG factors, for example. In addition, the disclosures on equity instruments measured at fair value through other comprehensive income have been expanded.

The amendments need to be applied for the first time in the first reporting period in a financial year starting on or after January 1, 2026. Earlier application is permitted. The amendments have no material impact on the consolidated financial statements of Hamburg Commercial Bank.

Annual Improvements to IFRS Accounting Standards – Volume 11
The collective amendment Annual Improvements to IFRS Accounting Standards – Volume 11 contains amendments to IFRS 1, IFRS 7, IFRS 9, IFRS 10, and IAS 7.

The amendments to IFRS 1 relate to conceptual clarifications regarding hedge accounting by companies that adopt IFRS for the first time. IFRS 7 is amended mainly with respect to terminology and referencing, including an amendment to IFRS 7.IG14 regarding the disclosure of the deferred difference between fair value and transaction price. The amendments to IFRS 9 mainly relate to the clarification that when a lease liability is

derecognized in accordance with IFRS 9, the offsetting entry should be recognized in profit or loss and not in the corresponding right of use. IFRS 10 is amended in relation to the definition of a de facto agent to clarify that two parties cannot act on behalf of each other at the same time. With regard to IAS 7, the term "cost method" is amended to the effect that it is replaced by "accounted for at cost".

The amendments need to be applied for the first time in the first reporting period in a financial year starting on or after January 1, 2026. Earlier application is permitted. The amendments have no impact on the consolidated financial statements of Hamburg Commercial Bank.

Contracts Referencing Nature-dependent Electricity – Amendments to IFRS 9 and IFRS 7

The amendments relate to specific adjustments to IFRS 9 and IFRS 7 to ensure that affected entities appropriately present the impact of nature-based electricity contracts in their financial statements. These contracts, often structured as power purchase agreements (PPAs), secure the supply of electricity from sources such as wind and solar, where generation is subject to uncontrollable factors such as weather conditions.

The amendments include clarifications on the application of the "own use" requirements, the authorization of hedge accounting when these contracts are used as hedging instruments, and new disclosure requirements in order to enable investors to understand the impact of these contracts on an entity's financial performance and cash flows.

The amendments need to be applied for the first time in the first reporting period in a financial year starting on or after January 1, 2026. Earlier application is permitted. The amendments have no impact on the consolidated financial statements of Hamburg Commercial Bank.

IFRS 18 Presentation and Disclosure in Financial Statements

In future, IFRS 18 will replace IAS 1 – Presentation of Financial Statements and make adjustments to IAS 7 – Statement of Cash Flows. The primary objective of IFRS 18 is to improve the presentation of financial information and increase the transparency and comparability of financial statements in order to improve the assessment of a company's performance.

IFRS 18 provides for the introduction of two mandatory subtotals in the income statement, relating to operating profit or loss, and profit or loss before financing and income tax expenses. These subtotals are based on the allocation of income and expenses to the three categories of operating, investing and financing activities.

IFRS 18 also provides for extended disclosures in the notes on income and expenses, including in the form of disclosures on management-defined performance measures (MPMs), which relate to publicly communicated performance indicators defined by the company's management. In addition, IFRS 18 introduces a mandatory starting point for the indirect determination of cash flows from operating activities with the operating result and cancels classification options for interest and dividends.

For companies with certain main business activities, such as banks and companies that offer financing to customers, separate rules are provided for the allocation of income and expenses to the various categories.

The amendments need to be applied for the first time in the first reporting period in a financial year starting on or after January 1, 2027. The standard must already be applied for the corresponding comparative period. Earlier application is permitted.

From the 2027 reporting year onward, the Bank will report in accordance with IFRS 18 for the first time. Based on the analyses performed to date, we expect that the key results will be presented in the operating income and that there will be no significant changes in the Bank's systems or communication.

EU endorsement still pending:

IFRS 19 Subsidiaries without Public Accountability: Disclosures and Amendments to IFRS 19 Subsidiaries without Public Accountability: Disclosures
IFRS 19 Subsidiaries without Public Accountability: Disclosures enables authorized subsidiaries to apply IFRS accounting standards with reduced disclosure requirements. Authorized subsidiaries are subsidiaries that are not publicly accountable and those whose immediate or ultimate parent company prepares consolidated financial statements in accordance with IFRS accounting standards that are publicly accessible.

Subject to the still-pending adoption into EU law, IFRS 19 needs to be applied for the first time in the first reporting period in a financial year starting on or after January 1, 2027. Earlier application is permitted. The standard and the related amendments have no impact on the consolidated financial statements of Hamburg Commercial Bank.

Going concern assumption
Accounting and valuation are based on the assumption that HCOB is a going concern. HCOB's corporate planning forms the basis for the going concern assumption.

2. Consolidation principles

The consolidated financial statements present the parent company Hamburg Commercial Bank AG together with the consolidated subsidiaries as an economic unit. Subsidiaries also include structured entities that are controlled by Hamburg Commercial Bank. Structured entities are entities in which voting rights and similar rights do not constitute the dominant factor in assessing control. These also include entities whose relevant activities are predetermined by a narrow objective defined in the articles of association/partnership agreements or in other contractual agreements or in which there is a lasting restriction of the decision-making powers of the management. Hamburg Commercial Bank mainly classifies ABS conduits and other securitization and refinancing vehicles as well as investment funds (including private equity funds) as structured entities. Structured entities are included in the scope of consolidation if they are subsidiaries and are material to the presentation of net assets, financial position, and results of operations or to the assessment of the risk situation of the Hamburg Commercial Bank Group.

Disclosures of the nature of the risks in connection with shares in consolidated structured entities are included in Note 3. Reference is made to Note 51 with regard to unconsolidated structured entities.

Control over a subsidiary prevails when Hamburg Commercial Bank is exposed to variable incoming cash flows from the exposure to this entity or has rights to such cash flows and is able to influence the cash flows through its decision-making power over the entity. Hamburg Commercial Bank possesses decision-making power over an entity if it has rights that confer on it, either directly or indirectly via third parties, the current possibility of controlling the entity's relevant activities. Relevant activities are deemed to be those which materially affect the entity's incoming cash flows depending on the nature and purpose of the entity. Variable incoming cash flows are all those which can vary depending on the entity's performance. Incoming cash flows from the exposure to another entity may accordingly be positive as well as negative. Variable incoming cash flows include dividends, fixed and variable interest, remuneration and fees, fluctuations in the value of investments, and other financial advantages.

The assessment as to whether decision-making power exists is made on the basis of the relevant activities of the entity and the powers of Hamburg Commercial Bank to influence them. Voting rights as well as other contractual rights are considered in reviewing the control of relevant activities provided there are no economic or other obstacles to the exercise of the existing rights and Hamburg Commercial Bank would benefit from exercising those rights. The Bank has decision-making power based on voting rights if as a result of equity instruments or contractual agreements Hamburg Commercial Bank holds more than 50 % of the voting rights and this proportion of the voting rights is allied to a substantial decision-making right with regard to the relevant activities. Other contractual rights that may facilitate a controlling influence are primarily rights to appoint members of corporate bodies, recall them, to liquidate, and to make other decisions. Hamburg Commercial Bank controls a subsidiary if based on the total contractual rights it has the possibility to control the relevant activities of the entity.

A subsidiary is also controlled by Hamburg Commercial Bank if the decision-making power is exercised by third parties in the interests of and for the benefit of Hamburg Commercial Bank. Whether such delegated decision-making power exists is judged by considering the existing powers to appoint members of corporate bodies, the legal and de facto scope for making decisions, and the structure of the economic incentives. Hamburg Commercial Bank itself does not exercise any delegated powers to make decisions that would benefit third parties.

In individual cases, Hamburg Commercial Bank possesses a controlling influence based on contractual rights, although it holds less than 50 % of the voting rights.

Shares held by third parties in the equity of the subsidiary are shown as non-controlling interests in Group equity, provided these are not shares of external shareholders in consolidated commercial partnerships. Non-controlling interests are that part of the net results for the period and net assets of a subsidiary related to shares not directly held by the parent company or by a Group subsidiary. Non-controlling equity shares in subsidiaries and the resulting profit or loss as well as summarized financial information on subsidiaries with material non-controlling shares are presented in Note 3. Shares of external shareholders in consolidated commercial partnerships constitute puttable financial instruments, which are to be classified as debt in the consolidated financial statements under IAS 32 and disclosed under Other liabilities. Changes in value are recognized in the other operating result in the consolidated income statement.

Subsidiaries are included by way of full consolidation in the consolidated financial statements of Hamburg Commercial Bank. In consolidating the capital, the carrying amount of the equity holding in each subsidiary is set off against the share of Hamburg Commercial Bank in the subsidiary's equity capital. Goodwill connected to this is accounted for using the acquisition method in accordance with IFRS 3. Intra-Group receivables, liabilities, and income are eliminated within the framework of debt and/or expense and income consolidation for the purpose of the consolidated financial statements. Expenses and gains arising from the transfer of assets within the Group are eliminated as well.

Shares in subsidiaries which were not consolidated because of their subordinate importance for Hamburg Commercial Bank Group's net assets, financial position, and results of operations are accounted for as financial instruments at fair value through profit & loss (FVPL) based on the recognition and measurement guidelines of IFRS 9.

Structured entities within the meaning of IFRS 12 are entities designed so that voting rights or similar rights do not represent the dominant factor in terms of assessing whether control is being exercised. Voting rights in such entities only related to contractually specified administrative functions. Similar rights would refer, for example, to potential voting rights such as options on voting rights. Structured entities like securitization vehicles are controlled by Hamburg Commercial Bank and included as subsidiaries in the consolidated financial statements if Hamburg Commercial Bank has decision-making power over the relevant activities and is subject to variable return flows from these activities.

Hamburg Commercial Bank does not classify single asset companies and project companies as structured entities, because as a rule they are not designed to ensure that holding voting rights is only for the purpose of performing contractually governed administrative functions. Structured entities are also characterized by a narrowly defined business purpose, a limited field of activity, and comparatively low equity capital. If a company is not controlled by voting rights but by means of contractual rights, it is classified as a structured entity.

Joint arrangements are based on contractual agreements under which two or more partners establish an economic activity under shared management. Joint control is when the partners must cooperate in order to steer the relevant activities of the joint arrangement and decisions require unanimous consent of the participating partners. Such a joint arrangement is a joint venture if the partners who exercise joint control hold rights and obligations to the net assets of the arrangement. If, conversely, the partners have direct rights to the assets or liabilities attributable to the joint arrangement for their debts, the arrangement is a joint operation. If a joint arrangement is embodied in a legally independent partnership or corporation with its own assets, so that Hamburg Commercial Bank only has a proportionate claim to the net assets of the company based on its shares in the company, this entity is normally a joint venture. In order to determine whether a joint venture or a joint operation is concerned in the case of joint arrangements, the contractual provisions and the purpose of the joint arrangement are used in addition. If neither the legal form nor the contractual provisions or other facts and circumstances provide an indication that Hamburg Commercial Bank has direct rights to the assets and/or obligations for the debts of the joint arrangement, it is a joint venture.

Associates are companies where Hamburg Commercial Bank AG can exercise a significant but not controlling influence directly or indirectly via subsidiaries. Significant influence refers to the possibility of influencing decisions affecting the financial and business policy of another entity but not controlling it. Significant influence is found in principle if Hamburg Commercial Bank as an investor directly or indirectly holds 20 % or more of the voting rights through subsidiaries. It may also be an associate if Hamburg Commercial Bank has less than 20 % of the voting rights but because of other factors has the possibility of influencing the company's decisions concerning financial and business policy. This in particular includes the representation of Hamburg Commercial Bank in the entity's decision-making body and contractual rights to manage or dispose of assets including investment decisions in the case of investment funds. If Hamburg Commercial Bank only holds rights to approve, agree, or veto, significant influence is not presumed to exist.

Interests in joint ventures and associates that are material to the proper presentation of the Group's net assets, financial position, and results of operations are consolidated under the equity method. The Group's interest in a joint venture or share in an associate is initially measured at cost and thereafter adjusted for the Group's share of the net profit or potential changes in equity of the joint venture's or associate's comprehensive income. The relevant shares are stated in the statement of financial position under a separate line item.

Interest in joint ventures and associates, respectively, which were not consolidated under the equity method because of their subordinate importance for Hamburg Commercial Bank Group's net assets, financial position, and results of operations, have been accounted for as financial instruments at fair value through profit & loss (FVPL) based on the recognition and measurement guidelines of IFRS 9 and are disclosed under financial investments.

3. Scope of consolidation

In addition to the parent company, Hamburg Commercial Bank AG, Hamburg, the scope of consolidation includes 14 fully consolidated subsidiaries (December 31, 2024: 13).

As at December 31, 2024, there are no associates or joint ventures accounted for using the equity method.

The subsidiaries included in the consolidated financial statements and those subsidiaries, joint ventures, and associates that are not included due to their immateriality for the presentation of net assets, financial position, and results of operations of the Hamburg Commercial Bank Group can be found in the list of shareholdings (Note 59). The list of shareholdings also includes explanatory information regarding classification as a subsidiary, joint venture, or associate that differs from that indicated by voting rights.

The changes in the scope of consolidation during the financial year relate to the subsidiaries listed below.

I. Disclosures on subsidiaries – Changes in the scope of consolidation

A) ADDITIONS

The following company is fully consolidated and included in the consolidated financial statements for the first time in 2025:

- Pemberton Volkspark Unlevered Direct Lending Fund, SCSp, Luxembourg

Due to contractual obligations, the Bank has been exercising control over Pemberton Volkspark Unlevered Direct Lending Fund SCSp since May 28, 2025, as these regulations mean that the operating decision-makers of the company must be classified as agents of Hamburg Commercial Bank. The primary business purpose of this special fund (loan fund) is the investment in third-party receivables. It was established for the purpose of the Bank diversifying its activities in the international corporates business through the loan fund, with a focus on borrowers from North America and Western Europe.

B) DISPOSALS

There was no disposal of a subsidiary from the scope of consolidation in the reporting period.

C) MODIFICATION OF HOLDINGS IN SUBSIDIARIES

There were no changes in the ownership interests held by Hamburg Commercial Bank in a subsidiary in the period under review that did not lead to a loss of control.

II. Information on shares held in associates and joint ventures accounted for under the equity method

At the reporting date, Hamburg Commercial Bank did not hold any shares in associates or joint ventures accounted for using the equity method that are material for the Group's net assets, financial position, and results of operations.

III. Information on consolidated structured entities

Hamburg Commercial Bank's scope of consolidation includes eight fully-consolidated structured entities. HCOB exercises control over these companies on the basis of contractual rights and/or principal-agent relationships. In three of these companies, HCOB also holds the majority of voting rights.

With regard to the nature of any risks in connection with business relationships with consolidated structured entities, the following can be stated:

During the reporting year, Hamburg Commercial Bank did not provide consolidated or unconsolidated structured entities with any non-contractual support.

As at the reporting date, there is no current intention to provide a consolidated structured entity with financial or other support within the definition of IFRS 12.17.

4. Management estimates and discretionary decisions

Estimates:

As permitted, estimates and assumptions for the measurement of assets and liabilities have been incorporated into the consolidated financial statements of Hamburg Commercial Bank. All estimates and judgements necessary for accounting and measurement according to IFRS were undertaken in accordance with the appropriate standard in each case, are continuously reassessed, and are based on past experience and other factors including expectations of future events, which appear reasonable under the circumstances. In particular, the following topics are affected by estimation uncertainties (please also refer to the explanatory information in Note 5 "Accounting and measurement principles"):

- the allocation to stages and the determination of the amount of loan loss provisions under the impairment provisions set out in IFRS 9
- allocations to provisions for litigation risks
- allocations to provisions for pension obligations and similar obligations and other provisions
- the recognition and measurement of deferred taxes
- the calculation of fair values

Where there are major uncertainties regarding estimates, the underlying assumptions are explained in greater detail in the relevant note.

Discretionary decisions:

With the exception of estimates, major discretionary decisions by management in the application of accounting and measurement principles relate in particular to the following topics (please also refer to the explanations in Note 5 "Accounting and measurement principles"):

- the allocation to stages and the determination of the amount of loan loss provisions under the impairment provisions set out in IFRS 9
- allocations to provisions for litigation risks
- the definition of business models and the classification of financial instruments in accordance with IFRS 9
- the determination of fair values for certain financial instruments, including the assessment of whether an active or inactive market exists
- the use of the fair value option for financial instruments
- the assessment whether Hamburg Commercial Bank controls another entity

Within the context of the impairment provisions set out in IFRS 9, both significant estimates and significant discretionary decisions are made with regard to the allocation to stages and the calculation of the amount of the loan loss provisions (cf. Note 5 "Accounting and measurement principles" and Note 22 "Loan loss provisions").

The transfer of a financial instrument between Stage 1 and 2 and the associated definition of the extent giving rise to a significant deterioration in credit quality (significance threshold) is a central discretionary decision within the context of the impairment provisions.

When calculating the loan loss provisions at Stage 1 and 2, Hamburg Commercial Bank estimates the associated credit risk parameters over a one-year period and extrapolates them on the basis of appropriate assumptions over a period of several years. Within this context, there are considerable uncertainties relating to estimates, particularly when including forward-looking macroeconomic scenarios.

The calculation of Stage 3 loan loss provisions also involves estimates. In particular, the estimates for various scenarios, including associated probabilities of occurrence and the recoverable amount in the respective scenario, involve discretionary decisions in this respect.

Major discretionary decisions in connection with the application of the classification and measurement provisions of IFRS 9 relate to the definition/classification of the Bank's business models and the corresponding allocation of portfolios of financial assets based on the objectives and control activities within the context of the business activity.

In particular, the definition of what constitutes harmless sales and the materiality thresholds for sales of financial assets within the "Hold to collect" business model are also discretionary decisions. The business models defined at Hamburg Commercial Bank and the resulting impact on the classification and measurement of financial instruments are shown in Note 5 "Accounting and measurement principles".

The analysis of the contractual cash flows with regard to the contractual cash flow characteristics criterion, as well as the classification of modifications in terms of their materiality, constitute a further discretionary decision (please also refer to Note 5 "Accounting and measurement principles").

Hamburg Commercial Bank applies the fair value option through profit or loss for financial assets at its own discretion in order to avoid accounting mismatches. The designation of financial liabilities using the fair value option to avoid an accounting mismatch, or on the basis of management on a fair value basis, is also at the discretion of the Bank.

Discretionary decisions are also required to determine whether Hamburg Commercial Bank has control over another company. This concerns the assessment of whether Hamburg Commercial Bank is exposed to variable incoming cash flows from its involvement with this entity, or has rights to such cash flows, and is able to influence these cash flows through its decision-making power over the entity (see Note 3 "Consolidation principles").

5. Accounting and measurement principles

I. Financial instruments

A) CATEGORIZATION OF FINANCIAL ASSETS AND LIABILITIES

Recognition and initial measurement of financial assets and liabilities

A financial instrument is an agreement that simultaneously creates a financial asset for one company and a financial liability or equity instrument for the other company. Under IFRS 9, all financial assets and liabilities including financial derivatives must be stated in the statement of financial position and measured according to the category to which they are assigned.

Financial assets and liabilities are stated in the statement of financial position if Hamburg Commercial Bank is counterparty under the contract for the corresponding financial instrument. Expected future transactions or contracts are not recognized.

Provided that they fulfil the criteria of IFRS 9, pending transactions in the form of derivatives must always be stated in the statement of financial position as financial assets or liabilities and measured at fair value on the trading date. Spot transactions in non-derivative financial assets (so-called regular way contracts) are recognized as of the settlement date. The change in fair value between the trading date and settlement date is recognized according to the measurement rules for the category of asset.

Non-derivative financial liabilities are recognized if one of the two parties to the contract has fulfilled the contract (settlement date).

Initial recognition is measured at fair value, which generally corresponds to the acquisition cost of the financial instrument.

Derecognition of a financial asset takes place on the settlement date. In the case of derivatives, derecognition takes place on the trading date.

Definition of business models

In order to arrive at the classification of financial instruments, financial assets are first of all allocated to business models in accordance with IFRS 9. The Management Board of Hamburg Commercial Bank AG is responsible for defining these business models. Financial instruments are allocated to the business models based on groups of homogeneous portfolios. The internal rules and objectives, which are applied in practice in the strategic management and administration of the portfolios, are decisive when it comes to identifying and allocating the holdings. In addition, the definition and differentiation of the business models take into account how the results of the portfolios are assessed, which risks influence these earnings contributions, and how these risks are managed.

Another aspect that is important for the purposes of defining business models at Hamburg Commercial Bank in connection with the assessment of business activity and objectives for the management of the instruments is the analysis of transactions in past periods. This involves determining the frequency, volume and timing of disposals. The reason behind disposal transactions is also taken into account when assessing the disposal activity. If disposals are related, among other things, to the management of credit risk and are motivated by a significant increase in credit risk, they can still be consistent with a business model that serves to collect cash flows by holding the instruments to maturity.

The reclassification of financial assets is only possible in exceptional cases and subject to specific disclosure requirements. Financial liabilities cannot be reclassified.

Analysis of contractual cash flow characteristics

In addition to the appraisal of the business model, the categorization of financial assets depends on the nature of the cash flows. Within this context, Hamburg Commercial Bank analyses the contractual cash flow characteristics criterion by assessing the contractual cash flows to determine whether they merely relate to payments of principal and interest on the principal amount. The analysis is carried out once at the time of initial recognition at the level of the individual transaction. When identifying and assessing the cash flows accordingly, all characteristics contained in the contractual components must be taken into account.

The contractual cash flow characteristics criterion defines interest as those payments that are consistent with a basic lending arrangement. This means that payments essentially serve as a form of compensation for the time value of money and the credit risk assumed by the counterparty. They can also include compensation for the assumption of liquidity risks and a profit margin. IFRS 9 uses the fair value at the time of initial recognition as a basis for determining the nature of principal repayments on the outstanding nominal amount.

Based on these requirements, all contractually agreed conditions are analyzed to determine whether they give rise to opportunities for early termination or extension options, leverage effects, or other effects on cash flows that depend on the occurrence of future circumstances. Within this context, Hamburg Commercial Bank examines the contractual structure of the instruments to determine whether they contain components that modify the fair value element of the money and contradict the interest rate characteristics defined under IFRS 9. It also examines whether there are "non-recourse" structures that impose restrictions on the Bank's ability to access the payments to which it is entitled.

The analysis of the contractual cash flow characteristics criterion for contractually linked instruments, which usually arise in securitization transactions, is subject to special requirements. First, the cash flow characteristics are assessed by looking at the claims from the asset pools underlying the securitization. In addition, the contractual structure of the securitization tranche and the structuring of the claims to the cash flows from the underlying assets are examined with regard to the cash flow characteristics and credit risk distribution.

If Hamburg Commercial Bank's analysis of the contractual structure of the financial assets leads it to the conclusion that the payments are not just interest and principal payments, the cash flow criterion is deemed not to have been met.

Reclassifications

Reclassifications are made in the event of actual changes in the business model used to manage the assets. Consequently, from the date of the change, all affected instruments are to be allocated to the newly defined business model and classified accordingly. No reclassifications have been made to date.

Classification and subsequent measurement of financial assets and liabilities

Financial assets are classified depending on the business model and the structure of the contractual cash flows under IFRS 9. In connection with the first-time application of IFRS 9, Hamburg Commercial Bank has defined the business models "Hold to collect", "Hold & sell", and "Other", which include the business model strategies "Held for trading" and "Other not hold to collect (remaining)", on the basis of its business activities.

Loans in the lending area and securities related to the lending business are assigned to the "Hold to collect" business model. The "Hold & sell" business model mainly comprises the capital markets business. Instruments intended to generate a profit in the short term are managed under the "Held for trading" business model. This mainly relates to interest-bearing treasury securities. In addition, syndication shares from underwriting activities subject to an obligatory syndication requirement in the lending business are allocated to this category. Derivatives are generally allocated to this business model. Financial assets in the "Other not hold to collect (remaining)" business model relate primarily to equity portfolios in the non-trading portfolio.

Provided that the cash flow criterion is fulfilled, subsequent measurement depends on the business model allocation and is derived from the measurement categories described below. Debt instruments assigned to the "Hold to collect" business model are recognized at amortized cost. "Hold & sell" assets are measured at fair value, with the result from fair value changes being recognized in other comprehensive income (OCI) within equity. Upon the disposal of the debt instruments, the cumulative valuation result is derecognized from other comprehensive income via the income statement (known as "recycling"). Debt instruments in the "Other not hold to collect (remaining)" business model are subject to measurement at fair value through profit or loss.

Financial assets that do not meet the cash flow criterion are measured at fair value in the income statement, taking the valuation results into account, irrespective of the business model. These instruments include, first of all, debt instruments that do not pass the cash flow test in the analysis of the contractual structure and second, equity instruments that generally do not meet the criterion.

In the case of structured financial assets, there is no requirement to separate embedded derivatives under IFRS 9. The instruments are to be assessed, depending on the business model, in their entirety based on their contractual structure in the analysis of the contractual cash flow characteristics criterion.

Financial obligations are measured at amortized cost under IFRS 9 in the "Not held for trading" category. Derivatives and instruments that are held for trading are allocated to the "Held for trading" category and are measured at fair value through profit or loss. This measurement standard is also applied, in general, to financial liabilities irrevocably designated within the fair value option, although the amount of the fair value change resulting from the change in the Bank's own credit risk is recognized directly in OCI.

In cases involving structured financial liabilities that are not included in measurement at fair value through profit or loss due to categorization or designation, derivatives requiring separation must be separated and also measured at fair value through profit or loss. The host contract is recognized at amortized cost.

The financial assets/liabilities of Hamburg Commercial Bank are allocated to the following holding categories in order to arrive at the measurement categories depending on the business model allocation and the results of the cash flow criterion analysis. For the purposes of presentation in the consolidated financial statements, they are also grouped into reporting categories:

Reporting category	Holding category	Measurement category
AC assets/AC liabilities	AC HTC/ AC LIA	AC
FVOCI Mandatory	FVOCIR HAS	FVOCIR
FVPL Held For Trading	FVPL HFT	FVPL
FVPL Other	FVPL HTC	FVPL
	FVPL HAS	
	FVPL RES	
FVPL Designated	FVPL DFV/ FVPL DFP	FVPL

"AC assets" and "AC liabilities" are subsequently measured at amortized cost. Interest payments are recognized in net interest income. Prepayment penalties and profits/losses from the disposal of financial assets that are not credit-impaired are reported under "Result from the disposal of financial assets classified as AC". Interest and current results on Stage 1 and Stage 2 loans are shown in net interest income. Loan impairments are shown under loan loss provisions in the income statement.

Instruments classified as FVOCI as a mandatory requirement in the "Hold & Sell" business model are stated at fair value and booked directly to equity. Impairments and currency translation results, however, are reported directly in the income statement. When the instruments are derecognized, the cumulative valuation result recorded under other comprehensive income is rebooked to the income statement. Realized gains from the disposal of Stage 1 and 2 assets are recorded, in cases involving fixed income securities under the Financial investments item in the statement of financial position, under net income from financial investments. Gains from the corresponding disposal of Stage 3 assets are recognized in the result from loan loss provisions.

For those instruments stated at fair value through profit or loss in the FVPL Held For Trading, FVPL Designated and FVPL Other reporting categories, the fair valuation and the realized gains and losses are reflected via the result from financial instruments categorized as FVPL. Results in the FVPL Held For Trading category resulting from non-round tripping transactions in securities and promissory note loans are also shown under this item. Ongoing earnings contributions and amortization from non-derivatives recognized at fair value through profit or loss, such as dividends, net interest income, and prepayment penalties, are included in net interest income. In contrast, the current cash flows and amortization of interest rate derivatives are reported in the result from financial instruments categorized as FVPL – with the exception of investment swaps, cross-currency swaps, and the amortization of hedge amortized costs of interest rate derivatives from active micro fair value hedging relationships. Only the interest from investment swaps, cross-currency swaps, and the amortization of derivatives in a micro fair value hedging relationship are shown in the net interest income itself.

Net commission income contributions from derivatives and from loans in all categories are shown under net commission income. This item also includes commission from securities and promissory note loans in the FVPL Held For Trading category resulting from round tripping transactions. Gains from currency translation is generally a component of the result from financial instruments categorized as FVPL.

This results in the following distinctions, based on reporting category, for subsequent measurement at Hamburg Commercial Bank:

1. Financial assets valued at amortized cost (AC) are stated, at the time of initial recognition, at cost, equivalent to fair value at the time of initial recognition, and taking transaction costs into account. Financial liabilities are also recognized at fair value at the time of issue, taking transaction costs into account. Fair value at the time of acquisition generally corresponds to the transaction price. This valuation category includes all instruments in the following reporting categories:

a. Financial assets in the "AC assets" reporting category are allocated to the "Hold to collect" business model and meet the cash flow criterion.
b. Liabilities that neither fall under the trading portfolios nor belong to the FVPL Designated reporting category, are allocated to the "AC liabilities".
c. For instruments on both the assets and the liabilities side, subsequent measurement is at amortized cost; premiums or discounts are amortized according to the effective interest method over the term and are recognized in net interest income.

2. Financial assets in the "FVOCI Mandatory" reporting category include all assets in the "Hold & sell" business model for which the cash flow criterion is met. The holdings within Hamburg Commercial Bank relate mainly to marketable interest-bearing securities.

The initial measurement of financial assets in the "FVOCI Mandatory" reporting category is at fair value, which generally corresponds to the transaction price, plus transaction costs. The subsequent measurement of the financial instruments is at fair value.

Changes in the value of instruments stated at fair value, as far as these are not attributable to an impairment of currency translation, are recorded under other comprehensive income (OCI) in equity, after allowing for deferred taxes. In contrast, where hedged instruments are concerned, the fluctuation relating to the hedged risk is recognized in the income statement under result from hedging. When the instruments are derecognized, the cumulative valuation result recorded under other comprehensive income is rebooked to the income statement.

Amortization of the difference between costs of acquisition and repayment amount for interest-bearing securities is stated under net interest income, using the effective interest method.

3. Financial assets and liabilities valued at fair value through profit or loss (FVPL), include instruments held for trading (FVPL Held For Trading), financial assets that have to be measured at fair value because they do not meet the cash flow criterion (FVPL Other), and those instruments that are voluntarily designated at fair value in a manner that is irrevocable for the future (FVPL Designated).

a. At Hamburg Commercial Bank, the category FVPL Held For Trading includes all financial instruments held for trading that are accordingly assigned to the "Trading" business model, and all derivatives that are not part of a hedging relationship (hedge accounting). Initial and subsequent measurement is at fair value. Transaction costs are recognized through profit or loss on acquisition date. In accordance with IFRS 9.5.1.1, transaction costs are only included in the initial recognition in the case of financial assets or liabilities not measured at fair value through profit or loss. Where a market price is available in the form of a stock exchange listing, this is used for the purposes of measurement. In other cases, the market price of comparable instruments or recognized measurement models, especially net present value methods and option pricing models, are used to determine fair value.
b. The financial assets in the FVPL Other category are assigned to the "Hold to collect", "Hold & sell", and "Other not hold to collect (remaining)" business models. The instruments in the "Hold to collect" and "Hold & sell" business models within this category do not meet the cash flow criterion.
c. The financial assets and liabilities in the FVPL Designated reporting category relate primarily to securities and loans that form part of an economic hedging relationship with interest rate derivatives and do not meet the requirements for hedge accounting, as well as complex structured registered and bearer securities with embedded interest, currency, equity and other risks. In such cases, the fair value option serves to prevent/reduce any accounting mismatch. In addition, designation within the fair value option can be applied, within Hamburg Commercial Bank, to portfolios of financial liabilities whose management and performance measurement is based on the fair value in line with the documented risk management strategy in order to allow the instruments to be accounted for in line with the internal control system.

Financial instruments in the fair value option are stated at fair value in the statement of financial position and are valued through profit or loss for the purposes of subsequent measurement accordingly.

B) CLASSIFICATION OF FINANCIAL INSTRUMENTS

The classification of financial instruments required for reporting by IFRS 7.6 is similar to the categorization of financial instruments according to IFRS 9 for the items in the statement of financial position in order to ensure a uniform and clear picture of net assets, financial position, and results of operations. The following table shows the categories of financial instruments at Hamburg Commercial Bank in accordance with IFRS 9.

Measurement method	Categories	
	IFRS 9 reporting category	Statement of financial position item/sub-item
Financial instruments measured at amortized cost	AC assets	Cash reserve
		Loans and advances to banks
		Loans and advances to customers
		Financial investments
		Non-current assets held for sale and disposal groups
		Other assets
	AC liabilities	Liabilities to banks
		Liabilities to customers
		Debt securities issued
		Liabilities relating to disposal groups
		Subordinated capital
		Other liabilities
Financial instruments measured at fair value through Other Comprehensive Income (OCI)	FVOCI Mandatory	Cash reserve
		Loans and advances to banks
		Loans and advances to customers
		Financial investments
		Non-current assets held for sale and disposal groups
Financial instruments measured at fair value through profit or loss	FVPL Held For Trading	Trading assets
		Non-current assets held for sale and disposal groups
		Trading liabilities
		Liabilities relating to disposal groups
	FVPL Designated	Loans and advances to banks
		Loans and advances to customers
		Financial investments
		Non-current assets held for sale and disposal groups
		Other assets
		Liabilities to banks
		Liabilities to customers
		Debt securities issued
		Liabilities relating to disposal groups
		Subordinated capital
	FVPL Other	Cash reserve
		Loans and advances to banks
		Loans and advances to customers
		Financial investments
		Non-current assets held for sale and disposal groups
		Other assets
	N/A	Positive market values of hedging derivatives
		Negative market values of hedging derivatives
Off-balance-sheet transactions	N/A	Contingent liabilities
		Irrevocable loan commitments
		Other commitments

C) MODIFICATIONS

If a financial instrument, in particular a loan, is altered in its contractual components, then Hamburg Commercial Bank assesses whether this change results in the disposal of the financial instrument, leading to the derecognition of the previous, and the recognition of a new, financial instrument at fair value (substantial modification) or whether, based on the modified contractual cash flows, the gross carrying amount is to be recalculated and a modification result recognized (non-substantial modification).

The result of a non-substantial modification corresponds to the difference between the gross carrying amount immediately prior to the modification and the recalculated gross carrying amount. The modification gain or loss is recognized within loan loss provisions in the income statement. Hamburg Commercial Bank has included guidelines in its written regulations regarding how to distinguish between substantial and non-substantial modifications. These stipulate that both qualitative criteria, such as a change in currency or a significant change in Hamburg Commercial Bank's risk position, and the quantitative criterion of the 10 % net present value test must be used. This test involves comparing the net present value of the contractual cash flows before and after every modification of contractual components. If they differ by 10 % or more, then this is deemed to constitute a substantial modification.

D) LOAN LOSS PROVISIONS AND IMPAIRMENT OF FINANCIAL INSTRUMENTS

The calculation of loan loss provisions and impairments in accordance with IFRS 9 uses a model that is based on the calculation of expected credit losses. The scope of the model includes financial instruments that are recognized at amortized cost or at fair value through other comprehensive income, irrevocable loan commitments and financial guarantees that are not recognized at fair value through profit or loss, leasing receivables, and contract assets.

The basic principle of the model relates to the creation of loan loss provisions depending on changes in the credit quality of the financial instrument since initial recognition over the term. Depending on the extent of the change in credit quality, the financial instrument is assigned to one of the following three stages:

a. Sage 1: No significant increase in the loan default risk, 12-month expected loss
   For financial instruments whose loan default risk is not significantly increased, the portion of expected credit losses that is attributable to defaults within the next twelve months is recognized under loan loss provisions.
b. Stage 2: Significant increase in the loan default risk, lifetime expected loss
   For financial instruments whose loan default risk has increased significantly since the time of initial recognition, expected credit losses are recognized over the entire remaining term of the financial instrument.
c. Stage 3: Financial assets that are credit-impaired, lifetime expected loss
   Financial instruments for which one or more events have occurred that have an adverse impact on the expected future cash flows are assigned to Stage 3.

Input parameters, assumptions and methods for calculating expected credit losses at Stage 1 and 2
Expected credit losses at Stage 1 and 2 are calculated based on the following credit risk parameters:

- Probability of default (PD)
- Loss given default (LGD)
- Exposure at default (EAD)

The internal credit risk models which – where necessary – are expanded to include forward-looking information are taken as a basis in this regard.

In the context of credit risk modelling, the default risk over a certain period is described by the PD. In order to assess the loan default risk associated with financial instruments or debtors, specific rating procedures are used that allow statements to be made on the probability of default within one year.

Using the rating procedures modelled on the basis of historical information, current and forward-looking information on the risk drivers can be condensed to arrive at a rating as part of the rating process.

The rating classifications resulting from rating procedures each correspond to a specific 12-month PD which is used to calculate the loan loss provisions at Stage 1. At Stage 2, the 12-month PD is adjusted over a multi-year horizon to arrive at lifetime PDs on the basis of migration matrices. The migration matrices used reflect the observed rating migrations of debtors within a year and are calculated based on an extensive cross-economic historical observation period. The 12-month and lifetime PDs calculated in this manner are enhanced to reflect macroeconomic information where necessary. This involves aggregating internal and external macroeconomic forecasts to arrive at economic scenarios that are used as standard for various bank functions. The impact of the scenarios on the PDs is determined using statistical methods.

The LGD describes the amount of the loss expected in the event of default. Statistical methods are used to estimate loss and recovery rates from the realization of collateral on the basis of historical loss data. Together with the market value of the collateral and the amount of the claim, this produces the LGD for the financial instrument in question that is used to calculated the loan loss provisions for Stage 1. The LGD model is assigned on the basis of the customer rating procedure used. In addition, the LGD takes into account not only borrower-specific information and collateral relevant to the financial instrument, but also transaction-specific information such as the seniority and type of financial instrument. The forward projection of the LGD over the multiannual period is based primarily on the expected collateralization ratio of the financial instrument, which comprises the expected collateral value and the expected amount of the receivable. The estimate of the collateral value takes into account both expected ageing effects associated with the collateral and forecast macroeconomic developments, such as property prices, which influence the collateral value. The receivable amount is influenced by repayment and amortization effects.

The EAD represents the outstanding receivables volume of the financial instrument at the time of default. For the balance sheet business, the outstanding receivables volume corresponds to the gross carrying amount calculated using the effective interest method. As part of EAD modelling, the balance sheet gross carrying amount is adjusted over a 12-month period (Stage 1) or over a lifetime horizon (Stage 2) to reflect amortization and repayment effects. Within this context, fixed cash flows that have been contractually agreed and expectations regarding the exercise of options and their impact on the cash flows are taken into account. The impact of optionalities is determined both on the basis of historical information and on the basis of financial mathematical methods.

For the off-balance-sheet business in the form of irrevocable loan commitments and financial guarantee contracts, the EAD constitutes the expected future utilization of the financial instrument up until the time of default. The borrower's expected drawdown behavior within a year prior to the default event is reproduced via the credit conversion factor (CCF). The EAD for Stage 1 is calculated by multiplying the CCF by the line that is open on the reporting date. In order to calculate the EAD at Stage 2, the drawdown behavior several years prior to the default is also calculated based on drawdown rates. The drawdown rates are modelled subject to the proviso that no default occurs within a year. The multi-year EAD for the year in question for Stage 2 is calculated by combining the expected drawdown one year before the assumed default event based on the CCF by the expected drawdown behavior based on the drawdown rates for the prior years.

When calculating expected credit losses, Hamburg Commercial Bank takes into account the maximum contractually agreed term during which the Bank is exposed to a credit risk. Debtor extension options are also taken into account. Longer terms are not taken into account, even if this is in line with standard business practice.

One exception related to current accounts and framework facilities for which there is no set term or repayment structure and in respect of which the Bank does not enforce its option of forcing immediate repayment in daily management. The calculation of expected losses for these financial instruments is based on the behavioral term. The behavioral term is derived from the existing credit risk management processes that serve to minimize the credit risk. At Hamburg Commercial Bank, a debtor's credit quality is monitored on a regular and ad hoc basis and, if necessary, corresponding credit risk-mitigating measures are taken. As a result, the average monitoring interval is used as the estimate for the behavioral term.

Expected credit losses are calculated at the level of the individual financial instrument. Groups of financial instruments with risk features in common are not grouped for the purposes of calculating the loan loss provisions. The 12-month expected loss is calculated by multiplying the (one-year) credit risk parameters. The lifetime expected loss is calculated by multiplying the period-specific credit risk parameters determined during the term. Discounting to the reporting date is based on the effective interest rate in each case.

Incorporation of forward-looking information

Hamburg Commercial Bank uses the same economic forecasts for planning, internal control, and loan loss provisions. At the end of each quarter, the Bank takes into account the main macroeconomic forecasts in two weighted scenarios (base and stress scenario). Forecasts are made for the next three financial years (end of year). The base scenario reflects the development that is deemed most likely to occur. This can be both an economic upswing and an economic downturn. The other two scenarios reflect more optimistic (upside) or more pessimistic (stress) developments in relation to the base scenario.

The scenario estimates are based on internal Bank economic forecasts, which are discussed within the affected areas, taking into account the forecasts of the Bundesbank and the ECB, Bloomberg consensus estimates, and current forward rates for the relevant areas. Segment-specific parameters are added to these market forecasts.

The estimates parameters cover forward-looking information in the following areas:

- Economy (gross domestic product and inflation rate for various regions)
- Direction of interest rates
- Movement in exchange rates
- Bond market (credit spreads)
- Oil prices
- Shipping (in particular charter rates and second-hand prices)
- Real estate prices (broken down by location and type of property)

The impact of this forward-looking information on the credit risk parameters PD and LGD is determined using statistical procedures and is taken into account when calculating the expected credit losses. Within this context, PD and LGD are adjusted to reflect base scenario forecasts. Model overlays take risk factors that are relevant to the valuation into account, unless they are already included in the calculation parameters of the models. In this case, the loan loss provisions are adjusted either directly or indirectly by altering the credit risk parameters to reflect these effects. In addition, the Bank's portfolios are regularly screened for potential climate risks based on the already implemented ESG risk management and ESG stress testing functions. By evaluating ESG-specific key figures for sensitive assets such as CII ratings for ships or energy performance certificates (EPCs) for real estate, HCOB ensures that ESG issues are appropriately factored into the forecasts (e.g. charter and ship prices or property values) and are therefore included in the loan loss provisions calculation by incorporating macroeconomic scenarios.

Significant increase in the loan default risk

In order to assess a significant increase in the loan default risk associated with a financial instrument, Hamburg Commercial Bank uses internal ratings. Within this context, Hamburg Commercial Bank constantly furnishes proof that the change in rating and corresponding change in the 12-month PD takes the main risk drivers into account that lead to the change in the lifetime PD, meaning that changes in rating constitute a suitable assessment criterion for the allocation to stages. In the case of non-substantial modifications, it must be reassessed at the time of modification whether there has been a significant increase in credit risk since the time of initial recognition. The rating of substantially modified financial instruments is determined based on the adjusted conditions.

At Hamburg Commercial Bank, the assessment object that is relevant for the purposes of allocating financial instruments to specific stages is the individual financial instrument as a general rule. The rating of the corresponding debtor that applies at the time of addition to allocated to each financial instrument. One exception relates to securities for which different purchases of the same security are assessed jointly. This involves dividing the purchases in terms of similar credit quality at the time of initial recognition. The securities are then categorized at the level of the ISIN based on the best initial securities rating.

The rating expected, based on the time at which a financial instrument was recognized for the first time, for the reporting date in question serves as a benchmark for assessing a significant deterioration in credit quality. The expected rating is compared with the current rating to determine whether the change in rating that is defined as significant is exceeded. As such, a sector-specific deviation of three or two rating levels was defined as significant. If this is the case then the financial instrument in question is allocated to Stage 2. Otherwise, it remains at Stage 1.

In addition, financial instruments are allocated to Stage 2 at the latest if forbearance measures have been applied to the financial instrument, the default has lasted more than 30 days, or the PD has increased by more than 3 % in absolute terms since the transaction was entered into. In addition, the level of supervision (intensive and restructuring support) and any covenant breaches are also included as indicators of a significant deterioration in credit quality. Since Q3 2025, the credit watchlist has only included customers assigned to intensive support and transferred to Stage 2 based on this classification. In addition, there is a segment-specific trigger for the CRE portfolio, according to which an LTV >= 85 % leads to classification in Stage 2.

The application of collective staging as a transfer criterion is possible, based on expert judgment, several similar exposures may be manually assigned to Stage 2 if the credit quality of this portfolio has clearly deteriorated. As at December 31, 2025, there was no reason to apply this criterion.

The Bank does not make use of the option set out in IFRS 9.5.5.10, which allows financial instruments with a low risk of loan default to be assigned to Stage 1.

A financial instrument is transferred from Stage 2 to Stage 1 if the loan default risk is no longer significantly increased based on the rating.

Definition of default

On the basis of the permission of the Governing Council of the ECB (banking supervision) of March 13, 2020, the default guideline of the Hamburg Commercial Bank was adjusted effective from March 21, 2020.

This implemented requirements of the ECB and the EBA respectively, which clarified the application of the default definition under Article 178 of EU Regulation No. 575/2013 with the detailed guidance EBA/GL/2016/07.

Financial assets that are credit-impaired within Stage 3

Defining Stage 3 of the impairment model involves assessing on each reporting date whether there are objective indications of an impairment that could have a detrimental impact on the expected future cash flows from the financial instrument.

The criteria for the impairment of loans essentially comprise considerable financial difficulties of the debtor as well as indications of a massive and permanent inability to service debt, whereby an improvement in the situation cannot be demonstrated. In the case of securities, Hamburg Commercial Bank's holdings are first filtered using a trigger test, and the triggered securities are then approved.

Triggered are those securities to which at least one of the following trigger events applies.

Price-based trigger events

- Credit spread induced loss compared to the acquisition value at the end of each month of the last 12 months of at least 10 % in the respective nominal currency.
  or
- Credit spread induced loss against the acquisition value at the end of a month of the last 6 months of at least 20 % in the respective nominal currency.
  or
- Credit spread induced loss of at least 10 percentage points between the last assessment date and the current reference date (3 months).

Rating-oriented trigger events
The following trigger events, driven by rating changes by the rating agencies Moody's, S&P, or Fitch certified in accordance with the EU Rating Regulation, are defined for the period between the last assessment point and the current reporting date:

- Rating downgrade of at least 3 notches within the investment grade range
  or
- Rating downgrades to the sub-investment grade range
  or
- Any rating downgrade within the sub-investment grade range
  or
- Rating below B/B2.

Loans and securities with objective evidence of impairment are accounted for by setting up specific loan loss provisions for the receivable in question. To calculate the amount of the individual valuation allowance, the net present value of the anticipated cash flows arising from the loan or advance – that is achievable amount – is compared to its carrying amount. The anticipated cash flows may comprise capital repayments, interest payments, or the proceeds from disposal of collateral less the liquidation costs. The realizable amount is calculated using various scenarios and compared against the carrying amount. If the carrying amount is higher than the realizable amount for the scenario in question, then this scenario results in a loss in the amount of the difference. The specific loan loss provision is set up in the amount of the average losses from among the various scenarios, weighted to reflect the probability of occurrence.

Assessments as to the need for loan loss provisions are frequently made on the basis of information which is partly provisional in nature (e.g. planned restructuring of borrowers, draft reorganization reports) or subject to increased volatility (e.g. collateral value of real estate and ships). This results in increased uncertainty regarding estimates of key parameters of loan loss provisions. In such cases the large degree of uncertainty is mainly due to the assessment of expected cash flows which are dependent on borrowers, industries, the assessment of the overall economy among other factors. The assumptions made are subject to a periodic review and are adapted to the changed underlying conditions where necessary.

If the estimate of the expected cash flows leads to the complete reversal of a debtor's specific loan loss provisions, the sustainability of the debtor's recovery must be determined: A recovery is only deemed to have occurred after various conditions have been fulfilled. This includes making substantial and regular payments and catching up on the debt service not made in the event of default. In addition, there must be no signs of a default event (e.g. "90 days past due" or "unlikely to repay") and a period of good behavior is required. Depending on the default event, this lasts at least 92 or 366 days, respectively. During this period of good conduct, the debtor is still considered to be in default.

Recognition of impairment losses in the balance sheet
As the recognition of the impairment depends on the category of financial assets, the following distinctions must be made with regard to measurement:

a. Financial instruments which are measured at amortized cost
   Impairments to loans and advances to banks and customers are recorded in separate valuation allowance accounts under the item Loan loss provisions. Loan loss provisions thus created are utilized at the time when the amount of the actual loss is determined or the receivable defaults. Irrecoverable receivables for which no specific loan loss provisions existed are written off directly, as is the case for losses in the case of impaired receivables which exceed the recorded loan loss provisions.
b. Financial instruments which are measured at fair value in OCI and are not recognized in the income statement
   In cases involving these financial instruments, the cumulative income previously recognized in equity is reclassified to profit or loss. If the reasons for impairment no longer apply, a reversal of the write-down up to the amount of amortized cost is made in profit or loss. The effect of the change in fair value is recognized directly in equity in the revaluation reserve in other comprehensive income (OCI).

c. Purchased or originated credit-impaired financial assets (POCI)
Financial instruments that are purchased or originated credit-impaired are assigned to a separate Stage 4. The criteria for classification as purchased or originated credit-impaired are the same as for general classification. The general approach pursuant to IFRS 9.5.5.1 does not apply to these financial instruments. No loan loss provisions are set up through profit or loss at the time of initial recognition. The subsequent measurement reflects changes in the cash flows expected by the lender, taking into account the expected loan losses in subsequent periods through profit or loss as loan loss provisions. Reversals of impairment losses are also to be reflected in loan loss provisions. The loan losses expected at the time of initial recognition are distributed over the term of the loan using the credit-adjusted effective interest rate. In the event that the debtors recover, they must still be assigned to Stage 4. In such cases, however, the calculation method is based on the standard credit risk parameters in the same way as for Stage 2 cases.

For the off-balance-sheet business, expected losses are also calculated on the basis of the three-stage model and recognized as provisions in the lending business.

E) DETERMINING FAIR VALUE

Under IFRS 13, the fair value represents the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. The fair value of financial instruments is determined on the basis of the listed price on an active market (mark-to-market), or if this is not possible on the basis of recognized valuation techniques and models (mark-to-matrix or mark-to-model). Irrespective of whether and to what extent the inputs applied in determining the fair value are observable in the market, financial instruments are assigned to one of the three fair value hierarchy levels as defined in IFRS 13.

Fair value can be determined using the mark-to-market method if a market price is available at which a transaction could be entered into or has been entered into for an identical financial instrument as at the measurement date. This is generally the case for exchange-traded shares that are traded on liquid markets. Such an unadjusted market price at the measurement date for the identical instrument is classified as level 1 of the valuation hierarchy under IFRS 13. If such a market price is not available for the identical instrument, the measurement is carried out using valuation techniques or models.

VALUATION TECHNIQUES AND MODELS

When using valuation techniques, the market approach is the preferable method for determining the fair value. The fair value is determined to the extent possible on the basis of prices that come from transactions executed on the measurement date. If the fair value cannot be determined from market or transaction prices for the identical financial instrument, the prices of comparable financial instruments or indices, which are representative for the financial instrument, are used as an alternative and adjusted where necessary (mark-to-matrix method). The fair value is assigned to Level 2 of the fair value hierarchy if the adjustment to the prices or parameters observable in the market is not material. However, if the adjustment is material and affects unobservable inputs, the fair value is assigned to Level 3.

The fair value is determined based on the income approach using a valuation model if the market approach using the mark-to-market or mark-to-matrix method is not possible or is not of sufficient quality. Where available, inputs observable in the market as well as quality-assured market data from appropriate pricing agencies or also validated prices from market partners (arrangers) are also used as a primary source for model valuations. Fair values determined by means of model valuations, for which only observable inputs are used or which are only based to an insignificant extent on unobservable inputs, are assigned to Level 2 of the fair value hierarchy. If the fair values determined using valuation models are based to a significant extent on unobservable inputs, they are assigned to Level 3 of the fair value hierarchy.

The fair value of receivables ad liabilities measured at amortized cost is mainly determined by discounting the contractual future cash flows of the financial instruments. In the case of receivables with a default rating, the fair values are determined based on the still to be expected future cash flows.

VALUATION ADJUSTMENTS

If the value of a financial instrument measured at fair value as determined by a valuation technique or model does not take adequate account of factors such as bid-offer spreads or closing costs, liquidity, model risks, parameter uncertainties, and credit and/or counterparty default risks, the Bank makes corresponding valuation adjustments, which a purchaser of similar positions would also take into account. The methods used make partial use of parameters that are not observable on the market in the form of estimates.

Funding costs and benefits arise on the hedging of the risks relating to an uncollateralized OTC derivative with a collateralized OTC derivative. A funding valuation adjustment is determined as part of the method used to determine fair values for derivatives and is included in the fair value of the uncollateralized OTC derivative for funding costs/benefits arising on the provision or receipt of collateral due to the hedging asymmetry of the derivatives.

The value adjustment for the credit risk is determined for OTC derivatives at the level of a group of financial instruments of a business partner (so-called portfolio-based valuation adjustment). This is permitted if the conditions stipulated in IFS 13.49 for a portfolio-based measurement are met.

The portfolio-based valuation adjustment for the credit risk is allocated to assets or liabilities in proportion to the fair value of the asset or liability respectively before the valuation adjustment is taken into account. Allocation only takes place to the assets or liabilities depending on whether there is an excess of assets or liabilities (so-called relative fair value approach – net approach).

DAY ONE PROFIT AND LOSS

The use of a valuation model may give rise to differences between the transaction price and the fair value determined using such a valuation model on the initial recognition date. If the relevant market for determining fair value differs from the market in which the transaction was contracted and the valuation model is not based exclusively on observable parameters, these differences (so-called day one profits and losses) are accrued as day one profit and loss reserves. This reserve is reversed over the term. Implicitly, the time factor is thereby considered material to the difference accrued and is taken into account accordingly, and it is assumed that this is also the procedure that would be followed by a third-party market participant in their pricing.

MEASUREMENT PROCESSES

The Bank has implemented various processes and controls for the purpose of determining the fair values of financial instruments and has embedded principles regarding the use of measurement methods in a guideline in the written rules of procedures. These measures also ensure that financial instruments to be assigned to Level 3 of the fair value hierarchy are measured in accordance with IFRS 13. The Risk Control business unit, which is independent of the Bank's market departments, is responsible for ensuring that the measurement methods applied are in accordance with external accounting requirements. Information available on the methods applied by other market participants is also taken into account in this regard.

Fair values of financial instruments assigned to Level 3 are determined again on a periodic basis – but at least on a monthly basis. Any changes in value that have occurred since the previous period are reviewed for plausibility. As part of internal price validation, the information observable on the market, such as transaction prices or characteristics of valuation parameters, is also used where available. If there are material differences between the fair values determined by the Bank and prices offered by counterparties, the valuation model used is subjected to an ad hoc validation process.

F) HEDGE ACCOUNTING

Hamburg Commercial Bank makes use of the option provided for in IFRS 9 of continuing with portfolio fair value hedge accounting subject to the provisions set out in IAS 39. Changes in the value of items in the IFRS 9 measurement categories AC and FVOCI are not recognized through profit or loss. Changes in the value of derivatives are always recognized through profit or loss. If underlying transactions that are not recognized at fair value through profit or loss are hedged by derivatives, this creates a mismatch relating to the measurement/ presentation of the results in the income statement, which does not reflect the economic facts. One way of avoiding these distortions is to use fair value hedge accounting. In fair value hedge accounting, the changes in value of hedged items which are attributable to the hedged risk are recognized through profit or loss.

Hamburg Commercial Bank uses derivatives to hedge market risks resulting from loans, issues, and securities portfolios. Individual loans, issues, and securities items as well as entire portfolios of such financial instruments are hedged in this way.

The Bank uses portfolio fair value hedge accounting to account for portfolio-based hedging relationships in order to avoid distortions in the income statement. Currently only hedges of fair value against interest rate risk are taken into account. Fixed interest rate loans, issued instruments, and securities positions are designated as underlying transactions (hedged items), while only third-party interest rate swaps are designated as hedging instruments.

Where portfolios comprising lending, issuing or securities transactions are hedged by derivatives with non-Group counterparties and this hedging arrangement satisfies the requirements of IAS 39, portfolio fair value hedge accounting is applied. The portfolio fair value hedge on interest rate risks takes into account portfolios of assets and liabilities that are hedged against interest rate risks. This involves an iterative procedure. At the start of the hedging period, the financial instruments in the portfolios are allocated to maturity ranges on the basis of their anticipated maturity or interest adjustment dates, and the hedged amount is then determined at the individual transaction level. The hedging transactions are also allocated at the start of the hedging period. At the end of the hedging period, the hedge is recognized and measured and a new hedge is designated. Changes in the fair value of the hedged amounts of the hedged items that are attributable to the hedged risk are recognized directly in the carrying amount of the hedged item. The fair value changes which are not attributable to the hedged risk are treated in accordance with the general rules for the corresponding IFRS 9 category.

Using fair value hedges accounting requires a series of conditions to be met. These principally relate to the documentation of the hedge and its effectiveness. Hamburg Commercial Bank documents all hedging relationships in accordance with the requirements of IAS 39, including the hedging instrument, the hedged item (underlying transaction), the hedged risk, the result, and the method of measuring effectiveness.

Future changes in value of underlying and hedging transactions are simulated using a regression model within the framework of the prospective effectiveness test. Any actual changes in value are used in retrospective effectiveness testing. Hamburg Commercial Bank uses the dollar offset method for the retrospective effectiveness measurement. This tests whether the relationship between the changes in value of underlying and hedging transactions lies within an interval of 80 % to 125 %.

Changes in value of underlying and hedging transactions in effective hedges which are attributable to the hedged risk are recognized in the result from hedging.

Income and expenses from the amortization of changes in value recognized in the carrying amount of the hedged item (underlying transaction) for portfolio fair value hedging relationships are reported in net interest income. Amounts reversed on the disposals of these hedged items are recognized in net interest income or net income from financial investments in the amount they were realized.

G) DERECOGNITION

A financial asset is derecognized when all material risks and opportunities associated with ownership of the asset have been transferred, i.e. when contractual claims on cash flows from the asset have been extinguished. Where not all risks and opportunities are transferred, Hamburg Commercial Bank carries out a control test to ensure that no continuing involvement due to opportunities and risks retained prevents it from being derecognized. Financial assets are also derecognized if the contractual rights to cash flows have expired or lapsed. Financial liabilities are derecognized when they are repaid, i.e. when the associated liabilities are settled or lifted or when due respectively. If the material contractual elements of an asset of liability are altered, this also results in a derecognition.

H) REPURCHASE AGREEMENTS AND SECURITIES LENDING TRANSACTIONS

Hamburg Commercial Bank only enters into genuine repo transactions. Genuine repo transactions, repo agreements, or sell-and-buy-back transactions combine the spot purchase or sale of securities with their simultaneous forward sale or repurchase, the counterparty being the same in both cases.

For genuine repo transactions with assets sold under repurchase agreements, the securities continue to be recognized by Hamburg Commercial Bank, as the interest, credit rating and other material risks associated with the securities continue to be borne by Hamburg Commercial Bank. According to counterparty, the inflow of liquidity from the repo transaction is shown in the consolidated statement of financial position as a liability either to banks or customers Interest payments are recognized under interest expenses over the term of the transaction. Outflows of liquidity caused by reverse repos are reported as loans and advances to banks or customers. Correspondingly, the securities bought under repurchase agreements are not carried or measured in the statement of financial position. Agreed interest payments are booked as interest income over the term of the transaction. Receivables arising from repos are not netted against liabilities from repos involving the same counterparty, since the criteria for netting are not met.

Securities lending transactions are carried on the statement of financial position in a similar way to genuine repurchase agreements. Lent securities remain in the securities portfolio, while borrowed securities are not capitalized on the statement of financial position. Cash collateral furnished for securities lending transactions is shown as a receivable, while collateral received is shown as a liability. Repo and securities lending transactions are carried out primarily in bonds.

I) FINANCIAL GUARANTEE CONTRACTS

Pursuant to the definitions set out in IFRS 9, a financial guarantee is a contract that requires the issuer of the contract to make specified payments to reimburse the holder of the contract for the loss that the holder incurs because a specified debtor fails to make payment when due under the original or amended terms of a debt instrument. A credit derivative is treated as a financial guarantee if the requirements set out in IFRS 9 are met. Credit derivatives that do not meet the definition of a financial guarantee are allocated, in accordance with the general valuation rules, to the FVPL Held For Trading category and are measured at fair value.

Financial guarantees at Hamburg Commercial Bank are provided in the form of warranties, bank guarantees, and letters of credit. Corresponding contingent liabilities are based on past events that may result in possible liabilities in the future. These liabilities arise as a result of the occurrence of unspecified future events where the amount required to meet them cannot be estimated with sufficient reliability. Financial guarantees are recognized at the higher amount resulting from the calculation of the expected losses in accordance with the impairment provisions set out in IFRS 9 and the premium capitalized at the time of initial recognition, which corresponds to the fair value, less the cumulative earnings contributions recognized in accordance with IFRS 15, with provisions having to be set up if necessary. If the premium payment to Hamburg Commercial Bank is distributed over the term of the financial guarantee, the guarantee will be stated as zero and the premium payment recognized on an accrual basis. If Hamburg Commercial Bank is the holder of a contract, the financial guarantee will be presented as collateral for the Group.

II. Notes on selected items relating to financial instruments in the statement of financial position

CASH RESERVE

Cash on hand, balances with central banks, treasury bills, and discounted treasury notes are stated under cash reserve.

The instruments reported under this item are allocated to the holding categories AC HTC, FVOCIR HAS, and FVPL RES within Hamburg Commercial Bank under IFRS 9 and are measured accordingly.

RECEIVABLES

Loans and advances to banks and customers mainly comprise money market transactions, loans, and promissory note loans, but also securities which are registered securities and non-negotiable bearer debentures. Financial assets are allocated to the AC HTC, FVOCIR HAS, FVPL RES, FVPL DFV, FVPL HAS, and FVPL HTC holding categories, resulting in the corresponding subsequent measurement.

Loans and receivables in the "AC assets" reporting category are reported in gross terms, i.e. before the deduction of impairments. Impairments are shown in the separate item Loan loss provisions, which is shown under loans and advances as a deduction. Financial instruments in the FVPL Other, FVPL Designated and FVOCI Mandatory reporting category are reported in net terms. Accrued interest is also allocated to this item in the statement of financial position. Where loans and receivables have been acquired or incurred with the intention of trading, they are stated under trading assets.

Depending on their classification, interest income from loans and advances to banks and customers is recognized under interest income from AC and FVOCI financial assets or interest income from other financial instruments, lending, and money market transactions. Premiums and discounts are accrued using the effective interest rate method. If, in the case of non-genuine securitization transactions, loans and advances are not derecognized and the risk on such loans and advances remains fully with Hamburg Commercial Bank, any necessary loan loss provisions are recognized solely on our original loans and advance amounts.

POSITIVE AND NEGATIVE MARKET VALUE OF HEDGING DERIVATIVES

The item shows the market value of derivatives that have a positive or negative fair value and that are used in hedge accounting. Only interest rate and cross currency interest rate swaps are taken into account as hedging instruments currently. If a derivative is only partially designated under hedge accounting, this item contains the corresponding share of that derivative's fair value. In these cases, the remainder is stated under trading assets or trading liabilities.

The change in value attributable to the hedged risk from portfolio fair value hedge relationships is recognized directly in the carrying amount of the transaction in accordance with IAS 39.89 (b).

TRADING ASSETS AND TRADING LIABILITIES

Only financial assets in the FVPL HFT holding category are reported under trading assets. These include primary financial instruments held for trading purposes, particularly fixed income securities and pro rata interest, and also equities and other trading portfolios. Loans and loan commitments with hard syndication conditions are also reported here. A significant component continues to be derivatives with a positive market value which are either trading derivatives or not designated as a hedging derivative because they do not meet the requirements of hedge accounting.

The valuation results from changes in fair value are recognized in the result from financial instruments categorized as FVPL. Interest income and expenses for derivatives are also recognized under this item. Only the interest income from investment swaps, cross-currency swaps and the amortization of derivatives in a micro fair value hedge relationship are reported in the net interest income. Commission income and expenses are recognized in net commission income.

In a similar way to trading assets, trading liabilities only include financial obligations belonging to the FVPL HFT holding category, which includes derivatives with a negative market value which are either trading derivatives or which have not been designated as hedging derivatives because they do not meet the requirements of hedge accounting.

FINANCIAL INVESTMENTS

Financial investments include all securities not acquired for trading purposes (mainly debt securities and equities) and equity holdings in non-affiliated companies under commercial law. The equities and equity holdings in non-affiliated companies are mainly categorized as FVPL RES. The dominant business model for debt securities is Hold & Sell, meaning that most of them are categorized as FVOCIR HAS.

The products included in this item include fixed-interest securities including accrued interest, shares and other non-fixed-interest securities, holdings in unconsolidated affiliated companies, and holdings in joint ventures and associates not carried at equity.

All realization effects from FVOCIR HAS securities are reported in net income from financial investments, while realizations of AC HTC securities are reported in the result from the disposal of financial assets classified as AC. All valuation results associated with impairments in these two holding categories are shown under loan loss provisions. The effects on earnings resulting from the measurement and disposal of FVPL items within financial investments are shown in the result from financial instruments categorized as FVPL.

If a decision had been made on the disposal of financial investments and this disposal had been initiated as at the reporting date, and it is highly probable that it can be completed within the following 12 months, these financial investments are reclassified as "Non-current assets held for sale and disposal groups".

FINANCIAL INVESTMENTS ACCOUNTED FOR USING THE EQUITY METHOD

In this item, HCOB reports shares in associates and joint ventures that are accounted for in the consolidated financial statements using the equity method. Such ownership interests are measured in accordance with the guidelines of IAS 28 in conjunction with IFRS 11.

For the impairment testing of financial investments accounted for under the equity method, the total carrying amount of the investment measured under the equity method is assessed for impairment as a single asset in accordance with IAS 36. Its realizable amount is always compared with the carrying amount for this purpose, if there are indications on applying IAS 28 that the investment could be impaired.

The realizable amount is defined as the greater of fair value less costs to sell and value in use (for information on the calculation of the value in use, please refer to Note 5.III).

LIABILITIES

Liabilities that are not instruments defined as trading liabilities include financial obligations in the "AC liabilities" and "FVPL Designated" reporting categories. As a result, the relevant holding categories are AC LIA and FVPL DFP. The relevant instruments are recognized as liabilities to banks, liabilities to customers, subordinated liabilities, and debt securities issued.

Financial liabilities are recognized at fair value at the time of issue plus transaction costs, which generally corresponds to the transaction price. In subsequent periods, debt classed as AC liabilities is measured at amortized cost applying the effective interest method. Changes in the value of these financial instruments are only recognized when the relevant instrument is sold. Differences between acquisition costs and the repayment amount (e.g. premiums and discounts) are allocated within net interest income through profit or loss in line with the effective interest rate method. Valuation results resulting from financial instruments in the "FVPL Designated" reporting category are recognized in the result from financial instruments categorized as FVPL.

Repurchased own debt securities are set off against debt securities issued. For repurchased debt securities categorized as FVPL DVP, the non-recyclable pro-rata credit rating-driven effects from own issues measured at fair value through profit or loss, which were initially recognized in the revaluation reserve, are transferred to retained earnings.

SUBORDINATED CAPITAL

Subordinated liabilities, silent participations, and profit-sharing certificates are shown under subordinated capital, due to their different nature compared with other liabilities. No obligation to other creditors for premature redemption of subordinated liabilities is possible. In the case of liquidation or insolvency, subordinated liabilities may only be repaid after the claims of all senior creditors have been met.

Subordinated capital categorized as AC liabilities is recognized and measured initially at fair value (taking the transaction costs into account) and at amortized cost subsequently. Premiums and discounts are allocated on a constant effective interest rate basis via net interest income.

III. Notes on other items in the statement of financial position

INTANGIBLE ASSETS

Software acquired or developed in-house and acquired goodwill are accounted for under intangible assets. In accordance with IAS 38.21, Hamburg Commercial Bank capitalizes software development costs if the production of the in-house software is likely to generate an economic benefit and the costs can be reliably determined. If the criteria for capitalization are not met, expenses are recognized in profit or loss in the year they are incurred. Subsequent costs are only to be capitalized if they lead to a significant improvement of the software in the form of an expansion of the software's functionality.

The initial measurement of intangible assets is made at acquisition or production costs in accordance with IAS 38.24. They are subsequently measured at amortized acquisition or production cost.

Software developed in-house is subject to linear depreciation over two to ten years.

If there are indications of impairment, intangible assets are subject to an impairment test. For this test, the carrying amount of the intangible assets is compared with the realizable amount. The realizable amount is defined as the greater of fair value less costs to sell and value in use. An asset is impaired if its carrying amount exceeds its realizable amount. Intangible assets with an indefinite useful life, intangible assets not ready for use, and goodwill are subject to an annual impairment test even if there are no signs which suggest impairment.

PROPERTY, PLANT, AND EQUIPMENT

Property, plant, and equipment comprises land and buildings, including rights of use related to property rented under a lease agreement that conforms to the definition of investment property; plant and equipment; and leasing assets under operating leases where Hamburg Commercial Bank acts as lessor. With the exception of rights of use in accordance with IFRS 16, property, plant, and equipment is carried at cost less scheduled straight-line depreciation in accordance with their expected useful lives. The treatment of rights of use in accordance with IFRS 16 is explained in the following section IV "Leasing transactions". Subsequent costs of acquisition or production are capitalized provided they increase the economic utility of the asset concerned. Interest paid to finance acquisition costs of property, plant, and equipment is recorded as an expense in the period concerned.

Physical wear and tear, technical obsolescence, and legal and contractual restrictions are taken into consideration when determining useful life. For property, plant, and equipment, linear depreciation is calculated over the following periods:

Tangible fixed asset category

	Useful life in years
Buildings	50
Leasehold improvements	The residual maturity is determined on the basis of the remaining period of the lease.
Other operating equipment	3–15
Lease assets from operating leases in which Hamburg Commercial Bank acts as a lessor	Customary useful life
Rights of use from leasing (property, plant and equipment lessee)	Contractual, non-terminable basic leasing period, taking into account highly probable renewal or termination options

Property, plant, and equipment is reviewed at each reporting date for signs which suggest impairment. If this is the case, the recoverable amount is compared with the carrying amount. If the carrying amount exceeds the recoverable amount, a write-down is recognized in profit or loss under administrative expenses.

Gains and losses from the disposal of property, plant, and equipment are shown under the other operating result in the income statement. Repairs, servicing, and other maintenance costs are recorded as an expense in the period concerned.

INVESTMENT PROPERTY

Under the Investment property item, all property (land or buildings including the right-of-use assets resulting from properties rented as part of a lease that meet the requirements for definition as investment property) is recorded that is held to earn rent or for capital appreciation but is not used in the production or supply of goods or services of the Bank. For mixed-use properties, a percentage allocation of the carrying amount is made. Owner-occupied properties are reported under property, plant, and equipment; rented-out or empty parts are reported as investment property. The properties are recognized at acquisition cost and depreciated on a straight-line-basis. A useful life of 50 years is used for depreciation purposes. At the reporting date, checks are performed to determine whether there are any indications of impairment. If this is the case, the recoverable amount is compared with the carrying amount. If the carrying amount exceeds the recoverable amount, a write-down is recognized in profit or loss under administrative expenses.

The capitalized income method is used in determining the fair value of investment properties, using market data from internal certified appraisers. The fair value is disclosed in Note 27.

NON-CURRENT ASSETS HELD FOR SALE AND DISPOSAL GROUPS AND LIABILITIES RELATING TO DISPOSAL GROUPS

Non-current assets whose carrying amounts will be predominantly or primarily realized through a sale and not through continuing use must be classified as held for sale in accordance with IFRS 5 on the condition that a sale has already been decided on and initiated as of the reporting date, and is extremely likely to be completed within the following twelve months.

A disposal group is a group of assets which are sold to the same purchaser in a single transaction and at a single price. A disposal group can also include liabilities – if these are taken over by the purchaser together with the assets. Hamburg Commercial Bank recognizes as disposal groups and liabilities relating to disposal groups specifically the assets and liabilities of consolidated subsidiaries which meet the requirements of IFRS 5 for classification as held for sale.

Non-current assets held for sale and disposal groups are to be measured at the lower of carrying amount or fair value less sale costs. Financial instruments continue to be measured according to the requirements of IFRS 9.

PROVISIONS

Provisions are created where the Group has existing legal and actual obligations resulting from previous events and it is likely that meeting the obligation will require an outflow of resources and a reliable assessment of the amount of the obligation can be made. Provisions are examined and redetermined at least quarterly.

PENSION PROVISIONS

The majority of employees of Hamburg Commercial Bank AG as well as employees of several domestic subsidiaries are entitled to benefits from different staff pension plans, which include both defined contribution and defined benefit plans.

In the case of defined contribution plans, contractual relationships exist with Provinzial NordWest Lebensversicherung AG for direct insurance policies partly financed by employees. As the insurance company is required to be a member of Protektor Lebensversicherungs-AG, the insured employees are protected against its insolvency, meaning that Hamburg Commercial Bank AG is not burdened even in the event of Provinzial NordWest Lebensversicherung AG's insolvency. These direct insurance policies represent insured benefits and are treated as defined contribution plans.

In the case of the defined benefit plans, the amount of benefit depends on various factors, such as age, salary, and length of service. Pension plans include specifically retirement and disability pensions and survivor benefits. They are based primarily on employment contracts of Landesbank Schleswig-Holstein Girozentrale, the retirement plan of Hamburgische Landesbank Girozentrale, retirement pension guidelines of the Hamburgische Landesbank Girozentrale relief fund, the pension plan of Hamburgische Landesbank Girozentrale, and Section 2 (4) of the Investment Bank Act in the version of January 23, 1998. The pension payment depends on the final salary paid immediately prior to retirement – the salary trend up to retirement is irrelevant (no performance components). The pension plans provide for on-going pension payments and not capital payments. Minimum guarantees are not provided for. Pension provisions for defined benefit plans are equivalent to the net present value of the pension entitlements earned as of the reporting date, factoring in anticipated wage and salary increases and the trend in annuities. Calculations are based solely on actuarial reports based on IAS 19, which are prepared by independent actuaries using the projected unit credit method.

These defined benefit plans were closed in 2002.

Hamburg Commercial Bank AG also participates in a multi-employer plan which is run by BVV Versorgungskasse des Bankgewerbes e.V. Contributions are regularly paid with participation from the employees. The BVV tariffs provide for fixed pension payments with profit participation. For BVV, employers have a subsidiary liability for the liabilities of their employees. Hamburg Commercial Bank AG classifies the BVV plan as a defined-benefit joint pension scheme provided by a number of employers. As the BVV relief fund does not fully allocate its assets neither to the beneficiaries nor the member companies and as the information available for its accounting treatment as a defined benefit plan is insufficient to be able to allocate the assets and pension obligations to the current and former employees of the individual member companies, the plan is treated as a defined contribution plan for accounting purposes. It appears unlikely that there will be any call based on the statutory subsidiary liability.

The remeasurement of net defined benefit pension obligations is disclosed under other net income and under equity in retained earnings in the year in which they arise. Pension provisions are discounted as long-term liabilities. The interest expense included in pension expenses is recognized as part of net interest income.

The following assumptions are made in calculating direct benefit pension liabilities:

Actuarial assumptions

	2025	2024
Discount rate		
Domestic	4.22 %	3.53 %
Foreign (weighted)	4.22 %	3.53 %
Salary growth (weighted)	2.0 %	2.0 %
Adjustment rate for pensions		
Domestic		
Employment contract 1 / old pension provision rules	individual	individual
New pension provision rules (weighted)	2.0 %	2.0 %
Employment contract 4 (weighted)	2.0 %	2.0 %
Mortality, invalidity, etc.	Based on the 2018 G tables of K. Heubeck	Based on the 2018 G tables of K. Heubeck

Actuarial assumptions are subject to a sensitivity analysis as described in Note 36.

Defined benefit pension plans are partly financed from assets and qualified insurance policies used exclusively for pensions (plan assets). Most of the plan assets result from a trust structure set up by Hamburg Commercial Bank in 2020. This involved the establishment of an association, HCOB Trust e.V. ("Trust"), Hamburg, which has concluded a bilateral contractual trust agreement (CTA) with the Bank. With the CTA, the Bank has established an insolvency-protected asset fund, which provides additional security for pension liabilities in the event of the Bank's insolvency. This structure enables the Bank to actively manage its pension obligations in order to make targeted investments in a wide range of assets from a risk-return perspective and thus generate the necessary funds to cover its pension obligations. On the balance sheet, the assets tied up in the trust qualify as plan assets under IAS 19.8. Plan assets are measured at fair value and recognized in the statement of financial position as reducing provisions. Where the fair value of the plan assets exceeds the amount of the obligations, the excess amount is disclosed under other assets as capitalized plan assets. Claims for reimbursement for pension benefits paid from the plan assets that have not yet paid out to the Bank are recognized as receivables in other assets.

OTHER PROVISIONS

Other provisions include provisions in the lending business, for restructuring, for litigation risks and costs, for personnel expenses (without pensions), and other provisions.

Provisions in the lending business are created, among other reasons, for any sudden calls to pay under warranty bonds, guarantees, and letters of credit. The parameters used for the calculation are presented in the section "Loan loss provisions and impairment of financial instruments" (Note 5.I.D).

Provisions for restructuring are created to the extent Hamburg Commercial Bank has developed and communicated a sufficiently detailed plan for such measures and had started to implement such plan. As soon as the obligation is sufficiently certain or can be quantified – e.g. through the signing of agreements – it is transferred to other liabilities or provisions for pensions and similar obligations as a matter of principle.

Provisions for litigation costs comprise expected payments for court costs as well as for non-court costs in connection with litigation, such as attorneys' fees and other costs. For litigation in progress, only costs for the current jurisdictional level may be included within the provision.

Provisions for litigation risks are to be created when Hamburg Commercial Bank AG or any of its consolidated subsidiaries is the defendant in an action and the probability that the Bank will lose the action is presumed to be greater than 50 %. Provisions include only payments for probably liability for damages and fines as well as costs of litigation at the current level of appeal. The general measurement rules on provisions apply. The mandatory disclosures defined in IAS 37.86 are made for litigation risks that are not considered likely to arise, but which cannot be entirely excluded, unless in individual cases prerequisites according to IAS 37.92 occur and the disclosure can be omitted.

Under provisions for personnel expenses, in general all outstanding benefits within the personnel expenses are presented, with the exception of pension obligations. At Hamburg Commercial Bank, these include, in particular, provisions for variable performance-related pay, severance payments, partial retirement, and long-term credits for hours. Provisions for anniversary payments and partial retirement are accounted for based on actuarial expert reports.

In accordance with IAS 37, provisions are mainly determined based on the best estimate of management. The most likely amount necessary to meet the obligations identifiable on the reporting date is recognized. Long-term provisions are reported at present value to the extent discounting effects are significant. For discounting purposes, interest rates that are valid on the reporting date and are term-appropriate are used based on risk-free interest curves. Addition of accrued interest to be performed during the reporting year is reported under net interest income.

INCOME TAX EXPENSE

Current tax assets and liabilities are stated at the amount of the anticipated refund from, or payment to, the tax authorities, applying the tax provisions of the countries in question. If there is any uncertainty with regard to the tax treatment of individual items, the most probable value will generally be recognized.

Deferred tax assets are recognized for all deductible timing differences between the value of an asset and liability as measured by IFRS standards and its assigned value in tax terms and for tax loss carryforwards, to the extent that it is probable that future taxable profit will be available against which these deductible timing differences and tax loss carryforwards can be utilized. Deferred tax liabilities are created for all taxable temporary differences. Deferred tax liabilities are calculated using the tax rates and rules anticipated to be valid at the time when the deferred tax assets are to be realized. The effects of tax rate changes on deferred taxes are taken into account on adoption of the legislative amendments. Deferred income tax assets are recognized and measured as deferred income tax claims and deferred tax liabilities as deferred income tax liabilities. In accordance with IAS 12.4A, no deferred tax assets in connection with the minimum tax law and corresponding foreign regulations are recognized.

Expenses and income from deferred taxes are recognized on an accrual basis in the income statement under income taxes, separate from actual tax expenses and income. In doing so, the accounting treatment of the underlying situation is taken into account. Deferred taxes are recognized in the income statement if the item in the statement of financial position itself is recognized in profit or loss. Deferred taxes are charged or credited directly to equity in OCI if the underlying item itself is charged or credited directly to equity (IAS 12.61A).

Hamburg Commercial Bank prepares tax results planning for the purpose of assessing the recoverability of deferred tax assets. This tax results planning is derived from the corporate planning relevant at the time.

At each reporting date Hamburg Commercial Bank makes an assessment as to whether the realization of future tax benefits is sufficiently probable to recognize deferred tax assets. Amongst other things, this requires a management assessment of the tax benefits that arise from the existing tax strategies and future taxable income as well as the consideration of other positive and negative factors. The deferred tax assets recognized could decrease if the estimates of the planned taxable income and the tax benefits achievable under the existing tax strategies are revised downwards, or if changes to current tax legislation restrict the timing or extent of the realizability of future tax benefits.

OTHER ASSETS AND OTHER LIABILITIES

All remaining assets and liabilities not allocable to any other item are stated in the other assets or other liabilities. These include, for example, accrued expenses and income.

The general recognition and measurement criteria for assets are observed. Initial recognition is at cost. For financial instruments included in this item, the provisions of IFRS 9 apply.

IV. Leasing transactions

According to IFRS 16, an agreement contains a lease if it entitles the lessor to control the use of an identified asset for a specified period of time against payment. Hamburg Commercial Bank assesses whether a lease exists at the beginning of a contract.

The business volume of Hamburg Commercial Bank in the form of leases – those in which Hamburg Commercial Bank acts as both the lessee and the lessor – is of very minor importance overall.

LESSEE

Leasing transactions in which Hamburg Commercial Bank acts as the lessee are used to lease real estate (mainly Group business premises), technical equipment, and machinery for operating and office equipment, as well as motor vehicles.

Taking into account materiality aspects and making use of the relief provisions for low-value and short-term leases (IFRS 16.5) and the option for leases of intangible assets (IFRS 16.4), the scope of application of IFRS 16 at Hamburg Commercial Bank as a lessee is limited to property held under operating leases. In order to confirm the immateriality of the remaining leases, Hamburg Commercial Bank regularly carries out a materiality test, in which the effects of applying the standard to these leases are simulated and the effect on net assets, financial position, and results of operations as well as qualitative aspects are analyzed. Payments for leases that Hamburg Commercial Bank exempts from the scope of IFRS 16 are recognized in the income statement under the other operating result in the reporting period in which they are incurred.

In accordance with IFRS 16, leases are capitalized as rights of use in property, plant, and equipment or investment property at the time when the leased asset is available for use by the Group, and a corresponding liability from the lease payments is recognized under other liabilities. Each lease payment is divided into repayment and financing expenses. The latter are recognized as interest expense for other liabilities over the term of the lease.

Calculating the amount of a lease liability and the right of use associated with a lease implies estimates regarding the lease term, particularly against the backdrop of possible termination or renewal options. With regard to the real estate leases relevant for IFRS 16 at Hamburg Commercial Bank, an extension of the term by exercising a contractual extension option (or a shortening of the term by exercising a termination option) without a specific resolution of the Management Board cannot be regarded as sufficiently certain, which is why (until a specific resolution is available) only the contractually agreed term is used for calculation.

Hamburg Commercial Bank also applies the provisions on sale and leaseback transactions within the meaning of IFRS 16.98 et seq. In this context, HCOB leases back an asset of the lessor after having previously sold the asset to this entity.

If the transfer of this asset by the lessee meets the requirements for a sale set out in IFRS 15, HCOB, as seller and lessee, recognizes a right-of-use asset measured at the pro rata residual carrying amount of the asset at the date of the transfer in proportion to the use granted by the lessor. In accordance with IFRS 16.100 (a), the lessee recognizes the difference between the value of the right of use and the residual carrying amount in profit or loss in the period in which the right of use is recognized. For a transitional period, the main building of Hamburg Commercial Bank was recognized under property, plant, and equipment in the 2020 financial year, before it was sold in a sale and leaseback transaction.

Rights of use and lease liabilities are recognized at their present value on addition. In the absence of sufficient information on the interest rate inherent in each lease, Hamburg Commercial Bank uses a uniform marginal borrowing rate appropriate to the term of the lease to determine the present value of the lease liability, based on the Bank's liquidity costs.

LESSOR

A distinction is made between finance and operating leases. The allocation depends on whether substantially all risks and rewards are transferred to the lessee or not. A finance lease is considered to be present where the economic risks and rewards as defined by IFRS 16 lie with the lessee; consequently, the leased asset is reported in the latter's statement of financial position. All other leasing arrangements are classified as operating leases. The classification is made at the beginning of each lease.

Finance lease

In finance lease transactions in which Hamburg Commercial Bank acts as lessor, a receivable corresponding to the net investment value is recognized. Depending on the lessee, they are reported either under loans and advances to banks or under loans and advances to customers

Leasing rates due are divided into a repayment part which is not recognized in profit or loss and an interest part which is. The part taken to profit or loss is recognized in net interest income.

Impairments of finance lease receivables attributable to changes in credit risk are recognized in loan loss provisions. Impairments not attributable to changes in credit risk, such as the impairment of the non-guaranteed residual value of a leasing receivable, are recognized in other operating expenses.

Operating lease

As lessor, Hamburg Commercial Bank states leasing objects as assets measured at amortized cost under property, plant, and equipment or as investment property. Leasing instalments received are stated under the other operating result, and the corresponding depreciation is stated in administrative expenses.

V. Currency translation

The consolidated financial statements of Hamburg Commercial Bank are drawn up in euros. The euro is the functional currency of the overwhelming majority of the individual financial statements included in the consolidated financial statements. However, some Group companies have another functional currency.

The following principles are applied when translating foreign currency items within single entity financial statements and for translating the financial statements of Group companies that do not draw up their accounts in euro.

PRESENTATION OF FOREIGN CURRENCY TRANSACTIONS IN THE CONSOLIDATED FINANCIAL STATEMENTS

Initial measurement of assets and liabilities from all foreign currency transactions takes place at the spot rate for the transaction.

In subsequent measurement, monetary items are translated based on the spot mid-rate as of the reporting date. Non-monetary items that are stated in the statement of financial position at fair value are translated using the spot mid-rate applicable at the time of measurement and any other non-monetary items at the historical rate.

Expenses and income in foreign currency arising from the measurement of items in the statement of financial position are translated using the rates applied for translating the items in question. The transaction rates are used for all other expenses and income.

For monetary and non-monetary items measured at fair value, currency translation differences are always recognized in the income statement of the period when the result arose.

TRANSLATION OF FINANCIAL STATEMENTS PREPARED IN FOREIGN CURRENCY FOR INCLUSION IN THE CONSOLIDATED FINANCIAL STATEMENTS

Assets and liabilities from financial statements denominated in foreign currencies are translated at the period-end rate. Average rates for the reporting period are used to translate expenses and income. In the reporting period, the Bank used average exchange rates for the translation of expenses and income. With the exception of the revaluation reserve reported to be included in the financial statements, which is translated at the closing rate, equity is translated at historic rates (date of the transaction).

Any differences arising from this method of translation are reported under OCI and under equity in the currency conversion reserve.

HEDGING OF FOREIGN CURRENCY RISKS FROM THE TRANSLATION OF FINANCIAL STATEMENTS OF FOREIGN OPERATIONS

Hamburg Commercial Bank hedges foreign currency risks resulting from the translation of financial statements of foreign operations from their own functional currency into the reporting currency of the parent company. By hedging net investments in foreign operations, corresponding currency translation differences are compensated directly in equity without affecting profit or loss. The Group exclusively uses non-derivative financial instruments to hedge foreign currency risks. The effective portion of the measurement of these financial instruments is recognized directly in equity in the currency conversion reserve.

Notes to the consolidated income statement

6. Net interest income

Net interest income

(€ mn)	2025	2024
Interest income from		
lending and money market transactions categorized as AC and FVOCI	1,146	1,395
fixed-interest securities categorized as AC and FVOCI	263	285
impaired financial assets	16	27
Discounting of provisions	5	4
Interest income from financial assets categorized as AC and FVOCI	**1,430**	**1,711**
thereof attributable to financial assets measured at AC	1,141	1,362
thereof attributable to financial assets measured at fair value in OCI as a mandatory requirement	289	349
Interest income from		
other lending and money market transactions	2	6
other fixed-interest securities	13	28
trading transactions	–	1
derivative financial instruments	67	63
Interest income from other financial instruments	**82**	**98**
Interest expenses for		
Liabilities to banks	67	105
Liabilities to customers	357	476
Debt securities issued	230	301
Subordinated capital	32	41
derivative financial instruments	154	134
Interest expenses	**840**	**1,057**
thereof attributable to financial liabilities not measured at fair value through profit or loss	676	916
Total	**672**	**752**

Net interest income includes income and expenses from the amortization of the line item of hedged items from portfolio fair value hedge relationships as well as corresponding reversal amounts on disposals of these hedged items, provided that the realized result is to be recognized in the net interest income.

For receivables subject to specific loan loss provisions, both the interest income and the loan loss provisions have to be adjusted by multiplying them by the original effective interest rate in net interest income.

7. Net commission income

Net commission income

(€ mn)	2025	2024
Commission income from		
Lending business	19	18
Securities business	1	1
Guarantee business	6	3
payments and account transactions as well as documentary business	21	20
Other commission income	2	2
Commission income	**49**	**44**
Commission expenses from		
Lending business	4	2
payments and account transactions as well as documentary business	2	3
Other commission expenses	15	13
Commission expenses	**21**	**18**
Total	**28**	**26**

Financial instruments that are not measured at fair value through profit or loss account for € 26 million of Net commission income (previous year: € 26 million).

8. Result from hedging

The change in value attributable to the hedged risk for designated underlying and hedging transactions in effective hedging relationships is reported under the item Result from hedging. The item contains the profit contributions from micro and portfolio fair value hedges. Hedge accounting is used solely for interest rate risks.

Result from hedging

(€ mn)	2025	2024
Fair value changes from hedging transactions	25	26
Micro fair value hedge	12	–3
Portfolio fair value hedge	13	29
Fair value changes from hedging transactions	–28	–24
Micro fair value hedge	–13	3
Portfolio fair value hedge	–15	–27
Total	**–3**	**2**

9. Result from financial instruments categorized as FVPL

The result from financial instruments categorized as FVPL includes the realized result and the valuation result of financial instruments in the FVPL Held For Trading, FVPL Designated and FVPL Other categories. The interest income and expense and results from current dividends in these holding categories are reported under the Net interest income item.

Gains and losses arising on currency translation are generally disclosed under this line item of the income statement. Other products comprises income from foreign exchange transactions and credit derivatives.

Result from financial instruments categorized as FVPL

(€ mn)	2025	2024
Loans, bonds, and interest rate derivatives		
FVPL Held For Trading	-25	-13
FVPL Designated	-2	-1
FVPL Other	13	13
Total	**-14**	**-1**
Equities and equity derivatives		
FVPL Other	1	-1
Total	**1**	**-1**
Other products		
FVPL Held For Trading	-	1
FVPL Other	39	-6
Total	**39**	**-5**
Total	**26**	**-7**

Among the other products in the category "FVPL Other," a foreign exchange result of € 38 million (previous year: -€ 7 million) is reported. In addition, the profit participation certificates are reported under the item "Loans, Debentures and Interest Rate Derivatives" in the valuation category "FVPL Other." This resulted in a profit of € 14 million in the reporting year (previous year: € 0 million). In the reporting period, as in the same period of the previous year, no material changes in the fair value of financial assets categorized as "FVPL designated" were determined that were due to changes in the credit spread and not to changes in market interest rates. Cumulatively, an amount of € 3 million (previous year: € 4 million) is attributable to the credit spread changes.

10. Net income from financial investments

This realized results of the FVOCI-categorized financial investments, including the reversal amounts from portfolio fair value hedges, are shown here.

Net income from financial investments

(€ mn)	2025	2024
Realized results from financial assets categorized as FVOCI	7	7
Total	**7**	**7**

11. Result from the disposal of financial assets classified as AC

This item includes realized results from sales (including directly attributable transaction costs), early repayments, and disposals in the context of substantial modifications of financial assets categorized at amortized cost.

In the reporting period, the "Result from the disposal of financial assets classified as AC" mainly comprises income from sales of loans and advances to customers, as well as early repayments of loans and advances to customers and financial investments.

The result from the disposal of financial assets classified as AC included the complete sale of the aviation portfolio. Activities in the Aviation area were discontinued during the reporting year upon completion of the portfolio sale.

The further sales of receivables were carried out in line with the exceptions applicable to the "Hold to collect" business model pursuant to IFRS 9.B4.1.3 A and B.

Result from the disposal of financial assets classified as AC

(€ mn)	2025	2024
Gains from the disposal of financial assets classified as AC		
Loans and advances to customers	11	1
Financial investments	2	2
Total	**13**	**3**

12. Loan loss provisions

This item shows the change in loan loss provisions for all loans and advances to banks, loans and advances to customers, and financial investments, which are categorized as AC or FVOCI, as well as leasing receivables.

Loan loss provisions

(€ mn)	2025	2024
Loans and advances to customers		
Insignificant increase in the loan default risk (Stage 1/12M ECL)	12	5
thereof AC	12	5
Significant increase in the loan default risk (Stage 2/lifetime ECL)	-43	-42
thereof AC	-43	-42
Credit-impaired (Stage 3/lifetime ECL)	-86	-78
thereof AC	-86	-78
Result from the change in loan loss provisions on loans and advances to customers	**-117**	**-115**
Financial investments		
Insignificant increase in the loan default risk (Stage 1/12M ECL)	1	-
thereof FVOCI	1	-
Result from the change in loan loss provisions for financial investments	**1**	**-**
Non-current assets held for sale and disposal groups		
Insignificant increase in the loan default risk (Stage 1/12M ECL)	1	-
thereof AC	1	-
Result from the change in impairments on non-current assets held for sale and disposal groups	**1**	**-**
Off-balance-sheet transactions		
Insignificant increase in the loan default risk (Stage 1/12M ECL)	5	6
Significant increase in the loan default risk (Stage 2/lifetime ECL)	-	-10
Credit-impaired (Stage 3/lifetime ECL)	-2	12
Result from changes in provisions in the lending business	**3**	**8**
Direct write-downs	-2	-3
Recoveries on loans and advances previously written off	7	15
Result of non-substantial modifications	-2	-
Result from other changes to loan loss provisions	**3**	**12**
Total loan loss provisions	**-109**	**-95**

13. Administrative expenses

Administrative expenses

(€ mn)	2025	2024
Personnel expenses	217	184
thereof restructuring expenses and further severance payments	50	18
Operating expenses	144	156
Depreciation on property, plant, and equipment, leasing assets, investment properties, and amortization on intangible assets	17	10
Total	**378**	**350**

Personnel expenses

(€ mn)	2025	2024
Wages and salaries	143	142
Severance payments	50	18
Social security contributions	22	20
thereof employer contributions to government-sponsored pension plans	9	9
Expenses for pensions and support	2	4
Total	**217**	**184**

The increase in personnel expenses can almost exclusively be attributed to severance payments of € 50 million (previous year: € 18 million) recognized in connection with mutually agreed employment terminations.

Operating expenses

(€ mn)	2025	2024
IT costs (incl. IT projects)	74	85
Costs for information services	9	9
Costs for external services and project work	23	21
Legal service costs	9	11
Expenses for land and buildings	6	4
Mandatory contributions and expenses under company law	1	1
Costs of advertising, PR, and promotional work	4	4
Audit and tax consulting services	6	7
Supervisory Board remuneration and expenses	5	6
Insurance policies	4	4
Other operating expenses	3	4
Total	**144**	**156**

Depreciation and amortization on property, plant, and equipment and amortization on intangible assets are broken down as follows:

Depreciation and amortization

(€ mn)	2025	2024
Scheduled depreciation/amortization on		
Plant and equipment	1	1
Real estate	0	1
Acquired software	11	4
Software developed in-house	1	1
Right-of-use assets from leasing	4	3
Total	**17**	**10**

14. Other operating result

Other operating result

(€ mn)	2025	2024
Income		
from reversal of other provisions	39	12
from cost allocations and reimbursement of expenses	10	14
from interest on receivables from the tax authorities	–	1
from VAT refunds of previous years	8	–
Other income	11	25
Total income	**68**	**52**
Expenses		
from additions to other provisions	3	103
from expenses paid in advance for transaction fees, legal fees, servicing	12	13
for interest expense pursuant to Section 233 AO	1	4
Other expenses	15	13
Total expenses	**31**	**133**
Total	**37**	**-81**

Other operating income includes, in particular, income from the reversal of provisions amounting to € 39 million, as well as income from VAT refunds from previous years in the amount of € 8 million. The income from the reversal of provisions and the other income includes the effects of the final settlement of the voluntary Deposit Protection Fund (ESF) of the Federal Association of German Banks (BdB) for the first four years after HCOB's admission to the ESF, totaling € 18 million.

Other operating expenses primarily include paid-in-advance legal costs of € 10 million. The remaining expenses mainly relate to wealth tax (€ 6 million) and interest on the value in dispute (€ 3 million). This item also includes back payments of VAT for previous years amounting to € 1 million.

In the previous year, the other operating result was particularly affected by the allocation to other provisions for legal/litigation costs amounting to approximately € 100 million.

15. Expenses for regulatory affairs, deposit guarantee fund and banking associations

Expenses for regulatory affairs, deposit guarantee Fund, and banking associations

(€ mn)	2025	2024
Expenses for deposit guarantee fund	–	6
Expenses for banking supervisory authority	3	2
Expenses for banking associations	1	1
Total	**4**	**9**

The Bank reports regulatory expenses (European bank levy and contributions paid to the supervisory authorities), the Deposit Guarantee Fund, and membership fees paid to banking associations under this item. The decrease in the income statement item Expenses for the Deposit Guarantee Fund primarily results from the final cumulative settlement of the first four years of participation, under which no annual levy was charged for the BdB's ESF in the 2025 financial year.

16. Income tax expense

Income tax expense

(€ mn)	2025	2024
Corporate tax and solidarity surcharge		
Domestic	8	–
Abroad	3	1
Trade tax		
Domestic	10	–
Current income taxes	**21**	**1**
Income tax from previous years	–1	5
Subtotal current income tax	**20**	**6**
Income from deferred tax		
from temporary differences	28	66
from losses carried forward	76	–52
Subtotal deferred income tax	**104**	**14**
Income tax expense (+)/income (–)	**124**	**20**

Current income tax expenses of € 18 million related to the Head Office and € 3 million relate to foreign branches.

The current tax expense for previous years relates to the expected results of tax audits and adjustments in the tax returns for previous years compared to the respective calculations in the annual financial statements.

The expense relating to deferred taxes on temporary differences amounting to € 28 million in the reporting year is attributable to the reduction of temporary differences at the Head Office and the recognition of future reduced corporate income tax rates.

The expense from deferred taxes on tax loss carryforwards in the amount of € 76 million results from the reversal of deferred tax assets at the Head Office in the amount of € 48 million and in the Luxembourg branch in the amount of € 28 million.

The decrease is attributable, in addition to the utilization of tax loss carryforwards, to the consideration of future reduced corporate income tax rates in Germany and to the reduction of recoverable deferred tax assets based on a recoverability analysis derived from business planning.

Reconciliation of income taxes

(€ mn)	2025	2024
Group net result	165	228
Income tax expense	124	20
Net income before taxes	289	248
Domestic income tax rate to be applied in %	32.16	32.16
Imputed income tax expenses in the financial year	**93**	**80**
Tax effects due to		
changes in the write-down of deferred taxes on losses carried forward	22	-31
differing effective tax rates in Germany and abroad	-23	-25
non-deductible expenses	15	30
of changes in tax rate	19	-
Taxes for previous years	-2	-21
Tax-free income	-	-13
Total tax expense (+)/-reward (-)	**124**	**20**

In calculating taxes for 2025, a tax rate of 32.16 % (previous year: 32.16 %) was used for domestic taxes. For the Group entities in Luxembourg, the tax rate applied was 23.87 % (previous year: 24.94 %). Variations between the locally applied tax rates and the Group tax rate result in a theoretical reduction of tax expenses of € 23 million.

For the Group's German entities, a tax rate change effect of € 19 million resulted from the remeasurement of deferred taxes following the reduction in the corporate income tax rate enacted in 2025 and effective from 2028 onwards.

The expense from the change in the recoverability of deferred taxes on tax loss carryforwards amounts to € 18 million for the Luxembourg branch, and € 4 million for the Head Office as the usability of the loss carryforwards was reassessed on the basis of current corporate planning. The Non-deductible expenses item also includes the changes in permanent measurement differences between IFRS and tax value. The reconciliation effect "Taxes for previous years" comprises, in addition to the effect on current tax expenses shown above in connection with ongoing tax audits, adjustments to deferred taxes resulting from changes in temporary differences and tax loss carryforwards from previous years. Tax-exempt income was only of minor significance in 2025. In the previous year, these mainly related to purchase price adjustments for equity holdings in non-affiliated companies sold in previous years at the Head Office.

As a multinational group of companies, the HCOB Group generates consolidated revenue of more than € 750 million and is therefore affected by the minimum taxation regulations, with business units identified in eight countries. HCOB acts as the ultimate parent company and thus the Group parent. There is no impact on the actual tax expense for 2025. Based on the application of IAS 12.4A, no effects on deferred taxes are recognized.

17 Net gains and losses from financial instruments

Net gains and losses from financial instruments include both realized gains and measurement gains within the result from financial instruments categorized as FVPL, net income from financial investments, net income from the disposal of financial assets categorized at AC, and loan loss provisions in the lending business shown on the statement of financial position. Neither net interest nor net commission income are included in this item.

Net gains and losses from financial instruments

(€ mn)	2025	2024
FVPL Held For Trading, Other, Designated	26	–7
AC assets and liabilities	–97	–92
FVOCI Mandatory	7	7
Total	**–63**	**–92**

18. Earnings per share

To calculate earnings per share, the Group net result attributable to Hamburg Commercial Bank shareholders is divided by the weighted average number of ordinary shares outstanding during the year under review.

As in the previous year, Hamburg Commercial Bank AG has not issued any diluted forms of capital as at the reporting date, i.e. the diluted and undiluted earnings are the same. The calculation was based on non-rounded values.

Earnings per share

	2025	2024
Attributable Group net result (€ mn) – undiluted/diluted	165	228
Number of shares (millions)		
Average number of ordinary shares outstanding undiluted/diluted	302	302
Earnings per share (€)		
Undiluted	0.55	0.76
Diluted	0.55	0.76

Notes to the consolidated statement of financial position

19. Cash reserve

Cash reserve

(€ mn)	2025	2024
Balances with central banks	2,423	3,085
thereof at the Deutsche Bundesbank	2,423	3,085
Treasury bills, discounted treasury notes, and similar debt instruments issued by public-sector institutions	38	–
thereof: refinanceable with Deutsche Bundesbank	38	–
Total	**2,461**	**3,085**

20. Loans and advances to banks

Loans and advances to banks

(€ mn)	2025			2024		
	Domestic	Foreign	Total	Domestic	Foreign	Total
Payable on demand	197	295	492	312	347	659
Other loans and advances	2	50	52	5	50	55
Total before loan loss provisions	**199**	**345**	**544**	**317**	**397**	**714**
Loan loss provisions	–	–	–	–	–	–
Total after loan loss provisions	**199**	**345**	**544**	**317**	**397**	**714**

Loans and advances to banks in the amount of € 2 million (previous year: € 5 million) have a residual maturity of more than one year. Loans and advances to banks include money market transactions in the amount of € 50 million (previous year: € 50 million).

The development of the carrying amounts of loans and advances to banks is shown in Note 45. Information on collateral transferred which also contains information regarding securities lending and repurchase agreements can be found in Note 55.

21. Loans and advances to customers

Loans and advances to customers

(€ mn)	2025			2024		
	Domestic	Foreign	Total	Domestic	Foreign	Total
Retail customers	50	–	50	85	12	97
Corporate clients	4,580	11,929	16,509	5,604	14,402	20,006
Public authorities	397	48	445	402	48	450
Total	**5,027**	**11,977**	**17,004**	**6,091**	**14,462**	**20,553**
Loan loss provisions	68	207	275	97	250	347
Total after loan loss provisions	**4,959**	**11,770**	**16,729**	**5,994**	**14,212**	**20,206**

Loans and advances to customers in the amount of € 12,524 million (previous year: € 16,400 million) have a remaining term of more than one year. As in the previous year, loans and advances to customers do not include any money market transactions in the reporting year.

Loans and advances to customers include receivables under finance leases in the amount of € 19 million (previous year: € 26 million).

The development of the carrying amounts of loans and advances to customers is shown in Note 45.

Information on collateral transferred which also contains information regarding securities lending and repurchase agreements can be found in Note 55.

22. Loan loss provisions

Loan loss provisions

(€ mn)	2025	2024
Loan loss provisions for loans and advances to customers classified as AC, incl. leasing	275	347
Loan loss provisions in the lending business	**275**	**347**
Loan loss provisions for items in the statement of financial position	**275**	**347**
Provisions in the lending business	25	28
Loan loss provisions for items in the statement of financial position and off-balance-sheet risk in the lending business	**300**	**375**

Pursuant to IFRS 9, only financial instruments measured at amortized cost (AC) are recognized under the Loan loss provisions item.

Of the total of € 300 million as at the balance sheet date (previous year: € 375 million), € 63 million (previous year: € 77 million) is attributable to adjustments to loan loss provisions due to model overlays. Of this amount, € 19 million is allocated to Stage 1 loan loss provisions and € 44 million to Stage 2 loan loss provisions. No model overlays have been formed for Stage 3 loan loss provisions. For explanations regarding the need for these adjustments and details with regard to their composition, please refer to the next section of this Note ("Model Overlays").

As at the reporting date, € 162 million of the loan loss provisions for balance sheet items were attributable to loan commitments allocated to Stage 3 in the IFRS 9 loan loss provisioning model (previous year: € 212 million), while € 113 million were attributable to commitments allocated to Stage 1 and Stage 2 (previous year: € 135 million).

For off-balance-sheet items classified as Stage 3, loan loss provisions of € 15 million (previous year: € 11 million) were created, while the corresponding provisions for off-balance sheet items classified as Stage 1 or 2 amount to € 10 million (previous year: € 17 million).

The development of loan loss provisions over time in connection with the development of the gross carrying amounts, broken down by item in the statement of financial position, is shown in Note 45.

I. Model Overlays

The impact of forward-looking information on the credit risk parameters probability of default (PD) and loss given default (LGD) is generally determined using statistical procedures and is taken into account when calculating the expected credit losses. In this process, various macroeconomic forecasts (cf. table on "Essential macroeconomic forecasts") are taken into account and regular checks are performed to analyze whether alternative macroeconomic developments have a material non-linear impact on the amount of loan loss provisions.

So-called model overlays take risk factors that are relevant to the valuation into account, unless they are already included in the calculation parameters of the models used to determine the original loan loss provisions. Loan loss provisions are then adjusted either directly or indirectly by altering the credit risk parameters to reflect these effects.

As at the reporting date, the model overlays are structured as follows:

Composition of model overlays

(€ mn)	2025	2024
Effect of macroeconomic forecasts	13	18
Address and portfolio related adjustments		
Office buildings sub-portfolio	23	28
Retail sub-portfolio	1	10
Land financing sub-portfolio	–	1
Corporates sub-portfolio Cyclically sensitive	23	15
Additions to ECL method	3	5
Total	**63**	**77**

II. Effect of macroeconomic forecasts

The impact of the macroeconomic environment of Hamburg Commercial Bank's business activities on the forward-looking information is calculated in separate scenarios. For this purpose, the Bank takes into account two weighted scenarios (base and stress scenario). These scenarios are based on the following macroeconomic forecasts:

Essential macroeconomic forecasts

	2025		2024	
	Base scenario	Stress scenario	Base scenario	Stress scenario
GPD USA (%)	2.30	-0.50	2.10	0.50
GPD eurozone (%)	1.20	-1.10	1.10	-0.30
GDP change Germany (%)	0.60	-0.80	0.10	-0.50
Fed Funds Rate (%)	3.13	2.13	3.88	3.38
ECB MRO rate (%)	2.15	1.15	1.90	1.90
3M EURIBOR (%)	2.13	1.05	1.98	1.75
10Y Bunds (%)	3.12	3.80	2.34	2.00
EUR/USD exchange rate	1.19	1.35	1.07	0.98
Unemployment rate Germany (%)	6.18	6.90	6.30	6.70
Inflation rate Germany (%)	2.20	1.40	2.40	2.20

The base scenario (60 % probability of occurrence) represents the expected development, while the stress scenario (40 % probability of occurrence) takes into account the additional uncertainties arising from economic and geopolitical developments, in particular the uncertainties regarding the development of inflation and interest rates and the associated economic impact. Depending on the macroeconomic scenarios for determining the model overlays, the risk parameters (PD and LGD) are adjusted for the entire portfolio. The difference between the result of the calculation with the adjusted risk parameters and the original loan loss provisions is included in the loan loss provisions as a model overlay.The additional loan loss provisions required as a result of the two scenarios amount to € 13 million (previous year: € 18 million). Compared to December 31, 2024, the decline in these overlays is primarily due to the reduced portfolio size and the lower scenario premiums on the risk parameters as a result of improved macroeconomic forecasts, particularly in the Shipping segment.

III. Address and portfolio related adjustments

In addition to the macroeconomic forecasts, the model overlays also take into account potential adverse macroeconomic effects on sub-portfolios.

Due to the continued heightened uncertainties and difficult macroeconomic situation, parts of the real estate portfolio are included in the valuation basis for the calculation of model overlays at the portfolio level. The respective risk parameters (PD and LGD) for the exposures to these sub-portfolios are adjusted by the relevant experts to determine the overlays. As a result of the increase in the PD for the national real estate portfolio and the ongoing market corrections, the Bank has simulated rating downgrades in the calculation of the overlays for severely impacted sub-portfolios. In addition, the real estate market is currently experiencing buyer reluctance, and the Bank expects further price discounts on sold properties. As office and retail properties are considered particularly affected, the Bank accounts for potential impairments in these sub-portfolios by increasing the LGD in the calculation of the overlays.

In the office buildings sub-portfolio, the changed demand structure as a result of the trend towards more remote jobs, the increasing focus of the tenant market on ESG-compliant properties, and refinancing problems with older properties are further drivers of the deteriorating market conditions. In total, the sub-portfolio comprises an EAD of € 2,571 million (previous year: € 2,811 million), with model overlays totaling € 23 million (previous year: € 28 million). The decline is mainly due to new defaults that are not allocated any overlays in Stage 3. Mixed-use properties that contain both office and retail space are included in the assessment basis for office properties.

The retail portfolio (in particular department stores and shopping centers) continues to be affected by the current loss of purchasing power, the weakness in consumption due to the economy, and the structural shift towards e-commerce (at the expense of stationary retail). In total, this portfolio has EAD of € 524 million (previous year: € 684 million). The corresponding model overlays amount to € 1 million (previous year: € 10 million). This decline can also be attributed mainly to new defaults that are not allocated any overlays in Stage 3.

The overlay in the land financing sub-portfolio was reversed (previous year: € 1 million). The main reason for this is the stabilization of the rise in construction costs and interest rates, which were decisive factors for the introduction of the overlay at the time.

In addition, the Corporates portfolio, with its increased sensitivity and refinancing risks in relation to economic developments, remains at the forefront. This is primarily attributable to increased geopolitical uncertainties and conflicts with global repercussions. Increased risks can also be identified from trade and customs conflicts.

In the context of these increased uncertainties, transactions with high economic sensitivity based on the sector indicator and associated refinancing risks based on increased leverage were identified as potentially particularly affected and then taken into account in the form of deteriorated risk parameters. The overlays amount to € 23 million (previous year: € 15 million) for a sub-portfolio with an EAD of € 3,433 million (previous year: € 4,056 million). The increase in overlays is mainly the result of higher LGD add-ons, which were recognized due to rising potential realization risks associated with the aforementioned uncertainties.

IV. Additions to ECL method

Independently of adjustments to loan loss provisions because of macroeconomic developments as well as borrower or portfolio risks, the Bank determines mark-ups for pending adjustments to internal models. As at the reporting date, these amounted to € 3 million and are based on pending model changes in the rating modules for national real estate and Project Finance (previous year: € 5 million).

V. Sensitivity analyses

The sensitivity of Hamburg Commercial Bank's ECL model to expert adjustments of borrower and portfolio related risk parameters is shown by an upward and downward shift in the forecast assumptions.

To simulate the potential effects on the loan loss provisions, a rating shift of two notches and one notch respectively was simulated.

A rating downgrade for the borrowers and portfolios affected by two notches would result in an increase in model overlays of € 52 million, while a downgrade by one notch would result in an increase of € 20 million. A rating upgrade by two notches would reduce the model overlays by € 30 million, while an upgrade by one notch would lead to a reduction of € 18 million.

A change in the weighting between the base and the stress scenario of ten percent would result in an increase or decrease in the macroeconomic model overlays of € 3 million.

23. Hedge accounting

Hamburg Commercial Bank continues to apply the portfolio fair value hedge approach in accordance with IAS 39, making use of the option under IFRS 9.6.1.3. Furthermore, Hamburg Commercial Bank now uses the micro fair value hedge approach in accordance with IFRS 9 for financial instruments measured at fair value directly in equity under IFRS 9.

In addition, Hamburg Commercial Bank manages its foreign exchange risk by hedging net investments in foreign operations in accordance with IFRS 9.6.5.13.

The following section provides a description of the hedging and underlying transactions used for hedging purposes, including the risk management strategy, the impact on cash flows, and the effects on the net assets, statement of comprehensive income, and statement of changes in equity.

I. Risk management strategy

In order to avoid distortions in the income statement resulting from interest-bearing financial instruments, micro and portfolio fair value hedge accounting is used to hedge the market price risk interest.

For micro fair value hedges, structured euro swaps are designated as hedging instruments for structured euro underlying transactions. These designated hedges correspond to economic back-to-back hedges which neutralize the market price risks associated with the underlying transactions. The effectiveness of these hedges is ensured by a critical term match and ineffectiveness is expected from model adjustments, measurement mismatches, and the inclusion of tenor basis spreads. In portfolio fair value hedges on interest rate risks, the underlying transactions as a whole are hedged by means of interest rate swaps. Effectiveness is measured in accordance with the rules set out in IAS 39 and the hedge ratio is calculated using the dollar offset method. Ineffectiveness can result from maturities of assets and liabilities that do not match, and from the reference interest rate of the hedging transactions.

Hedge accounting is exclusively used to hedge interest and foreign exchange risks in connection with net investments in foreign operations.

II. Effects on cash flows

In order to assess the cash flows to be expected, the nominal and average prices of the hedging instruments in micro fair value hedges are presented in the following table.

Micro fair value hedges

(€ mn)	Maturity date	
	2037	2038
Nominal value of hedging instruments	100	200
Average swap rate in %	3.77	3.63

III. Effects on net assets and statement of comprehensive income

The effects on net assets and statement of comprehensive income are presented separately for hedging transactions and underlying transactions.

HEDGING INSTRUMENTS

This section presents the nominal values, hedge adjustment, and the positive and negative market values of derivatives used in hedge accounting. At present, only interest rate swaps are taken into account as hedging instruments for interest rate risks. If a derivative is only designated pro rata in hedge accounting, the positive/ negative market values of hedging derivatives item contains the corresponding share of the derivative's fair value, nominal value, and hedge adjustment. The remaining balance is reported under trading assets/liabilities or in the result from financial instruments categorized as FVPL.

Bearer bonds and time deposits are currently taken into account as hedging instruments for the hedging of net investments in foreign operations in accordance with IFRS 9.6.5.13.

Hedging instruments[1)]

(€ mn)		2025			2024		
Hedge type/ type of risk	Balance sheet item	Nominal value	Carrying amount	Hedge Adjustment (ytd)	Nominal value	Carrying amount	Hedge Adjustment (ytd)
Fair value hedge/ interest rate risk							
Interest rate derivatives (assets side)	Positive market values of hedging derivatives	9,940	–	–25	9,808	–	–29
Interest rate derivatives (liabilities side)	Negative market values of hedging derivatives	4,826	39	–35	4,822	58	12
Hedging of net investments in foreign operations/foreign exchange risk							
Time deposits (liabilities side)	Liabilities to customers	721	721	84	642	642	–34
Debt securities	Subordinated capital	175	175	23	201	201	–12

[1)] The portfolios are newly designated/redesignated on a monthly basis at the time of the integration of the new business. This leads to a change in the composition of the hedging relationship between the underlying and hedging transactions.

Asset-side transactions to hedge interest rate risks are reported in the balance sheet item Positive market values of hedging derivatives, and derivatives on the liabilities side to hedge interest rate risks are shown in the balance sheet item Negative market values of hedging derivatives. The overall changes in these items are mainly due to changes in the portfolio compositions and movements in interest rates in the euro and US dollar capital markets.

At present, foreign exchange risks from net investments in foreign operations are exclusively hedged with liability-side transactions in the Subordinated capital and Liabilities to customers items in the statement of financial position.

UNDERLYING TRANSACTIONS

This section presents financial instruments on the assets and liabilities side used in hedge accounting. The following table shows the carrying amounts, accumulated changes in value (ltd) and since the beginning of the financial year (ytd). The underlying transactions currently include assets (receivables and securities) and liabilities. Hedge accounting is exclusively used to hedge interest and foreign exchange risks in connection with net investments in foreign operations.

Underlying transactions[1)]

(€ mn)		2025			2024		
Hedge type/type of risk	Balance sheet item	Nominal value	Carrying amount	Hedge Adjustment (ytd)	Nominal value	Carrying amount	Hedge Adjustment (ytd)
Fair value hedge/interest rate risk							
Portfolio fair value hedge: Fixed-interest rate loans, debt securities, securities[3)]	Loans and advances to customers/banks Financial investments	7,678	59	12	7,163	47	68
Micro fair value hedge	Loans and advances to customers	317	50	13	326	37	-19
Portfolio fair value hedge: Fixed-interest issues	Liabilities to customers/ banks, debt securities issued subordinated capital	11,852	24	-48	9,707	72	84
Portfolio fair value hedge (inactive)	Loans and advances to customers/banks	51	1	-	57	1	-1
Micro fair value hedge (inactive[2)])	Loans and advances to customers	-	-	-	-	-	-1
Micro fair value hedge (inactive)	Subordinated capital	23	2	-1	24	3	-
Hedging of net investments in foreign operations/foreign exchange risk							
USD hedging	Equity (currency conversion reserve)	895	72	107	843	-35	-46

[1)] The portfolios are newly designated/redesignated on a monthly basis at the time of the integration of the new business. This leads to a change in the composition of the hedging relationship between the underlying and hedging transactions.

[2)] In the table of underlying transactions, all former fair value hedges that have been closed out (micro fair value hedge) or that are no longer actively redesignated (portfolio fair value hedge) are designated as "inactive".

[3)] The sign logic between the portfolio fair value hedge and the micro fair value hedge has been harmonized, and thus the sign of the comparison number has been adjusted.

24. Trading assets

Only financial assets in the FVPL Held For Trading category are reported under the Trading assets item. Mainly included in this category are original financial instruments held for trading purposes, including accrued interest, and derivatives with a positive market value which are either not designated as a hedge derivative or are used as hedging instruments but do not meet the requirements of IFRS 9 for hedge accounting.

Trading assets in the amount of € 117 million (previous year: € 215 million) have a residual maturity of more than one year.

Information on collateral transferred which also contains information regarding securities lending and repurchase agreements can be found in Note 55.

Trading assets

(€ mn)	2025	2024
Positive market values of financial derivatives		
Interest-related transactions	113	148
Currency-related transactions	27	37
Other transactions	11	11
Positive market values of financial derivatives	**151**	**196**
Receivables from syndication transactions	-	29
Total	**151**	**225**

25. Financial investments

In particular, financial instruments not held for trading purposes are reported as financial investments. This item includes debt securities and other fixed-interest securities, shares and other non-fixed-interest securities, holdings in unconsolidated affiliated companies, and holdings in joint ventures and associates not carried at equity in the consolidated financial statements.

Financial investments

(€ mn)	2025	2024
Debt securities and other fixed-interest securities	7,824	8,463
negotiable and listed	4,825	4,578
negotiable and not listed	2,998	3,885
Shares and other non-fixed-interest securities	24	53
negotiable and listed	16	24
negotiable and not listed	5	26
Equity holdings	8	7
Total	**7,856**	**8,523**

Financial investments in the amount of € 7,039 million (previous year: € 8,130 million) have a residual maturity of more than one year.

The development of the carrying amounts of financial investments for the current year is shown in Note 45.

26. Intangible assets

Intangible assets

(€ mn)	2025	2024
Software	70	79
developed in-house	5	4
acquired	65	75
Software in development	7	2
developed in-house	1	1
acquired	6	1
Total	**77**	**81**

Intangible assets include in particular the depreciable investments from the multi-year transformation phase to modernize the Bank-wide IT landscape, which was completed at the end of 2024 and is reported under the Software item.

Changes in the carrying amounts of intangible assets are shown below:

Development of intangible assets

(€ mn)		Software		Software in development		
2025	Goodwill	Software developed in-house	Acquired software	Software developed in-house	Acquired software	Total
Acquisition costs as at January 1, 2025	**171**	**6**	**86**	**1**	**1**	**265**
Additions	–	1	1	1	5	8
Reclassifications	–	1	–	-1	–	–
As at December 31, 2025	171	8	87	1	6	273
Amortization as at January 1, 2025	**171**	**2**	**11**	**–**	**–**	**184**
Additions	–	1	11	–	–	12
As at December 31, 2025	**171**	**3**	**22**	**–**	**–**	**196**
Carrying amount as at December 31, 2025	**–**	**5**	**65**	**1**	**6**	**77**
Carrying amount as at January 1, 2025	**–**	**4**	**75**	**1**	**1**	**81**

Development of intangible assets

(€ mn)		Software		Software in development		
2024	Goodwill	Software developed in-house	Acquired software	Software developed in-house	Acquired software	Total
Acquisition costs as at January 1, 2024	**171**	**6**	**29**	**1**	**47**	**254**
Additions	–	–	10	–	1	11
Reclassifications	–	–	47	–	-47	–
As at December 31, 2024	**171**	**6**	**86**	**1**	**1**	**265**
Amortization as at January 1, 2024	**171**	**1**	**7**	**–**	**–**	**179**
Additions	–	1	4	–	–	5
As at December 31, 2024	**171**	**2**	**11**	**–**	**–**	**184**
Carrying amount as at December 31, 2024	**–**	**4**	**75**	**1**	**1**	**81**
Carrying amount as at January 1, 2024	**–**	**5**	**22**	**1**	**47**	**75**

As in the previous year, no research costs were incurred in the year under review in connection with the implementation of software developed in-house.

27. Property, plant and equipment and investment property

Property, plant, and equipment

(€ mn)	2025	2024
Land and buildings	8	8
Plant and equipment	3	3
Rights of use from leasing	7	11
Total	**18**	**22**

The decrease in rights of use from leasing results from the scheduled amortization of their present value for the leases of Hamburg Commercial Bank and its branches.

Under the item Investment property, all property (land or buildings) is recorded that is held to earn rent or for capital appreciation but is not used in the production or supply of goods or services of the Bank. Properties leased, in the capacity of lessor, under operating leases are also included in this item.

Investment property

(€ mn)	2025	2024
Investment property	1	1
Total	**1**	**1**

The fair value of investment property amounts to € 1 million (previous year: € 1 million). The fair values of investment property are allocated without exception to Level 3 of the fair value hierarchy. Market-based and income-based valuation techniques are used to determine fair value.

The development of property, plant, and equipment and investment property in the financial year was as follows:

Development of property, plant, and equipment and investment property

(€ mn)	Property, plant, and equipment			Investment property
2025	Land and buildings	Plant and equipment	Rights of use from leasing	
Acquisition costs as at January 1, 2025	**12**	**13**	**24**	**1**
Additions	–	–	3	–
Disposals	–	–	3	–
As at December 31, 2025	**12**	**13**	**24**	**1**
Amortization as at January 1, 2025	**4**	**10**	**13**	**–**
Additions	–	1	4	–
As at December 31, 2025	**4**	**11**	**17**	**–**
Carrying amount as at December 31, 2025	**8**	**2**	**7**	**1**
Carrying amount as at January 1, 2025	**8**	**3**	**11**	**1**

Further details on depreciation are presented in Note 13.

Development of property, plant, and equipment and investment property

(€ mn)	Property, plant, and equipment			Investment property
2024	Land and buildings	Plant and equipment	Rights of use from leasing	
Acquisition costs as at January 1, 2024	**12**	**17**	**15**	**1**
Additions	–	2	9	–
Disposals	–	6	–	–
As at December 31, 2024	**12**	**13**	**24**	**1**
Amortization as at January 1, 2024	**3**	**15**	**9**	**–**
Additions	1	1	4	–
Disposals	–	6	–	–
As at December 31, 2024	**4**	**10**	**13**	**–**
Carrying amount as at December 31, 2024	**8**	**3**	**11**	**1**
Carrying amount as at January 1, 2024	**9**	**2**	**6**	**1**

28. Non-current assets held for sale and disposal groups

Assets held for sale

(€ mn)	2025	2024
Loans and advances to customers	48	–
Total before loan loss provisions	48	–
Total	**48**	**–**

For a real estate financing, as at December 31, 2025, a resolution had been passed for a partial sale and a short-term sale was highly probable. This receivable is allocated to the Real Estate segment and measured at amortized cost (AC). It did not include any loan loss provisions as at the reporting date.

This receivable was sold as part of a cash sub-participation within the preparation period for these consolidated financial statements. The receivable was sold at par.

After the balance sheet date and before the approval for publication of the financial statements, further AC-categorized loans from the "Corporates" segment with cumulative carrying amounts of approximately € 94 million met the IFRS 5 criteria. These are exclusively loans held by the loan fund "HPS Elbe Unlevered Direct Lending Fund SCSp," which is included in the consolidated financial statements. The realization of these receivables in the form of a sale occurred within the period for the preparation of these financial statements.

29. Current tax assets

Current tax assets

(€ mn)	2025	2024
Domestic	16	16
Foreign	–	–
Total	**16**	**16**

Current income tax receivables in the reporting period primarily relate to expected tax refunds for 2024 in Germany.

30. Deferred tax assets

Deferred tax assets arose due to temporary differences in the tax base of the following items in the statement of financial position and tax losses carried forward.

Deferred income tax assets

(€ mn)	2025	2024
Assets		
Loans and advances to banks	–	6
Loans and advances to customers	27	22
Loan loss provisions	27	40
Trading assets	68	152
Financial investments	23	35
Other assets	6	16
Liabilities		
Liabilities to customers	–	6
Debt securities issued	4	–
Negative market values of hedging derivatives	13	19
Provisions	74	110
Other liabilities	1	1
Tax losses carried forward	247	323
Subtotal for deferred tax assets	**490**	**730**
Netting of deferred tax liabilities	–97	–190
Total	**393**	**540**

Out of the deferred tax assets after offsetting, € 317 million is attributable to Germany and € 76 million to abroad.

Deferred taxes on loss carryforwards were recognized in the amount of € 247 million (previous year: € 323 million). As at December 31, 2025, these are attributable to the Head Office in the amount of € 169 million (previous year: € 217 million) and to the Luxembourg branch in the amount of € 78 million (previous year: € 106 million). For the Head Office and the Luxembourg branch, the recoverability of the deferred taxes on loss carryforwards is based on planned future taxable income as determined by the corporate planning.

At the reporting date, tax loss carryforwards amounted to € 2,730 million (previous year: € 2,552 million) for which no deferred tax assets have been recognized. Most of these are recognized for the Luxembourg branch. In addition, there are loss carryforwards at subsidiaries in Germany that cannot currently be utilized due to the income tax consolidation with HCOB.

The decrease in deferred tax assets before offsetting in the amount of € 240 million is the result of the reduction in deferred taxes on loss carryforwards as well as changes in measurement differences for several items in the statement of financial position. In particular, the measurement of trading assets, financial investments, provisions, and loans and advances to banks and customers, including the loan loss provisions recognized for them, influenced the development of deferred tax assets in the reporting year.

The value of deferred tax assets results from the positive future tax results expected in the tax planning as derived from corporate planning.

The decrease in deferred tax assets amounts to € 20 million for deferred taxes on pension obligations recognized in other comprehensive income and to € 22 million relating to financial investments.

In accordance with IAS 12.4A, no deferred tax assets in connection with the minimum tax are recognized.

31. Other assets

Other assets

(€ mn)	2025	2024
Prepaid expenses	10	10
Capitalized plan assets	248	161
Claim for reimbursement from plan assets	32	31
Claims from legal disputes	–	3
Own foreign currency holdings	–	3
Repayment clams[1)]	8	–
Other assets	16	11
Total	**314**	**219**

[1)] Repayment claim resulting from the final settlement of the Voluntary Deposit Protection Fund of the Association of German Banks (Bundesverband deutscher Banken e.V.)

Other assets in the amount of € 164 million (previous year: € 196 million) have a residual maturity of more than one year.

Of the assets reported here, € 41 million (previous year: € 58 million) relate to financial instruments. As at December 31, 2025, the fair value of plan assets exceeds the pension obligations covered by the plan assets. The excess amount of € 248 million (previous year: € 161 million) is reported under Other assets as Capitalized plan assets.

The Bank has contractual rights to reimbursement from the plan assets in the amount of the pension benefits paid. The remaining reimbursement claims amounting to € 32 million (previous year: € 31 million) are reported under Other assets.

32. Liabilities to banks

Liabilities to banks

(€ mn)	2025			2024		
	Domestic	Foreign	Total	Domestic	Foreign	Total
Payable on demand	96	14	110	32	-4	28
Other term liabilities	1,752	554	2,306	2,485	1,205	3,690
Total	**1,848**	**568**	**2,416**	**2,517**	**1,201**	**3,718**

Liabilities to banks in the amount of € 1,708 million (previous year: € 2,527 million) have a residual maturity of more than one year.

The difference between the carrying amount of liabilities designated FVPL and their nominal value, which corresponds to the contractually agreed repayment amount at the due date, amounts to € 14 million as at December 31, 2025 (previous year: € 4 million). Changes in value caused by credit risk accounted for less than € 1 million (previous year: less than € 1 million).

Information on collateral transferred which also contains information regarding securities lending and repurchase agreements can be found in Note 55.

33. Liabilities to customers

Liabilities to customers by customer group

(€ mn)	2025	2024
Corporate clients	10,158	11,483
Public authorities	2,311	3,088
Retail customers	1,014	449
Total	**13,483**	**15,020**

Liabilities to customers

(€ mn)	2025			2024		
	Domestic	Foreign	Total	Domestic	Foreign	Total
Other liabilities						
Payable on demand	2,100	1,295	3,395	2,931	2,054	4,985
Term liabilities	6,080	4,008	10,088	6,136	3,899	10,035
Total	**8,181**	**5,302**	**13,483**	**9,067**	**5,953**	**15,020**

Liabilities to customers in the amount of € 2,249 million (previous year: € 1,966 million) have a residual maturity of more than one year.

The difference between the carrying amount of liabilities designated FVPL and their nominal value, which corresponds to the contractually agreed repayment amount at the due date, amounts to € 6 million as at December 31, 2025 (previous year: € 9 million). Changes in value caused by credit risk accounted for a share of € -3 million (previous year: € -3 million).

Information on collateral transferred which also contains information regarding securities lending and repurchase agreements can be found in Note 55.

34. Debt securities issued

Debt securities issued

(€ mn)	2025	2024
Debt securities issued	7,250	9,128
Total	**7,250**	**9,128**

The decline is due to lower issuing activity during the reporting year.

Debt securities issued in the amount of € 5,629 million (previous year: € 6,722 million) have a residual maturity of more than one year. In the Debt securities issued item, repurchased own debt securities in the amount of € 547 million (previous year: € 940 million) were deducted.

The difference between the carrying amount of debt securities issued designated FVPL and their nominal value, which corresponds to the contractually agreed repayment amount at the due date, amounts to € -2 million as at December 31, 2025 (previous year: € -2 million). Changes in value caused by credit risk accounted for a share of € 0 million (previous year: less than € 1 million).

35. Trading liabilities

The Trading liabilities item exclusively comprises financial obligations of the FVPL Held For Trading category. Mainly included in this category are derivatives with a negative market value which are either not designated as a hedge derivative or are used as hedging instrument but do not meet the requirements of IFRS 9 for hedge accounting.

Trading liabilities

(€ mn)	2025	2024
Negative market values from derivative financial instruments		
Interest-related transactions	24	142
Currency-related transactions	35	122
Other transactions	40	41
Other	3	4
Total	**102**	**309**

Trading liabilities in the amount of € 64 million (previous year: € 188 million) have a residual maturity of more than one year.

Information on collateral transferred is presented in Note 55.

36. Provisions

Provisions

(€ mn)	2025	2024
Provisions for pension obligations and similar obligations	54	61
Other provisions		
Provisions for personnel expenses	76	80
Provisions in the lending business	25	28
Provisions for restructuring	21	4
Provisions for litigation risks and costs	132	151
Other provisions	20	50
Total	**328**	**374**

Provisions in the amount of € 96 million (previous year: € 188 million) have a residual maturity of more than one year.

Changes in pension provisions are presented in Note 37.

Further information regarding provisions in the lending business can be found in Note 22.

Of the provisions for restructuring € 20 million (previous year: € 2 million) relate to personnel expenses and € 1 million (previous year: € 1 million) to operating expenses. The increase in provisions for restructuring results from an additional staff reduction program approved by the Management Board during the reporting period.

Other provisions mainly comprise provisions for annual financial statement costs, transformation expenses, interest expense on taxes, and provisions for archiving costs.

Hamburg Commercial Bank had set up provisions for litigation risks and costs as at the reporting date. To determine for which claim the possibility of a loss is likely, and in order to estimate the amount of the potential payment obligations, Hamburg Commercial Bank takes a variety of factors into account. These include, among other things, the type of claim and the underlying facts of the case, the status of the individual proceedings, (provisional) decisions made by courts and arbitration bodies, the experience of Hamburg Commercial Bank and third parties in comparable cases (as far as they are known to the Bank), prior settlement negotiations, and the expert opinions and assessments of the Bank's internal and external legal advisors and other professionals. In the reporting year, the provisions for litigation risks were increased as a result of additions for risks from existing legal disputes. In accordance with IAS 37.92, no specified presentation is provided here in order to avoid any negative impact on the underlying legal proceedings.

Information on the Bank's legal risks is also provided in the risk report in the section "Non-financial risk – Non-financial risk in the reporting year".

Changes in other provisions

(€ mn)	For personnel expenses	In the lending business (non-financial instruments)	For restructuring	for litigation risks and costs	Other	Total
As at January 1, 2025	**80**	**-**	**4**	**151**	**50**	**285**
Additions	52	-	37	1	9	98
Reversals	1	-	-	5	20	27
Reclassifications	-22	-	-17	3	-3	-38
Exchange rate changes	-	-	-	-11	-	-11
Utilization in the financial year	33	-	3	7	16	58
As at December 31, 2025	**76**	**-**	**21**	**132**	**20**	**249**

Changes in other provisions

(€ mn)	For personnel expenses	In the lending business (non-financial instruments)	For restructuring	For litigation risks and costs	Other	Total
As at January 1, 2024	**58**	**-**	**7**	**53**	**50**	**168**
Additions	51	-	-	99	23	173
Reversals	2	-	1	1	5	9
Reclassifications	-3	-	-	-	-	-3
Exchange rate changes	-	-	-	4	-	4
Utilization in the financial year	24	-	2	4	18	48
As at December 31, 2024	**80**	**-**	**4**	**151**	**50**	**285**

The increase in provisions for restructuring relates to the anticipated costs for the expected reduction in headcount, which was approved in the reporting period.

37. Pension obligations and similar obligations

In recognizing and measuring direct benefit pension plans, the net present value of the obligations is reduced by the fair value of plan assets.

Provisions for pension obligations and similar obligations

(€ mn)	2025	2024
Net present value of obligations, wholly or partly financed through funds	626	705
Net present value of obligations not financed through funds	54	61
Net present value of pension obligations and similar obligations	**679**	**766**
Fair value of plan assets	874	866
Reclassification to capitalized plan assets	-248	-161
Pension plan net liability (provisions for pension obligations and similar obligations)	**54**	**61**

The net present value of defined benefit pension obligations has changed as follows.

Changes in net present value

(€ mn)	2025	2024
Net present value as at January 1	**766**	**767**
Actuarial losses/gains (-)		
due to changed financial assumptions	-66	3
due to experience-based adjustments	-5	18
Interest expenses	26	26
One-off expense/gain	1	2
Current service cost	2	2
Benefits paid	-52	-52
Reclassifications	7	-
Net present value as at December 31	**679**	**766**

The changes in actuarial gains and losses are primarily due to the consideration of the effect of the increase in the pension trend and the increase in the discount rate.

Early retirement arrangements were negotiated as part of the restructuring and associated reduction in staff, and provisions of € 7 million (previous year: € 0 million) were transferred from restructuring provisions to early retirement obligations.

The fair value of plan assets has changed as follows.

Changes in fair values of plan assets

(€ mn)	2025	2024
Fair value of plan assets as at January 1	**866**	**836**
Expected return on plan assets	31	29
Actuarial losses (-) / gains	12	32
Pension benefits paid	-35	-31
Fair value of plan assets as at December 31	**874**	**866**

The Bank has a contractual claim for reimbursement in the amount of the pension benefits already paid. These unreimbursed rights are recognized under other assets as they do not meet the requirements for classification as plan assets within the meaning of IAS 19. For the 2025 financial year, there is a claim for reimbursement in the amount of € 32 million (previous year: € 31 million).

The net interest of € 5 million is composed of the interest expense of the pension and similar liabilities of € 26 million and the interest income of the plan assets of € 31 million. The changes in the measurement of pension and similar liabilities amounting to € -71 million are netted in OCI with the changes in the measurement

of plan assets amounting to € 12 million, which mainly result from changes due to experience-based adjustments.

The total actuarial gains for the financial year before deferred taxes amounted to € 82 million (previous year: € 11 million). Taking deferred taxes into account, this results in income of € 62 million (previous year: € 7 million), which is recognized in other comprehensive income and disclosed in retained earnings on an accumulated basis. As at 31 December 2025, the balance of actuarial gains and losses in retained earnings before tax amount to € 86 million (previous year: € 4 million) and € 65 million after tax (previous year: € 2million).

Breakdown of plan assets

(€ mn)	2025	2024
Cash and cash equivalents	103	90
Investment funds	789	823
thereof exchange trade funds equity	18	53
thereof exchange trade funds bonds	278	164
thereof hedge funds	128	209
thereof private debt funds	82	253
thereof real estate & infrastructure funds	57	91
thereof private equity & venture capital	225	53
Debt securities and other fixed-interest securities	10	11
Derivatives	-8	-41
Qualified insurance policies	8	9
Other assets	3	4
Shares and other non-fixed-interest securities	1	1
Total	**906**	**897**
Claims for reimbursement from plan assets	32	31
Fair value of plan assets	874	866

Debt securities and other fixed-interest securities included in the plan assets as well as the plan assets invested in exchange traded funds are traded on an active market.

Expenses of € 29 million were incurred for defined benefit pension plans in the 2025 reporting year (previous year: € 30 million).

Pension obligations represent future amounts to be paid and are uncertain both as to the amount and the date they fall due. Future fluctuations in the present value of the pension obligations can result particularly from a change in the actuarial assumptions such as the discount rate and life expectancy.

An increase or decrease in the actuarial assumptions (cf. Note 5) would have had the following impact on the present value of pension obligations as at December 31, 2025:

Sensitivity of pension obligations

(€ mn) 2025	Increase	Decrease
Discount rate (+/-0,5 %)	-36	40
Salary trend (+/-0,5 %)	35	-32
Life expectancy (+1 Jahr)	32	

Sensitivity of pension obligations

(€ mn) 2024	Increase	Decrease
Discount rate (+/–0,5 %)	–43	48
Salary trend (+/–0,5 %)	43	–40
Life expectancy (+1 Jahr)	29	

The average duration of the pension obligations determined as at December 31, 2025, was used as the basis for the sensitivity calculations. The impact of the major assumptions on the present value of the pension obligations is presented. As the sensitivity analyses are based on the average duration of the expected pension obligations, and expected payment dates are therefore not taken into account, the figures represent only approximate values. Furthermore, where a change in an actuarial assumption is analyzed, the other assumptions are kept constant.

Hamburg Commercial Bank expects to make payments of € 51 million to beneficiaries under defined benefit pension plan commitments for the 2026 financial year (previous year: € 52 million).

The weighted average duration of the defined benefit obligation is 12.4 years as at December 31, 2025 (previous year: 13.5 years).

Expenses for defined contribution plans were € 10 million in the reporting period 2025 (previous year: € 10 million). Payments to statutory pension schemes in the amount of € 9 million (previous year: € 9 million) are included in this figure.

38. Current tax liabilities

Current tax liabilities

(€ mn)	2025	2024
Liabilities to tax authorities from income taxes	–	–
Provisions for income taxes	5	94
Total	**5**	**94**

The reduction in provisions for income taxes results from the issuance of tax assessments for the relevant tax liabilities in 2025. The utilization primarily relates to the tax years 2022 and 2023 reporting years at the Head Office.

39. Deferred tax liabilities

Deferred tax liabilities were created for temporary differences in the tax bases of the following balance sheet items:

Deferred tax liabilities

(€ mn)	2025	2024
Assets		
Loans and advances to banks	16	–
Financial investments	4	3
Property, plant, and equipment	2	3
Intangible assets	2	2
Other assets	3	–
Liabilities		
Liabilities to banks	21	53
Debt securities issued	–	30
Trading liabilities	45	96
Subordinated capital	1	–
Other liabilities	3	3
Subtotal for deferred tax liabilities	**97**	**190**
Netting of deferred tax assets	–97	–190
Total	**–**	**–**

The € 93 million reduction in deferred tax liabilities before netting is mainly due to the change in existing temporary differences on trading liabilities, debt securities issued and liabilities to banks.

€ 1 million of the total change is attributable to an increase of deferred tax liabilities recognized directly in equity relating to the measurement of receivables, liabilities, and financial investments.

Deferred tax liabilities in connection with shares in subsidiaries (so-called outside basis differences) in the amount of € 8 million (previous year: € 1 million) were not recognized in accordance with IAS 12.39, as it is unlikely that they will be realized.

In accordance with IAS 12.4A, no deferred tax liabilities in connection with the minimum tax and corresponding foreign regulations are recognized.

40. Other liabilities

Other liabilities

(€ mn)	2025	2024
Collateral provided for liabilities assumed	47	47
Liabilities for outstanding invoices	21	33
Liabilities for restructuring	21	3
Personnel liabilities	9	6
Deferred income	–	2
Other tax liabilities	5	5
Liabilities from leases (lessee)	8	12
Other	22	6
Total	**133**	**114**

Other liabilities in the amount of € 87 million (previous year: € 54 million) have a residual maturity of more than one year. The collateral provided for liabilities assumed serves to hedge leasing transactions of our customers with third parties.

Of the assets reported here, € 100 million (previous year: € 77 million) relate to financial instruments.

41. Subordinated capital

Subordinated capital

(€ mn)	2025	2024
Subordinated liabilities	895	925
Maturing in less than two years	6	7
Total	**895**	**925**

Subordinated capital in the amount of € 890 million (previous year: € 918 million) have a residual maturity of more than one year. Like in the previous year, there were no silent participations or profit participation rights in place in the financial year.

42. Equity

Equity

(€ mn)	2025	2024
Share capital	302	302
Capital reserve	1,540	1,536
Retained earnings	1,891	1,815
thereof: cumulative gains and losses arising from the revaluation of net defined benefit pension obligations recognized in OCI	86	4
thereof: deferred taxes on cumulative gains and losses arising on the revaluation of net defined benefit pension obligations recognized in OCI	-21	-1
Revaluation reserve	58	9
thereof: credit risk-induced changes in the value of liabilities designated at fair value (after taxes)	1	2
thereof: valuation results relating to financial assets classified as FVOCI as a mandatory requirement (after taxes)	57	7
Currency conversion reserve	-	1
Group net result	165	228
Total before non-controlling interests	**3,956**	**3,891**
Non-controlling interests	1	1
Total	**3,957**	**3,892**

Equity
The increase in equity is attributable to the fact that the positive consolidated result and other comprehensive income (changes in equity not recognized in profit or loss) exceeded the dividend paid in the reporting year. Other comprehensive income mainly relates to actuarial gains from pension obligations/plan assets and positive valuation results of financial assets categorized as FVOCI Mandatory.

Share capital
Subscribed capital of Hamburg Commercial Bank AG is divided into 301,822,453 no-par value shares, each with a notional par value of € 1 per share. All shares issued are fully paid up.

As at December 31, 2025, several funds launched by Cerberus Capital Management L.P., New York, indirectly held a total of 39.61 % of the voting rights via three acquisition companies (Promontoria Lux Holding 221 S.à r.l. 9.21 %, Promontoria Lux Holding 231 S.à.r.l. 12.94 %, and Promontoria Lux Holding 233 S.à.r.l. 17.46 %). Funds advised by J.C. Flowers & Co LLC, New York, indirectly hold a 32.77 % stake through JCF IV Neptun Holdings S.à r.l. as an acquisition company. In addition, a fund launched by Golden Tree Asset Management LP, New York,

indirectly holds a share of 11.75 % in Hamburg Commercial Bank AG via GoldenTree Asset Management Lux S.à r.l. as an acquisition company, while Centaurus Capital LP, Houston, indirectly holds a share of 7.04 % via Chi Centauri LLC as an acquisition company. BAWAG P.S.K. Bank für Arbeit und Wirtschaft und Österreichische Postsparkasse Aktiengesellschaft, Vienna, holds a share of 2.35 % and the members of the governing bodies and the senior management of the Bank (since November 2018, active and inactive members) hold a share of 6.49 %.

JCF IV Neptun Holdings S.à r.l., Luxembourg has directly owned more than one quarter of the shares of Hamburg Commercial Bank AG pursuant to Section 20 (1) of the German Stock Corporation Act (AktG) since 2018. In addition, the following companies and natural persons have indirectly owned more than one quarter of the shares of Hamburg Commercial Bank AG pursuant to Section 20 (1) sentence 1, sentence 2 in conjunction with Section 16 (4) of the German Stock Corporation Act (AktG):

- JCF IV Europe S.à r.l.
- J.C. Flowers IV L.P.
- JCF Associates IV L.P.
- JCF Associates IV Ltd.
- Mr. James Christopher Flowers
- Stephen A. Feinberg 2025 Equity Trust
- Cerberus GP Manager LLC
- Mr. Alan S. Waldenberg
- Mr. Michael S. Hisler

The latter two individuals act as trustees of the Stephen A. Feinberg 2025 Equity Trust.

Neither Hamburg Commercial Bank AG nor any company dependent on it or majority-owned companies hold treasury stock. There are no cross-shareholdings as defined by Section 19 of the German Stock Corporation Act (AktG).

Changes in ordinary shares

(Number of shares)	2025	2024
Number at the beginning of the year	301,822,453	301,822,453
Number at the end of the year	**301,822,453**	**301,822,453**

Retained earnings

During the reporting year, retained earnings were affected by the distribution of a dividend of 214 (previous year: 302). Retained earnings still mainly comprise the retained earnings from previous years and the reporting year. There are no statutory reserves or legal reserves within the meaning of Section 150 (2) of the German Stock Corporation Act (AktG).

Capital reserve

As at the balance sheet date, the capital reserves contain share-based remuneration in accordance with IFRS 2 of € 27 million (previous year: € 23 million).

Revaluation reserve

The revaluation reserve includes the effects of credit risk-induced changes in the value of liabilities designated at fair value and the effects of the valuation of assets classified at fair value through other comprehensive income as a mandatory requirement.

The changes in value associated with deferred taxes shown in the revaluation reserve are also presented in the revaluation reserve pursuant to IAS 12.61A.

Currency conversion reserve

Assets and liabilities in financial statements of subsidiaries in foreign currencies are translated at the reporting date exchange rate in preparing the consolidated financial statements, while average rates for the reporting period are used to translate expenses and income. Equity is translated at historical rates, with the exception of

revaluation reserves in consolidated financial statements reported in foreign currencies, which are translated at the reporting date exchange rate.

Any differences arising from this method of translation compared to complete translation at the reporting date exchange rate are reported in this Equity item.

In addition, the hedge resulting from the hedging of net investments in foreign operations is also recognized in this item. The amount recognized in the currency conversion reserve as at December 31, 2025, includes a hedge component of € 72 million (previous year: € -35 million).

Dividends

By resolution of the Annual General Meeting held on April 29, 2025, a dividend of € 214 million or € 0.71 per no-par share was approved for distribution. The distribution was made from retained earnings. Subject to the corresponding approval of the shareholders, Hamburg Commercial Bank has earmarked dividends of € 1,256 million for distribution for the 2025 financial year, which will be proposed to the Annual General Meeting in April 2026 (€ 4.16 per share).

Capital management

The capital management of Hamburg Commercial Bank aims to ensure compliance with the regulatory requirements for capital adequacy and the efficient allocation of capital to business activities. In addition to these requirements, capital management is used as the basis for complying with the planned capital ratios (including stress buffers) and is designed to ensure that the Bank's capital base also meets the requirements imposed by the Bank's stakeholders. The common equity Tier 1 capital ratio is the main parameter for capital management.

The regulatory capitalization is in accordance with the provisions of the European Capital Requirements Regulation (CRR) – Pillar 1 in conjunction with the Supervisory Review and Evaluation Process (SREP) – Pillar 2. Hamburg Commercial Bank determines the capital requirements for counterparty risk in accordance with the F-IRB approach permitted by the Federal Financial Supervisory Authority based on internal ratings (foundation approach) and based on the CSA (standard approach). For further information, please refer to the risk report section "Requirements under the supervisory review and evaluation process".

Hamburg Commercial Bank also assesses capital adequacy from both a normative and an economic perspective in accordance with the ECB Guide to the internal capital adequacy assessment process (ICAAP). For further information, please refer to the "ICAAP risk-bearing capacity" section of the risk report.

Capital commitment is subject to monitoring at both Bank and business unit level. The reporting of regulatory capital adequacy to the supervisory authorities takes place quarterly, and the ICAAP capital adequacy is reported annually. The regulatory requirements for capital adequacy were met at each reporting date in the reporting year.

Regulatory figures

Taking into account the proposed dividend payment of € 1,256 million for the 2025 financial year, the regulatory capital ratios are as follows:

(%)	2025	2024
Overall capital ratio	21.2	22.4
Tier 1 capital ratio	16.5	17.3
CET1 capital ratio	16.5	17.3

Notes to the cash flow statement

43. Additional disclosures on the Group cash flow statement

The obtaining or loss of control over subsidiaries in the financial year and in the previous year did not result in any cash flows or effects on assets and liabilities.
The table below shows a reconciliation of balance sheet values to cash flow from financing activities.

Reconciliation cash flow from financing activities

(€ mn)	Other subordinated capital
Balance sheet value as at January 1, 2025	**925**
Cash changes	
Payments made	-4
Interest payments	-33
Non-cash changes	
Changes due to exchange rate fluctuations	-23
Interest expenses	32
Other changes	-2
Balance sheet value as at December 31, 2025	**895**

Reconciliation cash flow from financing activities

(€ mn)	Other subordinated capital
Balance sheet value as at January 1, 2024	**921**
Cash changes	
Payments made	-4
Interest payments	-44
Non-cash changes	
Changes due to exchange rate fluctuations	12
Interest expenses	41
Other changes	-1
Balance sheet value as at December 31, 2024	**925**

Segment reporting

44. Segment report

January–December 2025 (€ mn)	Real Estate	Global Transportation	Project Finance	Corporates	Lending Units	Treasury & Group Functions	Reconciliation	Group
Net interest income	169	128	107	214	618	54	–	672
Net commission income	4	13	9	2	28	–	–	28
Other income	18	13	9	15	55	–10	–2	43
Total income	**191**	**154**	**125**	**231**	**701**	**44**	**–2**	**743**
Loan loss provisions	–78	10	–7	–35	–110	1	–	–109
Administrative expenses & regulatory costs	–88	–80	–54	–91	–313	–70	1	–382
Other operating result	–	–	–	–	–	37	–	37
Net income before taxes	**25**	**84**	**64**	**105**	**278**	**12**	**–1**	**289**
Income tax expense	–8	–25	–20	–15	–68	–2	–54	–124
Net income after taxes	**17**	**59**	**44**	**90**	**210**	**10**	**–55**	**165**
NIM – net interest margin (%)	2.47	4.19	2.82	4.26	3.30	0.44	n.a.	2.17
Gross margin (%)	2.26	2.74	2.16	3.38	2.61	n.a.	n.a.	n.a.
RWA margin (%)	4.71	6.29	5.25	4.45	4.94	n.a.	n.a.	5.00
Risk costs (%)	–1.11	0.31	–0.20	–0.76	–0.60	0.26	n.a.	–0.59
Cost/income ratio (CIR – %)	45	51	42	38	43	91	n.a.	48
RoE after taxes (%)	**2.8**	**15.9**	**12.2**	**11.6**	**9.9**	**9.0**	**n.a.**	**4.5**
Average segment assets (€ bn)	6.9	3.0	3.8	5.0	18.7	12.2	–	30.9
New business volume (€ bn)	0.4	1.4	1.6	1.6	5.0	–	–	5.0
Dec. 31, 2025								
Segment assets (€ bn)	**5.9**	**2.5**	**3.9**	**4.6**	**16.9**	**11.8**	**–0.1**	**28.6**
Business volume (€ bn)	6.7	2.8	5.3	7.1	21.9	11.8	–	33.7
NPL volumes (€ bn)	0.4	0.0	0.1	0.1	0.5	0.0	–	0.5
NPL ratio (%)	6.1	0.0	2.9	2.1	3.5	0.0	n.a.	3.3
Risk weighted assets (€ bn)	2.9	1.5	2.3	4.9	11.6	1.5	–	13.1
Loan-to-deposit ratio (%)	397	71	271	157	182	13	n.a.	126

January–December 2024 (€ mn)	Real Estate	Global Trans-porta-tion	Project Finance	Corpo-rates	Lending Units	Trea-sury & Group Func-tions	Reconcili-ation	Group
Net interest income	203	145	98	220	666	86	–	752
Net commission income	5	14	7	2	28	–2	–	26
Other income	–1	2	2	17	20	–18	3	5
Total income	**207**	**161**	**107**	**239**	**714**	**66**	**3**	**783**
Loan loss provisions	–73	–3	–1	–20	–97	3	–1	–95
Administrative expenses & regulatory costs	–97	–78	–47	–101	–323	–36	–	–359
Other operating result	–	–	–	–	–	–81	–	–81
Net income before taxes	**37**	**80**	**59**	**118**	**294**	**–48**	**2**	**248**
Income tax expense	–7	–16	–12	–24	–59	10	29	–20
Net income after taxes	**30**	**64**	**47**	**94**	**235**	**–38**	**31**	**228**
NIM – net interest margin (%)	2.64	4.99	2.68	4.29	3.45	0.66	n.a.	2.34
Gross margin (%)	2.44	2.88	1.99	3.30	2.65	n.a.	n.a.	n.a.
RWA margin (%)	4.03	6.07	4.24	4.55	4.61	n.a.	n.a.	4.32
Risk costs (%)	–0.92	–0.11	–0.02	–0.44	–0.52	0.47	n.a.	–0.48
Cost/income ratio (CIR – %)	45	48	43	41	44	–230	n.a.	50
RoE after taxes (%)	**3.9**	**16.0**	**12.4**	**12.0**	**10.1**	**–9.9**	**n.a.**	**6.2**
Average segment assets (€ bn)	7.7	2.9	3.6	5.1	19.3	12.9	–	32.2
New business volume (€ bn)	1.0	1.8	1.2	2.1	6.1	–	–	6.1

Dec. 31, 2024								
Segment assets (€ bn)	**7.4**	**3.7**	**3.9**	**5.5**	**20.5**	**13.1**	**–**	**33.6**
Business volume (€ bn)	8.3	4.1	5.1	8.2	25.7	13.1	–	38.8
NPL volumes (€ bn)	0.5	0.0	0.1	0.1	0.6	0.0	–	0.7
NPL ratio (%)	6.0	0.0	3.7	1.3	3.4	0.0	n.a.	3.3
Risk weighted assets (€ bn)	4.9	3.0	2.6	5.8	16.3	1.9	0.0	18.2
Loan-to-deposit ratio (%)	465	85	347	166	200	12	n.a.	137

General information

Segment reporting is prepared in accordance with the provisions of IFRS 8. The segments reflect the Bank's internal organizational structure, which is based on product and customer groups and which corresponds to the delimitation for internal Group management purposes. The formation of the segments is intended to achieve the greatest possible homogeneity of customer groups with regard to a focused loan financing product range as well as other products and services. Total income reported for the segments was exclusively generated from transactions with external customers.

Geographical information and information on revenues from external customers for each product and service are not subject to internal management (management reporting) and are not collected due to their disproportionately high costs, which means that publication in accordance with IFRS 8.32 and 8.33 is not required.

Segment structure

In line with the responsibilities of the Chief Investment Officer (CIO) on the Management Board, the segment structure bundles all credit-related units in the four segments "Real Estate", "Global Transportation", "Project Finance", and "Corporates". The four credit-related segments are additional presented together as "lending units". Main focus of the credit-related segments' business activities is on offering financing solutions in the lending business.

The remaining segment "Treasury & Group Functions" comprises the capital market activities that focus on the management of strategic investments, the treasury function, and the remaining staff and service functions. The capital market activities comprise the management of the portfolios in the banking book (liquidity buffer, cover pools, strategic investment portfolio, and management of pension obligations) as well as the Bank-wide asset liability management (ALM) and the management of the cash position. The financing business with institutional clients is also reported in the Treasury & Group Functions segment.

The liquid CLOs (Public Collateralized Loan Obligations) managed in the Corporates segment in the previous year were transferred to the Treasury & Group Functions segment in the reporting year as part of the adjusted corporate strategy. Thus, the liquid CLOs are managed together with the other strategic investments in this segment. The previous year's figures have been adjusted for purposes of comparability.

Segment reporting methodology

Segment earnings are recognized on the basis of internal performance measurement. For the purpose of internal reporting, net interest income is calculated in accordance with fund transfer pricing (FTP).

In the segments, administrative expenses and regulatory costs are reported based on the regulatory costs allocated in the internal performance measurement (expenses for regulatory affairs, deposit guarantee fund and banking associations) and the standard processing costs applied (for administrative expenses). The difference to the administrative expenses at Group level is reported in the Treasury & Group Functions segment. In the reporting period, the difference essentially relates to the charges recognized under administrative expenses from the approved staff reduction measures, see Note 13.

Reconciliation effects in accordance with IFRS 8.28

In accordance with IFRS 8.28, the corresponding reconciliation effects on the individual items of the Group income statement (IFRS) are shown separately under the Reconciliation item.

The income taxes of the segments were calculated using imputed tax rates differentiated by tax location on the respective net income before taxes. The difference to actual income taxes at Group level is reported in the Reconciliation item.

The return on equity (RoE after taxes) for the segments is based on a normalized regulatory capital backing (average risk weighted assets (RWA) and normalized CET1 ratio of 15 %). For the Group, the RoE after taxes is calculated on the basis of the balance sheet equity at the beginning of the year less the proposed dividend. The adjusted calculation of RoE after taxes compared to the segment report as at 31.12.2024, was also applied to the previous year's results for reasons of comparability.

Definitions

The net interest margin (NIM) is reported as a basis for the assessment of the net interest income. The NIM puts the net interest income in relation to the average segment assets. The gross margin for the lending units reflects the gross interest income from customer receivables excluding deferred processing fees in relation to the average volume of receivables from customers.

Total income in relation to average risk-weighted assets is presented as the RWA margin. The risk cost is calculated as the ratio of loan loss provisions to average receivables from customers. The loan-to-deposit ratio measures the relationship between receivables from customers to liabilities to customers.

For the definition of the KPIs CIR and NPL ratio, please refer to the explanations provided in the combined management report (Chapter "Basis of the Group", Section "Management system").

Disclosures on financial instruments

45. Information on the development of loan loss provisions and the carrying amounts of financial instruments not measured at fair value through profit or loss

The following table shows the development of the gross carrying amounts of financial instruments classified as FVOCI in the following items of the statement of financial position: Loans and advances to banks, Loans and advances to customers, Financial investments, and Non-current assets held for sale and disposal groups, along with the off-balance-sheet business.

The development of loan loss provisions for financial instruments classified as FVOCI is also shown separately by balance sheet item.

Development of gross carrying amounts for loans and advances to banks

	2025			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Carrying amounts as at January 1, 2025	**714**	**–**	**–**	**714**
thereof AC	709	–	–	709
thereof FVOCI	5	–	–	5
Other changes	–170	–	–	–170
thereof AC	–167	–	–	–167
thereof FVOCI	–3	–	–	–3
Carrying amounts as at December 31, 2025	**544**	**–**	**–**	**544**
thereof AC	542	–	–	542
thereof FVOCI	2	–	–	2

Development of gross carrying amounts for loans and advances to banks

	2024			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Carrying amounts as at January 1, 2024	**492**	**–**	**–**	**492**
thereof AC	483	–	–	483
thereof FVOCI	9	–	–	9
Other changes	222	–	–	222
thereof AC	226	–	–	226
thereof FVOCI	–4	–	–	–4
Carrying amounts as at December 31, 2024	**714**	**–**	**–**	**714**
thereof AC	709	–	–	709
thereof FVOCI	5	–	–	5

Development of loan loss provisions for loans and advances to banks

Like in the previous year, there were no significant loan loss provisions for loans and advances to banks in the year under review.

Development of gross carrying amounts for loans and advances to customers

	2025			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Carrying amount as at January 1, 2025	**17,052**	**2,696**	**670**	**20,418**
thereof AC	16,655	2,696	670	20,021
thereof FVOCI	372	–	–	372
thereof receivables under finance leases	25	–	–	25
Transfer to LECL Stage 2	–2,104	2,104	–	–
thereof AC	–2,104	2,104	–	–
Transfer to LECL Stage 3	–9	–380	389	–
thereof AC	–9	–380	389	–
Transfer to 12M ECL	1,451	–1,451	–	–
thereof AC	1,451	–1,451	–	–
Other changes	–2,238	–800	–478	–3,516
thereof AC	–2,223	–800	–478	–3,501
thereof FVOCI	–9	–	–	–9
thereof receivables under finance leases	–6	–	–	–6
Carrying amounts as at December 31, 2025	**14,152**	**2,169**	**581**	**16,902**
thereof AC	13,770	2,169	581	16,520
thereof FVOCI	363	–	–	363
thereof receivables under finance leases	19	–	–	19

Development of gross carrying amounts for loans and advances to customers

	2024			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Carrying amount as at January 1, 2024	**15,321**	**2,261**	**787**	**18,369**
thereof AC	14,635	2,260	787	17,682
thereof FVOCI	658	1	–	659
thereof receivables under finance leases	28	–	–	28
Transfer to LECL Stage 2	–2,115	2,115	–	–
thereof AC	–2,115	2,115	–	–
Transfer to LECL Stage 3	–8	–322	330	–
thereof AC	–8	–322	330	–
Transfer to 12M ECL	1,258	–1,258	–	–
thereof AC	1,258	–1,258	–	–
Other changes	2,596	–100	–447	2,049
thereof AC	2,885	–99	–447	2,339
thereof FVOCI	–286	–1	–	–287
thereof receivables under finance leases	–3	–	–	–3
Carrying amounts as at December 31, 2024	**17,052**	**2,696**	**670**	**20,418**
thereof AC	16,655	2,696	670	20,021
thereof FVOCI	372	–	–	372
thereof receivables under finance leases	25	–	–	25

Development of loan loss provisions for loans and advances to customers

	2025			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Loan loss provisions as at January 1, 2025	**42**	**93**	**212**	**347**
Transfer to LECL Stage 2	–15	15	–	–
Transfer to LECL Stage 3	–	–46	46	–
Transfer to 12M ECL	24	–24	–	–
Reversals due to disposals, repayments, and other reductions	–73	–57	–76	–206
Additions due to new additions and other increases	61	99	163	323
Utilization	–	–	–177	–177
Other changes incl. exchange rate changes	–3	–3	–6	–12
Loan loss provisions as at December 31, 2025	**36**	**77**	**162**	**275**

Development of loan loss provisions for loans and advances to customers

	2024			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Loan loss provisions as at January 1, 2024	**35**	**89**	**242**	**366**
Transfer to LECL Stage 2	–11	11	–	–
Transfer to LECL Stage 3	–	–29	29	–
Transfer to 12M ECL	21	–21	–	–
Reversals due to disposals, repayments, and other reductions	–61	–83	–102	–246
Additions due to new additions and other increases	56	125	180	361
Utilization	–	–	–136	–136
Other changes incl. exchange rate changes	2	1	–1	2
Loan loss provisions as at December 31, 2024	**42**	**93**	**212**	**347**

As in the prior-year period, changes in loan loss provisions for customers in the reporting period relate only to transactions classified as AC.

Development of gross carrying amounts for financial investments

	2025			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Carrying amount as at January 1, 2025	**8,147**	**–**	**–**	**8,147**
thereof AC	131	–	–	131
thereof FVOCI	8,016	–	–	8,016
Other changes	–581	–	–	–581
thereof AC	–17	–	–	–17
thereof FVOCI	–564	–	–	–564
Carrying amounts as at December 31, 2025	**7,566**	**–**	**–**	**7,566**
thereof AC	114	–	–	114
thereof FVOCI	7,452	–	–	7,452

Development of gross carrying amounts for financial investments

	2024			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Carrying amount as at January 1, 2024	**7,180**	**–**	**–**	**7,180**
thereof AC	166	–	–	166
thereof FVOCI	7,014	–	–	7,014
Other changes	967	–	–	967
thereof AC	–35	–	–	–35
thereof FVOCI	1,002	–	–	1,002
Carrying amounts as at December 31, 2024	**8,147**	**–**	**–**	**8,147**
thereof AC	131	–	–	131
thereof FVOCI	8,016	–	–	8,016

Development of loan loss provisions for financial investments

	2025			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Loan loss provisions as at January 1, 2025	**1**	**–**	**–**	**1**
Reversals due to disposals and other reductions	–1	–	–	–1
Additions due to new additions and other increases	1	–	–	1
Loan loss provisions as at December 31, 2025	**1**	**–**	**–**	**1**

Development of loan loss provisions for financial investments

	2024			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Loan loss provisions as at January 1, 2024	**1**	**–**	**–**	**1**
Reversals due to disposals and other reductions	–2	–	–	–2
Additions due to new additions and other increases	2	–	–	2
Loan loss provisions as at December 31, 2024	**1**	**–**	**–**	**1**

As in the prior-year period, changes in financial investments in the reporting period relate only to transactions classified as FVOCI.

Development of gross carrying amounts of non-current assets held for sale and disposal groups

	2025			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Carrying amount as at January 1, 2025	**–**	**–**	**–**	**–**
Other changes	48	–	–	48
thereof AC	48	–	–	48
Carrying amounts as at December 31, 2025	**48**	**–**	**–**	**48**
thereof AC	48	–	–	48

There were no non-current assets held for sale and disposal groups in the previous year.

In the reporting year, no material loan loss provision for non-current assets held for sale and disposal groups is recognized.

Carrying amounts off-balance-sheet transactions

	2025			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Carrying amounts as at January 1, 2025	**4,824**	**327**	**40**	**5,191**
Transfer to LECL Stage 2	-2,607	2,607	-	-
Transfer to LECL Stage 3	-	-159	159	-
Transfer to 12M ECL	1,990	-1,990	-	-
Other changes	522	-496	-155	-129
Carrying amounts as at December 31, 2025	**4,729**	**289**	**44**	**5,062**

Carrying amounts off-balance-sheet transactions

	2024			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Carrying amount as at January 1, 2024	**4,021**	**738**	**38**	**4,797**
Transfer to LECL Stage 2	-827	827	-	-
Transfer to LECL Stage 3	-1	-50	51	-
Transfer to 12M ECL	1,076	-1,076	-	-
Other changes	555	-112	-49	394
Carrying amounts as at December 31, 2024	**4,824**	**327**	**40**	**5,191**

Development in loan loss provisions for off-balance-sheet transactions

	2025			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Loan loss provisions as at January 1, 2025	**4**	**12**	**12**	**28**
Transfer to LECL Stage 2	–2	2	–	–
Transfer to LECL Stage 3	–	–1	1	–
Transfer to 12M ECL	7	–7	–	–
Reversals due to disposals and other reductions	–13	–17	–13	–43
Additions due to new additions and other increases	8	17	15	40
Loan loss provisions as at December 31, 2025	**4**	**6**	**15**	**25**
thereof provisions for contingent liabilities	–	–	4	4
thereof provisions for irrevocable loan commitments	4	6	11	21

Development in loan loss provisions for off-balance-sheet transactions

	2024			
(€ mn)	Insignificant increase in the loan default risk (12M ECL)	Significant increase in the loan default risk (LECL Stage 2)	Credit-impaired (LECL Stage 3)	Total
Loan loss provisions as at January 1, 2024	**4**	**9**	**30**	**43**
Transfer to LECL Stage 2	–1	1	–	–
Transfer to 12M ECL	7	–7	–	–
Reversals due to disposals and other reductions	–15	–11	–17	–43
Additions due to new additions and other increases	9	20	5	34
Utilization	–	–	–6	–6
Loan loss provisions as at December 31, 2024	**4**	**12**	**12**	**28**
thereof provisions for contingent liabilities	–	–	7	7
thereof provisions for irrevocable loan commitments	4	12	5	21

46. Residual maturity breakdown of financial instruments

When determining the residual maturity of financial liabilities for purposes of presenting liquidity risk, the contractually agreed maturity dates of non-discounted cash flows are used as the basis.

Residual maturity breakdown

	2025					
(€ mn)	Payable on demand	Up to 3 months	3 months to 1 year	1 year to 5 years	More than 5 years	Total
Liabilities						
Liabilities to banks	110	324	640	1,149	263	2,486
Liabilities to customers	4,481	4,248	2,687	1,620	865	13,901
Debt securities issued	–	1,071	550	5,575	55	7,251
Negative market values of hedging derivatives	–	6	1	12	13	32
Trading liabilities	–	32	15	49	15	111
thereof: derivatives	–	32	15	44	11	102
Other liabilities	4	22	20	87	–	133
Subordinated capital	–	6	30	564	572	1,172
Contingent liabilities	790	–	–	–	–	790
Irrevocable loan commitments	4,273	–	–	–	–	4,273
Total	**9,658**	**5,709**	**3,943**	**9,056**	**1,783**	**30,149**

Residual maturity breakdown

	2024					
(€ mn)	Payable on demand	Up to 3 months	3 months to 1 year	1 year to 5 years	More than 5 years	Total
Liabilities						
Liabilities to banks	57	438	1,032	2,031	311	3,869
Liabilities to customers	5,296	4,655	3,103	1,552	825	15,431
Debt securities issued	–	1,143	1,263	6,601	121	9,128
Negative market values of hedging derivatives	–	5	1	18	23	47
Trading liabilities	–	130	107	185	13	435
thereof: derivatives	–	130	107	184	10	431
Other liabilities	4	34	22	53	1	114
Subordinated capital	–	8	28	156	991	1,183
Contingent liabilities	713	–	–	–	–	713
Irrevocable loan commitments	4,478	–	–	–	–	4,478
Total	**10,548**	**6,413**	**5,556**	**10,596**	**2,285**	**35,398**

Liquidity management is described in detail in the risk report included in the combined management report of the Bank.

47. Disclosure of fair value in accordance with IFRS 7 and IFRS 13

I. Fair values of financial instruments

The following section shows the fair values of the financial assets and liabilities presented by category of financial instruments, compared with the carrying amounts and divided into the three levels of the measurement hierarchy in accordance with IFRS 13.

Fair values of financial instruments

Assets

	2025				
(€ mn)	Carrying amount	Fair Value	Level 1	Level 2	Level 3
FVOCI Mandatory	**7,854**	**7,854**	**4,739**	**2,868**	**247**
Cash reserve	38	38	38	–	–
Loans and advances to banks	2	2	–	2	–
Loans and advances to customers	362	362	–	362	–
Financial investments	7,452	7,452	4,701	2,504	247
FVPL Designated	**39**	**39**	**–**	**39**	**–**
Financial investments	39	39	–	39	–
FVPL Held For Trading	**151**	**151**	**–**	**148**	**3**
Trading assets	151	151	–	148	3
FVPL Other	**354**	**354**	**104**	**72**	**178**
Loans and advances to customers	103	103	–	–	103
Financial investments	251	251	104	72	75
AC assets	**19,413**	**19,599**	**–**	**3,492**	**16,107**
Cash reserve	2,424	2,424	–	2,424	–
Loans and advances to banks	541	541	–	539	2
Loans and advances to customers	16,245	16,433	–	419	16,014
Financial investments	114	112	–	69	43
Non-current assets held for sale and disposal groups	48	48	–	–	48
Other assets	41	41	–	41	–
No IFRS 9 category	**19**	**19**	**–**	**–**	**–**
Receivables under finance leases	19	19	n.r.	n.r.	n.r.
Total assets	**27,830**	**28,016**	**4,843**	**6,619**	**16,535**

The carrying amounts of loans and advances to banks and loans and advances to customers classified as AC HTC are shown less the loan loss provisions disclosed on the balance sheet, since fair value also reflects possible impairments.

Fair values of financial instruments

Assets

	2024				
(€ mn)	Carrying amount	Fair Value	Level 1	Level 2	Level 3
FVOCI Mandatory	**8,392**	**8,392**	**4,496**	**3,444**	**452**
Cash reserve	–	–	–	–	–
Loans and advances to banks	5	5	–	5	–
Loans and advances to customers	371	371	–	371	–
Financial investments	8,016	8,016	4,496	3,068	452
FVPL Designated	**38**	**38**	**–**	**38**	**–**
Financial investments	38	38	–	38	–
FVPL Held For Trading	**225**	**225**	**–**	**195**	**30**
Trading assets	225	225	–	195	30
FVPL Other	**472**	**472**	**200**	**72**	**200**
Loans and advances to customers	134	134	–	1	133
Financial investments	338	338	200	71	67
AC assets	**23,658**	**23,754**	**–**	**4,433**	**19,321**
Cash reserve	3,085	3,085	–	3,085	–
Loans and advances to banks	709	709	–	700	9
Loans and advances to customers	19,675	19,769	–	521	19,248
Financial investments	131	133	–	69	64
Other assets	58	58	–	58	–
No IFRS 9 category	26	26	–	–	–
Receivables under finance leases	26	26	n.r.	n.r.	n.r.
Total assets	**32,811**	**32,907**	**4,696**	**8,182**	**20,003**

Fair values of financial instruments

Liabilities

	2025				
(€ mn)	Carrying amount	Fair Value	Level 1	Level 2	Level 3
FVPL Designated	**294**	**294**	**–**	**217**	**77**
Liabilities to banks	14	14	–	10	4
Liabilities to customers	183	183	–	119	64
Debt securities issued	97	97	–	88	9
FVPL Held For Trading	**102**	**102**	**–**	**100**	**2**
Trading liabilities	102	102	–	100	2
AC liabilities	**23,850**	**23,872**	**–**	**21,751**	**2,121**
Liabilities to banks	2,402	2,333	–	816	1,517
Liabilities to customers	13,300	13,309	–	13,298	11
Debt securities issued	7,153	7,208	–	6,615	593
Other liabilities	100	100	–	100	–
Subordinated capital	895	922	–	922	–
No IFRS 9 category	**39**	**39**	**–**	**39**	**–**
Negative market values of hedging derivatives	39	39	–	39	–
Total liabilities	**24,285**	**24,307**	**–**	**22,107**	**2,200**

Fair values of financial instruments

Liabilities

	2024				
(€ mn)	Carrying amount	Fair Value	Level 1	Level 2	Level 3
FVPL Designated	**272**	**272**	**–**	**188**	**84**
Liabilities to banks	4	4	–	–	4
Liabilities to customers	145	145	–	75	70
Debt securities issued	123	123	–	113	10
FVPL Held For Trading	**309**	**309**	**–**	**306**	**3**
Trading liabilities	309	309	–	306	3
AC liabilities	**28,596**	**28,514**	**–**	**24,687**	**3,827**
Liabilities to banks	3,714	3,598	–	1,190	2,408
Liabilities to customers	14,875	14,881	–	14,803	78
Debt securities issued	9,005	8,997	–	7,656	1,341
Other liabilities	77	77	–	77	–
Subordinated capital	925	961	–	961	–
No IFRS 9 category	**58**	**58**	**–**	**58**	**–**
Negative market values of hedging derivatives	58	58	–	58	–
Total liabilities	**29,235**	**29,153**	**–**	**25,239**	**3,914**

At the end of the period under review, financial instruments measured at fair value were transferred from one hierarchy level to another. These transfers are shown in the following table, together with the carrying amounts at the time of transfer for each class of financial instruments.

Transfer, assets

(€ mn) 2025	Transfer to Level 1	Transfer from Level 1	Transfer to Level 2	Transfer from Level 2	Transfer to Level 3	Transfer from Level 3
Financial investments						
thereof FVOCI Mandatory	44	-219	394	-44	-	-175
thereof FVPL Other	1	-16	16	-1	-	-
Total	**45**	**-235**	**410**	**-45**	**-**	**-175**

Transfer, assets

(€ mn) 2024	Transfer to Level 1	Transfer from Level 1	Transfer to Level 2	Transfer from Level 2	Transfer to Level 3	Transfer from Level 3
Trading assets (FVPL Held For Trading)	-	-	1	-	-	-1
Financial investments						
thereof FVOCI Mandatory	-205	-500	563	129	76	-63
thereof FVPL Other	-4	-41	41	4	-	-
Total	**-209**	**-541**	**605**	**133**	**76**	**-64**

Transfer, liabilities

There were no transfers on the liabilities side in the reporting period or in the same period of the previous year.

IFRS 13 contains the requirements for determining fair value, which are further specified by IDW RS HFA 47. They also include the guidelines for assigning input factors to the fair value hierarchy levels. Hamburg Commercial Bank uses prices obtained from pricing services such as Bloomberg or Reuters to measure interest-bearing securities that are commonly traded on the OTC market. Average prices determined on the basis of binding offers or transaction-based prices are Level 2 input factors within the meaning of IFRS 13 and IDW RS HFA 47.

Interest-bearing securities were accordingly transferred from Level 1 to Level 2 or vice versa in the reporting period – depending on the prices used for measurement. In addition, more liquid pricing sources led to the reclassification of certain euro-denominated securitizations from Level 3 to Level 2.

The following shows the reconciliation for all assets and liabilities recognized at fair value and assigned to Level 3 in the fair value hierarchy. The data is presented from the start to the end of the period. The table takes into account all movements of assets and liabilities that were or are allocated to Level 3 during the reporting period.

Reconciliation, Assets

(€ mn)		Change in balance affecting income		Quantitative changes		Quantitative changes		Transfers					
2025	January 1, 2025	Realized net income (income statement)	OCI reserve	Purchases	Sales	Issues	Settlements	From Level 3	To Level 3	Transfer/ recategorization	Exchange rate changes	December 31, 2025	Net income from assets held as at December 31, 2025
Balance sheet item/category/instrument type													
Loans and advances to customers													
thereof FVPL Other	133	3	–	2	–	–	–25	–	–	1	–11	103	3
Trading assets													
thereof FVPL Held For Trading	30	3	–	–	–20	–	–7	–	–	–	–3	3	2
Financial investments													
thereof FVOCI Mandatory	452	1	–1	204	–229	–	–	–175	–	–	–5	247	–
thereof FVPL Other	67	–6	–	16	–	–	–1	–	–	–	–1	75	–6
Total	**682**	**1** [1)]	**–1**	**222**	**–249**	**–**	**–33**	**–175**	**–**	**1**	**–20**	**428**	**–1**

[1)] Of the net income in the income statement recognized in profit or loss, € –2 million relate to the result from financial instruments categorized as FVPL, € –1 million to the net income from financial investments, and € 4 million to the net interest income.

Reconciliation, Assets

(€ mn)		Change in balance affecting income		Quantitative changes		Quantitative changes		Transfers					
2024	January 1, 2024	Realized net income (income statement)	OCI reserve	Purchases	Sales	Issues	Settlements	From Level 3	To Level 3	Transfer/ recategorization	Exchange rate changes	December 31, 2024	Net income from assets held as at December 31, 2024
Balance sheet item/category/instrument type													
Loans and advances to customers													
thereof FVPL Other	136	11	–	–	–8	–	–12	–	–	–	6	133	3
Trading assets													
thereof FVPL Held For Trading	3	–1	–	29	–	–	–	–1	–	–	–	30	–1
Financial investments													
thereof FVOCI Mandatory	515	–	3	–	–5	105	–184	–63	76	–	5	452	–
thereof FVPL Other	92	6	–	–	–30	–	–1	–	–	–	–	67	6
Total	**746**	**16** [1)]	**3**	**29**	**–43**	**105**	**–197**	**–64**	**76**	**–**	**11**	**682**	**8**

[1)] Of the net income in the income statement recognized in profit or loss, € 12 million relates to the result from financial instruments categorized as FVPL and € 4 million to the net interest income.

Reconciliation, Liabilities

(€ mn)		Change in balance affecting income		Quantitative changes		Quantitative changes		Transfers					
2025	January 1, 2025	Realized net income (income statement)	OCI reserve	Purchases	Sales	New business	Settlements	From Level 3	To Level 3	Transfer/ recategorization	Exchange rate changes	December 31, 2025	Net income from assets held as at December 31, 2025
Balance sheet item/category/instrument type													
Liabilities to banks													
thereof FVPL Designated	4	–	–	–	–	–	–	–	–	–	–	4	–
Liabilities to customers													
thereof FVPL Designated	70	5	–	–	–	–	–11	–	–	–	–	64	5
Debt securities issued													
thereof FVPL Designated	10	–	–	–	–1	–	–	–	–	–	–	9	–
Trading liabilities													
thereof FVPL Held For Trading	3	–1	–	–	–	–	–	–	–	–	–	2	–1
Total	**87**	**4** [1]	**–**	**–**	**–1**	**–**	**–11**	**–**	**–**	**–**	**–**	**79**	**4**

[1] Of the net income in the income statement, € 2 million relates to the net interest income and € 2 million to the result from financial instruments categorized as FVPL.

Reconciliation, Liabilities

(€ mn)		Change in balance affecting income		Quantitative changes		Quantitative changes		Transfers					
2024	January 1, 2024	Realized net income (income statement)	OCI reserve	Purchases	Sales	New business	Settlements	From Level 3	To Level 3	Transfer/ recategorization	Exchange rate changes	December 31, 2024	Net income from assets held as at December 31, 2024
Balance sheet item/category/instrument type													
Liabilities to banks													
thereof FVPL Designated	3	1	–	–	–	–	–	–	–	–	–	4	1
Liabilities to customers													
thereof FVPL Designated	72	–	–	–	–	–	–2	–	–	–	–	70	–
Debt Securities issued													
thereof FVPL Designated	10	–	–	–	–	–	–	–	–	–	–	10	–
Trading liabilities													
thereof FVPL Held For Trading	4	–1	–	–	–	–	–	–	–	–	–	3	–1
Total	**89**	**–**	**–**	**–**	**–**	**–**	**–2**	**–**	**–**	**–**	**–**	**87**	**–**

II. Information on significant unobservable inputs

QUANTITATIVE INFORMATION ON SIGNIFICANT UNOBSERVABLE INPUTS

The following overview contains quantitative information on significant unobservable inputs.

Fair Value

(€ mn) 2025		Assets	Liabilities	Measurement procedures	Significant unobservable inputs (Level 3)	Margin
Loans and advances to customers	FVPL Other	103		DCF method	Spread loans (bps)	709–1793
					Spread bonds (bps)	44–107.30
Trading assets/ trading liabilities	FVPL Held For Trading	3	2	Option pricing model	Swaption volatility (bps)	21,78–69,80
					Cap/floor volatility (bps)	22.10–214.60
				DCF method	Spread bonds (bps)	44–107.30
Financial investments	FVPL Other	75		Price	Price (bps)	1–99
				DCF method	Spread bonds (bps)	44–107.30
	FVOCI Mandatory	247		Price	Price (bps)	1–99
				DCF method	Spread bonds (bps)	44– 107.30
Liabilities to banks	FVPL Designated		4	Option pricing model	Swaption volatility (bps)	21,78–69,80
Liabilities to customers	FVPL Designated		64	Option pricing model	Swaption volatility (bps)	21,78–69,80
Debt securities issued	FVPL Designated		9	Option pricing model	Swaption volatility (bps)	21,78–69,80
Total		**428**	**79**			

Fair Value

(€ mn) 2024		Assets	Liabilities	Measurement procedures	Significant unobservable inputs (Level 3)	Margin
Loans and advances to customers	FVPL Other	133		DCF method	Spread Loans	450–1,649 bps
					Spread bonds	0–315 bps
Trading assets/ trading liabilities	FVPL Held For Trading	30	3	DCF method	Spread loans	450–1,649 bps
				Option pricing model	Swaption volatility	11.55 %–16.31 %
Financial investments	FVPL Other	67		Price	Price	1 – 99 bps
				DCF method	Spread bonds	0–315 bps
	FVOCI Mandatory	452		Price	Price	1–99 bps
Liabilities to banks	FVPL Designated		4	Option pricing model	Swaption volatility	11,55 %–16,31 %
Liabilities to customers	FVPL Designated		70	Option pricing model	Swaption volatility	11,55 %–16,31 %
Debt securities issued	FVPL Designated		10	Option pricing model	Swaption volatility	11.55 %–16.31 %
Total		**682**	**87**			

The correlation and volatility ranges shown for derivatives cover derivatives with different types of underlying, tenors, and exercise prices.

The overview also includes financial instruments whose change in value resulting from inputs unobservable in the market does not give rise to any P&L effect due to economic hedging relationships (at the micro level). Changes in value attributable to the respective relevant inputs are offset for these financial instruments by the changes in value of the hedging derivatives.

SENSITIVITIES OF FAIR VALUE IN RELATION TO UNOBSERVABLE INPUT

The following describes how the fair values of financial instruments can change as a result of fluctuations in significant unobservable inputs.

CORRELATION

Correlation can represent an important unobservable input for the measurement of derivatives. It is a measure of the degree to which two reference values move in relation to each other. Correlation is an important input for the model-based determination of the fair value of derivatives with more than one underlying. Financial instruments of this type include, for example, derivatives with several currencies ("FX basket" derivatives) or several shares as the underlyings ("equity basket" derivatives). Currency correlations describe the relationship between changes in value of several currencies. Share correlations express the relationship between yields on different shares. A high degree of correlation means that there is a close relationship between the changes in value of the respective underlyings.

Depending on the type of derivative, changes in correlation can have a positive or negative effect on the fair value. For example, in the case of a "best of two" derivative, an increase in the correlation between two underlyings results in a decrease of the fair value of the derivative from the perspective of the purchaser.

VOLATILITY

Volatility can also represent an important unobservable input for the measurement of options. It expresses how strongly the value of the underlying fluctuates over time. The amount of volatility depends on the type of the underlying, its tenor, and the exercise price agreed for the option.

The fair value of options typically increases if volatility increases. The sensitivity of the fair value of options to changes in volatility can vary considerably. For example, the sensitivity of the fair value to changes in volatility is comparatively high if the price of the underlying is close to the agreed exercise price ("at-the-money"). In contrast, sensitivity to changes in volatility is lower if the price of the underlying is far from the exercise price ("far-out-of-the-money" or "far-in-the-money").

PRICE

Prices can represent an important unobservable input for the measurement of financial instruments. These prices represent pricing information of third parties within the meaning of IFRS 13.93(d) sentence 4, whereby the Bank does not produce any quantitative, unobservable input factors for measuring the fair value of the respective financial instrument. More detailed quantitative information on these input factors is therefore not required. The fair value increases if the price increases, and it falls if the price declines.

Reciprocal effects between unobservable inputs

Reciprocal effects between unobservable inputs can exit in principle. Insofar as multiple unobservable inputs are used in determining fair value, the range of the possible characteristics for another unobservable input can be restricted or increased by the characteristic used for one of the relevant unobservable inputs.

Effects of unobservable inputs

If the measurement of a financial instrument is based partly on unobservable inputs, the fair value determined is the best estimated value in accordance with a discretionary decision made by the Bank. However, it remains subjective in that there may be alternative input selection options that cannot be refuted by observable market data. For many of the financial instruments included (such as derivatives), the unobservable inputs only represent a subset of the total inputs required for the measurement. The remaining inputs are observable inputs.

An alternative choice of inputs for the unobservable inputs depending on the limits of a possible range would have had certain effects on the fair values of the financial instruments in question. Advantageous and disadvantageous changes to fair value have been determined by recalculating the fair values based on possible alternative values to the relevant unobservable inputs.

Interest rate volatilities were changed by +/-5 %, all correlations by +/-20 % (capped at +/-100 %), price parameters by +/-2 %, and spreads by +/-50 bps. Overall, this would then have had a positive/negative effect on the fair values of the financial instruments in question in the amount of € 8 million (previous year: € 16 million). Of this amount, € 3 million (previous year (corrected): € 6 million) was recognized in the income statement as income/expense and € 5 million (previous year (corrected): € 10 million) in the revaluation reserve.

III. Day one profit and loss

The day one profit and loss reserve developed as follows:

(€ mn)	2025	2024
Holdings as at January 1	**4**	**4**
Additions not recognized in profit or loss		-
Reversals recognized in profit or loss	2	-
Holdings as at December 31	**2**	**4**

The day one profit and loss reserve is solely attributable to financial instruments classified as FVPL Held For Trading.

48. Offsetting of financial instruments

Financial assets and financial liabilities are netted and disclosed as a net amount on the statement of financial position, if there is a legal entitlement to do so at the current point in time and there is the intention to settle the claims on a net basis or to settle the associated liability at the time the asset concerned is realized.

In the following, those financial instruments on the statement of financial position are presented that were netted as at the reporting date as well as financial instruments, which are subject to a legally enforceable global netting agreement, irrespective of whether the financial instruments concerned are actually netted on the face of the statement of financial position. Master agreements commonly used at Hamburg Commercial Bank include master agreements for repo transactions as well as for OTC transactions (ISDA master agreements) and the German master agreement for financial derivatives (DRV). These provide for offsetting of mutual claims and obligations only in the event of termination of all individual transactions under a master agreement based on certain events and therefore do not entitle the parties to offset the recognized assets and liabilities.
Hamburg Commercial Bank has entered into clearing agreements with brokers for certain OTC derivatives enabling the Bank to access central counterparties (clearing houses). The contractual provisions for these transactions include a legal right to offset financial assets and financial liabilities that can be enforced at any time and thus, in accordance with IAS 32.42, result in the offsetting of the positive and negative market values of the derivative financial instruments and collateral provided and received included in loans and advances to banks and customers or liabilities to banks and customers for accounting purposes.

In addition, loans and advances to banks and customers actually netted and liabilities to banks and customers arising from genuine repo transactions are shown on the basis of netting agreements.

Financial assets

(€ mn) 2025	Gross carrying amount	Gross carrying amount from netting	Net amount	Gross amount, netting criteria not met	Collateral received	Net amount after collateral
Loans and advances to banks	180	6	174	–	80	94
Loans and advances to customers	5	–	5	–	5	–
Derivatives	345	208	137	25	18	94

Of the net amount of derivatives disclosed on the statement of financial position, positive market values of hedging derivatives account for € 0 million and trading assets for € 137 million.

Financial liabilities

(€ mn) 2025	Gross carrying amount	Gross carrying amount from netting	Net amount	Gross amount, netting criteria not met	Collateral provided	Net amount after collateral
Liabilities to banks	939	107	832	–	29	803
Liabilities to customers	–	–	–	–	–	–
Derivatives	236	107	129	25	75	29

Of the net amount of derivatives disclosed on the statement of financial position, negative market values of hedging derivatives account for € 39 million and trading liabilities for € 90 million.

Financial assets

(€ mn) 2024	Gross carrying amount	Gross carrying amount from netting	Net amount	Gross amount, netting criteria not met	Collateral received	Net amount after collateral
Loans and advances to banks	432	24	408	–	258	150
Loans and advances to customers	11	–	11	–	11	–
Derivatives	540	376	164	33	11	120

Of the net amount of derivatives disclosed on the statement of financial position, positive market values of hedging derivatives account for € 0 million and trading assets for € 164 million.

Financial liabilities

(€ mn) 2024	Gross carrying amount	Gross carrying amount from netting	Net amount	Gross amount, netting criteria not met	Collateral provided	Net amount after collateral
Liabilities to banks	1,888	152	1,736	–	53	1,683
Liabilities to customers	–	–	–	–	–	–
Derivatives	596	248	348	33	228	87

Of the net amount of derivatives disclosed on the statement of financial position, negative market values of hedging derivatives account for € 58 million and trading liabilities for € 290 million.

49. Credit risk analysis of financial assets

I. Credit quality

The following table contains information on the credit quality of all financial instruments held by the Bank. It shows the credit risk exposures by classifying the gross carrying amounts of financial assets and the nominal amounts of off-balance-sheet transactions by credit risk stage and assigning them to rating categories. This is based on the DSGV master scale, which is used in all rating procedures.

Credit quality

(€ mn) 2025	1(AAA) to 1(AA+)	1(AA) to 1(A–)	2 to 5	6 to 9	10 to 12	13 to 15	16 to 18	Total
Financial instruments without any significant deterioration in credit quality (12M ECL)								
Cash reserve								
thereof AC assets	2,424	–	–	–	–	–	–	2,424
thereof FVOCI Mandatory	13	25	–	–	–	–	–	38
Loans and advances to banks								
thereof AC assets	101	415	1	24	–	–	–	541
thereof FVOCI Mandatory	2	–	–	–	–	–	–	2
Loans and advances to customers								
thereof AC assets	181	2,010	5,850	5,047	623	59	–	13,770
thereof FVOCI Mandatory	317	45	–	–	–	–	–	362
Financial investments								
thereof AC assets	–	43	41	30	–	–	–	114
thereof FVOCI Mandatory	2,603	4,531	265	53	–	–	–	7,452
Non-current assets held for sale and disposal groups								
thereof AC assets	–	–	48	–	–	–	–	48
Other assets								
thereof AC assets	–	41	–	–	–	–	–	41
No holding category								
Receivables under finance leases	–	19	–	–	–	–	–	19
Contingent liabilities	48	283	241	147	12	–	–	731
Irrevocable loan commitments	86	697	1,769	1,290	148	9	–	3,999
Financial instruments with a significant deterioration in credit quality (LECL Stage 2)								
Loans and advances to customers								
thereof AC assets	–	–	200	812	872	285	–	2,169
No holding category								
Contingent liabilities	–	–	–	25	20	2	–	47
Irrevocable loan commitments	–	–	28	85	101	28	–	242
Credit-impaired (LECL Stage 3)								
Loans and advances to customers								
thereof AC assets	–	–	–	–	–	–	581	581
No holding category								
Contingent liabilities	–	–	–	–	–	–	12	12
Irrevocable loan commitments	–	–	–	–	–	–	32	32
Total	**5,775**	**8,109**	**8,443**	**7,513**	**1,776**	**383**	**625**	**32,624**

The Bank does not apply the simplified approach under IFRS 9.5.5.15, meaning that the disclosure under IFRS 7.35 M(b)(iii) is not relevant.

Credit quality

(€ mn) 2024	1(AAA) to 1(AA+)	1(AA) to 1(A–)	2 to 5	6 to 9	10 to 12	13 to 15	16 to 18	Total
Financial instruments without any significant deterioration in credit quality (12M ECL)								
Cash reserve								
thereof AC assets	3,085	–	–	–	–	–	–	3,085
Loans and advances to banks								
thereof AC assets	62	626	5	16	–	–	–	709
thereof FVOCI Mandatory	5	–	–	–	–	–	–	5
Loans and advances to customers								
thereof AC assets	188	2,588	6,772	6,539	335	233	–	16,655
thereof FVOCI Mandatory	326	45	–	–	–	–	–	371
Financial investments								
thereof AC assets	–	63	69	–	–	–	–	132
thereof FVOCI Mandatory	1,951	5,474	534	58	–	–	–	8,017
Other assets								
thereof AC assets	–	58	–	–	–	–	–	58
No holding category								
Receivables under finance leases	–	26	–	–	–	–	–	26
Contingent liabilities	27	229	217	155	2	–	–	630
Irrevocable loan commitments	22	1,190	1,513	1,334	113	22	–	4,194
Financial instruments with a significant deterioration in credit quality (LECL Stage 2)								
Loans and advances to customers								
thereof AC assets	–	11	136	1,239	681	630	–	2,697
Financial investments								
No holding category								
Contingent liabilities	–	–	6	21	28	7	–	62
Irrevocable loan commitments	–	–	11	135	98	22	–	266
Credit-impaired (LECL Stage 3)								
Loans and advances to customers								
thereof AC assets	–	–	–	–	–	22	648	670
No holding category								
Contingent liabilities	–	–	–	–	–	–	22	22
Irrevocable loan commitments	–	–	–	–	–	–	18	18
Total	**5,666**	**10,310**	**9,263**	**9,497**	**1,257**	**936**	**688**	**37,617**

II. Credit risk exposure

With the exception of loans and advances to banks and customers, the credit risk exposure as at the reporting date corresponds to the carrying amount of financial assets, as presented in Note 45, as well as the nominal value of off-balance-sheet liabilities as presented in Note 53.

In the case of loans and advances to banks and customers, the credit risk exposure corresponds to the carrying amount after loan loss provisions as presented in Note 22. The maximum default risk of the loans and advances recognized at fair value through profit or loss (FVPL) is not reduced by associated credit derivatives.

Collateral and other risk-reducing agreements are not reflected in these amounts.

III. Collateral received

A) COLLATERAL VALUES OF FINANCIAL ASSETS THAT MINIMISE THE DEFAULT RISK AND ARE NOT SUBJECT TO THE IMPAIRMENT PROCEDURE

The following information quantifies the extent to which the collateral retained and other loan collateralization reduce the maximum default risk for financial instruments that are not subject to the impairment procedure pursuant to IFRS 9. The amount of risk reduction from the value of each form of collateral is indicated for each class of financial instruments.

The value of collateral received is determined directly on the basis of the objective market value, provided that such a value can be determined. The reliability of the collateral value is ensured by the fact that it is recognized as risk-reducing only up to the level of the applicable collateral-specific recovery ratio.

The following table shows the respective carrying amount for each class of financial instrument as well as the collateral value that reduces default risk.

Financial assets and associated collateral

(€ mn)		Value of collateral received		
2025	Carrying amount	Real estate and registered liens	Sureties and guarantees	Other collateral
FVPL Designated				
Financial investments	39	–	–	–
FVPL Other				
Loans and advances to customers	103	2	–	–
Financial investments	251	–	–	–
FVPL Held For Trading				
Trading assets	151	3	1	48
No holding category				
Total assets	**544**	**5**	**1**	**48**

Financial assets and associated collateral

(€ mn)		Value of collateral received		
2024	Carrying amount	Real estate and registered liens	Sureties and guarantees	Other collateral
FVPL Designated				
Financial investments	38	–	–	–
FVPL Other				
Loans and advances to customers	134	–	–	–
Financial investments	338	–	–	–
FVPL Held For Trading				
Trading assets	225	34	2	21
Total assets	**735**	**34**	**2**	**21**

B) IMPAIRED FINANCIAL ASSETS AND ASSOCIATED COLLATERAL

The following overview shows the volume and concentration of collateral held by Hamburg Commercial Bank to reduce the default risk and other loan collateralization for impaired financial assets.

(€ mn)		Value of collateral received		
2025	Carrying amount	Real estate and registered liens	Sureties and guarantees	Other collateral
AC assets				
Loans and advances to customers	581	178	1	83
No holding category				
Contingent liabilities	12	1	4	–
Irrevocable loan commitments	32	17	–	–
Total assets	**625**	**196**	**5**	**83**

(€ mn)		Value of collateral received		
2024	Carrying amount	Real estate and registered liens	Sureties and guarantees	Other collateral
AC assets				
Loans and advances to customers	670	390	1	65
No holding category				
Contingent liabilities	22	–	2	9
Irrevocable loan commitments	18	–	–	–
Total assets	**710**	**390**	**3**	**74**

For loans and advances to customers in the amount of € 44 million (December 31, 2024: € 1 million), no impairment losses were recognized despite default due to the collateral available.

Collateral is a key instrument for managing default risks. They are included in the main procedures for managing and monitoring default risks to reduce risks. The methods and processes for the valuation and management of collateral are set out in Hamburg Commercial Bank's Collateral Guideline.

The value of collateral received is determined directly on the basis of the objective market value, provided that such a value can be determined. The reliability of the collateral value is ensured by the fact that it is recognized as risk-reducing only up to the level of the applicable collateral-specific recovery ratio. Only collateral listed in the collateral catalog is included as valuable collateral. Upon initial recognition, the value of movable property and real estate recognized as collateral is determined by appraisers that are independent of the market. Depending on the type of collateral, the recoverability and realization options are reviewed regularly at set intervals, and more frequently in the event of considerable market fluctuations.

Collateral values are predominantly provided by domestic collateral providers. The creditworthiness of the collateral providers is mainly in the 1(AAA) to 1(A-) rating categories.

Information on the risk concentrations for the collateral provided can be found in the risk report in the section on default risk.

C) THEREOF COLLATERAL RECEIVED FOR WHICH THERE ARE NO RESTRICTIONS ON DISPOSAL OR REALISATION EVEN IF THERE IS NO DEFAULT IN PAYMENT

Hamburg Commercial Bank has received cash collateral from counterparties with a total fair value of € 23 million (December 31, 2024: € 22 million). The collateral received is attributable to OTC derivatives and structured transactions.

Collateral received was not resold or pledged. There are no restrictions on disposal or realization. Hamburg Commercial Bank is obliged to return all collateral resold or pledged to the guarantor without exception.

Hamburg Commercial Bank carries out securities repurchase and lending transactions as well as tri-party repo transactions under standard master agreements with selected counterparties. The same conditions and collateralization methods apply as for collateral transferred and received.

D) OTHER COLLATERAL RECEIVED

As in the previous year, no assets from the realization of collateral were capitalized in the reporting period.

IV. Assets that have been written off and are still subject to an enforcement measure

In the current reporting period, financial assets that are still subject to an authorizations measure were written off in the amount outstanding under contract law of € 105 million (December 31, 2024: € 289 million).

50. Restructured or modified loans

The following table shows the carrying amounts of loans and loan commitments that have been restructured or whose contractual terms and conditions have been modified in order to place the debtor in a position to continue to service or resume servicing its capital debt despite financial difficulties.

Forbearance exposure

(€ mn) 2025	Rating class 1–15	Rating class 16–18	Total
Loans and advances to customers	587	451	1,038
Irrevocable and revocable loan commitments	38	32	70
Total	**625**	**483**	**1,108**

Forbearance exposure

(€ mn) 2024	Ratingklasse 1–15	Ratingklasse 16–18	Gesamt
Loans and advances to customers	389	537	926
Irrevocable and revocable loan commitments	57	17	74
Total	**446**	**554**	**1,000**

For the volume of receivables shown here, which is subject to forbearance measures, loan loss provisions of € 154 million have already been set up for the portfolios measured at amortized cost (previous year: € 183 million).

51. Information on unconsolidated structured entities

I. Interests in unconsolidated structured entities

Hamburg Commercial Bank maintains business relationships with unconsolidated structured entities, within the meaning of an interest pursuant to IFRS 12, if Hamburg Commercial Bank is exposed to variable returns based on equity, debt instruments, derivatives, guarantees, etc.

These unconsolidated structured entities relate to ABS investments, securitization and refinancing vehicles, investment funds, and other structured entities.

Hamburg Commercial Bank has a business relationship within the meaning of an interest with a total of 86 unconsolidated structured entities (previous year: 115). The decline in holdings of around 25 % compared to the previous year is mainly due to the expiration of investments in Collateralized Loan Obligations (CLOs). The following table shows the accumulated total assets of the unconsolidated structured entities with which Hamburg Commercial Bank maintains a business relationship within the meaning of an interest:

Information on the size of unconsolidated structured entities

	Number		Total assets (€ mn)	
	2025	2024	2025	2024
ABS investments	33	59	11,844	14,795
Investment funds	9	9	12,139	5,131
Securitization and refinancing vehicles	22	23	4,727	10,249
Other	22	24	24,502	21,173
Total	**86**	**115**	**53,212**	**51,348**

Refinancing and securitization vehicles refinance their assets via securities, SSDs (promissory notes), or refinancing facilities, etc. These companies are involved in the (revolving) purchase and, in certain cases, securitization of loan, trading and lease receivables, including refinancing with investors. They are mainly financed through issuing debt securities (and promissory notes) as well as via loans and subordinated loans. There are also 33 entities in connection with ABS investments. ABS structures are financed by the issuance of debt securities. In addition, investments in ABS structures are backed up by collateral. These companies are involved in the purchase and securitization of loan receivables, including refinancing via investors.

The main corporate purposes of investment funds are to finance assets, participate in non-listed companies, and hold shares in real estate funds. The main activities of such investment funds are to carry out research for analyzing markets, making decisions on investment and disinvestment in order to adjust portfolios and to attract investors. Investment funds raise their funds by the issuing of equity and debt instruments. The investment funds are funds launched by third parties, to which Hamburg Commercial Bank has mainly granted loans.

The business purpose of the other structured entities is to finance company acquisitions in various sectors of the economy or direct investments in loan portfolios within defined investment guidelines. Refinancing of these vehicles is usually based on long-term senior secured loans in which the Bank participates as syndicate.

II. Risks from interests in unconsolidated structured entities

The following information concerning risk refers not just to the current reporting period but also to risks which result from business relationships with unconsolidated structured entities in earlier reporting periods.

The risks from unconsolidated structured entities are presented in the form of the maximum potential loss which may arise from these business relationships based on an interest within the meaning of IFRS 12. Hamburg Commercial Bank discloses the carrying amounts of these transactions as a maximum potential loss. In the case of irrevocable loan commitments and contingent liabilities, the carrying amount matches the par value. There are no credit derivatives relating to unconsolidated structured entities as at the reporting date.

The following tables show the IFRS gross carrying amounts of exposures to unconsolidated structured entities as at December 31, 2025, and as at the prior-year reporting date, broken down by balance sheet items.

Type of business relationship

(€ mn) 2025	Investment funds	ABS	Securitization and refinancing vehicles	Other structured entities	Total
Loans and advances to customers	240	–	553	541	1,334
Financial investments	–	745	113	–	858
Total assets	**240**	**745**	**666**	**541**	**2,192**
Liabilities to customers	13	–	2	–	15
Total liabilities	**13**	**–**	**2**	**–**	**15**

Type of business relationship

(€ mn) 2024	Investment funds	ABS	Securitization and refinancing vehicles	Other structured entities	Total
Loans and advances to customers	225	–	760	758	1,743
Financial investments	–	1,057	103	–	1,160
Total assets	**225**	**1,057**	**863**	**758**	**2,903**
Liabilities to customers	2	–	3	19	24
Total liabilities	**2**	**–**	**3**	**19**	**24**

The above tables contain loans, debt securities, deposits, and derivatives in respect of unconsolidated structured entities.

In addition, there are maximum potential losses from irrevocable loan commitments of € 502 million (previous year: € 672 million), of which € 100 million results from investment funds (previous year: € 5 million), € 0 million from ABS investments (previous year: € 0 million), € 371 million from securitization and refinancing vehicles (previous year: € 570 million) and € 31 million from other structured entities (previous year: € 97 million).

There are no business relationship risks based on an interest in unconsolidated structured entities as defined in IFRS 12.B26 that exceed the maximum potential loss, such as contractual terms under which Hamburg Commercial Bank would have to grant financial support, liquidity arrangements, guarantees extended, or support provided by Hamburg Commercial Bank in the event of difficulties in refinancing unconsolidated structured entities.

Furthermore, Hamburg Commercial Bank has not entered into any loss-transfer agreements with unconsolidated structured entities. Mainly net interest income for granting loans and commission income were generated from business relationships with unconsolidated structured entities based on an interest within the meaning of IFRS 12.

III. Sponsoring

Hamburg Commercial Bank has sponsor relationships within the meaning of IFRS 12 if Hamburg Commercial Bank is exposed to variable return flows, although there is no business relationship in the form of an interest within the meaning of IFRS 12. Hamburg Commercial Bank is a sponsor if it was involved in establishing an unconsolidated structured entity, if it stands to gain the main profit from the entity or is the main collateral taker, if Hamburg Commercial Bank provides implicit guarantees, or if the name of Hamburg Commercial Bank is part of the name of the structured entity or of the products issued by such entity.

The Bank currently has no sponsor relationships in the aforementioned sense.

IV. Provision of support

During the current reporting period, Hamburg Commercial Bank has not supported any unconsolidated structured entity financially or in any other way without a contractual commitment to do so. Hamburg Commercial Bank also has no intention of granting financial support to any unconsolidated structured entity or helping to procure financial support from third parties.

52. Non-substantially modified financial instruments

As far as modifications are concerned, a distinction is made between substantial and non-substantial modifications.

The following overview shows the amortized cost, taking into account the loan loss provisions before adjustments, and the net results of all financial instruments at Stages 2 and 3 that were not substantially modified during the reporting period. The gains or losses resulting from the modification are based on the change in the gross carrying amount of the financial instrument as a result of the modification.

Assets

(€ mn)	Amortised cost for Stage 2, Stage 3 financial instruments modified in the reporting period before modification		Gains or losses from the modification at Stage 2, 3 and POCI in the reporting period	
	2025	2024	2025	2024
AC				
Loans and advances to customers	106	87	-2	-
Total	**106**	**87**	**-2**	**-**

53. Contingent liabilities and irrevocable loan commitments

Contingent liabilities

(€ mn)	2025	2024
Contingent liabilities from guarantees and warranty agreements		
Loan guarantees	20	18
Letters of credit	180	133
Other guarantees	590	562
Total	**790**	**713**

Loan commitments

(€ mn)	2025	2024
Loan commitments for		
Open account loans to banks	21	19
Open account loans to customers	4,036	4,316
Guarantees	204	101
Other	12	42
Total	**4,273**	**4,478**

Information on collateral transferred is presented in Note 54.

In addition to the values shown in the table, there are other contingent liabilities arising from legal disputes. The addition results from some new legal disputes in the Bank's lending business in the amount of € 91 million (previous year: € 69 million).

To determine for which claim the possibility of a loss is likely, and in order to estimate the amount of the potential payment obligations, Hamburg Commercial Bank takes a variety of factors into account. These include, among other things, the type of claim and the underlying facts of the case, the status of the individual proceedings, (provisional) decisions made by courts and arbitration bodies, the experience of Hamburg Commercial Bank and third parties in comparable cases (as far as they are known to the Bank), prior settlement negotiations, and the expert opinions and assessments of the Bank's internal and external legal advisors and other professionals.

Please also refer to the note on provisions and the explanations set out in the risk report, which forms part of the combined management report, with respect to existing uncertainties regarding risks arising from legal disputes.

Other disclosures

54. Report on business in derivatives

Derivative financial instruments are used to a considerable degree in order to hedge risk efficiently, to take advantage of market opportunities, and to cover special customer financing needs. The derivatives business of Hamburg Commercial Bank is predominantly transacted with banks based in OECD countries.

Positive and negative market values are presented on the basis of net values after offsetting in accordance with IAS 32.42.

I. Volume

Derivative transactions with interest rate risks

(€ mn)	Nominal values		Positive market values		Negative market values	
	2025	2024	2025	2024	2025	2024
Interest rate swaps	9,373	13,190	99	130	19	32
Swaptions						
Sales	90	42	–	–	3	3
Caps, floors	**3,330**	3,828	**3**	11	**2**	4
Other forward interest rate transactions	**38**	45	**–**	7	**1**	8
Total	**12,831**	**17,105**	**102**	**148**	**25**	**47**

Derivatives transactions with interest rate and foreign exchange risks

(€ mn)	Nominal values		Positive market values		Negative market values	
	2025	2024	2025	2024	2025	2024
Interest rate swaps	1,645	2,252	11	–	–	94
Total	**1,645**	**2,252**	**11**	**–**	**–**	**94**

Derivatives transactions with foreign exchange risks

(€ mn)	Nominal values		Positive market values		Negative market values	
	2025	2024	2025	2024	2025	2024
Forward exchange transactions	4,252	5,913	27	37	36	122
Total	**4,252**	**5,913**	**27**	**37**	**36**	**122**

Credit derivatives

(€ mn)	Nominal values		Positive market values		Negative market values	
	2025	2024	2025	2024	2025	2024
Guarantor position	–	296	–	–	–	–
Total	**–**	**296**	**–**	**–**	**–**	**–**

Derivatives transactions with structured products

(€ mn)	Nominal values		Positive market values		Negative market values	
	2025	2024	2025	2024	2025	2024
Interest rate swaps	473	608	11	11	39	41
Total	**473**	**608**	**11**	**11**	**39**	**41**

Derivatives transactions in fair value hedge accounting

(€ mn)	Nominal values		Positive market values		Negative market values	
	2025	2024	2025	2024	2025	2024
Fair value hedges						
Interest rate swaps	14,766	14,630	–	–	39	58
Total	**14,766**	**14,630**	**–**	**–**	**39**	**58**

II. Counterparty classification

Counterparty classification

(€ mn)	Nominal values		Positive market values		Negative market values	
	2025	2024	2025	2024	2025	2024
OECD banks	28,743	34,906	42	46	99	301
Non-OECD banks	–	–	–	–	–	–
Non-banks[1)]	5,165	5,840	107	148	38	60
Public sector entities	59	59	2	2	1	2
Total	**33,967**	**40,805**	**151**	**196**	**138**	**363**

[1)] Including exchange-traded contracts.

III. Maturities

Maturities

(€ mn)	Positive market value of derivatives		Positive market value of derivatives from fair value hedging		Negative market value of derivatives		Negative market value of derivatives from fair value hedging	
	2025	2024	2025	2024	2025	2024	2025	2024
Residual maturity								
Up to 3 months	25	7	–	–	31	33	–	–
3 months to 1 year	9	3	–	–	6	87	–	–
1 year to 5 years	25	64	–	–	31	158	–	–
Up to 5 years	92	122	–	–	31	27	39	58
Total	**151**	**196**	**–**	**–**	**99**	**305**	**39**	**58**

55. Disclosures on collateral transferred and financial assets transferred with retention of rights and/or obligations

I. Collateral transferred

As at December 31, 2025, Hamburg Commercial Bank had transferred assets as collateral that do not meet the requirements for derecognition under IFRS 9. The assets transferred as collateral continue to be recognized in the consolidated statement of financial position as the interest rate risk, credit risk, and other material risks as well as the prospects of appreciation and interest income largely reside with Hamburg Commercial Bank.

The following table mainly shows the collateral used to collateralize OTC derivative transactions and funds raised at central banks and other credit institutions. Notes on repurchase agreements are separately disclosed below.

Carrying amounts of transferred collateral

(€ mn)	2025	2024
Receivables	1,482	2,282
Loans and advances to banks	223	458
Loans and advances to customers	1,259	1,824
Trading assets/Financial investments	65	64
Total	**1,547**	**2,346**

Money market borrowing generally involves pledging and transferring securities lodged with the European Central Bank. It is not possible to resell or pledge in the interim.

In addition, Hamburg Commercial Bank concludes repurchase agreements under repo master agreements both on a national and international scale. The associated liabilities are recognized under liabilities to banks or liabilities to customers. Repo and securities lending transactions are monitored by measuring transactions on a daily basis. If there is a shortfall in collateral, the counterparty may require Hamburg Commercial Bank to provide additional securities to increase collateral. Where Hamburg Commercial Bank has provided collateral and the market situation changes such that the cover provided is excessive, it is entitled to require the counterparty to release collateral. The collateral provided is subject to a full transfer of rights, i.e. the party receiving collateral may act like an owner and in particular may transfer or pledge such collateral. In the case of securities collateral, securities of the same type and quality ("the same sort") must be delivered or returned unencumbered. Where collateral has been provided in the form of securities, it may not be returned in cash.

The above conditions and collateral modalities apply to tri-party repo transactions between Hamburg Commercial Bank and its counterparties accordingly. The transactions are executed via a tri-party agent.

Securities transferred as collateral in repo transactions

(€ mn)	2025	2024
Carrying amount of securities transferred in repo transactions	602	1,307
Fair value of securities transferred to repo transactions	602	1,307
Carrying amount of secured liabilities from repo transactions	808	1,237
Fair value of secured liabilities from repo transactions	808	1,235
Net balance of fair values of securities and liabilities	-206	72

II. Financial assets transferred with retention of rights and/or obligations

Hamburg Commercial Bank has not currently transferred any financial assets while retaining rights and/or obligations.

56. Trust transactions

The table below shows the volume of trust transactions not recognized in the statement of financial position.

Trust transactions

(€ mn)	2025	2024
Loans and advances to customers	19	20
Trust assets	**19**	**20**
Liabilities to customers	19	20
Trust liabilities	**19**	**20**

57. Related parties

Hamburg Commercial Bank does business with related parties and companies.

These include the funds and accounts managed by Cerberus Capital Management, L.P. and J.C. Flowers & Co. LLC, which exert a significant influence over the Bank.

Furthermore, business relationships exist with subsidiaries which are controlled but not included in the consolidated financial statements, for reasons of materiality, associates, joint ventures, individuals in key positions and their relatives, and companies controlled by these individuals. Individuals in key positions comprise exclusively the members of the Management and Supervisory Boards of Hamburg Commercial Bank AG.

The Bank maintains pension plans for employees that are utilized after employment has ended.

In the course of the normal business operations, transactions are entered into at arm's length with companies and parties that are related parties. These transactions include loans, call and fixed-term deposits, derivatives, and securities transactions.

I. Companies with a significant influence over HCOB

The following table shows transactions with companies with a significant influence over the Bank:

Companies with a significant influence – assets

(€ mn)	2025	2024
Loans and advances to customers	59	82
Total	**59**	**82**

Companies with a significant influence – income statement

(€ mn)	2025	2024
Net interest income	4	7
Total	**4**	**7**

II. Subsidiaries

The transactions with subsidiaries are shown below:

Subsidiaries – assets

(€ mn)	2025	2024
Loans and advances to customers	80	–
Loan loss provisions	–11	–
Total	**69**	**–**

Subsidiaries – liabilities

(€ mn)	2025	2024
Liabilities to customers	2	–
Provisions	3	–
Total	**5**	**–**

Subsidiaries – income statement

(€ mn)	2025	2024
Net interest income	1	–
Loan loss provisions	–8	–
Total	–7	–

There were no significant transactions with unconsolidated subsidiaries in the prior-year period.

III. Associates

As in the prior-year period, there were no significant transactions with associates in the reporting period.

IV. Joint ventures

The following table shows the transactions with unconsolidated joint ventures:

Joint ventures – assets

(€ mn)	2025	2024
Loans and advances to customers	1	2
Total	**1**	**2**

Joint ventures – liabilities

(€ mn)	2025	2024
Liabilities to customers	2	2
Total	**2**	**2**

Joint ventures – income statement

(€ mn)	2025	2024
Result from financial instruments categorized as FVPL	–1	–
Total	**–1**	**–**

V. Other related parties and companies

No significant transactions have been entered into with individuals in key positions at Hamburg Commercial Bank AG and their close relatives or companies controlled by these individuals as at the reporting date.

VI. Remuneration of persons in key management positions

The remuneration of persons in key positions at Hamburg Commercial Bank is based on the German Remuneration Regulation for Institutions (Institutsvergütungsverordnung). In addition to the fixed annual salary, the fixed remuneration of the Management Board includes a pension contribution corresponding to up to 20 % of the fixed annual salary, other fringe benefits and appropriate remuneration in kind.

LONG-TERM VARIABLE REMUNERATION PROGRAM, INCLUDING SHARE-BASED PAYMENT
In addition, each member of the Management Board receives performance-related variable remuneration. This means that the members of the Management Board receive 50 % of their annual bonus for the agreed performance years in cash (cash bonus) and 50 % in the form of shares in Hamburg Commercial Bank AG (share bonus).

The annual targets relevant for the share bonus (as well as for the cash bonus) and their weightings are to be determined by the Supervisory Board of the Bank on the basis of agreed targets (KPIs) within the first three months of the respective performance year at the latest and include targets relating to the overall success of the Bank or Group, the success of the Management Board and individual performance targets. After the end of the respective performance year, the Supervisory Board determines the target achievement of the annual targets and, taking into account the multi-year assessment basis of the variable remuneration, the overall degree of target achievement and the resulting amount of the cash bonus and the share bonus in Euro for the respective performance year. The Bank's Supervisory Board uses an independent valuation for each performance year to determine the price at which the share bonus earned in euros is converted into shares in the Bank. In the transfer of shares (like in the payment of the cash bonus), 40 % are paid in the year following the respective performance

year, while 60 % is subject to a deferral period of usually five years, but up to seven years for new Management Board members, during which the payment of the retained component is made annually in equal pro rata tranches. During the retention period, the Supervisory Board conducts a clawback review, and variable remuneration components are subject to a clawback until two years after payment of the last instalment. Before the retained portion of the cash bonus and the shares from the share bonus are granted, the beneficiaries have no claim or entitlement to the portions of the cash bonus and the share bonus that have not yet been transferred. The shares not yet transferred do not bear interest and the retained shares of the share bonus do not entitle their beneficiary to the distribution of a dividend. All shares transferred under the share bonus are subject to a holding period of one year from the date of transfer.

For the years 2019 to 2024, Hamburg Commercial Bank AG concluded a Fulfilment and Contribution Agreement with its shareholders. Under this agreement, the shareholders have undertaken to assume the Bank's obligation to the beneficiaries to transfer the shares under the share bonus for the above-stated years, free of debt and without consideration. In the 2025 financial year, a total of 451,617 shares (previous year: 385,509 shares) were transferred to eligible persons under the share bonus program. Until December 31, 2025, a total of 1,801,135 shares have been transferred under the share bonus program (until December 31, 2024: 1,349,518 shares).

The share bonus represents a share-based payment settled in equity instruments and is accounted for in accordance with IFRS 2. In accordance with IFRS 2, the performance-related variable remuneration under the share bonus represents a service received that is recognized as personnel expense in the consolidated income statement. Pursuant to IFRS 2.7, the consideration for the service received is recognized in equity. At Hamburg Commercial Bank, the consideration is recognized in the Capital reserve item.

As at December 31, 2025, the capital reserve includes an amount of € 27 million for share-based remuneration (increase of € 4 million in 2025). This includes an amount of € 15 million attributable to shares already transferred by the shareholders.

The following table shows remuneration of persons in key management positions.

Remuneration of persons in key management positions

(€ k)	Management Board		Supervisory Board		Total	
	2025	2024	2025	2024	2025	2024
Short-term benefits	12,838	16,316	4,540	4,503	17,378	20,819
Termination benefits	11,177	1,954	–	–	11,177	1,954
Other long-term benefits	4,044	3,312	–	–	4,044	3,312
Post-employment benefits	716	927	–	–	716	927
Share-based remuneration	4,044	3,312	–	–	4,044	3,312
Total remuneration	**32,819**	**25,821**	**4,540**	**4,503**	**37,359**	**30,324**

VII. Additional disclosures under Section 315e of the German Commercial Code (HGB)

Hamburg Commercial Bank is obliged to provide additional disclosures in its consolidated financial statements under Section 315e of the German Commercial Code (HGB). The following differences compared to the IFRS disclosures should be borne in mind in this regard: Termination benefits are not included in the total remuneration of active Management Board members, unless this pertains to remuneration for activities prior to the termination of the membership in the Management Board. This remuneration is disclosed instead under total remuneration payable to former members of the Management Board.

Remuneration of corporate bodies

(€ k)	2025	2024
Total remuneration of all active members of corporate bodies		
Management Board	21,642	23,867
Supervisory Board	4,540	4,503
Total	**26,182**	**28,370**
Total remuneration of former members of corporate bodies and their surviving dependents		
Management Board	**13,871**	**4,507**

As at December 31, 2025, provisions for pension obligations for former members of the Management Board and their surviving dependents amounted to € k 41,473 (previous year: € k 37,977).

As was the case at the reporting date of the previous year, there were no advances, loans, or other contingent liabilities to members of the Management Board or the Supervisory Board as at December 31, 2025.

VIII. Disclosure of Supervisory Board remuneration

The members of the Supervisory Board receive remuneration for their activities in a financial year without any further resolution by the Annual General Meeting being required. In accordance with the resolution of the Annual General Meeting of Hamburg Commercial Bank AG, the total annual remuneration is paid in four equal instalments after the end of each quarter.

The remuneration system for the Supervisory Board is based on the requirements of the German Corporate Governance Code. The remuneration system was adopted at the Annual General Meeting of Hamburg Commercial Bank AG on May 30, 2024, and is structured as follows:

Remuneration system

(€)	From May 30, 2024	Until May 30, 2024
Supervisory Board member	200,000	200,000
Addition (cumulative) for		
Chair of the Supervisory Board	450,000	450,000
Chair of a Committee	225,000	200,000
Member of a Committee	15,000	15,000

The first Chair of the Supervisory Board elected by the Supervisory Board after the Annual General Meeting on May 30, 2024, who served as Chair of the Supervisory Board only for a limited period in 2024, received an additional monthly remuneration of € 60,000 for each month in which they served as Chair of the Supervisory Board in 2025.

The maximum remuneration amounts to € k 850. The remuneration is paid pro rata temporis based on the membership in a committee

Remuneration for Supervisory Board activities in the 2025 financial year amounts to € k 4,540. For the portion of Supervisory Board remuneration for the 2025 financial year (Q4) paid out at the beginning of 2026, a provision of € k 1,135 was recognized as at December 31, 2025. The remuneration for the members of the Supervisory Board for the 2025 financial year is allocated as follows:

Members of the Supervisory Board

(€)	Fixed remuneration		Total	
Members of the Supervisory Board	2025	2024	2025	2024
Paulus de Wilt, Chair from January 1, 2025 (Deputy Chair from May 30, 2024 to December 31, 2024	850,000	488,970	850,000	488,970
Chad Leat, Chair from May 30, 2024 to December 31, 2024	440,000	850,000	440,000	850,000
Juan Rodríguez Inciarte (until May 30, 2024), Chair until May 30, 2024	–	352,610	–	352,610
Stefan Schlatermund, Deputy Chair from January 1, 2025	215,000	215,591	215,000	215,591
Olaf Behm, Deputy Chair until May 30, 2024	215,000	215,591	215,000	215,591
Oliver Dircks (until May 30, 2024)	–	89,190	–	89,190
Bert Ehlers (until May 30, 2024)	–	89,190	–	89,190
Simone Graf (until May 30, 2024)	–	89,190	–	89,190
Manuel González Cid[1)]	230,000	–	230,000	–
Frederick Haddad	215,000	215,591	215,000	215,591
Klaus Heinemann	455,000	445,879	455,000	445,879
Manuel Lagares Gómez-Abascal[1)]	200,000	–	200,000	–
Sylvie Matherat (from May 30, 2024)	215,000	126,401	215,000	126,401
Maren Tina Matthies (from May 30, 2024)	215,000	126,401	215,000	126,401
Rieka Meetz-Schawaller (until May 30, 2024)	–	89,190	–	89,190
Lennart Ramberg (from May 30, 2024)	215,000	126,401	215,000	126,401
Sally Rocker (from May 30, 2024)[2)]	–	–	–	–
Dr. Ilinca Rosetti	200,000	200,549	200,000	200,549
Astrid Sahm (from May 30, 2024)	215,000	126,401	215,000	126,401
Mag. Friedrich Spandl	215,000	215,591	215,000	215,591
Katrin Waechter (from May 30, 2024)	215,000	126,401	215,000	126,401
Mark Werner	230,000	224,409	230,000	224,409
Stephan Wilcke (until May 30, 2024)	–	89,190	–	89,190
Peter Yordán[2)]	–	–	–	–
Total[3)]	**4,540,000**	**4,502,733**	**4,540,000**	**4,502,733**

[1)] Supervisory Board remuneration waived for 2024

[2)] Supervisory Board remuneration waived for 2024 and 2025

[3)] Total differences are rounding differences

The members of the Supervisory Board have not provided any advisory and brokerage services or any other personal services to the Bank in 2025. Accordingly, no additional remunerations were granted.

58. Other financial obligations

The transactions listed below include payment obligations under pending contracts or continuing obligations that cannot be recognized in the statement of financial position as well as other financial obligations that could have a material effect on the future financial position of Hamburg Commercial Bank.

IT service agreements result in obligations totaling € 20 million (previous year: € 9 million). Long-term leasing contracts for land and buildings that will be used for business purposes result in liabilities of € 77 million.

As part of its former guarantor function the Bank also has a general liability towards Deka Bank Deutsche Girozentrale together with other former shareholders. This applies to liabilities entered into before July 18, 2001, irrespective of their term.

There are no material other financial obligations apart from those listed above.

59. List of shareholdings

The following information is based on German commercial law.

Consolidated subsidiaries with a share of voting rights of the Bank of more than 50 %

Serial no.	Name/place	Share	Voting rights	Currency code	Equity capital in respective currency	Income/loss in respective currency
1	BINNENALSTER-Beteiligungsgesellschaft mbH, Hamburg[2)]	100.00	100.00	EUR	843,373.72	156,116.18
2	Elbe CA Holdings, LLC, Wilmington, USA[1), 3), 5)]	100.00	100.00		–	–
3	Elbe CA Subsidiary, SCSp, Luxembourg, Luxembourg[1), 3), 5)]	100.00	100.00		–	–
4	GmbH Altstadt Grundstücksgesellschaft, Hamburg[1), 2), 5)]	89.90	89.90	EUR	138,695.43	-37,116.18
5	HCOB Auffang- und Holdinggesellschaft mbH & Co. KG, Hamburg	100.00	100.00	EUR	3,248,500.89	-17,175.25
6	HCOB Finance (Guernsey) Limited, St. Peter Port, Guernsey	100.00	100.00	EUR	229,543.00	-30,130.00
7	HCOB Residual Value Ltd., Hamilton, Bermuda	100.00	100.00	USD	4,571,288.00	111,299.00
8	HCOB Securities S.A., Senningerberg, Luxembourg	100.00	100.00	EUR	4,622,973.77	1,715,508.81
9	Klarphos, S.àr.l., Findel, Luxembourg	100.00	100.00	EUR	3,192,699.89	-845,004.97

Consolidated subsidiaries with a share of voting rights of the Bank of 50 % or less

– thereof subsidiaries due to contractual rights

Serial no.	Name/place	Share	Voting rights	Currency code	Equity capital in respective currency	Income/loss in respective currency
10	Apollo Alster Lending Fund (LUX) SCSp, Luxembourg, Luxembourg[5)]	0.00	0.00	USD	460,884,103.00	25,598,778.00
11	Bain Capital Credit Schanze Unlevered Direct Lending Fund SCSp, Senningerberg, Luxembourg[5)]	0.00	0.00	USD	156,723,155.00	10,173,592.00
12	BSP Michel Unlevered Direct Lending Fund SCSp, Luxembourg, Luxembourg[5)]	0.00	0.00	USD	91,415,780.00	5,360,404.00
13	HPS Elbe Unlevered Direct Lending Fund, SCSp, Luxembourg, Luxembourg[5)]	0.00	0.00	USD	350,778,028.00	13,756,394.00
14	Pemberton Volkspark Unlevered Direct Lending Fund, SCSp. Luxembourg, Luxembourg[5)]	0.00	0.00	EUR	68,717,971.19	-2,294,418.92

Unconsolidated subsidiaries with a share of voting rights of the Bank of more than 50 %

Serial no.	Name/place	Share	Voting rights	Currency code	Equity capital in respective currency	Income/loss in respective currency
15	Bu Wi Beteiligungsholding GmbH, Hamburg	100.00	100.00	EUR	30,435.82	-1,115.89
16	PERIMEDES GmbH, Hamburg	100.00	100.00	EUR	36,359.82	17,088.19

Unconsolidated subsidiaries with a share of voting rights of the Bank of 50 % or less

– thereof subsidiaries due to contractual rights

Serial no.	Name/place	Share	Voting rights	Currency code	Equity capital in respective currency	Income/loss in respective currency
17	KORYFEUM GmbH, Luxembourg, Luxembourg	0.00	0.00	EUR	79,786,533.49	71,888.00

Unconsolidated joint ventures

Serial no.	Name/place	Share	Voting rights	Currency code	Equity capital in respective currency	Income/loss in respective currency
18	Infrastructure Holding S.àr.l., Luxembourg, Luxembourg[4)]	0.00	0.00	EUR	12,500.00	0.00

Unconsolidated associates

Serial no.	Name/place	Share	Voting rights	Currency code	Equity capital in respective currency	Income/loss in respective currency
19	Global Format GmbH & Co. KG, Munich	28.57	28.57	EUR	2,236,069.23	152,742.29
20	HGA New Office Campus-Kronberg GmbH & Co. KG, Hamburg	44.72	44.56	EUR	9,926,244.28	-290,107.14

Equity holdings

Serial no.	Name/place	Share	Voting rights	Currency code	Equity capital in respective currency	Income/loss in respective currency
21	AKA Ausfuhrkredit-Gesellschaft mbH, Frankfurt am Main	1.33	1.33	EUR	300,921,103.15	13,200,000.00
22	GLB GmbH & Co. OHG, Frankfurt am Main	15.77	15.77	EUR	2,682,718.53	-67,288.78
23	GLB-Verwaltungs-GmbH, Frankfurt am Main	15.80	15.80	EUR	67,548.40	1,973.25
24	Hamburgische Grundbesitz und Anlage GmbH & Co. Objekte Hamburg und Potsdam KG, Hamburg	5.15	5.16	EUR	3,720,499.45	187,958.24
25	HGA Objekt Stuttgart GmbH & Co. KG, Hamburg	7.25	7.26	EUR	8,752,259.64	514,580.81
26	HGA Objekte Hamburg und Hannover GmbH & Co. KG, Hamburg	5.10	5.09	EUR	7,204,531.99	637,015.01
27	Next Commerce Accelerator Beteiligungsgesellschaft mbH & Co. KG, Hamburg	9.90	9.90	EUR	789,240.75	93,513.73
28	RSU GmbH & Co. KG, Munich	13.60	13.60	EUR	12,236,921.52	1,376,211.67

Serial no.	Name/place	Share	Voting rights	Currency code	Equity capital in respective currency	Income/loss in respective currency
29	Society for Worldwide Interbank Financial Telecommunication (S.W.I.F.T. SCRL), La Hulpe, Belgium	0.02	0.02	EUR	871,200,000.00	132,900,000.00
30	True Sale International GmbH, Frankfurt am Main	7.69	7.69	EUR	4,557,263.23	21,400.84
31	Vofü-Fonds I Hamburgische Grundbesitz und Anlage GmbH & Co. KG, Hamburg	5.10	5.09	EUR	537,487.91	-1,240.01

[1] Indirect holding.

[2] A profit and loss transfer agreement with the company is in place.

[3] No data available.

[4] Only data as at December 31, 2022, is available.

[5] Structured entity

Foreign exchange rates for € 1 as at December 31, 2025

Country	Currency code	Exchange rate
USA	USD	1.1750

60. Other disclosures in accordance with German commercial law

I. Basic principles

Under the terms of Section 315e (1) of the German Commercial Code (HGB), Hamburg Commercial Bank AG, which has its registered office in Hamburg (Hamburg commercial register number HRB 87366), is required to observe the standards of the German Commercial Code in preparing and presenting the consolidated financial statements, as well as the IFRS standards. You may request the unabridged IFRS consolidated financial statements by following this link: www.hcob-bank.de. The complete list of equity holdings is set out in Note 59.

II. Number of employees

The average number of employees as of the reporting date is calculated on the basis of staff figures at quarter-end for all fully consolidated companies:

Number of employees

	2025			2024
	Male	Female	Total	Total
Full-time employees	562	222	784	799
Part-time employees	23	142	165	164
Total	**585**	**364**	**949**	**963**
Apprentices/trainees	14	6	20	23

III. Corporate governance code

Hamburg Commercial Bank AG supports the aims of the German Corporate Governance Code and has recognized the Code's rules on a voluntary basis as an unlisted company. The Management Board and Supervisory Board of Hamburg Commercial Bank AG have given a declaration of conformity pursuant to Section 161 of the German Stock Corporation Act (AktG) that the recommendations of the German Corporate Governance Code Commission together with the restrictions have been complied with and will be complied with

until the subsequent declaration is made. The Declaration of Conformity is published on the website of Hamburg Commercial Bank AG. The Declaration of Conformity does not form part of the Notes to the consolidated financial statements.

IV. Fees and activities of the auditor

Auditor's activities

PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft audited the annual financial statements and consolidated financial statements of Hamburg Commercial Bank as at December 31, 2025.The audit also included a review of the group sustainability statement as of December 31, 2025, an audit pursuant to Section 84 of the German Securities Trading Act (WpHG), the issuance of a comfort letter in accordance with IDW PS 910, and, to a lesser extent, certain other audit and certification services. Furthermore, Training sessions were also conducted.

(€ mn)	2025	2024
Audits of annual financial statements PWC GmbH	3	3
Total	**3**	**3**

In addition, other services and other assurance services were provided by PwC GmbH and the PwC network in an amount of less than € 1 million (previous year: € 1 million).

V. Seats on supervisory bodies

As in the previous year, no seats in statutory supervisory bodies of major corporations or banks were held by members of the Management Board as at the reporting date.

61. Names of members of corporate bodies and directorships held

I. The Supervisory Board of the Hamburg Commercial Bank Group

			Period	
Name	Position	Main occupation	from	to
Chad Leat, New York		Financial Advisor	01.01.	31.12.
Paulus de Wilt, Breukelen	Chair	Former CEO NIBC Holding / Bank N.V.	01.01.	31.12.
Olaf Behm, Hamburg		Employee of Hamburg Commercial Bank AG	01.01.	31.12.
Manuel González Cid, Madrid		Senior-Advisor Cerberus Global Investment Advisors, LLC	01.01.	31.12.
Frederick S. Haddad, Rumson		Partner at FLGC, LLC	01.01.	31.12.
Klaus Heinemann, Palma		Managing Director HH Kapital B.V.	01.01.	31.12.
Manuel Lagares Gómez-Abascal, Madrid		Senior Advisor Cerberus Global Investment Advisors, LLC	01.01.	31.12.
Sylvie Matherat, Milan		Senior Advisor and Non Executive Director	01.01.	31.12.
Maren Tina Matthies, Hamburg		Employee of Hamburg Commercial Bank AG	01.01.	31.12.
Lennart Ramberg, Kiel		Employee of Hamburg Commercial Bank AG	01.01.	31.12.
Sally Rocker, New York		Managing Director and General Counsel J.C. Flowers & Co., LLC	01.01.	31.12.
Dr. Ilinca Rosetti, London		Operating Partner J.C. Flowers & Co. UK LLP	01.01.	31.12.
Astrid Sahm, Lübeck		Employee of Hamburg Commercial Bank AG	01.01.	31.12.
Stefan Schlatermund, Hamburg	Deputy Chairman	Employee of Hamburg Commercial Bank AG	01.01.	31.12.
Mag. Friedrich Spandl, Vienna		BAWAG P.S.K. Bank für Arbeit und Wirtschaft und Österreichische Postsparkasse AG	01.01.	31.12.
Katrin Waechter, Hamburg		Employee of Hamburg Commercial Bank AG	01.01.	31.12.
Mark Werner, New York		Financial Advisor	01.01.	31.12.
Peter Yordán, London		Managing Director J.C. Flowers & Co. UK LLP	01.01.	31.12.

II. Committees

2025			Period	
Committee	Name	Position	from	to
Risk Committee	Chad Leat, New York	Chair	01.01.	31.12.
	Frederick S. Haddad, Rumson		01.01.	31.12.
	Astrid Sahm, Lübeck		01.01.	31.12.
	Stefan Schlatermund, Hamburg		01.01.	31.12.
	Mag. Friedrich Spandl, Wien		01.01.	31.12.
	Mark Werner, New York		01.01.	31.12.
	Peter Yordán, London		01.01.	31.12.
Audit Committee	Klaus Heinemann, Palma	Chair	01.01.	31.12.
	Olaf Behm, Hamburg		01.01.	31.12.
	Manuel González Cid, Madrid		01.01.	31.12.
	Lennart Ramberg, Kiel		01.01.	31.12.
	Sally Rocker, New York		01.01.	31.12.
Nomination Committee	Paulus de Wilt, Breukelen	Chair	01.01.	31.12.
	Manuel González Cid, Madrid		01.01.	31.12.
	Katrin Waechter, Hamburg		01.01.	31.12.
	Peter Yordán, London		01.01.	31.12.
Remuneration Committee	Paulus de Wilt, Breukelen	Chair	01.01.	31.12.
	Klaus Heinemann, Palma		01.01.	31.12.
	Sylvie Matherat, Milan		01.01.	31.12.
	Maren Tina Matthies, Hamburg		01.01.	31.12.
	Mark Werner, New York		01.01.	31.12.

III. The Management Board of the Hamburg Commercial Bank Group

2025			Period	
Name	Born in	Position	from	to
Luc Popelier	1964	Chief Executive Officer (CEO)	01.01.	31.12.
Marc Ziegner	1975	Chief Financial Officer (CFO)	01.01.	31.12.
Jens Thiele	1980	Chief Commercial Officer (CCO)	01.10.	31.12.
Reinout van Riel	1970	Management Board member	14.11.	31.12.
Christopher Brody	1968	Chief Investment Officer (CIO)	01.01.	31.12.
Ulrik Lackschewitz	1968	Chief Risk Officer (CRO)	01.01.	31.12.
		Deputy CEO	01.01.	31.12.

Annex to the consolidated financial statements

Country-by-country reporting 2025

Basic principles

The requirements for country-specific reporting, referred to as country-by-country reporting in Article 89 of the Directive 2013/36/EU (Capital Requirement Directive, CRD IV), have been transposed into German law in Section 26a (1) of the German Banking Act (KWG).

Disclosure at Hamburg Commercial Bank

Hamburg Commercial Bank's country-by-country reporting includes the necessary information for all the subsidiaries fully consolidated in the consolidated financial statements as of this reporting date. Entities that were deconsolidated during the reporting year are not included in the figures presented. The geographical allocation is made on the basis of the location of a company's registered office. Branches are disclosed as independent companies. Representative offices are not listed. All accounting-related information is based on IFRS accounting.

In this report, Hamburg Commercial Bank defines the required size of turnover as the sum of total income as presented in the income statement and other operating income (gross amounts before consolidation). The consolidated non-bank entities in particular report their revenues in other operating income.

The profit or loss before taxes disclosed in this report corresponds to the net income before taxes of the individual entities presented. The tax position also corresponds to the definition under IFRS standards in the income statement.

The figure for the number of employees corresponds to the regulations of Section 267 (5) of the German Commercial Code (HGB) for the entities still included in the consolidated financial statements as at the reporting date.

The information on the type of activities of the relevant companies is presented in line with the definitions used in Article 4 (1) CRR once the CRR came into effect.

The return on capital to be disclosed as at December 31 2025, calculated as the quotient of net profit (Group net result after taxes) and total assets, is 0.58 %.

Reporting country-specific details of revenue, profit or loss, and taxes as well as employee numbers

(€ mn/number) 2025 Country	Revenue	Profit or loss before tax	Tax on profit or loss (+) expense/ (–) income	Employees
EU				
Germany	683	199	–95	913
Luxembourg	110	37	–33	40
Greece	4	–	–	12
Third countries				
UK	31	–	–1	25
Bermuda	1	–	–	–

Nature of activities and geographical location of the branches and fully consolidated subsidiaries

Serial. no.	Name of the company	Place	Country	Nature of activities
1	Hamburg Commercial Bank AG	Hamburg, Kiel	Deutschland	Bank
2	Hamburg Commercial Bank AG, Luxembourg branch	Luxemburg	Luxemburg	Bank
3	Hamburg Commercial Bank AG, Piraeus branch	Athen	Griechenland	Bank
4	Hamburg Commercial Bank AG, London branch	London	Großbritannien	Bank
5	Apollo Alster Lending Fund (LUX), SCSp	Luxemburg	Luxemburg	Miscellaneous activities
6	Bain Capital Credit Schanze Unlevered Direct Lending Fund, SCSp	Luxemburg	Luxemburg	Miscellaneous activities
7	BINNENALSTER-Beteiligungsgesellschaft mbH	Hamburg	Deutschland	Financial institution
8	BSP Michel Unlevered Direct Lending Fund SCSp	Luxemburg	Luxemburg	Miscellaneous activities
9	GmbH Altstadt Grundstücksgesellschaft	Mainz	Deutschland	Miscellaneous activities
10	HCOB Auffang- und Holdinggesellschaft mbH & Co. KG	Hamburg	Deutschland	Financial institution
11	HCOB Finance (Guernsey) Limited	St. Peter Port	Guernsey	Financial institution
12	HPS Elbe Unlevered Direct Lending Fund, SCSp	Luxemburg	Luxemburg	Miscellaneous activities
13	Klarphos S.à.r.l	Findel	Luxemburg	Financial institution
14	HCOB Residual Value Ltd.	Hamilton	Bermudas	Insurance company
15	HCOB Securities S.A.	Luxemburg	Luxemburg	Miscellaneous activities
16	Pemberton Volkspark Unlevered Direct Lending Fund, SCSp.	Luxemburg	Luxemburg	Miscellaneous activities

Date of release for publication

The Management Board of Hamburg Commercial Bank has prepared the consolidated financial statements on March 3, 2026, and approved them for submission to the Supervisory Board. The Supervisory Board is responsible for reviewing the consolidated financial statements and for approving them.

Hamburg, March 3, 2026

Luc Popelier

Marc Ziegner

Jens Thiele

Reinout van Riel

Independent auditor's report

To Hamburg Commercial Bank AG, Hamburg

Report on the audit of the consolidated financial statements and of the group management report

Audit Opinions

We have audited the consolidated financial statements of Hamburg Commercial Bank AG, Hamburg, and its subsidiaries (the Group), which comprise the consolidated statement of financial position as at 31 December 2025, and the consolidated statement of comprehensive income, consolidated statement of profit or loss, consolidated statement of changes in equity and statement of consolidated cash flows for the financial year from 1 January to 31 December 2025 and notes to the consolidated financial statements, including material accounting policy information. In addition, we have audited the group management report of Hamburg Commercial Bank AG, which is combined with the Company's management report, for the financial year from 1 January to 31 December 2025. In accordance with the German legal requirements, we have not audited the content of those parts of the group management report listed in the "Other Information" section of our auditor's report.

In our opinion, on the basis of the knowledge obtained in the audit,

- the accompanying consolidated financial statements comply, in all material respects, with the IFRS Accounting Standards issued by the International Accounting Standards Board (IASB) (the IFRS Accounting Standards) as adopted by the EU and the additional requirements of German commercial law pursuant to § [Article] 315e Abs. [paragraph] 1 HGB [Handelsgesetzbuch: German Commercial Code] and, in compliance with these requirements, give a true and fair view of the assets, liabilities, and financial position of the Group as at 31 December 2025, and of its financial performance for the financial year from 1 January to 31 December 2025 and
- the accompanying group management report as a whole provides an appropriate view of the Group's position. In all material respects, this group management report is consistent with the consolidated financial statements, complies with German legal requirements and appropriately presents the opportunities and risks of future development. Our audit opinion on the group management report does not cover the content of those parts of the group management report listed in the "Other Information" section of our auditor's report.

Pursuant to § 322 Abs. 3 Satz [sentence] 1 HGB, we declare that our audit has not led to any reservations relating to the legal compliance of the consolidated financial statements and of the group management report.

Basis for the Audit Opinions

We conducted our audit of the consolidated financial statements and of the group management report in accordance with § 317 HGB and the EU Audit Regulation (No. 537/2014, referred to subsequently as "EU Audit Regulation") in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer [Institute of Public Auditors in Germany] (IDW). Our responsibilities under those requirements and principles are further described in the "Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report" section of our auditor's report. We are independent of the group entities in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements.

In addition, in accordance with Article 10 (2) point (f) of the EU Audit Regulation, we declare that we have not provided non-audit services prohibited under Article 5 (1) of the EU Audit Regulation. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions on the consolidated financial statements and on the group management report.

Key Audit Matters in the Audit of the Consolidated Financial Statements

Key audit matters are those matters that, in our professional judgment, were of most significance in our audit of the consolidated financial statements for the financial year from 1. January to 31. December 2025 These matters were addressed in the context of our audit of the consolidated financial statements as a whole, and in forming our audit opinion thereon; we do not provide a separate audit opinion on these matters.

In our view, the matters of most significance in our audit were as follows:

❶ Loan loss provisions in the customer lending business
❷ Accounting for litigations
❸ Deferred Taxes

Our presentation of these key audit matters has been structured in each case as follows:

① Matter and issue
② Audit approach and findings
③ Reference to further information

Hereinafter we present the key audit matters:

❶ **Loan loss provisions in the customer lending business**

① In the Company's consolidated financial statements loan receivables amounting to EUR 17,004 million are reported under the "Loans to customers" balance sheet line item. As at 31 December 2025, the risk provision recognized amounts to EUR 275 million, which was reported in a separate item. The bank calculates the risk provision using a 3-step model based on the expected credit loss system in accordance with IFRS 9. For financial instruments in level 1 and 2, mathematical-statistical techniques are used; for financial instruments in level 3, the expected credit losses are calculated based on estimated future cash flows at the level of the individual financial instrument.

The measurement of the expected-credit-loss is determined in particular by the structure and quality of the loan portfolios and general economic factors and the executive directors' estimates with respect to future loan defaults, among other things also against the background of the expected effects of the current macroeconomic environment on the customer lending business.Additionally the executive directors' estimates with respect to classification of financial instruments into levels as well as certain parameters such as the loan amount on default, probability of default and loss ratio at the time of default and – as is the case for financial instruments classified in level 3 – by estimates of the future cash flows, taking into account existing collateral. In addition, further valuation-relevant risk factors are taken into account in the context of so-called model overlays, which reflect the expectations of the management not included in the models. The calculation of the risk provisions is highly significant for the assets, liabilities and financial performance of the Group and they involve considerable judgment on the part of the executive directors, among other things also against the background of the expected effects of the current macroeconomic environment on the customer loans business. Estimating the aforementioned parameters and factoring in future-oriented macroeconomic information has a material influence on the recognition and amount of risk provisions. Against this background, this matter was of particular significance during our audit.

② As part of our audit, we initially assessed the design of the Company's relevant internal control systems and – on that basis – tested the controls' effectiveness. Thereby, we considered the business organization, the IT systems and the relevant measurement models. Moreover, we evaluated the assessment of the customer loans, including the appropriateness of estimated values, on the basis of sample testing of loan engagements. For this purpose, we assessed, among other things, the available documentation of the Company with respect to the economic circumstances as well as the recoverability of the related collaterals. For real estate as collateral, we obtained an understanding of and critically assessed the source data, measurement parameters applied, and assumptions made on which the expert valuations provided to us by the Company

were based and evaluated whether they lay within an acceptable range. In addition, for the purpose of assessing the valuation allowances, we evaluated the calculation methodology applied by the Company together with the underlying assumptions and parameters.With the assistance of our specialists in mathematical finance, we examined the suitability and appropriate use of the models applied to calculate the risk provisions. We assessed the appropriateness of the inclusion of additional valuation-relevant risk factors based on the current economic uncertainties. In this context we especially evaluated the assessment of the executive directors regarding the expected effects of the current macroeconomic environment on the economic situation of borrowers and the valuation of collateral and examined their consideration in the valuation of the customer loans. We questioned the necessity of creating model overlays and assessed their measurement.Based on our audit procedures, we were able to satisfy ourselves that the assumptions made by the executive directors for the purpose of testing the recoverability of the loan portfolio are appropriate overall, and that the controls implemented by the Company are appropriate and effective.

③ The Company's disclosures on loan loss provisions are contained in the notes of the financial statements in section 4 "Management estimates and discretionary decisions" and section 5 "Accounting and measurement principles" (under 5.I.D) and in sections 12 and 22 "Loan loss provisions". In addition, the group management report contains the relevant disclosures in the report on economic performance (results of operations) and the risk report.

❷ Accounting for litigations

① In the Company's consolidated financial statements other provisions amounting to EUR 328 million are reported. Of this amount, EUR 132 million relate to provisions for litigation risks and costs for court and out-of-court proceedings.Provisions are recognized for contingent liabilities if the recognition criteria of IAS 37 are met. The amount of the provision is based on the best possible estimate. For the recognition and measurement of these provisions, the probability as well as the amount of expected future cash outflows to settle the underlying obligations have to be estimated by the company.

The assessment of the litigation risks and the estimate of whether it is necessary to recognize a provision to cover the risk and, if so, the amount of the provision, is to a large extent determined by the estimates and assumptions made by the executive directors. The assessment of the executive directors is based on estimates of the legal situation by the bank's in-house and external lawyers. Against this background and due to the significance of the amounts in dispute and the underlying assumptions and discretionary judgement of the executive directors, this matter was of particular significance during our audit.

② As part of our audit, we assessed, among others, the process set up by the bank to govern the recognition, risk assessment, and accounting presentation of a legal dispute. With the involvement of internal lawyers this assessment also included a substantive discussion of the material legal risks. Our assessment took into account the information obtained in the course of our regular discussions with the bank's legal department as well as the assessments of the respective outcome of the proceedings provided to us in writing. In addition external lawyers' confirmations and legal opinions were obtained as of the balance sheet date, which support the risk assessments made by the bank. In our view, the estimates and assumptions made by the executive directors underlying the determination of the provisions are appropriate overall in order to appropriately measure the provisions for litigations.

③ The recognition and measurement of provisions is explained in the notes to the Company's consolidated financial statements in note 4 'Estimates and management discretionary decisions' and in note 5 'Accounting and measurement principles'. In addition, provisions for litigation risks are explained in note 36'Provisions' in the notes to the consolidated financial statements. Explanations of contingent liabilities arising from legal disputes are provided in note 53 'Contingent liabilities and loan commitments'. In addition, the risk report within the group management report contains further information on litigations.

❸ Deferred Taxes

① In the Company's consolidated financial statements deferred tax assets amounting to EUR 393 million after netting are reported. Deferred tax assets amounting to EUR 490 million are recognized before netting with matching deferred tax liabilities. The deferred tax assets were recognized to the extent that the executive directors consider it probable that taxable profit will be available in the foreseeable future which will enable the deductible temporary differences and unused tax losses to be utilized. For this purpose, if insufficient deferred tax liabilities are available, future taxable profits are projected on the basis of the adopted business plan. No deferred tax assets were recognized in respect of unused tax losses amounting in total to EUR 2,730 million since it is not probable that they will be utilized for tax purposes by means of offset against taxable profits. From our point of view, the accounting treatment of deferred taxes was of particular significance in the context of our audit, as it depends to a large extent on the estimates and assumptions made by the executive directors and is therefore subject to uncertainties.

② As part of our audit, we assessed, among others, the internal processes and controls for recording tax matters as well as the methodology used for the determination, accounting treatment and measurement of deferred taxes. We also assessed the recoverability of the deferred tax assets relating to deductible temporary differences and unused tax losses on the basis of the Company's internal forecasts of its future earnings situation, and the appropriateness of the underlying estimates and assumptions. Based on our audit procedures, we were able to convince ourselves that the estimates and assumptions made by the executive directors are substantiated and sufficiently documented.

③ The Company's disclosures relating to deferred tax assets and liabilities are contained the notes of the Company's consolidated financial statements in note 5 'Accounting and measurement principles' and note 30 'Deferred tax assets'.

Other Information

The executive directors are responsible for the other information. The other information comprises the following non-audited parts of the group management report:

- the statement on corporate governance pursuant to § 289f Abs. 4 HGB (disclosures on the quota for women on executive boards) included in section „statement on corporate governance pursuant to § 289f Abs. 4 HGB (disclosures on the quota for women on executive boards)" of the group management report
- the non-financial statement to comply with §§ 289b to 289e HGB and with §§ 315b to 315c HGB included in section „Nachhaltigkeitserklärung" of the group management report

The other information comprises further all remaining parts of the annual report – excluding cross-references to external information – with the exception of the audited consolidated financial statements, the audited group management report and our auditor's report.

Our audit opinions on the consolidated financial statements and on the group management report do not cover the other information, and consequently we do not express an audit opinion or any other form of assurance conclusion thereon.

In connection with our audit, our responsibility is to read the other information mentioned above and, in so doing, to consider whether the other information

- is materially inconsistent with the consolidated financial statements, with the group management report disclosures audited in terms of content or with our knowledge obtained in the audit, or
- otherwise appears to be materially misstated.

Responsibilities of the Executive Directors and the Supervisory Board for the Consolidated Financial Statements and the Group Management Report

The executive directors are responsible for the preparation of the consolidated financial statements that comply, in all material respects, with IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to § 315e Abs. 1 HGB, and that the consolidated financial statements, in compliance with these requirements, give a true and fair view of the assets, liabilities, financial position and financial performance of the Group. In addition, the executive directors are responsible for such internal control as they have determined necessary to enable the preparation of consolidated financial statements that are free from material misstatement, whether due to fraud (i.e., fraudulent financial reporting and misappropriation of assets) or error.

In preparing the consolidated financial statements, the executive directors are responsible for assessing the Group's ability to continue as a going concern. They also have the responsibility for disclosing, as applicable, matters related to going concern. In addition, they are responsible for financial reporting based on the going concern basis of accounting unless there is an intention to liquidate the Group or to cease operations, or there is no realistic alternative but to do so.

Furthermore, the executive directors are responsible for the preparation of the group management report that, as a whole, provides an appropriate view of the Group's position and is, in all material respects, consistent with the consolidated financial statements, complies with German legal requirements, and appropriately presents the opportunities and risks of future development. In addition, the executive directors are responsible for such arrangements and measures (systems) as they have considered necessary to enable the preparation of a group management report that is in accordance with the applicable German legal requirements, and to be able to provide sufficient appropriate evidence for the assertions in the group management report.

The supervisory board is responsible for overseeing the Group's financial reporting process for the preparation of the consolidated financial statements and of the group management report.

Auditor's Responsibilities for the Audit of the Consolidated Financial Statements and of the Group Management Report

Our objectives are to obtain reasonable assurance about whether the consolidated financial statements as a whole are free from material misstatement, whether due to fraud or error, and whether the group management report as a whole provides an appropriate view of the Group's position and, in all material respects, is consistent with the consolidated financial statements and the knowledge obtained in the audit, complies with the German legal requirements and appropriately presents the opportunities and risks of future development, as well as to issue an auditor's report that includes our audit opinions on the consolidated financial statements and on the group management report.

Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with § 317 HGB and the EU Audit Regulation and in compliance with German Generally Accepted Standards for Financial Statement Audits promulgated by the Institut der Wirtschaftsprüfer (IDW) will always detect a material misstatement. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these consolidated financial statements and this group management report.
We exercise professional judgment and maintain professional skepticism throughout the audit.

We also:

- Identify and assess the risks of material misstatement of the consolidated financial statements and of the group management report, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our audit opinions. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls.
- Obtain an understanding of internal control relevant to the audit of the consolidated financial statements and of arrangements and measures (systems) relevant to the audit of the group management report in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an audit opinion on the effectiveness of the internal control and these arrangements and measures (systems), respectively.
- Evaluate the appropriateness of accounting policies used by the executive directors and the reasonableness of estimates made by the executive directors and related disclosures.
- Conclude on the appropriateness of the executive directors' use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Group's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in the auditor's report to the related disclosures in the consolidated financial statements and in the group management report or, if such disclosures are inadequate, to modify our respective audit opinions. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Group to cease to be able to continue as a going concern.
- Evaluate the overall presentation, structure and content of the consolidated financial statements, including the disclosures, and whether the consolidated financial statements present the underlying transactions and events in a manner that the consolidated financial statements give a true and fair view of the assets, liabilities, financial position and financial performance of the Group in compliance with IFRS Accounting Standards as adopted by the EU and the additional requirements of German commercial law pursuant to § 315e Abs. 1 HGB.
- Plan and perform the group audit to obtain sufficient appropriate audit evidence regarding the financial information of the entities or business units within the Group as a basis for forming audit opinions on the consolidated financial statements and on the group management report. We are responsible for the direction, supervision and review of the audit work performed for purposes of the group audit. We remain solely responsible for our audit opinions.
- Evaluate the consistency of the group management report with the consolidated financial statements, its conformity with German law, and the view of the Group's position it provides.
- Perform audit procedures on the prospective information presented by the executive directors in the group management report. On the basis of sufficient appropriate audit evidence we evaluate, in particular, the significant assumptions used by the executive directors as a basis for the prospective information, and evaluate the proper derivation of the prospective information from these assumptions. We do not express a separate audit opinion on the prospective information and on the assumptions used as a basis. There is a substantial unavoidable risk that future events will differ materially from the prospective information.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

We also provide those charged with governance with a statement that we have complied with the relevant independence requirements, and communicate with them all relationships and other matters that may reasonably be thought to bear on our independence, and where applicable, actions taken to eliminate threats or safeguards applied.

From the matters communicated with those charged with governance, we determine those matters that were of most significance in the audit of the consolidated financial statements of the current period and are therefore the key audit matters. We describe these matters in our auditor's report unless law or regulation precludes public disclosure about the matter.

Other legal and regulatory requirements

Report on the Assurance on the Electronic Rendering of the Consolidated Financial Statements and the Group Management Report Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB

Assurance Opinion

We have performed assurance work in accordance with § 317 Abs. 3a HGB to obtain reasonable assurance as to whether the rendering of the consolidated financial statements and the group management report (hereinafter the "ESEF documents") contained in the electronic file HCOB_AG_KA+KLB_ESEF-2025-12-31-1-de.xbri and prepared for publication purposes complies in all material respects with the requirements of § 328 Abs. 1 HGB for the electronic reporting format ("ESEF format"). In accordance with German legal requirements, this assurance work extends only to the conversion of the information contained in the consolidated financial statements and the group management report into the ESEF format and therefore relates neither to the information contained within these renderings nor to any other information contained in the electronic file identified above.

In our opinion, the rendering of the consolidated financial statements and the group management report contained in the electronic file identified above and prepared for publication purposes complies in all material respects with the requirements of § 328 Abs. 1 HGB for the electronic reporting format. Beyond this assurance opinion and our audit opinion on the accompanying consolidated financial statements and the accompanying group management report for the financial year from 1 January to 31 December 2025 contained in the "Report on the Audit of the Consolidated Financial Statements and on the Group Management Report" above, we do not express any assurance opinion on the information contained within these renderings or on the other information contained in the electronic file identified above.

Basis for the Assurance Opinion

We conducted our assurance work on the rendering of the consolidated financial statements and the group management report contained in the electronic file identified above in accordance with § 317 Abs. 3a HGB and the IDW Assurance Standard: Assurance Work on the Electronic Rendering of Financial Statements and Management Reports, Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB (IDW AsS 410 (06.2022)) and the International Standard on Assurance Engagements 3000 (Revised). Our responsibility in accordance therewith is further described in the "Group Auditor's Responsibilities for the Assurance Work on the ESEF Documents" section. Our audit firm applies the IDW Standard on Quality Management: Requirements for Quality Management in the Audit Firm (IDW QMS 1 (09.2022)).

Responsibilities of the Executive Directors and the Supervisory Board for the ESEF Documents

The executive directors of the Company are responsible for the preparation of the ESEF documents including the electronic rendering of the consolidated financial statements and the group management report in accordance with § 328 Abs. 1 Satz 4 Nr. [number] 1 HGB and for the tagging of the consolidated financial statements in accordance with § 328 Abs. 1 Satz 4 Nr. 2 HGB.

In addition, the executive directors of the Company are responsible for such internal control as they have considered necessary to enable the preparation of ESEF documents that are free from material non-compliance with the requirements of § 328 Abs. 1 HGB for the electronic reporting format, whether due to fraud or error. The supervisory board is responsible for overseeing the process for preparing the ESEF documents as part of the financial reporting process.

Group Auditor's Responsibilities for the Assurance Work on the ESEF Documents

Our objective is to obtain reasonable assurance about whether the ESEF documents are free from material non-compliance with the requirements of § 328 Abs. 1 HGB, whether due to fraud or error. We exercise professional judgment and maintain professional skepticism throughout the assurance work.

We also:

- Identify and assess the risks of material non-compliance with the requirements of § 328 Abs. 1 HGB, whether due to fraud or error, design and perform assurance procedures responsive to those risks, and obtain assurance evidence that is sufficient and appropriate to provide a basis for our assurance opinion.
- Obtain an understanding of internal control relevant to the assurance work on the ESEF documents in order to design assurance procedures that are appropriate in the circumstances, but not for the purpose of expressing an assurance opinion on the effectiveness of these controls.
- Evaluate the technical validity of the ESEF documents, i.e., whether the electronic file containing the ESEF documents meets the requirements of the Delegated Regulation (EU) 2019/815 in the version in force at the date of the consolidated financial statements on the technical specification for this electronic file.
- Evaluate whether the ESEF documents provide an XHTML rendering with content equivalent to the audited consolidated financial statements and to the audited group management report.
- Evaluate whether the tagging of the ESEF documents with Inline XBRL technology (iXBRL) in accordance with the requirements of Articles 4 and 6 of the Delegated Regulation (EU) 2019/815, in the version in force at the date of the consolidated financial statements, enables an appropriate and complete machine-readable XBRL copy of the XHTML rendering.

Further Information pursuant to Article 10 of the EU Audit Regulation

We were elected as group auditor by the annual general meeting on 29 April 2025. We were engaged by the supervisory board on 30 October 2025. We have been the group auditor of the Hamburg Commercial Bank AG, Hamburg, without interruption since the financial year 2018.

We declare that the audit opinions expressed in this auditor's report are consistent with the additional report to the audit committee pursuant to Article 11 of the EU Audit Regulation (long-form audit report).

REFERENCE TO AN OTHER MATTER – USE OF THE AUDITORS'S REPORT

Our auditor's report must always be read together with the audited consolidated financial statements and the audited group management report as well as the assured ESEF documents. The consolidated financial statements and the group management report converted to the ESEF format – including the versions to be filed in the company register – are merely electronic renderings of the audited consolidated financial statements and the audited group management report and do not take their place. In particular, the "Report on the Assurance on the Electronic Rendering of the Consolidated Financial Statements and the Group Management Report Prepared for Publication Purposes in Accordance with § 317 Abs. 3a HGB" and our assurance opinion contained therein are to be used solely together with the assured ESEF documents made available in electronic form.

GERMAN PUBLIC AUDITOR RESPONSIBLE FOR THE ENGAGEMENT

The German Public Auditor responsible for the engagement is Lutz Meyer.

Assurance Report of the independent German public auditor on a limited assurance engagement in relation to the group sustainability statement

To Hamburg Commercial Bank AG, Hamburg

Assurance Conclusion

We have conducted a limited assurance engagement on the group sustainability statement of Hamburg Commercial Bank AG, Hamburg, (hereinafter the „Company") included in section "Sustainability Statement" of the group management report, which is combined with the Company's management report, for the financial year from 1 January to 31 December 2025 (hereinafter the "Group Sustainability Statement"). The Group Sustainability Statement has been prepared to fulfil the requirements of Directive (EU) 2022/2464 of the European Parliament and of the Council of 14 December 2022 (Corporate Sustainability Reporting Directive, CSRD) and Article 8 of Regulation (EU) 2020/852 as well as §§ [Articles] 289b to 289e HGB [Handelsgesetzbuch: German Commercial Code] and §§ 315b to 315c HGB to prepare a combined non-financial statement.

Based on the procedures performed and the evidence obtained, nothing has come to our attention that causes us to believe that the accompanying Group Sustainability Statement is not prepared, in all material respects, in accordance with the requirements of the CSRD and Article 8 of Regulation (EU) 2020/852,, § 315c in conjunction with §§ 289c to 289e HGB to prepare a combined non-financial statement as well as with the supplementary criteria presented by the executive directors of the Company.

This assurance conclusion includes that no matters have come to our attention that cause us to believe:

- that the accompanying Group Sustainability Statement does not comply, in all material respects, with the European Sustainability Reporting Standards (ESRS), including that the process carried out by the Company to identify the information to be included in the Group Sustainability Statement (hereinafter the "materiality assessment") is not, in all material respects, in accordance with the description set out in section "IRO-1 Description of the processes to identify and assess material impacts, risks and opportunities" of the Group Sustainability Statement, or
- that the disclosures set out in section "Information according to Article 8 of Regulation (EU) 2020/852(Taxonomy Regulation)" of the Group Sustainability Statement do not comply, in all material respects, with Article 8 of Regulation (EU) 2020/852.

Basis for the Assurance Conclusion

We conducted our limited assurance engagement in accordance with the International Standard on Assurance Engagements (ISAE) 3000 (Revised): Assurance Engagements Other Than Audits or Reviews of Historical Financial Information, issued by the International Auditing and Assurance Standards Board (IAASB).

The procedures in a limited assurance engagement vary in nature and timing from, and are less in extent than for, a reasonable assurance engagement. Consequently, the level of assurance obtained is substantially lower than the assurance that would have been obtained had a reasonable assurance engagement been performed.

Our responsibilities under ISAE 3000 (Revised) are further described in the "German Public Auditor's Responsibilities for the Assurance Engagement on the Group Sustainability Statement" section.

We are independent of the Company in accordance with the requirements of European law and German commercial and professional law, and we have fulfilled our other German professional responsibilities in accordance with these requirements. Our audit firm has complied with the quality management system requirements of the IDW Standard on Quality Management: Requirements for Quality Management in the Audit Firm (IDW QMS 1 (09.2022)) issued by the Institut der Wirtschaftsprüfer (Institute of Public Auditors in Germany; IDW). We believe that the evidence we have obtained is sufficient and appropriate to provide a basis for our assurance conclusion.

Responsibility of the Executive Directors and the Supervisory Board for the Group Sustainability Statement

The executive directors are responsible for the preparation of the Group Sustainability Statement in accordance with the requirements of the CSRD and the relevant German legal and other European regulations as well as with the supplementary criteria presented by the executive directors of the Company. They are also responsible for the design, implementation and maintenance of such internal controls that they have considered necessary to enable the preparation of a Group Sustainability Statement in accordance with these regulations that is free from material misstatement, whether due to fraud (i.e., manipulation of the Group Sustainability Statement) or error.

This responsibility of the executive directors includes establishing and maintaining the materiality assessment process, selecting and applying appropriate reporting policies for preparing the Group Sustainability Statement, as well as making assumptions and estimates and ascertaining forward-looking information for individual sustainability-related disclosures.

The supervisory board is responsible for overseeing the process for the preparation of the Group Sustainability Statement.

Inherent Limitations in the Preparation of the Group Sustainability Statement

The CSRD and the relevant German statutory and other European regulations contain wording and terms that are still subject to considerable interpretation uncertainties and for which no authoritative, comprehensive interpretations have yet been published. Therefore, the executive directors have disclosed their interpretations of such wording and terms in section "BP-1 General basis for preparation of the sustainability statement" of the Group Sustainability Statement. The executive directors are responsible for the defensibility of these interpretations. As such wording and terms may be interpreted differently by regulators or courts, the legal conformity of measurements or evaluations of sustainability matters based on these interpretations is uncertain.

These inherent limitations also affect the assurance engagement on the Group Sustainability Statement.

German Public Auditor's Responsibilities for the Assurance Engagement on the Group Sustainability Statement

Our objective is to express a limited assurance conclusion, based on the assurance engagement we have conducted, on whether any matters have come to our attention that cause us to believe that the Group Sustainability Statement has not been prepared, in all material respects, in accordance with the CSRD and the relevant German legal and other European regulations as well as with the supplementary criteria presented by the executive directors of the Company, and to issue an assurance report that includes our assurance conclusion on the Group Sustainability Statement.

As part of a limited assurance engagement in accordance with ISAE 3000 (Revised), we exercise professional judgment and maintain professional skepticism. We also:

- obtain an understanding of the process to prepare the Group Sustainability Statement, including the materiality assessment process carried out by the Company to identify the information to be included in the Group Sustainability Statement.
- identify disclosures where a material misstatement due to fraud or error is likely to arise, design and perform procedures to address these disclosures and obtain limited assurance to support the assurance conclusion. The risk of not detecting a material misstatement resulting from fraud is higher than the risk of not detecting a material misstatement resulting from error, as fraud may involve collusion, forgery, intentional omissions, misleading representations, or the override of internal controls. In addition, the risk of not detecting a material misstatement within value chain information from sources not under the control of the company (value chain information) is generally higher than the risk of not detecting a material misstatement of value chain information from sources under the control of the company, as both the executive directors of the Company and we, as assurance practitioners, are ordinarily subject to limitations on direct access to the sources of value chain information.
- consider the forward-looking information, including the appropriateness of the underlying assumptions. There is a substantial unavoidable risk that future events will differ materially from the forward-looking information.

Summary of the Procedures Performed by the German Public Auditor

A limited assurance engagement involves the performance of procedures to obtain evidence about the sustainability information. The nature, timing and extent of the selected procedures are subject to our professional judgement.

In conducting our limited assurance engagement, we have, amongst other things:

- evaluated the suitability of the criteria as a whole presented by the executive directors in the Group Sustainability Statement.
- inquired of the executive directors and relevant employees involved in the preparation of the Group Sustainability Statement about the preparation process, including the materiality assessment process carried out by the company to identify the information to be included in the Group Sustainability Statement, and about the internal controls relating to this process.
- evaluated the reporting policies used by the executive directors to prepare the Group Sustainability Statement.
- evaluated the reasonableness of the estimates and the related disclosures provided by the executive directors. If, in accordance with the ESRS, the executive directors estimate the value chain information to be reported for a case in which the executive directors are unable to obtain the information from the value chain despite making reasonable efforts, our assurance engagement is limited to evaluating whether the executive directors have undertaken these estimates in accordance with the ESRS and assessing the reasonableness of these estimates, but does not include identifying information in the value chain that the executive directors have been unable to obtain.
- performed analytical procedures and made inquiries in relation to selected information in the Group Sustainability Statement.
- considered the presentation of the information in the Group Sustainability Statement.
- considered the process for identifying taxonomy-eligible and taxonomy-aligned economic activities and the corresponding disclosures in the Group Sustainability Statement.

Restriction of Use

We draw attention to the fact that the assurance engagement was conducted for the Company's purposes and that the report is intended solely to inform the Company about the result of the assurance engagement. Accordingly, the report is not intended to be used by third parties for making (financial) decisions based on it. Our responsibility is solely towards the Company. We do not accept any responsibility, duty of care or liability towards third parties.

Hamburg, 5 March 2026
PricewaterhouseCoopers GmbH Wirtschaftsprüfungsgesellschaft

sgd. Lutz Meyer
Wirtschaftsprüfer
[German public auditor]

sgd. Nicolle Pietsch
Wirtschaftsprüferin
[German public auditor]

Responsibility statement by the Management Board

We hereby affirm that to the best of our knowledge the Group financial statements have been prepared in accordance with the applicable accounting principles and give a true and fair view of the net assets, financial position and results of operations of the Hamburg Commercial Bank Group and that the Group management report presents the course of business, including the results of the business and the Hamburg Commercial Bank Group's situation, in such a manner that it gives a true and fair view and describes the main opportunities and risks for the Hamburg Commercial Bank Group's foreseeable performance.

Hamburg, March 3, 2026

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Design
HCOB Marketing

Production
HCOB Marketing

Photos
Thies Rätzke, Sven Wied

Notice
If at times only the masculine form is used for certain terms relating to groups of people, this is not meant in a gender-specific manner, but occurs exclusively for the sake of better readability.

This Annual Report was published on 19 March 2026 and is available for download from www.hcob-bank.com. This is an English translation of the original German version of the Annual Report.

Forward-looking statements
This Annual Report includes certain forward-looking statements. These statements are based on our beliefs and assumptions as well as on conclusions drawn from information currently available to us from sources which we consider to be reliable. A forward-looking statement involves information that does not simply reflect historical facts, information relating to possible or anticipated future growth and future economic development. Such forward-looking statements are based on a number of assumptions concerning future events and are subject to uncertainties, risks and other factors, many of which are beyond our control.

Therefore actual events may differ from those forecast in the forward-looking statements. In view of this, you are advised never to rely to an inappropriate degree on forward-looking statements. We cannot accept any liability for the accuracy or completeness of these statements or for the actual realisation of forecasts made in this Annual Report. Furthermore, we are not obliged to update the forward-looking statements following the publication of this information. In addition, information contained in this Annual Report does not represent any kind of offer for the acquisition or sale of any type of securities of Hamburg Commercial Bank AG.

About Hamburg Commercial Bank
Hamburg Commercial Bank AG (HCOB) is a private commercial bank headquartered in Hamburg that specialises in tailor-made financing solutions for German and European companies. It also has a strong position in Germany-focused real estate financing, is an established project financier in Europe, and is a reliable partner for the shipping sector. Efficient and secure payment services, as well as innovative products for foreign trade, complete the range of services. The bank is guided by established ESG criteria and operates from several locations in Germany as well as in Amsterdam, London, Luxembourg and Piraeus. Under the "Hamburg Direct Bank" brand, HCOB offers call money and fixed-term deposits for private customers. Further information is available at www.hcob-bank.com.

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